1995–1998

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Commissioner of Land v Kunste Hotel Ltd

[1995–1998] 1 EA 1 (CAK)

Division: Court of Appeal of Kenya at Nakuru

Date of judgment: 14 March 1997

Case Number: 234/95

Before: Akiwumi, Pall JJA and Bosire AJA

Sourced by: IT Inamdar

Summarised by: A Mwanzia

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[1] Judicial review – Procedure – Statutory notice to government – Whether before moving court for judicial review orders a party must give notice to government as mandated by the Government Proceedings Act (Chapter 40) – Exercise of statutory discretion by government official affecting rights of other parties – Whether affected parties must be consulted before decision is made – Section 13A – Government Proceedings Act (Chapter 40) – Section 136(2) – Government Lands Act (Chapter 280).

Editor's Summary

Stephen Kung'u Kagiri was in 1976 allotted an unsurveyed plot of land, Nakuru Municipality plot number 451. He intended to put up a tourist hotel on the plot and since the plot did not abut the Nairobi-Nakuru road, he made an application to the Commissioner of Lands requesting the plot abutting the Nairobi-Nakuru road to be left a road reserve and not for any future development so that the hotel could be visible from the Nairobi-Nakuru road. The request was granted and a revised plan issued. Kagiri then transferred his interest in the property to Kunste Hotel Limited where he was also the majority shareholder.

On 3 May 1993 the appellant allotted the reserved plot to a third party. Kunste Hotel Limited ("the respondent") moved the High Court for an order of certiorari to quash the appellant's decision allotting the plot. The respondent's case was that the appellant had earlier assured its predecessor in title that the plot would not be alienated, and that the respondent was neither consulted nor notified of the appellant's intention to alienate the plot prior to the allotment notwithstanding that the appellant was well aware that the allotment would adversely affect the respondent. The court *a quo* found in the respondent's favour and issued an order of certiorari quashing the appellant's decision.

The appellant appealed on grounds *inter alia* that, being a government official, the appellant should have been served notice under section 136(2) of the Government Lands Act (Chapter 280) and section 13A of the Government Proceedings Act (Chapter 40); and that the subject land had been left unalienated and vacant without any registered restrictive covenant and therefore the appellant was perfectly entitled to allot it.

Held – In exercising the power to issue or not to issue an order of certiorari, the Court would be exercising a special jurisdiction outside the ambit of section 136(1) of the Government Lands Act and section 13A of the Government Proceedings Act.

Judicial review is concerned not with the private rights or the merits of the decision being challenged but with the decision-making process. Its purpose is to ensure that an individual is given fair treatment by an authority to which he has been subjected (*Republic v Secretary of State for Education and Science ex parte*

Avon County Council [1991] 1 All ER 282 and *Chief Constable of the North Wales Police v Evans* [1982] 1 WLR 1155 adopted).

In allotting the plot of land, the appellant was exercising statutory powers under the Government Lands Act. The exercise of that discretion affected the rights of Kunste Hotel Limited and was therefore judicial in nature. The appellant was obliged to hear all those who were likely to be affected by his decision (*Mirugi Kariuki v Attorney-General* [1991] LLR 2171 (CAK) followed).

The appellant should therefore have consulted the hotel along with the other parties before he decided to allot the plot.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Mirugi Kariuki v Attorney-General [1991] LLR 2171 (CAK) – **F**

United Kingdom

Chief Constable of the North Wales Police v Evans [1982] 1 WLR 1155 – **A**

Republic v Secretary of State for Education and Science ex parte Avon County Council [1991] 1 All ER 282 – **A**

Judgment

AKIWUMI, PALL JJA AND BOSIRE AJA: On the motion by Kunste Hotel Limited, which was expressed to be brought under Order LIII, rules 1 and 2 of the Civil Procedure Rules, and section 8 of the Law Reform Act (Chapter 26) Laws of Kenya, naming K and K Trading Limited, as the interested party, the Superior Court (DM Rimita J) issued an order of certiorari quashing a decision by the Commissioner of Lands, dated 3 May 1995, allotting a plot of land known as Nakuru Municipality/Block 16, measuring 0,20 hectares to the interested party. This appeal is by Commissioner of Lands challenging that order. A casual perusal of the grounds of appeal, *prima facie*, shows that the appeal has, in effect, been brought by the Commissioner of Lands on behalf of the interested party, but we are unable to appreciate why public funds and resources are being employed in the pursuit of private interests. Be that as it may, the grounds of appeal raise both points of fact and law.

The history of this matter dates back to 1976 when, upon application, one Stephen Kung'u Kagiri, presently the majority shareholder in Kunste Hotel Limited and its managing director, was allotted an unsurveyed plot of land known as Nakuru Municipality plot number 451, which plot was later renumbered as block 16/3, by the appellant. He had indicated in his application for a plot that, if allotted one he intended to put up a tourist hotel thereon. The plot which was allocated to him abutted the Nakuru-Solai road but not the Nakuru-Nairobi highway although the road was nearby. The subject plot was between

his plot and that highway. After viewing the general area, Mr Kagiri thought that it would be desirable that his intended hotel should be clearly visible from that highway. To obviate the plot between his and the highway being allotted to somebody else and fearing that whoever would be allocated the same would develop it as to obstruct the view of the hotel from the highway, he addressed a letter to the appellant, dated 26 August 1976, which, in pertinent part, read as follows:

> "I would like to request you . . . that site 'C' be left a road reserve and not for any future alienation or if that is not possible then 'A', 'B' and 'C' be amalgamated into one plot and if it is felt very necessary the hotel boundary may leave out 'B' so that, the hotel covers 'A' and 'C' only".

We do not have the plan which shows all the three plots clearly marked with the letters as stated in the letter, but what is clear is that Mr Kagiri wanted his hotel to be clearly visible from both Nakuru-Solai road and Nakuru-Nairobi highway. The appellant replied to that letter by his dated 21 January 1977, in pertinent part, as follows:

> "Tourist Hotel plot Nakuru I refer to your letter refer (*sic*) dated 26 August 1976, addressed to me and copied to the director of surveys among other persons on the above subject and am pleased to inform you that a revised plan has been prepared and approved in accordance with your request. I am therefore making arrangement to issue you with a revised letter of allotment which be (sic) forwarded to you in due course".

Indeed a revised letter of allotment was issued by the appellant to Mr Kagiri which showed an enhanced acreage of the plot allotted with commensurate increased stand premium, land rent and other dues. Neither the appellant nor any of the other parties produced the revised plan of the plot to show its position in relation to its previous boundaries. What we, however, make out is that plot "C" was not consolidated with the plot originally allotted. That was one of Mr Kagiri's suggestions. Nor did the appellant accept to consolidate all the three plots, viz "A", "B" and "C" because if that were so, it would have meant, as Mr Kagiri suggested, the hotel plot boundary would have extended to the Nakuru-Nairobi highway. We, however, now know that at present the hotel land does not abut that highway. That then leaves only one of the three alternatives which Mr Kagiri had proposed to the appellant and which the latter accepted, namely that site "C" be left as a road reserve and "not for any future development". We say so advisedly. It should be recalled that Mr Kagiri was desirous that the view of his intended hotel be unobstructed from Nakuru-Nairobi highway. We also observe that site "C" could not possibly have been between the hotel plot and Nakuru-Solai road. Had that been so Mr Kagiri would not have stated in his letter to the appellant thus: "but if site 'C' is built over then the plot will be hidden from the main Nairobi road thus the beauty of the hotel may not be appreciated from the main road".

So the appellant's reply to Mr Kagiri's letter must be looked at in light of the foregoing. He had accepted the request by Mr Kagiri that site "C" be preserved as a road reserve. But Mrs *Bomet Fraser*, counsel on record for the interested party, did not think that was so. In her view, if that was the intention of the appellant then a right over that plot in the nature of a restrictive covenant would have been created, which right is registrable. Having not been registered, she argued, then it can only mean that no such right was ever intended or created. We are unable to subscribe to that view. If the appellant did not intend to preserve site "C" as a road reserve, then it is not possible to discern which request Mr Kagiri had made which the appellant accepted in his letter which we partly reproduced above.

Mr Kagiri eventually built his hotel which he named Kunste Hotel Limited. He transferred his interest in his plot, namely, Nakuru Municipality/Block 16/3, to the hotel. So presently and even as at the date of the motion which originated the present proceedings, the hotel was the registered owner thereof. A stone wall was built along the perimeter boundary of the hotel plot. The hotel has been operating for some time now. The plot between it and the Nakuru-Nairobi highway remained unalienated until 3 May 1993, when by a letter of allotment of the same date the appellant allotted the plot to the interested party. That provoked Kunste Hotel Limited to move the Superior Court for an order of certiorari, as we earlier on stated. The basis of Kunste's motion was basically that the appellant had earlier assured its predecessor in title that that plot would not be alienated, and that the appellant in allotting it to the interested party was, in effect, backtracking from that assurance; that it was neither consulted nor notified of the appellant's intention of alienating the plot prior to the allotment notwithstanding that the appellant was well aware that the allotment would adversely affect it, and also, notwithstanding that the appellant was aware that the hotel had planted trees on the plot and had been mowing the grass on it. It was the hotel's case before the Superior Court that permitting the interested party to develop the plot would adversely affect the beauty of the hotel, inhibit its visibility from the Nakuru-Nairobi highway and thereby affect the inflow of customers, and more particularly tourists, to the hotel and thus reduce not only the hotel's income but also the foreign exchange earnings by the country. It was further its case that members of the public who presently use and enjoy the beauty of the plot as a road reserve will be denied the use and enjoyment thereof. We wish to observe at the outset that, in a suit strictly so called the hotel could only, properly, litigate on behalf of the general public with the written consent of the Attorney-General in terms of section 61 of the Civil Procedure Act (Chapter 21) Laws of Kenya. However considering what we are going to say hereafter the issue does not arise for consideration here.

The appellant's case in the Superior Court and also that of the interested party was, firstly, that the notice of motion is an action and that, the Commissioner of Lands being a government servant, notice under section 136(2) of the Government Lands Act (Chapter 280) and section 13A of the Government Proceedings Act (Chapter 40) Laws of Kenya, should have been but was not given. Consequently, the notice being mandatory the action was incompetent. Secondly, that the plot respecting which the letters partly reproduced earlier were talking about is unascertainable from the available evidence, and that even if it was ascertainable the appellant had the right and took all the essential steps before allotting it to the interested party. Thirdly, that the subject plot had not been reserved for the development of a road or for planting trees thereon; nor was it set aside as a frontage to the hotel. Fourthly, that the subject land having been unalienated and vacant and in the absence of any registered restrictive covenant attached to it, the appellant was perfectly entitled to allot it to the interested party or any other person.

Rimita J after considering the rival arguments held that although there was no clerk agreement between Mr Kagiri and the appellant that the subject plot would be left as a road reserve, the conduct of the parties was such that it may be inferred that it was to be so left, that the hotel had been in occupation of the plot and had been caring for it, that although it was clear that several people and authorities were consulted before the plot was allotted to the interested party, it

was clear that the hotel was improperly not consulted in that regard, that in allotting the plot the appellant was not performing a ministerial but a judicial act, and his decision was therefore subject to judicial review, that judicial review is a special procedure and, therefore, a notice under section 136(2), above, was not necessary and that the hotel had demonstrated it had sufficient interest in the allotment which, accordingly, entitled it to move the Court for the special remedy of an order of certiorari. He, therefore, proceeded to grant the order quashing the allotment of the subject plot to the interested party. That provoked this appeal.

Thirteen grounds of appeal are set out on the memorandum of appeal but we propose first, to deal with the first one, namely the legal effect, if any, of the failure to give a statutory notice under section 136(2) of the Government Lands Act, above and section 13A of the Government Proceedings Act, to these proceedings. Section 136(1) and (2) of the former Act, provides as follows:

> "136 (1) All actions, unless brought on behalf of the government, for anything done under this Act shall be commenced within one year after the cause of action arose and not afterwards.
>
> (2) Notice in writing of the action and the cause thereof shall be given to the defendant one month at least before the commencement of the action".

Neither the Government Lands Act, the Government Proceedings Act, nor the Civil Procedure Act and Rules made thereunder, have a definition of the term "action". The term is defined under section 3 of the Interpretation and General Provisions Act (Chapter 2) Laws of Kenya, thus: "means any civil proceedings in a Court and includes any suit as defined in section 2 of the Civil Procedure Act". That definition without more does not tell us much. However, when looked at together with the provisions of section 8 of the Law Reform Act (Chapter 26) Laws of Kenya, we are able to discern that an application for an order of certiorari or any of the prerogative orders is not an action. Section 8(1) of that Act provides as follows:

> "8 (1) The High Court shall not, whether in the exercise of its civil or criminal jurisdiction, issue any of the prerogative writs of mandamus, prohibition or certiorari".

By virtue of the provisions of section 7 of the Administration of Justice (Miscellaneous Provisions) Act of 1938, of the United Kingdom, which is applicable in this country by reason of section 8(2) of the Law Reform Act, prerogative writs were changed to be known as "Orders", except for the writ of *habeas corpus*. So section 8(1) above denies the High Court the power to issue orders of mandamus, prohibition and certiorari while exercising civil or criminal jurisdiction. What that then means is that notwithstanding the wording of section 13A, above, which talks of proceedings, in exercising the power to issue or not to issue an order of certiorari the Court is neither exercising civil nor criminal jurisdiction. It would be exercising special jurisdiction which is outside the ambit of section 136(1) of the Government Lands Act, and also, section 13A of the Government Proceedings Act, which, had the matter under consideration been an action, would properly have been invoked to defeat the present matter. It should be noted that section 13A, above, when read closely, its wording, clearly shows that a suit within the meaning of the term "suit" in section 2 of the Civil Procedure Act is envisaged. In the foregoing circumstances the cases cited to us, by Miss *Kimani* for the appellant, have no relevance to this matter.

Having come to the above conclusion the way is now paved for considering the remaining grounds of appeal which, in effect, attack each of the findings and holdings by the Superior Court which we summarised earlier. But it must be remembered that judicial review is concerned not with private rights or the merits of the decision being challenged but with the decision-making process. Its purpose is to ensure that the individual is given fair treatment by the authority to which he has been subjected (see *Republic v Secretary of State for Education and Science ex parte Avon County Council* [1991] 1 All ER 282 at 285). The point was more succinctly made in the English case of *Chief Constable of the North Wales Police v Evans* [1982] 1 WLR 1155, by Lord Hailsham of St Marylebone, thus:

> "The purpose of judicial review is to ensure that the individual receives fair treatment, and not to ensure that the authority, after according fair treatment, reaches on a matter which it is authorised by law to decide for itself a conclusion which is correct in the eyes of the court".

In our case, Kunste Hotel Limited complains that the appellant decided to allot the subject plot to the interested party without giving it a hearing and in flagrant disregard of an earlier assurance that the plot would be a road reserve. The issue we are concerned with here, and which is the crux of the matter in this appeal, is not whether Kunste Hotel Limited has any right to the plot, but whether its interest in the subject plot was sufficient and, in the circumstances of this case so obvious that the appellant was obliged to consult or hear it prior to his decision to allot the plot to the interested party.

There is material on record to show that the appellant consulted various parties before he decided to allot the plot to the interested party. It was common ground before the Superior Court, and even before us, that Kunste Hotel Limited was not one of the parties which were consulted. So the issue which immediately presents itself is whether it should have been consulted. The appellant's and the case of the interested party both in the court below and before us is that Kunste Hotel Limited, had no right over the subject property, the plot was vacant government land, and that it did not show that whatever assurance that may have been given was specifically in respect of that plot. But as we stated earlier the subject plot is clearly the one Mr Kagiri had wanted, either to be allotted to him or to be left as a road reserve. It was common ground, and the evidence before us is clear on it, that between the hotel and the Nakuru-Nairobi highway there are only two plots. The first one is a petrol station and the second is the subject plot. So when Mr Kagiri wrote his letter of 26 August 1976, he could not have possibly intended that the petrol station plot be left as a road reserve. The subject plot having then been vacant and unalienated it is quite obvious that it was the one he meant and it was the one the appellant had in mind when he said in his letter we referred to earlier that he was "pleased" to revise the plans in accordance with your request.

The appellant was exercising his statutory powers under the Government Lands Act, when he decided to allot the subject plot to the interested party. The exercise of that discretion clearly affected the legal rights of Kunste Hotel Limited. The exercise of that power was therefore judicial in nature and he was therefore obliged to hear all those who were likely to be affected by his decision (see *Mirugi Kariuki v Attorney-General* [1991] LLR 2171 (CAK)). It is, therefore, our view and we so hold, that the appellant should have consulted the hotel along with the other parties before he decided to allot the plot to the interested party. He was aware of the request Mr Kagiri had made in 1976. Consequently it does not lie in the appellant's or anybody else's mouth to argue, as counsel for

the interested party sought to do, that in absence of registration the interest Kunste Hotel seeks to protect was non-existent, and it was, therefore disentitled to a hearing before the plot was allotted to the interested party. Rimita J was therefore, right in the conclusions he came to, and we accordingly affirm his decision and dismiss this appeal with costs.

For the appellant:
Kimani instructed by Attorney-General

For the respondent:
Information not available

For the interested party:
Bomet Fraser

Corporate Insurance Co Ltd v Nyali Beach Hotel Ltd
[1995–1998] 1 EA 7 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	9 January 1998
Case Number:	270/96
Before:	Gicheru, Tunoi and Pall JJA
Sourced by:	P le Pelley
Summarised by:	HT Mutai

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[1] Contract – Surety bond – Misrepresentation – Failure to disclose material information – Test – Prejudice to other party – Liability of party failing to disclose.

[2] Summary judgment – Application to set aside – Discretion of Court – Factors to be considered – Whether defence shows triable issues – Order XXXV – Civil Procedure Rules.

Editor's Summary

By an agreement dated 10 April 1986, the respondent employed ACTAF Construction Ltd to construct a new wing containing 54 bedrooms at a cost of KShs 1 45 246-50. The agreement provided in part that the date for practical completion of the works was to be 4 March 1987, that the said date could be extended and that the contractor was to provide a surety who would be bound in a sum equivalent to 10% of the contract sum for the due performance of the contract. It was in that regard that the appellant, at ACTAF's request, executed a surety bond providing, *inter alia*, that the liability of the surety would not be discharged or impaired by any breach of the agreement committed by the respondent. Following ACTAF's alleged failure to perform the contract and complete the building works required, the respondent determined the contract and employed other contractors to complete the work. On 9 December 1988, the respondent's architects certified that a sum of KShs 3 040 255-90 was due from the contractor to the respondent for its alleged failure to duly perform the contract. The contractor disputed the architect's certificate and the dispute was referred to arbitration. In his award dated 3 September 1990, the arbitrator

directed the contractor, which by now had gone into liquidation, to pay the disputed sum to the respondent. Soon thereafter, the respondent sought to enforce the surety bond in a suit before the High Court against the appellant for non-performance of the contract by the contractor. The appellant denied liability and alleged that it was entitled to avoid the bond on the grounds of non-disclosure by the respondent. The respondent then filed an application seeking summary judgment against the appellant on the ground that it had no defence to its claim.

At the hearing of the application, the appellant contended, *inter alia*, that by extending the time for completion of the contract without informing it and giving it a chance to move out of the surety bond, the respondent had acted fraudulently to the appellant's prejudice. In his ruling the Judge observed that the facts that had allegedly not been disclosed were unconnected with the formation of the contract and that it had not been claimed that there were any vitiating factors at the time of the formation of the contract which made it void or unenforceable. The application was granted and summary judgment in the sum of KShs 1 946 000 entered in favour of the respondent.

The appellant appealed on the grounds that the Judge had erred in holding that there were no triable issues, in not holding that the respondent had concealed material facts, and in failing to hold that the liquidator of the contractor and the respondent had apparently colluded to compromise the contractor's position in the arbitration. Counsel for the appellant further contended that the respondent had owed the appellant a duty to inform it in good time if the contractor was failing to perform the contract.

Held – Though counsel for the appellant's contention that evidence of non-performance was essential to the appellant's liability was an attractive argument, the tenor of the surety bond was to the effect that the bond was conditional to be void only if the contractor fully performed the contract. In any other event, it was to remain in full force and effect. Thus the appellant could only avoid liability under the bond if it could produce evidence that the contract had been fully performed.

The duty on the part of the knowledgeable contracting party to disclose material information which would adversely affect the bargaining position of a guarantor to the guarantor existed at the time of formation of the contract of guarantee. It was generally upon the surety to ascertain for himself what risk he was taking upon himself (*Seaton v Heath* [1899] 1 QB 782, *Kiby v Duke of Marlborough* 105 ER 289, *O'hara v Allied Irish Banks Ltd and another* [1985] BCLC 52 and *Trade Indemnity Co Ltd v Workington Harbour and Dock Board* [1937] AC 1 adopted). Here, the appellant was not misled by the respondent as a result of which it agreed to be bound to the respondent by the performance bond. Moreover, there was no condition imposed under the bond obliging the respondent to notify the appellant in case the contractor failed to perform the contract.

The purpose of an application for summary judgment was to enable a plaintiff, if he could prove his claim clearly and the defendant was unable to set up a *bona fide* defence or raise an issue against the claim to be tried, to obtain a quick judgment (*Home and Overseas Insurance Co Ltd v Mentor Insurance Co (UK) Ltd (in Liquidation)* [1990] 1 WLR 153 adopted). A defendant was bound to show that he had some reasonable or fairly arguable ground of defence to the action and

once a *bona fide* defence had been identified, a court was obliged to refrain from resolving the suit on affidavit evidence. Where a difficult point of law was raised, leave to defend should be given (*Electric Corporation v Thomson Houston Co* 10 TLR 103 adopted). However, leave to defend was not to be given merely because there were several allegations of fact or law made in the defendant's affidavit. The decision as to whether or not to enter summary judgment was within the trial Judge's discretion and, in this instance, no fault of principle had been exhibited by the Judge and there was nothing to show that the exercise of the discretion had been perverse.

Appeal dismissed with costs.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Gupta v Continental Builders [1978] KLR 83

Mbogo v Shah [1968] EA 93

Mugunga General Stores v Pepco Distributors Ltd [1982–88] 2 KAR 89

United Kingdom

Bali Trading v Afalona Shipping and another [1993] 1 Lloyd's Rep 1 CA

Cow v Casey [1949] 1 KB 481

Electric Corporation v Thomson Houston Co 10 TLR 103 – **A**

Home and Overseas Insurance Co Ltd v Mentor Insurance Co (UK) Ltd (in Liquidation) [1990] 1 WLR 153 – **A**

Kirby v Duke of Marlborough 105 ER 289 – **A**

O'hara v Allied Irish Banks Ltd and another [1985] BCLC 52 – **A**

Seaton v Heath [1899] 1 QB 782 – **A**

Trade Indemnity Co Ltd v Workington Harbour and Dock Board [1937] AC 1 – **A**

Judgment

GICHERU JA: At 805 of *Hudson's Building and Engineering Contracts* (10 ed) it is stipulated that:

> "Where building contracts are guaranteed the surety usually covenants that the builder will satisfactorily perform and complete the contract subject to all the terms of the principal contract as to time, instalments, certificates, extras and the like, in which case the terms are to be treated as imported into the surety ship contract. Generally, the building owner must not act, in dealing with the contractor, or in any connection where the surety's interest is affected, in a manner inconsistent with the surety ship contract, or do anything to prejudice the right of sureties to contribution or indemnity. If he does, the sureties will be released either wholly or *pro tanto*"

and at 811 of the same work, it is stated that:

> "A binding agreement to extend the builder's time for completion without the assent of the surety will, it seems, release the latter, unless provision to the contrary is made in the contract of guarantee, or unless

the extension is made under the provisions of the principal contract guaranteed (which in building contracts will usually be the case). The surety will also be released where the time for completion has been shortened without his consent".

Clause 23 of the schedule of conditions to an agreement of building contract (with quantities), hereinafter called the agreement, made between the respondent and ACTAF Construction Limited and dated 10 April 1986 provided for extension of time for the completion of works beyond the agreed date for practical completion stated in the appendix to those conditions or beyond any extended time previously fixed under the said clause in certain circumstances and clause 31 of the same conditions stipulated that:

> "31 the contractor shall provide one surety who must be an established bank, Insurance company or fidelity guarantee corporation to the approval of the architect and who will be bound to the Employer in the sum equivalent to ten per cent (10%) of the contract sum for the due performance of the contract until the certified date of practical completion".

The appellant in compliance with this clause executed a surety bond the relevant contents of which were as follows:

> "Know all men by these presents that we Corporate Insurance Company Limited (surety) of PO Box 34172, Nairobi are bound to Nyali Beach Hotel Limited (employer) of PO Box 90581, Mombasa in the sum of Kenya Shillings One Million Nine Hundred Forty Six Thousand Only (KShs 1 946 000) to be paid by us to the said Nyali Beach Hotel Limited (employer) whereas by an agreement in writing dated 10 April 1986 ACTAF Construction Limited (contractor) of PO Box 67472, Nairobi contracted with the said Nyali, Beach Hotel Limited (employer) to (description of works) construction of new wing containing fifty four bedrooms in the said agreement; particularly described and conformable thereto.
>
> Now the condition of the above-written bond is such that if the said ACTAF Construction Limited (contractor) his/their executors, administrators, successors or assigns shall conform to the said agreement then the above-written bond to be void otherwise to remain in full force. provided always and it is hereby agreed and declared that the liability of the said Corporate Insurance Company Limited (surety) under the above-written bond shall not in any way be discharged or impaired by reason of any breach or breaches (wilful or otherwise) of the said agreement committed with or without the knowledge or consent of the said ACTAF Construction Limited (contractor) by or on behalf or with the knowledge or consent of the said Nyali Beach Hotel Limited (employer)".

As indicated above, on 10 April 1986 ACTAF Construction Limited contracted with the respondent upon and subject to the conditions annexed to the agreement as are referred to above to construct for the respondent a new wing containing 54 bedrooms in a three storey building together with a link to the existing building and associated site works at the Nyali Beach Hotel, Mombasa at a consideration of KShs 19 459 246-50. The works to be carried out and completed was shown on the contract drawings and described by or referred to in the contract bills and in the conditions aforementioned. From the appendix to the said conditions, the data for practical completion was 4 March 1987. It would appear from the appellant's complaint in paragraph 5(*b*) of its particulars of the respondent's alleged misrepresentation and/or non-disclosure to it of material facts in its defence to the respondent's claim against it that the completion date was extended although it is unclear by how long. From the certificate of expenses properly incurred by the respondent issued by the respondent's architects and dated 9 December 1988 together with the annexures thereto it is clear that the contract between the respondent and ACTAF Construction Limited was determined by the respondent before the aforesaid date and ACTAF Construction Limited did not therefore perform the contract in accordance with the agreement consequent to which other contractors were

employed by the respondent to complete the works as per the agreement with the respondent incurring a loss of KShs 3 040 255-90. The latter sum of money was subject to a dispute by ACTAF Construction Limited which it referred to arbitration under the relevant clause of the conditions annexed to the agreement. That dispute was by consent of ACTAF Construction Limited and the respondent withdrawn with the latter being awarded the sum of KShs 3 040 255-90 vide the Arbitrator's award dated 3 September 1990 while the former was condemned to pay the costs of the arbitration taxed and settled at KShs 14 000. Soon thereafter, by a plaint in the Superior Court dated 27 September 1990 the respondent sought to enforce the surety bond set out above against the appellant for the non-performance of the contract as per the agreement by ACTAF Construction Limited which was now in liquidation. The appellant's defence to the respondent's claim in the Superior Court was a denial of liability in respect of the surety bond above mentioned and an allegation of the respondent's misrepresentation and/or non-disclosure of facts material to its continued retention of the said bond and in particular the respondent's failure to inform the appellant that it had extended the time for completion of the contract by ACTAF construction Limited.

By a notice of motion dated 19 April 1991 the respondent sought from the Superior Court summary judgment against the appellant under Order XXXV of the Civil Procedure Rules for the reason that the appellant having executed the surety bond referred to earlier in this judgment for the due performance of the contract between the respondent and ACTAF Construction Limited and the latter having not duly performed the contract or executed and completed the works as required by the contract agreement, the appellant was justly and truly indebted to the respondent in the sum of KShs 1 946 000 in respect of which the said bond was executed by the appellant. The latter according to the respondent, had no defence to its claim. The appellant's prime answer to the respondent's notice of motion was that at the hearing of the suit in the Superior Court it was to present evidence showing that the respondent had failed to disclose important and material facts touching on its relationship with ACTAF Construction Limited, its principal debtor, and which facts had come to its knowledge in the course of performance of the contract and thus entitling the appellant to avoid its liability on the surety bond. These important and material facts touching on the respondent's relationship with ACTAF Construction Limited were, however, not disclosed by the appellant.

At the hearing of the respondent's notice of motion in the Superior Court before Githinji J, the appellant's principle complaint was that the extension of time by the respondent for the completion of the contract was without its knowledge or consent so that the performance period was extended without giving it a chance to move out of its surety bond. This led to its being prejudiced as ACTAF Construction Limited went into liquidation with the result that it could recover nothing from the latter. To the appellant therefore, the issue was whether or not the respondent in dealing with its principal debtor in the manner it did, it had acted fraudulently to the appellant's prejudice. Accordingly, it was entitled to an unconditional leave to defend.

In his ruling dated and delivered on 6 April 1993, the learned Judge observed that the facts that the appellant claimed not to have been disclosed to it by the respondent were unconnected with the formation of the contract and it was not claimed that there were vitiating factors at the time of the formation of the contract which made the contract of surety ship void or unenforceable. But as

regards the respondent's extension of time for the completion of the contract, the learned Judge had this to say:

> "There is no dispute in law that an extension of time can generally discharge the surety from his obligations. But there are exceptions to the general principle e.g. where the extension of time is with the consent of the surety or where extension of time can only work to the benefit of the surety. I refer to the provision to the bond (which is) to the effect that the bond shall not be in any way discharged or impaired by reason of any breach of the building contract committed by the plaintiff with or without (the) knowledge or consent of ACTAF. From that contract that does not necessarily discharge the surety's liability. More importantly, (the) defendant merely allege that time was extended for completion of the building contract. Learned counsel for the defendant states that (the) defendant promises to bring evidence that the extension of time was done without the consent or knowledge of the surety. But no attempt has been made in the replying affidavit, or in the course of submission to show that time for completion was in fact extended as alleged or that such extension of time was prejudicial to the surety. It is at this stage that the defendant should show that the defence based on extension of time is a *bona fide* defence. It is a fact that ACTAF's employment was terminated because of alleged non-performance of the contract and another contractor employed. Such an act by the employer is a negation of extension of time to the prejudice of the surety".

The learned Judge then proceeded to conclude that the appellant had not shown that it had any genuine defences to the respondent's claim and accordingly granted the respondent's notice of notion and entered judgment in its favour in the sum of KShs 1 946 000 with costs and interest at court rates from the date of filing suit. Against the decree flowing therefrom, the appellant now appeals to this Court putting forward five grounds of appeal which respectively concerns the learned Judge's failure in law and in fact in holding that the respondent was entitled to summary judgment; in not holding that owing to its non-disclosure of material facts to the appellant, the respondent was not entitled to the judgment sought in its plaint; in not holding that the respondent in extending the time for completion of the contract without the appellant's knowledge or consent compromised the latter's position as a surety; in not considering the alleged apparent collusion between ACTAF Construction Limited and the respondent wherein the former compromised the arbitration proceedings between it and the respondent and thereby further compromised the appellant's position as a surety; and in holding that notwithstanding the complexity of the matter disclosed by the pleadings a proper case for summary judgment had been put forward by the respondent.

At the hearing of this appeal on 17 December 1997 Mr *Muthoga* who appeared with Mr *Kimani* for the appellant submitted that the issue of non-performance of the contract by ACTAF Construction Limited was cardinal to the appellant's liability. Non-performance of the contract was disputed in the appellant's statement of defence to the respondent's claim thereby requiring the respondent to adduce evidence showing that ACTAF Construction Limited id not duly perform the Contract. Indeed, according to counsel, the respondent's failure to disclose to the appellant the alleged non-performance of the contract by ACTAF Construction Limited gave rise to the appellant's right to avoid the surety bond. In any event, the respondent and ACTAF Construction Limited compromised the arbitration proceedings taken out by the latter in terms of the Agreement without the appellant being informed nor being made a party to the said proceedings. Besides, the respondent's extension of time for completion of the contract by ACTAF Construction Limited without the appellant's knowledge or

consent was a factor that could have discharged the appellant's obligation to its surety bond and if such extension was to work for the benefit of the appellant as a surety, then, this being a contentious issue, its trial before the Superior Court was necessary. All these factors together with the complexity of the matters disclosed by the pleadings in the Superior Court below was absolutely certain that the appellant had nothing to offer, the latter had a legitimate right to state its case before that Court.

In response to the submissions of counsel for the appellant, Mr *Fraser* for the respondent submitted that clause 31 of the schedule of conditions annexed to the agreement was self-explanatory in regard to the surety bond the terms and conditions of such bond being set out in the bond. The surety bond in the instant appeal was to ensure due performance of the contract and there was nothing in it requiring giving the appellant advance notice of non-performance of the same. Indeed, after the execution of the surety bond by the appellant any non-disclosure of matters not leading to the formation of the contract could not vitiate the bond in the absence of fraud. And as regards the alleged collusion by the respondent and ACTAF Construction Limited to compromise the arbitration proceedings referred to earlier in this judgment without the appellant being informed of such proceedings or being made a party thereto, Mr *Fraser*'s submission was that such allegation had no basis on the record before the Superior Court and as to the extension of time for the completion of the contract by ACTAF Construction Limited without the knowledge or consent of the appellant, the respondent, according to Mr *Fraser*, had no obligation to inform the appellant of such extension. In any event, the said extension was not prejudicial to the appellant. To Mr *Fraser* therefore, on the true nature of the surety bond the learned Judge was not in error and to allow the appellant to defend the respondent's claim before the Superior Court would only serve to delay the respondent from receiving the fruits of the judgment in its favour.

While dealing with the allegation against the respondent's non-disclosure of material facts to the appellant, the learned Judge was of the view that such facts were unconnected with the formation of the contract and from what was before him, it would appear that such facts if material were subsequent to the formation of the contract. Indeed, even the matter relating to the arbitration proceedings arising from the final statement of account in the sum of KShs 3 040 255-90 following the determination of the contract by the respondent in accordance with the agreement had nothing to do with the appellant. It was plainly obvious from the certificate of expenses by the respondent's architects dated 9 December 1988 as is earlier mentioned in this judgment that by the time ACTAF Construction Limited referred the dispute relating to the aforesaid sum of money which it allegedly owed the respondent to arbitration the contract had been determined the due performance of which the appellant had guaranteed. And as to the respondent's extension of time for the completion of the contract, the position in law as is set out at the beginning of this judgment is clear. The appellant guaranteed the contract in terms of the agreement by executing the surety bond the relevant content of which are set out in this judgment. In that bond the appellant covenanted that ACTAF Construction Limited was to satisfactorily perform and complete the contract subject to all the terms of the Agreement as to time, instalments, certificates, extras and the like, in which case all such terms were to be treated as having been imported into the surety ship contract. One such term – clause 23 of the schedule of

conditions to the agreement – related to the extension of time for completion of the contract beyond the date for practical completion or beyond any extended time previously fixed under that clause in certain circumstances and since this clause was a term of the agreement of the contract which the appellant had covenanted to be satisfactorily performed and completed by ACTAF Construction Limited, there was no basis for its complaint that the respondent extended the time for completion of the contract without its knowledge or consent.

Clause 31 of the schedule of conditions to the agreement enjoined the appellant to be bound to the respondent in the sum equivalent to ten per cent (10%) of the contract sum which amounted to KShs 1 946 000 for due performance of the contract until the certified date of practical completion. To this requirement the appellant executed the surety bond referred to above the proviso to which declared that the appellant's liability under that bond was not in any way to be discharged or impaired by reason of any breach or breaches (wilful or otherwise) of the agreement committee with or without the knowledge or consent of ACTAF Construction Limited by or on behalf or with the knowledge or consent of the respondent. Thus, whether or not the respondent's determination of the contract was in breach of the agreement, the appellant's liability under the surety bond was not in any way affected. It being patently obvious from the certificate of expenses by the respondent's architects together with the annexures thereto as is referred to above and the arbitration award dated 3 September 1999 that the contract was prior to 9 December 1988 determined by the respondent and other contractors employed by the respondent to complete the contract, the appellant cannot from what I have attempted to outline in this judgment with any amount of seriousness deny that in the terms of the surety bond it was at the commencement of the proceedings in the Superior Court justly and truly indebted to the respondent in the sum of KShs 1 946 000.

While making some general observations on summary judgment in the case of *Home and Overseas Insurance Co Ltd v Mentor Insurance Co (UK) Ltd (in Liquidation)* [1990] 1 WLR 153 at 158, Parker LJ said that the purpose of an application for summary judgment is to enable a plaintiff to obtain a quick judgment where there is plainly no defence to the claim. "If the defendant's only suggested defence is a point of law and the court can see at once that the point is misconceived the plaintiff is entitled to judgment. If at first sight the point appears to be arguable but with a relatively short argument can be shown to be plainly unsustainable the plaintiff is also entitled to judgment". But proceedings for summary judgment "should not be allowed to become a means for obtaining, in effect, an immediate trial of an action, which will be the case if the court lends itself to determining on (such) applications point of law which may take hours or even days and the citation of many authorities before the court is in a position to arrive at a final decision". It is only if an arguable question of law or consecution is short and depends on few documents that the summary procedure is apposite – see *Bali Trading v Afalona Shipping and another* [1993] 1 Lloyd's Rep 1 CA.

In this appeal, it seems clear to me that the appellant had plainly no defence to the respondent's claim in the Superior Court. In the result, the respondent was entitled to summary judgment under Order XXXV of the Civil Procedure Rules. I would therefore dismiss the appellant's appeal with costs to the respondent. As Tunoi and Pall JJA, agree, the judgment of the court will be in the terms proposed in this judgment.

Pall JA: The facts giving rise to this appeal are that by a contract dated 10 April 1986 (the contract), Nyali Beach Hotel Limited (the Hotel) employed ACTAF Construction Limited (the contractor) to construct a new wing adding 54 bedrooms to their hotel at Mombasa and to carry out some associated siteworks as shown on the contract drawing at an agreed cost of KShs 19 459 246-50 subject to the conditions attached to the contract. Condition 31 of the said conditions reads as follows:

> "The contractor shall provide one surety who must be an established bank insurance company or fidelity guarantee corporation to the approval of the architect who will be bound to the employer in the sum equivalent to 10% of the contract sum for the due performance of the contract until the certified date of practical completion".

Accordingly the contractor commenced the construction work and at its request Corporate Insurance Company Limited (the appellant) provided a bond (the bond) which in pertinent parts reads as follows:

> "Know all men by these presents that we Corporate Insurance Company Limited of PO Box 34172, Nairobi are bound to Nyali Beach Hotel Limited of PO Box 90581, Mombasa in the sum of Kenya Shillings one million nine hundred and forty six thousand (KShs 1 946 000) to be paid by us to the said Nyali Beach Hotel Limited. Whereas by an agreement in writing dated 10 April 1986 ACTAF Construction Limited of PO Box 67472, Nairobi contracted with the said Nyali Beach Hotel Limited to (description of work) construction of new wing containing 54 bedrooms in the said agreement particularly described and conformable thereto.
>
> Now the condition of the above written bond is such that if the said ACTAF Construction Limited his/their executors administrators successors or signs shall conform to the said agreement then the above written bond to be void otherwise to remain in full force. Provided always and it is hereby agreed and declared that the liability of the said Corporate Insurance Company Limited under the above written bond shall not in any way be discharged or impaired by reason of any breach or breaches (wilful or otherwise of the said agreement committed with or without knowledge or consent of the said ACTAF Construction Limited (sic or) by or on behalf of (sic or) with the knowledge or consent of the said Nyali Beach Hotel Limited".

The contractor allegedly did not duly perform the said contract or execute and complete the building works as required by the contract. The Hotel consequently determined the contract and in pursuance of the contract Dagliesh Marshall and Johnson, the architects appointed under the contract (the architects), certified by their certificate dated 9 December 1988, a sum of KShs 3 040 255-90, as the total amount due from the contractor to the Hotel because of the contractor's said alleged failure to duly perform the contract. The contractor disputed the architect's certificate and in accordance with the terms of the contract the dispute was referred to Mr Brian Barton, a quantity surveyor of Nairobi, for arbitration who by his award dated 3 September 1990 directed the contractor to pay the said sum of KShs 3 040 255-90 to the Hotel. It is to be noted that the contractor had already then gone into liquidation and the liquidator on behalf of the contractor accepted the correctness of the architect's certificate in the arbitration proceedings. hence the award was made with the consent of the liquidator of the contractor. As the appellant had executed the bond in the limited sum of KShs 1 946 000 conditioned for the due performance of the contract, the Hotel sued the appellant for the said sum of KShs 1 946 000.

By paragraph 3 of its defence, the appellant averred that the liquidator of the contractor unjustifiably and arbitrarily withdrew the dispute and consented to

the award being made in terms of the certificate issued by the architects. By paragraph 4 of the defence, it denied that it was indebted to the hotel in the said sum or at all. By paragraph 5 of the defence, the appellant alleged that the hotel was entitled in law to avoid the bond because the Hotel although under a duty, failed to make full disclosure to the appellant of the facts material to its continued retention of the bond.

In the particulars of the hotel's alleged non-disclosure of facts the appellant alleged as follows:

(a) That the Hotel failed to warn the appellant within reasonable time or at all that the contractor had failed to perform the important parts of the contract and had disregarded the architects instructions and had displayed signs of inability to perform the contract.

(b) That the Hotel had failed to inform the appellant within reasonable time or at all that the period for completion of the contract works had been extended and had failed to give to the appellant any or any adequate reasons for such extension.

(c) That the Hotel failed to inform the appellant within reasonable time or at all that the provisions of the contract in relation to a retention clause in the contract were not being complied with and failed to give to the appellant any reasons for that non compliance.

Notwithstanding the defence, the Hotel applied for summary judgment against the appellant. By her affidavit sworn on 28 May 1991, Juliet W Kamande, senior legal officer of the appellant, deponed *inter alia* that at the hearing of the suit, the appellant would present evidence of non-disclosure of the aforesaid material facts and that it also intended to bring expert evidence to show that a substantial part of the hotel's claim against the contractor would not have been maintainable had the said liquidator allowed the arbitration to proceed in order to call or have the benefit of the said expert evidence.

By his ruling, dated 6 April 1993 which is the subject matter of this appeal, Githinji J allowed the application for summary judgment and entered judgment for the Hotel against the appellant for the said sum of KShs 1 946 000 with costs and interest. He held that the appellant had not shown that there was any genuine defence to the Hotel's claim.

The grounds set out in the appellants memorandum of appeal may be summed up as follows: namely, the learned trial Judge erred:

(1) by holding that the appellant's defence did not show triable issues;

(2) by not holding that the Hotel had concealed material facts from the appellant, disclosure of which would have enabled the appellant to re-assess its position as a surety which was compromised by that non disclosure, and;

(3) by failing to hold that the liquidator of the contractor and the Hotel had apparently colluded to compromise the contractor's position in the arbitration proceedings.

Mr *Muthoga* for the appellant has forcefully argued that it was for the Hotel to prove that the contract had not been performed so as to be entitled to summary judgment and yet the hotel did not produce any evidence of non-performance of the contract. He went on to urge that the evidence of non performance was essential as the appellant's liability was only in the case of non performance of the contract. This obviously is an attractive argument. However the tenor of the

bond is that the bond is conditioned to be void only if the contractor has fully conformed to the contract.

In any other event it remains in full force and effect. Thus unless there is evidence that the contract had been fully performed by the contractor, the appellant continues to be bound by the bond. In other words the appellant may avoid liability under the bond only if it can produce evidence that the contract had been fully performed. Still, by paragraph 4 of the affidavit, in support of the application Robin Troup a director of the Hotel, has deponed that the appellant did not duly perform the contract or execute or complete the building works as required by the contract. Annexed to his affidavit at 52 of the record, is a copy of architects' certificate of expenses properly incurred by the Hotel and the amount of direct loss and or damage caused to the Hotel as a result of determination of the contract. The certificate runs into 22 pages (paragraph 52 to 73). It contains full details of the said sum of KShs 3 040 255-90 being the total amount certified to be due from the contractor to the Hotel. The appellant has not made any attempt to show that the architects' said certificate is faulty. At page 4 of his typewritten judgment the learned trial Judge said:

> "It is at this stage of the hearing of the application for summary judgment that the defendant should show that there is a genuine dispute regarding the quantum entitling the defendant leave to defend. The mere assertion that expert evidence would be called at the trial that a substantial part of the claim would not have been maintainable without showing the basis in (on) which the quantum is disputed is not a ground for granting unconditional leave to defend. The defendant had opportunity to specify the basis of the dispute in its replying affidavit or even to file the affidavit of the expert".

Mr *Muthoga* has further argued that the Hotel owed a duty of to the appellant to inform it in good time that the contractor had failed to do. However the very object of the bond was to assure the Hotel that the contractor would duly perform the contract. Generally, the duty to disclose material information on the part of the knowledgeable contracting party to the guarantor which would adversely affect his bargaining position is at the time of formation of the contract of guarantee. The extent of that duty in any case would depend on how far the innocent party was misled into assuming an obligation which he would not have assumed if he was aware of the full facts. At the same time there is always a duty of enquiry on the part of the innocent party. Here, it is not the appellant's case that it was misled in any way by the Hotel as a result of which misleading information it agreed to be bound to the Hotel by the performance bond. In other words here the alleged non-disclosure does not relate to the formation of the contract of guarantee. Romer JL said in *Seaton v Heath* [1899] 1 QB 782 at 793:

> "The risk taken is generally known to the surety and the circumstances generally point to the view that as between the creditor and surety it was contemplated and intended that the surety should take upon himself to ascertain exactly what risk he was taking upon himself".

In the instant case the appellant had undertaken to pay 10% of contract price to the Hotel unless the contractor would duly perform the contract. There was no condition imposed under the bond upon the Hotel to notify the appellant in case the contractor would fail to perform the contract. In *Kiby v Duke of Marlborough* 105 ER 289 it was held: "In most cases there is no obligation on the creditor to disclose all material facts relating to the transaction. The surety must inquire rather than presume".

In *Seaton v Health* (*supra*) Romer LJ at 792 again aside:

> "Ordinary contracts of guarantee are not amongst those requiring *uberima fides* on the part of the creditor towards the surety and mere non communication to the surety by the creditor of the facts known to him affecting the risk undertaken by the surety will not vitiate the contract".

Again, *Keating on Building Contracts* (4 ed) at 131 has this to say:

> "The surety is undoubtedly, and not unjustly the object of some favour both at law and in equity, and . . . is not to be prejudiced by any dealings without his consent between the secured creditor and the principal debtor. Conduct which prejudices the surety's position may discharge the surety's obligation. But mere omission on the part of the employer mere passive acquiescence in acts which are improper on the part of the employer will not release the surety".

In *O'hara v Allied Irish Banks Ltd and another* [1985] BCLC 52 it was held:

> "A stranger who signed a guarantee with respect to a matter in which he had a commercial interest was not owed a duty of care by the person (for example a bank) in whose favour the guarantee is executed".

The Hotel did not approach the appellant for that bond. It did not make any representation or explain to the appellant the risk to be undertaken. In fact there was no direct bargaining between the Hotel and the appellant. The risk undertaken must have been known to the appellant. In *Trade Indemnity Co Ltd v Workington Harbour and Dock Board* [1937] AC 1 (HL), Lord Atkin at 18 said: "For myself I doubt on the course of business alone whether a guarantor looks further than the skill and experience of the contractor to guard against risks of unknown difficulties in the performance of such a contract".

The above-mentioned case also arose from an insurance company's bond for due performance of a building contract. By the same reasoning and in the circumstances of this case, it cannot be said that the Hotel owed a duty to the appellant to inform it that the contractor had failed to duly perform the contract.

Mr *Muthoga* also urged that as the Hotel extended the time for completion of the contract without the appellant's consent and without any adequate reasons for such extension, the appellant's obligation under the bond had been discharged. The bond was obviously procured by the contractor to comply with clause 31 of the contract. Under clause 23 of the contract, if the architects upon receipt of a written request by the contractor are satisfied with the cause of the delay and are also satisfied that the completion of the works is likely too be or has been delayed due to one or more than one of the eventualities therein enumerated, they are empowered to grant a fair and reasonable extension of time for completion of the worked. So, the extension of time in the instant case was granted by the architect as they were empowered to do so under the terms of contract which contract was the very basis of the bond provided by the appellant. In any event, there is no evidence to say that it was the Hotel which granted the extension of time.

Muthoga cited *Hudson's Building and Engineering Contracts* (18 ed) which at 471 says:

> "A binding agreement to extend the builders time for completion without the consent of the surety will, it seems, release the latter unless the provision to the contrary is made *in the contract of guarantee* or unless the extension is made under the provision of the principal contract guaranteed (which in building contracts will usually be the case)" (emphasis provided).

Here, in the instant case, the bond does provide; as herein above set out, that:

> "The liability of the Corporate Insurance Company Limited (surety) under the above written bond shall not in any way be discharged or impaired by reason of any breach or breaches (wilful or otherwise) of the said agreement committed with or without the knowledge or consent of the said ACTAF Construction Limited".

Thus, this defence is also negative by the express provisions in the bond itself and in the contract. Moreover, I agree with the trial Judge that "the extension of time can only work to the benefit of the surety" (the appellant) as the extension of time was to enable the contractor to complete the works in accordance with the contract which works if completed could have released the appellant from liability under the bond.

Another *prima facie* defence presented is that the Hotel did not comply with the provisions of the contract in relation to retention of money from the interim certificates of payment. This alleged breach of the contract, even if it was a breach, could not discharge the appellants liability at the bond expressly states that the only condition which would release the appellant from liability under the bond is if the contractor conforms to the contract. In every other race the bond is to remain in full force and effect.

So far as the arbitrator's award is concerned, it is alleged that the position of the appellant was compromised because of an apparent collusion between the liquidator and the Hotel. However it is a bland allegation. There is not an iota of *prima facie* evidence offered in support thereof. The appellant cannot successfully say that it should be given leave to defend so that he could produce the evidence on this issue a the trial. The liquidator is the agent of the contractor and there is no evidence that he acted *mala fide*.

I accept that a judgment in an action against the principal debtor or n award in an arbitration against the debtor is not binding on the debtor's surety and his liability must be proved in the same way as it would have to be proved against the principal debtor. But on an application for summary judgment, it is incumbent upon the defendant to show that it has a *bona fide* and genuine defence to the plaintiff's claim. Otherwise he will not be allowed leave to defend. In the instant case the appellant has failed to adduce any *prima facie* evidence to show what is wrong with the architect's certificate or the arbitrator's award.

Mr *Muthoga* rightly argued that under Order XXXV, rule 2 of the Civil Procedure Rules the defendant may show either by affidavit or by oral evidence or otherwise that he should have leave to defend the suit. He said that he has to satisfy the court only that he should be given an opportunity to be heard as he might have something to say which might turn out to be a defence. But the purpose of Order XXXV is to enable a plaintiff to obtain summary judgment without trial, if he an prove his claim clearly and if the defendant is unable to set up a *bona fide* defence or raise an issue against the claim which ought to be tried (see *Supreme Court Practice* (1982 ed) paragraph 14/3-4/2). The defendant is bound to show that he has some reasonable or fairly arguable ground of defence to the action. The defendants affidavit must condescend upon particulars and must clearly and concisely state what the defence is and what facts are relied on supporting it per *Supreme Court Practice* (*supra*) paragraph 14/3-4/4. In all cases sufficient facts and particulars must be given to show that there is a *bona fide* defence and of course once a *bona fide* defence has been identified, the court should refrain from resolving it on affidavit evidence. So far as a point of law is concerned, leave should be given where a difficult point of law is raised (see *Electric Corporation v Thomson Houston Co* 10 TLR 103). Nevertheless if the point is clear and the court is refused (per Lord Greene MR in *Cow v Casey* [1949] 1 KB 481).

Leave to defend will not be given merely because there are several allegations of fact or of law made in the defendants affidavit. The allegations are investigated in order to decide whether leave should be given. As a result of the investigation even if a single defence is identified or found to be *bona fide*, unconditional leave should be granted to the defendant. Madan JA in *Gupta v Continental Builders* [1978] KLR 83 at 87 said:

> "The merits of the issues are investigated to decide whether leave to defend should be given. Sometimes the prima facie issues which are preferred are rejected as unfit to go to trial being by their very nature as disclosed to the court incapable of resisting the claim. The court does not thereby shut out any genuine defences. What happens is that the court does not accept prima facie issues as genuine. This is exactly the task which the court is required to perform on an application for summary judgment".

Moreover, the learned Judge had a discretion whether or not to enter summary judgment under Order XXXV of the Civil Procedure Rules. Platt JA in *Mugunga General Stores v Pepco Distributors Ltd* (1982–88) 2 KAR 89 at 91 said:

> "The Judge had, as he said, a discretion whether or not to enter summary judgment under Order XXXV of the Civil Procedure Rules. As laid down in *Mbogo v Shah* [1968] EA 93. The duty of this Court (that is the Court of Appeal) in an appeal against the exercise of that discretion is not to interfere unless the Judge has exercised his discretion wrongly in principle or perversely on the facts of the case".

There is no fault of principle exhibited by the learned Judge and there is nothing to show that the exercise of discretion was perverse. Consequently, there is no ground on which the Court can interfere with the discretion. I would dismiss the appeal with costs.

For the appellant:
LG Muthoga and *Kimani* instructed by *Muthoga Gaturu & Co*

For the respondent:
KA Fraser instructed by *Hamilton Harrison & Mathews*

Corporate Insurance Co Ltd v Wachira
[1995–1998] 1 EA 20 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	5 January 1996
Case Number:	Case Number: 151/95
Before:	Gicheru, Kwach and Shah jja
Sourced by:	LawAfrica
Summarised by:	Summarised by A Mwanzia

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[1] Arbitration – Arbitration clause in insurance policy – Suit filed without reference to arbitration – Defendant entering appearance, filing defence and raising objection to the suit without applying for stay of proceedings – Whether mandatory to apply for stay of proceedings – Section 6 – Arbitration Act (Chapter 49).

[2] Insurance – Indemnity – Motor vehicle comprehensive cover policy with insurer – Motor vehicle driven by unauthorised driver – Whether damages for repair costs and consequential loss recoverable

under policy.

Editor's Summary

The respondent's deceased husband (plaintiff) was the owner a of motor vehicle insured by the appellant. While the vehicle was at a garage for repairs, an

apprentice took the vehicle out on a road test and crashed. The plaintiff submitted a claim to be indemnified for the loss but this was rejected by the appellant which disclaimed liability.

The plaintiff filed suit against the appellant notwithstanding that the insurance policy contained an arbitration clause and no such reference to arbitration had been made. The plaintiff died and was substituted in the suit by his wife (respondent).

The appellant entered appearance and filed a defence denying liability. It also raised a preliminary objection asking for the suit to be struck out on the ground it had been prematurely brought without the dispute first being referred to arbitration. The trial Judge overruled the objection because the appellant had not complied with section 6 of the Arbitration Act (Chapter 49) as it had not applied for a stay of proceedings. Judgment was given in favour of the plaintiff for KShs 64 938 for repairs, KShs 1 080 000 general damages for loss of business, and KShs 60 000 for loss of user.

The appellant appealed on the damages awarded and rejection of the defence based on the arbitration clause.

Held – The arbitration clause was in the nature of a *Scott v Avery* clause which provides that disputes shall be referred to arbitration and that the award of arbitration is to be a condition precedent to the enforcement of any rights under the contract. A *Scott v Avery* clause can provide a defence to a claim but the party relying on it cannot circumvent the statutory requirement to apply for a stay of proceedings. If the appellant had wished to invoke the clause, it ought to have applied for a stay of proceedings after entering appearance and before delivering any pleading. By filing a defence, the appellant had lost its right to rely on the clause (*Kenindia Assurance v Mutuli* [1993] LLR 2833 (CAK) applied.

The award of KShs 60 000 for loss of user was erroneous as there was no provision in the policy for indemnification for this kind of loss and because the appellant was not the tortfeasor or the employer of the person who had actually caused the damage to the vehicle.

The award of KShs 64 938 in respect of repair charges was erroneous as it was consequential loss excepted under the contract of insurance because the vehicle was driven by an unauthorised driver at time of loss.

The award of KShs 1 080 000 general damages for loss of business was compensation for consequential loss which was expressly excluded under the terms of the policy. The claim was one for special damages and had been neither pleaded nor strictly proved as required by law.

Appeal allowed, judgment and decree of High Court set aside and plaintiff's suit dismissed.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Kenindia Assurance Co Ltd v Muturi [1993] LLR 2833 (CAK) – AP

Judgment

GICHERU, KWACH AND SHAH JJA: Geoffrey Wachira Mahinda was the original plaintiff (the plaintiff) in this case. After his death during the pendency

of the suit in the superior court, he was substituted by his wife Loise Wanjiru Wachira (the respondent) as his legal representative.

The plaintiff was the owner of a motor vehicle registration number KVF 090 (The vehicle) in respect of which there was a comprehensive insurance policy issued by Corporate Insurance Company Limited (the appellant) on 25 January 1986. Under this policy, the appellant agreed to indemnify the plaintiff against loss of or damage to the vehicle and injury to third parties. On 25 December 1987, the plaintiff instructed his son to take the vehicle to a garage at Kiawara, in Nyeri, owned by Julius Ndegwa Gathuku, so that the exhaust which was said to be leaking, could be repaired. Gathuku assigned his apprentice welder, one Wilson Kinyua to carry out the necessary repairs. Without the knowledge, consent or authority of Gathuku, and apparently against his express instructions barring Kinyua from driving customers' vehicles, Kinyua took the vehicle out of the workshop on a road test and crashed into an electric power pylon causing extensive damage to the vehicle. Kinyua was charged with and convicted of careless driving and driving a motor vehicle without a driving licence. The plaintiff submitted a claim to be indemnified for the loss and damage arising from the accident but this was rejected by the appellant which disclaimed liability.

Notwithstanding the fact that the insurance policy contained a clause stipulating that all disputes arising had to be referred to arbitration, and before any such reference was made, the plaintiff filed a suit against the appellant claiming damages for alleged breach of contract. The reliefs sought in the plaint included a sum of KShs 124 938 made up of KShs 64 938 (being repair charges) and KShs 60 000 in respect of loss of user at the rate of KShs 1 000 per day. There was also a claim for general damages.

The appellant entered appearance and also filed a defence denying liability on the grounds:

(a) that at the time of the accident the vehicle was being driven by an unauthorised driver in breach of the policy;

(b) that the suit was premature and incompetent because of a clause in the policy referring all disputes to arbitration before going to court; and

(c) that the appellant had repudiated the claim.

This defence was filed on 22 April 1998. At the commencement of the trial on 12 August 1992, counsel for the appellant raised a preliminary objection and asked for the suit to be struck out on the ground that it had been prematurely brought without the dispute first being referred to arbitration as stipulated by clause 10 of the policy. The Judge overruled the objection because he found as a fact that the appellant had not complied with the mandatory provisions of section 6 of the Arbitration Act (Chapter 49). The appellant after filing an appearance delivered a defence and made no application to stay. The Judge gave judgment for the plaintiff for KShs 124 938 because he held that although Kinyua was not an authorised driver within the meaning of section 1 of the policy, in the circumstances in which the accident happened, the claim fell under section IV of the policy where the damage occurs while the motor vehicle is in the custody of a motor trader for the purposes of being repaired.

The Judge did not stop there. He went further and awarded the plaintiff a sum of KShs 1 080 000 in general damages which he referred to as direct consequential loss which had resulted from the appellant's failure to expedite payment of the repair charges within a reasonable period. This amount was

arrived at on the basis that because of the delay in settling the claim, the plaintiff's suit-making business, from which he made KShs 12 000 per day, ground to a halt for 90 days for lack of transport.

Evidence was given that the plaintiff used to sell six suits a day at KShs 2 000 apiece and that he needed transport to make deliveries to his customers.

The memorandum of appeal contains 14 grounds of appeal but looking at them closely the appellant's complaints relate to:

(1) the sum of KShs 1 080 000 awarded as general damages for loss of business;

(2) KShs 60 000 for loss of user for 60 days and KShs 64 938 in respect of repair charges;

(3) the Judge's rejection of the appellant's defence based on the arbitration clause.

We deal first with the complaint relating to the arbitration clause. Clause 10 of the policy provided that all differences were to be referred to arbitration and that the making of an award was to be a condition precedent to any right of action against the company. As we have already said, the appellant filed its defence on 22 April 1988, the same day that it also entered appearance. The appellant made no application for stay of proceedings but when the case came up for hearing on 12 August 1992, more than four years later, the appellant's advocate raised the arbitration issue in the form of a preliminary objection which the Judge overruled.

Section 6(1)(a) of the Arbitration Act (Chapter 49) (the Act) provides that

> "6 (1) If a party to an arbitration agreement or a person claiming through or under him, commences any legal proceedings in any court against any other party to the agreement, or against a person claiming through or under him, in respect of a matter agreed to be referred –
>
> (a) Any party to those proceedings may at any time after appearance, and before delivering any pleadings or taking any other steps in the proceedings, apply to that court to stay the proceedings".

In the present case the appellant did mote than just enter an appearance. It delivered a defence, which is of course a pleading, raising clause 10 of the policy as a defence. The appellant made no application for stay of proceedings. The appellant was a party to an arbitration agreement within the meaning of section 6 of the Act but Mr *Muthoga*'s submission before us was that because of the nature of the clause, the appellant was not bound to apply for a stay of proceedings but could raise it as a defence to the claim. Arbitration clauses such as clause 10 in the policy are known as *Scott v Avery* arbitration clauses named after a leading case decided by the House of Lords in England way back in 1856 in which their efficacy was considered and have long been accepted as valid. These clauses do more than provide that disputes shall be referred to arbitration. They also stipulate that the award of an arbitration is to be a condition precedent to the enforcement of any rights under the contract; so that a party has no clause of action in respect of a claim falling within the clause, unless and until a favourable award has been obtained.

While we agree with the proposition that a *Scott v Avery* arbitration clause can provide a defence to a claim, we cannot accept the submission that the party relying on it can circumvent the statutory requirement to apply for a stay of proceedings. In the present case, if the appellant wished to take the benefit of the clause, it was obliged to apply to a stay after entering appearance and before

delivering any pleading. By filing a defence the appellant lost its fight to rely on the clause.

The procedure in England in relation to these clauses is summarised at 165 in the *Law and Practice of Commercial Arbitration in England* by Mustill and Boyd (2 ed) as follows:

> "A *Scott v Avery* clause performs two different functions. First, it creates an obligation to arbitrate: and as such, it gives the defendant in a High Court action the right to apply for a stay of the proceedings, second, it creates a condition precedent to the plaintiff's right of action; and as such, it gives the defendant a substantive defence to the claim. A defendant sued in a breach of a *Scott v Avery* provision thus has a choice of remedies. In law, he is entitles to bide his time and rely on the *Scott v Avery* point at the trial. But the court does not approve of this procedure, because, because it wastes the costs of the action. The right is for him to apply for a stay" (underling ours).

That is what the appellant should have don and that is what this Court said should be done in the case of *Kenindia Assurance Co Ltd v Muturi* [1993] LLR 2833 (CAK). In our view, therefore, the Judge was right to reject the appellant's preliminary objection. This ground of appeal accordingly fails.

We now deal with the awards made in respect of repair charges and loss of user. The award of KShs 60 000 for loss of user was quite plainly erroneous as there was no provision in the policy for this kind of loss and secondly, because the appellant was not the tort-feasor or the employer of the person who actually caused the damage to the plaintiff's vehicle. If the plaintiff had sued the owner of the garage he would have been entitled to an amount for loss of user. Insurance claims arising from damage or loss are of such a nature that they take quite a bit of time to investigate and to attempt to impose a time limit within which they must be settled would not only be unreasonable, but would also impose an intolerable burden on insurance companies. This ground of appeal accordingly succeeds and we set aside the award of KShs 60 000 made in respect of loss of user.

We now consider the sum of KShs 64 938 in respect of repair charges. To determine the propriety or otherwise of this award we have to interpret the relevant clauses in the policy.

Clause 1 in section 1 of the policy provides:

> "(1) The Company will indemnify the insured against loss of damage to the motor vehicle and its accessories and spare parts whilst thereon. The liability of the company shall not exceed the value of the parts lost or damaged and the reasonable cost of fitting such parts it being understood that the company's liability shall be limited to the reasonable market value of the motor vehicle at the time of the loss or damage but not exceeding the insured's estimate of value stated in the schedule".

Exceptions to section 1 provide, *inter alia*, that the company shall not be liable to pay for consequential loss. Under General Exceptions it is provided that the company shall not be liable in respect of any accident loss damage or liability caused sustained or incurred whilst on the insured's order or with his permission or to his knowledge any motor vehicle in respect of which indemnity is provided by the policy is being driven by any person other than the authorised driver or is for the purpose of being driven by him in the charge of such person.

"Authorised driver" is defined as the insured or any person driving on his order or with his permission and is a holder of a valid driving licence.

As the accident occurred while the motor vehicle was in the custody of a motor trader, the appellant's liability for the repair charges has to be determined under Section IV of the policy which so far as material states:

> "Notwithstanding General Exception 1(b) the indemnity provided by this policy shall be operative but only so far as it relates to the insured whilst the motor vehicle is in the custody or control of a member of the motor trade for the purpose of overhaul upkeep or repair".

General Exception 1(b) provides that the company shall not be liable in respect of any accident. Loss, damage or liability caused or incurred, whilst on the insured's order or with his permission or to his knowledge the motor vehicle, is being driven by any person other than the authorised driver. Although the motor vehicle was in the custody and control of a motor trader for the purpose of repair, the appellant cannot be held liable because Kinyua was not an authorised driver. Julius Ndegwa Gathuku (the motor trader) who was the employer of Kinyua and who would have been responsible for his actions disowned him. He was called as a witness by the plaintiff and he gave evidence in support of the plaintiff's claim against the appellant. Ndegwa testified that Kinyua was not authorised to drive customers' motor vehicles but Kinyua's evidence was that he was driving the motor vehicle on test after repairs. In the final analysis, since Kinyua was not an authorised driver, that risk was not covered by the policy. Accordingly, we allow this ground of appeal and set aside the award made by the Judge in respect of repair charges.

The award of KShs 1 080 000, general damages, for loss of business cannot stand for two reasons. First, it is compensation for consequential loss which is expressly excluded under the terms of policy. Secondly, the claim is in fact one for special damages and it was neither pleaded not strictly proved as required by law.

For all these reasons, we would allow this appeal, set aside the judgment and decree of the High Court and substitute therefore an order dismissing the plaintiff's suit with no order as costs. In view of the fact that the original plaintiff is now deal, we make no order for costs in the appeal as well.

For the appellant:
LG Muthoga instructed by *Muthoga Gaturu & Co*

For the respondent:
Information not available

De-Leu v Muteshi
[1995–1998] 1 EA 25 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	28 July 1995
Case Number:	169/85
Before:	Akiwumi, Tunoi and Shah JJA
Sourced by:	P Le Pelley
Summarised by:	A Mwanzia

[1] Appeal – Jurisdiction – Application for stay of execution – Whether application must first be made to the High Court – Order XLI, rule 4 – Civil Procedure Rules – Rule 5(2)(d) – Court of Appeal Rules.

Editor's Summary

A preliminary objection was raised to the hearing of an application for stay of execution under rule 5(2)(*b*) of the Court of Appeal Rules, that the Court of Appeal did not have jurisdiction to entertain the application for stay since the applicant had failed to file and prosecute a similar application in the High Court under Order XLI, rule 4 of the Civil Procedure Rules as directed by the trial Judge.

Held – The Court of Appeal has jurisdiction to deal with an application for stay of execution under rule 5(2)(*b*) once a notice of appeal has been filed in time under rule 74 of the Court of Appeal rules. Such jurisdiction is concurrent with that of the Superior Court under Order XLI, rule 4 of the Civil Procedure Rules. The High Court jurisdiction is conditional whereas that of the Court of Appeal requires exercise of discretion (*Githunguri v Jimba Credit Corporation Ltd* [1988] LLR 284 (CAK) and *Kenya Shell Ltd v Kibiru and another* [1986] LLR 263 (CAK) applied).

Objection overruled.

Per curiam – The Court of Appeal's jurisdiction to grant orders for injunction or stay is unfettered by any similar application in the Superior Court and at times it may be prudent for an intended appellant to move the court of Appeal rather than the High Court.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Githunguri v Jimba Credit Corporation Ltd [1988] LLR 284 (CAK) – AP

Kenya Shell Ltd v Kibiru and another [1986] LLR 263 (CAK) – AP

KIG Bar and Grocery Ltd v Gatabaki [1972] EA 503

United Kingdom

Alpenstow Limited and another v Regalton Properties PLC [1984] Chancery Division 545

Erinford Properties Limited v Cheshire County Council [1974] 2 All ER 448

Ruling

AKIWUMI, TUNOI AND SHAH JJA: On 12 July 1995 Hayanga J made orders against the applicant (hereinafter referred to as "the defendant") as follows:

> "That the defendant will:
>
> Cut down and remove from or near the joint border between plots land registration number 3734/402 and land registration number 3734/401 3 cypress or any other tree within the said number that grow on 3734/401 but immediately behind the house of plot number 3734/402.
>
> And also:
>
> Cut down as aforesaid 4 such trees as aforesaid that stand and grow at the area opposite the car park.
>
> And also:
>
> Cut down as aforesaid any other such trees not being more than 3 as contained in diagram marked

AGM1 annexed to affidavit of Adrian G. Muteshi sworn on 16 January 1995.

> That this order be effected by the defendant within 21 days for this order that the plaintiffs (*sic*) counsel and the defendant's counsel do supervise the carrying out of this order".

The reason why we have set out the learned Judge's orders in full is that, of necessity, mandatory orders must be clear, precise and without the difficulty of due compliance.

In this case we see not sufficient precision or clarity to enable anyone to decide which particular tree is to be uprooted.

Generally, it is not enough for the defendant to know that the present position gives rise to a nuisance, trespass, passing off, breach of contract, or other wrong: it must be made clear to him in what exact respect he must ensure that the present position is changed in order to comply with the order(s) of the court.

The remedy sought was equitable and equity like nature does not act in vain. It has been held so time and again.

It is also clear that the normal principles of granting of temporary mandatory injunction have not been considered by the learned Judge. It was said quite clearly by the predecessor of this Court in the case of *KIG Bar and Grocery Limited v Gatabaki* [1972] EA 503 that such principles must be considered. These are, such as, substantial undertaking as to damages, consideration of hardship that the order will create; whether or not there would be restoration to *status quo ante* possible etc.

The appeal proposed to be filed is not frivolous. If what the plaintiff said in the Superior Court is right, would damages not be an adequate remedy? Is there a nature of nuisance (if any) which calls for drastic remedy of mandatory temporary injunction? Is there a nuisance of the nature requiring uprooting of trees keeping in mind that trees take a long time to grow and are aesthetically pleasant?

These are not frivolous points and if the appeal is decided against the plaintiff, the defendant's success will be rendered nugatory as the trees will not be there any more assuming the 'right' trees are uprooted.

Mr *Rebelo* who appeared before us after Mr *Nagpal* had opened his arguments stated that had he come in time he would have taken a preliminary point as regards the jurisdiction of this Court to invoke its powers under rule 5(2)(*b*) of the Court of Appeal Rules prior to the invoking by the applicant the powers of the Superior Court under Order XLI, rule 4 of the Civil Procedure Rules.

Rule 4(1) of the Civil Procedure Rules states where relevant:

> "but application shall in every case be made in the first instance to the court appealed from whose decree or order the appeal is taken, and any person aggrieved by an order of stay made by the court from whose decision the appeal is preferred may apply to the appellate Court to have such order set aside".

Mr *Rebelo* invoked, in aid of his argument Mr *Nagpal*'s informal application for stay in the Superior Court (under Order XLI, rule 4(3) presumably) when he (Mr *Nagpal*) was granted 14 days' stay to file a formal application for stay in the Superior Court.

Rule 5(2)(*b*) of the Court of Appeal Rules reads where relevant:

> "(2) Subject to provision of sub-rule 1, the institution of an appeal shall not operate to suspend or to stay execution but the court may:
>
> (*a*) . . .
>
> (*b*) in any civil proceedings, where a notice of appeal has been lodged in accordance with rule 74, order a stay of execution or an injunction or a stay of any other proceedings on such terms as the court may think just."

Once a notice of appeal is filed in time under rule 74 of the Court of Appeal Rules this Court has jurisdiction to deal with such an application as is before us here. Such jurisdiction is coterminous with that of the Superior Court under Order XLI, rule 4 of Civil Procedure Rules. It is the rule 74 notice of appeal that gives jurisdiction to this Court.

It has long been established that this Court's jurisdiction to grant orders for injunction or stay are unfettered by any application (similar) in the Superior Court and we feel that it may even be, times prudent for an intended appellant to come to this Court rather than putting the Judge below in the invidious position of saying "I could be wrong" although most judges could not flinch at following what Meggary J (as he then was) said in *Erinford Properties Limited v Cheshire County Council* [1974] 2 All ER 448 at 454C.

In *Githunguri v Jimba Credit Corporation Limited* [1988] LLR 284 (CAK) this Court consisting of Apaloo JA (as he then was), Gicheru JA and Kwach Ag JA (as he then was) said:

> "We think this Court's jurisdiction under rule 5(2) to grant either a stay of execution, an injunction or stay of any further proceedings, arises if a notice of appeal has been lodged against the decision or ruling appealed from in accordance with rule 74. And we are then clothed with jurisdiction to grant any such orders 'on such terms as to the court may think just'. That rule confers an independent original jurisdiction on us and we have to apply our minds *de novo* on the suitability or otherwise of the relief sought. It is not an appeal form the learned Judge's discretion to ours".

We go by what was said in *Githunguri* case (*supra*) as it is but right.

The Order XLI, rule 4 jurisdiction given to the Judge of the Superior Court is conditional whereas our jurisdiction under our rule 5(2) is one which requires exercise of our discretion. In *Kenya Shell Limited v Kibiru and another* [1986] LLR 263 (CAK) Hancox JA (as he then was) said

> "However, we are not presently concerned with this aspect, but with the application for the stay, which I note, is made only under rule 5 of the Court of Appeal Rules, and not under Order XLI, rule 4(1) of the Civil Procedure Rules as Mr Kwach appearing, on behalf of Kenya Shell said at the beginning of his submissions. There is no requirement under rule 5, that the applicant for a stay shall give security for the due performance of the decree as Order XLI, rule 4(1) provides. All that is required as a precondition for the exercise of our discretion under Rule 5 is that a notice of appeal has been filed".

We find no substance in Mr *Rebelo*'s preliminary point and as already pointed out there is sufficient material before us to grant a stay of execution of the orders made by Hayanga J on 12 July 1995. Such execution is stayed pending the hearing and determination of the proposed appeal. We so order. Cost of this application will be costs in the proposed appeal.

For the applicant:
OP Nagpal instructed by *OP Nagpal & Co*

For the respondent:
AR Rebelo instructed by *AR Rebelo Adv*

Dhalay v Republic
[1995–1998] 1 EA 29 (CAK)

Division:	Court of Appeal of Kenya Nairobi
Date of judgment:	21 November 1997
Case Number:	Case Number: 10/97

Before: Omolo, Tunoi JJA and Bosire Aja

Sourced by: LawAfrica

Summarised by: HK Mutai

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[1] Appellate procedure – Duty of first appellate court – Appellate court obliged to reconsider evidence and draw its own conclusions thereon – Basis of prosecution case at trial – Whether prosecution based on direct or circumstantial evidence.

[2] Criminal law – Murder – Burden of proof – Possibility raised that deceased committed suicide – Onus on prosecution to rule suicide out.

[3] Criminal procedure – Trials before the High Court – Assessors – Role of assessors – Manner in which opinions to be delivered – Assessors to give their opinions orally – Sections 262 and 322(2) – Criminal Procedure Code.

[4] Evidence – Circumstantial – Tests to be satisfied before relying on such evidence – Inculpatory facts.

[5] Evidence – Confessions – Repudiated confessions – Corroboration required – Whether there was corroboration for alleged confession.

[6] Evidence – Expert evidence – Role of court – Weight to be given to expert evidence – Factors to be considered in determining whether to rely on such evidence.

[7] Evidence – Telephone conversations – Conversations not recorded – Duty of court regarding such evidence – Weight to be placed on evidence.

Editor's Summary

The deceased had been rushed by the appellant (her husband) and her son to hospital with severe burns. She was transferred to a second hospital. At both hospitals the explanation given for her injuries was that they had been caused by a gas explosion at their house. Some two weeks later the deceased succumbed to her injuries. As a result of investigations into her death, the appellant and his son were charged with the deceased's murder.

At the trial, the prosecution case was that the story about the gas given at the hospitals was intended to cover up the crime of murder. The prosecution directed evidence aimed at showing that there had been no gas accident in the house. It called two expert witnesses who testified that the deceased's injuries were inconsistent with a gas burn. The prosecution also called the security guard who had been on duty at the house on the night in question. He testified that he assisted in carrying the deceased to the vehicle to take her to hospital and that as this was being done, she kept saying in Swahili "*kelele, kila siku, kelele kelele*". He also testified that a couple of times when the appellant was away a "fat *kalasinga*" would visit the home and give him items to pass to the deceased.

The prosecution also relied on the evidence of the deceased's father and brother who testified that a few days prior to the deceased's getting burnt, the appellant had called them in Los Angeles, where they lived, and told them that he was going to burn her if her father did not come and collect her. The two witnesses were not, however, in agreement as to the exact details of what the appellant said during the conversation. The deceased's sister also testified that

she had called the appellant after the incident and he had confessed to her that he had done it.

In his defence, the appellant claimed that the deceased had been carrying on an affair and that as a result there had been friction within the family. The appellant also sought to put before the court tape recordings that he alleged were of conversations between the deceased and her lover. The prosecution objected to the production of the tapes and the trial Judge ruled that they were inadmissible. The appellant claimed that the deceased had threatened to take her own life. The appellant also denied having called the deceased's father and brother and telling them that he would burn her. He contended that all he had done was talk to the deceased's father about the alleged affair.

At the conclusion of the trial, the assessors returned a verdict of not guilty against the appellant and his son. The trial Judge agreed with the assessors regarding the appellant's son but found that the prosecution had proved its case against the appellant on circumstantial evidence. She therefore convicted him and sentenced him to death on the charge of murder.

The appellant appealed on the grounds that the trial Judge had erred in refusing to admit the tapes as these were relevant and formed part of the *res gestae* of the deceased's affair. Counsel for the appellant argued that the trial Judge had erred in relying on circumstantial evidence to commit the appellant. Counsel for the respondent contended that the trial Judge had misunderstood the prosecution case and dealt with it as though it was based wholly on circumstantial evidence whereas the prosecution had actually treated the circumstantial aspects of the case as merely forming part of a chain that would lend weight to the direct evidence placed before the trial court. Counsel then argued that the prosecution case was based on direct evidence and only to a very minor extent on circumstantial evidence.

In reply, counsel for the appellant argued that the Judge had found the case against his client proved beyond reasonable doubt on circumstantial evidence and that that was the finding on which the appellant and his legal advisors had drafted their appeal against the judgment.

Held – While courts were obliged to give proper respect to the opinions of experts, such opinions were not binding on the courts. Expert evidence had to be considered along with all other available evidence and, where there was a proper and cogent basis for rejecting an expert opinion, a court was perfectly entitled to do so. A trial court had the duty of deciding whether or not it believed the expert and of giving reasons for its decision (*Ndolo v Ndolo* [1995] LLR 390 (CAK) followed). In this instance, the two experts who testified that the deceased's burns could not have been caused by a gas fire had given what appeared to be perfectly good grounds for their opinion and this evidence had been virtually unchallenged.

In order for circumstantial evidence to justify the inference of guilt two tests had to be satisfied. Firstly, the inculpatory facts had to be incompatible with the innocence of the accused and incapable of explanation upon any other reasonable hypothesis but that of guilt and, secondly, it was necessary that there be no other co-existing circumstances which would weaken or destroy the inference of guilt. If such circumstances existed, then the case had not been proved beyond any reasonable doubt (*Koske and another v Rex* [1949] EACA 135 disapproved, *Teper v Reginam* [1952] AC 480 adopted, *Musoke v R* [1958] EA

715 followed). The trial court did not appear to have been aware of the second requirement and had not considered it so that if the trial Judge's view that the case was based wholly on circumstantial evidence was correct, then the appeal had to succeed.

It was the duty of a first appellate court to reconsider the evidence, evaluate it and draw its own conclusions thereon in deciding whether to uphold the trial court judgment. However, this was a jurisdiction to be exercised with caution in view of the fact that the appellate court would not have seen or heard the witnesses who testified at trial (*Peters v Sunday Post Limited* [1958] EA 424 followed). In this instance, the trial court's judgment had been based first on direct evidence then on circumstantial evidence. The grounds of appeal would have been drafted to meet that case and it was in that light that counsel for the appellant's contention carried a lot of weight.

Where a telephone conversation was not contemporaneously recorded as it proceeded, an accused was placed at a disadvantage, particularly where he challenged what was or was not said during the conversation. However, this was not to say that telephone conversations always had to be excluded from the evidence where such conversations had not been recorded as they took place. A judge was still entitled to admit recorded conversations but it was his duty to consider what was said and what it meant or was understood to mean (*R v Bryce* [1992] 4 All ER 569 considered). In this instance, the trial Judge had not been right in being concerned solely with whether or not the calls were made. By treating the making of the calls as the determining factor and concluding that if they were made then the appellant must have told the witnesses what they said he told them, she had taken an entirely wrong approach. The trial Judge had erred in failing to go into the contents of what was alleged to have been said in the phone call to the deceased's father and brother once it was proved that the call was made. There were contradictions in the testimony given by the two and, these matters being in issue at the trial, they could not have been resolved simply by saying that once it was proved that the appellant made the call, there was nothing more to resolve. That would be perilously close to making a finding of fact based on the weakness of the accused's case rather than doing so on affirmative proof by the prosecution.

A confession to criminality remained a confession whether it was made to a person in authority or to a private person. Once such a confession was repudiated and/or retracted, it required corroboration unless the court was satisfied that the confession, though not corroborated, could not but be true (*Tuwamoi v Uganda* [1967] EA 84 followed). However, in spite of the appellant's repudiation of the phone calls, the trial Judge had failed to refer to the fact that even if the confessions had been made, they had been repudiated and now required corroboration. In this instance, the evidence before the Court did not support or corroborate the witnesses' contention that the appellant had confessed to them that he would kill the deceased and that he had in fact killed her.

If the recorded conversations were to be put in as a dying declaration, then they had been correctly rejected, but this had not been the defence's intention. The trial Judge had erred in preventing the appellant from putting before the court a vital piece of evidence for his defence. The trial Judge had also erred in directing the assessors to accept the testimony of the deceased's alleged lover that there had been no affair between him and the deceased and the assessors had been entitled to take a different view of his evidence.

Section 262 of the Criminal Procedure Code provided that all trials before the High Court were to be held with the aid of assessors. This requirement could not be satisfied if the opinions the assessors were giving were those of others and not their own. Accordingly, if the trial Judge had thought that the assessors had been interfered with, it was her duty to abandon the trial, impanel other assessors and start a fresh trial. She had also erred in permitting the assessors to read out their statements contrary to the provisions of section 322(2) of the Criminal Procedure Code which provided that assessors were to give their opinions orally.

Since the defence had contended that the deceased had committed suicide, the burden shifted to the prosecution to prove beyond any reasonable doubt that she had not done so. On the evidence available, the prosecution had failed to discharge the burden required of them. Though there was a suspicion that the appellant had had something to do with the death of his wife, suspicion alone, no matter how strong, could not take the place of solid and affirmative proof required of the prosecution.

Appeal allowed, conviction quashed and sentence set aside.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Koske and another v Rex [1949] EACA 135

Musoke v R [1958] EA 715

Ndolo v Ndolo [1995] LLR 390 (CAK)

Okeno v Republic [1972] EA 31

Peters v Sunday Post Limited [1958] EA 424

Tuwamoi v Uganda [1967] EA 84

United Kingdom

R v Bryce [1992] 4 All ER 569

Teper v Reginam [1952] AC 480

Judgment

OMOLO, TUNOI JJA AND BOSIRE AJA: The appellant before us is Parvin Singh Dhalay and we shall hereinafter refer to him simply as "the appellant". On 30 January 1997, the appellant was convicted and sentenced to death on an information that had charged him and another person not before us with the murder of one Kuldip Kaur Dhalay. The appellant and his co-accused Jagdeep Singh Dhalay were alleged to have murdered the deceased on the night of 5 December 1995, at Lower Kabete Road, Nairobi. Jagdeep Singh Dhalay was acquitted by the trial Judge (Aluoch J). Jagdeep was the son of the appellant while the deceased was the wife of the appellant. They lived together as a family in one house in Lower Kabete area of Nairobi.

On the evening of 5 December 1995, the deceased was severely burnt while in their house and the appellant and his son Jagdeep rushed her to the MP Shah

Hospital. Despite her grievous wounds, the deceased was still able to walk and talk to those who saw her at the hospital. Her injuries required that she be put in an intensive care unit. The unit at the MP Shah Hospital was full and had no bed for her. She was next taken to the Nairobi Hospital. By the time the deceased arrived at the Nairobi Hospital, the appellant was not with them and in the High Court, he explained his absence by saying that he had gone to look for money for the hospitalisation of the deceased. The deceased was admitted in the intensive care unit of the Nairobi Hospital, but her injuries were too serious for medical science to successfully cope with and she succumbed to them on 19 December 1995. It is clear to us, as it must have been to the Judge and the assessors, that the explanation given at both MP Shah and Nairobi Hospitals to account for the injuries of the deceased was that the burns were caused by gas. At this stage of our judgment, we shall try to narrate the events in as neutral terms as we are able to. Because the story about the burns being caused by gas had somehow become an issue, it is not surprising that when the investigations did start and when the trial of the appellant and his son commenced in the High Court, much of the prosecution evidence was directed at showing that there was in fact no gas accident in the family house at Lower Kabete during the evening of 5 December 1995. The gas cooker in the family residence was proved to have been safe and no gas leak could have occurred from it to cause the fire which burnt the deceased. Again the prosecution called two prominent men of science in this field, namely Mr Adriano Peter Landra (PW21) and Mr Michael Namae Opondo (PW23). These two witnesses swore that the injuries on the deceased were inconsistent with a gas burn and they gave what appeared to the learned Judge and appears to us as well, to be perfectly good grounds on which they based their opinion. The learned Judge believed their opinion and she appears to have been astounded that the assessors who returned a verdict of not guilty against the appellant and his son, did so even on the face of the uncontradicted professional opinion. We think we should at this stage say something about the opinions of experts when they appear to assist the courts. It is now trite law that while the courts must give proper respect to the opinions of experts, such opinions are not, as it were, binding on the courts and the courts must accept them. Such evidence must be considered along with all other available evidence and if there is proper and cogent basis for rejecting the expert opinion, a court would be perfectly entitled to do so. We will repeat what this Court said in the case of *Ndolo v Ndolo* [1995] LLR 390 (CAK). There the Court said with regard to the evidence of experts:

> "The evidence of PW1 and the report of Munga were, we agree, entitled to proper and careful consideration, the evidence being that of experts but as has been repeatedly held the evidence of experts must be considered along with all other available evidence and it is still the duty of the trial court to decide whether or not it believes the expert and give reasons for its decision. A court cannot simply say: 'Because this is the evidence of an expert, I believe it' ".

That, we think, is the proper direction which a court dealing with the opinion of an expert or experts must give itself and the assessors when it is necessary to direct the assessors on such evidence. Of course, where the expert who is properly qualified in his field gives an opinion and gives reasons upon which his opinion is based and there is no other evidence in conflict with such opinion, we cannot see any basis upon which such opinion could ever be rejected. But if a court is satisfied on good and cogent ground(s) that the opinion though it be that of an expert, is not soundly based, then a court is not only entitled but would be under a duty, to reject it.

The evidence of PW21 and PW23 was virtually unchallenged and as we have said the prosecution brought that evidence to show that the burns on the body of the deceased could not have been caused by a gas fire. Faced with that evidence, it would have been futile for the defence to persist with the story about a gas leak causing the fire. The prosecution's contention before us was that that story was persisted in until it became obvious that it was untenable and it was only then that the defence abandoned it, if it was ever abandoned. The prosecution's case before the High Court was that that story about the gas was intended to cover up the crime of murder by the appellant. To back up their story of murder, the prosecution contended, or at least as the learned Judge understood it, that at the two hospitals, the story of a gas leak was put forward by the appellant and Jagdeep. Then they called Dr James Kabore Mogire (PW8) who was the first doctor to see and talk to the deceased at the Nairobi Hospital. The burden of this witness' evidence was that he spoke to the deceased and her son Jagdeep who was with her. When he asked the deceased what had happened to her, the deceased told him to ask Jagdeep. Jagdeep gave the story about a gas leak. PW8 was not satisfied with that story and he apparently asked the deceased several times what had happened to her. The deceased told him, as many times as he asked her, to ask Jagdeep what had happened. Then at some stage the appellant came to the hospital and PW8 saw him talk to the deceased in a manner which he (PW8) thought amounted to a quarrel and which PW8 thought was unkind to the deceased. They talked in a language which PW8 did not understand but as he thought they were quarrelling, PW8 intervened and told the appellant to stop it. PW8 asked the appellant what had happened and the appellant kind of dismissed him and said it was just a gas fire. As far as we understand the evidence before us, apart from what the appellant and Jagdeep said regarding the cause of the burns, namely a gas leak, and apart from what Dr Mogire said regarding the apparent quarrel between the appellant and the deceased, and apart from the fact that the appellant did not go with the deceased to Nairobi Hospital but arrived there much later; we say apart from these factors we have enumerated, there was no other evidence led by the prosecution to show that the appellant had in fact set the deceased on fire.

We go back to the house at Lower Kabete during the evening of the fire. The only witness called by the prosecution to shed some light as to what might have happened there was John Wafula Kisa (PW20). He was an employee of Factory Guards Limited and at the time of the incident and up to the time he gave evidence in the High Court, was assigned to guard the home of the appellant and his family. When called to testify in the High Court, he gave evidence which the prosecution did not expect and Mr *Georgiadis* who led the case for the Republic promptly applied for PW20 to be declared a hostile witness, and the witness was in the end declared hostile. The effect of that was to render his evidence wholly unreliable if not totally worthless. His evidence, irrespective of its value was that while he was on duty at the gate, Jagdeep came out of the house running and called the witness to go into the house and help in putting out the fire. He went in and found the deceased burning and he helped in putting out the fire. Jagdeep brought a blanket and as they carried the deceased to the vehicle to take her to the hospital, the deceased was saying in Swahili "*Kelele, kila siku, kelele kelele*".

The learned Judge simply interpreted those words to mean: "Noise, every day, noise noise", and this interpretation formed the basis of one of Mr *Kapila*'s

complaints against the learned Judge's appreciation of the evidence before her. We shall revert to this aspect of the matter later on in the judgment. But the point we are making at this stage is that the evidence of PW20, assuming it had some value, did not show that the appellant had set the deceased on fire. The witness testified that he had heard some kind of commotion between the appellant and the deceased, but that was slightly earlier on, and there was nothing in the evidence of this witness to show that it was the appellant who had set the deceased on fire. His evidence also showed that once or twice when the appellant was on safari one fat "Kalasinga" had visited the home and gave to him items to pass to the deceased. The defence's contention was that the deceased and one Anmol Singh Lota (PW24) were lovers and it is possible he (PW24) was the "fat kalasinga" PW20 was referred to.

If we correctly understood the burden of Mr *Georgiadis*' contention before us, and we hope we did, the prosecution treated these aspects which we have so far dealt with up to this stage, as forming some sort of a chain of circumstantial evidence of a weak nature which lent some weight to the direct evidence which they placed before the trial court. The learned trial Judge, Mr *Georgiadis* told us, misunderstood the whole case and consequently dealt with it as though it was based wholly on circumstantial evidence. We do not think there was any substantial dispute between Mr *Kapila* for the appellant and Mr *Georgiadis* for the Republic, that the test to be applied when dealing with circumstantial evidence is not simply the one laid down in *Koske and another v Rex* [1949] EACA 135. There the then Court of Appeal for Eastern Africa had laid it down:

> "That in order to justify, on the circumstantial evidence, the inference of guilty the inculpatory facts must be incompatible with the innocence of the accused, and incapable of explanation upon any other reasonable hypothesis than that of guilt and the burden of proving facts which justify the drawing of the inference from the facts to the conclusion of any other reasonable hypothesis of innocence is always on the prosecution and never shifts to the accused".

That is the only test which the learned Judge gave to the assessors and in her judgment she put it thus:

> "Looking at the evidence against each accused separately, and in light of the circumstantial evidence which I have outlined, and applying the standard of proof required in a criminal case as laid down in the case of *Koske and another v Rex* [1949] EACA 135, I find that the inculpatory facts against the first accused [appellant] is incompatible with his innocence and incapable of explanation upon any other reasonable hypothesis but that of his guilt".

Clearly the direction the learned Judge gave to the assessors and which she sets out in this part of her judgment is no longer adequate and it is no wonder Mr *Georgiadis* conceded before us that had the Republic's case been based wholly on circumstantial evidence as the learned Judge thought it was the Republic would have had no leg to stand on. Mr *Kapila* cited to us first the case of *Teper v Reginam* [1952] AC 480 which was decided by the Privy Council after *Kipkering*'s case (1949) and there the Privy Council laid down the further test that: "It is also necessary before drawing the inference of the accused's guilt from circumstantial evidence to be sure that there are no other co-existing circumstances which would weaken or destroy the inference".

The Court of Appeal for Eastern Africa accepted this further testing the Ugandan case of *Musoke v R* [1958] EA 715. For our part, we think that if there be other co-existing circumstances which would weaken or destroy the

inference of guilt, then the case has not been proved beyond any reasonable doubt and an accused is entitled to an acquittal. In the present appeal, the learned trial Judge does not seem to have even been aware of this additional requirement and did not consider it. So that if her view that the case was based solely on circumstantial evidence was correct, then the appeal must inevitably succeed.

But Mr *Georgiadis*, virtually abandoning the case as found by the learned Judge, told us that the prosecution's case was based on direct evidence and to a very minor extent, on circumstantial evidence as found by the Judge. The expression Mr *Georgiadis* repeatedly used before us was that the learned Judge had put the cart before the horse and that as a first appellate court, it is open to us to unhitch the horse and put it in its proper place, namely in front of the cart. We take it that the horse in this respect is the direct evidence and the cart must be the minor circumstantial evidence as found by the learned Judge. We agree with Mr *Georgiadis* that as a first appellant court, it is not only open to us, but also the duty of the Court: "to reconsider the evidence, evaluate itself and draw its own conclusions in deciding whether the judgment of the trial court should be upheld" – see *Okeno v Republic* [1972] EA 31.

Of course in doing this, we must bear in mind that "this jurisdiction is exercised with caution", the obvious reason for this being that we have neither seen nor heard the witnesses who testified before the trial Judge – see *Peters v Sunday Post Limited* [1958] EA 424. So that if the interests of justice required that we unhitch the horse and place it in front of the cart as Mr *Georgiadis* asked us to do, we would be perfectly justified in doing so. But it is equally important to bear in mind the caution which Mr *Kapila* asked us to bear in mind and that caution was, as we understood it, that justice is and must be done according to law. The Judge found the case for the Republic proved beyond reasonable doubt on circumstantial evidence. That was the finding which the appellant and his legal advisors knew and their grounds of appeal were drafted to challenge the case as found by the trial Judge. Had the trial Judge's finding of guilt been based first on direct evidence and then to a lesser extent on circumstantial evidence, the appellant and his legal advisors would have drafted their grounds of appeal with a view to meeting that case. We think Mr *Kapila*'s contention in this regard has a lot of force behind it, and though in these matters the courts must not lose sight of the wider interest of justice, yet we must keep well in our mind Mr *Kapila*'s caution.

We now must inevitably come to what was called the direct evidence and that evidence obviously consisted of two telephone calls which the learned Judge called "transatlantic telephone calls". The first telephone call was made by the appellant, either on 2 or 3 of December 1995. The call was made to Mukhtar Singh Sagoo (PW17), the father of the deceased. He lived at 11545 MC Lennon Avenue, Grenada Hills, California 91344, United States of America. He gave his telephone number there as 8183681401 and he lived in his house with his son Iqbal Singh Sagoo (PW11). In examination in chief, this witness stated, where relevant, as follows:

> "On 2 December 1995, I received a call in the morning hours. Parvin Singh [the appellant] called me. I don't know where he was ringing from. He asked me to come to Nairobi in two days. I asked him 'What's the matter?' He told me that Kuldip [deceased] had beaten him and his mother. I said that may not be true. He insisted that I must come and I said 'You are married for 25 years. You have grown-up

> children, you should take care of the family'. Then he said, 'If that is the case you will see what happens'. He said he would put kerosene on Kuldip and burn her and he hung up. I didn't believe him. How can he do that to his family? I received the tapes, about three or four tapes, and they had been broken in transit in shipping. This was at the beginning of 1995. Iqbal was on an extension. He heard the conversation. He was in bed. He came down about half an hour later. We discussed the call. He said 'Parvin is a mad man. He can't do that'. A few days later I received a call from Devan Singh in Nairobi. He is a relative living off Juja Road. I got information that Kuldip was in Nairobi Hospital in a bad condition. Devani advised me to come to Nairobi Hospital to visit my daughter".

In cross examination by Mr *Rao* who appeared for the appellant in the High Court, the witness' first answer was: "The first accused telephoned me on 1 December 1995, not on 3 December 1995. It was in the morning, Los Angeles time. Here should be evening". The basic evidence given by this witness was that the appellant called him in the morning of 1 or 2 December 1995, told him the deceased had beaten him (appellant) and his mother and asked the witness to come and collect his (witness') daughter in two days' time. The witness said he would not do so and the appellant then told him that he (appellant) would pour kerosene on the deceased and burn her. As is clear from the evidence of this witness and that of his son Iqbal (PW11) the latter listened to this conversation on an extension in his bedroom. In examination in chief PW11 said (and once again, we quote him):

> "On 5 December 1995 the first accused called the residence in America. It was morning around 9:00am. He said that he had had a fight with my sister. I was on the other extension on the other line. He was speaking to my father. I heard him say that there had been a fight in the house and that by Wednesday if we don't come and get my sister that he is going to burn her. It was a little strange, but I was not personally surprised because he had called several times complaining about the fights".

In cross examination the witness stated, among other things:

> "It is not true we found a scapegoat in the first accused. The telephone call was to my father and I was listening in. The time of 9:00am was correct . . . I received a call from Parvin Singh on 3 December 1995 at 9:00 am. If I was listening to a call on 3 December 1995 my father would be listening to the same call. It's common that when the phone rings it's picked up at the same time . . . accused told me, if by Wednesday we don't come, he is going to burn her. He did not specify the liquid he would use. You would have to ask my father if whether liquid to be used was specified. It is not correct that there was no telephone call. It's not true that the first telephone call was on 6 December 1995".

It is clear to us from the evidence of PW11 that at this stage of the proceedings Mr *Rao*'s instructions were that the alleged telephone call to PW17 or to both PW17 and PW11 was not made and that led to PW17 going to his old colleagues at the post office who subsequently confirmed that such a call was in fact made. In his unsworn statement the appellant said he telephoned PW17 and talked to him about the alleged affair between Anmol Singh (PW24) and the deceased. He denied that he told PW17 and PW11 that he would burn the deceased or that he asked PW17 to come for the deceased in two days' time or by Wednesday. Mr *Georgiadis* contended before us, and this was the view that commended itself to the learned Judge, that the appellant had denied making the call to PW17 either on the 2nd or on the 3rd or on the 5th and that he only admitted making the call after PW17 had brought evidence from his former colleagues at the Kenya Posts and Telecommunications Corporation. Mr *Georgiadis* asserted that once it was proved that the call was in fact made, then the logical inference to be drawn from the denial that it was made would be

that the appellant had in fact told PW11 and PW17 that they must come for the deceased in two days' time or on a Wednesday and if they failed to do so, he would burn her. Of course the appellant did not directly tell the learned Judge that he did not make the call in issue. But from the questions put to PW11 by Mr *Rao*, it is clear that at some stage the making of the call was being denied and that led to PW17 looking for evidence to prove that the call was in fact made. That call was in fact made by the appellant and in the end he admitted making it. We, however, do not agree with the learned Judge that once it was proved that the call had been made, that relieved the court of its duty to carefully go into the contents of what was alleged to have been said. The subject alleged to have been discussed during the telephone conversation was that the appellant in effect said he would kill the deceased and he went further and specified that manner in which he would kill her. PW11 said the appellant demanded that the deceased be collected on a Wednesday; PW17 said the appellant demanded the deceased be collected in two days' time. PW17 stated the appellant had specified he would pour kerosene on the deceased and burn her; PW11 said the liquid to be used was not specified but that if it was specified Mr Rao would have to ask PW17. Why would PW17 hear about kerosene and not PW11 himself while they were listening to the same conversation? The learned Judge did not attempt to deal with any of those matters, she having taken the view that since the appellant had denied making the call and it was proved that he had in fact made it that was sufficient, and the appellant must have told PW11 and PW17 what those witnesses said he told them. But that still begs the question: What did the appellant say to PW11 and PW17? Did he tell them that he would pour Kerosene on the deceased and burn her as PW17 said? Or did he tell them that he would burn her without specifying the liquid to be used, as PW11 said? Or did he tell them to come and collect the deceased in two days' time as PW17 said? Or did he ask them to collect her on a Wednesday as PW11 said? It is of no use saying that these could be treated as minor contradictions. It is not to be forgotten that the appellant's contention before the High Court was that the deceased had committed suicide because of the constant wrangling between her and her husband over her alleged extramarital relationship with PW24 and as we have seen in the cross examination of PW11 by Mr *Rao*, PW11 was specifically told that he and his family were using the appellant as a scape goat to cover up her alleged suicide. These matters were in issue before the learned trial Judge and we do not think they could be resolved by simply saying that because it was proved that the appellant had made the call contrary to his initial denial that he did, therefore there was nothing more to resolve. That strikes us as being perilously close to making a vital finding of fact merely on the weakness of the case for an accused person rather than doing so on an affirmative proof by the prosecution. That would be entirely contrary to the accepted principles of our criminal law.

We now come to the second telephone call relied on by the prosecution and that was the telephone conversation between Pami Bhaika (PW15) and the appellant. PW15 is the sister of the deceased and she also lived in California in the United States of America. She is a well educated woman and according to her evidence, which was only admitted after a trial within a trial, she learned of the burning of the deceased on 5 December 1995 and on the same day she telephoned the appellant's Nairobi home and spoke to Jagdeep. She asked Jagdeep what had happened and Jagdeep told her that the deceased had been fighting with the appellant's mother and the appellant's brother Jaspal and as the fighting went on the appellant came home drunk and after a while Jagdeep saw

the deceased on fire. Jagdeep asked the appellant to call an ambulance, but the appellant and his mother said "let her burn".

The important part of PW15's evidence was that she also spoke to the appellant at about 2:00pm on 5 December 1995. We quote from the evidence of PW15: "I spoke to Parvin in Punjabi. I identify Parvin in court. I know his voice. He is the first accused. I asked him how did she get burnt and he replied 'I did it'. He cursed me in Punjabi and I hung up. I was very upset and angry and I made further phone calls to Kenya, Canada, United Kingdom etc". So according to this witness, the appellant confessed to us on 5 December 1995 that he had burnt the deceased. The learned Judge's direction to the assessors on the telephone calls was as follows:

> "On this evidence of telephone conversations and since prosecution adduced evidence from the Post Office through Kiyuli, PW36 and the MC1, Exh 7 to show the source from where these calls were being made from or to, and further the witnesses "concerned have testified that the calls were made by the first accused or to him, all you have to consider, Lady and Gentlemen Assessors, is first, whether you believe that the calls were made as testified, and secondly, whether, by reasons of familiarity, these being family members, they are able to recognise the voice of the 1st accused, having spoken to him several times before thereby eliminating the possibility of mistaken identity. If you are so satisfied, then you have to accept that these witnesses receive such calls or were told such words by the first accused".

And dealing with the matter of the calls in her judgment, the learned Judge had this to say:

> "I therefore, find that both Moht'iar and Iqball received telephone calls from the first accused on 2 and 5 December respectively as they stated in court. My further findings on this point at this stage is that the first accused made the calls from that number particularly because he wanted to hide the fact of those calls".

These were clearly confessions in the ordinary parlance; the appellant denied that he said any of the things attributed to him by PW11, PW17 and PW15. We have already dealt with the inconsistencies in the evidence of PW11 and PW17, but even if those inconsistencies were not there, the position still remains that the appellant repudiated the confessions attributed to him by the witnesses. But as far as the learned trial Judge was concerned and as is clear from the extracts which we have quoted from her summing-up to the assessors and from her judgment all that was important was that the confessions were in fact made. It did not bother her one bit that the confessions were in fact repudiated by the appellant. True, the confessions were made to persons who were not in authority such as police officers or chiefs or district officers and so on. But a confession to criminality remains a confession whether it be made to a person in authority or to a private person and once the confession is repudiated or retracted or both repudiated and retracted, the confession requires corroboration unless the court is, for cogent and solid reasons, satisfied that the confession, though not corroborated, cannot be but true. The case of *Tuwamoi v Uganda* [1967] EA 84 is too well-known to require any further explanation from this Court. And yet in neither her summing-up to the assessors, nor in her judgment does the learned Judge refer to the fact that even if the confessions over the telephone conversations had been made, they had been repudiated by the appellant and they required corroboration, and that even if there was no corroboration for them in the evidence before her, she would have been prepared to act on them without corroboration.

Was there corroboration for the confessions in the evidence before the learned Judge? In this connection Mr *Georgiadis* told us that while none of the

first four circumstances set out by the learned Judge as the basis for her drawing the inference of the guilt of the appellant, could, standing by itself, provide corroboration for the direct evidence of the telephone calls which the learned Judge also wrongly treated as circumstantial evidence, yet cumulatively together, they could provide such corroboration. We think we agree with Mr *Kapila*'s retort in this regard that a lot of nothings must remain nothing and cannot provide corroboration.

On the contrary, the conduct of PW11, PW17 and PW 15 does not appear to us to support or corroborate their contention that the appellant had confessed to them that he would kill the deceased and that he had in fact killed her. PW17 arrived in Kenya prior to the death of his daughter; he did not give the exact date of his arrival in Kenya but it is obvious from the evidence that he was here before the 10 December 1995 because he testified that on that date, the doctors at Nairobi Hospital told him that his daughter's condition was improving. PW17 only reported to the police on 19 December 1995 after the deceased had passed away and when asked in cross examination to account for his delay in reporting the matter to the police, he gave the strange answer that the deceased was in hospital and the appellant might stop treatment. PW15 made her first statement to the police on 27 December 1995. She came to Kenya after 19 December 1995 and it appears she was blaming Senior Superintendent of Police Edward Muchori (PW2) for having not recorded her first statement correctly and which led to her making a further statement after the trial had commenced. We think the conduct of the police in the investigation of this matter was simply pathetic and we strongly deplore it, but having said that, we still must decide the case according to the evidence that was brought before the Court. What we are saying is that the fact that PW17 in particular reported that matter to the police only after the passing away of the deceased cannot be taken as being corroborative or supportive of their assertion that they knew as early as 5 December 1995, that it was the appellant who had set fire to the deceased. On the contrary, it can only be seen as weakening their case that they knew it as early as 5 December 1995 and yet took no steps to inform the police or any other lawful authority about it.

And what was the appellant's case before the learned Judge? It was that the deceased had for a long time been carrying on a love affair with PW24, and; naturally and understandably, there would be family friction as a result of such an allegation. To back up the claim that there was a clandestine affair between the deceased and PW24, the defence sought to put in evidence certain tape recordings of alleged conversations between the deceased and PW24 and as far as we understand it, the defence contention was that had they been allowed to put in the tapes, they would have been able to prove that not only was there a love affair between the deceased and PW24, but as a consequence of that affair and the family friction arising therefrom, the deceased had several times threatened to take her own life. There cannot be any doubt from the recorded evidence that there were various tape recordings of certain conversations. PW17, the father of the deceased agreed he received three to four tape recordings from the appellant although PW17 could not tell what the contents of the tapes were as they had been broken in transit. Again one tape recording of a conversation between the appellant and PW24 was produced in evidence and after PW24 had been shown its transcript, he was forced to concede that the appellant had not threatened him during their conversation, contrary to his

earlier assertion that the appellant had threatened him. But when it came to the recorded conversation between the deceased and PW24, the Republic objected to the production of the tape on the grounds, first, that such evidence was hearsay, and second, that even if it was not hearsay, the evidence could only be adduced as a dying declaration in accordance with the provisions of section 33 or the Evidence Act. On the question of the tape recording being a dying declaration, Mr *Georgiadis* contended that the recorded conversation had taken place more than one year before the death of the deceased and that being so, the conversation could not have shown the state of mind of the deceased at the time of her death. We agree that if the recorded conversation was to be put in as a dying declaration, then it was correctly rejected by the learned Judge. Mr *Kapila* conceded that before us. But we do not think the defence sought to put in the tape recording as a dying declaration by the deceased. Their contention was that the recorded conversation was relevant as forming part of the *res gestae* of the entire relationship between the deceased and PW24, which relationship was constantly causing friction between the appellant and the deceased and as a consequence of which friction, the deceased had previously threatened to take her life. The defence contended that the relationship between the deceased and PW24 continued up to the time of her death. It is in this connection that Mr *Kapila* severely criticised the learned Judge's interpretation of the deceased's words, "*Kelele, kila siku kelele, kelele*" as meaning no more than "noise, every day, noise noise". With the greatest respect, we think the learned Judge gravely erred in excluding the recorded conversation between the deceased and PW24. In doing so, the learned Judge in effect prevented the appellant from putting before her and the assessors a vital piece of his evidence to support his contention that the deceased had committed suicide. In this connection, the Swahili words of the deceased which PW20 heard and repeated in court and which were never challenged either by the prosecution or the defence, took an added significance. We ask ourselves: In saying "Kelele, kila siku kelele, kelele", could the deceased be saying: "Noise, every day, noise noise" and now you [appellant] have killed me? That is possible but it is equally possible that she could have been saying that because of the constant wrangling in the family over her alleged affair with PW24, she had decided to take her own life. That was how the assessors understood the matter though the learned Judge strongly disagreed with them, as she was entitled to do. The learned Judge herself, of course does not appear to have attached any significance at all to the words, her view being that there was no credible evidence to support the allegation of sexual infidelity on the part of the deceased. On this aspect the learned Judge simply told the assessors in her summing-up:

> "The prosecution witnesses were also questioned on the possibility of death having been caused by suicide, in fact self immolation. This is the version alluded to by the 2nd accused in his unsworn statement in defence. The suggestion made through questioning of the witnesses was that this was because of shame due to an alleged infidelity. This was being done through Anmol Singh Lota, PW24. Lady and Gentlemen Assessors, there is no credible evidence to sustain that allegation which was denied by Anmol Singh who gave evidence on oath and was cross examined on it. I therefore, direct you to disregard it".

The assessors of course disregard the learned Judge's view on this point as they did on others and we think they were right to do so. First the learned Judge had ruled out, wrongly as we have said, the tape recorded conversation between the deceased and PW24. Had that tape recording been allowed in, it may well have

shown that there was some credible evidence regarding the illicit relationship between the deceased and PW24. As to the veracity or otherwise of PW24, the learned Judge saw and heard him give evidence before her, but the assessors also had the same advantage and it was clearly wrong for the learned Judge to in effect direct the assessors to accept this evidence that there was in fact no illicit relationship between him and the deceased. We have already pointed out that this witness at first asserted that the appellant had threatened to kill him and it was only after the tape recording had been played and a transcript of it handed to him that the witness conceded that the conversation between him and the appellant had been polite throughout and that the appellant had not threatened to kill him. We are, ourselves, satisfied that the assessors were perfectly entitled to take a different view of this witness from the view the learned Judge had formed of him and the learned Judge was not entitled to direct the assessors to accept his evidence as she in effect did.

Where does all this lead?

The contention of the defence was that the deceased had committed suicide. The learned Judge ruled as inadmissible evidence which might or might not have shown that because of the constant quarrels in the family over the allegation of infidelity, the deceased may well have taken her own life. Her words, “Kelele, kila siku kelele, kelele”, could be explained in at least two possible ways, namely that the appellant was always having a go at her and had at last taken life or that because of the constant rows in the family she had decided to take her life. We are far from saying that she did so. But it is not to be forgotten that the burden was not upon the appellant to prove that she in fact committed suicide. All the appellant was required to do so was raise a plausible possibility of suicide and once he did so, the burden then shifted to the prosecution to prove beyond any reasonable doubt that she did not do so. The evidence of PW21 and PW23 was directed chiefly to excluding the possibility of the burns having been caused by a gas explosion and we doubt whether both or any of them could have positively sworn that the deceased could not have set herself on fire. Where on the totality of the evidence available it is possible to conclude that the deceased could have killed herself, then the prosecution cannot claim that they have discharged the burden required of them in a criminal case. Put in a different way, this appellant by himself and his co-accused raised a plausible possibility of suicide. Like the assessors we are unable to hold that the evidence of PW11, PW15, PW17, PW21 and PW23 eliminate that possibility beyond any reasonable doubt. We think the assessors were entitled to take that view and we find the strictures of the learned Judge against them to be unjustified. In any case, if the learned Judge thought as she undoubtedly did, that the assessors were not being true to their calling as assessors because they had been interfered with, then it was clearly her duty to abandon the trial, impanel other assessors and start a fresh trial. Section 262 of the Criminal Procedure Code is to the effect that “all trials before the High Court *shall* be held with the aid of assessors”.

It is accordingly mandatory that the High Court must hold all its trials with assessors and we think a trial cannot be said to have been held with the aid of assessors if the opinion they give to the court is that of others and not their own.

Again section 322(2) of the Code requires that the assessors give their opinion to the court orally. There is accordingly no provision for assessors giving written

opinions or reading out to a judge their opinion. Their opinion is to be given orally and the judge, according to section 322(2) "shall record that opinion".

If it was intended that they should read out their opinion from a written document, Parliament would have said so. The learned Judge in this case ought not to have permitted the assessors to read out to her their lengthy statements in the manner they did.

But having said that, we are ourselves satisfied on the recorded evidence that these assessors were basically right in the advise which they tendered to the learned Judge, namely that the prosecution had not proved beyond any reasonable doubt that the appellant was guilty of the charge brought against him.

Before we depart from this matter Mr *Georgiadis* brought to our attention the conduct of one Dr FN Nganga who purportedly performed a post mortem examination on the body of the deceased and this was said to have been done on 20 December 1995 – see Exhibit 23 Dr Nganga signed the post mortem form and certified that death was "due to respiratory failure due to hypostality phenomonian following severe burns".

As it turned out from the evidence of Dr Samuel Odero Ywaya (PW31) no post mortem examination had been done on the body of the deceased by the time he did so on 27 December 1995. Dr Nganga was supposed to have done the post mortem on the 20 December 1995, one week before PW31 did so. We have not heard any explanation from Dr Nganga as to what he actually did, but if it be true that he signed the post mortem report without actually examining the body, that would be such a grave matter that it should be brought to the attention of the Medical Practitioners and Dentists Board so that they can seek an explanation from Dr Nganga. We shall ask the Deputy Registrar of the Court to bring that matter to the attention of the Board.

On the appeal itself, we have said enough, we think, to show that the conviction of the appellant, even if we were to base it on the direct evidence as Mr *Georgiadis* asked us to do, would still be unsafe. The direct evidence relied on consisted of the two telephone conversations which we have dealt with at length. Dealing with evidence concerning telephone conversations, the Court of Appeal in England had this to say in the case of *R v Bryce* [1992] 4 All ER 569 at 372C–F:

> "The two questions of which Mr Thomas makes strong complaint did not go as far as that. They were single, isolated questions in separate conversations. There was no extended interrogation. However, they did go directly to the critical issue of guilty knowledge. Moreover, they were hotly disputed and there was no contemporary record. In *R v Christou* there were questions from the undercover officers as to the area where it would be unwise to resell the goods, the answers being obliquely an indication that the goods had been or may have been stolen from that area to the knowledge or belief of the suspect. However, in that case the whole interview was recorded both on tape and on film. The circumstances to be considered by the learned Judge in that case in deciding whether the admission of the evidence would have an adverse effect on the fairness of the trial and how adverse were therefore quite different from those in the present case. The film and sound record eliminated any question of concoction. Not so here. The question asked were direct, not oblique, the conversation was challenged and the appellant had no means of showing by a neutral reliable record what was or was not said".

The case dealt primarily with the evidence of undercover police officers and what they are permitted or not permitted to do, but it also brings out the point that unless a telephone conversation is contemporaneously recorded as it proceeds, an accused person is placed at a disadvantage, particularly where he challenges

what was or was not said during the conversation. A contemporaneous recording of the conversation would eliminate the possibility of a concoction or even an innocent misrepresentation of what was actually said and what was meant by it. We would not go so far as to say that telephone conversations must always be excluded from the evidence unless such conversations are recorded as they take place. Indeed, in the case of relatives such as we have here, one would never dream of keeping a record of conversations. But when guilt or innocence depends on such conversations, it goes without saying that even if such evidence is admitted, there is still a duty on the judge to treat it with the greatest of caution, particularly where it is challenged as was the case here. A judge is perfectly entitled to admit such evidence, it is in the interest of justice to do so. But having done so, it is still his duty to consider what was said, what it meant or was understood to mean, and where such evidence is alleged to be a confession, whether the confession proves the charge alleged, and it is retracted or repudiated, or both retracted and repudiated, whether it is corroborated by other independent evidence. In the present appeal, we are satisfied the learned Judge was not right in being concerned solely with the issue of whether the telephone calls were made. In respect of the conversation between the appellant and PW15, it was PW15 who telephoned the appellant and the appellant could not have denied making the call. It was PW15 to whom the appellant confessed that he had burnt the deceased. The appellant denied telling PW15 that he had burnt the deceased; he did not and could not have denied making the call. The learned Judge appears to have treated the making of the two telephone calls as the determining factor; if they were made, then the appellant must have told the witnesses what they said the appellant told them. That was an entirely wrong approach.

Finally, before we leave the matter, we wish to express our very great appreciation and indebtedness to the very professional and able assistance given to us by learned counsel who conducted the appeal before us. We of course expected nothing less from them, taking into account their very long experience at the criminal bar, but the thoroughness and integrity with which each of them put the respective cases of their clients was simply overwhelming. If we have misunderstood or misconstrued any part of their submissions to us, the fault lies with us, not with them. We have not found it necessary to comment on all the authorities they put before us, not because any of those authorities was irrelevant but simply because if we did so, this judgment might be much longer than it already is. Nor have we found it necessary to deal with the individual grounds preferred by the appellant. We have dealt with their overall effect and we hope the judgment has found a place for each and every one of them.

For our part we suspect this appellant most likely had something to do with the death of his wife. But suspicion alone, however strong it may be, cannot take the place of solid and affirmative proof required on the part of the prosecution. Our final orders in this matter shall be that this appeal be and is hereby allowed, the conviction of the appellant be and is hereby quashed, the sentence of death imposed on him be and is hereby set aside and the appellant is to be set at liberty forthwith unless he is held for some other lawful cause.

For the appellant:
I Kapila instructed by *Kapila Anjarwalla & Khanna Adv*

For the respondent:
Attorney-General

Diamond Trust of Kenya Ltd v Bidali

[1995–1998] 1 EA 45 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	9 November 1995
Case Number:	256/95
Before:	Akiwumi, Tunoi and Lakha JJA
Sourced by:	IT Inamdar
Summarised by:	A Mwanzia

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[1] Appeal – Application for extension of time to file record of appeal – Satisfactory explanation for the entire period of the delay.

[2] Appeal – Application for extension of time to file record of appeal – Whether time taken to obtain certificate of delay from High Court Registry should be excluded under rule 81 of Court of Appeal Rules – Whether absence of prejudice and lack of objection to be considered in exercise of discretion.

[3] Court of Appeal – Application for extension of time to file record of appeal – Principles on which Court will exercise its discretion – Rules 4 and 42 – Court of Appeal Rules.

Editor's Summary

The applicant applied to the Court of Appeal, a day before the hearing of an appeal filed by him, for an extension of time for the filing of his appeal and for an order that the record of appeal (together with the supplementary record) be deemed to have been properly filed.

On 2 February 1987, judgment was delivered against the applicant in the High Court. On 11 February 1987, the applicant filed his notice of appeal and applied for certified copies of the proceedings, the judgment, the decree and all the exhibits. A certified copy of the judgment was delivered to the applicant's advocates on 2 February 1987, while certified copies of the proceedings were delivered on 14 April 1988. Photostat copies of the exhibits were collected on 23 May 1988 and a copy of the decree was delivered on 26 September 1988.

On 13 October 1988, the applicant's advocates applied for a certificate of delay and this was supplied on 6 March 1989.

The appeal was filed on 18 April 1989.

Held – There had, in the circumstances of the case, been an inordinate and excessive delay in bringing the application for extension of time.

On such an application, one of the most important questions was whether the application was promptly made. An explanation must be given for the entire period of the delay. The application for extension of time was brought more than six years after the appeal was filed and there was no satisfactory or any explanation advanced to account for such a delay.

The applicant had also shown a lack of diligence in applying for a certificate of delay after all the papers necessary for an appeal had been received by him. No explanation for this delay had been proffered. In any event, there was no provision in the Civil Procedure Rules for excluding the time taken in obtaining the certificate of delay, when calculating the period within which an appeal must be filed.

The fact that no prejudice will be caused to the respondent by the extension of time sought by the applicant is not, in itself a factor in the exercise of the Court's discretion. Nor is the fact that the respondent does not oppose the Application.

Application dismissed.

Case referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

United Kingdom

Ratman v Cumarasamy [1964] 3 All ER 933

Ruling

AKIWUMI, TUNOI AND LAKHA JJA: We have before us a motion on notice expressed to be brought under rules 4 and 42 of the Court of Appeal Rules ("the Rules") by Mr *Sampson* for the applicant for orders that the time for filing of the appeal be extended and that the record of appeal filed on 18 April 1989 as civil appeal number 46 of 1989 and the supplementary record filed on 22 June 1995 be deemed to be properly filed. This application was filed on 25 October 1995, just one day before the hearing of the said appeal. In view of this application the hearing of the appeal was adjourned to be heard by a single Judge, to that date so that the respondent may have a reasonable notice of the application before its hearing. At the commencement of the hearing Mr *Sampson* applied that the application before the single Judge be heard by the Court with a view to saving time and agreed to waive his right to a reference. The respondent not objecting, the single Judge directed that the application should be heard by the Court.

This application arises from proceedings with an uneventful history. The applicant was the unsuccessful *defendant* in the suit which the respondent had filed in which he had obtained a decree, *inter alia*, for damages. Judgment was delivered on 2 February 198 and the applicant having duly filed a notice of appeal on 11 February applied for a certified copy of the proceedings, the judgment and decree together with all exhibits by its letter which was lodged at the registry of the Superior Court on 11 February 1987. According to the certificate of delay which was issued pursuant to rule 81 of the Rules a certified copy of the judgment was delivered to the applicant's advocates on 2 February 1987 and the certified copy of the proceedings were delivered on 4 April 1988. The photostat copies of the exhibits were collected by the advocate on 23 May 1988 had although the decree was duly sealed on 25 August 1988 the same was not delivered to the applicant's advocate until 26 September 1988. On 13 October 1988 the appellant's advocates applied for a certificate of delay which was made available to his firm on 6 March 1989. The appeal, however, was not filed until 18 April 1989.

One comes then to what is the fundamental issue for decision in this case, whether in the circumstances already set out at some length this is a case in which the Court should exercise its discretion under rule 4 of the Rules and grant the enlargement of time sought.

Rule 4 under which the application was made reads thus:

> "The Court may, on such terms as it thinks just, by order extend the time limited by these Rules, or by any decision of the Court or of a Superior Court, for the doing of any act authorized or required by these Rules, whether before or after the doing of the act, and a reference in these Rules to any such time shall be construed as a reference, to that time as extended".

The Court has a wide discretion in these matters. There is no doubt that the terms of rule 44 are sufficiently wide to confer a discretion on the Court to extend the time, even where (as here) the time limited for filing the appeal has already expired. But this discretion, howsoever wide it may be, is a discretion to be exercised judicially having regard to the particular circumstances of each case. We consider that a passage of the opinion of the Privy Council in *Ratman v Cumarasamy* [1964] 3 All ER 933 at 935, correctly sets out the principle involved –

> "The rules of court must, *prima facie*, be obeyed, and, in order to justify a court in extending the time during which some step in procedure requires to be taken, there must be material on which the Court can exercise its discretion. If the law were otherwise, a party in breach would have an unqualified right to an extension of time which would defeat the purpose of the rules which is to provide a time table for the conduct of litigation".

One of the most important questions the Court has to ask is whether the application for extension of time was promptly made. An explanation must be given for the entire period of the delay. In our judgment, there has been an inordinate and excessive delay in bringing this application. It has taken more than six years since the appeal was filed for this application to be made and no satisfactory or any explanation was advanced to account for such a long delay.

Moreover, the applicant had in its possession all the papers it required for the filing of the appeal at the latest by 26 September 1988 and giving 60 days for the filing of the appeal from the date, the last date for filing of the appeal was 25 November 1988. There was thus a delay of about five months in the filing of the appeal. The certificate of delay was requested for well after all the papers had been received by the applicant. in our judgment, it appears to us that this is a case of lack of diligence in seeing that the certificate of delay was applied for in good time. After all the supporting affidavit of the clerk of the applicant's advocate's firm shows that it was all along known that the certificate of delay was necessary. Why then was one not applied for until 13 October 1988 well after all the other papers had been obtained? There is no satisfactory or any explanation why the certificate of delay was not applied for earlier.

The ground upon which the application is based is that the filing of the record of appeal was delayed by circumstances beyond the applicant's control. We do not agree. We are left with the distinct impression, upon the material available to us, that whilst the legal necessity for getting the certificate of delay was appreciated at all time there was lack of diligence in ensuring that this was obtained in good time. Nor are we satisfied that the time required in obtaining the certificate of delay is time which may be properly excluded within the meaning of rule 81 of the Rules which excludes time for obtaining proceedings. For the sake of completeness of the record we note that this is not a case of a mistake or error on the part of the advocate and in our judgment this case does not fall under the heading of those in which counsel's error is not necessarily a bar to his obtaining an extension of time.

It was urged that no prejudice will be occasioned by the grant of application which as already noted was without any good cause shown, was filed a day

before the appeal was to be heard. It would seem that this was a devise designed to frustrate the hearing of the appeal. We do not consider that this is in itself a factor in the exercise of our discretion though it may be material to the question whether extension should be granted in a proper case. Nor does the mere fact that the respondent does not oppose the application constitute in itself, in our judgment, a ground for the extension sought. Each case of this kind must be judged on its own facts and on the material before us we are not persuaded that this is a case in which in the exercise of our discretion judicially we should grant the application. It is therefore, dismissed.

It follows that civil appeal number 46 of 1989 was filed out of time and must be, as it hereby is, struck out with cost to the respondent.

For the applicant:
Sampson

For the respondent:
Information not available

Divecon Ltd v Samani
[1995–1998] 1 EA 48 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	17 February 1998
Case Number:	142/97
Before:	Kwach, Akiwumi and Pall JJA
Sourced by:	P Le Pelley
Summarised by:	HK Mutai

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[1] Civil procedure – Extension of time for filing suit – Application to set aside – Jurisdiction to hear and determine application.

[2] Limitation of actions – Tort – Contract – Application for extension of time – Ignorance by plaintiff of the statutory period – Conditions to be fulfilled before time would be extended – "Material facts" – "Decisive nature" – Whether conditions had been satisfied – Whether court has discretion to extend time for filing suit under contract after expiry of limitation period – Sections 4(1), 27, 28, 29 and 30 – Limitation of Actions Act (Chapter 22) – Law Reform Act (Chapter 26) – Fatal Accidents Act (Chapter 32).

Editor's Summary

The respondent's son had died in an accident involving an aircraft belonging to the appellant. At the time of the accident the deceased had been employed to fly the aircraft. By an originating summons filed under the Limitation of Actions Act on 25 July 1986, the respondent applied *ex parte* for an extension of the limitation period for filing suits brought in tort. In her affidavit in support of the application, the respondent averred that she had not instituted proceedings in time because she was not conversant with her rights under the Law Reform Act and she had been expecting her son's

widow to institute proceedings against the appellant. The application was eventually granted on 16 February 1990. On 23 February 1990, the respondent filed a suit under the Law Reform Act and the

Fatal Accidents Act seeking damages for the death of her son. Her plaint alleged that the accident in which he had died had been caused by the negligence of the appellant.

At the trial of the suit both the respondent and the deceased's widow testified that each had expected the other to institute proceedings against the appellant. In its pleadings and submissions to the Court the appellant challenged the *ex parte* grant of extension of time for instituting proceedings. In its judgment, the trial court held that the extension of time was justified, and that the respondent's cause of action was based on both tort and contract.

On appeal.

Held – Under section 28(2) of the Limitation of Actions Act, where an *ex parte* application for the extension of time was made before the commencement of an action, leave would only be granted where a cause of action had been established and the requirements of sections 27(2) and 29 had been fulfilled. Sections 27(2) and 29 provided that where the period of limitation had elapsed, it had to be proved that material facts relating to the cause of action were or included facts of a decisive nature which were at all times until his death outside the knowledge (actual or constructive) of the deceased and not of the respondent. In this instance, the reasons given in the respondent's affidavit supporting her *ex parte* application did not constitute material facts relating to the action brought by her nor did they constitute facts of a decisive character as defined by section 30 of the Act.

Ignorance by the respondent of the statutory period of limitation was not a material fact as defined in section 30 of the Act (*Mbithi v Municipal Council of Mombasa and another* [1992] LLR 2235 (CAK) and *Kabugu v Kenya Bus Service Limited* [1995] LLR 406 (CAK) followed). Accordingly, the High Court should not have granted the respondent's *ex parte* application for extension of the limitation period.

A judge could in a trial consider and accept or reject the *ex parte* order granted by another judge for extension of time under the Limitation of Actions Act (*Mbithi v Municipal Council of Mombasa* (*supra*) and *Oruta and another v Nyamato* [1984] LLR 2273 (CAK) adopted). The conflicting decision of the Court in *Maina v Kagombe* to the effect that a judge could not declare invalid an *ex parte* extension of time granted by another judge had been made without the benefit of the relevant cases having been brought to its attention.

The trial judge erred in holding that the wording of section 4(1) of the Limitation of Actions Act implied that a court had the discretion to extend time in deserving cases regarding actions in contract. The words of section 4(1) were clear beyond any doubt and meant that no one had the right or power to bring an action founded in contract after the end of six years from the date on which the cause of action accrued. In any case, the respondent's suit was based solely on negligence and nowhere in the plaint was any reference made to any alleged breach of contract on the part of the appellant.

Appeal allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**"

means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Kabugu v Kenya Bus Service Limited [1995] LLR 406 (CAK)

Kenya Cargo Handling Services Limited v Ogwang [1984] LLR 211 (CAK)

Maina and another v Kagombe [1996] LLR 2475 (CAK)

Mbithi v Municipal Council of Mombasa and another [1992] LLR 2235 (CAK)

Mwea v Kabai and another [1972] EA 242

Oruta and another v Nyamato [1984] LLR 2273 (CAK)

United Kingdom

Cozens v North Devon Hospital Management Committee and another [1966] 2 All ER 799

Craig v Kanseen [1943] 1 KB 256

Judgment

KWACH, AKIWUMI AND PALL JJA: The appellant was the defendant in a suit in which the respondent as plaintiff, sought damages arising out of the negligence of the appellant for the death of her son Captain Jamaludin Samani. Captain Samani, a freelance commercial pilot, died on 11 June 1983, in an aircrash involving a single engine Cessna aircraft belonging to the appellant and which the appellant had employed him to fly from Mombasa to Dar-es-Salaam. It was not until some six years and four months later, on 23 February 1990, that the respondent sued the appellant under the Law Reform Act (Chapter 26) and the Fatal Accidents Act (Chapter 32) for damages on the only ground averred in her plaint, that the "said accident was caused solely by the negligence of the defendant".

This averment was followed by five alleged particulars of negligence on the part of the appellant. According to the respondent's plaint, the suit being one brought in tort and therefore, having become time barred on 11 June 1986, three years after the cause of action accrued, she obtained extension of time to file her suit, again some three years later, on 16 February 1990. Her related *ex parte* originating summons (High Court miscellaneous civil application 366 of 1986) and supporting affidavit were filed on 25 July 1986, the import and contents of which, if any further evidence were to be required, go to confirm that the respondent's own conception of the suit was one for damages in tort only. If the suit had been intended also to be founded on breach of contract, the suit in that respect, would not have been time barred as to require an application for extension of time, at the time when the respondent's originating summons and supporting affidavit were filed. In her originating summons as she could do, the respondent thought this was not set out specifically therein, applied *ex parte*, presumably under section 28(1) of Limitation of Actions Act (hereinafter referred to as "the Act") for the extension of the limitation period so as to enable the action to be brought out of time.

Subsection 2 of the same section then goes on to provide that where *ex parte* application is made as in this case, before the commencement of the action, leave shall be granted "If, but only if, on evidence adduced . . . it appears to the Court that", both the following two ingredients exist, namely that a cause of action has been established and that the requirements of section 27(2) of the Act

have been fulfilled. In the circumstances of this case, the ingredient which deserves consideration is whether taking into account the fact that the respondent's action was brought under the Law Reform Act and the Fatal Accidents Act which both apply where a person has died as a result of injuries, the requirements of sections 27(2) and 29 of the Act had been fulfilled at the time when the respondent made her application for extension of time. These requirements are that where the period of limitation which in this case, is only 12 months, has elapsed, it must be proved before an extension of time is granted *ex parte*, that material facts relating to the cause of action were or included facts of a decisive character which were at all times until his death outside the knowledge (actual or constructive) of the deceased and not of the respondent.

Section 30 of the Act defines the crucial phrases used in section 27, 28 and 29 of the Act. The ones that are relevant are contained:

(*a*) in section 30(1) of the Act which states that reference in sections 27, 28 and 29 of the Act to "material facts relating" to the cause of action shall in this case, be a reference to the personal injuries caused by negligence, the nature and extent of the injuries are attributable to the alleged negligence; and

(*b*) in section 30(2) of the Act which states that for the purposes of sections 27, 28 and 29 of the Act "material facts relating" to a cause of action shall be regarded as being "facts of a decisive character" if they are facts which a reasonable person upon medical, legal or other advice, would apart from being time barred, think constitute in this case, facts of alleged negligence upon which an action for damages with reasonable prospects of success, could be brought.

We have thought it necessary to deal in some detail with the foregoing provisions of the Act which affect the respondent's *ex parte* grant of extension of time and its survival. For as already shown, an *ex parte* application will not as some may think, be granted automatically upon application being made. As section 28(2) of the Act provides, it will be granted "if and only if" evidence which includes the fulfilment of the requirements of the provisions of sections 27(2) and 29 of the Act, is adduced. But was such evidence adduced? The respondent's affidavit sworn on 22 July 1986, in support of her application for extension of time is not only woefully lacking in this respect, but also irrelevant. The respondent's only reason for not instituting proceedings against the appellant in time, was that she was an illiterate old woman and as she put it "not conversant with my rights under the Law Reform Act (Chapter 26) or any other provisions that safeguard my interests and rights", and that, since the death of her son on 11 June 1983, she had been expecting her son's widow who had after her son's death, moved from Kenya to live in India, to institute proceedings against the appellant. The respondent's summary of this position is contained in paragraph 9 of her affidavit which is as follows:

> "That upon departure, I sought advice from my counsel, Mr *Murtaza* Jaffer, whom I presented with my late son's file when it was discovered that this particular claim had been time barred under the statutes of limitation of a actions and I have been advised by my counsel, whose advise I verily believe, to be true, that this Honourable Court has the power and prerogatives of extending the time under the said Act".

The matter deponed in the respondent's affidavit certainly do not constitute "material facts relating" to the action brought by the respondent or "facts of a decisive character" as defined in section 30 of the Act.

In the case of *Mbithi v Municipal Council of Mombasa and another* [1992] LLR 2235 (CAK) Kwach JA following the decision of Trevelyan J in the case of *Mwea v Kabai and another* [1972] EA 242, held that ignorance of the law did not constitute a material fact. Shah JA in the case of Mary Wambui Kabugu legal representative of *Kabugu v Kenya Bus Service Limited* [1995] LLR 406 (CAK), also affirmed that dictum. We on our part, have no difficulty in holding that ignorance on the part of the respondent of the statutory period of limitation is not a material fact as defined in section 30 of the Act. But what is more, it cannot be said that the respondent's excuse for not bringing her action in time, was a matter that was at all times before his death, outside the knowledge of Captain Samani. In our view, the Superior Court should not as it presumably did, have granted the respondent's *ex parte* application for extension of the limitation period and as the respondent's affidavit clearly demonstrates, to bring an action for damages in tort based on negligence, under the Law Reform Act and the Fatal Accidents Act, and not for anything else, against the appellant. But no matter. There may be developments since the granting *ex parte*, of the extension of time, which might put a better picture on things and which is an important issue which we shall be concerned with, in this appeal.

In the ensuing trial of the action that was brought by the respondent on 23 February 1990, nearly four years after her application for extension of time within which to bring her action against the appellant, was granted, the respondent and Captain Samani's widow gave evidence not unexpectedly, to the effect that the respondent's action had been brought late because each of them had in the meantime, thought that the other would institute proceedings against the appellant, which did not happen. The grant *ex parte*, of the extension of time within which the respondent could bring her action, was challenged in the appellant's pleadings and in the submissions made on its behalf during the trial. But the learned Judge of the Superior Court held that leave to extend time for the respondent to bring her action "had been properly sought and the same has now been justified".

Before dealing with the propriety or otherwise, of this holding, it would be convenient to now deal with the issue which had seemed settled, that a judge can in a trial consider and accept or reject the *ex parte* order granted by another judge for extension of time under the Act. This Court in the case of *Oruta and another v Nyamato* [1984] LLR 2273 (CAK) unanimously followed the English Court of Appeal decision in *Cozens v North Devon Hospital Management Committee and another* [1966] 2 All ER 799 where it was held by the majority, Lord Denning MR and Dankwerts LJ (Salmon LJ dissenting) that:

> "Although it was general principle in regard to *ex parte* orders that the party affected by the order could apply for it to be discharged, yet it would be contrary to the intention of the Limitation Act of 1963 to allow a defendant to apply, before the trial of the action, to set aside an *ex parte* order obtained under section 2(1) giving leave for the purposes of section 1(1)(*a*)".

In *Oruta*, it was held that the issue of challenge to the granting or leave to file suit out of time, can only arise at the trial. Gachuhi JA in the leading judgment of this Court in *Oruta*, stated as follows:

> "It will be up to the judge presiding at the trial to decide the issue of limitation as one of the issues but not as a preliminary point. The raising of the preliminary issue that would cause the suit for the plaintiff to be struck out is not encouraging by the Limitation of Actions Act particularly where leave to file an action against the defendant has been granted *ex parte*".

In *Mbithi*, this Court cited with approval *Cozens* and *Oruta*, and Kwach JA albeit, *obiter dicta*, set out the issue thus:

> "the question whether or not the plaintiff was entitled to the extension can only be challenged in the proceedings. This is one of the exceptions to the general rule that a party against whom an *ex parte* order has been made can only apply to the Court, which made the order to set it aside".

This Court, however, in a recent decision in the case of *Maina and another v Kagombe* [1996] LLR 2475 (CAK) expressed a somewhat conflicting view to that expressed in the unanimous decision of this Court in *Oruta* namely, that at the trial, a judge cannot declare invalid an *ex parte* extension of the time granted by another judge and that such a declaration can only be made in an action directed to that special end. We would refrain from following *Maina* for the two reasons. Firstly, *Cozens* and *Oruta* and the judgment of Kwach JA in *Mbithi* which might have influenced this Court in reaching its decision when it was considering *Maina*, were not brought to its attention. Secondly, and this is important, the English authority upon which this Court placed great reliance in *Maina* namely *Craig v Kanseen* [1943] 1 KB 256, which not only did not deal with the question of limitation of actions but which also, as can be seen, was decided some twenty years before the English Limitation Act of 1963 was passed, some twenty three years before *Cozens* and some twenty four years before our Limitation Act was passed, was clearly inapt for the determination of the issue referred to above in *Maina*. We therefore, prefer the unanimous decision in *Oruta* and the majority decision of this Court in *Kabugu* Akiwumi and Shah JJA (Bosire acting JJ dissenting), which followed and applied the decision in *Oruta*, in support of the proposition that the learned Judge of the Superior Court could as he did and without any action directed to the specific end having been brought, consider at the trial and determine whether the *ex parte* order granting extension of time, was valid or not.

We must now consider the judgment of the learned Judge of the Superior Court on the issue whether the *ex parte* order had been properly granted and should, as he held, stand.

As already observed, the learned Judge of the Superior Court considered the objections hereinafter summarized, which were raised against the granting of the *ex parte* order extending time. The first being that the evidence in support of the *ex parte* application did not show that there were material facts or facts of a decisive character in relation to the cause of action as required by section 27(2) of the Act, which in this case, was one of alleged negligence on the part of the appellant, and which were at all times and until after the period of limitation, outside the knowledge of the respondent. And secondly, that the action brought by the respondent was one in tort and not in contract and that the period of limitation that was therefore, applicable, was three years and not six years which applies to contracts, and in any case, that the action was brought more than six years after the cause of action if any, arose in contract when unlike the case of an action in tort, time cannot be extended under the Act for the bringing of the action if it is time barred.

After considering these objections, the learned Judge of the Superior Court came to the following conclusions that from the pleadings as well as the evidence given at the trial, the extension of the time granted to the respondents to sue "has now been justified" and that the respondent's cause of action was based both in tort and in contract.

As regards the action in tort, he concluded that the respondent's affidavit in support of her *ex parte* application for extension of time and the evidence of her daughter in law to the effect that the respondent being unfamiliar with legal procedure and having waited until the suit was time barred because she had expected her daughter in law to bring the action against the appellant, were sufficient material facts to justify the granting of extension of time under the Act. This conclusion we must entirely reject since the respondents affidavit and the evidence of her daughter in law as already shown, do not establish any material facts. But also since the respondents action was brought under the Law Reform Act and the Fatal Accidents Act, such evidence is completely irrelevant. It is only that which was outside the knowledge of the deceased that could be considered, and there being no such evidence, the *ex parte* extension of the time cannot stand.

As regards the action in contract, the learned Judge of the Superior Court, having conceded that the Act did not provide for the extension of time after the lapse of the limitation period of six years, went on, however, to conclude that the wording of section 4(1) of the Act was nevertheless, such as could enable the Court to exercise its discretion and to extend time in deserving cases. To us, the meaning of the wording of section 4(1) that: "The following actions may not be brought after the end of six years from the date on which the cause of action occurred: (a) Actions founded on contract", is clear beyond any doubt. It means that no one shall have the right or power to bring after the end of six years from the date on which a cause of action accrued, an action founded in contract. The corollary to this is that no court may or shall have the right or power to entertain what cannot be done namely, an action that is brought in contract six years after the cause of action arose or any application to extend such time for the bringing of the action. The provisions of section 3 of the Act also support the view we have just expressed as to the meaning to be ascribed to section 4(1) of the Act. Part II of the Act is headed *Periods of Limitation* and covers sections 3 to 21 of the Act. Section 3 which is in the following terms: "This Part is subject to Part III, which provides for extension of the periods of limitation in the case of disability, acknowledgement, part payment, fraud mistake and ignorance of material facts", limits the instances and the circumstances in which any extension of the periods of limitation specified in Part II of the Act, may be granted. A perusal of Part III shows that its provisions do not apply to actions based on contract. In the light of these clear statutory provisions, it would be unacceptable to imply as the learned Judge of the Superior Court did, that "the wording of section 4(1) of the Limitation of Actions Act (Chapter 22) suggests a discretion that can be invoked".

We venture to say that if the learned Judge of the Superior Court had considered the provision of section 3 of the Act, he would have come to a different conclusion than he did on this issue. By the time the respondent's suit was brought, the limitation period of six years in respect of contracts, had already elapsed and since this period cannot be extended, the suit with respect to a breach of contract if that was so, was also properly time barred.

But could it be said at all, that the respondent's suite was a base also on contract. We would say no! As we have had cause to observe earlier in this judgment, the respondent's plaint was based solely on the alleged negligence of the appellant and particulars of which negligence were given. Nowhere in the plaint was any reference made to an alleged breach of contract on the part of the

appellant. Indeed, the relief's sought by the respondent arise only out the alleged negligence on the part of the appellant. The circumstances of this case can be distinguished from those in the case of *Kenya Cargo Handling Services Limited v Ogwang* [1984] LLR 211 (CAK), to which the learned Judge of the Superior Court's attention had been drawn. In that case, the plaintiff therein, who was employed by the defendant was, while checking the loading of some goods into railway wagons, nearly run over by a forklift. In trying to evade the forklift, he fell and shattered his right knee cap. The basis of the claim was put in this way in the plaint:

> "3. At all material times the plaintiff was employed by the defendant as a loading booking clerk.
>
> 4. It was a term of the said contract of employment between the plaintiff and the defendant and/or it was the duty of the defendant to take all reasonable precautions for the safety of the plaintiff while he was engaged upon the said employment, not to expose the plaintiff to a risk or damage or injury of which they knew and ought to have known and to provide a safe and proper system of working and effective supervision of the same".

After giving particulars of the plaintiff's injuries and special damages, the sixth paragraph of the plaint averred that: "The said accident was caused by breach of the aforesaid implied term of contract by the defendant, its servants or agents".

This Court in *Kenya Cargo Handling Service* upheld the ruling of Bhandari J that in the circumstances of that case, the plaintiff's suit, was based both on contracts and on tort. If the plaint of the respondent had also contained similar averments, we might have agreed with the learned Judge of the Superior Court in his handling that the respondent's action was grounded both on tort and on contract. We are, however, unable to do so as the respondent's plaint by which she is bound, leaves no doubt at all that the basis of her plaint was the alleged tortuous negligence of the appellant and not a breach of any contractual relationship between Captain Samani and the appellant. We must again reiterate that if as is averred in the respondent's plaint that the action was brought under the Law Reform Act and the Fatal Accidents Act, then the evidence that should have been considered before granting or sustaining the *ex parte* extension of time, is that relating to the lack of knowledge of material facts by the deceased and not the respondent or anyone else, which did not exist.

Indeed, the underserving circumstances that had existed at the time when the respondent applied *ex parte*, for extension of time, had not changed one bit when the matter was considered again by the learned Judge of the Superior Court.

The appeal before us does not therefore, come as a surprise. In summary, it is that the learned Judge of the Superior Court erred in holding that he could precede with the hearing of the respondent's suit because the Act had not been fatally breached. Our view on this, from what have hereinbefore propounded, must be obvious, and in the result, the appeal is allowed the judgment and decree of the court below are hereby set aside and the respondent's suit is dismissed with costs. The appellant shall have the costs of this appeal.

For the appellant:
Information not available

For the respondent:
HMJ Murtaza instructed by *Murtaza Jaffer Adv*

Echaria v Echaria
[1995–1998] 1 EA 56 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	19 May 1998
Case Number:	247/97
Before:	Chesoni CJ, Gicheru, Omolo, Shah and Bosire JJA
Sourced by:	IT Inamdar
Summarised by:	A Mwanzia

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[1] Appeal – Procedure – Failure to state grounds on body of application – Whether application defective – Whether defect curable – Rule 42(1) – Court of Appeal Rules.

Editor's Summary

Application was made to strike out an appeal as incompetent because the grounds on which the application had been made had not been stated in the body of the application in contravention of rule 42(1) of the Court of Appeal Rules.

Held – The application was defective but the defect was curable by amendment.

No cases referred to in ruling

Ruling

CHESONI CJ, GICHERU, OMOLO, SHAH AND BOSIRE JJA: The respondent has applied that this appeal be struck out as incompetent. Dr *Kamau* for the ppellant objected to the notice of motion as being incurably defective for failing to comply with rule 42(1) of the Rules of this Court. That rule states that "all applications to the Court shall be by motion, which shall state the grounds of the application". He submitted that this requirement being mandatory in its language it is not enough for the grounds to be given only in the supporting affidavit. The respondent should know the case he/she has to answer. Ms *Karua* for the applicant/respondent submitted that the ground is stated in the body of the application "as incompetent", and if that is not sufficient she asked to be granted leave to amend the application.

We agree that the notice of motion is defective but the defect is curable, and, for that reason, and Ms *Karua* having applied for leave to amend the notice of motion, we grant leave for the respondent to amend the notice of motion so as to comply with the requirements of rule 42(1) of the Rules of the Court.

For the appellant:
GK Kuria instructed by *Kamau Kuria & Kiraitu Adv*

For the respondent:
MW Karua instructed by *Martha Karua & Co*

Essak v Mwanyota and others
[1995–1998] 1 EA 57 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	18 July 1996
Case Number:	31/95
Before:	Waki J
Sourced by:	IT Inamdar
Summarised by:	A Mwanzia

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[1] Civil procedure – Summary judgment – Application for judgment in respect of a claim for special damages – Order XXXV, rule 1 – Civil Procedure Rules.

[2] Damages – Claim for special damages – Whether summary judgment available.

[3] Inherent jurisdiction – Whether can be invoked for summary judgment in a claim for special damages.

Editor's Summary

The plaintiff claimed damages for personal injuries sustained in an accident which included a claim for special damages in the sum of KShs 1 272 000. The three defendants entered appearance but only the second and third defendants filed defences denying, *inter alia*, the claim for special damages.

Agreed issues were drawn up, one of which was whether the plaintiff was entitled to special damages and if so what those were. In due course, an interlocutory judgment was entered by consent holding all three defendants jointly and severally liable in negligence.

The plaintiff thereafter applied, both in terms of Order XXXV, rules 1 and 3 and under section 3A of the Civil Procedure Act (Chapter 21), for summary judgment for KShs 1 272 000 with interest and costs.

Held – Order XXXV, rule 1(*a*) only applies where a plaintiff seeks a "liquidated demand". A liquidated demand can be made in a "running down" action but only if the claim is indisputably due or is agreed to be paid. That was not so in this case. A plaintiff is required to prove the special damages as pleaded as they are always in issue under Order VI, rule 9(4). There is no valid basis in law for entering summary judgment in a claim for special damages under the inherent jurisdiction of the Court. Application dismissed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Coast Bus Service Ltd v Sisco Murunga Ndanyi and others [1992] LLR 318 (CAK)

Gohil v Wamai [1982-1988] 1 KAR 116

Gupta v Continental Builders Ltd [1978] KLR 83

Ryce Motors Ltd and another v Muroki [1995] LLR 3580 (CAK)

United Kingdom

Associated Bulk Carriers Limited v Koch Shipping Inc [1978] 2 All ER 254

Dummer v Brown and another [1953] 2 WLR 984

Fuohsan Maru [1978] 2 All ER 254

Ruling

WAKI J: I have no difficulty in dismissing the application dated 13 May 1996. It seeks one substantive prayer under Order XXXV, rule 1 and 2 of the Civil Procedure Rules:

> "That judgment be entered for the plaintiff against the defendants jointly and severally in the sum of KShs 1 272 000 with costs and interest thereon as prayed in the plaint without prejudice to the plaintiff's claim for the balance if any and or for general damages".

The applicant also throws in section 3A of the Civil Procedure Act (Chapter 21) and asks the Court to grant such other or further relief as it deems proper.

The main suit is based on the tort of negligence. It is what is popularly referred to as a "running down matter". The three defendants filed their defences. Five issues have been drawn up and agreed on. They were signed between the plaintiff and the second and third defendants and filed in court on 19 October 1995. Directions were then dispensed with and the suit was set down for hearing. On the hearing date on 21 March 1996 the plaintiff was ready to proceed with his witnesses who included a doctor. Then came in the first defendant who belatedly entered appearance through an advocate, and applied for adjournment. This was granted at some considerable cost to the first defendant. Soon thereafter the parties entered into a consent on liability and judgment was recorded accordingly against the three defendants jointly and severally. That left the issue of quantum only which was one of the agreed issues. For some reason the plaintiff did not feel like waiting until that issue was tried and judgment pronounced by the court. He was suddenly of the view that there was no triable issue on quantum or at least as to KShs 1 270 000 of it and he should have judgment summarily. This is when he filed the application dated 13 May 1996. He has reasons for this about-face.

In his affidavit sworn on 13 May 1996, he says the amount is made up of doctors fees, hospital charges, travel costs al incurred before and after the filing of the suit whose particulars he says had been supplied to the defendants. Since he is not a rich man and his savings have been depleted he asked for an advance payment from the defendants who declined the request hence the necessity of filing the application. He also felt that a date for assessment of damages may not be available this year and he could not afford to wait any longer. He does not see any of the defendants having any defence at all to the claim for those expenses.

In his submission in support of the application, Mr *Kasmani* referred to the copies of receipts and invoices from Aga Khan Hospital, Flying Doctors, Nairobi Surgical Services, Nairobi Hospital and other Doctors. Some are in the name of the plaintiff. Others are not. He submitted that the defence filed by the second and third defendant in respect of the special damages particularised is of a general nature and should not stop the plaintiff from obtaining summary judgment. As for the first defendant, no defence has been filed or served and therefore summary judgment under Order 35 is plain. In Mr *Kasmani*'s view, the only issue that could have been tried was on liability but this has now been resolved. No reasons have been given by any of the defendants as to why they

need to cross-examine the makers of the documents or the Doctors. Failure to show such reasons would entitle the court to find that there are no triable issues on the exhibits. In support of these legal submissions Mr *Kasmani* cited several authorities and if I do not analyse all of them here, it is not for want of perusal. Mr *Kasmani* did indeed realise that this was an unusual application but he submitted that orders have in the past been granted in running down cases for payment of special damages. He cited *Dummer v Brown and another* [1953] 2 WLR 984 which was a motor accident case, where summary judgment was given.

As against these submissions, Mr *Inamdar* who led the defence in this application, submitted that the application was misconceived. This is because under Order VI, rule 9(4) of the Civil Procedure Rules damages are invariably in issue, whether or not there is a specific traverse or denial in the defence. This is the equivalent of Order XVIII, rule 13 of the rules of the Supreme Court in England. The defence filed by the second and third defendants makes a denial of the damages pleaded and an issue has been framed therefrom. How then can there be summary judgment on a triable issue? Secondly it is trite law that special damages should not only be pleaded but proved. Documents ought to be produced by the plaintiff or on his behalf at the hearing of the case. These would then be tested in cross-examination. Mr *Inamdar* pointed out some of the documents exhibited which did not even bear the name of the plaintiff, some do not specify the injuries or subject matter of the payment, others are cash receipts for some medication which does not necessarily refer to the accident and injuries in issue. Without proof they are simply pieces of paper. He cited the Court of Appeal case as *Coast Bus Service Ltd v Sisco Murunga Ndanyi and others* [1992] LLR 318 (CAK) where Cockar JA as he then was, cited "along line of authorities" to support the "trite law that special damages must first be pleaded and then strictly proved". Also *Ryce Motors Ltd and another v Muroki* [1995] LLR 3580 (CAK) where all Judges in one decision reiterated the same principle and said the authorities are now legion. They said:

> "The plaintiff simply gave evidence to the effect that his matatu was bringing him income of KShs 4 500 per day. There was absolutely no basis on which the learned Judge could have awarded the sum of KShs 2 830 500 for special damages and we set aside that award in its entirety".

Finally Mr *Inamdar* submitted that a claim for special damages is not a liquidated demand as required under Order XXXV, rule 1. The words "liquidated demand" have been judicially considered and the authorities specifically rule out claims for damages arising out of a tort. Support for this submission was in the 1985 *Supreme Court Practice* Volume I at 33.

> "A liquidated demand is in the nature of a debt . . . if the ascertainment of a sum of money even though it be specified or named as a definite figure, requires investigation beyond mere calculation, then the sum is not a 'debt or liquidated demand' but constitutes 'damages'".

A claim for unliquidated damages is not made into a liquidated demand by the plaintiff naming a definite figure – see *Halsbury's Laws of England* (4 ed) Volume 26 at 243. Wambuzi JA also stated in *Gupta v Continental Builders Ltd* [1978] KLR 83 that: "under Order XXXV, rule 1 . . . an application for summary judgment must be for a liquidated demand". That was a contract case. He submitted that the mere fact that liability in negligence has been admitted does not entitled the plaintiff to come to court for summary judgment under Order

XXXV. This was the situation in *Associated Bulk Carriers Limited v Koch Shipping Inc* [1978] 2 All ER 254.

The *Fuohsan Maru* [1978] 2 All ER 254 where it was held (Lord Denning Mr dissenting) that:

> "Even if the court had jurisdiction to refuse a stay the plaintiffs were not entitled to summary judgment under RSC Order XIV for *it was impossible to identify or quantify any particular part of their claim which was indisputably due or in respect of which there was no defence. In effect the plaintiffs were asking the court to order an interim payment on account of the damages which they expected to obtain and the court had no power either statutory or under its inherent jurisdiction to make such an order*" (emphasis supplied).

In the *Bulk Carriers* case, as in the case before us, there was no dispute as to the defendant's liability which had been admitted. In distinguishing the *Dummer v Brown* case which was relied on by the plaintiffs, Mr *Inamdar* pointed out that the wording of Order XIV at the time the case was considered was different. It specifically applies to a claim "except as to the amount of any damages claimed". In itself therefore it specifically excludes issues of damages. The *Dummer* case was also purely on liability with damages to be considered later and did not deal with a claim for damages. it is therefore of no assistance to the plaintiffs.

In responding to these submissions Mr *Kasmani* said nothing has been adduced to show that there is a *bona fide* triable issue on the specific sum claimed. These are liquidated damages as defined in the commentary to the *RSC Practice* at 30. It was therefore incumbent on the defendants to satisfy the court on the triable issue as held in *Gohil v Wamai* [1982-1988] 1 KAR 116. The English authorities cited are only persuasive. The English equivalent provision now contains a clause that interim payments in such matters can be made, and since there is no such provision, then this court ought to invoke its inherent powers to do substantial justice under section 3A of the Act.

I have considered all the above submissions. No local or any other authority has been cited to me pertaining to an application for summary judgment on a personal injury case for special damages. This does not however inhibit the court from considering the application on its merits for there is a first time for everything. Mr *Kasmani*'s pioneering spirit may have made law if the application was not so plainly misconceived.

Order XXXV does not become relevant just because the first defendant has not filed his defence. There is a procedure laid down in such eventuality. Nor does Order XXXV become applicable just because the second and third defendants defence is general. Again there is provision for striking out general defences which do not raise triable issues. The plaintiff himself admits there is an issue and has filed a consent for it to be tried.

Order XXXV, rule 1(*a*) is clearly applicable only where the plaintiff seeks a "liquidated demand". I am satisfied that the authorities cited by the defendants on the definition and application of that provision represent the right approach in this matter. I do not say that such liquidated demand cannot be made in a "running down" matter. But clearly on the authorities this is only recoverable if the claim is indisputably due or is agreed to be paid. That is plainly not so in this case. The plaintiff must therefore prove the special damages pleased as they will remain in issue until he does so.

I am asked to invoke my inherent power to order some interim payment of these specials for they will, eventually and in whatever amount, be recoverable. The plaintiff may well be deserving or sympathy, seeing as I do that he suffered serious injuries and was treated at considerable expense. I also believe that his finances are depleted and he is in need of financial assistance as he says in his affidavit. But I must not exercise such powers as I have, capriciously. For I must consider whether there is a sound basis in law for the exercise of such powers. Unfortunately, I can see none. Justice is a double edged sword. It cuts both ways. The defendants have a legal right to have the case proved before payments are made out. They have not, and it has not been so alleged, been party to what the plaintiff says is a delay in the hearing of the case. The main fear was that the case may not be heard until another year to come. I understood Mr *Kasmani* to say that the matter is set down for assessment of these damages before the end of this month. That may take away much of the paid caused by the dismissal of this application which I now dismiss with costs to the defendants.

Finally it may well be time that a clause was inserted by the Rules Committee in our Rules, that interim payments may, in an appropriate case, be made out to defendants in "personal injury" cases. There is a precedent for it elsewhere.

For the plaintiff:
KA Kasmani instructed by *KA Kasmani & Co*

For the first defendant:
PCN Mwangi instructed by *Njenga Mwangi & Co*

For the second and third defendants:
IT Inamdar and *N Gikandi* instructed by *Inamdar & Inamdar Adv and Gikandi & Co*

Floriculture International Ltd v Central Kenya Ltd and others
[1995–1998] 1 EA 61 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	11 December 1985
Case Number:	121/95
Before:	Gicheru, Kwach and Lakha JJA
Sourced by:	P Le Pelley
Summarised by:	A Mwanzia

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[1] Appeal – Jurisdiction – Point raised for the first time on appeal – Whether court has power to entertain such point where it goes to jurisdiction.

[2] Civil procedure – Originating summons – Suit commenced by originating summons claiming invalidity of mortgage and damages – Whether originating summons proper mode of commencing suit – Order 36, rule 3A – Civil Procedure Rules.

[3] Civil procedure – Practice – Mention date – Court hearing and allowing oral application for amendment, application for directions and extension of ex parte *injunction – Whether conduct proper.*

Editor's Summary

Central Kenya Limited (first respondent) commenced proceedings by way of an originating summons against various defendants, seeking *inter alia* to have two charges in favour of the second and third respondents declared invalid; cancellation

by the Registrar of Titles of the two charges; delivery of the original title; and general damages for irregularly causing the registration of the two charges.

On a date to which the suit had been adjourned for mention, the trial Judge granted to Central Kenya, on oral application, leave to amend the originating summons, ordered consolidation of three pending interlocutory applications and made Floriculture International Limited (appellant) and First National Finance Limited (fourth respondent), third and fourth defendants respectively in the suit before him. The appellant was aggrieved and with leave of the court, appealed to the Court of Appeal from the ruling and order.

The Appellant contended that none of the relief sought in the prayers of the originating summons fell within the ambit or purview of Order 36, rule 3A of the Civil Procedure Rules under which the originating summons had been taken out. The first respondent countered that this issue had not been raised to the trial court and the appellate court therefore lacked the trial court's decision on the same and the issue ought not be entertained by the appellate court. The granting of the order on a day to which the suit had been stood over for mention was also subject of complaint.

Held – The provisions of Order 36, rule 3A of the Civil Procedure Rules are predicated upon there being a valid mortgage. In the instant case, the plaintiff's main claim was that there was no valid mortgage and therefore the matter could not be based upon an originating summons. Further, there was no power to award damages on an originating summons yet this was the very relief which the plaintiff's originating summons contained (*Kenya Commercial Bank Ltd v Osebe* [1982] LLR 66 (CAK) followed).

The appellate court had power to entertain point raised for the first time on the appeal if such point goes to jurisdiction (*Kenindia Assurance Company Limited v Otiende* [1989] 2 KAR 162 followed).

The trial judge erred in hearing and allowing, on a mention date, an oral application for a substantial amendment to the originating summons, an oral application for directions as to the future course of hearing and an indefinite extension of an *ex parte* injunction he had granted earlier (*Wanjiku v Esso Kenya Ltd* [1995] LLR 3916 (CAK) followed).

Appeal allowed.

Cases referred to judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Kenindia Assurance Company Ltd v Otiende [1989] 2 KAR 162 – **F**

Kenya Commercial Bank Ltd v Osebe [1982] LLR 66 (CAK) – **F**

Wanjiku v Esso Kenya Ltd [1995] LLR 3916 (CAK) – **F**

Judgment

GICHERU, KWACH AND LAKHA JJA: This is an appeal with leave of the Superior Court from its ruling and order (Hayanga J) given on 7 July 1995 whereby he granted leave to amend the originating summons, ordered consolidation of three pending interlocutory applications and made Floriculture International Limited (the appellant) and First National Finance Limited (the fourth respondent) third and fourth defendants respectively in the suit before him.

The proceedings to which this appeal relates commenced by way of an originating summons dated April 26 1994 in which the plaintiff (the first respondent) sought, *inter alia*, to have two charges 4 June 1993 and 17 June 1993 on land reference number 705/2 Thika Municipality (the property) in favour of the second and third respondents respectively declared invalid: cancellation by the Registrar of Title of the said two charges, delivery forthwith of the original title: and general damages to be assessed by the court for irregularly causing the registration of the two charges.

The first respondent was the registered proprietor of the property *vide* a transfer registered on 3 May 1985 from Gatumaini Farm Limited for a consideration of KShs 2,5 million. In the same year, it charged the property to the Agricultural Finance Corporation to secure a loan for KShs 3 million. This charge was discharged by a discharge of the charge which was registered on 17 June 1993 but on the same day a charge in favour of the second respondent to secure an advance of KShs 15 million and another charge in favour of the third respondent to secure an advance of KShs 30 million were registered against the title to the said property. By a transfer dated 28 April 1995 and registered on 2 May 1995 the second respondent by virtue of charge's power of sale transferred the property to the appellant who created a charge in favour of the fourth respondent.

These two further transactions became the subject of the amended originating summons. It was the first respondent's case that the charges registered on 17 June 1993 are invalid having been made without its authority and for want of execution by it, and it, therefore, instituted proceedings by way of an originating summons claiming relief's as above set out and that the subsequent transfers and charge were also invalid, *inter alia*, for want of charge's power of sale and fraud respectively.

Mr *Inamdar* for the appellant has complained to this Court that none of the relief's sought in the prayers of the originating summons fell within the ambit or purview of Order XXXVI, rule 3A of the Civil Procedure Rules under which the originating summons was taken out, Order XXXVI, rule 3A reads as follows:

> "Any mortgagee or mortgagor, whether legal or equitable, or any person entitled to or having property subject to a legal or equitable charge, or any person having the right to foreclose or redeem any mortgage, whether legal or equitable, may take out as of course an originating summons, returnable before the judge in chambers, for such relief of the nature of kind following as may be by the summons specified, say, sale, foreclosure, delivery of possession by the mortgagor, redemption, reconveyance, delivery of possession by the mortgagee".

Having carefully considered the terms of this rule, we are satisfied that Mr I*namdar*'s complaint is well founded. The very provisions of Order XXXVI, rule 3A are predicated upon there being a valid mortgage and the relief's specified in that rule are also predicated upon there being a valid mortgage. In the instant appeal, the plaintiff's main claim was that there was no valid mortgage.

This is not a matter upon which an originating summons can be based. What is more disturbing is that despite the case of *Kenya Commercial Bank Ltd v Osebe* [1982] LLR 66 (CAK) which the learned Judge himself set out in his ruling where it was clearly held that there was no power to award damages on an originating summons, this was the very relief which the originating summons contained and the Judge entertained it. In our judgment there was no valid basis to take out the originating summons under Order XXXVI, rule 3A.

It is now well established that the originating summons procedure is available only in a limited number of cases specially provided and the procedure is designed

to deal with simple matters which may be decided by the court without the expense of bringing an action and was not intended for determination of matters which involved a serious question on contested facts.

We, therefore, find that there was no jurisdiction to entertain the originating summons as taken out and it gout to have been struck out.

While Miss Martha *Karua* for the first respondent conceded and, in our opinion properly, that the Superior Court had no Jurisdiction she contended that this issue not having been raised in the Superior Court, we do not have the benefit of the decision of the Superior Court. Indeed, she argued that the respondents were content not to take the point. This is true but it does not deprive this Court of the power to entertain such a point for the first time. It has been held in the case of *Kenindia Assurance Company Ltd v Otiende* [1989] 2 KAR 162 that the normal rule that a party cannot raise for the first time on appeal a point he had failed to raise in the High Court, does not, apply when the issue sought to be raised for the first time on appeal goes to jurisdiction. The Court in the *Kenindia* case (*supra*) stated at 164: "But neither that admission nor the invitation can confer on the court jurisdiction when none exists".

Apart from the proceedings having been riddled with jurisdiction irregularities from the star, there were a series of steps of procedural nature which resulted in unusual orders in an originating summons. We do not trouble ourselves (nor it is necessary for the decision of this appeal) to set these out at length or to consider them. We cannot, refrain from observing that the orders of the learned Judge appeared against were made on a date to which the case had been stood over for a mention only. Notwithstanding this the learned Judge on the mention date proceeded to hear and allow an oral application for a substantial amendment to the originating summons (including the prayer for damages), an oral application for directions as to the future course of hearing and an indefinite extension of an ex-parte injunction he had granted earlier. This Court has already had occasion in the case of *Wanjiku v Esso Kenya Ltd* [1995] LLR 3916 (CAK) to deal with a similar situation. It was stated:

> "We have no doubt that where a matter is fixed for mention as it was in this case, the learned judge had no business determining on that date, the substantive issues in the matter. He can only do so, which was not the case here, if the parties so agree and of course, after having complied with the elementary procedure of hearing what submissions counsel may wish to make on behalf of the parties, which he did not do and moreover, gave no good reasons for adopting such a procedure which is repugnant to the administration of justice".

We are simply amazed at the orders that were made in the first instance. Upon a careful and anxious consideration however, we are clearly of the view that the complaints made on behalf of the appellant are well founded and must be upheld.

In the result, we have come to the conclusion that the only course open to us is to allow the appeal and set aside the ruling and order of the Superior Court dated 7 July 1995. The amended originating summons is struck out with costs and all the orders made by the Superior Court therein are set aside. The first respondent shall pay to the appellant its costs of this appeal.

For the appellant:
IT Inamdar instructed by *Inamdar & Inamdar Adv*

For the first respondent:
MW Karua instructed by *Martha Karua & Co*

[1995–1998] 1 EA 65 (CAK)

Division:	Court of Appeal of Kenya at Nyeri
Date of judgment:	23 May 1997
Case Number:	196/95
Before:	Gicheru, Shah JJA and Bosire ja
Sourced by:	IT Inamdar
Summarised by:	A Mwanzia

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[1] Civil procedure – Issues – Trial Judge basing judgment on an issue which was not pleaded.

[2] Insurance – Motor Insurance Policy – Cover in respect of liability to passengers – Whether person travelling as passenger "by reason of or in pursuance of a contract of employment" – Sections 5 and 10 – Insurance (Motor Vehicles Third Party Risks) Act (Chapter 405).

Editor's Summary

The appellant insurance company issued a motor policy to one N in respect of the latter's pick-up which he declared in the proposal form would be used for carrying his own goods. The policy expressly excluded cover in respect of liability to passengers other than those being carried for hire or reward or by reason of or in pursuance of a contract of employment. During the currency of the policy, the Respondent, an employee of N, was injured whilst travelling on the pick-up as a passenger. The Respondent sued N for damages and was awarded a total of KShs 104 943 for general and special damages. The Respondent having failed to recover the damages from N, sued the appellant as the pick-up's insurer under section 10(1) of the Insurance (Motor Vehicles Third Party Risks) Act (Chapter 405) ("the Act") to satisfy the judgment obtained against N. In his plaint, the Respondent only pleaded that he suffered physical injuries whilst travelling on N's pick-up as a passenger, no reference being made to the fact that he was N's employee at the time. In the course of his evidence, he stated that he was an employee of N at the time of the accident and had loaded miraa on the pick-up shortly before travelling on it as a passenger.

On the basis of this evidence, the trial Judge held that the Respondent was, at the time of receiving his injuries, travelling on the pick-up "by reason of or in pursuance to a contract of employment" and since both section 5(*b*)(ii) of the Act as well as the policy provided for cover in respect of liability for injuries to a person who was being carried as a passenger by reason of or in pursuance of his employment, the appellant was liable to satisfy the judgment obtained against N.

The appellant appealed.

Held – The trial Judge erred in deciding the case on an unpleaded issue. The Respondent's case as pleaded in the court below was that he was a passenger *simpliciter*. There was no pleading nor evidence to support the trial Judge's finding that he was travelling on the pick-up as a passenger by reason of or in pursuance of a contract of employment.

The mere facts that he was employed by N at the time and that he had loaded miraa on the pick-up before travelling on it as a passenger were not sufficient to establish that he was being carried as a passenger by reason of or in pursuance of a contract of employment.

The words "by reason of . . . a contract of employment" must be read in conjunction with the words "in pursuance of", and properly construed, mean because the contract of employment expressly or impliedly requires the employee, or gives him the right, to travel as a passenger in the motor vehicle concerned. There was neither pleading nor proof to show that the Respondent's contract of employment required him or gave him the right to travel on the pick-up at the time of the accident.

Appeal allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Gandy v Caspar Air Charters Ltd [1956] EACA 139

Odd Jobs v Mubia [1970] EA 476

Union Assurance Society Ltd v Ainscow [1961] EA 257

United Kingdom

Hong v New India Assurance Co Ltd [1978] 2 All ER 350

Judgment

GICHERU, SHAH JJA AND BOSIRE AJA: This is an appeal from the decree of the Superior Court (Ong'udi J) dated 17 May 1995, in its civil case number 207 of 1991, in which the court held that the appellant was liable under section 10(1) of the Insurance (Motor Vehicles Third Party Risks) Act (Chapter 405), to satisfy a decree of the same court given in favour of the Respondent in its civil case number 268 of 1989.

Section 10(1) above, provides in pertinent part as follows:

> "If, after a policy of insurance has been affected, judgment in respect of any such liability as is required to be covered by a liability covered by a policy under paragraph (b) of section 5 (being a liability covered by the terms of the policy) is obtained against any person insured by the policy, then not withstanding that the insurer may be entitles to avoid or cancel, or may have avoided or cancelled, the policy, the insurer shall, subject to the provisions of this section, pay to the persons entitled to the benefit of the judgment any sum payable thereunder in respect of the liability".

The appellant issued to Julius Ngolua a policy of insurance to cover his motor vehicle registration No. KYH 600, a Toyota Hilux pick-up, which he declared in an insurance proposal form would be used for carrying his own goods. The Respondent who was his employee, was, on 5 December, 1998, during the currency of that policy of insurance, involved in a road traffic accident whilst a passenger in the motor vehicle, as a result of which he sustained severe injuries. He thereafter successfully impleaded the insured for special and general damages, which were assessed at KShs 104 932. He was also awarded costs and interest. The total sum came to KShs 128 193. The Respondent having failed to immediately recover the money from the insured brought action against the appellant pursuant to the provisions of section 10(1), above. The suit was heard by Ong'udi J at Meru.

The basis of the Respondent's claim is stated in paragraph 4 of his plaint which, reads as follows:

> "On or about the 5 December 1998 during the currency of the said claim number aforesaid serious bodily injuries were occasioned to the Plaintiff while lawfully travelling in the said motor vehicle registration number KYH 600 which vehicle was duly insured by the defendant".

Although the Respondent was an employee of the insured, he did not plead that fact in his plaint. Nor did he aver that he was injured while travelling in the said motor vehicle by virtue of or in the course of his contract or employment with the insured. In the course of the trial, questions were put to him, which solicited certain facts, inter alia, that he had loaded the accident vehicle with miraa before it undertook the fateful journey and that he did so because he was an employee of the owner of the motor vehicle. On the basis of that evidence the trial Judge held, that the Respondent was not carried in the motor vehicle as a fare paying passenger but because he had just loaded miraa into the vehicle; that he loaded the motor vehicle in pursuance of his contract of service with the insured; that because if that he fell under the exception stipulated under clause (ii) of section 5(b) of the Act, and consequently, he was entitled to benefit under the policy. It is against those findings that this appeal relates to.

Section 5(b) of the Act, in pertinent part, provides:

> "In order to comply with the requirements of Section 4 of the Policy of Insurance must be a policy which:
>
> (a) . . .
>
> (b) Insures such person, person or class of persons as may be specified in the policy in respect of any liability which may be incurred by him or them in respect of the death of, or bodily injury, to any person caused by or arising out of the use of the vehicle on a road:
>
> Provided that a policy in terms of this Section shall not be required to cover:
>
> (i) . . .
>
> (ii) Except in the case of a vehicle in which passengers are carried for hire or reward or by reasons of or in pursuance of a contract of employment, liability in respect of the death or bodily injury to persons being carried in or upon or entering or getting on to or alighting from the vehicle at the time of the occurrence of the event out which the claims arose".

The policy of insurance respecting the motor vehicle accident is worded in terms of that section.

Mr *Inamdar* who with Mr Pramod *Patel* appeared for the appellant submitted on the main that to the extent that the trial Judge decided the case on an unpleaded issue and on which the Respondent never led evidence to prove, he misdirected himself and for that reason the decision should not be left to stand. In support of his submission he cited three authorities, notably, *Gandy v Caspar Air Charters Limited* [1956] EACA 139, *Union Assurance Society Limited v Ainscow* [1961] EA 257 and *Tan Kenga Hong v New India Assurance Company Limited* [1978] 2 All ER 350. Of those the last one commends itself to us for guidance and application. It is a Privy Council decision whose facts are almost in all fours similar to this one. The principal question in that case was whether the plaintiff, when he met his accident was a passenger carried by reason of or in pursuance of a contract of employment. The court held:

> "In their Lordships' view the words 'by reason of . . . a contract of employment' must be read in conjunction with the words ' in pursuance of', and, properly construed, mean because the contract of employment expressly or impliedly required the

> employee or gives him the right to travel as a passenger in the motor vehicle concerned. It does not mean that the passenger was being carried because the driver of the vehicle thought that by reason of the passenger's employment he might gain some business advantage by doing the passenger the favour of giving him a lift".

As a general rule it is not open to a court to base a decision on an unpleaded issue as happened in this case. The exception to that general rule is, as we stated in the case of *Odd Jobs v Mubia* [1970] EA 476, where it appears from the course followed at the trial that the unpleaded issue has been left to the court for decision. That, however, was not the case here. The Respondent's case as pleaded was that he was travelling in the accident vehicle as a passenger simpliciter. That is the case he set to prove before the trial Judge and indeed he adduced no other evidence in support of his case. His counsel, Mr *Momanyi*, conceded as much. As we stated earlier the statement he made in court concerning his employment was in answer to a question, which was put to him in cross-examination by counsel for the appellant. That answer, per se, was insufficient for purposes of the provisions of section 5(b), above, because as was stated in the *Tan Keng Hong* case only employees whose contract of employment requires them to be on the accident motor vehicle fall within the exception. There is no evidence on record to show that the Respondent's contract of employment with the insured entailed. That being the conclusion we come to, we are of the view and so hold that the trial Judge erred when he held that merely because the Respondent had loaded the accident motor vehicle and was in the employment of the insured without more, entitled him to judgment.

In the result and for the foregoing reasons, we allow the appeal, set aside the decree of the court below and in its place order that the Respondent's suit be dismissed with costs. The appellant shall also have the costs of this appeal. We do not certify for two counsels.

For the appellant:
IT Inamdar and *P Patel* appeared instructed by *Inamdar & Inamdar Adv*

For the respondent:
Momanyi

General Manager National Milling Corporation v Mwaisanila and others
[1995–1998] 1 EA 68 (HCT)

Division:	High Court of Tanzania at Mbeya
Date of judgment:	17 October 2000
Case Number:	31/99
Before:	Mackanja J
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Bankruptcy – Official receiver – Parastatal Sector Reform Commission – Company sued by retrenched employees for benefits – Company a specified Corporation under receivership of Parastatal Sector Reform Commission – Whether Parastatal Sector Reform Commission necessary party – Whether compensation for work or labour a liability provable in bankruptcy – Whether claim

for salary a preferred debt or secured debt – Whether leave of High Court necessary before institution of suit – Whether proceedings

before subordinate court a nullity – Section 9 – Bankruptcy Ordinance – Section 43(1)(b) – Public Corporations (Amendment) Act.

Editor's Summary

The labour officer at Iringa instituted suit against the appellant on a dispute relating to terminal benefits of the respondents who were to be retrenched by the appellant. The appellant had computed the benefits, which were rejected by the respondent's trade union (TUICO). TUICO came up with their own computations which were rejected by the appellant; hence the suit.

The appellant (then defendant in the suit) took out a notice of three preliminary objections to the suit:

> "(i) that the suit is untenable as no leave was sought pursuant to the mandatory provision of section 43(1)(*b*) of the Public Corporations (Amendment) Act and section 9 of the Bankruptcy Ordinance;
>
> (ii) that the defendant was a specified corporation in terms of section 43(1)(*b*) of the Public Corporations (Amendment) Act and therefore the Parastatal Sector Reform Commission (PSRC) was a necessary party to the suit; and
>
> (iii) that the suit should be rejected under Order VII, rule 11(*c*) of the Civil Procedure Code".

The trial magistrates rejected all the preliminary objections on the grounds that no leave was required for a suit instituted under section 132 of the Employment Ordinance and therefore employment causes were exempt from the application of section 43(1)(*b*) of the Public Corporations (Amendment) Act. The Magistrate also found that there was no statutory requirement that the Parastatal Sector Reform Commission must be made a party to any civil action to which a specified Corporation has been impleaded as a defendant.

The appellant filed an appeal to the High Court.

Held – The Parastatal Sector Reform Commission is the official receiver. As such, it has a duty to protect the property of a specified Corporation for the benefit of the Corporation's creditors, and to ensure that such property is not wasted through fraudulent disposition or preferential settlement schemes with some creditors behind the backs of other equally deserving creditors. The Parastatal Sector Reform Commission was therefore a necessary party without whose joinder the suit would not be finally and effectually determined (*Official Receiver v Messrs Ukamba Service Store* [1952] 20 EACA 19 applied).

Compensation for work or labour done was a liability provable in bankruptcy under section 35(8)(*a*) of the Bankruptcy Ordinance, and the Parastatal Sector Reform Commission as receiver had a duty to protect the appellant's property against that liability in terms of its powers under section 43(1) of the Public Corporations (Amendment) Act. The respondents' claims were preferred, not secured, debts, and leave of the High Court was necessary in order to be able in law to institute a civil action to recover them pursuant to section 9 of the Bankruptcy Ordinance (*Richards v Kidderminster Overseers, Richard v Kidderminster Corporation* [1986] 2 Ch 212 and *Cairney v Back* [1906] 2 KB 746 adopted).

The powers of the Parastatal Sector Reform Commission under section 9 of the Bankruptcy Ordinance could only be challenged under bankruptcy procedures as laid down in the Ordinance. As no delegation of bankruptcy jurisdiction had been made to the subordinate trial court, the court did not act *intra vires* its

powers when trying the case. The proceedings in that court were therefore a nullity (*Official Receiver v Merssrs Ukamba Service Store* [1952] 20 EACA 19 followed).

Appeal allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Kimaro and others v Coopers and Lybrand civil appeal number 195 of 1989 (UR)

Mnimbo and others v State Travel and others civil case number 296 of 1997 (UR)

NMC v Mwaisanila civil case number 31 of 1999

Official Receiver v Merssrs Ukamba Service Store [1952] 20 EACA 19

Republic v Singh number 32 of 1972

Tourism Services Tanzania and Parastatal Sector Reform Commission High Court civil case number 296 of 1997

United Kingdom

C*airney v Back* [1906] 2 KB 746

Principal, Simanjiro Animal Husbandry Vocational Trading Centre v Makinda [1997] TRL 160

Re Reed, Bowen and Company [1887] CA 19 QBD 174

Regina v Nottingham Quarter Sessions: *ex-parte Harlow* (WN 13 June 1952)

Richards v Kidderminster Overseers and another [1986] 2 Ch 212

Judgment

MACKANJA J: This appeal originates from a suit that was instituted by the labour officer at Iringa in terms of sections 132 and 134 of the Employment Ordinance (Chapter 366). This was done by way of a report in which KA Mwaisanila and 26 other former employees of the defendant claim redundancy benefits. The report shows that the defendant issued a directive to all mill managers in Tanzania in circular letter with reference number NMC/GM/CIR/NPD/98/2 dated 27 January 1998, instructing them to compute benefits to be paid to prospective retrenchees before 13 February 1998. That was done and the computations having been received by the General Manager, he forwarded them to the Parastatal Sector Reform Commission (PSRC). It is averred in the Labour Officer's Report to the trial magistrates that Parastatal Sector Reform Commission approved and remitted the funds to the defendant who duly gave notice to his mill managers. It seems that the trade union leadership queried the formula that was applied in computing the benefits. The intervention by the trade union, TUICO, lead to the rejection of the computations that were worked out by the management and, as a result, came up with their own which, in turn, were rejected by the employer. Hence the suit.

The defendant, in its written statement of defence denied the claim and prayed that the suit be dismissed. The written defence was filed on 12 July

1999. On 5 August 1999, the defence filed in court a notice of three preliminary objections which were simultaneously served on the Plaintiffs, namely –

> "(a) that the suit is untenable as it offends the mandatory provisions of section 43(1)(*b*) of the Public Corporations (Amendment) Act, number 16 of 1993 and section 9 of the Bankruptcy Ordinance, Chapter 25;
>
> (b) that the suit cannot be entertained as it offends the legal requirements under Order I rule 13 of the Civil Procedure Code in that the defendant being a specified corporation in terms of section 43(1)(*b*) of the Public Corporations (Amendment) act, the Parastatal Sector Reform Commission is a necessary party to the suit; and
>
> (c) that the suit is bad in law as it is barred at law in terms of the first preliminary objection hence the plaint should be rejected under Order VII rule 11(*c*) of the Civil Procedure Code".

Having heard both parties the learned trial magistrate in an elaborate and well-reasoned ruling rejected the preliminary objections. She refused the first objection essentially because no leave is required for all suit which is instituted under section 132 of Chapter 366. By necessary inference, therefore, employment causes are exempt from the application of section 43(1)(*b*) cited above unlike other suits to which procedural requirements must be complied with when filling a plaint in ordinary suits. She was of this considered view because as she says at page 3 of what clearly appears to be computers print out, that –

> "It is my considered opinion that such proceedings under the employment Ordinance cannot be subjected to the leave of the High Court because if that was the case it would mean either before the Labour Officer reports the Magistrate would have to obtain leave of the High Court or in the alternative the magistrate would have to seek leave of the High Court before drawing up a plaint. If this was to be the case then the whole intention of Parliament to simplify the proceedings under the Employment Ordinance would be defeated".

Upon the foregoing observations the learned trial Resident Magistrate reached the conclusion that proceedings filed under Chapter 366 do not require leave of the High Court like ordinary suits.

The second objection was rejected because, in the view of the trial court, there is no statutory requirement that Parastatal Sector Reform Commission must be made a party to any civil action to which a specified corporation is impleaded as a defendant. She reached this decision relying on the decision of this Court, Kalegeya J in *Mnimbo and others v State Travel and others* civil case number 296 of 1997 (UR).

The defendant having been aggrieved instituted this appeal. The memorandum of appeal contains two grounds, namely:

> "(1) that the learned trial Magistrate erred in law and in fact in overruling the defendant's preliminary objections on the legality and *locus standi* of the respondents, in that being a specified company the defendant cannot be sued without joining the Parastatal Sector Reform Commission as a party; and
>
> (2) that the learned trial Magistrate erred in law and in fact in overruling the defendant's preliminary objections on the legality, may be the tenability, of the case to be filed before obtaining the leave of the Court".

The appeal, like the preliminary objection, was argued by way of written submissions. Mr Ademba *Gomba*, learned counsel for the appellant, prosecuted the appeal while Mr Justinian *Mushokorwa*, learned counsel for the respondent, argued the defence.

Mr *Gomba*, learned counsel for the appellant begins with the law under which Parastatal Sector Reform Commission was established, its functions and responsibilities and the undisputed fact that the defendant is a specified corporation under the Public Corporations Act 1992 as amended. Of particular relevance to this matter learned counsel has also cited section 43(1) of the said Act which provides that –

> "(1) notwithstanding any other law to the contrary, with effect from the date of publication of an Order declaring a public corporation to be a specified public corporation the Commission (Parastatal Sector Reform Commission) shall –
>
> '(a) without further assurance on appointment to have power to act as the official receiver of the specified public corporation; and
>
> (b) have the power and all the rights of a receiver appointed in accordance with or pursuant to the Bankruptcy Ordinance' ".

It is, therefore, Mr *Gomba'*s submission that upon designating the appellant as a specified public corporation, Parastatal Sector Reform Commission became the official receiver with powers and all rights of a receiver in accordance with or pursuant to the Bankruptcy Ordinance. Learned counsel relies on the decision of this Court in the case of *Mnimbo and others v State Travel and others* (*supra*) for the proposition that an official receiver under the Bankruptcy Ordinance has wide powers, all of which are geared towards the protection and preservation of both debtor's and creditors' interests. He has powers and duty to investigate the conduct of the debtor, and to ensure that the estate is not wasted, for which he acts as manager or trustee. That these are some of the powers and duties of the Parastatal Sector Reform Commission over the appellant, not to mention other incidental powers and privileges which are not relevant to the matter at hand.

It is learned counsel's contention that what can be termed special receivership under Act number 16 of 1993 and under the bankruptcy Ordinance, Chapter 25, two points arise under this part, namely, that the procedures under which all debts and liabilities against a receiver are enforced is provided for under section 37 of the Bankruptcy Ordinance, read together with the second schedule thereto. Briefly, the effect of the provision is that debts must be proved by the receiver; and that the Parastatal Sector Reform Commission has neither advertised nor has it issued a notice of proof of the debts in bankruptcy and, therefore, that the respondents could not file the suit in the trial Court. Learned counsel for the appellant has made the point that the respondent could not sue the appellant without joining the receiver manager. Learned counsel, for the above proposition of law, relies on *Kimaro and others v Coopers and Lybrand* as joint liquidators of Zambia – Tanzania road Services Limited, civil appeal number 195 of 1989 (unreported) where the court stated that creditors' claims ought to be proved in liquidation before the claimant goes to court. It is, therefore, his submission that the suit before the trial court was filed prematurely.

When arguing the second ground of appeal Mr *Gomba* contends that under section 9(1) of the Bankruptcy Ordinance, Chapter 25, applied in this matter by section 43 of act number 16 of 1993 provides to the effect that after the estate or property of a debtor has been placed under an Official Receiver, no creditor to whom the debtor is indebted in respect of any debt provable in bankruptcy shall have any remedy against the property or person of the debtor in respect of the debt or shall commence any action or other legal proceedings unless with leave of the Court and on such terms as the court may impose. It is learned counsel's

argument that contrary to the above mandatory provision of the law, the respondents instituted this suit without obtaining leave of the court. For his argument that this requirement is mandatory he has cited as authority the case of *Mnimbo and others v State Travel Services Limited* and *Tourism Services Tanzania and Parastatal Sector Reform Commission* High Court civil case number 296 of 1997 at 17 (UR) in which my brother, Kalegeya J found that section 43 of Act number 16 of 1993 created a special receiver in the form of Parastatal Sector Reform Commission under which all specified public corporations were placed in terms of section 9 of the Bankruptcy Ordinance. In conclusion learned counsel moves the Court to accept his persuasion that the trial court erred in law in holding that the respondent could file a suit against the appellant, which is a specified company, without obtaining prior leave from this court. The suit was, therefore, prematurely filed before the trial court.

Mr *Mushokorwa*, learned counsel for the respondents, has made an equally spirited argument. He begins by joining issue with learned counsel for the appellant that by operation of the laws cited, the Parastatal Sector Reform Commission became a special receiver in respect of the National Milling Corporation which was declared as specified corporation by virtue GN 23 of 1995 which he found no cause to recite. He also noted the cited authorities which applied the relevant laws and with which he raises no eyebrows. He, however, hastens to take the position that he will be bound to honour them if they are on all fours with the case at hand. It is then that he repeats his earlier position which has always been that this case is distinguishable; hence the authorities cited are not binding on the subordinate court whose ruling, the subject matter of this appeal, was therefore correct and, in consequence, he is all out to defend it upon the reasons he gives. I should have thought that the duty of learned counsel does not include to defend decisions of the court but to do so in respect of his clients interests which are founded on a decision which the other side will be impugning. Be that as it may, it is Mr *Mushokorwa*'s contention that his client's case is an employment cause arising from a report by a Labour Officer to the court made under section 132 of the Employment Ordinance, Chapter 366. He laments that the ordinance does not define what we term a labour or employment cause but that the use of this designation or title is so notorious in our court system such that it has acquired legal recognition. That such cases find their way in courts of law, and the ordinance seems to confine them to the District Court, by a way of a report to the court by a Labour Officer. He argues that this category of cases differs from other types of civil cases which are filed in court by individual persons or body of persons other than by the initiative of Labour Officers under section 132 of Chapter 366. That there is such distinction was highlighted by this court in the case of *Principal, Simanjiro Animal Husbandry Vacational Trading Centre v Makinda* [1997] TRL 160.

Another distinct feature of labour cases is that these cases are instituted without plaints or payment of fees as required for the type of cases as provided under section 134 and 143 of the Ordinance. Its further contention by learned counsel that even the pecuniary jurisdiction of the District Court is unlimited in labour causes as shown under section 133 of the Ordinance. He submits that under this section the court can act notwithstanding any restrictions/impediments imposed by any other law in any aspect besides pecuniary jurisdiction hence the broad wording "notwithstanding anything to the contrary contained in any Ordinance" found therein. It is his submission, therefore, that the cited provisions

under the Public Corporations Act and the Bankruptcy Ordinance are not applicable to labour cases.

Learned counsel is not unaware of a somewhat similar saving in section 43(1) of the Public Corporation Act (as amended). This he says poses a constructional problem of the two seemingly opposing legislations. But on his part he can readily solve this problem by saying that the saving under section 133(1) of Chapter 366 is broader and wider than that under section 43(1) of the Public Corporations Act number 2 of 1992, and the latter should be subject to the former. But perhaps one has to search for what was the intention of Parliament in both these legislations in order to appreciate his line of reasoning, he says.

While he agrees with the proposition that by creating Parastatal Sector Reform Commission and placing specified corporations under its control parliament intended to protect the interests of both creditors and debtors, Mr *Mushokorwa* contends that the same Parliament in enacting the Employment Ordinance and by providing for a simplified and cheaper manner of seeking remedy from the court as submitted above, also intended to expedite dispute settlement between workers and their employer as a matter of priority in public policy and that this intention, as observed by the late Mr Justice Mwakasendo way back in 1978 in the case of *Republic v Singh* number 32 of 1972, should not be thwarted by legal technicalities which are more appropriate and have their use in other branches of the law.

Mr *Mushokorwa*, learned counsel, is not prepared to believe that parliament has now subjugated the welfare of workers, who form the main stratum of the national economy harbingers or performers, simply because of the recently introduced policy of economic liberalisation. That parliament still upholds the view for the need for an informal and speedy determination of labour grievances by vesting a somewhat exclusive jurisdiction to labour officers and the lower judiciary was echoed by Mr WBL Kapinga, then a Lecturer in law at the University of Dares Salaam in his paper published in the Eastern Africa Law Review, volume 18 number 2 at page 188. The learned author comments further that “the view was that prolonged labour disciplinary proceedings were likely to hamper production and enhance industrial disharmony”.

Mr *Mushokorwa* has made the point that to require retrenched workers to observe the laborious and highly technical procedure of seeking leave of the High Court under section 9 of the Bankruptcy Ordinance would surely defeat the good intention of parliament, namely, namely, to promote the welfare of workers expeditiously and at low cost possible. It is his view that one may also argue with justification that by vesting unlimited jurisdiction to the District Courts Parliament meant to confer exclusive jurisdiction to such courts in the filing of such cases to the exclusion of the High Court, because District Magistrate mentioned in section 132 and 133 of Chapter 366 cannot include a Judge of the High Court. Hence, in his view, a labour cause cannot, in the first place, secure registration in the High Court. That to require one to comply with the provisions of section 9 of Chapter 25 is tantamount to requiring one to submit to the jurisdiction of the High Court. In any case, by appointing creating Parastatal Sector Reform Commission as official receiver contemplated under the Bankruptcy Ordinance, necessarily means any proceeding against a specified corporation, which perhaps thereby assumes the status of a bankrupt, should be taken under the Bankruptcy Ordinance and which must be taken before the High Court and not a subordinate court. If he is correct in this approach, and

he believes he is, then this means that District Magistrates cease to enjoy jurisdiction to try labour causes and the provisions in section 130 and 134 Chapter 366 are, therefore, superfluous. Had parliament intended this to be the case, he says, then it would easily have said so when it established creating Parastatal Sector Reform Commission. This was not done and the cited provisions are still in the statute, and in his view, the fact is that the labour causes should continue to be routed to District Courts without recourse for leave from the High Court, even where specified corporations are concerned. And such cases can be filed directly against the corporation without joining creating Parastatal Sector Reform Commission because at law many of such corporations still enjoy legal existence until they are formally wound up. NMC is yet to be wound up, hence it is still operating and it is known in many cases to sue in its own name without using creating Parastatal Sector Reform Commission. He cited as a case in point the Iringa District Court *NMC v KA Mwaisanila* civil case number 31 of 1999, and others whereby the corporation sued its ex-employees for vacant possession of its house. It is counsel's contention that the law cannot operate on double standards. In any case, he argues that one would also wish to recall that section 9 of Chapter 25 except secured creditors from seeking leave of the court in order to sue. He argues that the term secured and unsecured creditors is not defined by the Ordinance. Since the appellant corporation admits the liability towards the respondents, but defending themselves that the money lies with Parastatal Sector Reform Commission, he submits that such terminal benefits in favour of the respondents should be taken on the same footing as secured liabilities or secured creditors; hence there is no need for seeking leave of the High Court to sue the debtor, in this case the appellant corporation. If this view is accepted, this in itself would be enough reason to dismiss the appeal.

In winding up his argument Mr *Mushokorwa* contends that all the authorities decided by the High court which were cited by learned counsel for the appellant do not relate to employment causes as the present case. The Plaintiffs themselves went to court and sued in a normal manner. Thus he says that this marks a significant difference from the present case. So one cannot argue to say that those cases were decided bearing in mind labour causes, hence, as he submitted at the outset, they are distinguishable and did not bind the lower court.

In his rejoinder learned counsel for the appellant contends that the respondent's submission raises strange legal proposition. The requirement that the type of case at hand should be lodged in the District Court, that is lodged by way of a report as opposed to a plaint, that filing fee is not paid does not make the suit to be any different from any other suit. Save for specific exemptions accorded by law the suit still has to comply with all other statutory requirements which are not expressly waived by statute. According to him the requirement that this type of suit has to be commenced in the District Court does not waive any other statutory requirement that leave of this Court has to be obtained prior to institution of this suit which will then be instituted in the District Court. He goes on to argue that the rider clause in section 133 of the Employment Ordinance to the effect that "notwithstanding anything to the contrary contained in any ordinance" is also, on the respondent's own admission, contained in section 43(1) of the Public Corporations (Amendment) Act. It is one of the canons of statutory interpretation he says, that when there is similar restriction between two provisions the latter provision prevails over the former. Going by the theory of legislative intention, the legislature must have intended that section

43(1) of the Public Corporations (amendment) Act should prevail over section 133 of Employment Ordinance since the latter was enacted with the former in mind while when the former was enacted the latter had not been enacted.

Mr *Gomba* contends that the argument that seeking leave of this Court under section 9 of the Bankruptcy Ordinance would defeat expeditions justice is devoid of merits, and he further submits that the requirement of seeking leave of the High Court does not usurp the exclusive jurisdiction of the District, the case would still be filed in the District Court for there is neither alterations nor impairment of section 130 and 134 of Chapter 366. He argues that definition of "Secured Creditors" adopted by the respondent's learned counsel is very strange. An admission, even where judgement has been entered, does not make the decree holder a "Secured Creditor". He defines a "Secured Creditor" to be one who has a security issued by the debtor in favour of his creditor or is deemed to be one by virtue of statutory provision, for example government taxes. In this case the respondents have no security issued in their favour by the appellant and as such they are not "Secured Creditors". And while it is true that the decisions cited by the appellant do not concern labour matters, Mr *Gomba* argues that it is also equally true, as admitted by the respondents, that the decisions were made regarding similar issues, that leave of this Court has to be sought before institution of a suit against a specified company under the Public corporations (Amendment) Act. Had parliament intended that suits under the Employment Ordinance to exempted from the requirement of seeking leave, it would have expressly provided so.

The foregoing were the arguments. From them the issue that flows from the first ground of appeal is whether or not Parastatal Sector Reform Commission is either a proper or necessary party to these proceedings. I have considered the scholarly arguments which have been made by both learned counsel and I have formed the firm view that the answer resides in a correct interpretation and application of section 43(1) of the Public Corporations (Amendment) Act, number 16 of 1993, hereinafter to be referred to as the Act. By that section once a public corporation has been declared a specified corporation, as indeed is the case with the appellant corporation, Parastatal Sector Reform Commission (to be referred to as the Commission) shall have the power to act as the official receiver of that corporation. This power is vested into the Commission without further assurance and notwithstanding any other law to the contrary with the effect from the date of publication of the order declaring a public corporation to be a specified corporation. Since it is common ground that the order declaring the appellant corporation was published on 13 January 1995, as Government Notice number 23, the Commission became its official receiver henceforth without any further assurance and notwithstanding the provisions of any other law to the contrary. The law does not end there. For subsection (1)(*b*) of section 43 of the Act provides further that the Commission as the official receiver shall –

> "(1) (*b*) have the power and all the rights of a receiver appointed in accordance with or pursuant to the Bankruptcy Ordinance".

In order to acquaint oneself with the powers and functions of a receiver under the Bankruptcy Ordinance, hereinafter to be referred to as the Ordinance, it would be worthwhile to trace the procedure under which he can be appointed. In that regard, it is worth noting that that appointment of such receiver is preceded by what in bankruptcy proceedings is called a receiving order as provided for under section 5 of the ordinance which states thus –

> "5. Subject to the conditions herein specified if a debtor commits an act of bankruptcy the Court may, on a bankruptcy petition being presented either by a creditor or by the debtor, make an order, in this Ordinance called a receiving order, for the protection of the estate".

Once a receiving order is made, an official receiver will be appointed, and his powers are laid down under section 43(1) of the Act. Section 9 of the Ordinance provides thus –

> "9 (1) On making a receiving order the official receiver shall thereby be constituted receiver of the property of the debtor, and thereafter, except as directed by this Ordinance, no creditor to whom the debtor is indebted in respect of any debt provable in bankruptcy shall have any remedy against the property or person of the debtor in respect of the debt, or shall commence any action or other legal proceedings, unless with the leave of the Court and on such terms as the Court may impose.
>
> (2) But this section shall not affect the power of any secured creditor to realise or otherwise deal with his security in the same manner as he would have been entitled to realise or deal with it if this section had not been passed".

By the above provision, the duty of the Commission is to protect the property of a specified corporation in respect of all unsecured debts which are provable in bankruptcy. Debts which are provable in bankruptcy and which shall be protected by the official receiver and, therefore, the Commission, are provided for under section 35 of the ordinance namely –

> "35. (3) . . . all debts and liabilities, present or future, certain or contingent, to which the debtor is subject at the date of receiving order, or to which he may become subject before his discharge by reason of any obligation incurred before the date the receiving order, shall be deemed to the debts provable in bankruptcy . . .
>
> (4) An estimate shall be made by the trustee of the value of any debt or liability provable as aforesaid, which by reason of its being subject to any contingency or contingencies, or for any other reason, does not bear a certain value.
>
> (5) Any person aggrieved by any estimate made by the trustee as aforesaid may appeal to the Court.
>
> (6) If, in the opinion of the Court, the value of the debt or liability is incapable of being fairly estimated, the court may make an order to that effect, and thereupon the debt or liability shall, for the purposes of this Ordinance, be deemed to be a debt not provable in bankruptcy.
>
> (7) If, in the opinion of the Court, the value of the debt or liability is capable of fairly estimated, the Court may asses the value, and the amount of the value when assessed shall be deemed to be a debt provable in bankruptcy.
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> (8) 'Liability' shall, for the purposes of this Ordinance, include –
>
> (a) any compensation for work or labour done;
>
> (b) any obligation or possibility of an obligation to pay money or money's worth on the breach of any express or implied covenant, contract, agreement, or undertaking, whether the breach does or does not occur, or is or is not likely to occur or capable occurring, before the discharge of the debtor;
>
> (c) generally, any express or implied engagement, agreement, or undertaking, to pay, or capable of resulting in the payment of, money or money's worth; whether the payment is, as respect amount, fixed or unliquidated; as respects time, present or future, certain or dependent on any one contingency or on two or more contingencies; as to mode of valuation, capable of being ascertained by fixed rules or as matter of opinion".

The mode of proving unsecured debts is provided fore under paragraphs 1, 2, 3, 4, 5, 6, 7, and 8 of the Second Schedule to the Ordinance, and, in particular, as relates to wages, rule 213(1) of the Bankruptcy Rules is usefully instructive. It states that –

> "In any case in which it shall appear from the debtor's statement affairs that there are numerous claims for wages by workmen and others employed by the debtor, it shall sufficient if one proof for all such claims is made either by the debtor, or his proof shall have annexed thereto, as forming part thereof, a schedule setting forth the names of the workmen and others, and the amount severally due to them. Any proof made in compliance with this rule shall have the same effect as if separate proofs had been made by each of said workmen and others".

The state of the law being as I have shown, is the Commission a necessary party or a proper party to these proceedings? I would say that because as official receiver it has the duty to protect the property of a specified corporation for the benefit of the latter's creditors and to ensure that such property or estate is not wasted through fraudulent dispositions or preferential settlement schemes with some creditors behind the backs of equally deserving creditors, the Commission becomes a necessary party without whose joinder the suit will not be finally and effectually determined. Indeed, as the official receiver the Commission becomes a kind of special owner of the property of a specified corporation whose duty it is to ensure that such property is not wasted. And, as it was decided by this court about fifty years ago, an official receiver may be aggrieved by a decision over an estate for which he is a receiver in a civil action in which he was not joined as a defendant*: Official Receiver v Merssrs Ukamba Service Store* [1952] 20 EACA 19. In that case several appeals were consolidated because they involved the same points of law and arose from the same transaction. Learned counsel for the respondents raised certain objections *in limine* which, if were found to be valid, would apply to all appeals.

The objections were as follows:

> "(1) that the appellant had no *locus standi* to lodge the appeal; and
>
> (2) that no appeal lies from the order of the High Court".

Because of the relevance of this case to the matter at hand I will reproduce the decision of the erstwhile Court of Appeal for Eastern Africa *in extenso* as it appears at page 20, viz –

> "Neither of these points was taken in the Court below but it is said that they go to the question of jurisdiction and can, therefore, be taken here for the first time. Under the head (though Mr Master argued it under the second). I would prefer to dispose or Mr Master's contention that the Official Receiver is not a 'person aggrieved' within the meaning of section 100(2) of the Bankruptcy Ordinance . . . In *Ex parte Sidebothm* [1880] 14 Ch D 458 it was said by Jones LJ that a person aggrieved must be a person who has suffered a legal grievance, a man against whom a decision has been pronounced which has wrongfully deprived him of something, or has wrongfully refused him something or wrongfully affected his title to something; and this has been recently adopted as the definition of a 'person aggrieved' by a Divisional Court of the Queen's Bench in *Regina v Nottingham Quarter Sessions*: *ex-parte Harlow* (WN 13 June 1952). See also *Ex parte Official Receiver: in re Reed, Bowen and Company* [1887] CA 19 QBD 174 where Lord Esher MR said of this definition. This is not an exhaustive definition but it is an affirmative definition of a person who may appeal, and at all events it includes a person who has asked for a decision for which he had a right to ask and has been wrongfully refused. In that case the majority of the Court held that the Official Receiver was a person aggrieved by the refusal or adjournment of an application for an immediate adjudication of bankruptcy against a debtor. I have

> no doubt that in the present instance the Official Receiver comes within the definition for he, as trustee of the bankruptcy's estate, is aggrieved by an order which has wrongfully affected his title to certain goods or their value now in the hands of the respondents".

By necessary inference from the above authority, the Commission as receiver, is a necessary party to these proceedings.

I have, however, not lost cognisance of Mr *Mushokorwa*'s forceful argument that wages and salaries do not fall within the powers of the official receiver. Although he has pursued his arguments with considerable verve, I am not persuaded that he is correct in point of law. For as section 35(8)(*a*) of the Ordinance shows, compensation for work or labour done is a liability which is provable in bankruptcy. That being the position the Commission as a receiver has a duty to protect the appellant's property against that liability in terms of its powers under section 43(1) of the Act.

I would, upon the foregoing observations, allow the first ground of appeal.

As regards the second ground Mr *Mushokorwa* has argued that the requirement under section 9 of the Ordinance that no suit shall be instituted unless the High Court has granted leave to the Plaintiff does not affect the applicant because they claim employment benefits. I have reproduced at length Mr *Mushokorwa*'s argument and the rival proposition of Mr *Gomba* on this point. It seems to me to be a correct approach, however, that when parliament stated in section 43(1) of the Act "Notwithstanding any other law to the contrary" it declared so in its undoubted wisdom being aware of the existence of section 133 of the Employment Ordinance (Chapter 366). In my judgment, therefore, the former and new pieces of legislation override the latter and the old pieces of legislation. In that circumstance I am persuaded by Mr *Gomba* when he contends that when there is similar, and I would add, an identical, restriction in two statutory provisions the latter the latter provision prevails because if parliament intended to subordinate the latter legislation to the former statute it would have said so. In that context, and in view of the clear language of section 43(1) of the Act as read together with section 9 of the Ordinance, salaries and wages, being liabilities which are provable in bankruptcy, fall in the category of liability in respect of which leave of this Court must be sought and obtained before a suit in which they are claimed is instituted in any court of competent jurisdiction. Indeed, leave must be sought because salaries and other employment benefits are not secured debts. Secured debts are claims by secured creditors. Section 2 of the Ordinance defines the term "secured creditor" to mean – "a person holding a mortgage charge or linen on the property of the debtor, or any part thereof, as a security for a debt due to him from the debtor".

The respondents have not shown that they fall in that group of creditors. So there appears to be some confusion in the respondent's case regarding the difference between secured debts and preferred debts. Whereas secured creditors can sue without the leave of the Court, preferred debtors must obtain that leave before they can commence their proceedings. The learned authors of *Halsbury's Laws of England* (3 ed), throw some light on what preferred debts are all about in paragraph 963 of volume 2 of their work. I will, in order to remove the apparent confusion, expound on what preferred debts are.

There are certain unsecured debts which are given priority after they are proved over other debts, if their realisation affects property which is protected by a receiver under section 9 of the Ordinance. The learned authors of *Halsbury's Laws of England* say this about those debts –

> "963. Preferred debts. Subject to the foregoing provision and without prejudicing priority in particular cases . . ., there are certain debts which, both in bankruptcies . . . and in the administration of the estates of deceased insolvents, whether in bankruptcy . . . or in Chancery or out of court . . ., must be paid in full in priority to the other debts of the bankrupt, unless the assets are insufficient, in which case they are to abate in equal proportions amongst themselves (*g*). These preferred debts are as follows –
>
> (1) Rates and taxes, that is all parochial or other local rates . . . due from the bankrupt or insolvent at the date of the receiving order or the death, and having become due and payable . . . within twelve months next before that time . . ., and all assessed taxes, land tax, and property or income tax assessed on the bankrupt or insolvent . . . preceding the receiving order or the death and not exceeding in the whole one year's assessment . . ., and sums due at the date of receiving order or death from the bankrupt or insolvent as an employer on account of tax deductions under schedule E for the twelve months next before the date . . .;
>
> (2) Salaries, that is all wages or salary (o), whether or not earned wholly or in part by way of Commission . . ., of any clerk or servant in respect of services rendered to the bankrupt or insolvent during four months before the date of the receiving order or death".

In England, as indeed in our country, the preferred debts are to be paid forthwith subject to the retention of such sums as may be necessary for the costs of administration or otherwise. Secured creditors in bankruptcy are not affected: see the English case of *Richards v Kidderminster Overseers and another* [1986] 2 Ch 212. And in order to qualify as preferred debts the wages or salary must be in respect of personal services rendered by the clerk or servant, not those which he pays someone else to render (C*airney v Back* [1906] 2 KB 746).

From the above position of the law, then, what the respondents claim are preferred debts in respect of which they must obtain leave of the High Court in order to be able in law to institute a civil action to recover them.

Under the Bankruptcy Ordinance, of which section 9 forms part, the Court is the High Court. By necessary inference, when leave is sought to challenge the statutory power of the Commission over property belonging to a specified corporation, if granted the suit must be instituted in a court with competent jurisdiction over estates in bankruptcy, which is the High Court. A court of Resident Magistrate, or a District Court is not seized of jurisdiction to try such cases in as much as they are governed by the provisions of the Ordinance.

There is, however, authority for saying that under section 94 of the Ordinance the functions of the Court having jurisdiction in bankruptcy, the High Court, may, by order of the Chief Justice be delegated – "to any subordinate court either generally or for the purpose of any particular case or class of cases".

It follows, therefore, that since the powers of the Commission under section 9 of the Ordinance can only be challenged under bankruptcy procedures as laid down in the Ordinance, and there being no delegation of bankruptcy jurisdiction having been made to the trial Court, that court did not act *intra vires* its powers when it set about trying the case which is the genesis of this appeal. For authority on this, if any is required see *Official Receiver v Merssrs Ukamba Service Store* (*supra*) at 213 where it was held that:

> "Mr Master argued that a district registrar has no jurisdiction to make a receiving order and referred to section 94 of the Bankruptcy Ordinance which reads –

> 'The Court having jurisdiction in bankruptcy shall be the High Court: provided that the Chief Justice may by order delegate all or any part of the jurisdiction of the High Court in bankruptcy to any subordinate court either generally or for the purpose of any particular case or class of cases'.
>
> Under section 5 of the Ordinance only a 'Court' can make a receiving order, and 'Court' by definition in the Ordinance means a 'Court' having jurisdiction in bankruptcy and, in the rules, includes a subordinate court exercising jurisdiction in chambers.
>
> The effect of these provisions and delegations, it is said, is to confer jurisdiction to make a receiving order upon the Resident Magistrate, Tanga, in his capacity as Resident Magistrate and not in his capacity as District Registrar, although it is conceded that it is a necessary corollary that he should be also the District Registrar for the District Registry of Tanga.
>
> The jurisdiction of a District Registrar in bankruptcy is limited to taxing costs and making an interim receiving order in the circumstances prescribed in rule 8(*d*) of the High Court Registries (*Subsidiary Legislation* Volume V at 156–157)".

Thus since in the instant case where the Chief Justice has not made any delegation of jurisdiction in bankruptcy to the trial court, the proceedings in that court are a nullity. Consequently I would allow the second ground of appeal as well.

Upon the foregoing considerations and observations, and upon the reasons and grounds canvassed herein, the appeal is allowed with costs.

For the appellant:
A Gomba instructed by *Gomba & Tadayo Adv*

For the respondents:
J Mushokorwa

Githinji v Mumias Sugar Co Ltd
[1995–1998] 1 EA 81 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	2 April 1996
Case Number:	194/91
Before:	Akiwumi, Tunoi and Shah JJA
Sourced by:	P Le Pelley
Summarised by:	A Mwanzia

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[1] Employment – Wrongful dismissal – Contract stipulating payment of two months' salary in lieu *of notice – Whether employee wrongfully dismissed entitled to damages at large or two months' salary – Contract for an indefinite period providing mode of termination.*

Editor's Summary

The appellant was summarily dismissed from employment by the respondent. Under his contract of service, the appellant's services could be determined by the respondent giving two months' notice or

salary in lieu of such notice. The High Court found that the respondent was not justified in dismissing the appellant summarily without notice and awarded the appellant salary for two months' in lieu of notice.

The appellant appealed to the Court of Appeal. The only point in issue in the appeal was whether upon the wrongful termination of the employment of an employee he was entitled only to the amount specified in his contract of service as payable to him by his employer upon the termination of his employment wrongfully or otherwise, in lieu of notice and not to general damages at large.

Held – The appellant was only entitled to all that was due to him under and in accordance with his contract of service, which was two months' salary in lieu of notice (*Rift Valley Textiles Ltd v Oganda* [1992] LLR 308 (CAK) and *Ombaya v Gailey and Roberts Limited* [1974] EA 522 followed).

Appeal dismissed

Per curiam – Where a contract of service is for an indefinite period with an element of permanency and a degree of security of tenure in that it does not provide for its termination by the giving of notice or payment of salary in lieu thereof what the employee who is wrongfully dismissed will be entitled to, is that which is reasonable in the given circumstance (*Kyobe v East African Airways* [1972] EA 403 and *East African Airways v Knight* [1975] EA 166 followed).

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East African Airways v Knight [1975] EA 166 – **F**

Kyobe v East African Airways [1972] EA 403 – **F**

Ombaya v Gailey and Roberts Ltd [1974] EA 522 – **F**

Rift Valley Textiles Ltd v Oganda [1992] LLR 308 (CAK) – **F**

Judgment

AKIWUMI, TUNOI AND SHAH JJA: The only point in issue in this appeal is whether upon the wrongful termination of the employment of an employee he is entitled only to the amount specified in his contract of service as payable to him by his employer upon the termination of his employment wrongfully or otherwise, *in lieu* of notice and not to general damages at large. This was also the main ground of appeal that was argued before us.

The learned Judge of the High Court after considering carefully the evidence that was adduced before him, came to the conclusion that the respondent was not justified in dismissing the appellant summarily without notice. It was common ground that under his contract of services at the time, and having regard to the fact that he had been in the service of the respondent since 1975, his services could be terminated by the respondent giving him two months' notice or salary in lieu of such notice. This the learned Judge rightly held meant that the appellant's service could be terminated at any time without reason by giving him proper notice or salary in lieu of such notice. Whilst this principle would apply in the case of misconduct would the same apply where there was none?

Having concluded that it had not been established that the appellant had been guilty of misconduct, the learned Judge awarded the appellant salary for two months *in lieu* of notice. But counsel for the appellant has argued that general

damages rather at the rate of KShs 22 000 per annum should have been awarded to the appellant from the date of his wrongful dismissal till the date of judgment.

In coming to the conclusion that he did, namely, that as the contract of service had empowered the respondent to terminate the services of the appellant as it wished and without having to give any reason for doing so, by giving him two months' notice or paying him two months' salary *in lieu* of notice, and that the only amount that the appellant could properly and rightly claim upon his services being wrongly terminated was his two months' salary, the learned Judge considered the following authorities. He relied on the common law as summarised in the following paragraph 649 of *Hasbury's Law of England* (4 ed) Volume 16.

> "The fact that the dismissal of the employee is otherwise than in accordance with the procedure laid down in his contract does not, however, in a case where the rights of the parties are regulated by contract and are unaffected by statute, normally prevent the dismissal from being effective to terminate the contract , in such a case the employee cannot claim that the contract has not been validly terminated and his remedy is in damages".

In considering whether the appellant's rights were affected by statute the learned Judge also considered the only relevant legislation namely, the Employment Act, and came to the conclusion and we think rightly so, that in the particular circumstances of the appellant's employment including his contract of service, if anything, affirmed the common law on the issue.

Our view is that where a contract of service, unlike that of the appellant, is "for an indefinite period with an element of permanency and a degree of security of tenure" in that it does not provide for its termination by the giving of notice or payment of salary *in lieu* thereof, what the employee who is wrongfully dismissed will be entitled to is that which is reasonable in the given circumstance. (See *Kyobe v East African Airways* [1972] EA 403 and *East African Airways v Knight* [1975] EA 166.) But what if like that of the appellant, the contract of service contains specific provisions for notice for the termination of service. In the case *Ombaya v Gailey and Roberts Ltd* [1974] EA 522 at 524, Muli J as he then was, applying the common law, had this to say: "I think it is established that where a person is employed and one of his terms of employment include a period of termination of that employment, the damages suffered are the wages for the period during which his normal notice would have been correct".

The most recent and authoritative decision of this Court which applies the common law principles is the case of *Rift Valley Textiles Ltd v Oganda* [1992] LLR 308 (CAK). In that case, the contract of service of the respondent therein, provided that it could be terminated by either party giving a notice of three months to the other or paying salary *in lieu* of notice. When matter came before the High Court, the learned Judge having found that the dismissal was unlawful, and despite the respondent's admission that he had been paid three months' salary *in lieu* of notice, proceeded to award the respondent twelve months' gross salary as general damages. On appeal to this Court. this Court had no difficulty in holding that the learned Judge's decision was wrong. This Court's view was curtly and shortly, put this way:

> "We have no doubt whatsoever that the law did not entitle the judge to do any of these things. The contract of employment between the appellant and the respondent specifically provided for a notice period and it also provided for what was to be done

> if either party was unable to comply with the said notice period, namely to pay the other party for the notice period. In our view. even though the respondent's dismissal was unlawful, he had been paid all that he was entitled to be paid . . . under and accordance with the terms of his contract with the appellant".

In the present appeal before us we would also say the appellant herein, was only entitled to al that was due to him under and in accordance with his contract of service which was two months' salary *in lieu* of notice. This was what he was awarded by the High Court and we can find no fault with that.

In the result, the present appeal must be dismissed and it is so dismissed with costs to the respondents.

For the appellant:
Information not available

For the respondent:
Information not available

Kamaru and another v Mwang'ondu and another
[1995–1998] 1 EA 84 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	11 July 1995
Case Number:	14/89
Before:	Gicheru, Kwach and Tunoi JJA
Sourced by:	IT Inamdar
Summarised by:	A Mwanzia

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[1] Damages - Whether damages under Law Reform Act may be awarded in addition to damages under Fatal Accidents Act where they devolve upon the dependants of the deceased.

[2] Negligence - Contributory negligence - Must be specifically pleaded.

Editor's Summary

This appeal arose out of an action for damages under the Fatal Accidents Act (Chapter 32) and the Law Reform Act (Chapter 26) filed by the father and widow of a deceased pedestrian who was killed in a motor accident.

The trial Judge assessed the loss of dependency under the Fatal Accidents Act at KShs 270 000. He further awarded a sum of KShs 7 500 for pain and suffering and KShs 60 000 for loss of expectation of life under the Law Reform Act. The funeral expenses were agreed at KShs 5 000. Having added together all these sums, he reduced the total by 50% on the ground of the deceased's contributory negligence although the defendant had not pleaded any contributory negligence in his defence and no issue was raised in regard to it.

The plaintiff appealed against the reduction in damages on the ground of contributory negligence.

The defendant cross-appealed that the Judge had erred in awarding the sum of KShs 60 000 under the Law Reform Act in addition to the award of KShs 270 000 made under the Fatal Accidents Act.

Held – Allowing the appeal and the cross-appeal:

Contributory negligence must be specifically pleaded by way of a defence. In the absence of such pleading, it was not open to the trial Judge to reduce the damages on that account.

Since the damages under the Law Reform Act devolved on the dependants of the deceased, they must be taken into account in reduction of the damages under the Fatal Accidents Act. The Judge erred in allowing both sets of damages to the plaintiffs.

Editor's note

No point was taken in the court below or on appeal that the father and widow had not taken out representation to the estate of the deceased and as such could not bring an action under the Law Reform Act.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

United Kingdom

Davies and another v Powell Duffryn Associated Collieries Ltd [1942] 1 All ER 657

Fookes v Slaytor [1978] 1 WLR 1293; [1979] 1 All ER 137

Judgment

GICHERU, KWACH AND TUNOI JJA: This is an appeal and cross-appeal from a judgment of the High Court of Kenya at Nairobi (Mbogholi-Msagha J) delivered on 18 March 1988 the facts of which, so far as relevant, may be stated briefly as follows: On 4 June 1985 at about 5:45pm the deceased Caesar Wanyahora, a sewing machinist aged 26 years, was crossing Naivasha Road near Dagoretti, Nairobi, when he was knocked down by motor vehicle registration number KDL 111 owned and driven by the respondent (the defendant in the suit) as a result of which accident the deceased sustained serious injuries to which he succumbed and died on the same day. The appellants (the plaintiffs in the suit) are the father and widow of the deceased and claimed damages against the respondent for the benefit of the dependants of the deceased and his estate under the Fatal Accidents Act (Chapter 32) and the Law Reform Act (Chapter 26). After trial the learned Judge held: "Taking into consideration all the evidence in totality I find that both the deceased and the defendant were equally to blame in the occurrence of the accident. Each shall bear 50% of the blame".

The learned Judge found the deceased's salary to be KShs 3 000 per month and that half of it, that is KShs 1 500 per month, went for the upkeep of his family. The learned Judge held that a multiplier of 15 was appropriate in the circumstances. He assessed the loss of dependency in the sum of KShs 270 000. He awarded KShs 7 500 for pain and suffering and KShs 60 000 for loss of expectation of life. The funeral expenses were agreed at KShs 5 000. Finally, he reduced all these awards by 50% on the ground of contributory negligence by the deceased.

The appellants' main ground of appeal is that the learned Judge erred in concluding that the deceased was 50% negligent yet no issue of contributory negligence was ever pleaded. Mr *Mureithi*, counsel for the appellants, who also appeared for them in the superior court, has contended that the learned Judge was not entitled to reduce the damages on the ground of contributory negligence, because no such matter was in issue, the respondent not having

pleaded it nor having adduced any evidence in that respect. Moreover, Mr *Mureithi* submitted, the respondent having admitted his conviction for causing death by dangerous driving, the learned Judge erred in not finding the respondent solely to blame for the accident.

The respondent had filed a defence to the suit. In it he denied that he was guilty of negligence as alleged. He averred that the accident was occasioned solely as a result of gross negligence on the part of a third party who allegedly overtook the respondent's motor vehicle at a very high speed and in a most dangerous manner and hit the deceased thereby knocking him down and injuring him. The respondent contended that he only stopped at the scene of the accident to help carry the deceased to hospital as the third party's motor vehicle had fled the scene. When the trial commenced the respondent's advocate sought formal leave to amend the defence to incorporate a plea of contributory negligence on the part of the deceased. It was resisted by Mr *Mureithi* and the learned Judge ruled that as the issue was not raised in the defence and even on two other previous occasions when the case came up for hearing, it would be prejudicial to the appellants' case if he granted leave to amend. He rejected the application but also said: "if however there is evidence canvassed in the course of the trial in respect of the issue not pleaded the court shall have the discretion to consider the same in the final judgment".

In this case it should have been apparent to counsel for the! respondent right from the beginning that the issue of contributory negligence might possibly arise but despite his very wide experience he did not plead it. Moreover, he did not take the appropriate steps to amend the defence until the trial commenced. It was quite clear at the outset that the action was for damages resulting from the negligence of the respondent. There was no allegation that the deceased had been negligent. In those circumstances, was it right for the learned Judge to make a finding of negligence against the deceased in the absence of plea to that effect? In our view it was wrong for him to do so.

In the case of *Fookes v Slaytor* [1978] 1 WLR 1293 the plaintiff, while driving at night, came into collision with the unlighted trailer of an articulated vehicle parked by the side of the road as a result of which he suffered personal injuries. He brought an action for damages for negligence against the driver and owners of the articulated vehicle. After the owners had delivered a defence alleging that the driver was not acting as their servant or agent, the action against them was discontinued. The driver did not serve a defence. On the plaintiff's application he was ordered to deliver a defence within a stated time, failing which he would be debarred from defending. He failed to deliver a defence and, although he was informed of the date and time of the hearing in the country court, he did not appear and was not represented. The plaintiff gave evidence of the accident. The Judge found that the defendant had been negligent but that the plaintiff's own negligence had contributed to the accident and he reduced the amount of damages by one third.

On appeal by the plaintiff it was held, allowing the appeal, that contributory negligence had to be specifically pleaded by way of defence to a plaintiff's claim of negligence; that, since there had been no such plea, the judge had erred in law in finding that the plaintiff's negligence had contributed to the accident.

The authority, though not of course in any way binding on this Court, is directly on the point and is in favour of the proposition on which the appellants

rely herein. With all due respect to the learned Judge, it was not open for him to treat the matter as if there was a plea of contributory negligence before him. Again, it was an error on his part having disallowed the application to amend the defence to hold that he still had a discretion to consider the issue in his final judgment.

We see no substance in the other grounds of appeal and we need not revisit them. In the result, we allow the appeal, set aside the decision of the High Court dated 18 March 1988. The appellants will have the costs of the appeal.

We now deal with the cross-appeal. It was contended by Mr *Inamdar*, for the respondent, that it was wrong on the part of the learned Judge to award a sum of KShs 60 000 under the Law Reform Act when damages had already been assessed at KShs 270 000 under the Fatal Accidents Act. Mr *Inamdar* submitted that at the final award should be reduced accordingly by that sum.

The rights conferred by section 2(5) of the Law Reform Act for the benefit of the estates of deceased persons are stated to be "in addition to and not in derogation of any rights conferred on the dependants of the deceased persons by the Fatal Accidents Act". This does not mean that damages can be recovered twice over but that if damages recovered under the Law Reform Act devolve on the dependants the same must be taken into account in reduction of the damages recoverable under the Fatal Accidents Act. The House of Lords held in the case of *Davies and another v Powell Duffryn Associated Collieries Ltd* [1942] 1 All ER 657 that in assessing damages under the Fatal Accidents Act of 1846, damages under the Law Reform (Miscellaneous Provisions) Act of 1934, must be taken into account in the case of dependants who will benefit under the latter Act. The cross-appeal, in our view, must succeed and is allowed with costs.

As the appeal and cross-appeal have been allowed the appellants will have judgment in the sum of KShs 222 500 together with ¾ of the costs of the appeal and interest at court rates.

For the appellants:
Mureithi

For the respondents:
IT Inamdar and *Pramod Patel* instructed by *Inamdar and Inamdar*

Karauri v Ncheche
[1995–1998] 1 EA 87 (CAK)

Division:	Court of Appeal of Kenya at Nyeri
Date of judgment:	16 May 1997
Case Number:	192/96
Before:	Kwach, Pall JJA and Bosire AJA
Sourced by:	IT Inamdar
Summarised by:	A Mwanzia

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[1] Damages – Special damages – Loss of earnings – Whether claim for loss of earnings a special damage – Whether claim must be pleaded and proved.

[2] Evidence – Expert opinion – Medical report as to party's injuries produced in evidence by injured party – Whether production of report lawful – Section 35 – Evidence Act (Chapter 80).

[3] Evidence – Proof – Ownership of motor vehicle – Whether information contained in a police abstract sufficient – Whether certificate of search signed by Registrar of Motor Vehicles must be produced.

[4] Limitation of actions – Extension – Party obtaining order extending time to file suit in a negligence action – Whether court order ought to be served on defendant together with plaint – Whether court order must be produced in evidence – Consequence of failure to serve and/or produce order.

Editor's Summary

The respondent had sued the appellant in the High Court seeking to recover damages for personal injuries she claimed to have suffered in an accident involving a motor vehicle in which she was travelling and which she alleged was owned by the defendant.

At the hearing, although the defence had raised the issued of time bar, the respondent contended that an order extending time within which to file the plaint had been obtained but did not produce the order. The appellant had also denied ownership of the motor vehicle. The respondent relied on the contents of a police abstract describing the appellant as the owner. The respondent had been involved in an earlier accident and injured on the same leg. She consulted a doctor six years after the accident and produced a medical report as evidence. The trial Judge awarded the respondent KShs 324 000 for loss of earnings; KShs 250 000 for her injuries; and KShs 1 350 as special damages. The claim for loss of earnings had not been pleaded although the respondent in her evidence said that she used to run a kiosk business from which she made KShs 50 000 per month but produced no documentary evidence to support it.

The appellant appealed to the Court of Appeal.

Held – The order extending time within which to file suit, should have been served on the defendant with the Plaint. Since it was not, the plaintiff's advocate was under a duty to prove its existence as part of the plaintiff's case at trial. Because this was not done, the defence of limitation raised by the defendant in his defence stood, and the plaintiff should have been non-suited forever.

It was incumbent on the plaintiff to place before the court a certificate of search signed by the Registrar of motor vehicles showing the registered owner of the vehicle as proof of ownership. Reliance on the contents of a police abstract was not sufficient proof.

The medical report produced by the plaintiff was put in evidence in breach of section 35 of the Evidence Act. The Doctor should have been called to produce it. The contents of the report were of little probative value as it was prepared six years after the event, and it was impossible to determine which injuries were caused by the accident since the plaintiff had been involved in another accident five years earlier. The award on pain, suffering and loss of amenities was erroneous and was to be set aside.

The claim for loss of earnings was a special damage, which should have been pleaded and proved. The plaintiff's failure to plead the same meant that there was no legal basis for the award and it was to be set aside.

Appeal allowed.

No cases referred to in judgment

Judgment

KWACH, PALL JJA AND BOSIRE AJA: Agnes Ncheche, the respondent in this appeal (hereinafter called "the plaintiff") sued Tharanira Karauri, the appellant (hereinafter called "the defendant") in the Superior Court, seeking to recover damages for personal injuries she claimed to have suffered in an accident on 6 November 1988, involving a motor vehicle, an Isuzu lorry KWT 840, which she said was owned by the defendant. According to her plaint dated 3 November, 1994 and filed in court on 24 November 1994, the plaintiff averred that she was travelling on the vehicle as a passenger along Embu-Kiritiri road when the accident happened. She said it was being driven negligently by the defendant's driver and she gave the pro forma particulars of negligence. As a result of the accident she said she sustained a fracture of the left leg, deformity and scar on the medical aspect. She claimed special and general damages.

The defendant filed a defense on 31 August 1995, in which he denied, owning the vehicle; occurrences of the accident; alleged negligence; and the injuries sustained by the plaintiff. The defendant also raised the defence of limitation claiming that the suit was time-barred under the provisions of section 4(2) of the Limitation of Actions Act (Chapter 22) ("the Act"). In the reply to the defence filed on 13 October 1995 it was averred that leave to file the suit out of time was duly granted by the Superior Court on 13 July 1995.

At the trial before Etyang J only the plaintiff gave evidence. No evidence was led for the defence. In her evidence the plaintiff told the Judge that she had hired the lorry to carry her property to Mwingi. They had set off from Meru at 6:00pm. It was raining and the driver was going very fast when the lorry overturned at Gachoka at 11:00pm. She was taken to Embu Provincial Hospital. Among the documents she tendered in evidence were a police accident abstract a P3 signed by the medical officer Nyambene, and a medical report dated 15 November 1994 prepared by Dr Maina Ruga. She admitted under cross-examination that she had been involved in a previous accident in 1983 in respect of which she has sought compensation and she was paid KShs 147 000. It involved the same leg (left) though she said she had sustained only a bruise . She declined to give details of the case or pretended not to remember.

The Judge awarded the plaintiff KShs 324 000 for loss of earnings; KShs 250 000 for her injuries which we assume was for pain suffering and loss of amenities; and KShs 1 350 as special damages.

As the issue of limitation goes to jurisdiction, we shall deal with it first. The plaintiff's answer to the defendant's plea that the claim was time-barred was that she had obtained the necessary extension from the Superior Court. She did not produce any such order and none was shown either to the Judge or to the counsel for the defence. We do not understand how the Judge could proceed with the trial without finally determining such an important point of jurisdiction. The order for extension, if indeed obtained, as alleged, should have been served on the defendant with the plaint. And since it was not, the plaintiff's advocate was under a duty to prove its existence as part of the plaintiff's case at the trial. Since this was not done, the defence of limitation raised by the defendant in his defence stood, and the plaintiff should have been non-suited forever. In view of this failure, the plaintiff's suit was incompetent and should have been struck out. This finding alone is sufficient to dispose of this appeal but as there are other serious errors that occurred, we find it necessary to deal with them.

The plaintiff did not prove that the vehicle which was involved in the accident was owned by the defendant. As the defendant ownership, it was incumbent on the plaintiff to place before the Judge a certificate of search signed by the Registrar of Motor Vehicles showing the registered owner of the lorry. Mr Kimathi, for the plaintiff submitted that the information in the police abstract that the lorry belonged to the defendant was sufficient proof of ownership. That cannot be a serious submission and we must reject it.

Secondly, the medical report prepared by Dr Maina Ruga was produced by the plaintiff herself in breach of the clear provisions of section 35 of the Evidence Act (Chapter 8). It was not produced by consent. Dr Ruga should have been called to produce it. The Judge clearly erred in admitting it . The contents of the report itself were of little probative value. The doctor purported to express an opinion on injuries which were sustained six years earlier. The plaintiff had never been his patient prior to 15 November 1994 when he saw her. As the plaintiff had been involved in another accident 5 years earlier, which she concealed, it is impossible to determine which injuries were caused by the accident involving the accident lorry. In our view, the award made in respect of pain suffering and loss of amenities was erroneous as there was no evidence to support it. It is accordingly set aside.

The claim for loss of earning is a special damage. It must be pleaded and proved. That is the law. It was not pleaded. The plaintiff gave some evidence in which she said she used to operate a kiosk of some sort at Kasarani, near Nairobi, from which she made KShs 50 000 per month. She produced no documentary evidence to support this claim but even if she had, it would have been of no practical value because the claim was not pleaded. There was really no legal basis for the award and it's accordingly set aside.

In the final analysis, the appeal succeeds and is allowed. We set aside the judgment and decree of the Superior Court, and in view of our finding that the claim was time-barred, which rendered the suit incompetent, we substitute an order striking out the plaintiff's suit with costs to the defendant. The defendant will also have the costs of this appeal.

For the appellant/defendant:
Information not available

For the respondent/plaintiff:
L Kimathi instructed by *L Kimathi Kiara & Co*

Kariuki v County Council of Kiambu and another
[1995–1998] 1 EA 90 (HCK)

Division:	High Court of Kenya at Nairobi
Date of ruling:	5 May 1995
Case Number:	1446/94
Before:	Keiwua J
Sourced by:	LawAfrica
Summarised by:	HK Mutai

[1] Civil procedure – Application for judicial review – Intitulation of suit – Service of notice on Registrar – Failure to serve – Verifying affidavit – By whom affidavit to be signed – Inherent power of court – Circumstances under which inherent power can be invoked – Locus standi *– Whether failure to properly intitule application rendered it*

defective – Whether failure to serve Registrar rendered application defective – Whether applicant had standing to bring suit – Sections 3A and 61 – Civil Procedure Act (Chapter 21) – Orders L and LIII – Civil Procedure Rules – Section 9 – Law Reform Act (Chapter 26).

Editor's Summary

The applicant sought an order of prohibition from the High Court to prevent the first respondent from subdividing forest land that formed part of its trust land. His application for leave to file the suit was due for hearing on 20 December 1994. On that date he was to satisfy the court that he could sue without obtaining the Attorney-General's consent under section 61 of the Civil Procedure Act. When the date arrived, he applied for and was granted an adjournment to the following day. No reason for the adjournment was recorded. The application was subsequently heard on 21 December and ruling delivered on 9 January 1995. The applicant then filed the substantive application for prohibition against the respondent on 19 January 1995. On 27 January, the respondents filed a preliminary objection seeking the striking out of the application. The grounds on which the application were based were, *inter alia*, that the applicant had failed to observe the mandatory rules regarding notice, that the application was wrongly intituled and that the applicant lacked standing to bring the suit.

Held – Order LIII, rule 1(3) of the Civil Procedure Rules required notice to be served on the Registrar in order to enable the Attorney-General to oppose the application if he so wished. This was a mandatory requirement and failure to observe it rendered an application defective *ab initio* (*Ndungu v Muthoni* High Court miscellaneous application number 93 of 1990 applied). In this instance, no notice had been given as required by the Rules and this non-compliance was fatal to the application.

Where a statutory provision was available to an aggrieved party seeking to invoke the jurisdiction of the court, that party could not properly invoke the inherent power of the court. Section 3A of the Civil Procedure Act was a provision of last resort that was available only when no other provision was available (*Karuri and others v P Investment Private Limited* High Court civil case number 1575 of 1991 followed).

It was a mandatory requirement of the Civil Procedure Rules that an application for judicial review be correctly intituled (*Farmers Bus Service and others v Transport Licensing Appeal Tribunal* [1959] EA 779 followed). In this instance, the applicant erred in his intitulation of the suit and this was fatal to his application.

It was the duty of the Attorney-General to sue on behalf of the public for the purpose of preventing public wrongs and a private individual could only do so where he was able to show that he would sustain injury as a result of a public wrong (*Maathai v Nairobi City Council* High Court civil case number 72 of 1994 followed). The plaintiff's interest was the determining factor in deciding whether or not they could sue independently and without the consent of the Attorney-General. Where a plaintiff applied for leave he had to show a *prima facie* case or that there were reasonable grounds for believing that there had been a failure of public duty (*Gouriet and others v H M Attorney-General and Union of Posts Office Engineering Union* [1977] All ER CA 696 adopted). In this instance, the applicant had failed to show that there was a failure of public duty by the first respondent and or that what it was setting out to do was *ultra vires*.

Preliminary objection upheld, application struck out.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Farmers Bus Service and others v Transport Licensing Appeal Tribunal [1959] EA 779

Karuri and others v P Investment Private Limited High Court civil case number 1575 of 1991

Maathai v Nairobi City Council High Court civil case number 72 of 1994

Ndungu v Muthoni High Court miscellaneous application number 93 of 1990

United Kingdom

Gouriet and others v H M Attorney-General and Union of Posts Office Engineering Union [1977] All ER CA 696

Ruling

KEIWUA J: These proceedings were commenced by an application for leave under section 3A of the Civil Procedure Rules section 9 of the Law Reform Act (Chapter 26) and the Judicature Act (Chapter 8) the inherent power of the court and all other enabling powers and provisions of the law.

The application came for hearing before Mr Justice Pall on 20 December 1994 when the counsel for Mr Lawrence Nginyo Kariuki applied to adjourn that hearing to 21 December 1994. No reason for that adjournment is apparent from the court record.

The application was eventually heard on 21 December 1994 when the said Mr Lawrence Nginyo Kariuki was to satisfy the Judge that he can sue without the consent of the Attorney-General under section 61 of the Civil Procedure Act (Chapter 21). The ruling was delivered on 9 January 1995 when it was indicated by the Court that:

> "Also it should be remembered if leave is granted on the ground that the applicant has a requisite interest in the matter neither the Court itself nor the opposite party will be precluded from contending afresh or contending as the case may be that the applicant has no sufficient interest to maintain his application for judicial review. In other words if leave is granted this will not act as a fetter on Court's power to grant or refuse substantial relief sought in the application for judicial review".

The application for prohibition was filed in Court on 19 January 1995. A notice of preliminary objection dated 27 January 1995 was filed in Court by the first respondent. It urged that there is no proper and competent application before the Court. It was the submission of the respondent that it be struck out. The second respondent joined and urged the same preliminary objection.

The respondents say the said Lawrence Nginyo Kariuki has failed to observe the mandatory provisions of Order LIII, rule 1(3) as far as the notice to the registrar was concerned. It was not given and the adjournment sought on 20 December 1994 when the application came for hearing did not alter the position as the application for leave came and was for hearing without the notice to the registrar. That application became defective *ab initio* and no subsequent adjournment and purported compliance was effective to cure it.

In support the respondent rely on the ruling in Mombasa *Ndungu v Muthoni* High Court miscellaneous application number 93 of 1990 in which two judges of that court held there is a purpose to be served by the notice required by Order LIII, rule 1(3) in that the republic in whose name such proceedings are brought always has an interest in the matter and notice to the registrar is a notice to the republic for the Attorney-General to come and oppose the application if he so wishes. It is a mandatory requirement of the law and must be observed and failing which an application affected such non compliance is defective abinito. Speaking for my part, I do agree with that view of the law.

In the present case what is to be considered is whether it was still open to the said Lawrence Nginyo Kariuki to apply for unexplained adjournment of a hearing of an application for leave and go and purport to give notice of the application hearing to the registrar. As I had earlier on indicated, it was not disclosed to the Court what the purpose of the adjourned hearing was. In fact that notice does not mention that the application was for hearing on 20 December 1994 and it was adjourned to 21 December 1994.

The notice is dated 19 December 1994 which seems to show that the application for leave proceeded before the Judge without the notice to the registrar being filed and given. I am afraid these subsequent manouvres will not assist to cure the defect in the application. I am satisfied that no notice as required by rule 1(3) of Order LIII has ever been given. The non-compliance is fatal to the application then before the Judge and that now before me.

The other preliminary objection taken by the respondents is that the statement of fact is signed by counsel who should have sworn a verifying affidavit in terms of rule 1(2) of Order LIII. The statement ought to have been verified by the person making it not by a different person. The reading of that rule appear to suggest that there can be more that one affidavit to verify the facts in the statement. I am of the view that one of these affidavits must be by the person making the statement of facts who should be able to verify those facts.

It is urged that the chamber summons and the notice of motion do not pretend to have been brought under Order LIII of the Civil Procedure Rules. They do not refer to it. It is therefore clear that the jurisdiction giving power to the court issue the order of prohibition has not been invoked. I am referred to the ruling of my brother Bosire J in *John Karuri and others v P Investment Private Limited* High Court civil case number 1575 of 1991 in which he said:

> "Order L rule 12, above, to my mind deals with omissions to state the statutory provision under which or by virtue of which an application is brought. However, to my mind it does not cover situations where a wrong or incorrect provision of the law is stated. When such is the case a party has the liberty to seek the leave of the court to amend the application in that regard . . .
>
> A statutory provision cited invokes the jurisdiction of the court. If the jurisdiction of the court is not properly invoked an application becomes incompetent. This is not the sort of matter the inherent power of the court can be invoked".

I agree with Bosire J that what should have been done under a specific provision of the Rules like Order LIII cannot be property done under the inherent power of the court. It cannot as section 3A of the Civil Procedure Act shows, is a provision of last resort when no other jurisdiction is available to an aggrieved party who seeks to invoke the jurisdiction of a court. Equally the omnibus statement and "all other enabling powers and provisions of the law will not do here as I have enabling powers and provisions of the law" will not do here as I

have held as Bosire J did that the invocation of the jurisdiction of the court is specifically provided by Order LIII which cannot in this regard be an ancillary of any other provision cited but the main provision as can be seen from section 9 of the Law Reform Act that creates the requirements for leave in matters covered by Order LIII jurisdiction.

As in the case before Bosire J the said Mr Lawrence Nginyo Kariuki did not see it fit to apply to amend the heading of his application as it is the thing envisaged and allowable under Order L, rule 12.

The application is also attacked as incompetent as the same is wrongly intituled. This is the effect of the decision of the Court of Appeal for Eastern Africa in *Farmers Bus Service and others v The Transport Licensing Appeal Tribunal* [1959] EA 779 in which it was held: "Leave having been granted, the notice of motion should have been intituled: *Republic v The Transport Licensing Appeal Tribunal* ex parte (the applicants)".

I am bound by that decision which arose out of the consideration of the provisions of the Kenya Civil Procedure Rules and I hold that non compliance to what that case sets out is fatal to the application and more so when no application to amend had been forthcoming.

The application is also attacked for lack of standing on the part of Mr Lawrence Nginyo Kariuki. He ought to have observed the provisions of section 61 of the Civil Procedure Act. It is the Attorney-General or persons with his consent who should have applied.

In *Maathai v Nairobi City Council* High Court civil case number 72 of 1994 I referred to a passage in the House of Lords decision in *Gouriet and others v H M Attorney-General and Union of Posts Office Engineering Union* [1977] All ER CA 696 which held:

> "(1) That save and insofar as the Local Government Act of 1972 section 222 gave Local Authorities a limited power to do so, only the Attorney-General could sue on behalf of the public for the purpose of preventing public wrongs and that a private individual could not do so on behalf of the public, though he might be able to do so if he would sustain injury as a result of a public wrong for the court has no jurisdiction to entertain such claims by private individuals who had not suffered and would not suffer damage".

I did in that case deal with the Plaintiff's interest which to my mind is the determinant factor as to whether they can sue dependently and without consent of the Attorney-General. I did the Plaintiff in that case did not have a distinct interest the matter. I said the sufficiency of the Plaintiff's interest must be looked at with regard to the kind of the premises the suit land is. I pointed out that the Plaintiff's interest in the matter was restricted by among other things by the statute law of Kenya.

In the present case the interest of Lawrence Nginyo Kariuki will also depend on the kind of interest he might have in the suit land at Kamiti forest. Like in High Court civil case number 72 of 1994 Lawrence Nginyo Kariuki says he has no interest as such but says he has interest as a shareholder of a farming company that owns some land adjacent to Kamiti forest land. My approach in High Court civil case number 72 of 1994 is fortified in the following passage in the judgment of Lord Wilberforce on *Gouriet v H M Attorney-General and Union of Post office Workers* at 482:

> "The one legal principle which is implicit in the case law and accurately reflected in the rule of court, is that in determining the sufficiency of an applicant's interest it is necessary to consider the matter to which the application relates. It is wrong in law,

> as I understand the cases for the court to attempt an assessment of the sufficiency of an applicant's interest without regard to the matter of his complaint. If he fails to show, when he applies for leave, a *prima facie* case, or reasonable grounds for believing that there has been a failure of public duty, the court would be in error if it granted him leave".

This application is to prohibit the subdivision of the Kamiti forest land which is part of the first respondent's trust land. In order to establish reasonable grounds for believing there is a failure of public duty, Lawrence Nginyo Kariuki must show that the first respondent has set itself out to do is ultra vires to both the Local Government Act (Chapter 265) and the Trust Land Act (Chapter 288).

The Local Government Act in sections 144, 145(*g*) and 177 do empower the first respondent to subdivide and allocate any of its lands as it has done with the Kamiti forest land. No provision has been cited to me that the first respondent has acted contrary to in subdividing and alienating any of its said land.

In my judgment there are no reasonable grounds on the part of Lawrence Nginyo Kariuki for believing there is a failure of public duty as the first respondent acted as provided by an Act of Parliament. If it is wrong to subdivide any forest land under the ownership of any local authority then Parliament must enact so. For the moment it has not done so.

In his ruling on the application for leave Pall J reserved to the Court and the opposite party to question afresh the sufficiency of Mr Lawrence Nginyo Kariuki's interest to maintain the application. In as much Lawrence Nginyo Kariuki is not complaining of any non compliance of any statutory provision governing the suit premises, I am afraid he has no *locus standi* in the matter to being a position to complain of the acts of the first respondent. Equally as a farmer or environmentalist the Local Government Act (Chapter 265) or the Trust Land Act (Chapter 288) has not given him any *locus* to complain. He has not satisfied me that he has *locus standi* to bring these proceedings. Accordingly the preliminary objections succeed and the application is struck out with costs to the respondents.

For the applicant:
Ndegwa

For the respondent:
Njenga Njau and Kinyanjui

Katerega and another v Uganda Electricity Board
[1995–1998] 1 EA 95 (HCK)

Division:	High Court of Uganda at Mengo
Date of ruling:	8 August 1997
Case Number:	12/96
Before:	Oder, Tsekooko and Karokora JJSC
Sourced by:	LawAfrica
Summarised by:	A Mwanzia
Appeal	High Court Kampala, Berko J

[1] Evidence – Proof – Burden of proof – Plaintiff to prove whether tortfeasor an employee and committed act in scope of his employment.

[2] Tort – Master and servant – Vicarious liability – Plaintiff alleging tortuous act done by servant in scope of his employment – Plaintiff must prove that tortfeasor was employer's servant and was acting in scope of his employment.

Editor's Summary

The appellants had brought an action in the High Court against the respondent claiming special damages totalling KShs 60 014 900 for destruction of property and shop goods by electric fire. The second appellant was the owner of a house situated at Wobulenzi trading centre and had a shop in the same premises where he kept his wares. The first appellant was the second appellant's tenant in that same premises and had a shop where he kept trade goods. One Sebagala had a building adjacent to the suit premises. Sebagala contacted a Mr Lugolobi who was an employee of the respondent and requested Lugolobi to supply him with electricity.

There was an electricity pole between Sebagala's house and the suit premises. On 12 November 1991, Sebagala and Lugolobi came to Wobulenzi trading centre with electricity wires. Lugolobi climbed the pole and connected the electricity wires to the pole. He then passed the wires over the roof of the suit premises and connected them to Sebagala's house leaving the wire lying on the corrugated roof of the suit premises. At that time there was no electricity at Wobulenzi. During the night of 13 December 1991, electricity power came back. The loose wire lying on the roof of the suit premises ignited as a result of the contact with the corrugated iron sheets. There was a big explosion followed by fire which engulfed the suit premises. The premises was completely burnt down together with goods and properties therein.

The appellant's action was dismissed by Berko J. They appealed on the ground that the Learned trial Judge erred when he held that Lugolobi, a respondent's servant, was not acting in the course of his employment. The appellants criticised the Learned trial Judge for holding that the appellants should have called evidence to prove that Lugolobi was acting within the scope of his employment as a servant of the respondent. It was contended that it was the respondent who ought to have called evidence to prove that Lugolobi was acting on a frolic of his own when he connected the electricity supply. On behalf of the respondent, it was contended that the fact that Lugolobi connected the electricity wires during broad day time was not evidence that he was on duty, that there was no evidence to prove that Lugolobi's duty was to supply electricity on a full-time basis or that he had the respondent's wires on a full-time basis, and that the respondent had no evidential burden to discharge.

Held – The Learned High Court Judge was right in concluding that there was insufficient evidence to establish that Lugolobi acted within the scope of his employment when he carried out the electrical connections. There wasn't any evidence (a) that Lugolobi was an electric technician, (b) that he was employed as such by the respondent; and (c) that at the material time he had instructions from the respondent to act to connect electricity to Sebagala's house.

Per Karokora JSC – There was no evidence in the pleadings to show that Sebagala had made a request to the respondent for power supply and neither was there any evidence to prove that the respondent sent Lugolobi to connect electricity to Sebagala and that therefore whatever he did was done in the course of his employment as a servant of the respondent.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Muwonge v Attorney-General [1967] EA 17

Selle and another v Assoc Motor Boat Company [1968] EA 123

Uganda American Insurance Company Limited v Ruganzu civil appeal 10 of 1992 (UR)

United Kingdom

Morganc v Laudbury and others [1972] 2 All ER 606

Poland v Johnfarr and sons [1927] 1 KB 236

Judgment

TSEKOOKO JSC: This appeal is against the judgment of the High Court at Kampala. The appellants brought an action against the respondent claiming for special damages totaling shillings KShs 60 014 900 because of destruction of property and shop goods by electric fire and general damages. The action was dismissed by Berko J on 21 December 1994.

The facts of the case as found by the Learned trial Judge are simple. The second appellant was the owner of a house situated at Wobulenzi Trading Centre. The house (hereinafter called the suit premises) was given to him and his wife Marium (PW8) by his father-in-law, Sulaiman Bin Sayid upon the marriage of the two. The second appellant is a businessman and had a shop in the same premises where he kept his wares. The first appellant, also a businessman, was a tenant in that house where he kept his trade goods. One Sebagala had a building adjacent to the suit premises. At the relevant time most houses in Wobulenzi including the suit premises did not have electricity supply. The said Sebagala contacted one Lugolobi, an employee of the respondent, and requested Lugolobi to supply him with electricity.

There was an electricity pole in between Sebagala's house and the suit premises. On 12 November 1991 Sebagala and Lugolobi came to Wobulenzi Trading Centre with electric wires, Lugolobi climbed the pole and connected the electricity wires to the pole. He then passed the wires over the roof of the suit premises and connected the wires to Sebagala's roof of the suit premises. At that time there was no electricity at Wobulenzi. During the night of 13 November 1991, electricity power was back. The loose wire lying on the roof of the suit premises ignited as a result of the contact with the corrugated iron sheets. There was a big explosion followed by fire which engulfed the suit premises. Many people came to the scene. An employee of the respondent was contacted. He switched off an electricity sub-station but the fire continued to burn. Before the fire could be brought under control the suit premises had been completely burnt down. The goods and properties of the tenants in the suit premises were also burnt down. Four issues framed for decision by the trial Court were:

(i) Whether the defendant's servant was negligent.

(ii) Whether the defendant's servant was on a frolic of his own.

(iii) Whether the plaintiffs had the properties listed on the premises at the time of the incident and what were their values.

(iv) Quantum of damages.

The appellants called nine witnesses (inclusive of themselves) in support of their claims. The respondent elected not to call witnesses.

The Learned trial Judge answered the first issue in the positive, therefore in favour of the appellants. He answered the second issue in the positive, therefore, against the appellants.

The Learned trial Judge dismissed the suit. Hence this appeal. The memorandum of appeal contains two grounds.

The first ground of appeal complains that the Learned trial Judge erred in law and in fact when he held that Lugolobi, a respondent's servant, was not acting in the course of his employment.

This is really the basis of this appeal.

In paragraphs 8 to 11 and 14 of the plaint, the appellants averred as follows:

> "8. One Sebagala has a building adjacent to the second plaintiff's premises and desired to have electricity supplied to his house.
>
> 9. The second plaintiff's house had no electricity and had never been installed with electricity.
>
> 10. Sebagala contacted one Lugolobi, an employee of the defendant in the course of his employment and requested him to supply electricity.
>
> 11. Lugolobi negligently/carelessly connected electricity wire to the supply pole and passed it on the roof (of corrugated iron sheet) of the second plaintiff of the premises and connected it on Sebagala's house and went away leaving the wire lying on the second plaintiff's house.
>
> 12. . . .
>
> 13. . . .
>
> 14. The plaintiffs aver and contended that the fire was caused solely by the negligence of Lugolobi the defendant's servant in the course of his employment and the plaintiff suffered loss and damage."

These averments do not indicate the precise nature of the duties of Lugolobi as servant of the respondent. Nor do these allegations in the plaint show that Sebagala had made a request to the respondent for supply of electricity. Apparently Sebagala contacted Lugolobi personally. In paragraph 4 of its written statement of defence, the respondent pleaded:

> "4 Without prejudice to paragraph 3 herein the defendant's servant was carrying out connection of electricity without the authority of the defendant and as such he was acting outside the scope of his employment."

The second issue was phrased as it was because of the pleadings I have just reproduced above. The result was that since the appellants alleged that Lugolobi connected electricity in the course of his work as a servant of the respondent, it was incumbent upon the appellants to adduce evidence to prove that Lugolobi was acting within the scope of his employment.

Dr *Byamugisha*, counsel for the appellants referred to the correct applicable principle of the law when he submitted that once it is shown that a master/servant relationship exists, a master is liable unless it is proved that the servant acted outside the scope of his employment: *Morganc v Laudbury and others* [1972] 2 All ER 606; *Muwonge v Attorney-General* [1967] EA 17 and *Selle and another v Assoc Motor Boat Company* [1968] EA 123.

However, Dr *Byamugisha* criticised the Learned trial Judge for holding that the appellants should have called evidence to prove that Lugolobi was acting within the scope of his employment as a servant of the respondent. Learned counsel further contended in effect that the second issue required the respondent to adduce evidence to prove that Lugolobi was on a frolic of his own when he connected the electricity supply. Learned counsel relied for this proposition on the decision of this Court. In *Uganda American Insurance Company Limited v Ruganzu* civil appeal 10 of 1992 (UR). He contended that the respondent enjoys monopoly to supply electricity under sections 9 and 18 of the Uganda Electricity Board Act (Chapter 135). Counsel implied that this makes

the respondent liable for any act or omission of its servants. He further contended that because Lugolobi, a UEB employee, wore a UEB overall and connected electricity wires from a UEB pole to a UEB metre on Sebagala's house, the respondent had to adduce evidence to show that Lugolobi was acting outside the scope of his employment.

Mr *Kanyemibwa*, counsel for the respondent cited some authorities and principles giving rise to liability because of a master/servant relationship and submitted that the fact that Lugolobi connected the electricity wires during broad day time is not evidence that he was on duty. He submitted that section 18 of UEB Act was inapplicable; that there was no evidence to prove that Lugolobi's duty was to supply electricity on a full-time basis or that he had UEB wires on a full-time basis; that the respondent had no evidential burden to discharge. He contended that the *Uganda American Insurance* case (*supra*) was distinguishable. I agree and think that the decision is against the appellants. *Uganda American Insurance* case involved an employee where evidence showed that the performance of his duties involved use of his master's vehicles. The Learned Judge directed himself on the principles of the law which give rise to the liability of an employer arising from the acts or omissions of his or her employee. He summarised the relevant evidence and went on to state at 50, as follows:

> "In the instant case since it was pleaded that it was Sebagala who contacted Lugolobi to do the connection and that he did the connection in the course of his employment, the onus of proving that averment rested on the plaintiffs. The plaintiffs could have discharged the onus by suing the board together with Lugolobi and called Sebagala as a witness to come and show on whose authority Lugolobi came and did the connection for him. This the plaintiffs failed to do.
>
> The (*sic*) make an employer liable for the act of a person alleged to be his servant the act must be one of the class of acts which the person was authorised or employed to do. If the act is one of that class the employer is liable; though the act is done negligently or in some cases even if it is done with excessive violence. *Poland v John Farr and Sons* (*supra*) at 242. In the instant case we do not know the duties of Lugolobi and whether the supply of electricity to customers is one of the class of work he was employed to do.
>
> In the circumstances there is nothing to show that Lugolobi acted in any way as if he was acting in the course of his employment. If the plaintiffs can only say that Lugolobi might have been acting in the course of his employment and if the board has no reason to believe or was not told by Lugolobi that he was carrying out the board's work, one can only say that it is a weak case all round. The presumptions relied on are very weak. The plaintiffs therefore have failed to prove their case on balance of probabilities."

PW1, (Rukiya Nakakande) and PW2 (Kagina Wycliff) are the witnesses who testified about Lugolobi being an employee of UEB. But none of them testified that on the fateful day Lugolobi performed the duty of the respondent.

PW1 is the wife of the first appellant. In her evidence-in-chief, she testified in the relevant part that:

> "Lugolobi was all employee of UEB. The time was 9:00am. They started unfolding the wires in Sebagala's home. Lugolobi climbed the electric pole near the house that got bund which was between the pole and Sebagala's building. Lugolobi fixed the electric wire. He passed (*sic*) the wire over second plaintiff's house. One Waswa asked for a knife and I gave it to him. After he had it marked what he wanted to do he returned it to me. The wire was connected to Sebagala's house.
>
> . . .
>
> . . .

> Lugolobi was an employee of defendant. I did not know where he stayed. I used to see him in defendant's vehicle (and my husband had house-hold properties in the house . . ."

During cross-examination, PW1 stated this (at 11) which is relevant:

> "I know Waswa. I do not know if he is an electrical technician. I do not know if Waswa had instructions to connect electricity to the building where I lived . . ."

PW2 (Kagina Wycliff) a Police Constable, testifying as any witness, stated (at 12) that:

> ". . . Whilst going to the barracks I saw UEB staff climbing a pole near the house. The one climbing the pole was in UEB overall. I did not take notice of his appearance. At 11:00pm whilst in the house power came . . ."

The first appellant as PW7 testified in examination-in-chief as follows (at 2l) in so far as his evidence is relevant to this ground of appeal:

> "The following morning the defendant came to the scene. They climbed the pole where the fire came from and disconnected the wires and took them away. The Police ordered UEB staff for a report. I went to the Police who arrested the staff of UEB. One Lugolobi was arrested Maso (*sic*) was also arrested. I am not sure about Waswa. One Fred was arrested. He was the one who removed the wires. Those arrested were sent to Luwero Police. They gave statements and were released on police bond. They were not presented (*sic*)."

As far as I can gather from the record, the above extracts are the only pieces of evidence that indicates that Lugolobi was an employee of the respondent and that he connected the power supply cables at the material time. Clearly from that evidence there is nothing to show that Lugolobi was employed by the respondent as an electric technician and that on the fateful day he acted as such on instructions of the respondent. In these circumstances I think that the Learned Judge was right in holding that he had no evidence before him to hold that Lugolobi was acting within the scope of his employment when he allegedly connected Sebagala's house to the UEB pole.

The facts in *Muwonge*'s case in brief are as follows:

> "On 10 November 1964 there was a riot at Nakulabye where the police had gone to arrest a suspect. More policemen were sent to the scene to quell the riot. In the course of the riot the plaintiff was returning to his house after drawing water at a well when he heard firing and was slightly injured by a bullet. At the same time rioters were throwing stones at the police. He then ran into his house, which was nearby the site of the riot, told his father about it, his father at that time being in the house. His father then went to another room to get medicine to dress the wound and enroute there, while inside the house, a policeman was seen while outside the house to fire into the house and he shot and killed Matoru. The trial Judge held that when he shot Matoru, the policeman was not executing his duty and therefore, the Attorney-General was not liable."

The East African Court of Appeal reversed the decision. At 18, Newbold, the President of the Court, stated the law to be:

> "The test of a master's liability for the acts of his servant does not depend upon whether or not the servant honestly believes that he is executing his master's orders. If that were so the master would neither be liable for the criminal act of the servant, at any rate when the criminal act is toward benefiting the servant himself.
>
> . . . All that I can say, as I understand the law, is that even if he is acting deliberately wantonly negligently or criminally, even if he is acting for his own benefit, never-the-less. If what he did was merely a manner of carrying out what he was employed to carry out then his acts are acts for which his master is liable."

In my opinion and with respect this is a correct statement of the law. This authority is clearly the appellants. Dr *Byamugisha* argued the point that the staff of UEB, are protected from legal proceedings and therefore the appellants could not have sued Lugolobi or Lugolobi jointly with UEB as suggested by the Learned trial Judge. Dr *Byamugisha*'s argument is attractive but this point is with respect, no longer relevant. In my view, the issue which the Judge answered, was whether there was sufficient evidence proving that Lugolobi acted within the scope of his employment when he carried out the electrical connections. In my opinion, the Judge was right in concluding that there was insufficient evidence to establish this. Upon reviewing the entire evidence I am satisfied that the Learned trial Judge arrived at the conclusion. There was not any evidence proving:

(*a*) that Lugolobi was an electrician (technician);

(*b*) that he was employed as such by the respondent, and

(*c*) that at the material time (at 9:00am on 12 November 1993) he had instructions from the respondent to act to connect electricity to Sebagala's house. I think that unless these three elements were satisfactorily proved, the immunity of Lugolobi is irrelevant. In the result I think that ground one must fail. In fact that disposes of this appeal.

I would accordingly dismiss this appeal with costs to the respondent.

KAROKORA JSC: I have had the benefit of reading in draft the judgment prepared by Tsekooko JSC, and do agree with it and the order he proposed.

However, I shall add a few comments. What must be observed is that there was no evidence in pleadings to show that Sebagala had made a request to the UEB, the respondent, for power supply. Further, there was no evidence led to prove that the respondent sent Lugolobi to connect electricity to Sebagala and that therefore, whatever he did was done in course of his employment as a servant of the respondent.

In paragraphs 10, 11 and 14 of the plaint the appellant had averred as follows:

> "10. Sebagala contacted one Lugolobi, an employee of the defendant in the course of his employment and requested him to supply electricity.
>
> 11. Lugolobi negligently/carelessly connected electricity wires to the supply pole and passed it on to the roof of corrugated iron premises and connected it on Sebagala's house and went away leaving the wire lying on the second plaintiffs' house.
>
> 12. . . .
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> 13. . . .
>
> 14. The plaintiffs aver and contend that the fire was caused solely by the negligence of Lugolobi the defendant's servant in the course of his employment and the plaintiffs suffered loss and damage."

At the trial, the Judge held and rightly so, in my view, that from the evidence, whoever connected the wires form where the fire started which burnt down the house was done by Lugolobi the Learned Judge held and correctly in my view, that Lugolobi who did the wiring, was negligent.

One issue of whether or not Lugolobi, defendant's servant was not acting in the course of his employment the Learned trial Judge held and rightly so, in my view:

> "The pieces of evidence from which the plaintiffs invited the Court to infer that Lugolobi was in the course of his employment were:
>
> (i) that he came in broad day light to make the connection;
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> (ii) that he was wearing the overall of the defendant, and
>
> (iii) that after the fire the employee of the defendant came to the scene and removed the wires and took them away.
>
> With due respect to the learned counsel for the plaintiffs, none of the above pieces of evidence is conclusive proof that Lugolobi did the connection during the course of his employment. The mere fact that he did the connection during broad daylight is neither here nor there. He could have done the connection in broad daylight without the knowledge of his employers. He could have been in the overall provided by his employers, yet could have been doing something not for the benefit of his employer and without his employer's authority. It was pleaded in paragraph 10 of the plaint that Sebagala contacted one Lugolobi an employee of the defendant in the course of his employment requested him to supply electricity. In *Uganda American Insurance Company Limited v Ruganzu* civil appeal 10 of 1992 (UR). The defendant decided that their employee, Lubega, who the defendant gave a vehicle for the purpose of his work, was not driving the vehicle at the material time when he caused an accident, within the course of his employment. The Supreme Court held that since the matter was raised in the pleading it befell the respondent (the injured person) to establish on a balance of probabilities that Lubega was acting in the course of his employment. That, they did not do. The court said that Lubega might well have been on a frolic of his own. The decision is an illustration of the rule that he who affirms most prove, which lies at the root of the law of evidence."

Appellant having raised in the pleadings, paragraph 20 of the plaint, that Sebagala contacted one Lugolobi, an employee of the defendant in the course of his employment and requested him to supply electricity, and the respondent having denied in paragraph 4 of their WSD as follows:

> "Without prejudice to paragraphs herein, the defendant's servant was carrying out connection of electricity without the authority of the defendant and as such he was acting outside the scope of his employment."

It was incumbent upon the appellant to prove that Lugolobi was acting within the scope of his employment, when he purported to install electricity in Sebagala's house.

The Learned trial Judge then went on to state in his judgment and rightly so, in my view as follows:

> "In the instant case since it was pleaded that it was Sebagala who contacted Lugolobi to do the connection and that he did the connection in the course of his employment, the onus of proving that averment rested on the plaintiffs. The plaintiffs could have discharged the onus by suing the board together with Lugolobi and called Sebagala as a witness to come and show on whose authority Lugolobi came and did the connection for him. This the plaintiffs failed to do.
>
> To make an employer liable for the act of a person alleged to be his servant the act must be one of the class of acts which the person is authorised or employed to do. If the act is one of that class the employer is liable; though the act is done negligently or in some cases even if it is done with excessive violence. *Poland v Johnfarr and Sons* [1927] 1 KB 236 at 242. In the instant case we do not know the duties of Lugolobi and whether the supply of electricity to customers is one of the class of work he was employed to do. In the circumstances there is nothing to show that Lugolobi acted in any way as if he was acting in the course of is employment. If the plaintiffs can only say that Lugolobi might have been acting in the course of his employment and if the board has no reason to believe or was not told by Lugolobi that he was carrying out the board's work, one can only say that it is a weak case all round. The presumption

> relied on are very weak. The plaintiffs therefore have failed to prove their case on balance of probabilities."

It must be observed that any person who desires to have electricity in his house must apply to the board under sections 17(2), (3) and 18(l) of the Electricity Act and must pay all necessary fees for connection and poles if they are required after the premises have been examined and found fit to be supplied with electricity. After that the premises must be wired and other things must be done at the expense of the prospective consumer and it is after all this has been done by a qualified and licensed electrical technician that the wiring and other conform to the required standard, then the UEB would send its other required materials to do the connection of the power to the premises. It is not every servant of respondent that is seen in respondent's vehicle, wearing respondent's overall that has got power, under the Act, to supply and connect electricity to anyone that wants electricity. There are preliminary steps where the respondent is involved wholly with the prospective consumer before the servant of respondent would be involved in the connection of power to the premises. It would appear that what Sebagala was trying to do was to get illegal connection of power to his house without records in the respondent's office, because there was no evidence that he had already applied for power supply, done wiring and other fittings, paid all necessary fees and that what remained was connection from the pole where there was live power.

Clearly, without going any further, there was no evidence before the Learned Judge which should show that Lugolobi was employed by the respondent as a technician and that he had been instructed by the respondent to do the connection of electricity to Sebagala's residence. I think in those circumstances, the Learned Judge was quite correct in holding that he had no evidence before him to hold that Lugolobi was acting within the scope of his employment when he allegedly connected Sebagala's house to respondent's pole, resulting in the atmosphere befell the appellants' premises.

I would without going any further dismiss this appeal with costs to respondent.

Oder JSC concurred in the judgment of Tsekooko and Karokora JJSC.

For the appellants:
Dr Byamugisha

For the respondent:
Mr Kanyemibwa

Kenya Bus Services Ltd v Muteti
[1995–1998] 1 EA 103 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	8 March 1996
Case Number:	15/92
Before:	Gicheru, Akiwumi and Shah JJA
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

[1] Advocate – Agent – Injured party suing tortfeasor for damages – Tortfeasor's insurer insisting on paying injured party directly not through advocate – Whether advocate authorised agent of client and entitled to receive money on behalf of client – Whether section 136 of the Transfer of Property Act of 1882, bars advocate from collecting money on client's behalf – Section 136 – Transfer of Property Act of 1882.

Editor's Summary

The respondent had sued the appellant for negligence, seeking to recover damages for injuries sustained in a road accident. The appellant's insurers agreed to settle the respondent's claim. The respondent sought orders of the court to enter judgment in terms of the compromise reached and approval of an attached decree. The decree stipulated that payment of the decretal sum be made to the respondent's advocates.

The appellant's advocates contested the application with regard to who should be paid the decretal sum. It was contended that the insurance company intended to protect the insurable public by proposing to issue cheques for damages directly to the injured parties and another cheque for party and party costs to the advocate. The appellant relied on a legal opinion given to the Association of Kenya Insurers wherein reliance was laid on section 136 of the Transfer of Property Act of 1882 of India.

The court held that the decretal sum should be paid to the respondent's advocates being agents of the respondent. The appellant appealed to the Court of Appeal.

Held – Generally, an advocate is authorised to act as his client's agent in all matters not falling within an exception which may reasonably be expected to arise for decision in the course of proceedings. An attorney is entitled to demand and receive moneys due to his client until such time his instructions are withdrawn (*Re Newen, Carruthers v Newen* [1903] 1 Ch 812 adopted).

Section 136 of the Transfer of Property Act of 1882, of India as applicable in Kenya primarily stops a judge, legal practitioner or officer connected with any court from having an interest in an actionable claim. It does not talk of an advocate having no right to receive money on behalf of his client.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

United Kingdom

Newen, Carruthers v Newen [1903] 1 Ch 812 – **A**

Preswitch v Poley 18 CB (NS) 806

Judgment

GICHERU, AKIWUMI AND SHAH JJA: This appeal raises a short issue which is: Can an insurer (of a tortfeasor) who is dealing with the advocates for the injured party upon settlement of claim, pay directly to the injured party, the sum in respect of the claim for damages and at the same time pay party and party costs to the advocates for the injured party by a separate payment?.

The facts in the matter in issue in the Superior Court are not in dispute. The appellant's insurers acting through their advocates, settled the claim of the

respondent who was the injured party. The respondent was represented by the firm of M/s *Mutula Kilonzo and Company Advocates*. By an application dated 1 May 1990 and filed on 4 June 1990, M/s *Mutula Kilonzo and Company* sought orders of the Superior Court to enter judgment in terms of the compromise reached between M/s Guram and Company, the advocates for the insurers, and themselves. That application was brought under Order XXIV, rule 6 of the Civil Procedure Rules, although there is reference in the application to Order XII, rule 6 of the said Rules and section 3A of the Civil Procedure Act (Chapter 21).

The advocates for the injured party sought court orders seeking approval of a draft decree annexed to the application namely liberty to execute the decree in default, and payment of the sum to be decreed, to themselves.

There was no contest on the application itself save as regards who should be paid the decretal sum. Mr Mungu practising with the firm of Guram and Company swore an affidavit saying that the insurance company having obtained an opinion from one Mr Keith, an advocate with the firm of Kaplan and Stratton, intended to protect the insurable public by proposing to issue or issuing cheques for damages direct to the injured parties thus by-passing the advocates. The insurance company in question is a member of Association of Kenya Insurers one of whose objectives is to protect the interests of its members and the insurable public.

Mr KHW Keith in his opinion dated 15 June 1989 whilst suggesting that the advocate who conducts successful negotiations on the part of a third party claimant is probably the third party's agent for receipt of payment, proceeded nevertheless to advise the said Association that its ember companies can decide to pay direct to the third party. Mr Keith proceeded to say that only if there was a proper assignment by the client to the advocate, could the advocate seek payment and to say so he relied on section 136 of the Transfer of Property Act of 1882, of India as is applicable to Kenya. The said section does not deal with the situation envisaged by Mr Keith. The section simply stops a judge, a legal practitioner or officer connected with any court of Justice from buying or trafficking in, or stipulating for, or agreeing to receive, any share of, or interest in, in any actionable claim and further prohibits any court from enforcing at the instance of such persons any actionable claim dealt with by him as aforesaid. Mr Keith in our view has totally misapplied and misapprehended the meaning of the said section. That section primarily stops any such person from having an interest in an actionable claim. It does not talk of an advocate having no right to receive money on behalf of his client.

Acting on Mr Keith's letter, the Association advised all its members to issue separate cheques, one for the claimants and the other for party and party costs to their advocates.

The learned Judge in the Superior Court saw nothing wrong with Mr Keith's opinion on the face of it. We think, with respect, he did not consider the implication of section 136 of the Transfer Property of Act. We have already pointed out what that section envisages. However, the learned Judge came to correct conclusion in the end.

Mr Keith, it is clear to us, did not consider the issue of the scope of the authority of an advocate. There can be no doubt, that generally an advocate is authorized to act as his client's agent in all matters not falling within an exception which may reasonably be expected to arise for decision in the course of the

proceedings. See *Re Newen Carruthers v Newen* [1903] 1 Ch 812. "All matters" just referred to by us would also *inter alia* involve receipt by an advocate of moneys on behalf of his client. A solicitor in England or an advocate in Kenya has general authority to compromise an action. In the *Re Newen* case (*supra***)** Farwell J had this to say at 818:

> "The next point is this. It is said that Mr Ryley had no authority to settle the *Preswitch v Poley* 18 CB (NS) 806 that a solicitor has a general authority to compromise an action on behalf of his client. Sir Montague Smith's judgment expresses the general principle very plainly. He says (2) (that is *ibid* 186) "The attorney is the general agent of the client in all matters which may reasonably be expected to arise for decision in the cause".

It follows therefore in our view that an attorney is obviously entitled to demand and receive moneys due to his client until such time his instructions are withdrawn.

Order III, rule 6 of the Civil Procedure Rules clearly stipulates that an advocate on record, until properly removed or changed, is considered the advocate of the party until final conclusion of the cause or matter, including any review or appeal.

The Advocates Act (Chapter 16) provides very clear safeguards for clients whose moneys may be misappropriated by advocates. The advocates have to comply with the Advocates (Accounts) Rules, the Advocates (Deposit Interest) Rules and the Advocates (Accountants Certificates) Rules. These are the safeguards provided. Any dishonest lawyer will be subject to the jurisdiction of the disciplinary committee as set out in the Advocates Act.

Insurers cannot take upon themselves the alleged duty of protecting the "insuring public". The law as stated takes care of the problems. Furthermore a third party who makes claims against a tortfeasor is not a member of "the insuring public".

The insurers must be aware that a discharge voucher duly signed by the claimant giving full discharge to the insurer and the insured protects the insurers. It is not the concern of the insurers to see if an advocate is honest or dishonest. The advocate after deducting his fees (including advocate and client element thereof) is bound to pay the balance of the awarded or agreed damages to his client.

The insurer when negotiating a settlement or defending a claim steps into the shoes of the insured under the subrogation rights granted to the insurer in the contract (policy) of insurance. It would therefore be wrong to say that "there is nothing between the insurer and the claimant", as the learned Judge says. There again, with respect, the learned Judge misdirected himself. However in the end, as stated earlier by us, he arrived at the correct decision.

The upshot is that this appeal is dismissed with costs. It is so ordered.

For the appellant:
Information not available

For the respondent:
Mutula Kilonzo and Co

Kenya Reinsurance Corporation v Muriu
[1995–1998] 1 EA 107 (CAK)

Division: Court of Appeal of Kenya at Nairobi

Date of judgment: 29 October 1996

Case Number: 48/94

Before: Kwach,Akiwumi and Shah JJA

Sourced by: IT Inamdar

Summarised by: A Mwanzia

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[1] Advocate – Professional undertaking – Advocate unequivocally undertaking to redeem client's mortgage on receipt of title documents – Dispute between client and mortgagor as to actual amount payable under the mortgage – Whether advocate can resile from the undertaking due to the accounting disputes – Whether interest is payable for charge where cheque is sent for redemption but not accepted – Whether advocate can counter-claim on behalf of his client without the client being party to the suit.

Editor's Summary

The respondent, an advocate of the High Court, gave a professional undertaking to redeem his client's mortgage with the appellant in return for documents of title being released to him to effect a sale and transfer of the mortgaged property to a third party. The amount payable under the mortgage was in dispute, with the appellant demanding a different and higher figure from what the mortgagor thought was due.

The appellant's lawyers forwarded the title documents to the respondent on the strength of the professional undertaking. The respondent proceeded to effect a transfer to the third party and forwarded to the lawyers a cheque in redemption of the mortgage. The amount was however less than what was being demanded the cheque was therefore rejected.

The appellant sued the respondent for enforcement of the undertaking. The respondent filed a defence denying the allegations and a counter-claim claiming on behalf of his clients damages for breach of contract by the appellant. The court found in favour of the respondent hence the appellant appealed to Court of Appeal.

Four issues fell to be determined by the appeal:

(i) whether a professional undertaking given by an advocate can be subject to watering down on account of a dispute between the advocate's client and the party to whom the undertaking is given;

(ii) whether it falls to the advocate to take up, on behalf of his client, a claim for enforcement of an undertaking;

(iii) whether if a cheque is sent for redemption of a charge which cheque is not accepted, payment of interest under the charge ceases;

(iv) whether a court can allow a counter-claim made by the advocate on behalf of his client when the client is not even a party to the suit.

Held – The undertaking given by the respondent advocate was unambiguous, unequivocal and binding on him. An advocate cannot, after giving such an undertaking, qualify the same on account of accounting disputes between the parties.

The trial erred in treating the mortgagor's claim against the appellant as a defence by the respondent advocate to the claim for the enforcement of an undertaking. The trial court was only required to determine whether the respondent advocate had given an undertaking which was capable of being enforced and clearly erred in placing the respondent advocate in the shoes of the client.

Interest was payable on the amount covered by the undertaking. The refusal by the appellant's advocates to accept payment of a sum less than the amount covered by the undertaking was proper.

The counter-claim ought to have been disallowed because the respondent advocate had no *locus standi* to sue in his own name claiming damages on behalf of his client.

Appeal allowed.

No cases referred to in judgment

Judgment

KWACH, AKIWUMI AND SHAH JJA: Although the memorandum of appeal contains nine grounds of appeal, this appeal raises primarily four main points which are:

(i) Can a professional undertaking given by an advocate be subject to watering down on account of a dispute between the advocate's client and the party to whom the undertaking is given?

(ii) Does it fall to the advocate to take up on behalf of his client, defences which could be open to the client in a claim for enforcement of an undertaking?

(iii) If a cheque is sent for redemption of charge which cheque is not accepted, does payment of interest under the charge cease?

(iv) Can a court allow a counter-claim made by the advocate on behalf of his client when the client is not even a party to the suit?

The background to this appeal is simple. By a letter dated 22 April 1986 the respondent advocate sought to know from the appellant corporation the outstanding balance of loan under a charge on plot LR number Nairobi/Block 93/736 (the property) to enable him to prepare the discharge of charge and transfer of the property from his client Harjit Singh Matharu to his other client James Muchiri Gathungu. This letter of 22 April 1986 was replied to by the appellant stating that the appellant's advocates will respond thereto. The appellant so wrote to the respondent advocate on 26 June 1996. By another letter of the same date, in which the appellant corporation enclosed a copy of a letter from Harjit Singh Matharu and in which Matharu had set out what he thought he owed the appellant corporation, the appellant corporation nevertheless, reiterated in that letter to its advocates M/s *Oraro and Rachier* what in its view Matharu owed it, as follows:

> "The redemption amount as at 30 June 1986 is KShs 499 023-95. Thereafter interest of KShs 150-50 accrued daily and premiums of Kshs201 and KShs 111 for Mortgage Protection Assurance and house owners insurance policies respectively accrue monthly in advance. Please also note that the following are also payable as part of the redemption moneys:

1. KShs 3 382-35 being the apportionment of rates and land as at the date of possession.
2. Legal costs incurred by ourselves to date".

This letter was copied by the appellant corporation to the respondent advocate and also to his client. The respondent advocate wrote to M/s *Oraro and Rachier* by his letter of 1 July 1986 and gave the following undertaking:

> "We refer to a letter reference KR/LD/PE/736 reference: GOO/85 of 26 June 1986 addressed to you by M/s Kenya Reinsurance Corporation and copied to us among others.
>
> Please forward to us the title documents on *our professional undertaking to redeem the mortgage indicated in the letter above mentioned.*
>
> Kindly treat this matter as urgent and oblige" (emphasis added).

It is clear that the respondent advocate was referring only to the letter of 26 June 1986 addressed to M/s *Oraro and Rachier* by the appellant Corporation and which set out the redemption amounts due. It is also clear that the undertaking given by the respondent advocate was unequivocal and unconditional and applied only to the redemption amounts set out as due in that letter. He was undertaking to pay to the appellant corporation a sum of KShs 499 023-95 plus interest thereon at the rate of KShs150-50 daily until the date of payment plus the smaller amounts mentioned in that letter.

The respondent advocate was at pains to argue that his letter of undertaking (dated 1 July 1986) must be read with his client's letter of 26 May 1986 addressed to the Managing Director of the appellant corporation. By that letter the client of the respondent advocate has stated that according to him he ought to pay a sum of KShs 899 443 including interest due up to 30 June 1988. What the respondent advocate did was to bring in the issue of alleged disputes between his client and the appellant corporation to qualify his undertaking. But we do think that is right. Having given a solemn professional undertaking to pay a certain sum of money and advocate is bound by the same and he cannot resile therefrom.

We hold that the undertaking given by the respondent advocate was unambiguous, unequivocal and binding on him. An advocate cannot, after giving such an undertaking, qualify the same on account of accounting disputes between the parties.

In this case the matter went further. On 22 July 1986 M/s *Oraro and Rachier* wrote a letter to the respondent advocate under cover of which letter they despatched the relevant documents upon "your professional undertaking to redeem Mr Matharu's account with our client corporation and to pay our fees on the discharge. Details of outstandings are set out in a copy of our client's letter of 26 June 1986 (enclosed)".

It is seen clearly that even on 22 July 1986 M/s *Oraro and Rachier* are sending documents to the respondent advocate on his undertaking to pay the sums mentioned in the appellant corporation's letter of 26 June 1986.

At this stage it was incumbent upon the respondent advocate to return the documents to M/s *Oraro and Rachier* as his client was disputing the correctness of amount due under the charge. But the respondent advocate did not do so. He proceeded to register the discharge of charge and the transfer to Mr James M Gathungu. He did that after writing, in 28 July 1986 to M/s *Oraro and Rachier* as follows:

> "Your letter GOO/85 dated 22 July 1986 refers.
>
> We acknowledge receipt of your letter above-mentioned and the title documents enclosed.
>
> We undertake to redeem the account with your client corporation".

Again, and it bears worthwhile repetition, the respondent advocate undertook to redeem his client's account with the appellant corporation, in terms of M/s *Oraro and Rachier*'s letter of 22 July 1986 to which was attached the appellant corporation's letter of 26 June 1986 which contained the figure claimed for redemption of the charge.

The respondent advocate argued with some force, that as his client actually obtained the Certificate of Lease (transfer) from the appellant corporation as late as 31 December 1985 his client was not bound to pay interest until after that date as he himself could not create a charge on the property until he was registered as proprietor. We say at once that that was a matter between the respondent advocate's client and the appellant corporation. It does not vitiate or vary the professional undertaking given by the respondent advocate. If the amount payable under the charge was disputed, the respondent advocate should not have given an undertaking; but having done so, he should have at once returned the documents to *Oraro and Rachier* if, for any reason, he did not intend to honour his undertaking. The date for commencement for repayment of mortgage had nothing to do with the unequivocal undertaking given by the respondent advocate.

The learned Judge in our view, with respect, quite clearly erred in placing the respondent advocate in the shoes of the client. He was only required to determine whether the respondent advocate had given an undertaking which was capable of being enforced.

The respondent's arguments before us, and also before the learned Judge as regards section 65(1) of the Registered Land Act (Chapter 300) regarding the powers of an absolute owner et cetera are of no avail. It does not lie in the respondent advocate's mouth to say that non-occupation of the property by his client entitles him to pay no interest for the period of non-occupation when it comes to enforcement of a clear undertaking. A careful advocate would obtain very clear instructions from his client before giving a professional undertaking on his behalf. If he does so without that elementary precaution then he must take the consequences.

We think, again with respect, the learned Judge erred in treating Mr Matharu's claims against the appellant corporation, as a defence by the respondent advocate, to the claim for the enforcement of an undertaking.

On 11 November 1986 the respondent advocate forwarded to M/s *Oraro and Rachier* a cheque for KShs 426 839-75 for redemption of the charge. The letter of 11 November 1986 followed the respondent advocate's letter of 4 November 1986. In the letter of 4 November 1986 the respondent advocates says as follows: "*Despite our letter of undertaking*, (emphasis supplied) our instructions are for only the amount legally due and owing to your client". It becomes clear once again that the respondent advocate was fully aware of the fact that he was attempting to water down the undertaking by introducing what he called "the amount legally due and owing". That was not the sum (KShs 426 839-75) the respondent advocate undertook to pay by his letter of 1 July 1986.

M/s *Oraro and Rachier* were therefore perfectly entitled to reject that sum because it was not the amount covered by the undertaking.

With respect the learned Judge erred in saying that "the defendant did his best to honour his undertaking. He gave a cheque for KShs 426 839-75 on 11 November 1986 to the plaintiff's lawyer". Simply and plainly the respondent advocate was bringing in the dispute between his client and the appellant corporation to qualify his clear undertaking. This was quite wrong and if allowed to stand would encourage advocates to resile from their undertakings.

Interest was payable on the amount covered by the undertaking and there was no question of changing that date. The learned Judge stated that the sum of KShs 426 839-75 should have been accepted without prejudice subject to ascertainment of balance. *Oraro and Rachier* were right in refusing to accept payment of a sum less that the amount covered by undertaking because if they had done so they ran the risk of being told 'you did accept my cheque; you banked it; you cannot now complain'.

We now come to the issue of the respondent advocate's counter-claim in the superior court. The counter-claim is pleaded as follows:

> "Counter-claim
>
> 1. The defendant on behalf of the third parties, that is Harjit Singh Matharu and James Muchiri Gathungu claims as against the plaintiff general damages for selling to the said Harjit Singh Matharu a house Nairobi/Block 93/736 without clear title in breach of contract and in a dilapidated state which cost a fortune to carry out repairs and this amounted to a misrepresentation that the plaintiff was selling a new house to the said Harjit Singh Matharu".

Firstly, the respondent advocate had no *locus standi* to sue in his own name claiming damages on behalf of his client Harjit Singh Matharu. Secondly, James Muchiri Gathingu really had nothing to do with the matters in question. Thirdly, damages in the nature of special damages must be pleaded and strictly proved. Fourthly, general damages cannot generally be claimed for breach of contract. With respect the learned Judge erred in even considering such a counter-claim. He should have disallowed it.

As an afterthought the respondent advocate, for the first time in his written submissions handed over to the learned Judge, raised the issue of a procedural irregularity namely that the appellant corporation should have moved the superior court by an originating summons rather than a plaint, for enforcing of the undertaking. It must be noted that the respondent advocate entered appearance, and filed a defence and counter-claim. He cannot be heard to say, at this late stage, that the procedure adopted was wrong.

This appeal is therefore allowed. The judgment and the decree of the superior court is set aside and substituted therefore with an order giving judgment for the appellant directing the respondent advocate to make good his professional undertaking by paying the following total sum and interest thereon as ordered hereunder to the appellant corporation within thirty days from to day and in default execution to issue:

Principal sum	KShs	499 023-95	
Interest thereon at	KShs	150-50	per day
From 1 July 1986 to 26 March 1988	KShs	95 417-00	
Total	KShs	594 400-95	
Less paid on 26 March 1988	KShs	356 837-75	
Net	KShs	237 603-20	
Add total amounts			
Referred to in the appellant's letter of 20 June 1996	KShs	3 694-35	
Total	KShs	241 297-55	

The sum KShs 241 297-55 will carry interest at 13% per annum from 27 March 1988 until date of payment. The counter-claim raised by the respondent advocate is dismissed with costs.

The respondent advocate will pay the appellant's costs in the superior court. The appellant will have the costs of this appeal.

For the appellant:
Oraro and *Rachier Adv*

For the respondent
Information not available

Khasakhala v Aurah and others
[1995–1998] 1 EA 112 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	10 November 1997
Case Number:	1709/87
Before:	Khamoni J
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Damages – Defamation – Assessment – Factors to be considered in assessing damages – Section 7A – Defamation Act (Chapter 36).

[2] Defamation – Libel – Coverage of court proceedings – Absolute privilege – Whether defendants entitled to enjoy privilege – Section 6 – Defamation Act (Chapter 36).

Editor's Summary

The plaintiff sued the three defendants seeking damages for defamation arising from an article written by the first defendant which was carried in a newspaper published by the second defendant. The third defendant was the printer of the newspaper in question. The plaintiff alleged that the defendants had caused to be published in the *Kenya Times* a report entitled "Owiti Murder Case: Khasakhala named". The article recounted court proceedings from the previous day at the trial of six people charged with the murder of a former MP. Below the article were two photos, one of which was of the plaintiff. At the time of the report the plaintiff was a Member of the Kenyan Parliament. The plaintiff alleged that the article, together with the photos, carried an innuendo that he had been a part of the murder plot that had been executed by those standing trial. He further claimed that the injurious falsehoods were malicious and intended to harm his continued political leadership.

The defendants filed a joint defence in July 1987 through an advocate but the court records showed that they had subsequently changed advocates. After several delays, the suit was mentioned in the High Court on 26 September 1997 when it was set down for hearing on 29 October 1997. As neither the defendants nor their counsel were present at the mention, the plaintiff's counsel was

directed by the court to serve the hearing notice on them. On 29 October 1997, the plaintiff and his counsel appeared before the court, ready to proceed. The defendants did not appear but instead an advocate appeared who declared that he was appearing for KTMT. This advocate informed the court that the

second defendant no longer existed and that it had transferred its business to KTMT. He, however, insisted that he was not appearing for the second defendant. Counsel for the plaintiff insisted that the hearing proceed in the absence of the defendants and that they be treated as having failed to appear after service upon them. The plaintiff testified on his own behalf.

Held – There was nothing on the record to show that KTMT had applied to be made a party in the suit and it appeared that the defendants and their advocates were engaged in a game of delaying tactics aimed at defeating the ends of justice in the suit.

From the evidence adduced before the court in the form of pleadings and submissions, it was clear that the defendants' report portrayed the plaintiff as one of the masterminds in the plot to kill the late MP. This portrayal was repeated three times in the report. A comparison of the report published by the defendants with a copy of the proceedings at the trial showed that nowhere in the court proceedings on the day in question was the plaintiff portrayed as a mastermind of the plan or plot to kill the late MP.

Section 6 of the Defamation Act provided that reports of proceedings in a court of law were entitled to enjoy absolute privilege. However, for a defendant to enjoy that privilege, he had to make a fair and accurate report which did not contain blasphemous, seditious or indecent matter. In this instance, the report complained of was far from being fair and accurate as it portrayed the plaintiff in a manner not justified by the court proceedings. As a result the defendants did not meet the requirements of section 6 and were not entitled to enjoy the privilege therein.

The report published by the defendants was defamatory in that it had the tendency to injure the reputation of the plaintiff, lower him in the estimation of right-thinking members of society and cause him to be regarded with feelings of hatred, contempt, ridicule, fear, dislike or disesteem.

Though the defendants had the means to establish that the story was not fair and accurate and to remedy the damage, they had declined to do so; they had denied liability and refused to apologise. That was evidence of malice.

Section 16A of the Defamation Act provided that damages with regard to libel of an offence punishable by death was to be no less KShs 1 million. Section 7A provided that the Court could award an additional amount where the defendant was unwilling to publish an apology. Though a person's reputation had no actual value, the sum to be awarded in damages was at large and the Court was free to form its own estimate of the harm taking into account all the circumstances. In this instance, taking into consideration the plaintiff's profile, his status in society and the allegations against him, he was entitled to an award of KShs 3 000 000 for defamation and KShs 300 000 for failure by the defendants to publish a correction and apologise.

Costs of the suit and interest to the plaintiff.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Kulei v Kalamka Limited Nairobi High Court Civil suit number 375 of 1997

Oraro v Mbaja Nairobi High Court civil case number 152 of 1993 (UR)

Judgment

KHAMONI J: The plaintiff, Eric Edward Khasakhala, filed this suit against three defendants, Jeremiah Aurah, Kenya Times Limited and Press Trust Printers Limited praying for judgment against the defendants jointly and/or severally for damages for defamation.

The first defendant Jeremiah Aurah was at the material time a reporter/correspondent in the employment of or acting as an agent and/or servant of the second defendant, Kenya Times Limited, the printer and publisher of two newspapers known as *Kenya Times* and *Kenya Leo*. The third defendant was the printer of newspapers, the *Kenya Times* and *Kenya Leo* - for and on behalf of the second defendant.

The plaintiff was at the material time an elected member of Parliament for Emuhaya Constituency which borders Gem Constituency and had been re-elected in that capacity, four times since 1963 having previously been an elected Member of the Kenya Legislative Council to represent North Nyanza from 1961. He served as Government Whip 1962–1963 and as an Assistant Minister in the Government at various times since 1965. At the material time the plaintiff was the Assistant Minister in the Ministry of Information and Broadcasting.

The three defendants filed a joint defence in July 1987 through an advocate but the court record shows defendants have been changing advocates and perhaps also trying to change positions.

I only started handling this old case on 18 April this year when the plaintiff's advocate came before me for a hearing date I did not have and, therefore, gave him a mention date 19 September 1997 to fix a hearing date. The mention date was pushed to 26 September 1997 when Mr *Gitau* appeared for the plaintiff and there was no appearance for the defendants. I allocated the case the 29 October 1997 for hearing and directed that hearing notice be served upon the other parties.

On 29 October 1997 Mr *Gitau* appeared for the plaintiff with the plaintiff ready for hearing. Mr *Moindi* came giving me the impression was for the defendants, but declared that he was appearing for Kenya Times Media Trust. There was, therefore, no appearance for the defendants as Mr *Moindi* declined to say was appearing for the defendants and Kenya Times Media Trust is not a party in this suit.

Otherwise Mr *Gitau* had filed an affidavit of service upon the defendants and the appearance in court by Mr *Moindi* suggests the defendants had been served as there had been no other service directed at Mr *Moindi*.

I was told by Mr *Gitau* that the first defendant had died and the case against him had abated. Hearing was to proceed against the second and third defendants.

Mr *Moindi* who claimed not to know anything about the third defendant stated that he had come to inform the court that the second defendant no longer existed because the second defendant had transferred its business to Kenya Times Media Trust.

When Mr *Gitau* challenged Mr *Moindi* on the ground that Mr *Moindi* had no mandate to say in the court what he was saying, Mr *Moindi* retorted that he was holding brief for Mr *Lubulellah* for the defendants.

On Mr *Gitau* pointing out that Mr *Lubulellah* has withdrawn from this suit and that he, as plaintiff's advocate had effected service of hearing notice upon the defendants directly, Mr *Moindi* replied that he did not know whether Mr *Lubulellah* had withdrawn.

Mr *Moindi* while acknowledging that Kenya Times Media Trust is not a party in this suit asked to be allowed to raise a preliminary point that Kenya Times Media Trust was not liable in this suit.

Clearly that was irregular and Mr *Gitau* objected and went to the extent of pointing out that that preliminary point had been raised on 28 February 1995 before my learned brother Bosire J, as he then was, and the point was rejected and cannot be raised again.

It was clear to me Mr *Moindi,* who had brought no witnesses, had come to play a game of having the case adjourned. Mr *Gitau* said that Mr *Lubutellah* had withdrawn from acting for the defendants. I have not been able to see it on the record in the court case file. The last record I see about Mr *Lubulellah* is dated 28 February 1995 when my learned brother Bosire J, as he then was, required: "a written explanation from Mr *Lubulellah* as to why disciplinary action or any other appropriate action should not be taken against him personally for misleading the Court". That was said because not only was the learned Judge surprised but was also shocked to hear from Mr *Onyango* who was holding Mr *Lubulellah's* brief on that day, that Mr *Lubulellah* was not appearing for the defendants but was appearing for a third party Kenya Times Media Trust who intended to apply to be made a party in this suit.

Mr *Lubulellah* had appeared before the judge and applied for and obtained an adjournment, as an advocate for the defendants, to allow him time to formerly come on record on behalf of the second and third defendants and also to have time to be fully prepared to represent the two defendants. Further he had indicated that this suit was likely to be settled out of court and he had subsequently appeared before the Judge on 30 November 1994 and stated that he had discussed the case with his clients but they were unwilling to publish any apology. All that time counsel for the plaintiff had also come to know that Mr *Lubulellah* was representing the second and third defendants, more so since initially the defendants had been directly served and must have been through them that Mr *Lubulellah* had subsequently appeared in court.

On that 28 February 1995 the case was for hearing and Mr Onyango came in to secure an adjournment which he obtained in order to get the Kenya Times Media Trust on record as a party.

Mr *Lubulellah* was required to have the explanation reach the Judge on 13 April 1995. There is nothing to show that explanation reached the learned Judge. There is nothing on record to show the Kenya Times Media Trust applied to this court to be made a party in this suit. That was in February 1995. We are now at the end of 1997. I get the impression that the defendants and their advocates are engaged in a nice game of delaying tactics to defeat the ends of justice in this suit. Learned counsel for the plaintiff says more on this in his written submissions.

Mr *Gitau,* counsel for the plaintiff, said he knew who to serve and insisted we proceed with the hearing in the absence of the defendants now treated as having failed to appear after service upon them. I proceeded with the hearing as scheduled as Mr *Moindi* walked out with the court's permission, there being nothing else for him to do since he was not appearing for the defendants.

The plaintiff was the only witness, and from the evidence adduced in the light of pleadings and submissions before me, the plaintiff is complaining about a report published in the *Kenya Times (City Edition)* on 7 May 1986 concerning the plaintiff. The second defendant said to have caused the third defendant to print and publish the report. The report complained of is as follows:

> "An assistant minister for Information and Broadcasting, Mr Eric Khasakhala and a former Gem MP, the late Aggrey Ambala, were yesterday named in a Kisumu court as the politicians who were 'the masterminds' in a plot to kill the former Gem MP Mr Horace Ongili Owiti.
>
> The Court heard that the late Owiti allegedly told a political rally at Mutungu in North Gem location of Siaya District, that Khasakhala and the late Ambala were the masterminds behind the plot to kill him. The Court was however, also told that at no time did the late Owiti disclose how the plot was to be executed. But he, at one time, told the authorities how Ambala's relative had disclosed to him that there was a plan to kill him.
>
> This was said yesterday when Chief Inspector Wesley Oyoo Onjwera, attached to the Siaya District Security Intelligence Unit, and the Nakuru District Officer, Paul Samson Muniallo, testified in a case in which six people have denied killing Owiti on the night of May 26 and 27 last year in Siaya town.
>
> Onjwera told the court how Owiti, while addressing a political rally at Mutungu on 18 September 1983, charged that his political foes had planned to kill him.
>
> He further said Owiti named Ambala and Khasakhala as the masterminds of the plan, but at a rally next day at Jenjra Health Centre in South Gem addressed by Ambala the, allegations were denied by Ambala saying Owiti was asking for sympathy votes.
>
> However, 'I reported the allegation to my seniors for investigations', Onjwera told the Court.
>
> Muniallo who by then was the DO for Yala, told of how he in one of the rallies, privately in the company of Onjwera and the Yala Police Station Chief asked Owiti to give details of the alleged plot but Owiti only said: 'I have no details but one of Ambala's servants who is also Ambala's relative has told me of the plan'.
>
> The case is being heard by Justice Fidahussein Abdullah, together with three assessors, Mr John P Okara, Mr Peter Kamuru and Mr Henry Sonye Ayaa.
>
> Onjwera further told the court he made a report to his seniors that Owiti had on 18 September 1983 cautioned Bunyore Politicians to keep off the Gem politics.
>
> He sounded the warning shortly after the allegation that Khasakhala and Ambala were the brains behind a plot to kill him. But Muniallo, when cross-examined by Schofield as to whether he noticed any differences between Ambala and Owiti said: 'There were differences but not to the level of what happened'".

I think it better at this stage to insert what the Court recorded during the proceedings in that case before the late Judge Fidahussein Abdullah in the High Court at Kisumu on 6 May 1986, starting with the evidence of PW8 who said he was Chief Inspector Wesley Oyoo Onjwera and was sworn in English. He said:

> "I am attached to District Security Intelligence, Siaya. I recall 18 September 1983. On that day I was on duty at Mutembu in North Gem Location, Siaya. I went to cover a public rally meeting which was levied to late Horace Ongili Owiti. It was attended by about 700 people.
>
> Late Owiti spoke and said that there was a plan by his political opponents to kill him, namely the late Aggrey Otieno Ambala and his supporters.
>
> I then passed report to my superior officers.
>
> On another day, 19 September 1983 at Hejra Health Centre in South Gem, a similar meeting was held which levied to late Aggrey Otieno Ambala. In the meeting

> Ambala refuted the allegations and said that the late Owiti was asking for sympathy votes from the masses.
>
> In both the meetings there were with District Officer Mr Murialo and Officer Commanding Station Yala Police Station. I passed report of this meeting to my superiors to inform them of what was going on".

That was during his evidence in chief. During cross examination by Mrs Schofield, the witness said:

> "I made a statement to police on 10 June 1985. In that statement I mentioned that there were some political inflea with Gem which were masterminded by Eric Khasakhala, Member of Parliament for Emuhaya, and Aggrey Ambala the then Member of Parliament for Gem and warned Bunyore politicians to stop interfering with Gem politics.
>
> This was said by late Owiti in the meeting of 18 September 1983. I also sent report of above to my superiors".

Mr Bob Samson Mackomason Munialo the District Officer was PW9 in the witness box. After saying that in September 1983 he was District Officer for Yala Division in Siaya and stating that he knew Chief Inspector Onjwera who was, in September 1983, attached to Yala Division, went on to say:

> "I recall 19 September 1983. I am not particularly sure of dates. During general elections of September 1983, I attended a meeting at Muhuno Chief's Camp in North Gem, addressed by late Mr Owiti who was a candidate for Gem constituency. The meeting started very peacefully and so ended except late Mr Owiti when he was just about to finish, mentioned something. He repeated those words in English and Kiswahili. He did not give the details of the plans.
>
> As I did not know the details of his allegations, I had also called Chief Inspector Onjwera. I also called Officer Commanding Station Yala. I asked Owiti for details of plan. But he did not have details of allegation except that he had heard from one of the servants of late Ambala, saying that there was a plan to kill him.
>
> I asked Owiti to get us the details. I instructed Chief Inspector Onjwera and Officer Commanding Station Yala to pass this to their superiors. I also informed my superior.
>
> Owiti mentioned that plan to kill him was by Ambala but did not give any details".

That was in his evidence in chief during cross examination, the witness responding to questions from lawyer Mrs Schofield said: "There were differences between Owiti and Ambala but not of serious nature. It was not to the extent that they were political enemies". That is all that the two witnesses said in court touching on the matter in question in this suit before me. From what is attributed to them by the report published in the *Kenya Times* newspaper of 7 May 1986, the plaintiff says that he was defamed. The heading was "Owiti Murder Case: Khasakhala named".

Below it the defendants printed the photograph of Aggrey Otieno Ambala and captioned below it "The late Ambala … Denied plot," and juxtaposed it with the photograph of the plaintiff captioned below it "Khasakhala … Mentioned".

It is the plaintiff's case that the object of positioning the two photographs in that manner and captioned as they were done was to make them seen as photographs of the twin conspirators and murderers or criminals one of whom denied the plot and the other was mentioned in it. The innuendo sought to be established being that the plaintiff and the late Aggrey Ambala acting together were in a plot involving the killing of Owiti being the plot executed by those standing trial.

The late Aggrey Otieno Ambala was among the first suspects in that murder and was arrested and arraigned in court, but died suddenly in prison remand while awaiting trial. The plaintiff was not arrested nor was he questioned or interrogated regarding the murder of Horace Ongili Owiti. Six people, apart from the late Ambala, were arrested, charged and tried. Some of them were, in the end in that court, convicted and sentenced to death.

The *Kenya Times* newspaper was carrying the report from court proceedings at Kisumu which took place on 6 May 1986 as the report itself shows. The case was High Court Criminal case number 28 of 1985 at Kisumu.

The other daily newspapers, namely, *Daily Nation* and the *Standard* of 7 May 1986 also reported the court proceedings. But while the *Standard* newspaper also fell into problems with the plaintiff, *Daily Nation* did not.

However, the plaintiff settled his problems with the Standard newspaper which apologised. The *Kenya Times* refused to apologise and as I have already pointed out, engaged in applying delaying tactics and attempting to dodge justice.

Reading through the report as published by the defendants, what the plaintiff is saying about it as stated in this judgment is correct. The defendant's report portrayed the plaintiff as one of "the masterminds" in the plot to kill the late Gem Member of Parliament Horace Ongili Owiti. That portrayal is repeated three times in the report. In addition there is another equally damaging statement printed in the same report. It states: "He sounded the warning shortly after the allegation that Khasakhala and Ambala were the brains behind a plot to kill him". A comparison of the report published by the defendants with copy of the proceedings from the High Court proceedings at Kisumu, both of them quoted herein above, shows that nowhere in the court proceedings is the plaintiff portrayed as a mastermind of the plan or plot to kill the late Owiti. Nowhere in the court proceedings is the plaintiff portrayed as a brain behind a plot to kill the late Owiti. No where in the court proceedings is the plaintiff portrayed in any way as connected with a plan to kill the late Owiti or connected with the murder of the late Owiti.

The strongest words in those proceedings against the plaintiff were uttered, during cross examination of PW8 Chief Inspector Wesley Oyoo Onjwera by Mrs Schofield, when he said:

> "In that statement I mentioned that there were some political in flea with Gem which were masterminded by Eric Khasakhala, Member of Parliament for Emuhaya and Aggrey Ambala the then Member of Parliament for Gem and warned Bunyore politicians to stop interfering with Gem politics. This was said by late Owiti in the meeting of 18 September 1983. I also sent report of above to my superiors".

In that passage the word mastermind is used in connection with political interference. It appears the word "inflea" used in that passage means interference. That is the only place the court proceedings have the word mastermind and it is not used in connection with a plot or plan to kill the late Owiti like the defendants used it in their published report complained of.

The defendants were reporting proceedings in a court of law. As such they were entitled to absolute privilege under section 6 of the Defamation Act, Chapter 36 Laws of Kenya. This is not qualified privilege requiring explanation and contradiction and thereafter proof of malice.

But absolute privilege under section 6 will only be enjoyed by a defendant who has made a fair and accurate report in his newspaper provided that such a report does not contain blasphemous, seditious or indecent matter.

In my opinion the report the plaintiff is complaining of here does not meet the requirements in section 6. That report was far from being fair and accurate as it portrayed the plaintiff as a participant or a suspected participant in the murder of the late Horace Ongili Owiti when the court proceedings the report was disseminating contained no such portrayal. That is a serious matter and the defendants do not deserve the enjoyment of such privilege in this matter.

The libel the defendants published is defamatory of the plaintiff because that report had the tendency to injure the reputation of the plaintiff. The tendency to lower the plaintiff in the estimation of right thinking members of society generally and in particular cause him be regarded with feelings of hatred, contempt, ridicule, fear, dislike or disesteem. The statement attributed to the plaintiff a disgraceful conduct of a crime or vicious cruelty.

The plaintiff has said that those injurious falsehoods were malicious and intended to harm his continued political leadership. In the ensuing General Election of 1988, the plaintiff's opponents circulated copies of the *Kenya Times* newspaper dated 7 May 1986 and used them at political rallies to depict the plaintiff as a murderer. He has said that he had no means of countering that tide because he was not armed with an apology by the *Kenya Times*. In the end he lost the election and ceased to continue representing the multi-ethnic community of Emuhaya constituency in Parliament. He said that that means the constituents lost trust in him and questioned his integrity.

His exemplary record was forgotten in the vilification campaign by his opponents. During the hearing the plaintiff produced as exhibit 1 a *curriculum vitae* detailing his early life as a trained teacher and thereafter an exemplary political career starting in 1957 when he was elected Secretary of the North Nyanza District Congress. He became a legislator; attended the Lancaster House Constitutional Conference which drew up Kenya's Independence Constitution; his having been KANU. Vice President for Western Province between 1966 and 1970; his being a KANU life member; his having served as Vice Chairman of the Commonwealth Parliamentary Association – Kenya chapter as well as attending numerous conferences of that Association; his having led several delegations to various conferences; his having served on the Boards of four schools, three of them as Chairman.

He lamented that all that exemplary career was broken, locally, nationally and internationally on the morning of 7 May 1986 when the country woke up to a front page story in the *Kenya Times* newspaper with the banner headline: "Owiti Murder Case: Khasakhala Named".

He said that as a result of what followed, his career was effectively ended and he has suffered gross loss and damage which the defendants refused to control.

The defendants denied liability and refused to apologise.

I have said that the report complained of was defamatory. It was neither fair nor an accurate report of judicial proceedings. The plaintiff is entitled to damages for libel. The defendants had the means to establish that the story was not fair and accurate and to remedy the damage, but they declined to do so. They did not care. That is malice.

As to damages, therefore, the libel in this suit is in respect of murder. This is an offence punishable by death. Under section 16A of the Defamation Act, the amount of damages should not be less than one million shillings. The law has mandatorily imposed that minimum and I have no power to reduce that minimum.

I may repeat that the defendants had the means to establish that the story they had published was not fair and accurate and thereafter to remedy the damage. They could have published a correction accompanied by an apology. This was more so when the plaintiff started complaining and filed this suit and attempted, through the then defendants' advocate, Mr *Lubulellah*, between 17 and 30 November 1994, to have an apology from the defendants. Mr *Lubulellah* told Mr Justice Bosire that the defendants were unwilling to publish any apology. I have said they did not care. In those circumstances, section 7A(*b*) of the Defamation Act gives the court liberty to award an additional amount of damages together with the damages for defamation.

Libel is actionable *per se* and, according to *Carter-Ruck on Libel and Slander* (4 ed) at page 166 the actual sum to be awarded is said to be "at large". Although a person's reputation has no actual cash value, the court is free to form its own estimate of the harm taking into account all the circumstances. The plaintiff's profile *vis-a-vis* what has been published about him.

In the instant case, the plaintiff's profile is in the evidence on record. What was said about him is also in the evidence. But it is not an easy task to assess appropriate damages. Section 7A(6) and section 16A of the Defamation Act were inserted in that Act in 1992. Libel cases decided following those amendments are still difficult to come by especially from the Court of Appeal. Relying on decisions of courts in the United Kingdom may not be realistic as members of the Public in Kenya do not live in the United Kingdom. They are the ones to live with such a decision here in Kenya.

My attention was drawn to the decision in the case of *Joshua Kulei v Kalamka Limited*, Nairobi High Court Civil suit number 375 of 1997 where general damages of KShs 10 million was awarded, about the middle of this year, for libel. It has been submitted that the plaintiff before me has much more at stake than what *Mr Joshua Kulei* had in that case and that a similar amount would adequately compensate the plaintiff for his loss.

I have, however to take judicial notice of the fact that the judgment in the *Mr Joshua Kulei* case has now been set aside by the learned Judge who had delivered it, to give the unmindful defendant another opportunity to turn up and defend itself - since the defendant is now claiming it is ready to abide with court summonses. I, therefore, do not have that judgment now and cannot use it.

There was the case of *George Oraro v Mbaja* Nairobi High Court civil case number 152 of 1993 (UR). In that case a senior advocate of the High Court of Kenya, Mr George Oraro, was awarded KShs 1 500 000 in damages for libel.

I have considered carefully the plaintiff's case before me. His profile; his status in society and the allegations against him. Doing the best I can in the circumstances, I think I should award him KShs 3 000 000 for defamation and an additional KShs 300 000 damages for failure on the part of the defendants to publish a correction and apologise.

On the whole, therefore, the second and third defendants are hereby jointly and/or severally ordered to pay the plaintiff a total sum of KShs 3 300 000 general damages. The two defendants, jointly and/or severally, will also pay costs of this suit together with interest on the decretal amount at court rates.

For the plaintiff:
Gitau

For the defendants:
Information not available

Kibona v Tanscan Timber Co Ltd
[1995–1998] 1 EA 121 (HCT)

Division:	High Court of Tanzania at Mbeya
Date of judgment:	1 August 2000
Case Number:	8/99
Before:	Mackanja J
Sourced by:	LawAfric
Summarised by:	A Mwanzia

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[1] Employment – Terms – Employee sent on compulsory leave with basic salary minus allowances – Employee to do some work for employer while on leave – Whether employee entitled to allowances during the period of compulsory leave.

[2] Tort – Libel – Employee claiming he was defamed by employer – Failure to prove publication of alleged defamatory letter – What must be proved.

[3] Words and phrases – Salary – Allowance – Definition of.

Editor's Summary

The plaintiff had been the defendant's Branch Manager. He was sent on compulsory leave pending his retirement, and ordered to follow up some debts owing to the defendant which had been contracted during the plaintiff's tenure as Manager. The plaintiff was to be paid his salary excluding allowances during the said leave period, and was to follow up the debts at his own expense. He brought suit against the defendant claiming the allowances to which he was entitled during the period of the leave. He also claimed in defamation alleging that the defendant's letter to him was defamatory in the eyes of junior employees since it claimed that 40% of timber handed over by the plaintiff had been damaged.

The defendant counter claimed TShs 16 313 276-55 made up of the value of spare parts which allegedly had never been received by the intended recipient, credit sales made by the plaintiff but unpaid for and TShs 10 000 per month which the plaintiff had allegedly paid himself as house allowance but to which he had not been entitled.

Held – The term salary is a fixed regular payment made by an employer to his employee for professional, manual or office work and composed of a pre-determined amount of money. The term salary is one of the principal terms of the contract of employment. Allowances are fringe benefits incidental to the salary and forming part of the package an employee takes home.

Like a salary, allowances once given become an implied term of the contract of employment and cannot be withdrawn or withheld without just excuse. The plaintiff was on duty during the period of alleged leave and was therefore entitled to his fringe benefits in the form of the several allowances he received alongside his monthly salary.

In order for a statement to be defamatory the plaintiff has to prove that it contains false material that disparages him in the eyes of right-thinking men, that it was published and that it was made with malice. The plaintiff did not prove publication of the alleged defamatory letter and his action on defamation must fail.

With regard to the counter claim, the plaintiff had paid himself a sum of TShs 10 000 per month in excess of authority and was liable for that sum. However, the other claims failed because the transactions were procedurally correct and the purchases were made as intended.

No cases referred to in judgment

Judgment

MACKANJA J: The plaintiff has brought this action in which he claims a total sum of TShs 29 377 400 being due and owing to him as unpaid terminal benefits, allowances, salaries, damages for defamation, costs for typing and mail and what he terms others costs.

It is common ground that the plaintiff was, before he retired from service on 1 January 1998, the defendant's local Branch Manager in this town. The plaintiff swore, however, that four months to the date he was to retire, he was sent on what has become contentious conditions of employment effective from 1 September 1997. It would appear that the plaintiff was paid only his salary, he was denied fringe benefits which create a subtotal of TShs 552 000 as follows:

"1.	Security allowance	TShs 30 000
2.	Responsibility allowance	TShs 20 000
3.	Entertainment allowance	TShs 30 000
4.	Lunch allowance	TShs 25 000
5.	Telephone allowance	TShs 20 000
6.	Electricity allowance	TShs 10 000
7.	Water bill	TShs 03 200".

According to the evidence of the plaintiff, which was not controverted by the defence, he was sent on compulsory leave to follow-up debts owing to his employer regarding timber products he had sold on credit to a firm known as M/s Ulili Enterprises and other debtors amounting to TShs 10 364 147-85. Prior to this alleged leave the plaintiff had been summoned to appear before the Board of Directors on 11 June 1997. According to a letter he received from the General Manager (Exhibit P9) the plaintiff was informed that the Board of Directors resolved that the debts would have to be recovered from his retirement benefits if they were not settled sooner. It seems that this decision was reached because the plaintiff is alleged to have sold timber products contrary to his employer's authority because Exhibit P9 states that the Ulili debt had no prior approval of the General Manager. So the plaintiff was informed by his employer, *vide* Exhibit P9 in the second paragraph, that:

> "Bearing in mind that you are scheduled to retire in January, 1998 the directors instructed that you should take the time to make a close follow-up on the Ulili debt

> and other big outstanding debts before they retire. In order to give you enough time, the Directors agreed that you should be given paid leave with effect from 10 September 1997 so that you have plenty of time to collect the debts".

It is the plaintiff's case that while pursuing the collection of debts he was entitled as well as to the allowance he claims because he was still in the employment of the defendant. He therefore claims a total sum of TShs 628 000 under this head being an accumulated sum for the *per diem* allowances he ought to have received while he was in Dar-es-Salaam following up on debts.

There is a claim for a sum of TShs 876 000. This claim is based on Exhibit P1. He swears that this sum is constituted by underpayment of allowances to him after the letter authorising them was deliberately delayed to reach him in 1996. It reached him on 20 January 1997 while it was written on 1 January 1996. According to Exhibit P1 Branch Managers were entitled to TShs 50 000 as housing allowance. The plaintiff added the following "TShs 60 000, MBY'', implying that his housing allowance was TShs 60 000 per month. Lunch allowance was TShs 25 000 per month; TShs 20 000 as entertainment allowance; TShs 30 000 as security allowance; and unspecified amounts for telephone and electricity bills and the cost of medicaments.

The plaintiff claims a further sum of TShs 320 000 being retirement benefits in terms of a voluntary agreement between the employees and the employer. This claim is not backed up with any documentary evidence, such a collective agreement that was registered at the Industrial Court of Tanzania.

In the 1996/1997 leave cycle plaintiff could not travel because he was called upon to hand over his office to his successor at a time he was due to travel, he said. He claims a sum of TShs 135 000 under this head. And he claims a total of TShs 180 000 for sundry expenses arising from cost of mail to his employer concerning his claims.

The plaintiff was, indisputably, entitled to repatriation at his employer's cost when he retired. He now claims a sum of TShs 2 299 000 under this being allowances he was to be paid while awaiting his repatriation as of the date he filed his pleading. Under this head there is also a claim for TShs 5 600 000 which, by the time he was testifying, he said had grown to TShs 15 220 000. This claim is made under paragraph 7(*g*) of this plaint.

There is, in addition to employment benefits, three claims for damages arising out of alleged defamation. The first claim under this head is contained in paragraph 8 of this plaint. It is founded on events that occurred soon after the plaintiff handed over his office pending his retirement. He handed over the office and company property, including timber then lying on defendant's yard, to Mr AG Kitururu (DW1). Months after the handing over the defendant informed the plaintiff that of the timber he had handed over 40% was reject material. As there is some reject timber in any given time, this accusation is considered defamatory by the plaintiff. So he claims damages in the sum of TShs 10 000 000, because he handed over good quality timber. The second claim for damages for defamation relates to M/s Ulili Enterprises' liability. He claims that he was labelled a thief in that the allegation tended to show that he had stolen from his employer, the defendant. For whereas his employer claimed that M/s Ulili Enterprises owed it a sum of TShs 3 602 762-95, the outstanding balance was only a sum of TShs 3 102 762-95.

Under paragraph 10 of plaint the plaintiff claims another sum of TShs 5 000 000 based on an alleged defamation for being labelled a thief a

second time. In this connection there is evidence that the plaintiff took a sum of TShs 50 000 as allowances for official journey to Sumbawanga. He testified that the General Manager accused him of having pocketed the money and never went to Sumbawanga.

The defendant was denied liability. Mr Aston Gileadi Kitururu (DW1) and Ms Christina Chamungwana (DW2) admitted that the plaintiff was indeed sent on leave with full pay but was told that he was not to receive allowances. It is the defence case that according to company practice an officer on leave will not receive allowances. That responsibility allowance is paid to a manager in active service. Similarly this applies to entertainment allowance as well. He could not entertain company business associates while he was on leave. Nor could he have been paid night out allowances while in Dar-es-Salaam because he had been told that the allowance had been withheld, and that he could meet the costs. So the defendant does not admit the amount of TShs 628 000 the plaintiff claims in this regard.

As to the sum of TShs 876 000 claimed as underpayments, the defendant does not admit that the plaintiff was underpaid. He was the leader of the company; if he had been underpaid he could have demanded the payments and if he was entitled to it he had power to effect payment. Exhibit P1 bore retrospective payments.

As to TShs 1 299 000 as costs for repatriation, it is the defence case that all arrangements were finalised but he refused payments. That the company issued him a cheque which he refused to accept. They computed his claims according to Company regulations. In addition, it is alleged that the company offered to hire a motor vehicle or give him TShs 60 000 which was the cost of hiring the motor vehicle to his home in Ileje. He refused both offers because it is alleged that he lives in town.

The defendant has not paid TShs 325 000 as his dues from a voluntary agreement because they have no such agreement. If there is such an agreement he has a duty to produce it.

DW1 has sworn that the plaintiff was required to claim the sum of TShs 135 000 as leave allowance when going on leave. An employee forfeits it if he does not go on leave. The plaintiff forfeited it because he did not go on leave.

The claim of TShs 180 000 he incurred while communicating with his employer is equally denied as it is considered to be unjustified because the company does not have such procedures. DW1 cannot recollect that Mr Kibona wrote to them and demanded to be refunded the cost of mailing the letters; it may be possible that he did so, he said.

The defendant contends that plaintiff has never been defamed as it is normal in the course of employment for one to be told that he handed over rejects. Timber rot if improperly kept; rejects can also come out of undersizing the piece of timber. There is, therefore, no defamatory material in the letter (Exhibit P9) which notified him of the presence of rejects in the timber he handed over. It is further contended that the plaintiff was queried about timber as he sold to M/S Ulili Enterprises; he was not insulted. The plaintiff has never been called a thief regarding this episode. Nor is there any defamation when the plaintiff was called upon to account for the sum of TShs 50 000 he received as travel allowances for his journey to Sumbawanga.

The defendant has raised a counter claim in which they claim a sum of TShs 16 313 276-55 as sales of goods. This claim is based on the testimony of the plaintiff in which he stated that when they bought trees from the Kawetere Forest Project the latter would leave some of its money with the plaintiff's office. That money would then be spent by the plaintiff's office for the purchase of machinery spare parts. The spare parts would then be collected by the Kawetere Forest Project.

According to the testimony of DW1 and DW2 the spares the plaintiff claimed to have bought on behalf on the Forest Project did not reach their destination. DW1 produced as Exhibit D1, D2 and D3 sets of accounting documents to support the defence case. In addition, the defence denies that there was any arrangement under which the defendant bought anything on behalf of anyone else. It is also claimed that the spares were not entered into their Ledger nor did the Kawetere Forest Project acknowledge receipt of spares and that, therefore, their account with the defendant he debited with the cost of those purchases.

The defendant further claims a refund regarding credit sales the plaintiff made without authority. It is alleged that anyone who authorises credit sales does so at his own risk. Some such debtors repaid the money they owed the company, some amounts are still outstanding. Under this item the defendant claims a sum of TShs 5 571 446-55. DW1 brought statements of accounts of those who owe the Company. A list of the people who bought goods on credit was tendered as Exhibit D4 and the statements of account in relation to them was tendered as Exhibit D5.

It is common ground that the plaintiff paid himself TShs 60 000 as housing allowance. It is the defence case that he was entitled to TShs 50 000 only. So they claim the sum he paid as house rent in excess of the authorised amount of TShs 50 000. Payment voucher through which the effected payment were tendered as Exhibit D6. The defendant, therefore, claims a total of TShs 200 000 under this head. The plaintiff has not repaid this money in spite of being called upon to do so.

That, in essence, was the evidence. The issues which I am now called upon to determine, after having considered the pleadings in the light of the evidence are as here under, namely:

> "1. Whether the plaintiff was sent to unpaid leave for four months as alleged in paragraph 6 of the amended plaint;
>
> 2. Whether the plaintiff is entitled to the allowances listed in paragraph 7 of the amended plaint;
>
> 3. Whether the plaintiff's letter to the defendant dated 23 October 1997, was defamatory;
>
> 4. Whether the defendant's letter dated 1 August 1997 was defamatory;
>
> 5. Whether the plaintiff was named a thief as averred in paragraph 9 and 10 the amended plaint;
>
> 6. Whether the defendant is entitled to the sum of TShs 16 313 276-55 as per counter claim; and
>
> 7. Any other reliefs the parties are entitled to".

The evidence on record shows quite clearly that when the plaintiff was sent on leave he was paid only his salary. However, even though this was done, the plaintiff avers in paragraph 7 of his pleading that it was unpaid leave. The

impression one gets from the plaintiff's version of facts is that in order to constitute paid leave he had to be paid the allowances he received as well. Now what is paid leave? In my view paid leave is the period an employee takes off from his work, with the express permission of the employer for a period specified in the contract of employment in that behalf. It follows that the paid leave is such period when the employee is allowed to be away from his work with full salary. What, then, is the salary to which an employee is entitled when he is on paid leave?

The learned authors of *Black's Dictionary*, Abridged Sixth Version, define the word "salary'' to mean: "A reward or recompense for services performed . . . A stated compensation paid periodically as by the year, month or other fixed period". Thus the term "salary", as is the annual practice which I take judicial notice of, is a fixed regular payment made by an employer to his employee for professional, manual or office work composed of a pre-determined amount of money which is one principal terms the contract of employment. There are, incidental to the salary, fringe benefits termed "allowances'' which are also pre-determined and which are paid at regular periods forming part of the package an employee takes home on the date as he is paid his salary. Like a salary, once given allowances become an implied term of the contract of employment and cannot be withdrawn or withheld without just excuse, usually by way of penalty or during a lawful layoff, for they form part of the monthly recompense to which an employee who is paid a monthly salary receives at the end of the month. If, therefore, an employee goes on paid leave, he is entitled to his salary and to the allowances which are paid to him by reason of, and in the course of, his employment. Being part of his monthly package and in the absence of any justification for withdrawing the allowances, to withhold them for any other reason amounts to punitive action. If that be the case, an employee must be presented with disciplinary charges and be heard before he is punished. In that circumstance, the plaintiff was entitle to his salary and all the allowances he received along side his salary when he was allegedly sent on leave with effect from 1 September 1997.

According to the facts of this case the employer withdrew the allowances when he claimed to have sent the plaintiff on leave. The record of proceedings clearly shows that the plaintiff was never charged nor was he given an opportunity of being heard on a disciplinary charge. Since once paid allowances constitute an implied term of the contract of employment, their unilateral withdrawal constitutes a breach of that contract.

Upon the foregoing considerations I determine the first issue by holding, subject to proof that he was indeed on leave, that the plaintiff was partly on paid leave as relates to the basic salary which he received and partly on leave without any pay as regards the allowances which the defendant denied him.

The second issue is closely related to the first issue. In finding a solution to it I must determine whether the plaintiff was truly on leave of any kind between 10 September and 31 December 1997. In that behalf I have had occasion to point out earlier in this judgement that leave is the time regard agreed upon in a contract of employment which the employee takes off from his daily routine. It could be a month, a week and so on. Under normal circumstances the leave must be sought by the employee and must be approved by the employer. Where an employee is forced by his employer to cease working for him, with or without pay, the whole period he will be away cannot be referred to as leave

in the usual sense. That is what is called layoff in industrial relations law and practice. And such action is taken when, almost invariably, redundancy is impending. That situation does not relate to the facts of this case because Exhibit P9 by which the plaintiff was sent off from his work place clearly states that:

> "Bearing in mind that you are scheduled to retire in January, 1998 the directors instructed that you should take time to make a close follow up on the Ulili debt and other big outstanding debts before retire. In order to give you enough time, *the Directors agreed that you should be given paid leave with effect from 10 September 1999 so that you have plenty of time to collect the debts*"(emphasis provided by the author of the letter).

In making such a decision the Directors were either ignorant of what rights the plaintiff has under the contract of employment or they did not act in good faith. For how could they send the plaintiff on leave and still order him to work for them? After giving this letter to a careful scrutiny what comes out of it vividly is that they were punishing the plaintiff under the guise of a forced leave, for he could not be expected to be on leave and at the same time be required to follow up on debts which ought to be done by an officer who is on active duty. In these circumstances I hold that for all practical purposes and intents the plaintiff was on duty from 10 September to 31 December 1997 before he retired on 1 January 1998. In consequence thereof he was entitled to his fringe benefits in the form of the several allowances he received alongside his monthly salary. Evidence upon which there is further proof that the plaintiff was practically on duty is the letter the General Manager wrote to the plaintiff dated 30 December 1997. It reads in part thus:

> "As mentioned in paragraph 3 of my letter number TTC/HQ/PF.14/8/IGPN of 1 August 1997 payment of your terminal benefits will depend a lot on how much of the outstanding debt, especially Ulili debt, you have managed to collect.
>
> I would therefore like to have a comprehensive report on how much money you have collected and how much is still outstanding. This report should reach me before 15 January 1998 for presentation to the Board of Directors whose meeting is scheduled for 22 January 1998".

I would, accordingly, determine the second issue in the affirmative. Accordingly, I hereby allow the claim under paragraph 7(*a*) of the plaint.

The third issue relates to Exhibit P5, specially the second paragraph which read thus:

> "In your letter you have pointed out that although there were no sales in 1996 there was a very good stock of timber. It is true (that) there is a huge pile of timber, but remember that about 40% is reject (as per Internal Auditor's audit report and also as witnessed by myself) and considering the huge royalty bill, it is as if we have no timber stock of our own!"

The plaintiff has taken great exception to this letter. He, therefore, claims a sum of TShs 10 000 000 as damages for being falsely accused of having received reject timber. He claimed it defamed him in the eyes of junior staff he was leading and customers in town. He had to go to Dar-es-Salaam to explain away the matter before the Board of Directors.

Now according to Ms Chamungwana (DW2) it is not usual to find rejects in a pile of good quality timber. She states in her evidence that timber can be rendered reject if pieces bend after exposure to heat; or that that condition may be due to breakage; or by damaged caused by overhead weight. The defence evidence concedes, however, that the plaintiff was not informed of the existence of reject timber on the day he handed the office and company property to Mr Kitururu (DW1). Instead it is contended by DW1 and the author of Exhibit P5

that the rejects were discovered many days after the plaintiff had handed over the office to DW1. According to Mr Kitururu the rejects were discovered after a month's sales while he was in office. IGP Ndanshau, the author of Exhibit P5, claims that he saw the rejects when he visited the site on which the disputed timber was stacked. And, further, that auditors had also found the existence of reject timber. Exhibit P5 shows that 40% of the timber handed over was reject. It is this part of the letter upon which the sum of TShs 10 000 000 as damages for defamation is based. So the issue is whether Exhibit P5 contains any statements that are defamatory of the plaintiff.

In order for a statement to be defamatory the plaintiff has to prove that it contains false material that disparages him in the eyes of right thinking men, that it was published and that it was made with malice. In this regard the plaintiff has sworn that the contents of the letter were published to junior members of staff he was leading before he retired and customers of the defendant. None of the junior staff nor any of the company's customers swore that they held the plaintiff in contempt and with odium because he sold reject timber. Even if the other elements of defamation were proved, the plaintiff cannot succeed without proving publication as well. Indeed, the plaintiff must also show the statement was false.

Now according to DW1, he and the plaintiff did not count the timber piece by piece. And as the handing over notes (Exhibit P4) show DW1's account is borne out as its correctness. The part of Exhibit P4 has the following sub-heading "timber position as at 27 August 1997 (as per period)".

It follows, then, that the different sizes of timber and their cubic volumes recorded in the handing over note were as per record. That being the case the plaintiff's onus of proving that there were no rejects becomes quite unenviable. In my judgement he has failed to discharge the onus of proof which is required to show that indeed there no rejects in the lower parts of the piles of lumber when he handed them over to DW1. May be it may as well be an exaggeration that rejects were 40% of the timber the plaintiff handed over, but I can see no proof of malice in such a statement. I would, in that regard, determine the third issue in the negative, and dismiss the claim of TShs 10 000 000.

The fourth issue is, as shown earlier, whether the defendant's letter dated 1 August 1997 (Exhibit P9) was a defamatory of the plaintiff. He claims that the letter is defamatory of himself because the issue it raised was taken to the Board of Directors who, as a result, decided that he be sent on leave. In order to get the gist of Exhibit P.9 its contents are reproduced herein below, namely:

> "Tanscan Timber Company Limited
>
> Ref. TTC/HQ/PF.14/8/IGPN 1 August, 1997
>
> Mr AF Kibona
>
> Mbeya Branch Manager
>
> Tanscan Timber Company Limited
>
> P O Box 1394
>
> Mbeya.
>
> Dear Mr. Kibona
>
> Re: Preparations for Your Smooth Retirement
>
> On the 11 June 1997 we had a meeting with Tanscan Local Board of Directors in Dar es Salaam. Among the issues which were discussed at length was the debt of TShs 10 364 147-85 owed to Tanscan by Ulili Enterprises (principal amount TShs 3 602 762-95).

> Bearing in mind that you are scheduled to retire in January 1998 the directors instructed that you should take time to make a close follow up on the Ulili debt and other big outstanding debts before you retire. In order to give you enough time, the Directors agreed that you should be given paid leave with effect from 10 September 1997 so that you have plenty of time to collect the debts.
>
> Because the Ulili debt had no prior approval of the General Manager, the Directors instructed that all follow up expenses will be borne by you, and that you should fail to recover the debt then the amount might be recovered from your retirement benefits.
>
> Following the above resolutions by the local Board of Directors, you will be required to hand over the branch to Mr Kitururu who will replace you as Branch Manager. Mr Kitururu will report at Mbeya around 25 August 1997 to take over from you, and you will also take time to show him around and to introduce him to important customers, peers and other people of interest to our business.
>
> I want to assure you that this move has been taken in good faith in order to give enough time to recover the debts so that neither you nor the company becomes the loser at the end of the day. It is our intention and wish that you should retire honourably after all these years of hard work with Tanscan.
>
> Yours faithfully
>
> Tanscan Timber Company Limited
>
> Sgd: Igp Ndanshau
>
> General Manager".

The plaintiff has not pointed out which part of that letter defames him. All it contains are innocuous instructions of his employer to him to do as directed therein. The claim, therefore, is a very hopeless one. As a result I determine the fourth issue in the negative. The claim is dismissed as a consequence.

The fourth issue and paragraph 9 of the plaint are but the same matters. In that circumstance the part the part of the fifth issue that relates to the Ulili debt is likewise determined as negative. The claim thereunder would be dismissed.

This now brings us to the fifth issue in which we have remained only with paragraph 10 of the plaint. According to his pleading and evidence, the plaintiff claims a liquidated sum of TShs 5 000 000 as damage for alleged defamation. He has testified that he was labelled a thief by the defendant regarding money he had taken to cover his allowances which he was to spend on an official trip in Sumbawanga. He states that he was accused of spending the money but did not travel to Sumbawanga. It is in his evidence that he counted for that money. As in other claims for defamation he testified that Branch employees and headquarters staff got wind of it. None of them testified to prove publication.

On their part, particularly Christina Chamungwana (DW2) categorically denied that libellous aspersions were cast on the plaintiff. She testified that no claim for the TShs 50 000 he was issued as safari imprest has ever been raised, implying that the plaintiff's claim that the sum of money was recovered from his retirement benefits, DW2 swore that she recovered a completely different sum of TShs 31 000 which related to some other outstanding imprest.

I am satisfied, upon the totality of the evidence on this issue, that the plaintiff had failed to produce preponderant evidence in proof of the fifth issue. Accordingly, I would determine it in the negative, and dismiss the claim thereunder.

The sixth issue, as framed, is whether the defendant is entitled to the sum of TShs 16 313 276-55 as claimed in the counter claim. The claim under the counter claim falls under three heads. In terms of paragraph 13(*c*) it is averred

that without any colour of right and without any authority of his employer and in gross violation of Company Rules, and in abuse of trust, the plaintiff misappropriated the properties of his employer as follows:

(i) TShs 9 241 830 under cover of purchase of goods and services that were Actually not rendered to the defendant;

(ii) TShs 5 571 446-55 under cover of timber sold on credit to various people without authority or approval of the General Manager of the defendant company as per Company Regulations; and

(iii) That the plaintiff paid to himself as house rent without approval from the defendant, payments which exceed fixed rates in that behalf, hence a claim TShs 1 500 000".

Let me state at this juncture that I have been ill at ease with the drafting of the counter claim. A counter claim is a case in its own right, completely different from the plaintiff's case. It will fall or succeed on its own merits. In fact it is a form of cross suit in which the parties transpose roles, whereby the defendant becomes the plaintiff and the plaintiff the defendant although they retain their titles as shown in the plaint. So a suit is instituted by a plaint; since a counter claim is as suit distinct from the plaintiff's suit, it must be headed by the term 'Counter Claim' in bold capital letters which implies that although it is contained in a written statement of defence it is also a suit to which a written statement of defence if required. Even though the omission is not a fatal irregularity, learned counsel should always adhere to standard practice obtaining in drafting pleadings.

Coming back to the counter claim, two witnesses, DW1 and DW2 testified in relation to the prosecution of the claim. They have said much in common with each other. They swear, under the first head of their claim, that the square parts the plaintiff claimed to have bought from money he retained from the Kawetere Forest Project did not reach their destination. Documents relating to these purchases were tendered as Exhibit D1, D2 and D3.

Under sub-head (ii) it is defendant's case that credit sales were made without authority and that anyone who authorises credit sales does so at one's own risk. The list of debtors was tendered as Exhibit D4 and the statements of account with them as Exhibit D5.

Although in the counter claim the sum of TShs 1 500 000 is raised as the sum of money the defendant paid himself in excess of authorised housing rent, DW1 and DW2 swore that the amount claimed is only a sum of TShs 200 000. This sum is arrived at as follows. Authorised rent was TShs 50 000 but the plaintiff paid to himself a sum of TShs 60 000 some TShs 10 000 in excess of authority per month.

The plaintiff has denied liability. He has sworn that he never bought anything that was not accounted for; that all items were bought from money retained from the Kawetere Forest Project at Forest Department. According to him what happened was this: the defendant bought forests from the Forest Department upon which the latter would serve the former with a statement of the quantity of lumber they had harvested. The suppliers of wood would then under-invoice the plaintiff so that the latter would spend the difference between the actual value of wood and the invoice to purchase services and goods for the Forest Department at Kawetere Forest Project. He swears that all payments were made by payment vouchers which he signed and were countersigned by the Branch Accountant (DW2). He has, therefore, denied any wrongdoing.

DW2 admits that she indeed countersigned the documents, claiming that she did so because the head of the office, the Branch Manager, had already approved the payments. I have carefully gone over her testimony which is, at best, a lame duck excuse. She cannot expect the Court to believe that story, that she would counter sign the payment vouchers and she would draw and countersign cheques to give the way to the plaintiff to steal company property! If that was to be believed then she is privy of the defamation and should, like the plaintiff, be sued for recovery of the money under the first sub-head of the damages. In my judgement her credibility is, but suspect. I, therefore, hold that the transactions were procedurally correct and the purchases were made as intended. Of course there is the allegation that the goods and the services did not reach their destination. Only DW1 and DW2 testified so; no one from that destination, the Forest Division or the Kawetere Forest Project testified that the whole transaction was a fraud. Accordingly, the first sub-head would fail, and it is dismissed.

As regards sub-head (ii) DW1 and DW2 swore that the plaintiff sold timber on credit in abuse of Company Regulations under which only the General Manager can authorise such sales. Not a single regulation in that regard was produced in evidence. That being the case the court will be speculating if it was to accept the defendant's version of facts. Like in the case of the first sub-head in the counter claim the defendant has failed to prove his claim, it dismissed as well.

I now come to the third sub-head. Evidence of these allowances is to be found in the testimony of DW1 and DW2 as well as from the plaintiff himself. According to the original text of Exhibit P1 housing allowance is indicated to be TShs 50 000. The plaintiff considered this sum inadequate for a place like Mbeya and inserted in ordinary ink "60 000 MBY''. That, to say the least, is a forgery, for he preferred no evidence to justify the alteration. I would hold, therefore, that he paid to himself a sum of TShs 10 000 per month in excess of authority. I would find him liable under sub-head (iii) of the counter claim.

I now come to the last issue. Under this issue I will consider the plaintiff's claim under paragraph 7(*b*), (*c*), (*d*), (*e*), (*f*), (*g*), and (*h*) of the plaint.

The claims under paragraph 7(*b*) relates to journeys the plaintiff swears he undertook between Mbeya and Dar-es-Salaam and Mang'ula Machine Tools (Workshop) on various dates as indicated in the pleadings. The rate per night out was a fixed sum of TShs 10 000. No evidence was adduced in proof of this claim. It follows, then, that it was not proved, it fails and it is dismissed.

Paragraph 7(*c*) is a claim connected with journeys he claimed to have made between Mbeya and Dar-es-Salaam during the period the defendant purported to have sent him on compulsory leave. These are nights he spent in Dar-es-Salaam between 11 September and 21 September 1997 at the rate of TShs 30 000 per night, which brings a total of TShs 300 000; he claims half per diem for 21 September 1997, which he puts at KShs 10 000; and return ticket first class by Tazara amounting to TShs 64 000. This brings a sub-total of TShs 374 000.

The second trip was, according to the pleadings undertaken between 10 October and 19 October 1997. The sub-total claim for that journey comes to TShs 312 000. The total amount is TShs 686 000. The figure he mentions in his evidence is TShs 628 000. Upon my earlier observations that the plaintiff was on duty when he was sent down to Dar-es-Salaam, I hold that he has proved his claim of TShs 686 000 under this sub-head; and I allow it.

Under sub-paragraph (d) there is a claim of TShs 135 000 constituting leave entitlements he claims in lien of leave he could not take when he was called upon to hand over his office. DW1 denies that he had any outstanding leave, and that he forfeited it when he failed to take it. On this kind of evidence it is probable that the plaintiff could not take his leave due to the sudden change of circumstances. I am satisfied, therefore, that he has made out his claim on a balance of probabilities which is tipped in his favour, and I allow his claim.

According to his pleading in sub-paragraph (*e*) the plaintiff demands a sum of TShs 961 000 being fare for his family, personal effects and himself. The plaintiff reached this figure in terms of Exhibit P2 as follows:

"1.	Hired transport Mbeya to his village	TShs 580 000;
2.	Cost of packaging	TShs 186 000;
3.	Handling (loading and unloading) charges, including carriage on foot for a stretch which is impassable by vehicular transport	TShs 120 000;
4.	Fare/fuel and lubricants for his personal car	TShs 75 000;
	Total	TShs 961 000".

DW1 and DW2 have sworn that the company was ready to hire transport for the plaintiff but the latter did not co-operate because he has a residence in town. In the alternative they offered him cash in the sum of TShs 60 000 which is also declined to accept. DW1 stated in cross-examination that the amount the plaintiff was offered was the amount approved by the company regulations, which was equal to the sum he was being paid while travelling on leave. On her part DW2 testified that the sum of TShs 60 000 was adequate, but she does not go up further to show if that sum could have covered the cost of travel and personal effects. And the cheque the plaintiff declined to accept was drawn in June 1998.

How the obligation to repatriate an employee whose contract of employment has come to an end for whatever reason is squarely on the employer. He must show how he took action to discharge that obligation. In the particular facts of this case no one would have been expected to move his family at the cost of equal to allowances he was paid as leave allowances. For even if the entire family travelled during the plaintiff's working life, his final departure as a retiree involved even the cost of transporting his personal effects. Obviously this means greater expense than the cost for travelling on leave. Of course there is evidence that the employer provided transport to the plaintiff, which was refused. No evidence was offered, however, regarding how that offer was communicated to him. I would hold, therefore, that the sum of TShs 60 000 which was offered to the plaintiff when travelling on leave could not have been adequate to cover the cost of transporting his personal effects as well. At the same time the plaintiff has come up with the sum of TShs 961 000 without proof of quotations for hire charges from transporters. He has offered a blind figure incapable of proof. The claim therefore fails. In its place I assess that the sum of TShs 480 000 would be reasonable in the circumstances. Hence the claim succeeds to that extent only.

There is a claim for retirement benefits in terms of a voluntary agreement between the employer and its employee in respect of which the plaintiff claims a sum of TShs 325 000 under sub-paragraph (*f*). According to DW1 and DW2 what exists is just a draft agreement which is inoperative because it has not been signed. The plaintiff could not produce a copy of an operative agreement in proof of his claim. As a result this sub-head fails and it is be dismissed as a result.

I will determine sub-paragraph (*h*) ahead of sub-paragraph (*g*). Here the plaintiff claims a total of TShs 180 000 being the cost of mailing letters to his former employer while pursuing his claims. The defendant denies this claim. In my judgment, apart from making the claim and casually referring to it during his testimony, the plaintiff did not come up with probative evidence concerning vital matters such as the number of letters he wrote to justify that sum of money. Since he has made the allegation he must prove it. I am sure he has failed to do so. The claim would fail, and it is dismissed as a result.

Sub-paragraph (*g*) relates to statutory entitlements to which a person whose contract of employment has ceased to operate is entitled. In this connection section 53 of the Employment Ordinance, Chapter 366, provides that:

> "53 (1) Every employee who is a party to a contract who has been brought to the place of employment by the employer or by any person acting on behalf of the employer shall have the right to be repatriated at the expense of the employer to his place of engagement in the following cases:
>
> (a) On the expiry of the period of service stipulated in the contract;
>
> (b) On the termination of the contract by reason of the inability of the employer to fulfil the contract;
>
> (c) On the termination of the contract by reason of the inability of the employee to fulfil the contract owing to sickness or accident;
>
> (d) On the termination of the contract by agreement between the parties, unless the agreement otherwise provides;
>
> (e) On the termination of the contract by order of a court in pursuance of its powers under Part XI of this Ordinance on the application of either of the parties, unless the court otherwise decides.
>
> (2) Where the family of the employee has been brought to the place of employment by employer or by any person acting on behalf of the employer, the family shall be repatriated at the expense of the employer whether the employee is repatriated or in the event of his death.
>
> (3) The expense of repatriation shall include –
>
> (a) Travelling and subsistence expenses or rations during the journey; and
>
> (b) Subsistence expenses or rations during the period, if any, between the date of termination of the contract and the date or repatriation.
>
> (4) The employer shall not be liable for subsistence expenses or rations in respect of any period during which the repatriation of the employee has been delayed –
>
> (a) by the employee's own choice; or
>
> (b) for reasons of *force majeure*, unless the employer has been able during the said period to use the services of the employee at the rate of wages stipulated in the contract.
>
> (5) If the employer fails to fulfil his obligations in respect of repatriation, the said obligation s in respect of repatriation, the said obligation shall be discharged by or under the directions of the Labour Commissioner, and any sums so expended may be recovered from the employer by civil suit.
>
> (6) Any employer who fails without reasonable excuse to comply with any of the Provisions of this section relation to the repatriation or payment of expenses of repatriation of any employee or the family of any employee shall commit an offence against this Ordinance".

It is abundantly clear that the employer's obligation under this head is statutory in terms of section 53(3)(*b*) of the Employment Ordinance. Accordingly, and as the law provides, the plaintiff and his family are ideally entitled to subsistence

allowance between 1 January 1998 to the date they will be repatriated to their home village in Ileje District. And sub-section (*b*) of section 53 makes it an offence for an employer who fails without reasonable excuse to comply with these provisions. For reasons I have endeavoured to give elsewhere in this judgement, the defendant does not seem to have acted reasonably towards discharging his statutory obligations.

However, even though the plaintiff is in law entitled to his allowances pending his repatriation case law (on damage) has made it clear that a litigant has a collateral duty to take steps to ameliorate the quantum of damages in a continuous breach of a tort or any other civil wrong. The plaintiff has not shown any steps as he has taken in that direction. In the circumstances I allow his claim for subsistence allowance for himself and his dependant members of his family from 1 January 1998 to 31 December 1999 only. I would also order that the sum of TShs 480 000 for his transportation and fare be made available to him within thirty days of the date of this judgement, failing which subsistence allowances will accrue all over again from the last day of this order and will continue to accrue until the plaintiff will have been repatriated.

Upon the foregoing considerations I enter judgement for the plaintiff as herein stated. Save to the extent of the overpayment of housing allowance in the sum of TShs 200 000, in respect of which I enter judgement for the defendant, the counter claim is otherwise dismissed.

The plaintiff shall have his costs in both the suit and in the counter claim.

For the plaintiff:
STM Mwakolo and *VCM Mkumbe* instructed by *Mwakolo & Co* and *Mkumbe & Co*

For the defendant:
MT Mbise instructed by *MT Mbise & Co*

Kimani v Kimani
[1995–1998] 1 EA 134 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	21 November 1997
Case Number:	79/97
Before:	Gicheru, Omolo and Lakha JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Natural justice – Bias – Application by wife under section 17 of Married Women Property Act – Judgment allegedly displaying elements of bias against female gender – Factors to be considered in determining whether parties had received a fair trial.

Editor's Summary

In a suit filed by way of originating summons before the High Court on 24 May 1995, the appellant

sought a declaration that she was entitled to a one-half share in all the property acquired during the subsistence of her marriage to the respondent. The parties had married on 3 February 1979. During the course of the marriage, the couple had acquired various properties, most of which were registered in the respondent's name. Some time in 1995, relations between the

two soured as a result of which divorce proceedings before the High Court were instituted. At around the same time, the appellant filed this suit against the respondent under section 17 of the Married Women's Property Act of 1882. At the trial of the suit, the respondent denied that the appellant had made any contribution towards the purchase of any of the properties listed in her plaint. In its judgment, the trial court found that there was no evidence to support the appellant's contention that she had contributed towards the purchase of the properties in respect of which she sought a half-share. The appellant appealed on the grounds, *inter alia*, that the trial Judge had failed to consider and appreciate her contribution towards the purchase of the suit properties, that the trial Judge had taken extraneous considerations into account and that he had exhibited a biased attitude towards women in general. In response, counsel for the respondent argued that the onus was on the appellant to prove that she had contributed towards the acquisition of the properties in which she sought a share and that this was an onus that she had failed to discharge.

Held (Gicheru JA dissenting) – It was a general rule of the law that justice was to be seen to be done in the courts. Confidence in the court system and in justice would be destroyed if there were circumstances in which a reasonable man would think it likely that a judge had favoured one side at the expense of another. In this regard, when considering whether there was a real likelihood of bias, an appellate court would not look at the mind of the person who sat in a judicial capacity to see if there was a real likelihood of, or actual, bias but only at the impression which would be given to other people. There had to be circumstances from which a reasonable person would think it likely or probable that the Court would or did favour one party unfairly at the expense of the other (*R v Liverpool City Justices, ex parte Topping* [1983] 1 All ER 490 adopted).

In this instance, the trial Judge's judgment showed that he had taken extraneous considerations into account and exhibited a biased attitude towards women in general. The correct test to apply was whether there was the appearance of bias rather than whether there was actual bias. Applying that rule to the facts of this case, a reasonable and fair-minded person would have formed a reasonable suspicion that the appellant had not had a fair hearing.

(Per Omolo JA) Once it was accepted that a judge was in fact biased against a party, the question of any notional fairness in the eventual outcome of the dispute was academic.

Appeal allowed, judgment set aside and suit remitted to High Court for hearing before a different judge.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

United Kingdom

Gissing v Gissing [1971] AC 886

Metropolitan Properties Co (FGC) Ltd v Lannon [1968] 3 All ER 304

R v Liverpool City Justices, ex P Topping [1983] 1 All ER 490 – **A**

Judgment

GICHERU JA: The appellant and the respondent each hold a Bachelor of Education degree from the University of Nairobi obtained in October 1978. On 3 February 1979, they got married. At the time of marriage, the appellant was a graduate teacher earning a gross monthly salary of KShs 1 995 while the respondent was working with American Embassy in Nairobi earning a monthly salary of about KShs 4 500. During the substance of their marriage, they both realised that they had no property and according to the appellant, the first decision they made towards this end was to buy shares in land at Gatarakwa Settlement Scheme. They were then both living in Nairobi and as the appellant was then nursing their first born child, the respondent did the travelling between Nairobi and Gatarakwa for the purpose of buying the shares aforementioned. These shares were bought over a long period of time – between 1979 and 1983 – and according to the appellant, she intermittently gave the respondent monies from her monthly earnings for this purpose up to about the year 1982. In between this period, she at times paid house rent for the house in which they were living in Nairobi besides buying food for the family and paying salary for the house maid which was KShs 140 per month. She also at times paid water and electricity bills although many times these bills were paid by the respondent. Eventually the Gatarakwa piece of land was registered in the name of the respondent as Gatarakwa/Gatarakwa Block IV/149.

After the purchase of the Gatarakwa piece of land, the respondent subsequently acquired a plot at Athi River which was registered as land registration 337/458 in respect of which the appellant claimed to have given respondent money from her salary although she did not know the cost of that plot.

Some time in 1985, the appellant took a loan of KShs 30 000 from Mwalimu Co-operative Society Limited. According to her, she gave this money to the respondent in the form of a banker's cheque in his name. He went abroad and came back with two motor vehicles – a Datsun car and a Peugeot 504 car which later he sold and used the proceeds of that sale as a deposit for the purchase of their matrimonial home, house number 82/447 at Greenfield Estate, Phase 1, Nairobi, while he gave the Datsun car to the appellant for her use. The deposit towards the purchase of the matrimonial home was KShs 120 000 and the house constituting the matrimonial home was registered in the name of the respondent. The appellant and the respondent occupied that house as their matrimonial home from the year 1986 until 17 February 1995 when the appellant left the home on hospitalisation at the Aga Khan Hospital, Nairobi after a brutal beating, according to her, by the respondent

According to the appellant, in 1983 and 1992 she contributed in money and personal effort in the respective establishment of two auto spares and hardware businesses in Eastleigh, Nairobi and in Nyeri township both of which were in the name of Beki Auto spares and Hardware. The appellant could not, however, recollect her specific monetary contribution towards the establishment of these two businesses.

In 1990 when the respondent wanted to extend the matrimonial home at Greenfield Estate in Nairobi, the appellant, according to her, took a loan of KShs 30 000 again from Mwalimu Co-operative Society and gave the money to the respondent in the form of a bankers cheque for this purpose.

Other than the properties referred to above, during the subsistence of the appellant's marriage to the respondent, they had, according to the appellant, bought

land known as Kajiado/Olchoro-Onyore/2201; unsurveyed plot 346 at Kariobangi Light Industrial area and unidentified parcel of land at Lang'ata near the Kenya Broadcasting Corporation transmission station. They had also purchased movable properties, namely; motor vehicles registration KAE 682E, Mercedes Benz KAC 495V, Toyota Hilux pick-up; two sofa sets, four beds and four mattresses; a National television set, a Sony video recorder; and a National video recorder. In the purchase of all these properties, the appellant claimed to have contributed in form of money and in particular as the wife of the respondent she financially contributed towards the welfare of the family by buying food, clothing and other expenses which the respondent would otherwise have had to bear alone. In addition to her teacher's salary and loans from her Co-operative Society, the appellant claimed that her other source of income was in marking examinations from where she made between KShs 5 000 and KShs 6 000 each year. Intermittently, she gave the respondent money as and when he asked for it and in various sums keeping no record of the same as she never anticipated the problem that had now arisen over the properties purchased by the respondent towards which she had made monetary and/or personal contributions towards their acquisition. She understood that everything that was being acquired by the respondent was theirs despite their strained relationship between the years 1981 and 1986 when they were not living together although they consorted as husband and wife and planned together during this period notwithstanding her living at Tumutumu with the children of marriage where she was a secondary school teacher while the respondent was living in Nairobi.

During her marriage to the respondent, the appellant claimed to have obtained four loans from Mwalimu Co-operative Society the first three of which were for KShs 30 000 each while the fourth one was for KShs 125 000 which she used for buying her personal motor vehicle, a Renault 16TL registration KRS 240, after the respondent took away from her and sold the Datsun motor vehicle referred to earlier in this judgment. The implication in this regard is that the first three loans of KShs 30 000 each were used towards the acquisition of the properties the subject matter of her originating summons in the Superior Court taken out under section 17 of the English Married Women Property Act of 1882 and filed in that Court on 24 May 1995. It was on account of her direct and indirect contributions towards the acquisition of these properties that the appellant sought one-half share of it all.

The respondent admitted having been married to the appellant on 3 February 1979 shortly after the two graduated from the University of Nairobi and that both had lived together as husband and wife until 1995 when they separated. Currently there are divorce proceedings pending in the Superior Court instituted by the respondent in that Court's divorce cause 36 of 1995 and the appellant has cross-petitioned for divorce in the same cause. According to the respondent, before his marriage to the appellant, he owned property since before joining the University of Nairobi he had been a military officer for a period of 2 years and prior to that, he had been a primary school teacher for 1½ years having been trained as a P1 teacher. Indeed, he owned not only household property but also cows and sheep and had started buying shares in the Gatarakwa Farmers Company Limited which shares ended up becoming the property now known as Gatarakwa/Gatarakwa Block IV/149 in respect of which the appellant now claims one-half share. The respondent claimed to have purchased the shares in respect of this property entirely with his own money with the appellant giving him no money at all towards its acquisition. Although the appellant paid salary for the housemaid during the

purchase of this property which salary was KShs 140 per month, all the other household requirements were, according to the respondent, met by him. The respondent denied having received any money at all from the appellant, let alone all her salary earnings, towards the purchase of the Gatarakwa property and therefore disclaimed her joint proprietorship of the same with him on account of her contribution towards its purchase.

Concerning the Athi River property land registration 337/458, the appellant was not even aware that the respondent was buying it. According to him, she made no contribution whatsoever towards its purchase.

As to the Kariobangi plot 346, the respondent contended that it was purchased by him during the months of March and April 1982, when the appellant had left the matrimonial home and was living away from him in Tumutumu. Although at this time the appellant was physically with the children of the marriage at Tumutumu, the respondent, nonetheless, claimed to have continued supporting the family financially and regularly visited them at Tumutumu during the weekends. He took care of the children's educational and health needs even though they were living away from him at Tumutumu. There was therefore, according to the respondent, nothing that could be attributed to the appellant as contribution towards the purchase of the Kariobangi property during her sojourn away from the matrimonial home.

The Kajiado/Olchoro-Onyore/2201 property was purchased by the respondent in collaboration with one Amos Kinyanjui. According to him, during the purchase of this property there was in existence sharp disagreements between him and the appellant who then wanted to be transferred by the Teachers Service Commission anywhere away from him. The Teachers Service Commission, nevertheless, refused to give her such a transfer without his agreement or a separation order from a court of law. In such circumstances, according to the respondent, the appellant was in no mood to make any contribution towards the purchase of any property by him. The respondent totally denied that the appellant made any contribution at all towards the purchase of the Kajiado property.

Concerning the matrimonial home at Greenfield Estate, Phase 1, Nairobi – house number 82/447 – the respondent denied having received any contribution by the appellant towards its purchase. Indeed, he denied having received any money with which he travelled abroad from where he bought two motor vehicles one of which on his return to Kenya he sold and paid the deposit towards the purchase of the matrimonial home. The other of the two cars he gave to the appellant for her use but subsequently sold it as pointed out earlier in this judgment. The respondent explained that he had borrowed money from Sisi Savings and Credit Society and from his employer with which he went abroad where he bought the two old cars referred to above.

Some time in 1990 the respondent decided to extend the kitchen and build a car port to the Greenfield Estate matrimonial home. For that purpose, he borrowed KShs 750 000 from Barclays Bank of Kenya Limited, Enterprise Road, Nairobi out of which he paid off the outstanding loan in respect of that home with the Housing Finance Company of Kenya amounting to KShs 363 107-90 and used the balance in the extension of the kitchen and the construction of the car port. During this exercise, the appellant gave him KShs 30 000 for the purchase of crockery for the extended kitchen. Save for this sum of money, there was otherwise, according to the respondent, no financial contribution by the appellant towards the extension of the kitchen and the construction of the car port to the

Greenfield Estate matrimonial home. Pursuant to a court order in the Nairobi Principal Magistrate's Court maintenance cause 21 of 1995, however, on 24 March 1995 the appellant carried away all the crockery purchased with the KShs 30 000 she had given to the respondent.

Regarding motor vehicle registration KAE 682E, make Mercedes Benz saloon, the respondent told the Superior Court that he bought the said vehicle through a loan given to him by his employer, Johnson Wax (EA) Limited, who retained its log book and a signed undated transfer form in relation thereto. That loan as at the date the respondent gave evidence in the Superior Court was outstanding at KShs 865-95. According to him, the appellant had nothing to do with purchase of this motor vehicle and made no contribution at all towards its purchase. As concerns motor vehicle registration KAC 495V, make Toyota Hilux pick-up, the respondent told the Superior Court that the same was jointly owned by Beki Auto spares and Hardware Limited and the National Industrial Credit Corporation (NIC). The vehicle, according to him, does not belong to him nor the appellant.

Beki Auto Spares and Hardware is a limited liability company and the appellant is neither a director, a shareholder nor an officer of the said company. There was, according to the respondent, no pending arrangement nor had there been past arrangements for the appellant to have any interest in this company, whose businesses are in the nature of sale of motor vehicle spare parts and hardware both at Eastleigh in Nairobi and at Nyeri township and towards the establishment and running of which the appellant made no contribution.

Further in his evidence-in-chief in the Superior Court, the respondent disclaimed any contribution by the appellant towards the purchase of the two sofa sets, four beds and four mattresses, the television set, the Sony video recorder and the National video recorder referred to earlier in this judgment. According to the respondent, these items were personally purchased by him and were in the matrimonial home when on 24 March 1995 the appellant collected from the home what she considered to belong to her. She did not collect these items, as they did not belong to her. She left them in the matrimonial home.

In concluding his evidence-in-chief, the respondent told the Superior Court that throughout his marriage to the appellant he allowed her to use her salary on her own personal needs and the little else that she wanted to buy for the children besides whatever was missing in the house whenever he was out of the country which was approximately seven days in a year since 1984. He otherwise personally catered for the maintenance of his household which included provision of food, clothing, health care, education for his children and family entertainment. At his retirement from his employment on medical grounds in September 1995, the respondent had been earning a monthly salary of over KShs 100 000 and earned retirement benefits of between KShs 530 000 and KShs 540 000.

I have made no reference to the Uaso-Nyiro/Naromoru West Block 1/141 piece of land which was also listed in the appellant's originating summons in the Superior Court as it was conceded by the parties to this appeal both here and in the Superior Court that the said property was registered in the name of the respondent's mother and as regards the Lang'ata property, the same was shown in the appellant's originating summons in the same court to be unidentified.

In his 51 typed page judgment dated and delivered on 14 November 1996, the learned trial Judge who after setting out the case before him took and off course discourse on women bordering on bias against the female gender and purported to

give unsolicited guidelines on the law of property where spouses or former spouses lay claim on property used by them in the family, nevertheless, observed that in a matter such as was before him, contribution of whatever form must be proved on evidence unless the same is admitted. Indeed towards the end of his unnecessarily long judgment, the learned trial Judge had this to say:

> "Where a spouse claims ownership or a beneficial interest in property registered in the name of the other spouse, the court requires, and must be provided by the claiming spouse, cogent evidence to enable it to discover the right and interest claimed. Conclusion must depend upon an analysis of particular facts and detailed evidence, and of course, a proper application of recognised legal principles. Each conclusion would have to be the result of such an analysis. Where the evidence is meagre and too slender to support the claim and there is a *prima facie* right in the defending spouse, the court will not disrupt the existing rights and re-allocate or share them out".

He then at the close of his judgment said that in the case before him, he found no evidence of contribution which enabled the respondent to be relieved or saved from the family responsibilities so as to purchase the properties claimed. According to the learned trial Judge, even as the respondent was acquiring the said properties, he continued to support the appellant and the children of their marriage. To the learned trial Judge, there was insufficient evidence before him upon which he could hold that the appellant contributed towards the purchase of the properties in respect of which she sought on-half share of their total value in her originating summons in the Superior Court. He accordingly dismissed her originating summons with her and the respondent bearing their own respective costs. Against that dismissal the appellant has appealed to this Court putting forward eight grounds of appeal the gravamen of which was the learned trial Judge's failure to consider and appreciate her contribution towards the purchase of the properties set out in this judgment and hence her entitlement to one-half share of the said properties. Issues of the learned trial Judge taking into account extraneous considerations and exhibiting a biased attitude against women in general are peripheral to the core issue of contribution.

In her submission to this Court at the hearing of this appeal, counsel for the appellant submitted that the appellant's claim to a share of the properties set out in this judgment was based on her contributions towards the purchasing of the same. Notwithstanding the learned trial Judge's tilted approach to the evidence before him against the female gender in general, nonetheless, the totality of the evidence before him did on balance of probabilities, according to counsel, establish such contribution to entitle the appellant to no less than one-third share of these properties.

The rejoinder of counsel for the respondent to the submission of counsel for the appellant was that the appellant's right to share of the properties in question was in the realm of constructive trust in respect of which there was no evidence. It was for the appellant to prove on a balance of probabilities that she directly or indirectly contributed towards the acquisition of the properties in respect of which she claimed to be entitled to a share without losing sight of the fact that in regard to indirect contribution, the same was invariably to be considered in its own special circumstances. That onus of proof the appellant, from the evidence available before the learned trial Judge, was unable to discharge. To counsel, therefore, she was not entitled to any share of the properties set out in this judgment.

The appellant's claim in the Superior Court was dependent on evidence of her direct and/or indirect contributions towards the acquisition of the properties listed in her originating summons in that court. Indeed, her counsel said as much in her

submission to this Court at the hearing of this appeal. It is only with that kind of evidence that the trial court would have been able to say what its effect in law was for as was observed by Lord Morris of Both-Y-Gest in *Gissing v Gissing* [1971] AC 886 at 898C–D:

> "The court does not decide how the parties might have ordered their affair: it only finds how they did. The court cannot devise arrangements which the parties never made. The court cannot ascribe intentions which the parties in face never had. Nor can ownership of property be affected by the mere circumstances that harmony has been replaced by discord. Any power in the court to alter ownership must be found in statutory enactment".

So that in the instant appeal, the appellant's entitlement to a share of the properties listed in her originating summons in the Superior Court and as are set out in this judgment was dependent on the existence of a resulting trust in her favour in regard to these properties such share being proportionate to her direct and/or indirect contributions towards their acquisition. As both the appellant and the respondent were in salaried employment, proof on a balance of probabilities of the creation of a resulting trust in favour of the appellant by evidence of her direct and/or indirect contributions towards the acquisition of the properties in question was necessary. From the evidence available before the learned trial Judge which to a large extent I have endeavoured to set out in this judgment, save for the KShs 30 000 which the appellant gave to the respondent and which sum of money was used for the purchase of crockery in the extended kitchen of the Greenfield Estate matrimonial home and which crockery was collected from this home by the appellant as indicated earlier in this judgment, one cannot with any amount of certitude lay a finger on any other evidence of direct and/or indirect contribution by the appellant towards the acquisition of the properties in respect of which she claimed entitlement to the extent of one-half share. Shorn off its extraneous escapade mentioned earlier in this judgment which could easily have been interpreted as being insensitive to the female gender, the judgment of the Superior Court was otherwise corrected in a matter of such as was before it. Evidence of contribution in whatever form towards the acquisition of the properties the subject-matter of the appellant's originating summons in that Court had to be proved on a balance of probabilities unless the same was admitted. There was no such admission and proof of the same on a balance of probabilities was lacking. Any conclusion therefore by the learned trial Judge in favour of the appellant based on the material available before him would have been no more than conjectural amounting to deciding how the appellant and the respondent might have ordered their affairs instead of finding how they did and devising arrangements which they never made besides ascribing to them intentions which they may never have had. It is for this reason that I would dismiss the appellant's appeal with the appellant and the respondent bearing their own respective costs of the said appeal. As Omolo and Lakha JJA do not agree, there will be a majority judgment of the Court in the terms proposed in the judgment of Lakha JA.

LAKHA JA: The facts and background leading to this appeal are fully and fairly stated in the judgment of my brother, Gicheru JA which I have had the advantage of reading in draft. They need not be restated and I gratefully adopt the same for the purpose of this judgment.

There is, however, one matter in respect of which I would add a few words of my own. The learned Judge of Appeal having said that the judgment of the trial Judge was unnecessary long observed, *inter alia*.

> "In his 51 typed pages judgment dated and delivered on 14 November 1996, the learned trial Judge after setting out case before him took an off-course discourse on woman bordering on bias against the female gender and purported to give unsolicited guidelines on the law of property where spouses or former spouses lay claim on property used by them in the family".

Upon a careful consideration of the judgment of the trial Judge, I find, with respect, that he took into account extraneous considerations and exhibited a biased attitude against women in general.

Counsel for the appellant made this a criticism of the learned trial Judge's judgment and, in my view, rightly so. Indeed, it was specified as an express ground of appeal and heavily relied upon.

It is therefore possible to proceed straight away to the way the argument is put on behalf of the appellants. This has, in my view, much substance. It depends on the general rule, which can be described as a common law rule, as to justice being seen to be done. There are a considerable number of authorities now on this subject. They are conveniently collected in *R v Liverpool City Justices, ex P Topping* [1983] 1 All ER 490 and 494. In that judgment Ackner LJ refers to the very well known case of *Metropolitan Properties Co (FGC) Ltd v Lannon* [1968] 3 All ER 304 at 310 where Lord Dennis MR sets out a test, when he said as follows:

> "in considering whether there was a real likelihood of bias, the court does not look at the mind of the justice himself or at the mind of the chairman of the tribunal, or whoever it may be, who sits in a judicial capacity. It does not look to see if there was a real likelihood that he would, or did, in fact favour one side at the expense of the other. The court looks at the impression which would be given to other people. Even if he was as impartial as could be, nevertheless if right-minded persons would think that, in the circumstances, there was a real likelihood of bias on his part, then he should not sit . . . There must be circumstances from which a reasonable man would think it likely or probable that the justice, or chairman, as the case may be, would, or did, favour one side unfairly at the expense of the other. The court will not enquire whether he did, in fact, favour one side unfairly. Suffice it that reasonable people might think he did. The reason is plain enough. Justice must be rooted in confidence; and confidence is destroyed when right-minded people go away thinking: 'the Judge was biased'".

In my view, therefore, the correct test to apply is whether there is the appearance of bias, rather than whether there is actual bias. For the purposes of this appeal that test is, in my view, the appropriate test. Asking myself that question, I have come to the conclusion that, the appellant has established that the reasonable and fair minded person sitting in the Court and knowing all the facts would have a reasonable suspicion that this appellant did not have a fair hearing of her case and that a fair hearing was not possible.

It follows that I would allow this appeal with costs, set aside the judgment of the Superior Court and remit the case to another Judge in the Superior Court. Let it be heard again as soon as may be.

OMOLO JA: I had the advantage of reading in draft form the judgments prepared by my learned brothers, Gicheru and Lakha JJA. One feature common to both judgments is the conclusion that the learned trial Judge appears to have been biased against the rights of this appellant and women in general over the issue of property acquired during the subsistence of a marriage. In my view, once it is accepted that a judge was in fact biased against a party, then the question of any national fairness in the eventual outcome of the dispute becomes merely academic. I agree with Lakha JA that this appeal is to be allowed

in the terms proposed by him and that there be a retrial of the original summons before a different Judge.

For the appellant:
Information not available

For the respondent:
Information not available

Kingsway Tyres and Automart Ltd v Rafiki Enterprises Ltd
[1995–1998] 1 EA 143 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	14 November 1996
Case Number:	220/95
Before:	Gicheru, Lakha JJA and Bosire Aja
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Civil procedure – Judgment – By default of appearance – Application to set aside judgment – Principles upon which court will exercise discretion to set aside ex parte *judgment – Whether appellate court may interfere with exercise of jurisdiction by trial court – Allegation of lack of service of summons to enter appearance – Whether court wrongly exercised jurisdiction where affidavit of service was on record – Orders IXA and IXB, rule 8 – Civil Procedure Rules.*

Editor's Summary

The appellant filed suit against the respondent claiming KShs 1 755 816-65 and demanded judgment in default of appearance by the respondent. The respondent had been served with summons to enter appearance through registered post although it claimed never to have been served. The respondent applied for the default judgment to be set aside on ground of lack of service. It did not annex any draft defence to its application.

The trial Judge granted the respondent's application, set aside the *ex parte* judgment and ordered that the defence be filed. The appellant appealed to the Court of Appeal against the misdirection and improper exercise of discretion by the trial Judge in view of clear evidence on record that the service of summons to enter appearance and plaint had been duly effected.

Held – A court exercises its discretionary jurisdiction under Order IXA as well as Order IXB, rule 8 of the Civil Procedure Rules to obviate injustice or hardship resulting from accident, inadvertence, or excusable mistake or error (*Shah v Mbogo* [1967] EA 116 followed). An appellate court will not lightly interfere with exercise of discretionary jurisdiction unless it is based on a wrong premise. Nor is it proper for an appellate court to substitute its discretion for that of the trial court (*Sheikh v Highway Carriers Limited* [1982–1988] 1 KAR 1184 followed).

The appellant had placed evidence by way of an affidavit of service on the court record to rebut denial of service and the trial Judge had misdirected

himself in holding that the service had not been made. Similarly, it was a clear misdirection for the learned Judge held that the appellant should have, but had not, made a follow up to confirm service. The *ex parte* judgment was a regular judgment and could not be vacated on grounds of non-service of summons. The learned Judge had improperly exercised his discretion in setting aside the *ex parte* judgment and therefore the appeal would be allowed.

Per curiam – There are ample authorities to the effect that, notwithstanding the regularity of it, a court may set aside an *ex parte* judgment if a defendant shows that he has a reasonable defence on the merits.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Shah v Mbogo [1967] EA 116 – F

Sheikh v Highway Carriers Ltd [1982–88] 1 KAR 1184 – F

Judgment

GICHERU, LAKHA JJA AND BOSIRE AJA: Kingsway Tyres and Auto Mart Limited, the appellant, challenges the exercise of judicial discretion by the High Court (Hayanga J), in Nairobi High Court civil case number 800 of 1995, under Order IXA, rules 10 and 11 of the Civil Procedure Rules. That court granted the defendant's application, set aside the *ex parte* judgment in default of appearance and consequential orders and ordered that the defence be filed. The appellant argues that the learned Judge, improperly exercised his discretion in the matter in view of clear evidence on record that service of summons to enter appearance and the plaint had been duly effected. On the other hand Rafiki Enterprises Limited, as defendant in the suit but the respondent in this appeal, denies it was ever served with the processes and prays that this appeal be dismissed.

The principles upon which a court exercises its discretionary jurisdiction under Order IXA, as well as Order IXB, rule 8 of the Civil Procedure Rules, are well settled. The jurisdiction is exercised to obviate injustice or hardship resulting from accident, inadvertence, or excusable mistake or error (see *Shah v Mbogo* [1967] EA 116). It is, also, trite law, that an appellate court will not lightly interfere with exercise of discretionary jurisdiction unless it is based on a wrong premise. Nor is it proper for an appellate court to substitute its discretion for that of the trial court (see *Sheikh v Highway Carriers Ltd* [1982–88] 1 KAR 1184).

This matter started with the filing of a plaint, in the High Court, Nairobi, in which this appellant, as plaintiff, made a liquidated demand for KShs 1 755 816-65. It averred, *inter alia*, that the money was for goods sold and delivered at the defendant's request. Summons to enter appearance was issued and was later allegedly served by pre-paid registered post pursuant to the provisions of Order V, rule 2 of the Civil Procedure Rules. An affidavit of service was duly filed in court accompanied by a certificate of posting showing the name and address of the party to whom the process was sent, the date of posting, and the sender's

address. The process was posted on 16 March 1995. However by 16 May 1995, when a request for judgment was filed in court, the respondent had not taken any step on record.

In its application to set aside the *ex parte* judgment, the respondent categorically denied having been served with summons to enter appearance.

After hearing arguments from both sides, and while accepting that service of summons by pre-paid registered post was proper service, Hayanga J nonetheless proceeded to rule that the appellant should have, in addition, made a follow up by either letter or telephone, we presume, to find out whether the summons had been received by the respondent. He also held that the appellant did not answer, sufficiently, or at all, the respondent's denial of service of summons. On, substantially, those grounds he proceeded to grant the respondent's application, set aside the *ex parte* judgment and consequential orders, and ordered that the respondent could file its statement of defence in the suit. This appeal was thereby provoked.

The memorandum of appeal has 14 grounds. However, counsel for the appellant, Mr *Ochieng Oduol*, decided to argue them *en bloc*. The crux of his submission was that the learned Judge in the court below misdirected himself when he held that the appellant was obliged to do more than is statutorily required by Order V, rule 2 of the Civil Procedure Rules. Further, that, in view of the clear evidence in the court file as to the mode of service of summons, the learned Judge misdirected himself when he held that the appellant had not rebutted the respondent's denial of service.

Mr Muin *Malik* appeared for the respondent in this appeal. In his view, it was incumbent upon the appellant to place evidence before the Judge below to rebut the respondent's denial of service, which he said it failed to do. Consequently, he urged, the Judge properly exercised his discretion in favour of setting aside the judgment. Too, that in view of the parties' previous business relationship, *inter se*, undue hardship would be occasioned to the respondent if the *ex parte* judgment was left to stand.

Order V, rule 2 of the Civil Procedure Rules, makes provision for service of summons on corporations. It provides, in pertinent part, as follows:

> "subject to any other written law, where the suit is against a corporation the summons may be serviced.
>
> (a) . . .
>
> (b) . . . by leaving it at the registered office of the corporation or sending it by prepaid post . . . to the registered postal address of the corporation".

Rule 15(1) of the same order provides, in pertinent part, as follows:

> "The serving officer in all cases in which summons has been served under any of the foregoing rules of this order shall swear and annex or cause to be annexed to the original summons an affidavit of service stating the time when and the manner summons was served and the name and address of the person (if any) identifying the person served and witnessing the delivery or tender of summons".

There was no allegation made in the court below that the affidavit of service, which we were told from the bar was on the court file, did not comply with the above provision. We have on our part looked at the affidavit and are satisfied that all the essential details are included in it. Accordingly, and with due respect to the learned Judge in the court below, the appellant had clearly placed on the court file evidence to rebut denial of service. It was a misdirection to hold

otherwise. Similarly, it was a clear misdirection when the learned Judge held that the appellant should have but did not make a follow up to confirm service. Those two factors clearly weighed heavily in his mind and affected the exercise of his discretion in the matter.

To our minds, the onus was on the respondent to fault the service. Having failed to do so, and in absence of evidence on record to lead us to hold that the service was improper, it is our view and so hold that the *ex parte* judgment was a regular judgment. It would only, if at all, be properly vacated on grounds other than non-service of summons.

There are ample authorities to the effect that, notwithstanding the regularity of it, a court may set aside an *ex parte* judgment if a defendant shows he has a reasonable defence on the merits. The respondent did not annex to its application in the lower court a draft defence. A director of the company did, however, swear an affidavit to state that the appellant's claim was based on certain LPOs which had been stolen from it (the respondent) by its employees. Too, that the employees had been arraigned in court on criminal charges relating thereto. In view of that, it did not think the claim, properly, lay against it. It was desirable, we think, for the respondent to annex to its application a draft defence to include all that and any other defences it may have had to the appellant's claim. Be that as it may, the defences, above, were not such as would have, properly, influenced the court below to exercise its discretion in favour of setting aside. That is the more so considering the manner the parties conducted business transactions between themselves.

In the above circumstances, we come to the conclusion that the learned Judge in the court below, improperly exercised his discretion in setting aside the *ex parte* judgment. We, therefore, allow the appeal, set aside the order vacating the *ex parte* judgment, and order that the judgment be restored. The appellant shall have the costs of this appeal and of the suit in the court below.

For the appellant:
J Ochieng Oduol instructed by *Ochieng Oduol & Co*

For the respondent:
MMA Malik instructed by *AH Malik & Co*

Kinyanjui v Kinyanjui
[1995–1998] 1 EA 146 (HCK)

Division:	High Court of Kenya at Nairobi
Date of ruling:	1995
Case Number:	1676/95
Before:	Ringera J
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Family – Matrimonial cause – Injunction – Wife filing motion for declaration of rights under Married Women Property Act of 1882 – Wife bringing injunction application seeking to be restored to matrimonial home and return of car – Whether injunction may be granted.

Editor's Summary

The wife took out an originating summons under the provisions of section 17 of the Married Women Property Act of 1882 asking for declarations to the effect that she was co-owner to the extent of one half or such other extent as the court shall determine of all her husband's immovable property. She had been shown the door out of the matrimonial home in the posh area of Karen-Langata and forced to live at Dagoretti market. She was also deprived of the use of a Mercedes Benz saloon car which she used to drive. Simultaneously with the originating summons she filed an application for interlocutory injunction seeking an order that the husband be restrained from denying her access to and use of her Mercedes Benz limousine.

Held – The wife had established a *prima facie* case with a probability of success at the trial to the effect that she was a co-owner of the matrimonial home and the motor vehicle and was entitled to access and use them. For a person used to life in a posh residential area and to the amenity of locomotion by Mercedes Benz saloon her present consignment to Dagoretti was a psychological torture and as such an injury that could not be compensated for by an award of damages. The injunction would therefore be granted and the wife was at liberty to return to her matrimonial home and to take possession of and use her Mercedes Benz.

Giella v Cassman Brown Company Limited [1973] EA 358, *Nsubuga v Mutawe* [1974] EA 487, *Salim and others v Okongo and others* [1976] KLR 42, *Shitakha v Mwamodo and others* [1982–88] 1 KAR 965, *I v I* [1971] EA 28, *Karanja v Karanja* [1976] KLR 307, *Kivuitu v Kivuitu* [1988-92] KAR 241 considered.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Giella v Cassman Brown Company Limited [1973] EA 358 – C

I v I [1971] EA 28 – C

Karanja v Karanja [1976] KLR 307 – C

Kivuitu v Kivuitu [1988-92] KAR 241 – C

Nsubuga v Mutawe [1974] EA 487 – C

Salim and others v Okongo and others [1976] KLR 42 – C

Shitakha v Mwamodo and others [1982-88] 1 KAR 965 – C

Ruling

RINGERA J: The parties herein have been in matrimony for thirty-one years. They have materially prospered together and can without embellishment be said to be quite rich. However, their relationship has been diminishing emotionally. Both of them are truly poor in that respect. Their marriage, if it exists, is definitely on the rocks. I use the words "if it exists" advisedly for there are rival contentions on that aspect. The husband says he is married according to Kikuyu Customary Law and he has divorced the wife in accordance therewith. The wife waves a certificate and proclaims loudly that she is married under statute and her marriage is alive in law. Whether the marriage is alive

in law or not, it

is not in dispute that the wife has been shown the door out of the matrimonial home in the posh residential area of Karen-Langata and is now living in the not so congenial area of Dagoretti Market. She used to drive a Mercedes Benz saloon. She is now without benefit of that limousine. In these premises, she has taken out an originating summons under the provisions of section 17 of Married Women Property Act of 1882 asking for declarations to the effect that she is co-owner to the extent of one half or such other extent as the Court shall determine of all her husband's immovable property including the matrimonial home as well as all his equity in company stock and all his motor vehicles. And they are several. She also prays that he be restrained from alienating encumbering or otherwise dealing with them to her prejudice pending the determination of the originating summons. Simultaneously with the originating summons she has filed an application for interlocutory injunction seeking an order of this Court that he be restrained from keeping her out and denying her access to the matrimonial home. She also wants him restrained from denying her access to and use of her usual Mercedes Benz limousine. It is the latter application that is before me for determination.

I remind myself that an injunction is a great and beneficial equitable remedy. It is granted in order that the risk of serious prejudice to the Applicant's legal rights between the time of the application and the time of trial may be forestalled. And it has the effect of preventing or compelling the Respondent from doing or to do some act or thing which on conclusion of the suit the court may well find that he had a right to do or not to do. This latter consideration should caution the Court not to grant an interlocutory injunction as a matter of course and lightly. The first consideration impels a Court to grant the relief in a deserving case. And a case is deserving if it is found to be within the parameters set by the East African Court of Appeal in *Giella v Cassman Brown Company Limited* [1973] EA 358. That case spells out the necessary conditions for the grant of the relief. Those conditions are however not necessarily sufficient and accordingly if the Respondent satisfies the Court that the Applicant is not by virtue of his conduct deserving of equitable relief, the injunction will not issue even if the necessary conditions have been satisfied. In the case referred to , *Spry v P* set out the necessary conditions in the following words:

> "The conditions for the grant of an interlocutory injunction are now well settled in East Africa. First, an applicant must show a *prima facie* case with a probability of success. Secondly, an interlocutory injunction will not normally be granted unless the applicant might otherwise suffer irreparable injury, which would not adequately be compensated by an award of damages. Thirdly, if the Court is in doubt, it will decide an application on the balance of convenience".

These words have been echoed with approval in other decisions of both the former Court of Appeal for East Africa and the Kenyan Court of Appeal for Kenya (see *Nsubuga v Mutawe* [1974] EA 487, *Salim and others v Okongo and others* [1976] KLR 42, and *Shitakha v Mwamodo and others* [1982-188] 1 KAR 965). In short, interlocutory injunctive relief will be available only to either those with demonstrable legal or equitable rights in danger of violation or which have actually been violated in situations where damages would be an inadequate remedy, or to those who are favoured by the balance of convenience in situations where as a result of serious conflict of affidavit evidence on material propositions of fact or law there is a reasonable doubt on either the *prima facie* existence of the right asserted or of its violation or of both, or of the adequacy

of the remedy of damages. And in either scenario, the Applicant's conduct should meet the approval of the eye of equity. I will decide this application applying the above principles.

What the wife/Applicant is asserting in this case is that she has a proprietary and hence possessory right to the matrimonial home just like the husband/Respondent. She is saying that as co-owner of property, she cannot be kept out of it by the other co-owner. She bases her claim on the provisions of section 17 of the Married Women Property Act of 1882 which she claims is a statute of general application on the authority of *I v I* [1971] EA 28, *Karanja v Karanja* [1976] KLR 307 and *Kivuitu v Kivuitu* [1988-92] KAR 241. She emphasises that whether her marriage is statutory or customary matters naught. And she claims a right to use the car on the strength of the same argument about ownership and also that she has always used it as a personal vehicle. The husband's assertion is that she is a customary wife who is now lawfully divorced and the nature of the interest she may have in the matrimonial home and in the car (his counsel does not deny that the wife has some interest in the property) together with the incidents of such an interest can only be determined in accordance with Kikuyu Customary Law at the trial of the originating summons. Such a determination he says, need not be inconsistent with the Married Women Property Act of 1882.

In my discernment of the law, whether the parties marriage is customary or statutory, the preponderance of authority in this jurisdiction leads me to the conclusion that the wife is likely to prevail at the trial in her contention that she has proprietory interest in both the matrimonial home and the car. And it is highly unlikely that the husband whose name has been inscribed in the register of marriages side by side with the name of the wife for over ten years now with his full knowledge and without protest will not be found estopped from denying that his marriage is a statutory one. The customary law marriage which he would rather it governed his personal affairs is likely to be found to have been superseded and subsumed in the subsequent statutory marriage. Being that mental inclination I find that the wife has a *prima facie* case with a probability of success at the trial to the effect that she is co-owner of the matrimonial home and the motor vehicle and that accordingly she is entitled to access and use them. I am also of the view that for a person who is used to life in a posh residential area and to the amenity of locomotion by Mercedes Benz saloon her present consignment to Dagoretti is a psychological torture and, as such, an injury that cannot be compensated for by an award of damages. I need not in view of the foregoing consider the balance of convenience. That is not to say I have no views on it. The husband's contention is that if the injunction is granted it will in effect be an order that two incompatible adults share the same rood. He says there is likely to be violence. The wife contends that to accede to the husband's urging would be to let him retain advantage of his own wrong in showing her out of the matrimonial home and in denying her the usual means of locomotion. Both contentions are, I must say, quite appealing on their face. However I am of the firm view that for a Court of Law to shirk from its constitutional duty of granting relief to a deserving suitor because of fear that the effect would be to engender serious ill will and probable violence between the parties or indeed any other consequences would be to sacrifice the principle of legality and the dictates of the rule of law at the altar of convenience. It would be to give succour and sustenance to all who can threaten with sufficient

menaces that they cannot live with and under the law. It would be to elevate perceived might to a legal advantage law. This Court will not do any of those things. If the husband cannot live peacefully with the wife under the same roof but in different chambers in their matrimonial home pending the hearing and determination of the property suit he had better look for alternative accommodation. I have no doubt from the depositions on record that that would be financially easy for him. If he does not, and if he is unable to restrain himself from visiting personal violence on her he will discover that in the armoury of the law sufficient weapons exist to deal decisively with those who would transgress it. And I need scarcely add that should the wife be tempted to harm her husband, as he fears she may, she will learn the lesson that the law is no respecter of gender. Of course the refusal of an injunction in this case would be to perpetuate the wife's resented absence from the matrimonial home and her non use of her usual personal car. It would be to condemn her to reside in Dagoretti and to use unfamiliar contraptions for locomotion. To grant the injunction would unhappily puncture the ego of the husband and make him quite miserable by compelling him to share the same roof with someone he no longer loves. However, I have not lost sight of the fact that he has endured such misery since 1992. Considering all that I am of the opinion that the inconvenience which the applicant will suffer by the refusal of injunction is greater than that which the Respondent will suffer if it is granted. Finally I am of the opinion that the non-disclosure of prior proceedings which now stand withdrawn is not sufficiently material to impel me to view the wife's present application with disfavour.

In the result, I grant the orders prayed for in terms of prayers (3), (4) and (5) on page two of the chamber summons dated 29 May 1995. Mrs Kunyanjui is at liberty to return to her matrimonial home and to take possession of and use her usual Mercedes Benz. The costs of this application will be in the cause.

For the applicant:
Information not available

For the respondent:
Information not available

Kisumuwalla Oil Industries Ltd v Pan Asiatic Commodities PTE Ltd and another (1)

[1995–1998] 1 EA 150 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	3 May 1996
Case Number:	100/95
Before:	Gicheru, Kwach and Tunoi JJA
Sourced by:	IT Inamdar
Summarised by:	A Mwanzia

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[1] Appeal – Court of Appeal – Judicial precedent – Court of Appeal can depart from earlier decision of its own if satisfied it is wrong – Desirability of having a five judge bench – Circumstances in which such a bench will be constituted.

Editor's Summary

The Court had intimated to the parties that the decision in *Corporate Insurance Co v Wachira* [1995] LLR 394 (CAK) might have a direct bearing on the outcome of the appeal. Counsel for the appellant then applied to the Chief Justice for a bench of five judges to hear the appeal. The basis of the application was that the decision in the *Corporate Insurance* case, insofar as it was based on the *Scott v Avery* clause, was either wrong or distinguishable. The appellant therefore sought a bench of five judges so that the decision could be overturned if the appellant's argument was successful. The Chief Justice referred the application to a bench of three judges to determine whether or not a bench of five judges should be constituted.

Held – The principles laid down by the Court of Appeal for East Africa in *Dodhia v National and Grindlays Bank Limited and another* [1970] EA 195 concerning the circumstances in which that Court would depart from a previous decision of its own also governed the position of the Kenya Court of appeal.

However since counsel for the appellant had not, either in his letter to the Chief Justice or in his representations before the Court, indicated the basis on which he claimed that the decision in the *Corporate Insurance* case was wrong, there were no grounds on which the Court could act on the application.

Application refused.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Corporate Insurance Co v Wachira [1995] LLR 394 (CAK)

Dodhia v National and Grindlays Bank Ltd andAnother [1970] EA 195

Ruling

GICHERU, KWACH AND TUNOI JJA: Sir Charles Newbold P, when delivering the leading judgment in *Dodhia v National and Grindlays Bank Ltd and Another* [1970] EA 195 at 199 and 200 had this to say:

> "For these reasons I am satisfied that as a matter of judicial policy this Court, as the final Court of appeal for Kenya, Tanzania and Uganda, while it would normally regard a previous decision when it appears right to do so it will, decision of it own as binding, should be free in both civil and criminal cases to depart from such a previous of course, exercise this power only after careful consideration of the consequences of doing so and would not seek to lay down any more detailed guide to the circumstances in which such a departure should take place as the matter would be best left to the discretion of the Court at the time it was up for consideration".

Duffus VP and Law JA who were the other two members of the bench of the Court of Appeal for East Africa (the precursor to our present Court of Appeal) in that case were in agreement that the position of that Court in relation to *stare decisis* was in accordance with the principles expressed in the passage set out above. That too is the position of this Court in that regard.

When the appellant's appeal came up for hearing at Mombasa on 22 January 1996, it was stood

over generally to enable the first respondent to regularise the

appearance of its counsel in this Court, Mr Satish *Gautama*, in respect of whom there was no notice of change of advocate as is required under rule 23 of the Rules of this Court. The appeal was to be fixed for hearing for one full day at Mombasa. Before adjourning the hearing of the appellant's appeal, this Court intimated to the parties to the said appeal, the relevance to the latter of the decision of this Court in *Corporate Insurance Co v Wachira* [1995] LLR 394 (CAK) which may have a direct bearing on the outcome of the appeal.

By a letter dated 29 January 1996 and addressed to the Honourable the Chief Justice of Kenya, counsel for the appellant herein applied for a bench of five judges of this Court to be constituted to hear the appellant's appeal. This was expressed to be with a view to reviewing the decision of a bench of three judges of this Court in the *Corporate* case (*supra*), in so far as it concerned the *Scott v Avery* clause which decision, according to counsel, is erroneous in law; and if it is not, it is, in any event, distinguishable in the circumstances of the appellant's appeal. The response of the Honourble the Chief Justice of Kenya in this regard was, quite correctly, to suggest to counsel to have the appellant's appeal mentioned before a bench of three judges of this Court which after listening to the representations, if any, of the parties to the appeal would make an order in respect thereof.

When the appellant's appeal came up for mention at Nairobi on 29 April 1996, Mr *Inamdar* who appeared with Mr Kishore *Nanji* for the appellant indicated that since a copy of their letter to the Honourable the Chief Justice of Kenya was in the record of the appellant's appeal, they did not with to dilate on the matter contained therein. According to him, as an opportunity had arisen upon which the issue relating to the *Scott v Avery* clause could be thrashed out, it was only fair that a bench of five judges of this Court should be assembled for this purpose. It was for that reason that they had sought the convening of a bench of five judges of this Court, he concluded.

Mr *Gautama* for the first respondent was, however, of the view that since a bench of three judges of this Court has the same authority as that of a bench of five judges of this Court, to grant the application for the assembling of a bench of five judges of this Court to thrash out the issue relating to the *Scott v Avery* clause simply because counsel for the appellant thinks that the decision of this Court in *Corporate* case (*supra*), on that issue was wrong would be opening a floodgate of such applications whenever a party to an appeal in this Court thinks that a previous decision of this Court which may have a direct bearing on the outcome of his appeal is wrong. For this reason, he submitted, the application for constituting a bench of five judges of this Court to hear the appellant's appeal should be rejected.

Counsel for the appellant perceives the decision of this Court in the *Corporate* case (*supra*), in so far as it concerned the *Scott v Avery* clause to have been erroneous in law. It is for that reason that the application to constitute a bench of five judges of this Court to hear the appellant's appeal was made with a view to deciding whether or not this Court should depart from that decision. However, neither in their letter to the Honourable the Chief Justice of Kenya in this regard nor in their representations before us did counsel for the appellant consider it necessary to disclose the basis on which they had concluded that that decision was wrong in law. In the result, no grounds have been availed, upon which this Court can act, for departing from the decision referred to above. Consequently, the application to make the necessary arrangements for a bench

of five judges of this Court to hear the appellant's appeal fails and the determination of whether or not the decision of this Court in the *Corporate* case (*supra*), in so far as it concerned the *Scott v Avery* clause is wrong must, if still pursued, be left to the bench of three judges of this Court which shall hear the appellant's appeal at Mombasa as is indicated earlier in this ruling. That bench shall exclude Gicheru, Kwach, Tunoi and Shah JJA. The costs occasioned by this application shall be in the appeal.

Those then are the orders of the Court.

For the appellant:
IT Inamdar instructed by *Inamdar & Inamdar Adv*

For the first respondent:
SC Gautama instructed by *Satish Gautama Adv*

Kisumuwalla Oil Industries Ltd v Pan Asiatic Commodities PTE Ltd and another (1)

[1995–1998] 1 EA 153 (CAK)

Division:	Court of Appeal of Kenya at Mombasa
Date of judgment:	14 February 1997
Case Number:	100/95
Before:	Omolo, Pall JJA and Bosire AJA
Sourced by:	P Le Pelley
Summarised by:	A Mwanzia

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[1] Arbitration – Scott v Avery *clause – Contract containing* Scott v Avery *clause requiring obtaining of award before filing cause of action – Party suing without referring to arbitration – Defendant applying for suit to be struck out – Whether party can elect to rely on* Scott v Avery *clause as a defence to the claim or must apply for stay of proceedings – Sections 6 and 26(4) – Arbitration Act (Chapter 49).*

[2] Jurisdiction – Common law – Arbitration Act – Scott v Avery clause – Whether common law doctrine may override express provisions of statute – Section 6 – Arbitration Act – Section 3(1) – Judicature Act (Chapter 8).

[3] Words and phrases – Step in the proceedings – Section 6 – Arbitration – Whether application to strike out plaint is a step in the proceedings as envisaged.

Editor's Summary

The respondent entered into a contract with the appellant for the sale of 500 tons of crude palm oil. The appellant was to make payment for the goods by opening an irrevocable letter of credit with a bank in Singapore and payment was to be made on presentation of relevant shipping documents. The respondent made the shipment but on presentation of the shipping documents to the bank for payment, minor discrepancies were noticed by the bank, which nevertheless offered to pay upon the respondent

obtaining confirmation from the appellant. The appellant on being consulted sought to extend the time of payment but the respondent refused. Meanwhile, the goods arrived at the port of Mombasa and the respondent organised for their storage with East African Storage Company Limited. The appellant demanded release of the goods to it despite not having paid the purchase price.

The respondent filed suit seeking an injunction to restrain the defendants from taking delivery of the goods. The High Court granted an *ex parte* injunction and the appellant was served for an *inter partes* hearing. The appellant entered appearance and filed an application to strike out the suit for failure to comply with a *Scott v Avery* arbitration clause in the contract between the parties. The clause required any dispute arising under the contract to be referred to arbitration first and the award to form the basis of any action to be filed in court. The appellant's application was dismissed and the appellant lodged an appeal against that order of dismissal.

When the appeal came for hearing, the court drew to the attention of the parties its decision in the case of *Corporate Insurance Co Ltd v Wachira* [1995] LLR 394 (CAK), decided some 11 days earlier. In that matter the Court had held that where a contract contained a *Scott v Avery* clause a party was obliged to apply for a stay of proceedings for a matter to be referred to arbitration as per section 6 of the Arbitration Act. It was further held that where this was not done, the party could not rely on the failure to refer the dispute for arbitration to defeat the claim. The court adjourned the appeal to allow the parties' advocates to peruse the judgment.

The appellant's advocate wrote a letter to the Chief Justice seeking the constitution of a five-member bench to hear the appeal in light of the decision in *Corporate Insurance* which he considered wrong in law. The request was refused by a three-judge bench and the matter ordered to be heard by the normal three-judge bench.

At the substantive hearing of the appeal, the appellant's advocate raised a point of law on the *Scott v Avery* 25 LJ Ex 308 clause submissions upon which the whole appeal rested. Firstly it was contended that the *Scott v Avery* clause in the contract stipulated that an arbitration award must be obtained as a condition precedent to the right of either party to bring any legal action. Thus, it was argued, the appellant had two options: either to apply for a stay of proceedings in accordance with section 6 of the Arbitration Act or to use the said clause as a defence to the plaintiff's action. Secondly, the appellant's case was distinguishable from the *Corporate* case in that whereas in the *Corporate* case appearance had been entered and a defence filed, the appellant in the present matter had only entered appearance and made application for striking out of the suit. Therefore the appellant had not "taken a step in the proceedings" as envisaged by section 6 of the Arbitration Act.

Held – If the appellant wished to take advantage of the arbitration clause of the contract, it was obliged to apply for a stay of proceedings after entering appearance. The appellant had not done so. Under section 26(4) of the Arbitration Act, the Court had a discretion in a proper case to hold that a condition precedent to the bringing of an action would cease to have effect as regards any particular difference. The decision of the court in the *Corporate* case was therefore good law.

Per Pall JA – *Woodall v Pearl Insurance Company Limited* [1919] 88 LJ KB 706, *W Bruce Limited v Strong* [1951] 1 All ER 1021 and *Hardwick Game Farm v SAPPA Limited* [1964] 2 Lloyd's Reports 227 distinguished

Per Bosire JA – The *Scott v Avery* clause was ingrained in the English common law and its application sustained over the years by English courts. It had not been specifically restricted or changed by statute and English authorities

made it clear that a defendant had a choice to invoke provisions of the Arbitration Act (apply for stay) or to rely on the *Scott v Avery* clause as a defence in situations where a suit had been instituted in breach of the *Scott v Avery* clause. The circumstances and the law in Kenya were however different from those obtaining in England. The common law occupied a subordinate position to statute law and its application was subject to statute law (section 3(1) of Judicature Act). The Arbitration Act made no classification of arbitration clauses, and a *Scott v Avery* clause was not any different, when looked at in light of the Kenya law and circumstances, from any other arbitration clause. In light of section 6 of the Arbitration Act, unless a defendant waived his right to rely on an arbitration clause, he would be obliged to apply for a stay of proceedings.

The appellant's application to strike out the plaint and dismiss the suit was a step in the proceedings and by not filing an application for stay of the legal proceedings the appellant had forfeited its right to rely on the arbitration clause.

Per Pall JA – *Eagle Star v Yuval* [1978] 1 Lloyd's Reports 358 and *Motokov v Auto Garage Limited* [1970] EA 249 applied. *Hanessian v Lloyd Triestino Societa* [1951] Volume 68 weekly notes and *Kuwait Airways Corporation v Iraq Airways and another* [1995] 1 Lloyd's Reports 25 distinguished.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Corporate Insurance Co Ltd v Wachira [1995] LLR 394 (CAK)

Dodhia v National and Grindlays Bank Ltd and another [1970] EA 1995

Kenindia Assurance Co Ltd v Muturi [1993] LLR 2833 (CAK)

Motokov v Auto Garage Limited [1970] EA 249 – AP

United Kingdom

Eagle Star v Yuval [1978 1 Lloyds Reports 358 – **AP**

Hanessian v Lloyd Triestino Society [1958] Volume 68 weekly notes – **D**

Hardwick Game Farm v SAPPA Ltd [1964] 2 Lloyd's Reports 227 – **D**

Kuwait Airways Corporation v Iraq Airways and another [1995] 1 Lloyd's Reports 25 – **D**

Leach v Rex [1912] AC 305

Scott v Avery 25 LJ Ex 308

W Bruce Ltd v Strong [1951 1 All ER 1021 – **D**

Woodall v Pearl Insurance Co Ltd [1919] 88 LJ KB 706 – **D**

Judgment

PALL JA: This is an appeal from the order of the High Court at Mombasa (Mbaluto J) dated 25 May

1993 in civil case number 84 of 1993.

Facts briefly are as follows:

Pan Asiatic Commodities PTE Limited (the plaintiff) have sued Kisumuwalla Oil Industries Ltd (the first defendant) and another in the said High Court civil

case number 84 of 1993. In the year 1992 the plaintiff agreed with the first defendant to sell to it 500 tons of crude palm oil on the terms and conditions set out in a pro forma invoice sent to the first defendant (the contract). One of the terms and conditions of the contract was that the first defendant was to make payment for the goods by opening an irrevocable letter of credit with a prime bank in Singapore and the payment would be made in terms of the letter of credit upon the plaintiff presenting relevant shipping documents to the said bank. The plaintiff shipped the goods in September 1992 and presented the shipping documents to the first defendant's said bank for payment. The first defendant's bank pointed out some minor discrepancies in the shipping documents and required the plaintiff to obtain confirmation from the first defendant allowing it to pay notwithstanding the said discrepancies. The discrepancies were such that the first defendant could have overlooked them if it so wished without any loss or prejudice to it. However the first defendant said that it would accept the shipping documents notwithstanding the discrepancies only if the bill was drawn 90 days from 20 September 1992. It thus sought to create a new term in the contract between the parties. The plaintiff rejected the new term so proposed. Meanwhile the goods arrived at Mombasa. In order to avoid incurring demurrage the plaintiff arranged with the owners of the ship carrying the goods that the cargo should be discharged into the storage tanks of the second defendant. The first defendant although it had not paid the purchase price at all demanded release of the goods to it. The plaintiff therefore filed this suit seeking an injunction restraining the first defendant from taking delivery of the said goods.

In 15 February 1993 Mbaluto J granted an expert injunction restraining the defendant to be served for *inter partes* hearing on 25 February1993. On 23 February 1993 the first defendant entered appearance to the summons. On 25 February 1993 Mr *Nanji* appeared for the first defendant the hearing of the said application and the application was stood over to 15 March 1993.

On 15 March 1993, the first defendant applied by a chamber summons under Order VI, rule 13(1)(*a*), (*b*) and/or (*d*) and under inherent powers of the court for following orders:

(*a*) that the plaint be struck out; and

(*b*) that the suit as well as the plaintiff's application for interlocutory injunction be dismissed with costs.

The first defendant's application was based on clause 29 of the current edition of the contract of the Federation of Oils Seeds and Fats Association Limited which contract the parties had mutually agreed to be binding upon them clause 29 read as follows:

> "Any dispute arising out of this contract including any question of law arising in connection therewith shall be referred to arbitration in London (or elsewhere if so agreed) in accordance with the Rules of the Arbitration and Appeal of the Federation of Oils Seeds and Fats Association Limited in force at the date of this contract of which both parties shall be deemed to be cognisant.

Neither party hereto nor any person claiming under either of them shall bring any action or other legal proceeding against the other of them in respect of any such dispute until such disputes shall first have been heard and determined by the arbitration and appeal of the Federation and it is hereby expressly agreed and declared that the obtaining of an award from the arbitrators umpire or Board of

Appeal (as the case may be) shall be a condition precedent to the right of either of them to bring any action or other legal proceedings against the other of them in respect of any such dispute".

The first defendant's grounds for its application were that there was a disputed existing between the plaintiff and the first defendant. However the nature of the dispute was not defined by the defendant. It was simply alleged that the dispute arose out of the aforesaid contract. It was also alleged that as neither the plaint nor the affidavit of Rajkumar Shah in support of the plaintiff's application for an interlocutory injunction contained any averment that the said dispute, albeit unidentified by the first defendant, had been heard or detrained in consequence of a reference to arbitration in terms of the said clause 29 nor that the plaint or the said affidavit contained any averment that the defendant, the plaintiff had no cause of action against the first defendant and its suit was therefore frivolous and vexatious.

Mbaluto J heard counsel on both sides and by his considered ruling given on May 1993 dismissed the first defendant's said application with costs. The first defendant has now appealed against that order.

On 22 January 1996 the appeal came up for hearing before a differently constituted bench of this Court. While adjoining the appeal in order to enable Mr *Gautama* for the plaintiff to regularise his appearance before the court, the court intimated to the parties that the decision of this Court in the case of *Corporate Insurance Co Ltd v Wachira* [1995] LLR 394 (CAK) might have a direct bearing on the appeal. The appeal was thereafter mentioned in the court not before the present bench on 29 April 1996 when Mr *Inamdar* for the appellant said that the appellant perceived that the decision of the court in the *Corporate* case, so far as it concerned the *Scott v Avery* clause was erroneous in law. He urged the court to constitute a bench of five Judges to hear the appeal. But the court declined to make arrangements for the appointment of a bench of five Judges to hear the appeal and ordered that the appellant could argue this point before a different bench of 3 Judges who would hear the appeal.

When this appeal came up for hearing before us on 24 January 1997 Mr *Inamdar* for the appellant opened by saying that in the first instance he would like to address us on the said point of law namely that the court decision in the *Corporate* case (*supra*) was faulty so far as *Scott v Avery* clause is concerned and we should not be bound it. If he failed in that effort he said he would endeavour to satisfy us that the said decision was distinguishable from the facts of this appeal. If he failed on both limbs, he said, his appeal should be dismissed with costs. With Mr *Gautama*'s concurrent we allowed Mr *Inamdar* to address us on that point of law in the first instance.

A *Scott v Avery* clause is named after the leading case of the House of Lords (*Scott v Avery* 25 LJ Ex 308*)* in which a mutual assurance company inserted in all its polities a condition that when a loss occurred the suffering member should give in his claim and prove his loss before a committee of members appointed to settle the amount; that if a difference arose between the committee and the suffering member the matter should be referred to arbitration and that no action should except on the award of the arbitration. The House of Lords held that this condition was not illegal as ousting the jurisdiction of the courts.

In the *Corporate* case the Corporate Insurance Company ("the corporate") by a policy document agreed (*inter alia*) to indemnify the policy holder Mrs Loise Wanjiru Wachira (Mrs Wachira) against all loss or damage to Mrs Wachira's

vehicle KVF 090 during the subsistence of that policy clause 10 of the policy provided that all differences between the parties were to be referred to arbitration and that the making of an award was to be a condition precedent to any right of action against the corporate.

On 25 December 1987 while the policy was subsisting Mrs Wachira sent her car to a garage in order to have a leak in its exhaust repaired. An apprentice in the garage owner took vehicle out on the road in order to test if the leak had been effectively repaired. The apprentice did not hold a driving licence and he crashed into an electric power pylon causing extensive damage to Mrs Wachira's vehicle. He was charged and convicted of careless driving and driving a motor vehicle without a driving licence. Mrs Wachira submitted a claim to the corporate to be indemnified of her loss or damage arising from that accident. But the corporate disclaimed its liability. Notwithstanding the fact that the insurance policy contained the said clause for arbitration and before any reference was made Mrs Wachira filed a suit against the corporate claiming damages for breach of contract. The corporate entered appearance and also filed a defence denying liability on three grounds namely (a) that at the time of the accident the vehicle was driven by an unauthorised driver in breach of the policy (b) that the suit was premature and incompetent because of the said clause in the policy and (c) that the corporate had repudiated the claim. Some four years after the filing of the said defence and when the suit came up for hearing the corporate raised a preliminary objection and asked for the suit to be struck out on the ground that it had been prematurely brought without the dispute being referred to arbitration as stipulated by clause 10 of the insurance policy. The Judge in the Superior Court overruled the objection because he found as a fact that the mandatory provisions of section 6 of the then Arbitration Act (Chapter 49) had not been complied with as the corporate, after entering appearance, had delivered a defence and made no application for stay.

Section 6 of the Arbitration Act (Chapter 49) which is now repealed and replaced with a new Act but was in force at the material time read as follows:

> "6 (1) if a party to an arbitration agreement or any person claiming through or under him against any party to the agreement or against a person claiming through or under him in respect of a matter agreed to be referred:
>
> (a) any party to those proceedings may at any time after appearance and before delivering any pleading or taking any other steps in the stay the proceedings and
>
> (b) that the court if satisfied that there is no sufficient reason why the matter should not be referred in accordance with the agreement and that the applicant was at the time when the proceedings were commenced and still remains ready and willing to do all things necessary to the proper conduct of the arbitration may make an order staying the proceedings".

Subsection 6(2) of the Act is not relevant here.

So far as judicial policy is concerned as Sir Charles Newbold in *Dodhia v National and Grindlays Bank Ltd and another* [1970] EA1995 said:

> "This court as the final court of appeal . . . while it would normally regard a previous decision of its own as binding, should be free in both civil and criminal cases to depart from such a previous decision when it appears right to do so. It will, of course exercise this power only after careful consideration of the consequences of so doing and the circumstances of the particular case but I would not seek to lay down any more detailed guide to the circumstances in which such a departure should take place

> as the matter would be best left to the discretion of the court at the time it was up for consideration".

In the *Corporate* case, Mr Muthoga for the corporate had submitted that although the corporate was a party to an arbitration agreement within the meaning of section 6 of the Arbitration Act and the arbitration clause was what is commonly known as a *Scott v Avery* clause, the appellant was not bound to apply for stay of proceedings under section 6 of Arbitration Act but could raise it as a defence to the respondents' claim. Similarly, Mr *Inamdar*'s submission here is that as there was a *Scott v Avery* arbitration clause in the insurance policy in the *Corporate* case the corporate had two options; either to apply for stay of proceedings in accordance with section 6 of the Arbitration Act or use the said clause as a defence to the plaintiff's action. Similarly he said clause 29 of the agreement in this case expressly stipulates that the obtaining of an award from the arbitrators or the Board of Appeal as the case may be shall be a condition precedent to the right of either party to bring any legal action against the other in respect of any dispute arising under the agreement. Thus he said the *Scott v Avery* clause in both cases made the obtaining of an award a condition precedent to the plaintiff's right of action. He cited a number of authorities in support of his submission.

He went on to submit that the court of Appeal in the *Corporate* case agreed that *Scott v Avery* clause stipulates that:

> "the award of an arbitration is to be a condition precedent to the enforcement of any rights under the contract, so that a party has no cause of any rights under the contract, so that a party has no cause of action in respect of the claim falling within the clause unless and until a favourable award has been obtained".

Yet, said Mr *Inamdar*, the Court of Appeal erroneously said:

> "While we agree that a *Scott v Avery* clause can provide a defence to a claim, we cannot accept the submission that the party relying on it can circumvent the statutory requirement to apply for a stay of proceedings. In the present case if the appellant wished to take apply for a stay fate entering appearance and before delivering any pleading. *By filing the defence the appellant lost its right to rely on the clause*". (emphasis provided)

The Court of Appeal cited with approval the following passage at 165 of the *Law and Practice of Commercial Arbitration's in England* by Mustill and Boyd (2 ed):

> "A *Scott v Avery* clause performs two different functions. First it creates an obligation to arbitrate: and as such it creates a condition precedent to the plaintiff's right to apply for a stay of the proceedings. Second it creates a condition precedent to the plaintiff's right of action; and as such it gives the defendant a substantive defence to the claim. A defendant sued in breach of a *Scott v Avery* provision thus has a choice of remedies. In law he is entitled to bide his time and rely on the *Scott v Avery* point at the trial. But the court does not approve of this procedure because it wastes the costs of the action. *The right course is for him to apply for a stay*" (emphasis provided).

The same passage goes on to say as follows:

> "upon hearing of the application (for stay) all questions of the applicability of the arbitration provisions can be dealt with along with any issue whether the clause ought in the circumstances to be declared of no effect. If it is held that the clause does apply then the action will be stayed and the matter can proceed to arbitration no further costs being incurred in the action".

Again at 162 the learned authors say: "It has been said that such a clause postponed but does not annihilate the right of access to the court". At 14 of the same text the learned authors further say:

> "such a clause does not bar the jurisdiction of the court, but it dies provide a defence to the action, where there has been no arbitration and no award. In theory the defendant is entitled to let the action run on and use the clause to defeat the claim at the trial. *This is rarely done in practice and the usual course is to employ the clause as a ground for obtaining a stay*" (emphasis provided).

According to section 6(1)(b) of the Arbitration Act in order to take advantage of the arbitration clause, the party applying has to satisfy the court that the applicant was at the time when the proceedings were commenced and still remains ready and willing to do all things necessary to the proper conduct of the arbitration. There was nothing in the *Corporate* case to indicate that the appellant either at the time the legal proceedings were commenced or at any time thereafter indicated that it wished to take the advantage of the arbitration clause and desired the matter to be referred to arbitration. The arbitration provision does provide a remedy of specific performance. However one cannot ask for specific performance of an agreement by the other side unless he has been and still is ready to perform his part of the agreement. There was nothing even in the defence of the corporate to show that arbitration. On the other hand corporate had in fact waived the right to refer the matter to arbitration and have the legal proceedings stayed in the meantime by filing a defence particularly as two of the defences were that the vehicle in question was being driven by an unauthorised driver in breach of the policy and that the corporate had repudiated liability. The corporate's conduct therefore disentitled it from relying on the *Scott v Avery* clause.

Mustill and Boyd at 164 say as follows:

> "The second situation where a *Scott v Avery* clause is not available as a defence exists where the conduct of the defendant disentitles him from relying on it. The reported cases disclose two distinct instances:
>
> 1. Where the defendant has waived reliance on the clause by defending the action without relying on the clause or by himself instituting proceedings in breach of it".

The other instance is not relevant here as it relates to the conduct of the defendant during the arbitration.

The parties can of course expressly agree to ignore or disregard the arbitration clause. They may also do so by conduct. Once the parties have submitted to the jurisdiction of the court they cannot blow hot and cold and subsequently without consent of each other rely upon the condition precedent in the arbitration clause.

At 137 *Russel on the Law of Arbitration* (18 ed) says: "If the court has refused to stay an action or if the defendant has abstained from asking it to do so, the court has seisin of its decision alone that the rights of the parties are settled".

Again at 138 *Russel* says:

> "It would seem that even where it is provided in the contract that no action shall be brought until an award is made on except the award of the arbitrator a party still has a right to bring an action and jurisdiction of the court is not ousted. The court may stay the action either under 4(1) or on the ground that it is frivolous and vexatious. Alternatively the court has discretionary power to order that the provision making the award a condition precedent cease to have effect".

Mr *Inamdar* has also relied upon the following judicial authorities:

(1) *Woodall v Pearl Insurance Co Ltd* [1919] 88 LJ KB 706. In it a dispute had arisen as to the validity of the insurance policy. The insurance company

had required the other side under the arbitration. But the appellant brought an action on the policy. It was held that as the insurance company had required under the arbitration clause the obtaining of an award a condition precedent to right of action, the insurance company was entitled to rely upon the arbitration clause as a defence tot he claim.

(2) *W Bruce Ltd v Strong* [1951] 1 All ER 1021 In this case there was an application for stay of proceedings which is neither the case here nor was it the case in the *Corporate* case and

(3) In *Hardwick Game Farm v SAPPA Ltd* [1964] 2 Lloyd's Reports 227 it was held either party has the right to apply to the court for a stay *if he has not waived his right* (emphasis provided).

All these cases are distinctly different on facts from those in the *Corporate* case or those in the present appeal. I think it is also relevant here to point out that under section 26(4) of the Arbitration Act the court has discretion in a proper case to hold that a condition precedent to the bringing of an action shall cease to have effect as regards any particular difference. Section 26 (4) reads:

> "where it is provided (whether by means of a provision in the arbitration agreement or otherwise that an award under an arbitration agreement is a condition precedent to the bringing of an action with respect to any matter to which the agreement applies, the High Court if it orders (whether under this section or under any other law) that the agreement shall cease to have effect as regards any particular different may further order that the provision making an award condition precedent to the bringing of an action shall cease to have effect as regards that dispute".

I therefore find no reason to depart form the previous decision of this Court in the *Corporate* case. By the same token in this appeal if the first defendant/appellant wished to take advantage of clause 29 of the contract, it was obliged to apply for stay of proceedings after entering appearance which it never did. Also there is no evidence that the first defendant/ appellant had ever written to the plaintiff that there was any dispute between them regarding the terms and conditions of the contract and if so what the dispute arising out of the contract was. It never ever before the suit had been filed indicated to the plaintiff that it wished to rely upon clause 29 of the contract and desired the matter to be referred to arbitration.

After entering appearance the first defendant could have applied for stay of proceedings. Instead of applying for stay of proceedings the appellant/first defendant applied to the court by a chamber summons seeking, as I have already said, that the plaintiff's application for interlocutory injunction should be dismissed. Also Mr *Nanji* for the appellant/first defendant participated in the court proceeding on the plaintiff's application for injunction by appearing at the in at the interprets hearing of that application on 25 February 1993 when the application was stood over to 15 March 1993 and his client was ordered to pay the adjournment costs.

Mr *Inamdar*'s second point is that the *Corporate* case can be distinguished form the present appeal because in the *Corporate* case the appellant had taken a step in the proceedings by filing its defence whereas in this case his client immediately after entering appearance applied for striking out the plaint and dismissal of the suit for non compliance with clause 29 of the contract. Again he has submitted that the proceedings which could disentitle it from the advantage of the said clause.

According to Lord Denning MR in *Eagle Star v Yuval* [1978 1 Lloyds Reports 358 at 361, a step in the proceedings is "a step by which the defendant evinces an election to abide by the court proceedings and waives his right to ask for an arbitration".

Again at 363 Geoff LJ said: "The authorities show that a step in the proceedings means something in the nature of an application to the court . . . Some step such as taking out summons or something of that kind which is in technical sense a step in the proceedings". Shaw LJ at 364 said: "I am by no means of the view that the summons to strike out a claim is not generally to be regarded as a step in the action to which it relates. A step may in the direction of promoting the progress of the action or of impeding the action or of extinguishing it". In *Motokov v Auto Garage Ltd* [1970] EA 249 Georges CJ at 252C said: "I would hold that any application to a court for an order in respect of the proceedings can be described a step in the proceedings".

In the present case the appellant's application to strike out the plaint and dismiss the suit cannot be anything but a step in the proceedings. Moreover by not filing an application for stay of the legal proceedings the appellant has disentitled itself of clause 29 of the contract.

Mr *Inamdar* cited *Hanessian v Lloyd Triestino Society* [1958] Volume 68 weekly notes in which the defendant had applied for striking out the claim and in the alternative for stay of the proceedings under section 6 of the Arbitration Act of 1902. The Court of Appeal held that the defendant had not taken any step within the meaning of the Arbitration Act but stayed the proceedings. In *Kuwait Airways Corporation v Iraq Airways and another* [1995] 1 Lloyds Reports 25 the plaintiff sued the defendant for damages and the defendant applied for the action to be discontinued claiming immunity under the State Immunity Act of Iraq without filing any defence. The Court of Appeal of England held that the defendant had not submitted to the jurisdiction of the court by claiming immunity from the jurisdiction of the court. These two cases are obviously different on facts and are of no assistance to the appellant.

My view is that in the *Corporate* case the corporate took a step in the proceedings by filing a defence to Mrs *Wachira*'s case whereas in the instant case the appellant/first defendant took a step in the proceedings by filing the said chamber summons to strike out the plaint and dismiss the plaintiff's suit. In both cases there was no application for stay of proceedings. I therefore do not agree with Mr *Inamdar* that the present appeal is different on facts from the *Corporate* case. I further hold that the *Corporate* case is good law. There is no error in it and I am bound by that decision.

As Mr *Inamdar*'s point of law fails on both scores, I on my part hereby dismiss the appellant/first defendant's appeal with costs as proposed by Bosire AJA.

BOSIRE AJA: This is an interlocutory appeal from an order of the Superior Court (Mbaluto J) dated 25 May 1993, in its civil case number 84 of 1993, in which he declined to strike out the plaint in the suit and an application for an interlocutory injunction which was pending in the suit.

There are three parties to this appeal, the appellant and two respondents. The appellant is a limited liability company incorporated and registered in Kenya, and so is the second respondent, East African Storage Company Limited. The two companies were named as the first and second defendants in the above suit in which the first respondent herein, Pan Asiatic Commodities PTE Limited, a Singaporean company, was the plaintiff.

The suit was based on an agreement between the first respondent and the appellant in which the former agreed to sell to the latter 500 tons of crude palm oil at an agreed price which was to be paid before shipment of the oil from Singapore to the Kenyan port of Mombasa. Among the other terms of the agreement was clause 29, which made arbitration and the rendering of an award thereof as a condition precedent to the bringing of any action concerning any dispute or difference stemming from the agreement. The first respondent filed the above suit before obtaining an arbitration award as stated above, which act prompted the appellant to move the Superior Court under Order VI, rule 13(1)(*a*), (*b*) and (*d*) of the Civil Procedure Rules, and therein contended that the suit having been filed before the first respondent had obtained an arbitration award, it was premature and, therefore, frivolous, vexations and abuse of the process of the court. Consequently, it sought an order striking out the plaint and, also, an application which was pending in which the first respondent had sought interlocutory injunctive relief's against both the appellant and the second respondent. That application was filed after the appellant had entered appearance but before delivering a written statement of defence.

The second respondent was made a party in the suit because when the contract oil reached Mombasa it required immediate discharge to obviate increased demurrage charges. So it was, by mutual agreement between the first respondent and the appellant, discharged into the second respondent's storage tanks where it was lying as at the date of the suit. The suit and the injunction application by the first respondent were provoked when the appellant took steps to take delivery of the oil from the second respondent even before it made due payment for it.

The appellant's application to strike out the first respondent's plaint was unsupported by any affidavit. The appellant stated in that application that it would rely on facts as had been stated by the first respondent both in the plaint and the affidavit in support of the injunction application. In effect, therefore, there was no dispute on the facts upon which both the suit and the application for injunction was based. At the hearing of the appellant's application it was common ground that clause 29, above, contained a *Scott v Avery* type of arbitration clause. It is an arbitration clause which is at times included in a contract making it a condition precedent to the enforcement of a claim under the contract that the claimant shall have taken the matter to arbitration and obtained a favourable award before suit.

After hearing submissions from counsel appearing for the parties, Mbaluto J did not think the appellant had made out a case for striking out. In his view the appellant did not show that there existed a dispute which warranted a reference to arbitration and, that the application was merely a ploy to delay payment for the crude palm oil. In effect he concluded that the application was an abuse of the process of the court as in his view the plaint clearly disclosed a reasonable cause of action and, by the appellant seeking to rely on a subordinate term of the contract to avoid fulfilling a fundamental term it had repudiated the contract with the result that a reference to arbitration was rendered infructuous and otiose. He then proceeded to dismiss the application with costs. That provoked this appeal.

Several grounds have been set out in the memorandum of appeal but it is not necessary to state them here in light of the course the appeal took when it finally heard. The appeal first came for a hearing before a differently constituted bench

of this Court, which called the attention of all counsel appearing to the earlier decision of the court, on a similar or related issue to the one raised by this appeal, to wit the *Corporate* case (*supra*). Judgment in that case was delivered at Nyeri, on 11 January 1996, about 11 days before this appeal first came for a hearing. None of the advocates appearing had had the opportunity of reading that judgment. The Court considered it desirable to and adjourned the hearing of the appeal to enable the advocates to look for and read the judgment before this appeal could be re-listed for hearing.

Messrs *Inamdar* and *Nanji*, counsel on record for the appellant, after reading the judgment in *Corporate* case (*supra*) did not think the case was correctly decided. They wanted it reviewed by a bench of five judges of this Court, a request which, on the direction of the Honourable the Chief Justice, was considered by that bench but was rejected in a considered ruling in the following terms:

> "Consequently, the application to make the necessary arrangements for a bench of five judges of this Court to hear the appellant's appeal fails and the determination of whether or not the decision of this Court in *Corporate* case (*supra*) in so far as it concerned the *Scott v Avery* clause is wrong must, if still pursued, be left to the bench of three judges of this Court which shall hear the appellant's appeal at Mombasa as indicated earlier in this ruling".

It was pursuant to that ruling that we became seized of this appeal. When the appeal was called, counsel for the appellant indicated that they would attempt to persuade us, as a preliminary issue to the appeal, that the decision in the *Corporate* case (*supra*), in so far as it concerned the *Scott v Avery* clause was wrongly decided, or otherwise it is distinguished from this matter on facts, and to, in effect, abandon the appeal if we find against them on these two aspects. Mr Satish *Gautama*, for the first respondent did not, as was expected, agree with them that the case in question was wrongly decided. With the leave of the court, and with the concurrence of the appellant's counsel, he filed a notice of grounds for affirming the Superior Court's ruling. The only ground contained in the notice was that in view of the *Corporate* case the appellant should have applied for stay of the suit before the Superior Court of the arbitration clause.

I earlier stated that the *Scott v Avery* clause is a special type of arbitration clause in a contract making arbitration and the rendering of an award thereof as a condition precedent to the enforcement of a claim under the contract. The *Corporate* case (*supra*), concerned a policy of insurance which contained such a clause. No arbitration award was rendered before suit. The defendant entered appearance and delivered a defence raising, *inter alia*, the *Scott v Avery* clause as the defence. At the trial of the suit a preliminary point was raised based on that clause but which the trial overruled. The case was heard and judgment was pronounced against the Insurance Company, which was the defendant in the suit. It was dissatisfied and appealed against it to this Court. As far as is material to this appeal, the court in its judgment said:

> "Arbitration clauses such as clause 10 in the policy are known as '*Scott v Avery*' arbitration clauses named after a leading case decided by the House of Lords in England way back in 1856 in which their efficacy was considered and have long been accepted as valid. These clauses do more than provide that disputes shall be referred to arbitration. They also stipulate that the award of an arbitration is to be a condition precedent to the enforcement of any rights under the contract; so that a party has no cause of action in respect of a claim falling within the clause, unless and until a favourable award has been obtained.

> While we agree with the proposition that a *Scott v Avery* arbitration clause can provide a defence to a claim, we cannot accept the submission to the party relying on it can circumvent the statutory requirement to apply for a stay of proceedings. In the present case, if the appellant wished to take the benefit of the clause, it was obliged to apply for a stay after entering appearance and before delivering any pleading. By filing a defence the appellant lost its right to rely on the clause.
>
> The procedure in England in relation to these clauses is summarised at 165 in the *Law and Practice of Commercial Arbitration in England* by Mustill and Boyd (2 ed) as follows:
>
> > 'A *Scott v Avery* clause performs two different functions. First, it creates an obligation to arbitrate; and as such, it gives the defendant in a High Court action the right to apply for a stay of proceedings. Second, it creates a condition precedent to the plaintiff's right of action, and as such; it gives the defendant a substantive defence to the claim. A defendant sued in breach of *Scott v Avery* provision thus has a choice of remedies. In law he is entitled to bide his time and rely on the *Scott v Avery* point at the trial. But the court does not approve of this procedure, because it wastes the costs of the action. The right course is for him to apply for a stay'.
>
> That is what the appellant should have done and that is what this Court said should be done in the case of *Kenindia Assurance Co Ltd v Muturi* [1993] LLR 2833 (CAK). In our view, therefore, the Judge was right to reject the appellant's preliminary objection. This ground of appeal accordingly, fails".

It is the part of the judgment where the court said that the *Scott v Avery* clause is subject to the provisions of section 6 of the Arbitration Act (Chapter 49), which counsel for the appellant contend is wrong. What is the basis of their conclusion?

Mr *Inamdar*, who I said earlier appeared with Mr *Nanji* for the appellant, submitted before us, *inter alia*, that section 4 of the English Arbitration Act, is *in pari materia* with our section 6, above and, that the passage from Mustill and Boyd, cited with the approval in the *Corporate* case (*supra*), having been written before section 4, above, was amended, it followed that this Court applied English decisions in the *Corporate* case. In effect Mr *Inamdar* was trying to lay a basis for citing English and other decisions from other jurisdictions to persuade us that, in light of those decisions, the *Corporate* case was wrongly decided with regard to the efficacy of the *Scott v Avery* clause.

To my mind, the main thrust of Mr *Inamdar*'s submissions on the efficacy of the *Scott v Avery* clause was that it is a special clause which takes a dispute outside the ambit of the provisions of section 6, above. Section 6 provides, in pertinent part, as follows:

> "6 (1) If a party to an arbitration agreement or a person claiming through or under him, commences any legal proceedings in any Court against any other party to the agreement, or against a person claiming through or under him, in respect of a matter agreed to be referred:
>
> (a) any party to those proceedings may at any time after appearance, and before delivery of any pleadings or taking any other steps in the proceedings, apply to that Court to stay the proceedings".

Mr *Inamdar* submitted that notwithstanding that in England and other jurisdiction there is a provision similar to section 6, above, courts there have held that the *Scott v Avery* clause provides a defendant with a choice. First, he may apply for a stay of proceedings, in effect invoking statutory provision or; secondly, he may use the clause as a defence to the merits of the action. That may well be so in England. But the question which immediately springs into mind is whether the same applies to Kenya.

A matter which Mr *Gautama* obliquely touched on but, which to my mind may possibly answer the question and, which I think is central in the determination of the preliminary issue raised, is the relevance if any, of the English decisions on the issue in view of the circumstances and the law in this country. Most if not all the cases cited to us in this matter are based on the common law of England. The common law declared through judicial pronouncements of the Common Law Courts in England as distinct from statute law. It exists side by side with statute law and, unless specifically changed by an Act of Parliament the policy of the courts there is to give effect to it. For instance, in the English case of *Leach v Rex* [1912] AC 305, the House of Lords held that the common law cannot be changed by mere statutory implication. In that case the appellant was tried for an offence under the Punishment of Incest Act of 1908, and was convinced. At the trial his wife was compelled to testify against him despite her objection based under section 4 of the Criminal Evidence Act of 1898(1). That ruling was upheld on appeal to the Court of Criminal Appeal. On further appeal to the House of Lords, Lord Atkinson said:

> "The principle that a wife is not to be compelled to give evidence against her husband is deep seated in the common law of this country, and I think if it is to be overturned it must be overturned by a clear, definite and positive enactment, not by an ambiguous one such as the section relied upon in this case".

The *Earl of Halsbury*, also stated, in the same case, as follows:

> "and speaking for myself, as an ordinary person, I should have asked, when it was proposed to call the wife against the husband, "will you show me an act of Parliament that definitely says you may compel her to give evidence? Because since the foundations of the of the common law it has been recognised that that is contrary to the course of law". If you want to alter the law which has lasted for centuries and which is almost ingrained in the English Constitution, in the sense that everybody would say "to call a wife against her husband is a thing that cannot be heard of " to suggest that that is to be dealt with by inference, and that you should introduce a new system of law without any specific enactment of it, seems to be perfectly monstrous".

The *Scott v Avery* clause dates back to 1856. It is ingrained in the English common law and, English Courts have sustained its application over the years. Its application has not been specifically restricted or changed by statute. It should be that in England the Common Law, in certain instances, occupies a more prominent position than statute law. In some cases a law commission has to be set up to consider and to effect any change if it is considered necessary.

To my mind, therefore, that would explain why the authorities cited talk about a defendant having a choice to invoke the provisions of the Arbitration Act or the *Scott v Avery* clause in situations where a suit has been instituted in breach of the *Scott v Avery* clause.

In Kenya, however, the circumstances and the law are different from those obtaining in England. The common law occupies a subordinate position to statute law and its application is subject to statute law. Section 3(1) of the Judicature Act (Chapter 8), provides as follows:

> "The jurisdiction of the High Court, the court of Appeal and of all subordinate courts shall be exercised in conformity with:
>
> (*a*) the Constitution;
>
> (*b*) *subject thereto* all other written laws including the Acts of Parliament of the United Kingdom cited in Part I of the schedule to this Act, modified in accordance with part II of that schedule;

> (*c*) *subject thereto and so far as those written laws do not extend or apply*, the substance of the common law, the doctrines of equity and the statutes of general application in force in England on the 12 August 1897 . . .
>
> But the common law . . . shall apply *so far only as the circumstances of Kenya and its inhabitants permits and subject to such qualifications as these circumstances may render necessary*" (emphasis supplied).

In view of the foregoing it is quite clear that English common law is not necessarily to be applied in Kenya wholesome and indiscriminately. Moreover, section 3(1), above, makes it abundantly clear, that common law principles are subject to the statute law of Kenya. That being so and in light of the fact that our Arbitration Act has no classification of arbitration clauses, I do not hesitate at all to state that a *Scott v Avery* clause when looked at in light of the Kenyan law and circumstances is not any different from any other arbitration clause. Hence the clear provisions of section 26(4) of the Arbitration Act, which empowers the High Court, in an appropriate case, to order that such a clause cease to have any effect with regard to a given dispute.

Having come to the above conclusion I am unable to agree with Mr *Inamdar* that where, as here, a plaintiff brings an action in breach of a *Scott v Avery* clause the right to apply for the stay of proceedings in that action is only a preferred course. In view of the reasons I have endeavoured to state, above, and in light of the provision of section 6 of our Arbitration Act, unless a defendant waives his right to rely on such a clause, he would be obliged to apply for a stay of proceedings. Consequently, this Court was bound to come to the conclusion it did in the *Corporate* case (*supra*), contrary to the appellant's counsel's assertion. I would, therefore, dismiss the preliminary point in its entirely, and in view of the fact that the appellant's appeal, was, by its counsel's indication at the beginning, to be determined only on the basis of the preliminary issue, I would also dismiss the appeal with costs to the first respondent. The second respondent having not taken part in this appeal I would like make no order as to costs respecting the appeal against it.

OMOLO JA: I had the advantage of reading in draft form the judgments of Pall JA and Bosire AJA. I am in entire agreement with them. Mr *Inamdar* for the appellant, strenuously pressed upon us that this Court's recent decision in the *Corporate* case (*supra*), was erroneous and that the Court ought to depart from it. That decision was a reserved and well considered verdict of this Court. It considered section 6 of the then Arbitration Act in relation to what are commonly known as *Scott v Avery* arbitration clauses. The Court concluded in the *Corporate* case (*supra*), that such clauses though framed in wide and mandatory terms, are nevertheless subject to the provisions of section 6. That is undoubtedly correct and I personally find it strange that Mr *Inamdar* should contend to the contrary. As Bosire acting JA correctly points out in his Judgment, in England *Scott v Avery* clauses have assumed the status of long-standing common law and can only be altered by direct legislation by Parliament. In Kenya, common law is only applicable subject to statutes passed by the National Assembly and subject to the circumstances of the inhabitants of Kenya. The courts in Kenya are not obliged to apply wholesale the substance of the common law as applied by their counter-parts in England. In my view, it is very brave of anyone to ask this Court to overturn a well considered decision of its own merely because the party against whom the decision has been rendered thinks that the decision is in conflict with some long-settled interpretation given by

English Courts. We will continue to give English or any other foreign decisions, particularly on commercial matters, their due place of honour, but it is unreasonable for any one to expect that we will slavishly apply those decisions without looking at our own statutes and circumstances. I have myself no doubt that the *Corporate* case was correctly decided in accordance with our law as it then stood. That being the unanimous view of the three of us and further that being the only substantial point raised before us, this appeal fails and the order of the court shall be that it be dismissed with costs as proposed by Bosire AJA.

For the appellant:
IT Inamdar instructed by *Inamdar & Inamdar Adv*

For the first respondent:
SC Gautama instructed by *Satish Gautama Adv*

Kombo v Attorney-General
[1995–1998] 1 EA 168 (HCK)

Division:	High Court of Kenya at Nairobi
Date of ruling:	20 June 1997
Case Number:	110/97
Before:	Ole Keiwua J
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Constitution – Fundamental rights – Applicant found guilty of election offence by election court – Made application alleging infringement of fundamental rights – Whether application amounted to an appeal against election court's decision – Whether election court co-ordinate in jurisdiction to High Court exercising jurisdiction under section 84 of Constitution – Whether High Court sitting pursuant to section 84 of Constitution can override election court – Whether Acts of election court immune from liability – Duty of election court – Whether discharge of such duty contravened the Constitution – Section 4(5) – Government Proceedings Act (Chapter 40) – Sections 10, 44, 77, 82 and 84 – Constitution of Kenya.

Editor's Summary

The applicant had been found guilty and reported for having committed an election offence by the election court. He made an application to the High Court under the provisions of section 84(1) and (6) of the Constitution saying that the finding by the election court was *ultra vires* sections 10 and 44 of the Constitution which define the election court as a court of limited jurisdiction; and that such finding infringed the applicant's fundamental right to a fair trial under section 77 of the Constitution; infringed the applicant's right to be presumed innocent, exposed the applicant to double jeopardy, that the applicant was compelled to give evidence against himself and was a breach of section 82 of the Constitution in which the applicant was entitled to equal protection under the law.

Held – All the applicant's complaints were criticisms on how the election court had acted and this was in the nature of an appeal which appeal did not lie to a

judge of co-ordinate jurisdiction as the election court and was further an attempt to circumvent the provisions of section 44(5) of the Constitution which provide against any appeal from all decisions of the election court. The election court had sat as a High Court in terms of section 44(1) of the Constitution whereas the present application was made to the High Court pursuant to provisions of section 84(1) of the Constitution.

The applicant had not set out how the Attorney-General, the respondent, was in breach of his constitutional rights as all the allegations were made and directed to the election court.

Acts of an election court are immune from attacks and do not give rise to any liability for the Attorney-General or that election court to be sued for such pursuant to section 4(5) of the Government Proceedings Act. *Davis Shirtliff Limited v Attorney General* [1978] KLR 272 considered.

The High Court sitting pursuant to the provisions of section 84 of the Constitution cannot override decisions of the same High Court exercising its constitutional jurisdiction under section 44.

The election petition court had a duty under the Constitution, The National Assembly and Presidential Elections Act and the Election Offences Act to find the applicant guilty of an election offence and to disqualify him by reporting him to the Speaker of the National Assembly. Such finding and report did not contravene the applicant's constitutional rights given by sections 77, 77(2), 77(5), 77(7) and 82 of the Constitution.

Application dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Davis Shirtliff Limited v Attorney-General [1978] KLR 272 – **C**

Matiba v Attorney-General High Court civil miscellaneous application number 666 of 1990

Canada

Proprietary Articles of Trade Association v Attorney-General of Canada [1931] AC 310

United Kingdom

Regina v Election Court ex parte Sheppard [1975] 1 WLR 1319

Regina v Cripps ex parte Muldoon [1984] 1 QB 68

Judgment

OLE KEIWUA J: This application is brought under the provisions of section 84(1) and (6) of the Kenyan Constitution. The gist of section 84(1) is that a person, who alleges that any of the provisions of sections 70 to 83 of this Constitution has been or being or likely to be contravened, shall have a right of access to the High Court for redress. In section 84(6) it is provided that rules

may be made respecting the practice and procedure of the High Court in relation to the powers conferred aforesaid.

The application is prembled by statements such as under sections 10 and 44 of the Constitution, the election court is a court of limited civil jurisdiction. Under the Election Offences Act (Chapter 66) an election offence is a criminal offence. Therefore the finding of the election court in High Court Election petition number 64 of 1993, in which the present applicant was found guilty and reported for having committed an election offence was unconstitutional as such finding was *ultra vires* section 10 and 44 of the Constitution. Such finding, is contended to have infringed the applicants fundamental right to fair trial under section 77 of the Constitution. It is submitted that such finding has infringed the applicant's right to be presumed innocent under section 77(9) of the Constitution.

Such finding and report has exposed the applicant to double jeorpady contrary to section 77(5) of the Constitution. That finding and report is said to infringe the provisions of section 77(7) of the Constitution in that the applicant was compelled to give evidence against himself. That finding and report is submitted to be contrary to the provisions of section 82 of the Constitution in which the applicant was entitled to equal protection under the law.

The right of the applicant to appeal against first instance decisions has also been jeopardised. The applicant's right to vote and be voted for has also been infringed. As a result the applicant is, in addition to other remedies prayed for, also entitled to damages for the infringement of his rights.

According to the election court's decision, the applicant lost his parliamentary seat and was reported guilty of having committed an election offence. He was disqualified from participating in future elections at least, for the next five years. The report was made pursuant to section 31 of the National Assembly and Presidential Elections Act Chapter 7. The applicant submits that the election court's sole jurisdiction was to determine if the applicant was validly elected. But the court in their conclusion proceeded to introduce and deal with other matters which the court was not entitled to deal with. Those other findings are *ultra vires* the Constitution.

In *Regina v Cripps ex parte Muldoon* [1984] 1 QB 68 it was stated that an election court for a local government election and presided over by a barrister was an inferior court and amenable to *certiorari* to quash its decisions. But the position is different when dealing with a Parliamentary Election, as at 87 it was said:

> "From these cases, it is difficult to extract any precise principle, the most that can be said is that it is necessary to look at all the relevant features of the tribunal in question including its Constitution, jurisdiction and powers and its relationship with the High Court in order to decide whether the tribunal should properly be regarded as inferior to the High Court, so that its activities may appropriately be the subject of judicial review by the High Court. As we have already indicated, in considering that question the fact (if it be the case) that the tribunal is presided over by a High Court judge is a relevant factor, though not conclusive against the tribunal being classified as an inferior court; just as relevant are the powers of the tribunal and its relationship with the High Court which can ordinarily be ascertained from the statute under which the tribunal is set up."

In *Regina v Election Court ex parte Sheppard* [1975] 1 WLR 1319 Lord Widgery CJ said at 1323:

> "It is quite clear that the election court which deals with parliamentary elections consisting as it will do, of a Queen's Bench Judge, is a superior court and it is clear that no question of the prerogative orders could be available there. But it is not so clear whether the same applies to a barrister appointed under section 115, as the election court for a local government election."

The applicant submits that a judge who sits over matters under section 84 of the Constitution exercises a completely different jurisdiction that is usually exercisable under the all embracing jurisdiction of the High Court. It is submitted that such a judge has jurisdiction to review decisions of other courts including the High Court as election court. That submission is further premised on the fact that under section 84(2) the Constitutional Court has original jurisdiction.

The civil nature of the election court is exemplified by section 44(4) of the Constitution, so the applicant submits. The fact that the election court is approachable by means of an election petition confirms that its jurisdiction is civil in nature. That also is confirmed by section 23 of the National Assembly and Presidential Election Act which states that the jurisdiction is that of a civil nature. It is also urged that, therefore its jurisdiction is limited in scope.

In *Proprietary Articles of Trade Association v Attorney-General of Canada* [1931] AC 310 at page 324 it was said:

> "'Criminal law' means criminal law in its widest sense … The criminal quality of an act cannot be discerned by intuition, nor can it be discovered by reference to any standard but one; is the act prohibited with penal consequences?"

It is submitted that the offences under the Election Offences Act are punishable by penalties. It is also submitted that it is unclear what standard of proof the election court applied to find the applicant guilty of an election offence. But it would seem from the record that evidence was treated with great caution. Still, it is submitted, that the applicant had less opportunity to protect his right. The absence of appeal is said to be a contravention of section 82 of the Constitution.

There is a horde of complaints culminating with that the applicant had not been given notice by way of a charge sheet before he was found guilty by the election court. It is also complained that the deprivation of a right to vote must be by due process of law.

The respondent opposes the application. It is submitted that the application has not stated how the respondent has infringed the applicant's constitutional rights in as much as it is the election court that found him guilty of an election offence for which he was disqualified. The acts of the election court are immune from liability absolutely.

It is submitted that the High Court being a superior court of record, has unlimited original jurisdiction in civil and criminal matters and other jurisdiction conferred by the Constitution and other written law.

The respondent contends that the application is misconceived and abuses the process of the court in that the orders sought amount to an appeal against the decision of the election petition court while such an appeal does not lie. It is urged that the applicant has not set out how the election court contravened the Constitution, the Election Offences Act Chapter 66, the National Assembly and the Presidential Elections Act Chapter 7. And the orders sought are such that, cannot be granted under section 84(1) of the Constitution.

As the election petition court has jurisdiction to entertain an election petition on the validity of the applicant's election under section 44 of the Constitution

and section 301 of the National Assembly and Presidential Elections Act, it was the statutory duty of that court to find that the applicant had committed an election offence under section 9 of the Election Offences Act.

The consequences of such finding that the applicant has committed an election offence, is that the election court is statutorily bound to bar the applicant's participation in any future by-election, general and future elections in terms of sections 44 of the Constitution, 6 and 6(2) of the National Assembly and Presidential Elections Act. Thus, such barring did not infringe the applicant's rights under any provision of the Constitution and in particular did not infringe the applicant's rights given by sections 77, 77(2), 77(5), 77(7) and 82 of the Constitution.

It is contended that the orders sought do contravene section 4(5) of the Government Proceedings Act Chapter 40 and section 6 of the Judicature Act Chapter 8. It is also argued that the orders sought are not within the ambit of the application in so far as the said orders relate to a claim for an award of damages. It is submitted that there has been undue and unreasonable delay in bringing the application, in that judgment of the election court was on 17 November 1994 and this application to challenge such judgment was filed on 11 February 1997 and not heard until 13 May 1997.

Respondent contends that, although the Attorney-General is the party served by the applicant, the suit is wholly and totally wrongly brought because no single allegation of wrong doing or infringement of the Constitution or any other statutory provision has been laid before the court as having been committed by the Attorney-General.

An application must pinpoint the person or the body that has contravened the applicant's rights for such a matter to come under the provisions of section 84 of the Constitution.

In *Matiba v Attorney-General* High Court civil miscellaneous application number 666 of 1990 the Attorney-General was sued on behalf of the detained authority which, the applicant was entitled to do under the Government Proceedings Act Chapter 40. In relation to the court's jurisdiction under section 84 of the Constitution the court said:

> "The jurisdiction of the court in an application pursuant to section 84(1) of the Constitution, above, is specific. The applicant is obliged to bring his application within the ambit of that section before the court can have jurisdiction to entertain and determine it. As was stated by this court in the *Anarita Karimi Njeru* case (*supra*) he must state the complaint he has, the provisions of the Constitution which he considers has been infringed in relation to him, and the manner in which he believes they have been infringed. The allegation of contravention, to our minds, must relate to any or all of the provisions of sections 70 to 80 (inclusive) of the Constitution before the court can have jurisdiction under section 84 to intervene. This court said in the *Anarita Karimi Njeru* case (*supra*) as follows:
>
> > 'We would, however, again stress that if a person is seeking redress from the High Court on a matter which involves reference to the Constitution it is important (if only to ensure that justice is done to his case) that he should set out with a reasonable degree of precision that of which he complains, the provisions said to be infringed, and the manner in which they are alleged to be infringed'."

It is accordingly submitted, that the applicant has not, in the present case, set out how the Attorney-General is in breach of the applicant's Constitutional rights. In my judgment this submission is eminently correct. As in all the

grounds of the application no single allegation is made against this Attorney-General. All the allegations in the application and in the supporting affidavit are made and directed to the election petition court and its decision finding the applicant guilty of an election offence and the consequential report and barring from the future elections.

As all complaints in the application seem to be criticisms on what was done by that court and, it seems that it is said that that court acted erroneously and that of necessity it is in the nature of an appeal which appeal does not lie to a judge of co-ordinate jurisdiction as the election petition court. Speaking in this regard, I agree with the respondent that this is an attempt to circumvent the provisions of section 44(5) of the Constitution which provides against any appeal against all decisions of the election court. I agree that the election court had sat as a High Court in terms of section 44(1) of the Constitution. The present court is sitting pursuant to the provisions of section 84(1) of the Constitution.

I also must accept that the application in its entirety has not alleged that the National Assembly and Presidential Election Act Chapter 7 has been enacted in contravention and is inconsistent with the provisions of the Constitution so as to attract this Court's jurisdiction under section 3 of the Constitution. That submission appears to be misplaced. That is not the applicant's pleaded case. The same observation goes for the Election Offences Act Chapter 66. It has not been alleged to be inconsistent with any provision of the Constitution.

It is my view that acts and doings of an election petition court are immune to attacks and do not give rise to any liability for the Attorney-General or that election court to be sueable for such doings. The authority for this proposition is to be found in sections 4(5) of the Government Proceedings Act Chapter 40 and in section 6 of the Judicature Act Chapter 8 of the laws of Kenya. *Davis Shirtliff Limited v Attorney-General* [1978] KLR 272, was a case in which the Court of Appeal interpreted the provisions of section 4(5) of the Government Proceedings Act Chapter 40. At page 273 it is said:

> "The appellant's complaint was ordered to be struck out as disclosing no reasonable cause of action against the Attorney-General because the provisions of section 4(5), which read:
>
> > 'No proceedings shall lie against the Government by virtue of this section in respect of anything done or omitted to be done by any person while discharging or purporting to discharge any responsibilities of a judicial nature vested in him, or any responsibilities which he has in connection with the execution with the execution of judicial process.'

Mr Couldrey for the appellant has argued the appeal with skill. It seems to me that the gravamen of his argument is that, once the execution was complete, the court broker's function of discharging responsibilities which he had in connection with the execution process ceased, and thereafter he merely had to perform the administrative function of paying over the money received by him. The Government was therefore no longer protected by section 4(5). I cannot accept this argument. I think that a court broker continues to function in the discharge of the responsibilities which he had in connection with the execution of judicial process until he actually pays the proceeds of execution and no proceedings lie against the Government in respect of anything done or omitted to be done by him meanwhile."

I accept the submission that it was the duty of the election court to function in terms of the Constitution, the National Assembly and Presidential Elections Act and the Election Offences Act, all of which require the election petition

court to act as it did. It is also my view that there is no basis, therefore for the prayer for compensatory damages against the respondent as such or the election petition court.

I also find there has been undue delay in bringing the application which was brought to court in February 1997 while the decision complained of was delivered in 1994.

I also accept the contention that the High Court is a court of record in all its different constitutions and capacities be it the High Court sitting outside the provisions of section 84 or by virtue thereof or under section 44 of the Constitution. That contention makes the submission that a High Court sitting pursuant to the provisions of section 84 thereof can override the same High Court exercising its Constitutional jurisdiction under section 44, untenable. It must be remembered that the High Court constituted under section 44 is without exception, such a powerful institution. On that it is composed of three judges of the High Court. It is also my view that an application under section 84(1) of the Constitution must have its basis upon an allegation that any of the sections of the Constitution from section 70 to 83 has been contravened. The jurisdiction under section 84 of the Constitution is unavailable to whoever alleges that sections 10 and 44 of the Constitution have been infringed. If any authority is needed for this proposition, it is section 84(1) itself which in its relevant parts read:

> "84 (1) Subject to subsection (6), if any person alleges that any of the provisions of sections 70 to 83 (inclusive) has been, is being, or is likely to be contravened in relation to him . . . then, without prejudice to any other action with respect to the same matter which is lawfully available, that person (or that other person) may apply to the High Court for redress."

It is equally the law that the election petition court had a duty under the Constitution, the National Assembly and Presidential Election Act Chapter 7 and the Election Offences Act Chapter 66 to find the applicant guilty of an election offence and to disqualify him thereafter by reporting him to the Speaker of the National Assembly. Such finding and report did not in my judgment contravene the applicant's rights given by sections 77, 77(2), 77(5), 77(7) and 82 of the Constitution.

It is my view that by participating before the election court the applicant, then a respondent, had and was given the opportunity to rebut any allegations he did not agree with it. It is also my judgment that the procedure employed by the election court followed strictly the provisions of section 44 of the Constitution.

I am satisfied that the National Assembly and Presidential Elections Act Chapter 7 is a complete code in itself on what is to be done by an election court when confronted with the commission of an election offence. It does not have to look at the field of criminal law. I am also of the view that for any part of section 77 to apply save for sections 77(9), (10) and (11) of the Constitution one must have been charged with a criminal offence. The applicant now was a respondent in an election petition and was not as such charged with any criminal offence. It is also clear that the applicant has not complained of non-compliance with the applicable section 77(9) of the Constitution. It is evident from the proceedings and judgment of the election court that the applicant, then a respondent, had and took advantage of the opportunity given to him by that court as provided under the election laws to cross-examine witnesses and had called rebuttal evidence of all those allegations.

I am also of the view that the applicant has not shown that he comes under section 82, so as to find him guilty of an election offence is nothing discriminatory as at times the civil courts have a jurisdiction to send people to a jail though their trials have not been undertaken pursuant to the provisions of the Criminal Procedure Code (Chapter 75).

In view of all the aforegoing analysis and conclusion on all the aspects of the applicant's application, I am satisfied that the same must fail and it is dismissed with costs to the respondent.

For the applicant:
JK Mutakha instructed by *Mutakha Kangu & Co*

For the respondent:
Nganga

Makhangu v Kibwana
[1995–1998] 1 EA 175 (CAK)

Division:	Court of Appeal of Kenya at Mombasa
Date of ruling:	19 January 1996
Case Number:	84/90
Before:	Cockar CJ, Kwach and Shah JJA
Sourced by:	P Le Pelley
Summarised by:	A Mwanzia

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[1] Appeal – Withdrawal of appeal – Whether incompetent appeal can be withdrawn.

[2] Succession – Summons for revocation or annulment of grant – Order by High Court dismissing summons – Whether appealable as of right or by leave of court – Law of Succession Act (Chapter 160).

Editor's Summary

The appellant sought to have an appeal marked "withdrawn on certain terms" after he realised that his appeal was incompetent because he had not obtained leave to appeal.

Held – Under section 47 of the Succession Act (Chapter 160), the High Court had jurisdiction on hearing any application to pronounce decrees or orders. Any order made under this section was appealable under section 66 of the Civil Procedure Act either as of right if it fell within the ambit of section 75 of the Civil Procedure Act or by leave of the court if it did not.

The order dismissing the application in this case was not covered by section 75 of the Civil Procedure Act and was therefore only appealable by leave of the Court. Since no leave had been obtained the appeal was incompetent.

An incompetent appeal cannot be withdrawn.

Appeal struck out.

Case referred to in ruling

(“**A**” means adopted; “**AL**” means allowed; “**AP**” means applied; “**APP**” means approved; “**C**” means considered; “**D**” means distinguished; “**DA**”

means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Commissioner of Income Tax v Mennon [1982–1988] 1 KAR 695

Ruling

COCKAR CJ, KWACH AND SHAH JJA: Mr *Kimani* of the appellant after having made submissions for over a day has now applied to have his appeal marked withdrawn on certain terms after he realised that his appeal was incompetent because he had not obtained leave to appeal. His appeal had been filed against the dismissal by the High Court on 21 September 1994, of his summons for revocation or annulment of a grant filed under section 76 and rule 46 of the Law of Succession Act (Chapter 160) (hereafter referred to as "the Act").

It will be observed that section 50 of the Act has specifically provided for a right of appeal from any order or decree made by a resident magistrate to the High Court whose decision is final. There is no such specific grant of a right of appeal from a decision of the High Court to the Court of Appeal. However, section 47 of the Act which has given jurisdiction to the High Court to adjudicate on any matter under the Act reads as follows: "The High Court shall have jurisdiction to entertain any application and determine any dispute under this Act and to pronounce such decrees and make such orders therein as may be expedient provided".

It is clear that the grant made to the respondent by the High Court was through proceedings initiated by way of a petition as provided in the rules of the Act. A final adjudication which had culminated in the making of the grant to the respondent was a decree of the court. The application to annul the grant was a part of the same proceedings but its dismissal was not a decree but an order.

The right to appeal to the Court of Appeal from any decree or order of the High Court granted under section 66 of the Civil Procedure Act (Chapter 21) – hereafter referred to as "the Civil Procedure Act") has in respect of orders as against decrees been limited in certain ways by section 75 of the Civil Procedure Act. Section 75(1)(*h*) (Order 42 of Civil Procedure Rules) has provided for appeal by way of right and also, where needed, with leave of court from any order made under the Civil Procedure Rules.

In the Court of Appeal decision in *Commissioner of Income Tax v Mennon* [1982–1988] 1 KAR at 695 Hancox JA (as he then was) held the use of the word "decree" in the relevant section of the Income Tax Act to mean that the wording of section 87(3) of the Income Tax Act which provided that an order of the High Court on appeal shall "have effect as decree" was conclusive and such an order was therefore appealable to the Court of Appeal as of right under section 66 of the Civil Procedure Rules. We respectfully agree with that view entirely and in the same token accept that finding as an authority that the use of the word decree in section 47 of the Act has made the decision of the High Court appealable by way of right.

The position here, however, is that the appeal is from an order and not a decree. But in our view the use of the two words "decrees" and "orders" in section 47 of the Act is significant. Had a word such as "decision" or "adjudication" been used in place of these two distinct words then clearly the High Court's decision or adjudication would have been non-appealable altogether.

The effect of the use of the word “decree”, as Hancox JA (as he then was) very correctly pointed out in the Income Tax decision (*supra*), was that the decision of the High Court was appealable as of right under section 66 of the Civil Procedure Act. But provisions of appeals by way of right in respect of orders in section 66 has been made subject to “where otherwise expressly provided in the Act” (Civil Procedure Act). As we stated earlier, section 75 of the Civil Procedure Act has clearly defined the orders where an appeal lies by way of right. The order of dismissal made by the High Court in this matter does not fall under any of these. The term “order” having been specifically used together with the term “decree” is conclusive that an appeal from this order of dismissal lies not by way of right but with leave of court only. Mr *Kimani* as we stated earlier, did realise during his submission that his appeal was incompetent and he applied for the appeal to be withdrawn. An incompetent appeal cannot be withdrawn. It must be struck out.

Mr *Kimani* has asked for an extension of time to be granted to file a fresh appeal under the Court of Appeal Rules. That can be dealt with by a single judge only.

Mr *Kimani* wanted no order to be made with regard to costs. After having gone through the record and the way Mrs *Ali* had submitted before the High Court on the question of jurisdiction regarding appeal we are satisfied that she is entitled to costs. This appeal is now struck out with costs awarded to the respondent.

For the appellant:
Kimani

For the respondent:
YA Ali instructed by *Yasmin Abdulkarim Ali & Co*

Maranya v National Bank of Kenya Ltd and another
[1995–1998] 1 EA 177 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	4 November 1997
Case Number:	60/97
Before:	Omolo, Lakha JJA and Bosire AJA
Sourced by:	IT Inamdar
Summarised by:	A Mwanzia

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[1] Land – Mortgage – Power of sale – Mortgagee initially advertising mortgaged property for sale by public auction but later selling by private treaty – Whether sale by private treaty valid – Section 69 – Transfer of Property Act.

Editor’s Summary

The respondent sold the appellant’s land by private treaty, in exercise of its statutory powers of sale as chargee of the property. The respondent had earlier advertised the property for sale by public auction. The appellant filed suit seeking a declaration that the sale by private treaty was a nullity and prayed

for damages. The High Court found in the appellant’s favour and held that the sale

by private treaty had been wrongly conducted and awarded general damages equivalent to the price the private sale had fetched.

The appellant appealed against the High Court decision on the grounds that the learned trial Judge had erred in his assessment of damages, and that the purported exercise of power of sale had been wrongful and irregular. The respondent cross-appealed.

Held – The provisions of section 69 of the Transfer of Property Act entitle the respondent to effect a sale by private treaty, which right is not taken away merely because at an early stage the bank had advertised to sell the property by public auction. In the premises no award of damages resulting from the sale of the property could be sustained.

Appeal dismissed; cross-appeal allowed.

No cases referred to in judgment

Judgment

OMOLO, LAKHA JJA AND BOSIRE AJA: The plaintiff appeals to this Court from a judgment of the court (Kuloba J) given on 14 February 1996 whereby he awarded to the plaintiff general damages in the sum of KShs 380 000, interest thereon and costs.

By his amended plaint dated and filed on 26 April 1994 the plaintiff claimed against the defendants (respondents) a declaration that a sale by private treaty of certain property referred to as plot number MN/1/124 Mombasa (the property) effected by the first respondent (the bank) in purported exercise of its statutory powers as chargee of the property, was unlawful and irregular and therefore a nullity. There was also a claim for damages.

On or about 19 October 1981, the plaintiff as a registered proprietor of the property charged his interest therein in favour of the bank to secure a sum of KShs 120 000 lent by it, to the plaintiff. There was a power of sale in accordance with section 69 of the Transfer of Property Act (the Act) in case of default as admittedly there was.

The plaintiff claimed that the bank, having advertised the property for sale by public auction, was not entitled, in law, to sell the said property by a private treaty as in fact it did. The learned Judge held that the sale was therefore wrongfully conducted and awarded general damages to the plaintiff in the sum which was equivalent to what the private sale to the second respondent fetched, namely KShs 380 000.

Against that decision the appellant complains mainly on two grounds: first, that the purported exercise of power of sale was wrongful and irregular and, secondly, that the learned judge erred in his assessment of damages. The bank cross-appealed and mainly argued that the right to a sale by private treaty conferred by section 69 of the Transfer of Property Act was available to it notwithstanding the notice of advertisement of sale by public auction. In the event, no claim for damages can be sustained.

We have carefully considered the respective and rival contentions of the parties. Logically, the first question to be considered is whether the purported sale was lawful or irregular. In this regard, the provisions of section 69 of the Act are clear and entitle the bank to effect sale by private treaty. This right, in our view, is not taken away merely because at an early stage, the bank had advertised to

sell the property by public auction. There was no plea of estoppel nor can one succeed as there is no estoppel against the statute. Mr *K'Owade* for the appellant eventually conceded and, in our view rightly, this ground of appeal and abandoned it.

If the sale was not to be impeached on this ground, as we so hold, it follows that no award of damages resulting from the sale of the property can be sustained. The question, therefore, of an erroneous assessment of damages does not arise.

In the result, the appeal fails and is dismissed with costs. The cross-appeal succeeds and is allowed with costs. The decree the superior court dated 14 February 1996 is set aside and we substitute therefor an order dismissing the plaintiff's suit in the superior court with costs.

For the appellant:
JR K'Owade instructed by *Waruhiu, K'Owade & Ng'ang'a Adv*

For the respondents:
Information not available

Martin v Shamash Brothers Ltd
[1995–1998] 1 EA 179 (HCK)

Division:	High Court of Kenya at Mombasa
Date of judgment:	23 October 1997
Case Number:	536/96
Before:	Waki J
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Damages – Calculation of quantum – Law Reform Act – Fatal Accidents Act.

[2] Negligence – Evidence – Burden of proof – Res ipsa loquitur – *Principles to be applied in determining whether or not to apply the doctrine – Facts from which inference of negligence to be drawn must be pleaded and proved.*

Editor's Summary

The plaintiff's husband died of a severe head injury sustained in a motor vehicle accident. At the time of his death, the deceased was employed by the defendant as a driver. On the day in question, the deceased was driving one of the defendant's lorries when it left the road and overturned. The plaintiff filed suit against the defendant seeking special and general damages for losses incurred as a result of the accident which, she alleged, had been caused by the defendant's negligence. The plaintiff alleged that the defendant had been negligent in providing the deceased with a defective vehicle. At the trial of the suit, the plaintiff testified that she had only received information to the effect that her husband had been involved in an accident in which he had died instantly. The police abstract report which she produced as an exhibit merely stated that there had been an accident and that investigations were

underway to establish its cause. The

plaintiff also called the lorry's turnboy to testify on her behalf. In his testimony, he claimed that at the time of the accident he had been awake and that he had heard the sound of a tyre burst just before the vehicle had left the road. In cross-examination, counsel for the defendant produced two statements, one hand-written statement given by the turnboy to investigators commissioned by the vehicle's insurers, and another that he had allegedly signed in the defendant's advocate's office. In the statement he stated that he was asleep when the accident occurred. He admitted making the second statement but denied having said that he was asleep when the accident occurred.

The investigator for the insurers testified that, in his expert opinion based on an inspection of the scene and the motor vehicle, the accident could have been caused by fatigue on the part of the driver which had made him doze at the wheel.

Held – In negligence actions, a plaintiff was obliged to allege, and had the burden of proving, that the accident in question was caused by the defendant's negligence. There was no liability without fault in the Kenyan legal system and a plaintiff basing his or her claim on negligence had to prove some negligence on a balance of probability (*Muthuku v Kenya Cargo Handling Services Ltd* [1991] 2 KAR 258 applied). In this instance, the only evidence in support of the negligence claim was that given by the turnboy and this evidence was unreliable. Based on the witness' demeanour in the witness box and the account given in his statement, there could be no doubt that he had lied when he stated that he was awake at the time of the accident. This was especially so in view of the fact that he gave his statement just five days after the accident. The defence witness had testified in a sincere and credible manner and it was probable that his explanation of the accident was closer to the truth.

The doctrine of *res ipsa loquitur* was an evidential rule which served to shift the evidential burden of proof to the defendant without shifting the burden of proving the case from the plaintiff. For a plaintiff to avail herself of the rule, the facts from which the inference of negligence could be drawn had to be alleged in the pleadings and proved at the trial. For the rule to come into operation there had to be proof of the happening of an unexplained occurrence that was of a kind which would not happen in the ordinary course of things without negligence on the part of somebody other than the plaintiff and the circumstances would have to point at the negligence of the defendant rather than that of any other person (*Turner v Mansfield Corporation* [1975] 119 Sol Jo 629 CA considered). In this instance, the rule did not apply and, on a balance of probability, the accident had been caused by the negligence of the deceased.

Where damages were available under both the Law Reform Act and the Fatal Accidents Act, the net benefit inherited under the Law Reform Act had to be taken into account when assessing damages under the latter. The loss suffered under the latter Act had to be offset by the gain under the former Act (*Kemfro Africa Ltd v Lubia and another* [1988] 1 KAR 727 followed). In the event that the defendant had been found liable, the evidence of the plaintiff with regard to her age, the number of children that she and the deceased had and the deceased's salary would have been accepted for purposes of determining damages payable. The plaintiff would have been thus entitled to KShs 70 000 under the Law Reform Act, KShs 360 000 under the Fatal Accidents Act and KShs 5 100 in special damages.

Suit dismissed, each party to bear its own costs.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Kalume v Coastline Safaris and another High Court civil case number 166 of 1995

Kemfro Africa Ltd v Lubia and another [1988] 1 KAR 727

Muthuku v Kenya Cargo Handling Services Ltd [1991] 2 KAR 258

Nzioka v Kerai civil appeal number 154 and 155 of 1996

Seif and others v Kihuru and another High Court civil case number 12 of 1985

Other

Turner v Mansfield Corporation [1975] 119 Sol Jo 629 CA

Judgment

WAKI J: Fatuma Katwa Martin (Fatuma) the plaintiff in this suit, is the wife of Albert Katwa Martin who died on 20 July 1995 from a severe head injury due to a Road Traffic Accident. Fatuma obtained a limited grant of letters of administration *ad colligenda bona* for the estate of the deceased on 18 July 1996.

Before his death, the deceased was employed as a driver by Shamash Brothers Limited (SBL) and on the day he died, he was driving one of SBL's Commercial vehicles Registration number KAC 149M along the Nairobi/Mombasa road when at a point near Salama Market the motor vehicle, left the road and overturned, inflicting fatal injuries on the deceased.

On behalf of the estate and other dependants, Fatuma came to court on 16 October 1996 and filed suit against SBL. She claimed that the motor vehicle was defective, hence the reason why it overturned. She cited several particulars of negligence of SBL whom she blamed for the accident in that they:

> "(a) Provided the deceased with a defective motor vehicle to drive.
>
> (b) Failed to maintain the motor vehicle in a serviceable condition.
>
> (c) Exposed the deceased to risk of injuries and damage while they knew or ought-to have known that it was dangerous so to do.
>
> (d) Failed to check the effectiveness of the motor vehicle at the onset of a long journey.
>
> (e) Failed to know that the motor vehicle was defective in time to avoid the said accident".

She claimed KShs 27 100 in special damages for funeral expenses and Police Abstract Report and for compensation in general damages for loss of dependency for herself, and their 3 children, the deceased's father and mother.

In its defence filed on 18 December 1996, SBL admitted that it owned the lorry and was the employer of the deceased at the time. It also admitted that there was an accident as pleaded but denied that it was caused in the manner pleaded, or through their negligence. Instead they alleged that the accident was caused or contributed to by the deceased in that he:

> "(a) Failed to keep any or any proper without or to have any or any sufficient regard for his own

safety.

(b) Failed to take any or and adequate precautions while driving the motor vehicle

(c) Excessive speed

(d) Failed to steer a safe or proper course

(e) Failed to stop, to slow down or turn aside or otherwise so to manage or control his vehicle as to prevent it from veering off the road

(f) Drove the vehicle more than 8 hours a day when it was unsafe to do so and in contravention of section 66A (1) of the Traffic Act (Chapter 403)".

It denied consequently that it was liable for any damages whether special or general even if any was caused which was also not admitted.

Demand notice wets admittedly served but could not be complied with as liability was denied.

The parties dispensed with summons for directions and framed the following issues for determination:

1. Is the plaintiff entitled in law to make a claim under the Law Reform Act?

2. (a) Was the accident caused by the negligence of the defendant as alleged in paragraph 5 and 6 of the plaint?

   (b) If so was it contributed by the negligence of the deceased as alleged in paragraph 3 of the Defence?

3. To what, if any, damages is the plaintiff entitled?

4. Did the deceased have any dependants and if so, what is their entitlement if any?

5. Who should pay the costs of this suit?

Fatuma testified and called one more witness while SBL called one witness. Both parties were ably represented by M/s *Mutisya* and Samir *Inamdar* respectively, who made lengthy submissions and cited several authorities. I will examine the issues posed for my determination seriatim.

There is no difficulty in disposing of the first issue as it was conceded by Mr *Inamdar* that the answer is, yes.

Issue number 2(a) and 2(b) are basically on liability.

There is specific pleading in the plaint that the accident was caused due to the negligence of SBL and there are particularised in that plaint, as outlined above, various items of that negligence. The particulars are however fairly wide and refer generally to "a defective motor vehicle", "unserviceable motor vehicle", "dangerous motor vehicle", or "ineffective motor vehicle" without specifying what it is that made the motor vehicle deserve such description. It was only during the hearing of the case that it was alleged that the motor vehicle had a defective tyre and a defective steering system. Even without the particularity of these defects however, SBL had denied the general allegations of negligence in the plaint.

As is the law in negligence actions, the plaintiff must allege and has the burden to proving that the accident was caused by the negligence on the part of the defendant. It remains the issue throughout and if there is no evidence on a balance of probability that the cause of the accident was as a result of the negligence alleged, then the plaintiff's case is not proved. As Omolo JA put it in *Muthuku v Kenya Cargo Handling Services Ltd* [1991] 2 KAR 258: "There is as yet, no liability without fault in the legal system in Kenya, and a plaintiff must prove some negligence against the defendant where the claim is based on

negligence". The burden of proof therefore never shifts. There is however what is sometimes referred to as "evidential burden of proof" which I will examine after discussing whether the plaintiff has discharged her burden of proof on the issue as pleaded.

Fatuma herself had no evidence to offer on this issue. She only received information on 21 June 1995 that her husband had had an accident and had died instantly. She was told this by her husband's employer. She later obtained a Police Abstract Report confirming that there was such an accident involving her husband and that the matter was pending under investigations. She also obtained a Death Certificate confirming the death on 20 June 1995 although on the evidence the accident occurred at about 5 am on 21 June 1995. The documents are produced as Exhibit 2 and Exhibit 3.

For proof of the negligence, alleged in the plaint, total reliance was made on the eye witness account of PW2 Josephat Kisanzu Musyoki (Musyoki). He was the turnboy employed by SEL to work in the same lorry the deceased worked on as a driver. He was employed in January 1995 and his duties were to "load and unload, check and replace punctures" on the lorry they were travelling in. For the period of 6 months since he was employed- until the accident he was assigned to the same lorry and driver. It was a Mitsubishi Fuso Lorry Registration number KAC 149M. They travelled between Mombasa, Nairobi, Kisumu, Meru, Eldoret and Kitale transporting goods in that lorry.

Before they met with the accident on 21 June 1995, the two had been assigned to transport some goods from Mombasa to Kisumu. They left Mombasa on 18 June 1995 at 3 pm and slept at Mtito Andei from where they travelled non-stop to Nakuru. They slept there until 5 am when they left for Kisumu arriving there at about 10 am. They took five hours on that section. Unloading of the goods at Kisumu started immediately and by 2 pm they drove off to Luanda about one hours' drive to offload more cargo. They left Luanda at about 3 pm collected some cheques at Kisumu and at 5 pm the same day they left Kisumu to drive back to Mombasa. There was no cargo on the lorry.

For a period of six to seven hours they drove non-stop from Kisumu to Nairobi where they arrived at about midnight. They took a nap for about three hours and drove off towards Mombasa at 3:30am on 21 June 1995. About two hours later, at 5 am they approached Salama area and their date with destiny.

I will quote Musyoki verbatim on what transpired at that spot:

> "At the time of the accident I was awake. I heard a sound like something had burst. As we wondered what happened the lorry was pulling towards the driver's side. He tried to turn the steering wheel. He could not manage. The motor vehicle left the road and went into the bush.
>
> When I heard the sound I asked the driver 'Isn't that a tyre burst?' I was sure it was tyre burst because it was not the first time to hear tyre bursts".

Later in his evidence in chief: "Where the accident occurred was level. I was sitting on the turnboy at the front left. We were doing 60–70 km per hour. There is a speedometer. I was looking at it as the vehicle drove along".

In cross-examination confirmation was sought from Musyoki as to where he was exactly at the moment the accident happened and whether he was awake. He repeated that he was sitting on the turnboy's seat and repeated three times that he was awake.

Unfortunately for him, Musyoki had on 26 June 1995 – within five days of the accident – given a statement to investigators commissioned by the insurers of the lorry to find out the cause of the accident. It was a hand-written statement which Musyoki signed. Later on 24 April 1997, the same statement was typed out and Musyoki was invited to the offices of the defendant's advocates to sign the typed statement also. He, however, denied having seen the defendant's advocate or having signed such a statement. In view of the denials made by Musyoki regarding the authenticity and contents of those statements, defence counsel was allowed to produce them as Exhibits D1(a) and D1(b) to impeach the credit of the witness under section 163(1)(c) of the Evidence Act. For full appreciation and impact of this evidence I will reproduce it.

"Witness by *Inamdar*

I have given: a statement to other people sent by an insurance company. I have not spoken to you. I can't remember. What I told the insurance man is that I was sleeping up to Konza but at the time of the accident I was awake.

I see this document (DMFI 1(a)). This is not my signature. On 24 April 1997 I did not come to your office. I went to some office but I don't know, whether it was yours.

I see this document (DMFI 1(b)). I see my signature on it. I understand what I was signing. I gave the statement. I can read it (witness reads DMFI 1(b) in English). I signed the statement. The statement does not say I was awake at the time of the accident.

Q. Why did you not state all the information that you told the court this morning to the investigators?

A. (Court. Silence from witness).

Yes there was a witness when I gave this statement. This is the statement I remember not the other one.

Q Would you be surprised to know that the hand-written statement is word for word with the typed one which you admit and that you signed both?

A. The wording is the same but the signature is not mine on the hand-written statement.

(Court. Witness is given the hand-written statement and reads it out in English. Statements are identical.)

Witness. The statements are the same.

I have said I woke up at Konza and was awake at the time of the accident. I agree the statement does not say I was awake. No I am not lying to court. I am only explaining to the court what happened.

(Court. Evidence is reread to the witness) Yes I saw and heard all that. I did not tell the investigators all that have told the court.

Q. Why didn't you tell the investigators?

A. (Court. Silence) The investigators were not asking me questions deeply. Only shallowly.

Q. Do you like telling the truth?

A. Yes.

Q. Why didn't you disclose what happened without being asked?

A. I did not tell them about the tyre burst".

Re-examination by Mr *Mutisya* the witness stated: "The statement I signed was not written by me in person. Another person wrote as I spoke. That person was recording as I explained. It was not a question/answer statement. The person told me to tell him how the accident occurred. After the statement was written it was read back to me before I signed".

The contradictory portion of the statement in issue was this: “At about 3:00am we left Nairobi for Mombasa. I later informed the driver that I wanted to sleep and he told me to sleep. I did not know what happened to the driver only to find myself out of the vehicle with the front driver cabin having been removed and thrown away from the rear body”.

I believe, despite Musyoki’s denial, that he signed the type-written statement which is identical in content to the hand-written statement. He admitted having freely given out the hand-written statement which he signed after understanding the contents thereof. It was made only five days after the accident when the events were fresh in his mind. I heard and observed Musyoki in the witness box and he left me with no doubts that he was lying in stating that he was fully awake at the time of the accident and spoke to the driver as the lorry veered off the road and crashed. I accept that he was not awake as he told the investigators and that there was no tyre burst as he never mentioned it to the investigators. It was the most significant thing in this accident that should have registered in his mind and the, first thing he would tell anyone after surviving the accident. His injuries do not appear to have been serious or so serious as to interfere with his recollection of events. He was taken to Machakos District. Hospital where he was treated and discharged the same day and he went to record another statement at Katilini Police Post. No Police Investigators were summoned to testify that he recorded a different statement from the one he gave to the Insurance’s Investigators. Indeed there is no evidence at all called by the plaintiff on Police Investigation of the entire accident. There are witnesses recorded in the Police Abstract produced in evidence as Cpl John Bonzer and PC Ngeno of Nunguni Police. These would probably have assisted the plaintiff in confirming the allegation that the motor vehicle was defective in the manner pleaded or had a tyre burst and defective steering. No expert witness either was called to lay any basis for these allegations. The court was left on its own to draw conclusions from the mere mention of tyre and steering defects. I am afraid this is not a sufficient discharge of the plaintiff’s burden of proof.

The more probable cause of the accident was provided by the defendants as I will now recount.

There was evidence through Musyoki, PW2, that the motor vehicle was serviced two weeks before the trip. He said:

> “From Kisumu to where the accident occurred the motor vehicle was in good condition. It had no problems.
>
> According to the way we were working, the vehicle should have been serviced when it had a problem. In all those six trips the vehicle had no problems”.

That the motor vehicle had no problems was confirmed in the Certificate of Examination and Test of Vehicle VT number 421920 produced as exhibit D2 in these proceedings. The examination of the vehicle by the Police Vehicle Inspection Unit was made on 21 June 19.95 at 1:30pm. That was about eight hours after the accident. Extensive post-accident damage was noted on various parts of the vehicle but all the tyres were found intact. The Vehicle Inspector’s remarks were: “Write off motor vehicle due to extensive body and chassis damaged. Pre-accident defects noted as minor”. The last remark was seized upon by Mr *Mutisya* to augment his submission that the motor vehicle was indeed defective before the accident.

But the defence put forth as an expert witness Joginder Singh Sokhi, a retired Assistant Commissioner of the Kenya Police who was now running a company known as Deter and Detect Limited specialising in loss adjustment and investigations. He joined the Kenya Police in 1953 as a police constable and rose through the ranks until 1972 when he became an assistant commissioner of police. He commanded the Investigation Branch at the Criminal Investigation Department Headquarters for 14 years and became the Commandant of CID and Special Branch Training School before he retired in 1984.

In matters of traffic he served in the Traffic Department for six years and trained Police Officers in investigation of traffic matters and Criminal Investigations. He had been assigned to take charge of the investigation of this accident by the Insurance Company covering the vehicle. It was during his investigations that he came into possession of the statements and the vehicle Inspection Report produced in evidence. He visited the scene of the accident and also saw the motor vehicle. He was able from his experience on investigations involving such accidents to concur with the findings of the Motor Vehicle Inspector. As regards the remark "the pre-accident defects noted are minor" Mr Sokhi explained that the minor defect is also shown in the report by being underlined, that is to say "right reflectors fading". For the 14 years that he had been dealing with such reports, only when a defect is underlined is it said to be minor and the underlining is made in order to relate that fact to the opinion of the vehicle examiner. There was nothing else therefore to show that there were major or other pre-accident defects, and certainly such defects if any, were not related to the accident. As he explained in cross-examination:

> "I have said there was no evidence the accident was self-involving. If it was caused by the failure of steering or a tyre burst, I would tell by checking whether there was a deflation. If there was a tyre burst the motor vehicle would have left 'yaw marks' or skid marks or slide marks because there is no braking as the tyre rubber has a great friction with the road. It burns on the road leaving an indelible mark on the road which remains on the scene for a considerable period. It is a common factor in tyre bursts prior to any impact".

Mr Sokhi had confirmed that there were no "yaw" marks on the road. The tyres were also "ok" as were the wheels, and it was his view that the steering system was damaged after the accident not before.

Although an attempt was made by Mr *Mutisya* to discredit the stated experience Mr Sokhi claimed to have acquired over the years in investigations of this nature, I found nothing to suggest that he was an imposter and it is my view that he gave. His evidence with sincerity and in a credible manner. He surmised his opinion on the cause of the accident on the basis of the physical facts available to him, thus:

> "Although there could be certain other reasons there was no mechanical reason which would cause me to enquire about the activities of the motor vehicle before the accident. My opinion was that the motor vehicle left Mombasa on 18 June 1995. It passed Nairobi and went to Kisumu. It travelled 834 km. On the same day it returned to Nairobi motoring another over 400 km. At 5:30am it was involved in the accident.
>
> I calculated that the motor vehicle had travelled 1400 km between the period it left Mombasa to the time of the accident. I know from the investigation there was no second driver. The driver was alone all this period. I cannot overrule that the driver was fatigued and was dozing along the road. This could have caused the accident".

Mr Sokhi explained that, contrary to what Musyoki, PW2 had testified, at the point of the accident, the road runs downhill and then veers to the left as a gradual bend. At that point the vehicle veered to the right as it approached the bend. It was a normal negotiable bend without oversteering. The vehicle went to rest 49 feet from this bend.

Mr *Mutisya* submitted that the opinion of, the expert witness was presumptuous. Although the journey may have been long, the deceased did not fall asleep because there was evidence that they took occasional rest along the way. Mr *Inamdar* on the other hand submitted that there was more than a probability that a driver who spends 19 hours out of 24 in one single day on the road driving a heavy commercial vehicle would suffer the effects described by Mr Sokhi.

I throw in my lot with this explanation on the probable cause of the accident. The effects of the long journey from 18 to 21 June 1995 was clearly telling on the turnboy before the accident occurred. There was no explanation as to why the driver and his turnboy appeared to be making such a hurried trip. There was no evidence to show that the defendant had any part to play in the two failing to take sufficient rest along the way to and from Kisumu. The turnboy confessed that he had no knowledge at all about driving and had no driving license. The turnboy was certainly tired and sleepy. I cannot rule out the same for the driver, which lends credence to the suggestion that he dozed off on the steering wheel as the lorry approached a left leaning bend which he overshot and crashed off the road on the right.

Having accepted this perfectly plausible scenario, I do not find it necessary to examine the alternative explanation put forward by Mr *Mutisya* to explain the accident. It amounted to this. That because the plaintiff says the accident was caused by a tyre burst and a steering failure, the onus is on the defendant to show that it was not those defects which caused the accident. It is commonly referred to as the doctrine of *res ipsa loquitur* for want of a better designation. For it is not a doctrine *stricto sensu*. It is an evidential rule which serves to shift the evidential burden of proof to the defendant without shifting the burden of proof, as stated earlier, from the plaintiff.

For the plaintiff to avail herself of this rule of evidence, she had to allege in the pleadings and prove at the trial the facts from which the inference of negligence is drawn. I do not find such pleading-in the plaint in this case. It also applies only where the causes of the accident are known but the inference of negligence is clear from the nature of the accident. If the causes are sufficiently known the case ceases to be one where the facts speak for themselves and the court has to determine whether or not, from the known facts negligence is to be inferred. It would not apply where the defendant is not in control of the thing which causes the accident. The example is given in *Turner v Mansfield Corporation* [1975] 119 Sol Jo 629 CA: “Where the plaintiff driver of the defendant’s dust cart was injured when its back raised itself up as he drove it under a bridge. It was held that because the plaintiff was in control and yet could furnish no evidence from which negligence by the defendants could be inferred, he failed”.

I glean all these principles of the doctrine, principle or maxim “*res ipsa loquitur*” from the several authorities cited on both sides. From those principles I am satisfied that the case before me does not fall for consideration on the doctrine.

An apt summary which is not evident in this case is to be found in *Charles Worthe on Negligence* (6 ed) by RA Percy

> "The maxim comes into operation
>
> (1) on proof of the happening of an unexplained occurrence.
>
> (2) when the occurrence is one which would not have happened in the ordinary course of things without .negligence on the part of somebody other than the plaintiff and
>
> (3) the circumstances point to the negligence in question being that of the defendant rather than that of any other person".

I find on the second issue therefore that the accident was not caused by the negligence of the defendants as alleged in paragraph 5 and 6 of the plaint. It was on the contrary, and on a balance of probability, caused by the negligence of the driver of the motor vehicle, the deceased.

In view of the findings on the second issue, issues number 3 and 4 do not arise.

Had I found otherwise on liability, however I would have accepted the evidence of Fatuma that she was 25 years old at the time of the accident and that she and the deceased had three children aged seven, four and two years respectively. The father and mother of the deceased were also living and were aged 70 and 65 years respectively. I would also have accepted the evidence that the deceased was aged 30 years at the time of his death and was earning a salary of KShs 3 000.

Heavy weather was made by Mr *Inamdar* on lack of evidence on the above facts which were also pleaded in the plaint. To be fair to him, Mr *Inamdar* also produced the authority *Nzioka v Kerai* civil appeal number 154 and 155 of 1996 which appears to be against him on that issue. For in that case, Mr Jiwaji was contending that he was under no obligation to call the driver as a witness because as the defendant he had no burden of proof. The court (Gicheru, Kwach and Omolo JJA) unanimously said: "Of course everybody knows he had none, but if the plaintiff advanced an account which he felt was inaccurate, it was in his own interest to put forward his own version. To do so would not in our judgment shift the burden of proof as contended by Mr Jiwaji".

Mr Jiwaji in that case, as in this, was also insisting on proof of the ages of the children by production of Birth Certificates and the Appeal Judges said: "We accept that the deceased left 5 children because that was the undisputed evidence of the plaintiff. That averment did not require to be supported by, the production of relevant birth certificates as Mr Jiwaji thought".

In particular, the defendants in this suit were the employers of the deceased and it would be absurd for them to sit back and require proof of his salary when they hold the payment records and could easily dispute it if it was incorrect. They chose not to divulge the deceased's salary and I would not in the circumstances hold it against the plaintiff that there was failure to prove the salary of the deceased.

Damages are available both under the Law Reform Act (Chapter 3) for the benefit of the estate of the deceased 'for pain suffering and for loss of expectation Of life, and under the Fatal Accidents Act for the benefit of the dependants. It must however be remembered as was stated in *Kemfro Africa Ltd v Lubia and another* [1988] 1 KAR 727 that: "the net benefit inherited by the dependants

under the Law Reform Act must be taken into Account for the damages awarded under the Fatal Accidents Act because the loss suffered under the latter Act must be offset by the gain from the estate under the former Act".

In *Kalume v Coastline Safaris and another* High Court civil case number 166 of 1995, I awarded a sum of KShs 100 000 under the Law Reform Act which was also a figure consented to by both counsel for the parties as a conventional one. That was in July 1996. But it would appear that there is no such convention for in January 1997, the Court of Appeal in *Nzioka*'s case awarded KShs 70 000 for loss of expectation of life to a deceased aged 40 years whose death as in the instant case was instant, and so no consideration was made for pain and suffering. I am bound by this guideline from the Court of Appeal and I would have awarded, KShs 70 000 under the Law Reform Act.

As for the award under the Fatal Accidents Act, Mr *Mutisya* urged me to follow the system adopted by Aganyanga J in *Seif and others v Kihuru and another* High Court civil case number 12 of 1985 where the learned Judge took the deceased salary as the multiplier until the retirement age of 55 from the age of 34 and gave two third of that money to the dependants. I accept on other authorities cited however that the multiplier is a figure considerably less than the number of years taken as the duration of the expectancy. This is to cater for accelerated payment and receipt of interest on invested funds amongst other contingencies of life. The authorities cited, to me indicate a general tendency to apply a multiplier of between 12 to 16. I would apply a multiplier of 15 for this deceased who was aged 30.

It is now clearly the law that dependency is a question of fact and is not awardable as a conventional proportion. There was no evidence on the exact sums the deceased expended towards the dependants in his lifetime. But the plaintiff, said all of them were fully dependent on him for their upkeep. I would take a dependency of two third in this case.

So that the award would be (3000 x two thirds) x 15 x 12 = 360 000 under that head.

As for specials, it is the law that they must not only be specifically pleaded but also strictly proved. The specials pleaded amount to KShs 27 100. I accept the police abstract cost of KShs 100 was proved. The report was produced in evidence. However I find the evidence on the funeral expenses rather intriguing. For what was produced in evidence in support of' the pleaded figure of KShs 27 000 was some photocopy of two cash sale receipts of unexplained source ostensibly paid for transportation of the body from Kathiani to Mariakani at KShs 30 000 and funeral expenses at KShs 20 000. They are both dated 30 June 1995.

The plaintiff herself did not know where the receipts came from. She remained silent when she was asked where the receipts came from. She said the funeral expenses were paid by someone she did not know. She did not know how to read or write and only knew the document shown to her related to funeral expenses by looking at the "punch holes". There is certainly an aura of mystery about the two exhibits totaling KShs 50 000 and it is not clear why the plaintiff was hesitant to be forthright and explicit on the evidence on funeral expenses. Both receipts are dated 30 June 1995 and are meant to support a claim for special damages. The plaint was drawn on 4 September 1996 when Special Damages of KShs 27 000 were pleaded. It is to be assumed that the documents in support of those specials were then in existence. Why then the hesitancy?

I am not satisfied that special damages on funeral expenses were proved as pleaded or at all. That is not to say that there were no funeral expenses incurred. There may well have been but I am not at liberty to award KShs 27 000 when there is no credible support for that figure. I have in the past awarded a figure of KShs 5 000 for funeral expenses where no proof was offered. I would award a similar figure in this case.

In view of my findings on liability however the suit is for dismissal. Costs will normally follow the event unless there are reasons to depart from this principle. In the *Kalume* case (above) where the widow also failed to prove the case on liability I expressed the view that she was deserving of sympathy as she was blameless in the whole process of the litigation. Fatuma now has the extra burden of looking after a young family as a single mother although there are prospects of, remarriage which may not materialise. In all the circumstances I would not condemn her to pay the costs of the suit and I would make an order that each party bears its own costs. I leave it to the defendants to consider whether the family of the deceased is deserving of any *ex gratia* payment.

For the plaintiff:
Mutisya

For the defendant:
S Inamdar instructed by *Inamdar & Inamdar Adv*

Matheka v Matheka
[1995–1998] 1 EA 190 (HCK)

Division:	High Court of Kenya at Machakos
Date of ruling:	21 January 1998
Case Number:	32/94
Before:	Mwera J
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Family – Marriage – Alleged customary marriage subsequent to statutory marriage – Whether subsequent marriage valid – Whether orders for maintenance and judicial separation can ensue from such union.

Editor's Summary

The respondent sued the appellant in the lower court in a matrimonial cause seeking maintenance for herself and her four children claiming that she and the appellant were validly married under Kamba Customary law and that the appellant had deserted them. The court ordered *inter alia* for a judicial separation and gave custody of the four children to the respondent and ordered the appellant to maintain them.

The appellant appealed to the High Court. At the hearing of the appeal, the counsel by consent exhibited a marriage certificate between the appellant and one Agnes Kamene Ndetei in church on 26

December 1976. The appellant’s

evidence in the lower court was that he had a secret love affair only with the respondent and had been married in church prior to the affair.

Held – Where a statutory marriage already subsists, a party to it cannot enter into another contract of marriage because he/she lacks capacity. The appellant lacked capacity to contract a Kamba Customary Marriage when he was still married to Agnes Kamene. The appellant could not be called upon by presumption of marriage or otherwise to support the respondent and the four children. A judicial separation could not flow from such a union either.

Appeal allowed.

No cases referred to in judgment

Judgment

MWERA J: The respondent herein, Timina, was the plaintiff in the lower court. She sued the appellant in a matrimonial cause seeking maintenance for herself plus her four children claiming that she and the appellant were validly married under Kamba Customary Law. Further, that they had four children and the appellant deserted them in 1990 and so they were left with no support.

The appellant denied the complaint and a trial followed. The learned trial Magistrate completed it by delivering judgment on 11 March 1993. He ordered *inter alia* a judicial separation, gave custody of the four children to the respondent and ordered the appellant to maintain them. Probably at some stage thereafter maintenance sums were assessed for payment either in court or by the respondent.

A four-point appeal was filed on 13 April 1993 in which the appellant's earlier statutory marriage was said to be a bar to the customary marriage claimed by the respondent. Ground 2 alluded to there having been no cause of action either under statute or Kamba Customary Marriage. Presumption of marriage was similarly attacked ending with point 4 that the learned trial Magistrate found as he did against the weight of evidence before him.

During the hearing of the appeal, counsel by consent exhibited a marriage certificate between the appellant and one Agnes Kamene Ndetei in church on 26 December 1976 or something to that effect. Mr *Musyoki* argued all the grounds of the appeal together. When Mr *Kilonzi* took time to respond at a later date, the respondent ceased to instruct him and instead proceeded to represent herself. She more or less repeated the evidence in the lower court and concluded that the appellant was her husband who had deserted her and the children. She was of the view that the lower court judgment was correct in all respects and should not be disturbed.

The court on reviewing the whole record from the court below is satisfied that this appeal should succeed. The appellant gave evidence that he had a secret love affair only with the respondent. He was married in church prior to the affair and the marriage certificate (above) is testimony to that. That was a statutory marriage. This court may as well repeat the law that where a statutory marriage already subsists a party to it cannot contract into another marriage. He/she lacks capacity. Accordingly the appellant here lacked capacity to

contract a Kamba Customary Marriage as claimed by the respondent in the lower court when he was still married to Agnes Kanene.

In sum the appellant could not be called upon by presumption of marriage or otherwise to support the respondent and "their" four children. A judicial separation could not flow from such a union either.

Accordingly the lower court judgment is reversed in total by allowing this appeal. In the circumstances each party to bear its own costs.

Judgment accordingly.

For the appellant:
Mr Musyoki

For the respondent:
Mr Kilonzi instructed by *AM Kilonzi & Co*

Matiba v Attorney-General
[1995–1998] 1 EA 192 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	13 November 1998
Case Number:	42/94
Before:	Gicheru, Tunoi and Lakha JJA
Sourced by:	IT Inamdar
Summarised by:	A Mwanzia

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[1] Judicial review – Natural justice – Right to be heard – Court refusing prayer seeking stay without hearing representations from party's counsel – Whether valid.

Editor's Summary

Kenneth Matiba (appellant) authored and caused to be published a book titled *Kenya Return to Reason*. This book was declared a prohibited publication. The appellant moved the court by application for judicial review seeking an order of certiorari quashing the decision because, *inter alia*, he had not been notified of the intended prohibition or called upon to show cause why the book should not be prohibited.

The application for leave to apply for an order of certiorari was heard and granted but a prayer that the leave would operate as a stay of the decision was refused. The appellant's counsel was not heard on submissions for the prayer of stay.

The appellant appealed on the ground that the High Court Judge had not afforded his counsel an opportunity to address him on the prayer for stay in respect of which he had denied the appellant without any representations being made to him.

Held – On the face of the record, it appeared that the appellant's counsel had made no submissions before the learned Judge in the court below, since if they had been made they would have been reflected in the record. There was thus an order on record made in the presence of the appellant's counsel but without affording him an opportunity to address the Judge. This was a fundamental breach of the rule that no man shall be condemned unless he has been given a fair opportunity to be heard, which is a cardinal principle of natural justice. Any order that flowed from such a fundamental breach could not be sustained.

No cases referred to in judgment

Judgment

GICHERU, TUNOI AND LAKHA JJA: Kenneth Stanley Njindo Matiba, hereinafter referred to as the appellant, is a well-known politician in Kenya. He has served as an elected member of Parliament and as a Cabinet Minister. He was once a contender for the presidency of this country.

In early 1993 the appellant authored and caused to be published a book titled *Kenya Return to Reason*. By November 1993 he had sold to the public about 1 000 copies. However, the appellant gratuitously sent free copies of his book to, among other distinguished Kenyans, President Daniel Toroitich arap Moi, all Cabinet Ministers, members of Parliament, the Attorney-General and the Commissioner of Police.

On 14 January 1994, the then Minister of State, Mr Jackson Kalweo, prohibited the publication of the book in exercise of the powers conferred by section 52 of the Penal Code (Chapter 63) of the Laws of Kenya. The prohibition was published in the issue of the *Kenya Gazette* supplement number 2 in Legal Notice number 2 of 1994 of the same date.

The book contains a concise record of Kenya's political economic history and human rights. It also contains various articles and material previously published in the print media. Such material includes Controller and Auditor-General's report and other government and non-governmental (NGO) reports.

In the statement pursuant to Order LIII, rule 1(2) of the Civil Procedure Rules, the appellant avers that at no time prior to the said prohibition was any notification of the intended prohibition given to him nor was he called upon to show cause why his book should be declared a prohibited publication. He states that he was not afforded any opportunity to be heard or to make representations upon the prohibition of the book *Kenya Return to Reason*. To the appellant, the prohibition is not reasonably justifiable in a democratic society. Moreover, he urged, the order was made in violation of his right to freedom of expression and is inconsistent with and in contravention of section 79 of the Constitution of Kenya and in breach of the rules of natural justice.

By a chamber summons dated 21 January 1994, and brought under Order LIII of the Civil Procedure Rules and the Law Reform Act (Chapter 26) of the Laws of Kenya the appellant sought the following orders that:

> "1. The appellant be granted leave to apply for an order of *certiorari* to remove into the High Court and quash the order made by Minister of State under section 52 of the Penal Code (Chapter 63) of the Laws of Kenya on 14 January 1994, in the Kenya Gazette legislative supplement number 2 in Legal Notice number 2 of 1994 declaring the publication of the book entitled *Kenya Return to Reason* to be a prohibited publication.
>
> 2. The grant of leave do operate as a stay of the said order in question made by the Minister of State until the determination of the application for the order of certiorari".

On 24 January 1994, Mr *Kariuki*, counsel for the appellant, appeared before Pall J (as he then was) who granted leave but directed that the order would not operate as a stay. The record of the proceedings for that day reproduced in full were as follows:

> "24 January 1994 Pall J
>
> GBM Kariuki for the Applicant
>
> Leave to apply for judicial review is hereby granted but the order will not operate as a stay. The N/M may be filed within 3 weeks.
>
> GS Pall
>
> Judge".

Mr *Kariuki*'s main ground of appeal is that the learned Judge did not afford him as counsel for the appellant an opportunity to address him on the application and in particular on the prayer for stay in respect of which he proceeded to deny the appellant without any representations being made to him. Further, he argued, a stay should have been ordered during the pendency of the case.

On the face of the record it would appear that Mr *Kariuki* made a submissions before the learned Judge. Normally, if counsel made submissions before court the record of the proceedings would show it. The converse would apply if he does not make any. Since there is an order on record without any submissions by Mr *Kariuki* it would appear that it was made by the learned Judge in the presence of Mr *Kariuki* but without affording him an opportunity to address the learned Judge.

Further, it is difficult on our part to disagree with Mr *Kariuki* that the order of stay was not refused without any representation being made on behalf of the appellant. The rule that no man shall be condemned unless he has been given a fair opportunity to be heard is a cardinal principle of natural justice. In the result, the rule having been breached, this court cannot sustain any order that flows from such a fundamental breach. It will not be necessary for us to consider the other grounds of appeal which, also, at first blush do impress us as being particularly persuasive. The appeal is therefore allowed and the order of the Minister of State made on 14 January 1994 is stayed pending the hearing and disposal of the application for the order of certiorari in the High Court. The appellant will have the costs of the appeal.

In conclusion, we observe that the Attorney-General, though duly served with the hearing notice, did not appear during the hearing of the appeal. On three other past occasions he showed a lamentable lack of interest in the appeal which had to be adjourned due to his absence.

For the appellant:
GBM Kariuki instructed by *GBM. Kariuki & Co*

For the respondent:
Attorney-General

Mkurya v Republic
[1995–1998] 1 EA 194 (CAT)

Division:	Court of Appeal Tanzania at Dar-es-Salaam
Date of judgment:	1 July 1998
Case Number:	23/92
Before:	Kisanga, Lubuva and Samatta JJA
Sourced by:	Faculty of Law, University of Dar-es-Salaam
Summarised by:	A Mwanzia

[1] Criminal procedure – Appeal – Second appeal – When does it lie – Whether Court can test sufficiency of evidence if established that there was some evidence to support a finding of fact.

[2] Evidence – Proof – Burden of – Possession of stolen goods – Accused's explanation of possession of stolen goods – Whether accused should prove legality of possession.

Editor's Summary

The complainant's house was broken into and various items stolen. The Complainant was inside the house at the time of the robbery and was assaulted with an iron bar. Among the items stolen were two pieces of khanga. The appellant's room was searched a day after the robbery and several items recovered including khangas. The complainant identified the khangas as hers, pointing out peculiar identification marks on them. The appellant was arrested and charged with armed robbery. He was convicted and sentenced to 30 years' imprisonment.

While delivering judgment, the magistrate had stated that she had not believed the accused's explanation of how he had acquired the khangas. The appellant's appeal to the High Court was rejected and he thus made a further appeal to the Court of Appeal. The appellant contended that the identification of the khangas had been unsound; the doctrine of recent possession ought not to have been relied upon; and that the magistrate's statement of doubt had operated to shift the burden of proof from the prosecution.

Held – When an accused person is charged with theft, his explanation of his possession of the stolen goods need not be convincing. The accused is entitled to an acquittal if his explanation could reasonably be true. He bears no onus to prove or satisfy the Court that he came into possession of the property lawfully. Consistent with the presumption of innocence, the onus rests on the prosecution to prove beyond reasonable doubt that the accused came into possession in a manner which constitutes theft in law (*Salum v Republic* [1967] HCD 106 followed). Taking the evidence as a whole, the trial magistrate's misdirection had not occasioned a miscarriage of justice.

A second appeal lay on the ground that there was no evidence to support a finding of fact, but once it has been established that there was some evidence to support a finding of fact, it was not open to the Court to go into the sufficiency of that evidence.

Appeal dismissed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Gervase v Republic [1967] HCD 129

Mnyaroje and another v Republic criminal appeal number 142 of 1994 (UR)

Pandya v R [1957] EA 336

Salum v Republic [1967] HCD 106

Judgment

KISANGA, LUBUVA AND SAMATTA JJA: The appellant, Ismail Mgendi at Mkurya, was convicted by the District Court of Morogoro of armed robbery, contrary to sections 285 and 286 of the Penal Code, and sentenced to a term of thirty year's imprisonment. His appeal to the High Court (Mkude J) against that

decision was unsuccessful. He now appeals to this Court against the decision of the learned Judge of the High Court. The appeal is, however, against conviction only. In the Amended Memorandum of Appeal the appellant appealed against the sentence of thirty years' imprisonment also, on the ground that it is constitutional, but at the commencement of the hearing of the appeal his counsel, Mr *Novatus Rweyemamu*, applied to withdraw that ground, and the application was granted. The learned advocate informed the Court that he had decided to apply for the withdrawal of that ground after he had considered the effect of the decision of this Court in *Mnyaroje and another v Republic* criminal appeal number 142 of 1994 (UR). Mr *Mussa*, Principal State Attorney, supported the appellant's convictions.

The facts of the case can, we think, be stated with brevity. It was not disputed at the trial that on the night of 13 January 1990, at about 1:00am, PW1, Isabela Sanga, was asleep in a house. Suddenly, the front door to the house was smashed open and four men burst into the house. The men pushed open the door to the bedroom in which the witness was and one of them hit her on the face with an iron bar. She was forced to surrender TShs 240 000 to the men, who proceeded to take away various items of property, including two pairs of khanga. During the perpetration of the robbery sometimes the lights were switched on and at other times they were switched off. It was also not disputed that on the following day the room occupied by the appellant in the house of one Abasi Mbegu, which was found locked, was searched by a team of police officers led by SP Kaswende, Officer-in-charge of Criminal Investigation Departments in Morogoro district, in the presence of a local leader of ten cells. Several valuable items of property, including two "pieces" of khanga, were seized by the team. Two days later, the "pieces" of khanga were shown to PW1. The witness identified them as being part of the property she had been robbed of on the night of 13 January. She told the trial court that she was able to identify the khangas because, one, yellow in colour, had a small hole on it, while the other, white in colour, had a dot mark of paint. In the course of cross-examining SP Kaswende, the appellant put it to the witness, who denied it, that he had planted the two pieces of khanga in his (the appellant's) room. The appellant was arrested by the police in connection with this case in August 1990. Until that time he had not gone to the police station to inquire about, or challenge, the seizure by the police of his property on 14 January 1990. The appellant's defence was a very short one. He was the only witness on his side. While denying to have taken part in robbery, he asserted that the two "pieces" of khanga seized from his room were pieces of the two pairs of khanga he had bought for his girl friend on 30 May 1989.

In essence, that was the evidence which was laid in the scales in this case. The learned trial Magistrate analysed it and came to the conclusion that the charge laid at the appellant's door was proved beyond a reasonable doubt. In the course of his judgment he said –

> "The prosecution in this case . . . rely on the doctrine of recent possession. Two pieces of khanga (Exhibit P4) were on 14 January 1990 found in the room of the accused just one day after the incident. PW1 managed to identify the khangas as hers naming special marks. There is no doubt that the khangas were found in the place where the accused lived and he is held responsible for the offence committed. I fail to believe the (assertion) of the accused on how he acquired the khangas".

The failure on the part of the police to conduct an identification parade caused the learned trial Magistrate not to attach much weight to the visual identification

of the appellant by PW1. The learned appellate Judge did not, however, share the learned trial Magistrate's inability to rely on the visual identification as a separate peg on which, so to speak, to hang the finding that the appellant was one of the participants in the robbery. He was of the opinion that the appellant's conviction could safely be based on that identification.

The learned Judge's decision of upholding the appellant's conviction is impugned on two grounds, namely:

> "(1) the learned Judge erred in law in holding that the learned trial Magistrate was justified in invoking the doctrine of recent possession and holding that the appellant was one of the robbers, and
>
> (2) the learned Judge erred in law in accepting as sufficient the visual identification of the appellant by the complainant, PW1".

As already indicated, Mr *Mussa* supported the learned Judge's decision. On the first ground, Mr *Rweyemamu* submitted that the doctrine of recent possession was not properly invoked in this case because, as he put it, the identification by PW1 of the khangas seized from the appellant's room was unsatisfactory. Citing *Pandya v R* [1957] EA 336, the learned advocate reminded us of the well-founded principle of law that on a first appeal an appellant is entitled to have "the appellate court's own considerations and views of the evidence as a whole and its own decision thereon", and he proceeded to contend that in the instant case the learned Judge of the High Court did not review the evidence relating to the khangas seized from the appellant's room adequately. Mr. *Mussa*, on the other hand, argued us to hold that the learned Judge had approached his task on the point correctly and adequately, with respect to Mr *Rweyemamu*, we are of the opinion that Mr *Mussa*'s contention has merit. In the case of discharging his task on the issue of identification of the "pieces" of khanga the learned Judge considered, *inter alia*, whether the police officers' failure to comply with the rule restated in *Gervase v Republic* [1967] HCD 129 to the effect that before he is shown the an article for the purpose of identification a potential witness should be asked to mention special marks on the article could be made a basis for faulting the acceptance by the learned trial Magistrate of PW1's identification of the khangas. He answered the question in the negative. Considering the non-compliance with the rule in the light of the whole evidence laid before the trial court and especially in the light of the fact – a very important one, in our view – that during his cross-examination of SP Kaswende the appellant, contrary to what he was to assert later in the witness-box, disclaimed the two pieces of khanga, we are of opinion that it did not materially weaken the prosecution case. It should be pointed out for what it is worth, we think, that in G*ervase's* case (*supra*) the complainant there identified the items of property in question by merely saying: "They are my property". Clearly, that bare assertion that the two pieces of khangas were the property of his girl friend was demonstrably an afterthought. There is no way that assertion can be brought into harmony with the appellant's earlier suggestion that the khangas had been planted into his room by SP Kaswende. Mr *Rweyemamu* also criticised the acceptance of the identification of the exhibited khangas, on the ground that there was an inconsistency between the evidence of PW1, who spoke of two pairs of khanga, on one hand, and the police witnesses, who described the khangas as "pieces" of khanga. With respect to the learned advocate, we see no merit in that submission. If the evidence of PW1 is read as a whole, as we think it ought to, it becomes reasonably clear that when she used the word "pairs" in the course of her testimony relating to her identification of the khangas at the police station she meant to refer to refer to two pieces and not to two pairs, of khanga. That

construction of her testimony would, in our opinion, be consistent with the appellant's admission in the witness-box that two of the four pieces of khangas were not in his room which the search was conducted, the same having been taken away by his girl-friend. In our opinion, Mr *Rweyemamu*'s criticisms of the learned Judges findings with regard to the identification of the khangas by PW1 have no merit. But before we part with the consideration of the first ground of appeal, we wish to say a word or two on the last sentence in the passage we have quoted from the learned trial Magistrate's judgment. It will be recalled that sentence reads: "I fail to believe the (assertion) of the accused on how he acquired the khangas". Clearly, this statement was a misdirection in law. As was correctly observed in *Salum v Republic* [1967] HCD 106, when an accused is charged with theft, His explanation of his possession of the stolen goods need not be convincing. The accused is entitled to an acquittal if his explanation could be reasonably be true. He bears no *onus* to prove, or satisfy the court, that he came into possession of the property lawfully. Consistent with the presumption of innocence, a presumption of unequalled importance in the administration of criminal justice, the *onus* rests on the prosecution – to prove, beyond a reasonable doubt, that the accused came into possession of the property in a manner which constitutes theft in law. Taking into account the weight of the evidence laid before the trial court implicating the appellant with the robbery, however, we are satisfied that the misdirection by the learned trial Magistrate occasioned no miscarriage of justice in this case.

Having disposed of the first ground of appeal, we turn now to the second ground. As already indicated, the learned appellate Judge, unlike the learned trial Magistrate, found the visual identification of the appellant by PW1 an equally good basis for finding the appellant guilty of the charge he faced at the trial. Mr *Rweyemamu* strenuously contended that, bearing in mind the following factors, among others:

> "(1) PW1 was asleep shortly before the robbers pounced upon her,
>
> (2) four men burst into the house,
>
> (3) PW1 was assaulted with an iron bar,
>
> (4) PW1 did not know the appellant before the fateful date, and
>
> (5) the events in the house took place with great speed".

The learned Judge ought to have held that the witness' assertion that the appellant was one of the robbers was unreliable. Mr *Mussa*, on the other hand, submitted that the learned Judge took into consideration the unfavourable circumstances in coming to his impugned conclusion and, therefore, that the conclusion cannot be faulted. We have given a careful consideration to these submission and in the end we are unable to accede to Mr *Rweyemamu*'s argument. In our opinion, the learned Judge re-evaluated the evidence on record relevant to the issue of visual identification with great care and at a reasonable length. In the course of his judgment he said:

> "In the instant case PW1 testified that the robbers had switched on the light when they entered the house and her room. It is apparent from the number of items stolen that the robbers took some time before they ran away with the items. PW1 identified the appellant as the person who switched on the lights when he entered the room. She testified that it was the appellant who beat her with an iron bar and pushed her to the ground. This shows that the witness had sufficient time to observe the appellant. She added that the appellant was wearing a black trouser without a shirt . . . Although the learned district Magistrate did not make any analysis of the evidence regarding this point (of visual identification) I am satisfied that there is sufficient

> evidence on record relating to the circumstances under which PW1 made a visual identification of the appellant. This being a first appeal this court is entitled to re-evaluate the evidence and come to a conclusion on the facts. I hold therefore that PW1 had sufficient time to observe the appellant when he broke into her room and assaulted her, and as there was electric light the conditions were favourable for such identification by the witness. On this ground alone the conviction of the appellant can be upheld".

We are of the opinion that the learned Judge directed himself on the issue of visual identification of the appellant by PW1. We therefore find no merit in the complaint in the second ground of appeal.

It is a well-founded principle of law that a second appeal, like the instant one, lies on the ground that there was no evidence to support a finding of fact, but once it has been established that there was some evidence to support a finding of fact it is not open to go into the sufficiency of that evidence. The test we have to apply in this appeal is whether there was any evidence on which the learned trial magistrates could find as he did. In our considered opinion, there was. No sufficient reason has been advanced why we should fault the concurrent findings of the courts below in this case.

Mr *Rweyemamu* has, in our opinion, said everything which could be said on behalf of the appellant in this appeal. For the reasons we have given, however, we find no merit in the appeal. Accordingly, we dismiss the appeal.

For the appellant:
N Rweyemamu instructed by *Novatus Rweyemamu & Co*

For the Respondent:
Information not available

Mobrama Gold Corporation Ltd v Minister for Water, Energy and Minerals and others

[1995–1998] 1 EA 199 (CAT)

Division:	Court of Appeal Tanzania at Dar-es-Salaam
Date of judgment:	12 May 2002
Case Number:	31/99
Before:	Samatta CJ, Ramadhani and Lugakingira JJA
Sourced by:	AT Nguluma
Summarised by:	A Mwanzia

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[1] Judicial review – Certiorari – Application for leave brought outside six months – Whether leave subsequently obtained proper – Section 18 – Law Reform Ordinance (Chapter 360).

Editor's Summary

The appellant had entered into contract with the Government to undertake gold operation in a specified area. The agreement was to subsist during the prospecting period. The Minister in charge is granted the appellant a prospecting license for a period of 36 months. The contract area was redefined

to exclude registered claims as well as two blocks of land described as TR1 and TR2. On 15 May 1995 Commissioner for Mineral Resources communicated to the appellant the demarcations of TR1 and TR2, and on 29 August 1995, the

appellant was informed that the Minister had directed the granting of titles over TR1 and TR2 to small-scale miners. The appellant was not amused by the developments and on 15 September 1995, filed an application in the High Court for leave to apply *inter alia* for *certiorari* to quash the Commissioner's letter. The Application was brought outside the Six Months Statutory Period within which an application for *certiorari* must be brought. The High Court granted the Applicant leave to apply for the prerogative orders and at the Substantive hearing of the same found that the Application for leave had been brought within time but declined to grant the orders sought for others reasons.

The appellant appealed and the respondents cross-appealed on the issue of time.

Held – The application for leave made on 15 September 1995 was both misconceived and hopelessly out of time. It ought to have been rejected for being incompetent.

Cross-appeal allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Parry v Carson [1963] EA 546

Pollock House Limited v Nairobi Wholesalers Ltd [1972] EA 172

Ruhondo v Tanzania Zambia Railway Authority civil appeal number 1 of 1986

United Kingdom

R v Stratford on Avon DC [1985] 3 All ER 769

Judgment

LUGAKINGIRA JA: This appeal comes from the decision of the High Court (Mapigano J) refusing an application for prerogative orders. Although it raises a number of issues, its disposal turns on only one.

The appellant, Mobrama Gold Corporation Limited, and the fourth respondent, Afrika Mashariki Gold Mines Limited, are, as their names indicate, gold mining companies presently locked in a dispute over two pieces of land in Tarime district. By an agreement dated 6 August 1994 between the appellant and the Minister of Water, Energy and Minerals (first respondent), made under section 15 of the erstwhile Mining Act, 1979, the appellant acquired the sole and exclusive right to undertake gold operation on, in and beneath an area of approximately 150 square kilometers as defined in Annex "A" to the Agreement and referred to as the Contract Area. The agreement was, subject to the act, to subsist during the prospecting period to be stipulated in a prospecting license. Article 25 of the Agreement also provided for the suspension of the obligations there under in the event that non-performance or delay was caused by *force majeure* and the suspension was to operate to extend the time for the performance of any obligation or the exercise of any right dependent thereon.

On 6 September 1994, the Minister granted the appellant a Prospecting License (PL) number 217 of 1994 for a period of 36 months from that date.

Annex "A" to the license redefined the Contract Area, now termed as the License Area, to exclude registered claims as well as two blocks of land described as "TR1" and "TR2". The exclusions reduced the License Area to approximately 112 square kilometers and it is understood that TR1 and TR2 constituted the crown jewels of the area. On 15 May 1995, the Commissioner for Mineral Resources (third respondent) communicated to the appellant the demarcations of TR1 and TR2, and on 29 August 1995, the appellant was informed that the Minister had directed the granting of titles over TR1 and TR2 to small- scale miners operating there. These developments disturbed the appellant which, on 15 September, 1995, filed an application in the High Court for leave to apply for *certiorari* to quash the commissioner's letter; a declaration that the grant of TR1 and TR2 to unidentified small-scale miners was null and void; and *mandamus* "prohibiting" the Minister from issuing further claims or licenses that conflicted with the Agreement. It was to be contended that the exclusion of TR1 and TR2 was *ultra vires* the Agreement and section 15 of the Mining Act.

The Ministry was undeterred. On 13 June 1996, six small-scale miners were granted Prospecting License number 388 of 1996 over TR1 and TR2. Five days later on 18 June, the License was with the consent of the Minister transferred to the fourth respondent (then known as East African Gold Mines Limited), and on 30 June, a Mining License (ML) number 18 of 1996 was granted to the fourth respondent over areas covered by PL 388 of 1996. Meanwhile, the application for leave had come up for hearing on 19 October 1995, but it was stayed pending reference to arbitration pursuant to an objection raised by the Attorney General (second respondent). For one reason or another arbitration was not pursued, hence the appellant applied for the application for leave to proceed to hearing. This was granted and, there being no objection, leave to apply was also granted. The substantive application was lodged on 17 April 1997. The appellant was praying for *certiorari* to quash (*a*) the Commissioner's letter of 16 May 1995, and (*b*) the Minister's decision to grant PL 388/96 to small-scale miners; mandamus commanding the Minister to withdraw or cancel PL 388/96 and his approval of its transfer to the fourth respondent; and prohibition preventing the Minister from further issuing or renewing claims or licenses to third parties in the disputed areas. This litigation came to the attention of the fourth respondent which, in order to safeguard its interests, successfully applied to be joined in the proceeding as an intervener.

It will be noted that there were apparent variations in the prayers between the application for leave and the substantive application. First, the substantive application contained no prayer for a declaration; second, certiorari in the substantive application was extended to quashing PL 388/96; third, the purpose of mandamus was now to command the Minister to withdraw or cancel PL 388/96 and any third-party claims over the disputed areas; fourth, the substantive application introduced a prayer for prohibition. In the light of these apparent variations, one of the issues argued in the High Court was whether the substantive application was not something for which leave had not been properly obtained. Also argued was whether, as regards certiorari to quash PL388/96, the substantive application was within the prescribed period of limitation, considering that PL 388/96 was granted "more than six months before the date of the Applicant's Chamber Summons of 17 April 1977. There was also a general argument whether the dispute, as it was, from an alleged breach of a term of the Agreement, was amenable to prerogative orders.

Mapigano J answered the last question affirmatively and said the case was basically one against the Minister and Commissioner for wrongs allegedly committed by them in the discharge of their statutory functions, and therefore involved an element of public law, although the relationship between the appellant and the Government was contractual. Regarding the first and second questions, the learned judge observed, first, that the hub of the dispute was the exclusion of TR1 and TR2 from PL 388/96 and its conversion to ML 18/96, derived from and revolved around that exclusion. If the exclusion was held *ultra vires*, the acts deriving therefrom would automatically be invalidated. Although not expressly saying so, he then seemed to argue that since, according to him, the application for quashing the exclusion of TR1 and TR2 was in time, it was illogical to speak of quashing PL 388/96 as being out of time, next, he stated that although there was no specific prayer for prohibition in the preliminary application, it was obvious from the accompanying statement that the term *mandamus* was inaptly used, the intention being to apply for prohibition. He accordingly concluded that there was nothing fatal about the appellant's pleading, that leave was properly obtained and that the application as it concerned the order of certiorari was not time-barred. In the end, however, he declined to grant the prerogative orders of two reasons. First, he held that the force majeure clause in articles 25 of the agreement derogated from the Mining Act as it virtually took away the discretion of the Minister under section 36 (2) to grant or not to grant a suspension of obligations under the agreement. Since the Article was thus void, it could not operate to extend the prospecting period and, therefore, PL 217/94 which was granted for three years from 6 September 1994, expired on 5 September 1997. The same was true with the Agreement whose life depended on the prospecting period. There was accordingly no basis upon which the prerogative orders could be issued at the time of the ruling on 19 February 1999. Second, the judge held that the exclusion of TR1 and TR2 from PL 217/94 was not *ultra vires* the powers of the Minister since the Agreement, which had to be consistent with the Mining Act, could not take away the Minister's powers under section 28(2) to prescribe the shape, orientation and dimensions of the area of land over which a prospecting license is granted.

The decision triggered off a flurry of appeals. The appellant appealed contending that the learned judge erred in law and mis-directed himself in holding:

> "1. that the *force majeure* clause was ultra vires the Mining Act; and
>
> 2. that the prescription of the shape and dimensions of a prospecting area could not be the subject of agreement under section 15 of the Act".

The fourth respondent cross-appealed seeking, among other things, the variation or reversal of the decision where the judge held:

> "1. that the appellant had properly obtained the leave of the High Court of institute the proceeding; and
>
> 2. that the appellant was not out of time to apply for or to obtain an order in the nature of *certiorari* to quash PL 388/96".

The Attorney-General, representing also the Minister and the Commissioner, similarly cross-appealed seeking the variation or reversal of the decision where the judge held:

> "1. that the appellant's application was amenable to prerogative orders; and
>
> 2. that the appellant had obtained leave to institute the proceeding".

When the Court sat on 29 September 1999, it was agreed that parties present written submissions and learned counsel were directed to draw up a consent

order setting out the time-frame for presentation of the submissions. When the consent order was presented to the Court later on the same day, it transpired that the Attorney General had quit the contest. This judgment is therefore directed at the appeal and cross-appeal of the appellant and the fourth respondent respectively.

As indicated at the beginning, the disposal of the appeal turns on one ground, and that ground is whether, on the assumption that the dispute was amenable to prerogative order, the application for certiorari was within time. If the answer is in the negative, it will render irrelevant the other grounds in the appeal and Cross-appeal.

Rather curiously, the application proceeded on two wrong premises before the High Court and the same misconceptions plagued the appeal almost to the end. In the first place, it was assumed that the exclusion of TR1 and TR2 from PL 217/94 was effected by the Commissioner's letter of 16 May 1995. Secondly, it was assumed that the time the limitation was to be reckoned with reference to the substantive application. Hence, in his affidavit of 16 April 1998 before the High Court, and in the submissions in the cross-appeal, learned counsel for the fourth respondent, Dr Wilbert *Kapinga*, stated and states

> ". . . all the alleged actions of the first respondent complained of in the Application occurred more than six months before the date of the applicant's Chamber Summons of 17 April 1997 namely:
>
> 1.2.5.1 the introduction of the areas TR1 and TR2 into the Applicant's Prospecting Licensee occurred on 6 September 1994 when the license was issued;
>
> 1.2.5.2 the issue of claims in respect of the Intervener's Prospecting License occurred in September 1995; and
>
> 1.2.5.3 the issue of Prospecting License number 338 of 1996 occurred on 14 June 1996.
>
> Accordingly, the Applicant was out of time to commence any fresh application for Prerogative Orders in respect of those matters in the manner set out in the Chamber Summons of 17 April 1997".

In elaboration, Dr *Kapinga* argues that rule 21 of the English Crown Office Rule, 1906, makes it clear that an application for an order of *certiorari* has to be made within six months from the date when the grounds for the application rose, unless the court exceeds the time. He submits that the appellant was clearly outside that time limit, and, in the absence of an explanation for the delay, the application ought to have been rejected. He cited *R v Stratford on Avon DC* [1985] 3 All ER 769, which considers the time limit imposed by the Rules of the Supreme Court in England and *Pollock House Ltd v Nairobi Wholesalers Limited* [1972] EA 172, on the desirability of an explanation for a delay.

In reply thereto the appellant through Mr *ASK Mujulizi* of *Ishengoma, Masha, Mujulizi and Magai, Advocates*, contends that there is a local statute providing for the matter and submits that citation of foreign legislation, and subsidiary legislation at that, is irrelevant. It cites *Ruhondo v Tanzania Zambia Railway Authority* civil appeal number 1 of 1986, where this Court (Makame JA) said:

> "Under the law Reform Act, number 55 of 1968, an application for an order of certiorari should normally be made within six months of the event . . .".

It is apparent, however, that, initially, the appellant's impression was not different from the fourth respondent's as regards the event on which the application had to be derived and the application to which the limitation of time applied. It seems that on reflection the appellant realized the error, at least is part, and hastened to point out in an addendum that there are two stages to a judicial

review, beginning with an application for leave, and to contend that the application for leave was in this case made in time. It did not demonstrate how the application was made in time apart from adding that as a matter of common sense and the law, an application for leave must be made within six months. The appellant then cites a passage from *Stratford on Avon* (*supra*) where the Court of Appeal in England held that although on literal reading RSC Order LIII, rule 4(1) appeared to refer to the substantive application for judicial review, in practice the courts treated the application referred to as being the application for leave. This submission by the appellant made the fourth respondent similarly to realize the wrong footing on which the case had proceeded. In a rejoinder the fourth respondent says that as to whether the application for leave was out of time, this Court has power to review the issue because the point was argued before the trial judge. Regarding the exclusion of TR1 and TR2, the fourth respondent deserves that was expressed in the original grant of PL 217/94 on 6 September 1994, yet the application for leave was not filed until 15 September 1995. It adds that the six months limit provided for by Act number 55 of 1968, “is not a period for quite reflection by an intending applicant”. At last the parties landed on the right track.

To begin with, the Act number 55 of 1968 introduces into the law Reform Ordinance, Chapter 360, section 18, which provides for matters pertaining to applications for prerogative orders. Subsection (1) thereof permits the Chief Justice to make rules of procedure for making the relevant applications, subsection (2) provides that in specified proceedings the rules may provide for the application for leave to be brought within six months or less of the act or omission complained off, but subsection (3) stipulates that in the case of certiorari to quash any judgment, order, decree, conviction or other proceeding, an application for leave will not be granted unless it is brought within six months of the proceeding sought to be quashed or such shorter period as may be prescribed under any law.

We wish to make two observations in connection with the above provision for application for prerogative orders. Part VI of the Act which dealt with disputes was irrelevant in this context because it was devoted to settlement by the Commissioner of disputes between persons engaged in reconnaissance, prospecting or mining operations, either among themselves or in relation to themselves and third parties other than the Government. The other observation is that subsection (3) applies to applications for certiorari to quash proceedings of a judicial or quash-judicial nature, that is, “any judgment, order, decree, conviction or other proceedings. The phrase or other proceeding has to be construed *ejusdem* generis with judgment, order, decree, and conviction as having reference to a judicial or quash-judicial proceeding as distinct from acts and omissions for which *certiorari* may be applied for under subsection (2). Although in *Ruhondo* (*supra*) no particular provision was cited, that case fell under subsection (3) because it involved a quasi-judicial proceedings before the erstwhile Permanent Labour Tribunal.

In the case before us, the act of the Minister of excluding TR1 and TR2 from the License Area was neither judicial; it was therefore an act falling under subsection (2), assuming it to be an act to which prerogative orders could be brought to bear. Although the Chief Justice is yet to make rules under subsection (1), we think that should not be cause for uncertainty as to the applicable law. The effect of subsection (2) is to place a ceiling beyond which the Chief Justice cannot go when he turns to make the rules. Those rules may only prescribe that applications may be made within six months or less as the Chief

Justice may consider appropriate in specified proceedings; in other words, whether with or without rules, the time of limitation cannot exceed six months. The absence of rules is therefore no reason or excuse for recourse to foreign legislation or precedent but we are of the view, and so hold, that until the rules, when made, provide otherwise, an application for leave in relation to a matter falling under subsection (2) has to be made within six months after the act or omission to which the application relates.

In the instant case, the decision, which triggered off the dispute was the exclusion of TR1 and TR2 from PL 217/94 and that event took place on 6 September 1994. Annexture "A" to PL 217/94 was unambiguous, unequivocal and immediate in terms. After setting out the coordinates of the licensee area in Clause A1, it further stated :

> "A.2 Without prejudice to the generality of Clause A.1 above, the following sub-areas are excluded from the License Area unless otherwise approved as per section 48 of the Mining Act of 1979;
>
> All claims registered pursuant to section 74 of the Mining Act of 1979; and Gold-Small Scale Blocks TR1 and TR2".

The date of reckoning was therefore 6 September 1994 when the exclusion took place, but not 16 May 1995 when the Commissioner communicated the demarcations of TR1 and TR2 or 13 June 1996 when PL 388/96 was granted. As Mapigano J had occasion to observe early in his ruling, the Commissioner's communication simply "reiterated the Government stand that the blocks were excluded from (the) licensee area". There is no doubt, either, that the appellant understood that to be the position from the very beginning because in a letter to the Principal Secretary five weeks later on 14 October the appellant said:

> "We read on page 4 Annex 'A' – under A.2 that certain areas within the limits of the concession, as defined by the corner boundary coordinates in QDSs 5/4 and 6/3, are excluded from the license area or Contract Area".

The letter went on to seek further information about these "certain areas" and added: "This will be very useful in order to avoid trespassing on the territory granted to the small scale claims. It concluded stating that the information was needed "as soon as possible so we can discuss these issues with the Ministry". We think that while there was nothing wrong with discussing the issues with the Ministry, that did not preclude or excuse the appellant from applying for leave within six months of 6 September 1994. We would observe, as Windham CJ did in *Parry v Carson* [1963] EA 546, that the wise and sensible thing to have done was for the appellant to file its application for leave within the six month period, without prejudice to its discussions with the Ministry, and to withdraw the application later if the discussions had succeeded.

In our judgment, therefore, and assuming, as we have said, that the dispute was amenable to prerogative orders, the application for leave made on 15 September 1995, was both mis-conceived and hopelessly out of time. It ought to have been rejected for being incompetent. In the premises, we allow the cross-appeal, reject the appeal and quash the proceedings. As the parties finally discovered, the limitation issue was not correctly addressed before the High Court, but this Court was invited to use its powers and review the same since the point was argued before the trial judge. In the circumstances, we do not consider this a proper case in which to saddle any party with costs, but each party will bear its costs. Since it was common ground that the relationship between the appellant and the Government is contractual, the appellant is at

liberty to pursue its remedies in contract if it can satisfy the High Court on the delay.

(Samatta CJ and Ramadhani JA concurred in the judgment of Lugakingira JA.)

For the appellant:
ASK Mujulizi instructed by *Ishengoma, Masha, Mujulizi & Magai Adv*

Fourth respondent:
W Kapinga

Muigai v Muigai and another
[1995–1998] 1 EA 206 (HCK)

Division:	High Court of Kenya at Nairobi
Date of ruling:	21 January 1998
Case Number:	590/85
Before:	Amin J
Sourced by:	LawAfric
Summarised by:	A Mwanzia

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[1] Succession – Inheritance – Customary law wives – Deceased conducting customary marriages subsequent to church wedding – Whether customary wives could inherit deceased's estate – Whether subsequent marriages void under Marriage Act – Section 37 – Marriage Act (Chapter 150) – Section 3(5) – Law of Succession Act (Chapter 160).

Editor's Summary

On the death of Eliud Muigai Macharia, Dorcas Wangari and her daughter Sally applied for letters of administration intestate. Dorcas had been married to the deceased under the Marriage Act. Terry (First Objector) and Agnes (Second Objector) objected to the grant of letters of administration to Dorcas, arguing that they had also been married to the deceased under Kikuyu Customary Law and hence they and their offspring were entitled to inherit from the deceased's estate. Dorcas contended that she was the only lawful wife entitled to inherit along with her daughters.

Evidence adduced showed that the deceased used to cohabit with the Objectors and had sired children with them.

It was contended that per provisions of section 37 of the Marriage Act, the deceased had no capacity to marry the Objectors.

Held – The Objectors had discharged the burden of proof that they were customarily married to the deceased.

In view of section 3(5) of the Law of Succession Act, section 37 of the Marriage Act did not bar the two subsequent wives for purpose of succession and that both Objectors were dependants under section 29 of the Law of Succession Act. *Njoki v Matharu and others* civil appeal number 71 of 1989

considered.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Muli and another v Mutunga in civil application number NAI 17 of 1983

Njoki v Matharu and others civil appeal number 71 of 1989 – **C**

Yawe v Public Trustee in civil appeal number 13 of 1976

Ruling

AMIN J: At the commencement of the long drawn out litigation the following issue were submitted for the decision of the court:

"1. Was the First Respondent married to the deceased as a wife.

2. Was the Second Respondent married to the deceased as a wife.

3. How to administer the Estate and by whom.

4. Has the deceased taken in his family, children of the First Respondent Clare Njeri Muigai, Agnes Wambui Muigai and Macharia Muigai and did he maintain them.

5. Has the deceased taken into family the Second Respondent's child Charlene Njeri and did he maintain her.

The facts briefly are that Dorcas Wangari Muigai with her daughter Sally W Mwane applied for letters of Administration intestate for the Estate of Eliud Muigai Macharia. She had married the deceased Macharia at Loreto Convent Limuru on 30 May 1969 under the Marriage Act. She contends that as her marriage had not been dissolved she is the only one to inherit along with her daughters. The First Objector and the Second Objector herein allege that they are also widows of the deceased having been married to the deceased under Kikuyu Customary Law and hence they and their off-spring are also entitled to inherit from his estate.

All the parties to the dispute agreed in one respect. It is the status of the Petitioner. By consent it was agreed that she was married to the deceased in the manner stated.

All the parties to the dispute testified in support of their claim and called witnesses to testify.

The First Objector is Terry Wacheke Muigai. She is about 30 years of age. She was a Secretary and has worked in this capacity. Her father and mother were alive at the time of her marriage with the deceased. She testifies that she met the deceased in Nairobi in April 1976. She further testified that at the time she married the deceased she was working at the Ministry of Agriculture this was in 1976, she remained deceased wife till May 1984 (date of death). She used to stay in Madaraka Estate house number MF2/2 till February 1984. She moved to Ngei Estate on the Langata side.

The Ngei house number 107/Nairobi block 60/381 belonged to the deceased. They moved and continued to cohabit there. This house is in Macharia's (deceased) name. She had three children by the deceased Macharia. The witness produced photocopies of birth certificates in relation to the children which were noted by Mr *Muite* the counsel for the Petitioner and were admitted in the evidence accordingly.

The first birth certificate (Exhibit 1) relates to Claire Njeri who was born in 6 November 1987 and was named after her mother-in-law (Macharia's mother). All the expenses in relation to the Hospital expenses were paid by Mr Macharia. The child was born at Mater Hospital Nairobi.

The Exhibit 2 relates to the Medical Report of Claire Njeri who is now at school. This witness states that she identifies her husband's signature on the

report. She further testified that the deceased paid all the expenses for the Primary School, and Toddler Nursery School.

The second child Mary Wambui was born in 19 June 1977 at the Mater Hospital and the expenses were met by the father. The child was named after her mother. She produces a birth certificate of the child.

The third child Ayub Muigai Macharia was born on 29 November 1983 at Nairobi Hospital. The witness testified that she was not working at that time. She produces a birth certificate in respect of this child. It is admitted in the evidence as (Exhibit 4).

The witness also testified that she was in the Hospital between April to May 1983. The child was born in November 1983. She produced statement of account for December 1983. This amount was paid by the father testifies the witness. The hospital bills are admitted as in evidence (Exhibit 5).

Exhibit 6 relates to three photographs which were taken on various dates, four in all in which Macharia (deceased) the father was shown with the children. This witness further testified that she knew the Petitioner Dorcas. She was married by the deceased had she had five children. Between 1976-1984 she would have contact with her at Macharia's Estate. She did not move to Ngei.

Dorcas used to have quarrels with Mr Macharia and was blamed by the deceased for the quarrels and disputes. She testified that Dorcas' children were her friends and they used to come to see her. The all came in 1983 when young Macharia was born. She also relates how on one occasion she attended a party together with three of Dorcas' daughters when all went to Agnes house where her daughters' party was held.

The Petitioner's children knew the deceased's relationship with the Respondent very well. After the deceased Macharia died the children never came back home.

She also testified that the deceased Macharia was working with a Clearing and Forwarding Company in Van Lines Limited where were three share holders of the Company, the deceased held 4 000 shares, Dorcas 1 000 and Luke Muigai 2 500. Luke was not a relative. She testified "My husband took my responsibility. Luke Muigai is now running the Company and he is still doing so".

Her husband died in April 1984. She had been at her home at Murang'a. The witness has also testified that Macharia and all his brothers and sisters had contact with her. She states that she used to see them and she still does so occasionally. She belongs to Ministry of Works Sports Club where the Deceased was also a member. The witness produces Identity Card for 1979. The Identity Card number is 3340678/66.

The witness also took the names of Terry Wacheke Muigai. She goes to the club on off days with her children.

The witness gave particulars of the land at Chomo. It is registered in Macharia's name. He was building a permanent house for her. It was not completed before his death.

She contends that this house was for her because the house at Karen was for the first wife Dorcas according to Kikuyu Customary Law. She states all her furniture is already at the Chomo home. The witness refers to a meeting with the deceased's father in February 1976. She testifies that she was introduced to his father as Macharia's wife. They did not talk much, as he was a quiet man.

She had been to his fathers house with her husband, but not alone. She also testified that the children were taken to the father of the deceased by Macharia in 1981 on a Saturday; her husband, herself and two children were there. There were no facilities. She attended a funeral of a neighbour. The witness also states that she attended the deceased's father's funeral and her brother and father were there. The Petitioner was also there at Murang'a.

The First Objector Terry Wacheke also testified that she visited her parents with the deceased at Ngarua Nyahururu in 1977, it was in the New Year's day. On this occasion she introduced her husband to her parents and advised that he was living with her. On this occasion she did not talk much.

In 1980 she went back to see her parents. Even before that she testified that her parents had met Macharia in 1981. In 1980 Macharia had pre-arranged a visit. She went there for Christmas.

In 1981 she also went there and a goat was slaughtered and the money had been sent by her husband to her father to buy the goat. The goat was paid as dowry (Kurenga Kiande). The deceased was told goat has been slaughtered, he took meat and passed it to her and to all others at the ceremony. The deceased's parents were not there but her own father was there.

Further, the cash amount was paid to her father by the deceased, this was 3 000 as dowry. He also gave some money later in Nairobi, this all amounted to KShs 6 000. Her father said "make sure all money paid out are paid as part of dowry,"(*Ruracio*). At this ceremony the witness states that speeches were made, one by an old man called Gachia and an old lady did the same.

The father of First Objector (Terry) Mr Francis Mwai testified that the dowry discussed with Macharia were 80 goats.

The witness states that she had a number of friends whom she and Macharia regularly visited. He had also paid for a tuition fees at Secretarial College for her. The rent for Madaraka was paid by him. He was also looking after her family needs.

A Mini car was sold in June 1983, a Honda was bought for her which she had with her today. She testified that all other cars were in the name of company but the Mini and Honda were registered in his own name. This witness also related an incident where the brother of the deceased, David Njuguna Macharia and his wife had an incident in which Njuguna's wife refused to shake her hand. She described an occasion of deceased's brother's misbehaviour, a report was lodged at the Langata Police Station.

The witness testified that in the club she is known as deceased wife and they used to go together to Mombasa and also to Murang'a. The witness gives an account of the assets and liabilities of the Estate of the deceased. She also testified that she knew about the relationship of the deceased and Agnes, the Second Objector. She lived with Macharia as wife till his death. She and her husband Macharia together visited Agnes on a number of times. She also related that a party was held at Agnes Kibera's house for her daughter Sally Njeri. The party was held on 30 March 1984. Three of the children of the Petitioner Dorcas Wangari were also there except the Petitioner.

Under cross-examination by Mr *Muite*, the learned counsel for the Petitioner, the witness considered that it is hard work because Macharia was not there to testify. However, she denied the suggestion that she entered into a relationship with the deceased for the love of Macharia's properties and assets.

She also reiterates that dowry was paid and money exchanged. In 24 December 1981 customary rites were observed, testifies the witness.

She denies the suggestion of the counsel that she was imagining as such event did not take place. The witness also considered that she did not deem it necessary for the father of the bridegroom and her parents to be present at the Kikuyu ceremony.

She also said she did not know that the ceremony could not take place with the family members of her father being present only. She testified that Macharia (deceased) talked to her father in 1977 but the talk was completed in 1981. This Respondent is a Christian and she believes in Christian Marriage and she was a Christian elder. She even believes in Christian values and morality. She loved him. She started to live with him in 1976 pending her marriage in 1981.

The witness concedes under cross-examination by Mr *Muite* that at the funeral of Mr Macharia it was announced that he survived with his wife and five children. This wife is Dorcas Wangari who was made to stand up for everyone to see.

The First witness was Mr Francis Mwai Ngara who is the father of the First Objector Terry Wacheke. The witness told the court that he did not have anything in writing. He insists that on 24 December 1981 he fixed for the slaughtering for a goat. He denied the suggestion that the ceremony of 24 December 1981 did not take place.

The witness however, concedes in cross-examination that according to the Kikuyu Customs a dowry had to be agreed with by an older person. This reason he gave for his request to Macharia to bring his father. He knew that Macharia's father was alive and he knew that the father was at Murang'a. The witness also relates to the court that he was paid small sums of money on different occasions but did not consider this payments as something bad as his daughter was already living with him and he has taken her as a wife. The witness further said that his daughter stood up with her child with family of Macharia when called out.

The third witness Gachai Gachamba who is a neighbour of Francis Mwai the father of the First Respondent testifies that he attended a number of ceremonies at Francis Mwai's homestead. He narrated the event at marriage ceremony when Macharia had come, also Terry Wacheke and her two children were present.

The witness states that on 24 December 1981 a goat was slaughtered and after the ceremony Macharia gave KShs 3 000 as dowry when the payment of KShs 6 000 was completed. At that ceremony the persons present consumed four crates of beer.

Under cross-examination by Mohamed Ibrahim, the witness concedes that he was not related to Francis Mwai, they belong to the same clan but live in different places. The witness also agree that no family member was involved as they were far away. He had expected Macharia to come with his family members, he did not do so and he did not know the reasons for it.

The witness said that "Ngurario" in Kikuyu customary ceremony took place and Macharia agreed to it. Macharia did not have any one from his side, but he agreed to go on with the ceremony. He did not know where other ceremonies were held. A male goat was slaughtered by himself and Mwai's son. Macharia agreed to 80 goats as part of the dowry as he was allowed to ask for it. The witness denied the suggestion that no Ngurario took place.

The Second Objector Agnes Wambui Muigai testified to the court that she is a Bachelor in Business Administration. She me Mwai first in 1978 as a young girl. She started working there for vocational employment. The two became very close in 1980. In 1980 Macharia visited her home. In March 1981 the deceased paid her mother KShs 2 000 towards her dowry.

In 1981 she left College and Macharia rented a house for her at Kibera Estate and she took to work for Kenya Van Lines Limited, in Personnel and Administration Accounts Department. In May 1981 Macharia went to her home, her mother and her uncle called Gachai who died in April 1991 were there. Muigai told her mother that he wanted to marry her. He gave KShs 10 000 as part payment for dowry. It was then agreed that the marriage would take place. In June 1982, she moved to Phase I Kibera Estate. The deceased was paying and renting this house for her.

In December of the same year he bought a house for her in the same Estate where they stayed in 1984. Then in May 1984, she moved to Ngumo Estate, this is where she is residing in house number 56, Block 32. This house is in the deceased name.

He promised to give her a house if she would give him a baby boy, but she only gave him baby girl. The name of the daughter is Claire Njeri Macharia. She produces an Easter Card which is admitted in the evidence as Exhibit 1 (R2) and it reads as follows:

> "Love,
>
> May this Easter Season bring you happiness. To my you have brought a new life. And my 'mother' must be brought up in style. You may now move into the new house. I should hope you understand that a promise is a promise and since you failed to give me a baby boy the house will [not] be transferred into your name, and I still make another promise if you give me a baby boy before our daughter is five years I will transfer the house to you, and if you do not I will have to transfer it to Njeri as her fifth birthday present. Once again both of you have a HAPPY EASTER.
>
> Yours true LOVE
>
> ELIUD MACHARIA
>
> Signed".

This card corroborates substantively this witnesses' evidence in this respect. This witness also told the court that all the expenses incurred at the party of their child were duly paid by Macharia.

The witness also produced a number of photographs which were admitted in the evidence as exhibit W2B – W2C. The Second Objector further testified to the Court that she had met with the deceased's brothers and sisters in July 1982.

The witness produced Exhibit W3. The receipts for furniture for her house and the payment for the bills paid in Nairobi Hospital and Exhibit 5C are the ring and the chain which were given to her. This exhibit reads:

> "To, Dear Wambui From the desk of
>
> Umoja EM Macharia
>
> Herewith the chain and the ring. Tell Jeniffer whether you require anything before you leave for Nyeri. Give her a note to bring to me.
>
> I have instructed Jeniffer to take you to Nyeri when your Mum is ready I will come to see you at home in a week's time, nobody knows what we are going there.
>
> LOVE".

In cross-examination by Mr Ibrahim the witness concedes that the entire ceremonies were done under Kikuyu Customary Law. She said the payment of the dowry and other ceremony has taken place. Her mother and uncle were

there when he had paid dowry to the uncle. However, the formal marriage was to be finalised in 1984. This did not take place as the deceased unexpectedly died as a consequence of a road accident.

The Petitioner Dorcas Wangari Macharia the interim Administrator and the wife of the deceased Eliud Muigai Macharia testified in the opposition of the application of the Objectors. Two witnesses also testified in support of her case. These are a brother of the deceased David Njuguna Muigai and Mwara Njau a distant cousin.

Dorcas the widow of the deceased *inter alia* testifies she married the deceased on 5 May 1984 and she lives at Karen and she had a family of five daughters who were the offspring of the wed-lock. She further testified that she had remained as his wife until his death and they had lived as a happy family. She said she had heard the evidence of Terry Wacheke and Agnes Wambui. She did not know that her husband had any relationship with other women. She only heard that Macharia got involved on 19 April 1984.

He was in hospital in great pain, and it was then that she was informed by two nurses that there are two other ladies claiming to be wives of her late husband and she later saw them there.

The thrust of Dorcas testimony is that there are no other wives apart from herself. She testifies that Macharia had no intention of marrying other wives. She denies that Terry and Agnes Wambui are his wives. She also says “my husband had never discussed any desire of his marrying other wives.”

The witness also gave the particulars about the church service and the matters relating to the Objectors occupying the deceased’s properties. However, she has no argument with the photographs. The witness concedes that those are photographs and documents relating to the Objectors, deceased and the children. However she testifies that she did not know of any relationship of her husband with the Objectors and their children. At the time of his death, she was working at Karen and Murang’a and he was working at Van Lines Limited.

She concedes that her daughters were at the party as seen in the photographs. He husband, and daughters had never told her about other wives.

Under cross-examination by Mr *Murimi*, Dorcas concedes that she was not aware that the two Objectors or that the daughters of the First Objector Terry Wacheke and Second Objector Agnes Wambui are called Njeri. Birth Certificates of these daughters also describe Macharia the deceased as their father. Her first daughter is also called Njeri.

Under cross-examination by Mr *Wambeo*, the witness concedes that in Kikuyu customs the first girl is named in her grandmother’s name. The court notes that all three daughters are born of three women in question bear names of Njeri, all three birth certificates pertaining to these daughters accordingly show their names as Njeri.

PW2 David Njuguna Macharia the younger brother of the deceased is the one who was present when Terry Wacheke Macharia was with her husband when a dispute took place with him and his wife at the Ministry of Works Club. The witness *inter alia* states that he had never known of any relationship between his brother and Terry and she had not gone to his father’s house. The witness also states that Agnes Wambui was working with her brother’s Company as an accountant. His brother had introduced her to him but he had never said she was his wife.

The witness conceded that the dispute about the administration of the estate of the deceased and between the Objectors, and family members remains unresolved.

Another witness is Mwara Njua. He was residing at Murang'a, he says that he did not know Macharia, but he knew one Mburu, the husband of Dorcas and he attended their wedding. And that they had four daughters. The witness stated that he did not know other two ladies.

The witness gave a name of Macharia's mother as Waithira and not Njeri. I note the manner and the demeanor of this witness when he testified. He was not a straightforward witness either he was not forthcoming or due to age he was not with clear memories of the past events. He appeared to be in confused state. The court was unable to place much reliance on the evidence tendered by him.

However, I have considered the evidence tendered by the Petitioner in its totality when arriving at my decision. This is the case of Petitioner Dorcas Wangari Macharia.

The Petitioner and both the Objectors have filed their written submissions and cited decisions in support of their arguments. This I have taken account of and have fully considered when arriving at my decision.

As it is not in dispute that the Petitioner married the deceased in a church ceremony under the Marriage Act. I hold that Dorcas Wangari Macharia was the validly married wife of the deceased and hence entitled with her daughters to the estate of the deceased.

Whether she and her daughters are the only ones to inherit is the main bone of contention. Both the Objectors claim to be the widows of the deceased having married the deceased under Kikuyu Customary Law and having lived with him as such and bore him children. They claim a share of the estate as well.

A number of decisions have been cited. I accept that the decision made by all three judges of the appeal in the case of *Njoki v Matharu and others* civil appeal number 71 of 1989 is a very well deliberated decision which is applicable in various degrees to the case now before the court.

Kneller JA observed a reading of all judgment of *Yawe*'s appeal leads me to believe that it was held:

> "(i) The onus of proving customary law marriage is on the party who claims it.
>
> (ii) The standard of proof is the usual one for a civil action, balance of probabilities.
>
> (iii) Evidence as to the formalities required for a customary law marriage must be proved to the above standard."

Having these principles in mind I venture to consider the evidence adduced by the court by the First and Second Objectors and the Petitioner in respect of their claim.

To deal first with the evidence tendered by and on behalf of the First Objector I find that on the balance of probability this Objector has established that:

> "1. She met Macharia in April 1976 and lived with him till his death.
>
> 2. The three children were named after the deceased and all expenses relating to their birth and subsequent upbringing were borne by the deceased who treated them as his children and the deceased had taken them into this family.
>
> 3. The First Objector was fully maintained by Eliud Macharia who had provided her a house to live in and the material needs including a car for her use.

4. The deceased and the Objector lived and moved together in Nairobi and environs.

5. As far as the evidence relating to a customary marriage is concerned it is challenged by the Petitioner. However on the balance of probability it is established to the court's satisfaction that the money for dowry had been paid and a ceremony was performed at which a goat was slaughtered. The elders from Mr Macharia's were not present but the elders of the bride's side were there.

6. All the photographs establish a family relationship of Macharia and his family and the family of the Objectors numbers 1 and 2."

There is ample evidence on Court's record which leads to a presumption of marriage but this alone it is contended by the Petitioner is not sufficient to establish a marriage, unless an actual customary marriage is established by the performance of the Kikuyu Customary rites.

It might well be that these two ladies were wives in Nairobi and were not acquainted to all the relatives of the deceased at his home. It might well be it were secret marriages and the Objectors did not wish to take the advantage of the deceased absence; the deceased not being alive to give them legitimacy and protection. It might well be that the Petitioner knew of the other wives yet did not want to raise the issue as she was well provided for and did not care to and dare not challenge the husband when still alive.

The Second Objector Agnes Wambui is forth-coming and candid. She had come to know the deceased in 1978 when she was a University student. Having seen and heard this Objector I am impressed by her demeanor. I readily accept her version of the events. She had started working for the deceased company in Administration and Finance Department and he provided her with a nice house, expensive furniture and a car and ultimately she produced a daughter. It is evident from the Exhibit W1. An Easter Card wishing joy to Agnes – (*supra*) that husband and wife's relationship were in place and the husband was longing for the birth of a son from her. The card has Eliud Macharia's photograph on top and daughter at the bottom of the Card.

In March 1991 when she was at her home Macharia told her mother in presence of an uncle of hers called Gachai (now deceased) and a friend Kinyanjui about his desire for her. He gave her mother KShs 2 000 as part payment and expressed his desire to marry her. Again on 27 December 1982 Macharia visited her home in Nyeri and gave her mother a sum of KShs 10 000 part payment for dowry.

In December 1983 a further visit was made when the deceased expressed his wish to visit in Easter as well to finalise the matter.

I find Agnes Wambui quite frank and forth-coming in her narration of events of her relationship with Macharia. Under cross-examination by Mr *Ibrahim* she concedes that she married Macharia in 1981 under Kikuyu Customary Law. The only steps having been taken was payment of dowry. He was to come after Easter. There was no other ceremony. The intention was there but he died before he could come.

All the photographs exhibited in this case by the Objector number 2 clearly exhibit a cordial and family relationship between the deceased and this young lady and their child. For the child her mother the father provided all the money required for expenses and up-keeps prior to the birth of child and subsequent to it.

It is also evident that three daughters of the Petitioner Dorcas Wangari were present at the birthday party of Njeri, Agnes Wambui's daughter and at this

party Terry Wacheke was also a participant with her children. What is missing from the photographs was the wife Dorcas Wangari. Was she being kept in the dark as to the new relationships of her husband with Terry and Agnes? Did her daughters not inform her? What were these relationships or is it that Dorcas Wangari Muigai did not want to know about the cruel and sad reality? She was hoping in time this all would fade away. These are vital questions for consideration when arriving at a decision.

I have dealt with the evidence of Terry Wacheke. It is noteworthy that Terry Wacheke is the only one who produces a male child. As in respect of the other children so in this respect, the birth certificate of this child Exhibit 4, gives the child's name as Macharia and the father's name and surname as Eliud Muigai Macharia. The mother of the child in Exhibit 5 in Nairobi Hospital's statement is described as Mrs Terry M Muigai.

The main bone of contention between the Petitioner on one side and the both Objectors Terry and Agnes Wambui is the major issue. Are these two Objectors the wives of the deceased Macharia?

In *Njoki*'s case (*supra*), Justice Madan put a liberal interpretation when determining what is a marriage. In the case between *Njoki v Kinyanjui and others*, the judge observed that:

> "It was not in dispute that Mary Njoki was not married to the deceased in any recognised manner. She herself told the court that no marriage ceremony of any kind was performed between them. The issue before the court between Njoki and the plaintiffs was whether Njoki was entitled to a share in the deceased's estate as his widow by virtue of their long cohabitation, association and sexual intercourse between her and the deceased as they lived together as husband and wife for six years from 1969 to 1975. She was saying to the court that a presumption of marriage arose from long cohabitation and repute that she was the deceased's wife, sometimes referred to [as a] 'common law wife' ".

The Public Trustee took no part in the proceedings. The Learned Judge held that Mary Njoki was not the wife of the deceased, she was not entitled to inherit any part of his estate.

The *viva voce* evidence in the court below was to the following effect: John Kinyanjui Matharu, Gabriel Kaara Matharu agreeing with him, told the court that he came to know Njoki through the Public Trustee after the death of his brother when she said she was married to the deceased, he was surprised to hear her claim. The deceased lived in Lavington prior to his death. He and the deceased used to visit each other. Kinyanjui used to see him with many girl friends, including Mary Njoki. None of them lived with him. The deceased did not introduce him to her. If they were married he, his mother, and the family members would have known about it, they would also have been involved in any marriage negotiations but they never were. He was not aware that the deceased was living with a woman as his wife, nor was he living with Mary Njoki. He saw her once when they visited him at Eastleigh together with another girl. He was introduced to the two ladies by name. He did not see Mary Njoki again. He did not see the deceased with her at Kiganjo. The deceased brought her to his home in 1974 after the death of their father. Mary Njoki did not have a child.

Gabriel was different. He said he did not know if Mary Njoki was married to the deceased though to his knowledge the deceased never married, that Mary Njoki was not staying with the deceased when he died. Mary Njoki said she wanted to formalize their marriage. They discussed it. He used to say he was

getting ready. He wanted to formalise customarily in 1974. But the two families never met for any kind of ceremony owing to his brother's death. There was no *Njurio*, nor *Ruracio*. There was no settlement of dowry, and the clans never met for any kind of dowry. She used her maiden name throughout.

The Learned Judge went on to the question of presumption in marriages and referred to the following passage:

> "The concept of presumption of marriage is not new in Kenya. It was recognised and accepted by the former Court of Appeal in *Yawe v Public Trustee* in civil appeal number 13 of 1976, and by this court in *Muli and another v Mutunga* civil application number NAI 17 of 1983".

In *Yawe* Mustafa JA delivering the leading judgment of the court said that there is nothing in Kikuyu customary law opposed to the concept of presumption of marriage. Wambuzi P said (Ibi) the presumption has nothing to do with the law of marriage as such, whether this be ecclesiastical, statutory or customary. The presumption is nothing more than an assumption that the parties must be married irrespective of the nature of the marriage actually contracted. I would add also irrespective of marriage if one is not actually contracted.

It is a concept born from an appreciation of the needs of the realities of life when a man and woman cohabit for a long period without solemnising their union by going through a recognised form of marriage, then a presumption of marriage arises. If the woman is left stranded either by being cast away by the "husband", or because he dies, occurrences which do happen, the law, subject to the requisite proof, bestows the status of "wife" upon the woman to enable her to qualify for maintenance or a share in the estate of her deceased "husband".

It is a concept which is beneficial to the union of marriage, to the status of the parties and to the issue of their union. *Yawe* (*supra*).

Justice Madan concluded his long and reasoned judgment. I note the following words:

> "The Learned Judge failed to appreciate that Mary Njoki's detailed evidence raised an indefeasible probability that her evidence was true. It was corroborated by the evidence of the brother John that the deceased visited him with Mary Njoki in Eastleigh, and John used to see him with her. John admitted knowing that Mary Njoki did not have a child. In the words of Wambuzi P, *Yawe* (*supra*) Mary Njoki had shown long cohabitation and repute so as to give rise to a presumption in her favour that she was married to the deceased.
>
> For these reasons I would set aside the decree of the High Court and substitute therefore a declaration that there was a presumption in favour of Mary Njoki that she was the deceased's wife and entitled to share in his estate. I would affirm her share of the estate at thirty per centum as fixed by the Public Trustee."

I am conscious of the fact that the two other Learned Judges gave dissenting judgment which determined the fate of Mary Njoki. I now venture to proceed to identify and apply the reasoning of the majority view and apply the principles very well enunciated therein to the present puzzle.

Mr Mohamed Ibrahim also contends that in terms of the the provision of section 37 of the Marriage Act the First Objector was not married to the deceased. I now venture to apply the principles above identified so as to arrive at a decision as to whether or not both or any of these two Objectors satisfy the test to be declared as wife/wives.

The judgment of Kneller J lays down the test, I apply, these conscious of the fact that each case is to be determined in the light of its own peculiar facts.

Njoki's case is distinguishable from the case of the two Objectors in certain aspects. The evidence tendered by the First Objector Agnes Wambui I find a frank and a correct narration of events. The Petitioner Dorcas's testimony in no way diminishes the quality of the evidence tendered by the Objectors. The burden of proof is upon both Objectors to prove their case on the balance of probability. (As per Kneller JA (*supra*).

Applying this principle on the totality of the evidence I am satisfied on the preponderance of probability that the First and Second Objectors have discharged this burden to the court's satisfaction as I find that dowry has been paid and customary ceremony had been sufficiently performed in respect of Terry Wacheke. In the case of Agnes Wambui a part of dowry had been paid. All other things were in place except the actual ceremony. This could not take place due to an Act of God. The design and presumption makes it so. To hold otherwise would amount to denial of the obvious and a compulsive presumption in favour of the both Objectors.

The Administration of the Estate is to be carried out in conformity with section 3 of Law of Marriage Act. Section 3(5) of the law of Succession Act came into effect in 1981 (Act number 10 of 1981 – Statute Law (Repeals and Miscellaneous Amendment Act). It provides:

> "Notwithstanding the provision of any written law, married women under a system of law which permits polygamy is when the husband has contacted a previous or subsequent monogamous marriage to another wife for the purpose of this Act and particular sections 529 and 40 thereof, and her children and the children within the meaning of this Act".

I therefore hold that section 37 of the Act does not bar the two subsequent wives for the purposes of the Succession. A presumed Marriage, it is noted, under Kikuyu Custom, also amounts to a system of marriage which permits polygamy. I find little merit in the reasoning of the Petitioner's counsel in respect of Administration matters and to bar both of the Respondents for the purpose of Succession.

Both the Respondents are defendants under section 29 of the Law of Succession Act.

I have already held that the children of both Objectors Terry Wacheke and Agnes Wambui are the children of Macharia Muigai, deceased. I answer the issues before me thus:

> "1. Yes
>
> 2. Yes
>
> 3. By the Trustees Department, Kenya Commercial Bank Limited Nairobi.
>
> 4. Yes
>
> 5. Yes".

The court is aware of the fact that the first wife Mrs Dorcas Muigai has spent most of her life with the deceased and gave birth to five daughters. I cannot also close my eyes to the fact that Terry Muigai the second wife for her said companionship to the deceased and in addition presented him with three children, one being Muigai Junior in whose quest the deceased travelled far and wide.

Mrs Agnes Muigai was the late Muigai's last find but one of which he was extremely fond of. His correspondence to her amply described his tender feelings for her and his wish for a son. The photographs do not lie. These lend further credence to the case of Agnes Wambui.

Taking everything into consideration, the court makes the division of the Estate in the following manner:

"1. Dorcas Muigai's house 50%

2. Terry Wacheke Muigai's house 30%

3. Agnes Wambui Muigai's house 20%".

in the event of special circumstances and the nature of this litigation, each party to bear its own costs.

Orders accordingly.

For the Applicant:
PK Muite instructed by Waruhiu K'Owade & Ng'ang'a Adv

For the Respondents:
Information not available

Muniu v Giovanni
[1995–1998] 1 EA 218 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	26 June 1998
Case Number:	216/97
Before:	Tunoi, Lakha and Pall JJA
Sourced by:	LawAfric
Summarised by:	HK Mutai

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[1] Civil procedure – Application for stay of execution – Circumstances under which rule can be invoked – Rule only applicable where decree has been sent for execution to court other than the one passing the decree – Order XXI, rule 22 – Civil Procedure Rules.

[2] Civil procedure – Application to set aside ex parte judgment – Exercise of court's discretion – Principles to be applied in deciding whether or not to interfere in court's exercise of discretion – Whether lower court had misdirected itself in the exercise of its discretion.

[3] Limitation of actions – Tort – Suit filed more than three years after cause of action accrued – Ex parte order extending time obtained by plaintiff – Application to set aside ex parte order – Whether an application to set aside could be heard at an interlocutory stage – Sections 4(2) and 27 – Limitation of Actions Act (Chapter 22).

Editor's Summary

The respondent sustained serious injuries when the vehicle he was travelling in was involved in a collision with another vehicle. At the time of the accident the vehicle, which belonged to the appellant, was being driven by the appellant's servant or agent. By a plaint dated 12 October 1994, the respondent sued the appellant seeking special and general damages for the losses he had incurred

as a result of the accident. The plaint alleged that the accident was caused by the negligence of the respondent's servant or agent. In his defence the appellant, *inter alia*, admitted being the owner of the vehicle at the material time but denied that there had been any negligence on the part of his agent. The defence also pleaded limitation in that the suit had been filed more than three years after the cause of action had arisen and, as such, the suit was barred by section 4(2) of the Limitation of Actions Act. The case was set down for hearing and, though counsel for the appellant was served with hearing notice, there was no appearance by or on behalf of the appellant. The suit proceeded in the absence of the appellant and judgment was entered against the appellant in the sum of KShs 783 980.

On 15 December 1995, the appellant applied under Order IXB, rule 8 and Order XXI, rule 22 of the Civil Procedure Rules for a stay of execution and for orders setting aside the *ex parte* judgment and all consequential orders. In her supporting affidavit, the appellant's counsel averred that she had not attended court on the date set for hearing because the date had mistakenly not been noted in her diary. On 19 June 1996, the application was dismissed with costs. The appellant now appealed on the grounds that the Judge had erred in law in finding that no good reason had been shown for setting aside the *ex parte* judgment and in failing to find that the question of limitation could only be argued at the hearing of the suit.

Held – Order XXI, rule 22 could only be invoked where a decree had been sent for execution to a court other than the court that had passed the decree. In such instances, the executing court could grant a temporary stay of execution for a reasonable time to enable the judgment debtor to apply to the court which had passed the decree or an appellate court with jurisdiction for an order for stay of execution. In this instance, the Order would therefore have no application as the executing court was going to be the same as the one which passed the decree.

The Judge erred in holding that once an *ex parte* order under section 27 of the Limitation of Actions Act had been obtained by a plaintiff and served on a defendant, the defendant had to take steps at an interlocutory stage before the hearing of the suit to set it aside. An *ex parte* order was merely provisional and a defendant served with such an order could only have it set aside at the trial of the suit (*Cozens v North Devon Hospital Management Committee* [1966] 2 All ER 799 adopted). In this instance, by refusing to set aside the *ex parte* judgment, the Judge had deprived the appellant of the opportunity to argue at the trial that the respondent was not entitled to file the suit out of time.

An appellate court ought not to interfere with the discretion of a judge unless it was satisfied that the judge had misdirected himself in some matter and as a result arrived at a wrong decision, or unless it was manifest from the case as a whole that the judge was clearly wrong in the exercise of his discretion and that as a result there had been injustice. The court's discretion was intended to be exercised to avoid injustice or hardship resulting from accident, inadvertence or excusable mistake or error (*Mbogo v Shah* [1968] EA 93 followed). Unless and until a court had pronounced judgment on its merits or by consent, it had the power to revoke the expression of its coercive power where it had been obtained only by a failure to follow any rule of procedure (*Evans v Bartlam* [1937] 2 All ER 646 adopted). In this instance, the appellant's counsel was an advocate with an impeccable record and the explanation given by her as to why she failed to attend the suit's hearing should have persuaded the Judge to exercise his discretion in her favour.

Appeal allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Mbogo v Shah [1968] EA 93

Patel v EA Cargo Handling Services Ltd [1974] EA

Shah v Mbogo [1967] EA 116

United Kingdom

Cozens v North Devon Hospital Management Committee [1966] 2 All ER 799

Evans v Bartlam [1937] 2 All ER 646

Judgment

TUNOI, LAKHA AND PALL JJA: On or about 6 April 1990 at about 5:45am Medicino Giovanni (the respondent) was travelling along Limuru Road to Nairobi as a passenger in motor vehicle registration number KXX 138 belonging to Joseph Njuguna Muniu (the appellant) and driven by his servant and/or agent when the said vehicle was involved in a collision with another vehicle. As a result the respondent suffered serious personal injuries. The accident was caused as alleged by the respondent, through the negligence of the defendant's servant or agent as he was driving at the time of the accident at a speed which was excessive in the circumstances, without having any proper control of the vehicle, failing to keep any look out and driving (*inter alia*) without due care and attention. By his plaint dated 12 October 1994, the respondent sued the appellant for general and special damages.

By his defence dated 24 November 1994 the appellant admitted that at the material time he was the owner of the said motor vehicle and that his vehicle was involved in the accident subject matter of this suit but denied that there was any negligence as alleged or at all on the part of his servant or agent. The appellant also denied that the respondent was a lawfully travelling passenger in his vehicle. He specifically pleaded limitation as the alleged cause of action subject matter of the suit had not arisen within 3 years before the action was brought to court. He went on to plead that as such the suit was barred by virtue of section 4(2) of the Limitation of Actions Act (Chapter 22) of the Laws of Kenya.

It was also alleged in the defence that the accident was wholly caused or substantially contributed to by the negligence of a third party driving motor vehicle number KYB 425. The appellant also denied that the respondent had suffered any injuries or was entitled to any general or special damages.

The suit was set down for hearing in the superior court for 15 November 1995.

Counsel for the appellant was served with hearing notice for that date. However on 15 November 1995 there was no appearance by or on behalf of the appellant. The suit proceeded to hearing in the absence of the appellant. The suit proceeded to hearing in the absence of the appellant. On 29 November 1995 Osiemo J entered judgment for the respondent for KShs 783 980 by way of general and special damages together with costs and interest.

On 15 December 1995, the appellant applied by a chamber summons under Order IXB, rule 8 and Order XXI, rule 22 of the Civil Procedure Rules for orders to set aside the said judgment and all consequential orders. The respondent also sought an order for stay of execution pending determination of the chamber summons.

Here, we may remark that Order XXI, rule 22 can be invoked only if the decree has been sent for execution to a court other than the court by which the decree was passed; then the executing court may grant a temporary stay of execution of such decree for a reasonable time to enable the judgment debtor to apply to the court which passed the decree or to any court having appellate jurisdiction in respect of that decree or the execution thereof for an order for stay of execution.

In the instant case Order XXI, rule 22 would have no application as the executing court is going to be same as the one which passed the decree. We have noted that quite many advocates misread this rule. Of course the court which has passed the decree may stay it, if the circumstances warrant, in the exercise of its inherent powers. The advocates should note it for future guidance.

Now going back to the appellant's chamber summons, Miss Zaherabanu *Janmohamed* by her affidavit filed on the said 15 December 1995 in support of the chamber summons stated that although she had been engaged to conduct the hearing of the suit on behalf of the appellant, she did not attend at the hearing, because by mistake the hearing date had not been noted in her diary and consequently she was not aware that the suit was to be heard on 15 November 1995. Mwera J who heard the said chamber summons by his ruling delivered on 19 June 1996, dismissed that application with costs. The learned Judge said:

> "Having considered all the above i.e. the submissions, the affidavits the cases cited and particularly the plaint and defence, this court is not satisfied that the orders herein be granted. For whatever defence was worth, it was filed on 20 November 1994. Looking at it shows that the real point of contention was that another motorist was the cause of the accident in which the plaintiff herein was injured. As for limitation of action the court heard that due orders were obtained and served on the defendant. This was not denied or rebutted. So in essence only the shifting of blame to the driver of motor vehicle KYB 405 remains. Now this could be a subject of third party notice which the defendant/applicant has never taken out".

The learned Judge went on to say:

> "A hearing notice was issued and received. Only it was not entered in the main diary. This was forgotten or overlooked. The court does not know by who and why. A due affidavit could have assisted but there was none. So should it go that since an advocate's error or oversight should not be visited on his client and for that alone the judgment herein be set aside? What of the indolent, reckless indifferent or otherwise unjust acts of some lawyers to the detriment of one party? Some concrete justifiable and excusable reason ought to be put forth for this court to exercise its jurisdiction under Order IXB, rule 8. And here there appears none".

Aggrieved by the said ruling of the superior court the appellant now appeals. The burden of the appellant's memorandum of appeal is that the learned Judge erred in law in failing to find that no good ground had been shown by the appellant for setting aside the *ex parte* judgment and that the learned Judge failed to find that the question of limitation could have been argued only at the hearing of the suit.

On the issue of limitation the learned Judge held that as the respondent obtained and served the appellant with "due" *ex parte* order extending the period of limitation under section 27 of the Limitation of Actions Act (Chapter 22) which the appellant neither denied nor rebutted, the only issue remaining as raised by the appellant's defence was that the driver of motor vehicle number KYB 405 was to be blamed for the accident and not the appellant had not taken out. Obviously what the learned Judge meant was that once an *ex parte* order

under section 27 has been obtained by a plaintiff, and served on the defendant the defendant must take steps at an interlocutory stage before the hearing of the suit to set it aside and if he does not do so, the order although obtained *ex parte* becomes final. With due respect to the learned Judge such an order obtained *ex parte* is merely provisional and there is nothing final about it. Defendant served with that order can only have it set aside at the trial of the suit. In *Cozens v North Devon Hospital Management Committee* [1966] 2 All ER 799 Lord Denning MR said at 801:

> "Now I quite agree that in general a party affected by an *ex parte* order can apply to discharge it. We applied this rule as of course in *R v Morley (Valuation Officer) ex parte Peachev Property Corporation Ltd* recently; but the procedure under the Limitation Act 1963 is altogether exceptional. It says in terms that an application shall be made *ex parte*. This is a strong indication that the Judge is to decide the application on hearing one side only. No provision is made for the defendant being heard; and I do not think that we should allow it to be done at this stage. It must be remembered that, even when the judge grants leave, there is nothing final about it. It is merely provisional. The defendant will have every opportunity of challenging the facts and the law afterwards at the trial. The Judge who tries the case is the one who must rule finally whether the plaintiff has satisfied the conditions for overcoming the time bar. He is not in the least bound by the provisional view expressed by the Judge in chambers who gave leave".

And Dankwerts LJ at 804 said:

> "It appears to me that it would be contrary to the clear intention of the Act of 1963 if, once an *ex parte* order has been made, an application to set that order aside could be made before the trial of the action. In the result the general principle in regard to *ex parte* orders has, in my opinion, been excluded".

So, by refusing to set aside the *ex parte* judgment, the learned Judge deprived the appellant of the opportunity to argue at the trial that the respondent was not entitled to leave of the court within the framework of section 27 of the Act to file the suit out of time and as such the respondent's suit notwithstanding the *ex parte* order was barred by limitation. The appellant's defence is by means a sham or frivolous defence.

Ms *Mwangangi* counsel for the respondents submitted that the learned Judge had after going through the matter fully decided not to exercise his discretion in favour of the appellant. We are aware that we should not interfere with the discretion of a judge unless we are satisfied that he misdirected himself in some matter and as a result arrived at a wrong decision, or unless it is manifest from the case as a whole that the Judge was clearly wrong in the exercise of his discretion and that as a result there has been misjustice (per Newbold P in *Mbogo v Shah* [1968] EA 93). But, here is an officer of the court with an impeccable record as an advocate on standing in Ms *Janmohamed*. She applied to set aside the *ex parte* judgment within two weeks of it having been pronounced. She has admitted that a hearing notice for 15 November 1995 was received in her office. She has said that she had every intention to appear at the hearing of the suit but through a mistake in her office the hearing date was not noted in her diary. We know that administrative mistakes of this kind do occur in the offices of busy practising advocates and yet they have to depend upon their clerical staff for every routine or secretarial matter. The learned Judge was not impressed with her explanation because in his view the person who failed to enter the date in Miss *Janmohamed*'s diary, should have given his or her affidavit to say how and why he or she had failed to enter it in her diary. Once the Judge

had accepted that somebody had forgotten or overlooked to do so, as he did, in our view, it is not material to know who that person was and how or why he or she had forgotten. In our view the explanation given by Miss *Janmohamed* was good enough to show why she failed to attend at the hearing of the suit. There is not evidence that Miss *Janmohamed* was reckless or indifferent or that whatever she had said in her affidavit was not true. There was therefore no basis on which the learned Judge held that no justifiable and excusable reason had been offered to account for Ms *Janmohamed*'s failure to appear at the hearing of the suit.

Lord Atkin In *Evans v Bartlam* [1937] 2 All ER 646 at 650 said:

> "It was suggested in argument that there is another rule that the applicant must satisfy the court that there is a reasonable explanation why judgment was allowed to go by default, such as mistake accident fraud or the like. I do not think that any such rule exists though obviously the reason, if any for allowing judgment and thereafter applying to set it aside is one of the matters to which the court will have regard in exercising the discretion . . . The principle obviously is that unless and until the court has pronounced judgment upon the merits or by consent, it is to have power to revoke the expression of its coercive power where that has been obtained only by a failure to follow any of the rules of procedure".

In *Patel v EA Cargo Handling Services Ltd* [1974] EA 75 at 76C-E Duffus P said: "There are no limits or restrictions on the Judge's discretion except that if he does vary the judgment, he does so on such terms as may be just . . . The main concern of the court is to do justice between the parties". In *Shah v Mbogo* [1967] EA 116 Harris J said:

> "I have considered, in relation to present application, the principles governing the exercise of the court's discretion to set aside a judgment obtained *ex parte*. The discretion is intended to be exercised to avoid injustice or hardship resulting from accident, inadvertence or excusable mistake or error, but is not designed to assist a person who has deliberately sought whether by evasion or otherwise to obstruct or delay the course of justice".

There was no evidence before the learned Judge to show that the appellant was trying to delay or obstruct the course of justice. We are therefore satisfied that the learned Judge was clearly wrong in the exercise of his discretion and as a result there has been misjustice.

During the pendency of this appeal, the respondent passed away on 21 July 1997 and his widow Esther Wanjiku Medicino has been made a party in the place of the deceased under r. 96 of the Court of Appeal Rules.

The upshot is that we hereby allow the appeal and set aside the order made on 19 June 1996 by the superior court. We conditionally set aside the *ex parte* judgment and decree dated 29 November 1995 and all orders consequential thereto and order that the suit be heard on merits only in respect of the issue of limitation and extension of time and those issues of fact of which the onus is on the appellant. We grant to the appellant the costs of this appeal but the appellant shall pay the respondent's costs of the chambers summons of 15 December 1995, as ordered by the superior court.

Orders accordingly.

For the appellant:
Information not available

For the respondent:
FM Mwangangi instructed by *Mwangangi & Co*

Mutinda v Mutinda

[1995–1998] 1 EA 224 (HCK)

Division:	High Court of Kenya at Machakos
Date of ruling:	10 June 1998
Case Number:	45/94
Before:	Etyang J
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Family – Matrimonial Property – Parties married under African Customary Law – Whether subject to the provisions of section 17 of Married Women's Property Act of 1882 – Whether wife may be deemed to have made non-monetary contributions to acquisition of matrimonial property – Section 3(1) – Judicature Act (Chapter 8).

Editor's Summary

The Appellant's customary marriage to the Respondent had been dissolved pursuant to divorce proceedings initiated at the lower court. The Court however found that the Appellant was required to prove her contribution to acquisition of the matrimonial property and that she had failed to discharge this burden and could only enjoy rights of the user but not of ownership.

She appealed to the High Court.

Held – Under section 3(1) of the Judicature Act, customary law is subject to any written law which in this case is section 17 of the Married Women's Property Act of 1882 of England, a statute of general application to Kenya. *Karanja v Karanja* [1976] KLR 307 followed.

A wife can contribute to the acquisition of matrimonial property either through direct financial contributions or through non-monetary contributions. *Karanja v Karanja* [1976] KLR 307 and *Kivuitu v Kivuitu* [1988-92] 2 KAR 241 followed; *Falconer v Falconer* [1970] 3 All ER 449 and *Hazell v Hazell* [1972] 1 All ER 923 adopted.

The Appellant is deemed to have made non-monetary contributions to the welfare of their family and to acquisition of its assets and would be entitled to a share of the same under section 17 of the Married Women's property Act of 1882 of England.

Appeal allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Karanja v Karanja [1976] KLR 307 – **F**

Kivuitu v Kivuitu [1988-92] 2 KAR 241 – **F**

United Kingdom

Falconer v Falconer [1970] 3 All ER 449 – **A**

Hazell v Hazell [1972] 1 All ER 923 – **A**

Judgment

ETYANG J: Susan Kavutha Mutinda is the Appellant in this appeal. She was the wife of Justus Mutinda Masya who is Respondent. The appeal, filed through the law firm of Messrs Dauti Kibanga & Co Advocates, is against the judgment of the District Magistrate II in Kitui on Divorce Cause number 7 of 1992 delivered on the 20 May 1994. The Respondent is represented by the law firm of Messrs Njoroge & Musyoka Advocates. Mr *Kibanga* prosecuted the appeal on behalf of the Appellant. Mr *Mati* for Njoroge & Musyoka Advocates represented the Respondent.

This appeal relates only to the distribution of property and does not relate to the issue as to whether or not there was a lawful marriage between the Appellant and the Respondent and whether there was valid divorce pronounced by the Court on the 20 May 1994. Both the Appellant and the Respondent hold the view that they were lawfully married and that marriage has been dissolved. Indeed there is no appeal filed against the Magistrate's finding that the Appellant and Respondent were duly married.

After dissolving this marriage the Learned Magistrate ruled that the Appellant could not have a share in the property of the Respondent acquired during their marriage, for lack of proof. This is what the Learned Magistrate stated in his judgment, and I quote:

> "It is not obvious that if a marriage breaks down, then matrimonial property will be divided between the parties. The law requires that ownership be proved. A party can show the extent of contributions, and where possible, produce documents of title. Merely saying that you made contributions cannot be enough. In this case what I have is just one party's words against the other. The petitioner says that she made contributions, while the respondent says he bought them alone. Any of the parties is capable of buying property. It really does not matter whether or not they are engaged in gainful employment. However, in a dispute like this, the court requires that it be fully convinced as to who is entitled to what. The petitioner is at a disadvantage because she has nothing to show. She admitted that all the properties are in the name of the respondent. The situation would have been different if the properties were in their joint names. In fact the presumption now is that all the properties in dispute belong to the Respondent. As submitted by counsel for the Respondent, the petitioner could only enjoy the rights of user but not of ownership".

In my judgment the learned magistrate was in error. It is true that the Appellant and Respondent were married under Kamba Customary Law (African Customary Law). However, under section 3(1) of the Judicature Act, customary law is subject to any written law, which in this case is section 17 of the Married Women's Property Act 1882 of England, which is a statute of general application to Kenya. This Court, presided over by the Hon Mr Justice Simpson (as he then was) held in this case of *Karanja v Karanja* [1976] KLR 307 that Kikuyu Customary Law (read African Customary Law) has changed radically since the days when land belonged to the tribe and section 17 of the Married Women's Property Act 1882 of England, together with the English authorities decided there under, is applicable to an African husband and wife in Kenya, where both are in salaried employment and contributing to household expenses and the education of their children. The fact that property acquired after marriage is put into the name of the husband alone, and that the husband has evinced no intention that his wife, should share in the property, does not necessarily exclude the imputation of a trust nor preclude the wife, in appropriate circumstances, from obtaining a declaration that the property acquired by virtue of a joint venture is held on trust for them both.

There are two ways a wife can contribute to the acquisition of matrimonial property. The first is through direct financial contributions. Lord Denning MR had this to say in the case of *Falconer v Falconer* [1970] 3 All ER 449, 452 cited in the case of *Karar ja v Karanja* (*supra*) and I quote:

> "It (contribution) may be indirect, as when both go out to work, and one pays the house keeping and the other, the mortgage installments. It does not matter which way round it is . . . it does not [matter] who pays what. So long as there is a substantial financial contribution to the family expenses, it raises the inference of a trust".

And in the case of *Hazell v Hazell* [1972] 1 All ER 923 the Court of Appeal held that in order to entitle the wife to a share in the proceeds of the matrimonial home, it is unnecessary to show an agreement, express or implied, that the wife should have a share. It is sufficient if the contributions made by the wife to the family expenses were such as to relieve the husband from expenditure which he would otherwise have had to bear. It is also unnecessary to show, that if the wife had not made the contribution, the husband would have been totally unable to carry out payments towards the acquisition of the home.

The second way a wife can contribute towards the acquisition of matrimonial property is through non-monetary contributions.

The Honourable Mr Justice RSC Omolo JA in the case of *Kivuitu v Kivuitu* [1988-1992] 2 KAR 241, after reviewing the decisions in *Falconer v Falconer* (*supra*) and *Karanja v Karanja* (*supra*) had this to say at pages 247 – 248, and I quote:

> "What is clear from this line of authorities is that both spouses were found to have made financial contribution, either direct or indirect, to the purchase of the property. There is no difficulty as to what a direct financial contribution is. Either the wife or the husband has paid so much money towards the purchase of the property. Again, there is little difficulty in what an indirect financial contribution is. Where both the wife and husband are in salaried employment or one or the other of them is in business and uses the income to pay household expenses such as food, clothing, school fees and so on. Such a spouse is making an indirect contribution to the purchase of the property, because the other spouse can then use his or her income to pay for the property. What about the ordinary housewife in Nairobi and other urban areas/centers where this type of dispute is likely to occur? She remains in the house preparing food for the family, and generally keeping the house going. She ensures that the children are in a position to go to school in clean uniforms and that the husband goes to work in clean clothes, and generally attends to matters which enhance the welfare of the family. True, the money to do all these is often provided by the husband, but can it be said that such a woman is making no contribution to the family welfare and its assets? Or take the not too uncommon situation in Kenya, where the wife is left in the rural home, tilling the land and generally keeping such home going. The husband is in paid employment in an urban center and probably sends money home to the wife at the end of each month. The wife may, apart from running the home, be growing and looking after crops such as tea, coffee, maize and such like. She may even be left with the children who attend rural schools. The husband, using money from his job, acquires property in town. Can such a wife be said to have contributed nothing towards the acquisition of such property, and can only depend on the charity of the husband?
>
> For my part, I have not the slightest doubt that the two women I have used as examples have contributed to the acquisition of the property even though that contribution cannot be quantified in monetary terms. In the case of the urban housewife, if she were not there to assist in the running of the house, the husband would be compelled to employ someone to do the house chores for him. The wife accordingly saves him that kind of expense.

> In the case of the wife left in the rural home, she makes even a bigger contribution to the family welfare by tilling the family land and producing either cash or food crops. Both of them, however, make a contribution to the family welfare and assets. So that where such a husband acquires property from his salary or business, and registers it in the joint names of himself and his wife, without specifying any proportions, the courts must take it that such property being a family asset is owned in equal shares. Where, however, such property is registered in the name of the husband alone then the wife would be, in my view, perfectly entitled to apply to the court under section 17 of the Married Women's Property Act 1882, so that the court can determine her interest in the property and, in that case, the court would have to assess the value to be put on the wife's non-monetary contribution".

That is the legal position in this case. On the facts of this case there is no dispute that the Appellant and the Respondent were married under Kamba Customary Law and would, nevertheless, be subjected to the provisions of section 17 of the Married Woman's Property Act of 1882 of England.

The Appellant gave the evidence and told the Court that she was married to the Respondent in 1973 and that they stayed together for twenty two years until their separation on 28 August 1992. There were, unfortunately, not blessed with any children, a fact which, no doubt, contributed to the problems which eventually led to their divorce. She told the Court that she was a farmer and had made financial contributions towards the acquisition of their matrimonial properties. She told the Court that she helped in building matrimonial property through compensation from an accident in which she was involved in October 1992. She had been awarded KShs 10 000 and she had spent all of it in the construction of a shop. She said she had bought cement and helped in the building of the shops. She said she did not have any documents for the shop because the Respondent took them. The Respondent claimed that the Appellant had only been paid KShs 4 000 from that accident and that she had spent KShs 2 000 on clothes and KShs 1 200 on purchase of a cow, all of which the Appellant denied.

There was, however, in my view insufficient evidence upon which the Court would have held that the Appellant had made any financial contribution towards the purchase of the matrimonial property, pleaded in her petition. In agreement with the learned magistrate I would hold that the Appellant would not be entitled to a share of that property on that heading.

I have already stated that, on the authority of the decision of the Court of appeal in *Kivuitu v Kivuitu* (*supra*) the Appellant is deemed to have made non-monetary contributions to the welfare of their family and to acquisition of its assets. There is evidence from the Appellant to the effect that they got married in 1973, though the Respondent stated in his evidence that this was in 1978, and that they lived together for a long time. The Appellant gave evidence and told the Court that they stayed together for twenty two years. The Respondent stated that they lived together fourteen years. But it is the Respondent's evidence on record that the Appellant stayed at home, taking care of the home, and that he would occasionally go home to her as he had a business at Katulani Market. He said he was based in Mombasa where he was working as a civil servant in the Department of Customs, earning only KShs 3 480 per month. He did not tell the Court who, when he was away in Mombasa, was looking after his business at home. The Appellant however stated that the Respondent was away in Mombasa most of the time and she was at home, helping in building the matrimonial property which included the two shops. There is an irresistible inference that she was the one who was looking after the home and the

business. In fact I find that this was her bigger contribution to the welfare of this family and the assets.

The Respondent told the Court that he acquired a plot number 64 at Katulani Market. He also bought in 1991 parcel number Mulango/Itoleka/2419, 837 and 286. He made no reference to parcel number 2393, which the Appellant pleaded in her petition, was part of the matrimonial properties. The Respondent denied owning plot number 60A and 60B at Katulani Market. In the absence of any proof, I am unable to hold that plots 60A and 60B at Katulani Market are owned by him.

From the recorded evidence in the lower court I am satisfied, and do hold, that the Respondent acquired and owns plot number 64 at Katulani Market, land parcels Mulango/Itoleka/2393, 2419, 837 and 286 and registered them or some of them in his sole name.

After making a finding that the Appellant was the Respondent's wife, the learned magistrate was in error when he held that the Appellant would not be entitled to a share of the matrimonial property pleaded by her in the petition, and that she would only be entitled to enjoy the rights of user.

The learned magistrate was again in error when he held that, since the Appellant had not adduced proof of her financial contributions towards the purchase of the matrimonial properties, she was not entitled to claim a share of the same. He failed to hold that she had made non-monetary contributions as the Respondent's wife and would be entitled to a share of the same under section 17 of the Married Women's Property Act of 1882 of England to be determined by the Court.

This appeal therefore succeeds and it is hereby allowed in the following terms:

- The Judgment of the District Magistrate 11 Kitui Mr K O Ogolla dated and delivered on the 20 May 1994 that the Appellant cannot have a share of the Respondent's properties, is hereby set aside.
- The Appellant is entitled, under section 17 of the Married Women's Property Act of 1882 England, to a share of the following properties registered in the names of the Respondent or owned by the Respondent, namely: Plot number 64 at Katulani Market, land parcel numbers Mulango/Itoleka/2393, 2419, 837 and 286.
- These properties be valued by a valuer acceptable to both parties and, upon such valuation, the Respondent is directed to pay to the Appellant a share of the value of the property, to be determined by this Court after that valuation. The costs of the valuer to be borne initially by the Respondent but he shall be entitled to recover from the Appellant a portion to be determined by this Court.
- The valuation report to be filed within sixty (60) days from today, that is, by the 10 August 1998. This matter be mentioned before this Court on that 10 August 1998 to receive that valuation report and for further orders.
- Costs of this appeal are awarded to the Appellant. It is so ordered.

For the Appellant:
D Kibanga instructed by *Dautti Kibanga & Co*

For the Respondent:
JI Mati instructed by *Jacob Mati & Co*

Mwathi v Mwathi and another

[1995–1998] 1 EA 229 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	9 May 1986
Case Number:	123/92
Before:	Gicheru, Kwach and Shah JJA
Sourced by:	IT Inamdar
Summarised by:	A Mwanzia

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[1] Customary law – Kikuyu – Intestate succession – Unmarried deceased survived by brother and sisters – Deceased's estate comprising land – Whether sisters could inherit brother's land.

[2] Succession – Will – Author and sole beneficiary under will – Duty to show that execution of will not procured by unfair means.

Editor's Summary

The deceased died at the age of 65 years having never married. He was survived by a brother and two sisters (the respondents). The deceased owned a parcel of land. The deceased had been ill before his death and was moved to the appellant's home for baptism and later returned to his mother's house. On a second occasion, when the deceased wanted to make his will, he was moved by the appellant to his home. Two days before his death, the deceased dictated his wishes to the appellant who reduced them into writing. The deceased then thumb-printed the will and was witnessed by the appellant and his wife who were the sole beneficiaries of the deceased's estate (suit land). The appellant applied for a grant of probate of the deceased's will and letters of administration were issued to him.

The respondents made an application seeking revocation of the grant made in favour of the appellant on the ground that the will on the basis of which the grant was made was not genuine as it had not bee made by the deceased. The High Court declared the will invalid and ordered the estate (suit land) to be shared equally between the appellant and the respondents. The appellant, with leave, appealed to the Court of Appeal.

Held – The appellant, being the author of the will and also the sole beneficially under it, had a duty to do everything above board and show that he did not procure the execution of the will by unfair means. The High Court Judge was right in revoking the grant and declaring the will invalid (*Wintle v Nye* [1959] 1 All ER 551 adopted).

The High Court erred in ordering the sharing of the suit land in equal shares by the appellant and respondent since according to Kikuyu customary law which governed the intestate succession of a deceased Kikuyu, sisters could not inherit their brother's land.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

United Kingdom

Wintle v Nye [1959] 1 All ER 551

Judgment

GICHERU, KWACH AND SHAH JJA: Ngugi Mwathi Wangige (the deceased) died on 9 March 1987 at Nazareth Hospital aged 65. He never married and left behind no wife or children. He was survived by a brother, Julius Wainaina Mwathi (the appellant), two sisters Beth Mbene (the first respondent) and Grace Wanjiru (the second respondent) The deceased hailed from Wangige in Kiambu District. The deceased owned a parcel of land plot number Kabete/Kibichiku/675 (the suit land).

On 7 March 1987, only two days before his death, the deceased made a will under the terms of which he bequeathed the suit land to the appellant. According to the appellant the deceased dictated his wishes and he, the appellant, reduced it into writing. It was then thumb-printed by the deceased and witnessed by among others, the appellant and his wife, Rahab Nyambura. Following the death of the deceased, the appellant applied for grant of probate of the will of the deceased and letters of administration were issued to him on 6 October 1988.

On 25 August 1989, the respondents made an application under section 76 of the Law of Succession Act (Chapter 160), seeking the revocation of the grant made in favour of the appellant on the ground that the will on the basis of which the grant was made was not genuine as it had not been made by the deceased as alleged by the appellant.

The application was heard by Bosire J who in a considered ruling held that the deceased at the time he was alleged to have made the will did not have the requisite testamentary capacity. He declared the will invalid, and ordered the estate, which comprised only the suit land, to be shared equally between the appellant and the respondents. The appellant felt aggrieved by this decision and sought leave from the Judge to appeal to this Court, which was granted.

There are five grounds of appeal the import of which is that the Judge erred in law in annulling the will and in ordering the estate to be distributed between the appellant and the respondents. Mr PS *Gatimu*, who is the appellant's advocate on record, did not attend court to argue the appeal on his behalf. Instead, he sent Mr *Momanyi*, a junior advocate, to say he was indisposed and to apply for an adjournment, which in the event was refused. Mr *Momanyi* was granted a short adjournment to study the record and argue the appeal, but when the Court reconvened he confessed he was unable to be of any further assistance to the Court. We then invited Mr Kasanga *Mulwa*, learned counsel for the respondents, to address us on the grounds of appeal.

Mr *Mulwa* submitted that the Judge was right to revoke the grant and declare the will invalid because the circumstances in which it was written and executed were suspicious and did not exclude the possibility of fraud. He drew the attention of the Court to the fact that shortly before the execution of the alleged will, the appellant had removed the deceased from his mother's house to his own house. He also pointed out that the appellant harboured considerable animosity against the respondents whom he banned from entering his house. So the real motive for moving the deceased to his house was not just to make the

will, but also to place the deceased and the whole exercise of making the will, beyond the reach of the respondents. There was evidence that at the time the deceased is alleged to have dictated the will he was quite ill and could not walk without support. Regarding the conduct of the appellant on the two occasions when he shifted the deceased from his mother's house to his own house the Judge remarked:

> "Thirdly, the conduct of the petitioner two or three days before the deceased died excites suspicion. He shifted the deceased from his mother's house to his own house for baptism. After that he shifted him back. Then when the deceased allegedly wanted to dictate his will, he shifted him again to his house. Why was all that necessary? The reasons the petitioner gave for doing so were unsatisfactory. The inference I draw for this conduct is that he did not want the objectors to know what he was doing with regard to the suit property. The petitioner was obliged to but did not demonstrate that the deceased freely and consciously dictated and executed the alleged will. He did not call evidence to exclude the possibility of him having unduly influenced the deceased to will his property to him".

As the appellant was not only the author of the will but also the sole beneficiary under it, he had a duty to do everything above board. In the case of *Wintle v Nye* [1959] 1 All ER 551, Lord Reid said at 561:

> "To tell a layman that he must be vigilant or jealous or suspicious of the evidence may not convey to his mind the weight of the onus which must be discharged if the will is to stand. In *Fulton v Andrew*, Lord Caims LC referred to the duty 'to bring home to the mind of the testator the effect of his testamentary act', and pointed out that failure to perform that duty might amount to a greater or less degree of fraud. In *Atter v Atkinson*, Sir J Wilde said:
>
> > 'The proposition, however, is undoubted that if you have to deal with a will in which the person who made it himself takes a large benefit, you ought to be well satisfied, from evidence calculated to exclude all doubt, that the testator not only signed it, but that he knew and approved of its contents' ".

That is the correct legal position in Kenya as well. On the evidence, we are satisfied that the appellant did not discharge the onus of showing that he did not procure the execution of the alleged will by unfair means, and the Judge was perfectly right to revoke the grant made in his favour and declare the will invalid. This ground of appeal accordingly fails and is dismissed.

Having annulled the will, the Judge correctly observed that the deceased's estate fell to be distributed in accordance with the law of intestacy but instead of leaving it at that, he proceeded to order that the appellant and the respondents, as the only surviving persons beneficially entitled to the deceased's estate, should share the suit land in equal shares. This part of the Judge's order cannot be sustained. The intestate succession of a deceased Kikuyu is governed by the Kikuyu customary law. The asset involved is a piece of land and the matter must therefore be determined by the Kikuyu customary law relating to land inheritance. As we have already said, the deceased died leaving no wife or children. He was survived by one brother and two sisters. The Kikuyu customary law on devolution of land is notorious and courts can take judicial notice of it, thereby dispensing with the need to prove it by evidence.

In the *Restatement of African Law* 2 (the Law of Succession) by Eugene Cotran, the relevant Kikuyu customary law is stated at 14 as follows:

> "4 Estate of an unmarried man
>
> The property of an unmarried man, whether land, livestock or movables, is inherited as follows:

(a) by his father, if alive, or, in his absence,

(b) shared equally among his full brothers; or in their absence,

(c) shared among his half-brothers; or, in their absence, and so on".

From the above extract, it will become plainly obvious that among the Kikuyu, sisters cannot inherit their brother's land. So the order made in favour of the respondents must be set aside as it is contrary to law. We allow the appeal on this ground only. We accordingly set aside this part of the Judge's order by which he gave the respondents a share in the suit land. To that extent only the appeal succeeds. The estate of the deceased will be dealt with according to the customary law governing the intestate succession of a deceased Kikuyu. We make no order as to costs.

For the appellants:
PS Gatimu

For the respondents:
K Mulwa

Nairobi Permanent Markets Society and others v Salima Enterprises and others

[1995–1998] 1 EA 232 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	24 October 1997
Case Number:	185/97
Before:	Omolo, Pall JJA and Bosire AJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Civil procedure – Injunctions – Locus standi – *Interest in suit land – Whether interest in suit land entitling party to seek injunction has been shown.*

[2] Land – Registered land – Certificate of title – Evidence of ownership – Grounds on which title can be challenged – Section 23 – Registration of Titles Act (Chapter 281).

Editor's Summary

The second to twelfth appellants were permanent and temporary stall owners within the Westlands Permanent City Council Market situated on a parcel of land known as land registration number 1870/45/IX. Some time in 1965, the Nairobi City Council subdivided the said piece of land and leased a portion thereof to the first respondent. The lease was subsequently registered under the Registration of Titles Act on 9 August 1995. The second to twelfth appellants, who were all members of the first appellant, sued the respondents before the High Court seeking a declaration that the lease of the suit land by the Nairobi City Council to the first respondent and its subsequent registration by the Registrar of Lands were unlawful.

The appellants' plaint contended, *inter alia*, that the lease was unlawful on the grounds that it had not been signed by the then Mayor of Nairobi nor did it carry the seal of the Council and that the Nairobi City Council had not complied with the conditions on which the government had granted it the land. Following an interlocutory application by the appellants, the High Court on 20 December 1995, made an interim order that the parties maintain the *status quo*.

On 2 February 1996, the first respondent applied for a review of the order on the grounds, *inter alia*, that it had a valid registered title and that the appellants had been evicted from the suit land on 14 December 1995 on the orders of the Chief Magistrate's Court. On 27 March 1996, the High Court vacated the order of 20 December 1995. The appellants now appealed on the grounds that the leasing of the suit land by the Council had prejudiced their rights as stall holders, that the learned Judge erred in holding that they had no *locus standi* and in holding that they had failed to establish a *prima facie* case.

Held – Under section 23 of the Registration of Titles Act, a certificate of title issued by the Registrar to any purchaser of land was to be taken by the courts as conclusive evidence that the person named therein was the absolute and indefeasible owner thereof. That title was not subject to challenge except on the ground of fraud or misrepresentation to which the purchaser was a party. In this instance, it was not disputed that the first respondent had purchased the land for valuable consideration and that the land had been duly registered in its favour. There was no allegation that the company was a party to any fraud or misrepresentation perpetrated on the appellants. The order of 20 December 1995 was thus an interference in the first respondent's rights and the Judge was justified in vacating it.

The appellants had not disclosed or established any right or interest that they might have in the suit land and, in the absence of that, they could not expect a court to interfere with the first respondent's right of ownership. They therefore had no right to be heard and had no *locus standi*, *prima facie*, to bring an action against the respondents.

Appeal dismissed with costs.

No cases referred to in judgment

Judgment

OMOLO, PALL JJA AND BOSIRE AJA: By this appeal Nairobi Permanent Markets Society and the above-named 11 other appellants (the appellants) have appealed from the order dated 27 March 1996 made by Mbogholi Msagha J in High Court civil case number 3623 of 1995 in which the appellants sued Salima Enterprises Limited (the company), Nairobi City Council (the Council) and the Registrar of Lands, Nairobi (the Commissioner) on their own behalf and on behalf of some other unnamed stall owners at the Westlands Permanent Market, Nairobi for a declaration which is hereinafter alluded to.

In the plaint it was alleged that the second to eighth appellants were permanent stall owners within the Westlands Permanent City Council Market and the ninth, tenth, eleventh and twelfth appellants were temporary stall owners in the said market situated on a piece of land known as land registration 1870/45/IX. It is also alleged that the former mentioned appellant and other stall owners in that market are the members of the first appellant society. The Council subdivided the piece of land and allegedly unlawfully leased out a portion thereof namely land registration 1870/IX/170 to the company on a 99-year lease. It has been further alleged that the said lease in unlawful as the same was not signed by the then Mayor of Nairobi nor did it carry the seal of the Council. It had been also alleged that it was a condition of the Government grant of the said piece of land known as land registration 1870/45/IX that the said land would be used by the Council

only for public conveniences, a dwelling house, a covered market and for such other purposes as may be approved by the Commissioner in writing.

It was also a condition of the grant, the plaint averred, that the Council would not sell transfer or part with possession of the said land without consent of the Commissioner in writing except for letting of the market stalls on monthly basis. Although the said conditions of the grant had not been met and the lease between the Council and the company was totally irregular, the Commissioner caused the said lease to be registered, so it is alleged. Consequently the appellants, so it is further alleged, have suffered loss and damage. The appellants prayed for a declaration that the said lease in favour of the company and its subsequent registration was unlawful. They also claimed general damages.

A photostat copy of the lease subject matter of the suit is at 22 of the record of appeal. It is a lease in favour of the company for a period of 99 years from the 1 December 1965 subject to payment of a yearly rent of KShs 100 000. It was registered under the Registration of Titles Act as number IR 66597/1 on 9 August 1995.

On 20 December 1995 the learned Judge made an interim order on an interlocutory application of the appellants ordering in parties to maintain status quo with liberty to either side to apply. On 2 January1996 the company applied by a chamber summons for review of the said order of 20 December 1995. In support of that application, Francis Karani Elijah, a director of the company by his affidavit sworn on 29 December 1995, deponed that the company had not been served with any pleading, chamber summons, affidavit or a hearing notice, that he came to know about the proceedings when he saw the appellants trespassing upon the suit land; that the company had a valid registered title and it bought the suit land for 1 million shillings and paid KShs 100 000 every year as the annual rent, and that the appellant stall owners were evicted on 14 December 1995 by an order of the City Magistrate's Court.

By his ruling made on 27 March 1996 the learned Judge of the Superior Court vacated the said earlier order of 20 December 1995. The appellants have appealed from it. There are eight grounds in the memorandum of appeal. However quite a few of them are overlapping and there are one or two grounds which Miss *Weru* has abandoned. We do not therefore find it necessary to reproduce the grounds. Suffice it to say that the gist of Miss *Weru*'s argument before us was that the suit land was leased out by the Council unlawfully thereby prejudicing the rights of a number of stall holders who were in occupation of that land with the permission of the Council; that the Learned Judge erred in holding that the appellants had no *locus standi*; that the learned Judge also erred in holding that the appellants had failed to establish a *prima facie* case and that the Council by selling the suit land to the company without affording the appellants to be treated fairly. The company purchased the suit land from the Council valuable consideration and enjoys a registered title in its favour. Miss *Weru* has not disputed this. The suit land is admittedly under the operation of Registration of Titles Act. Under section 23 of that Act a certificate of title issued by the registrar to any purchaser of land is to be taken by all courts as conclusive evidence that the person named therein as the proprietor of the Land is the absolute and indefeasible owner thereof and his title is not subject to challenge except on the ground of fraud or misrepresentation to which he is proved to be a party. The company as the registered proprietor of the suit land therefore is the absolute and indefeasible owner thereof. There is no allegation that the company was a party to any fraud or misrepresentation

perpetrated upon the appellants in the acquisition of the suit land. There is no averment in the plaint that the company had any knowledge or was a arty to any irregularity in the transaction. So the company's rights of ownership cannot be interfered with by the appellants. The company paid 1 million shillings stand premium and is liable to pay to the Council one hundred thousand shillings as the annual rent. The order of 20 December 1995 ordering he parties to observe status quo was clearly an interference with company's rights of ownership and the learned Judge was justified in vacating that order.

If the Council had breached any conditions of the grant, that was a matter between the Commissioner and the Council. The appellants do not have any recourse either against the Council or against the Commissioner, in that respect. Also if the lease in favour of the company was not properly executed, the appellants cannot base this action upon that irregularity unless of course any legal right or interest enjoyed by them has been prejudiced.

The appellants have not disclosed what right or interest they had in the suit land. In the absence of that they could not expect the court to interfere with the company's right of ownership by putting a hold on its activity or development of the suit land. We fully agree with the learned trial judge that in the circumstances the appellants *prima facie* did not have *locus standi* to bring the said action for an injunction against the respondents.

The rules of natural justice would apply only where legal right, liberty or interest of an aggrieved party has been affected. We do not therefore agree with Miss *Weru* that her clients had any right to be heard unless of course they were in a position to establish some right or interest in the suit land which they have failed to do.

We therefore dismiss the appeal with costs.

For the appellants:
JM Weru

For the respondents:
Information not available

Nderitu v Nderitu
[1995–1998] 1 EA 235 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	30 June 1998
Case Number:	203/97
Before:	Kwach, Shah and Pall JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai
Appeal	High Court of Nairobi, Hayanga J

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[1] Family law – Matrimonial property – Division of assets acquired during subsistence of marriage

– Parties married under customary law – Applicability of Married Women's Property Act to customary law marriages – Property registered in name of husband – Principles to be applied in determining contribution of married woman to purchase of properties – Married Women's Property Act of 1882.

Editor's Summary

The appellant and the respondent were married under Kikuyu customary law in 1968. At the time of marriage, the respondent was in the business of selling charcoal at Eastleigh in Nairobi while the appellant became a housewife. The couple had five children. By 1992 the marriage was in difficulties and in December of that year the appellant left the respondent and filed proceedings for judicial separation. The appellant also took out an originating summons under section 17 of the Married Women's Property Act seeking a declaration that all movable and immovable property acquired during their marriage and registered in the respondent's name and/or in his possession were owned jointly by both parties in equal shares and an order that the property be sold and the proceeds shared equally between her and the respondent. In her supporting affidavit, the appellant claimed, *inter alia*, that before their marriage, the respondent had not owned any immovable property and that she had financially contributed towards the purchase of the assets and the family's welfare. In his replying affidavit, the respondent deponed, *inter alia*, that the appellant did not earn a living and that he had established his business on his own initiative and without any monetary or other assistance from the appellant. At the trial of the suit both parties gave oral evidence in support of their respective positions.

At the end of the trial, the trial Judge accepted the appellant's testimony and found that there was evidence to show that she had contributed materially to the acquisition of the property but that there was also evidence that the caesarean deliveries of the three youngest children had reduced for a period her capacity to exert herself in any gainful activity. He accordingly awarded the appellant a 50% share of the matrimonial home and 30% of the other assets acquired during the subsistence of the marriage. The appellant appealed on the grounds that the trial Judge had erred in law and in fact in not awarding her 50% of the properties in dispute.

Held – The Married Women's Property Act did not discriminate between statutory and customary law marriages and the applicability of section 17 could not be excluded simply because the parties had married according to Kikuyu custom and tradition. All that a wife needed to prove under the Act was that she was married to the husband at the time of launching her application, that the property was acquired during the subsistence of the marriage and that she had contributed directly or indirectly to the acquisition of the assets. Moreover, it was clear from the language of the section and the weight of authority that the section applied to all property and not just the matrimonial home (*Olaly v Olaly* High Court civil case number 1137 of 1994 (UR) overruled). In determining the issue of contribution, a court had to assess the value of a wife's non-monetary contribution in order to determine her interest in the disputed property (*Kivuitu v Kivuitu* [1985] LLR 1411 (CAK) followed).

(Per Pall JA) The trial Judge was right in not taking into account the question of who had been responsible for the separation of the spouses (*Cracknell v Cracknell* [1971] 3 All ER 552 adopted).

There was no medical evidence to support counsel for the respondent's contention, which was accepted by the trial Judge, that deliveries by caesarean section had incapacitated the wife in such a manner as to reduce the value of her contribution. In any case, there could be no greater contribution to the family than bearing children.

In this instance, there was evidence to show that the appellant had made an equal contribution (albeit indirect) and she was therefore entitled across the board to an equal share in all the properties registered in the husband's name.

Appeal allowed.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Essa v Essa [1995] LLR 384 (CAK)

Karanja v Karanja [1976] KLR 307

Kivuitu v Kivuitu [1985] LLR 1411 (CAK) – **F**

Olaly v Olaly High Court civil case number 1137 of 1994 (UR) – **O**

United Kingdom

Cracknell v Cracknell [1971] 3 All ER 552 – **A**

Chapman v Chapman [1969] 3 All ER 476

Falconer v Falconer [1970] 3 All ER 449

Watchtel v Watchtel [1973] 1 All ER 829

Judgment

SHAH JA: Simon Nderitu Kariuki (the respondent) and Tabitha Wangeci Nderitu (the appellant) became lawfully wedded husband and wife in 1968 under Kikuyu customary law. In 1992 or thereabouts the relations between them soured and there is a judiciary separation suit pending them, being High Court matrimonial cause 35 of 1992.

After filing the proceedings for judicial separation the appellant (hereinafter referred to as "Tabitha") took out an originating summons under section 17 of the Married Women's Property Act of 1882 of England claiming a declaration that all properties movable and immovable, acquired during the penance of the marriage by both parties are owned jointly, in equal shares, by them. She also sought other orders which would follow if the declaration sought was granted. I will henceforth refer to the respondent as "Simon".

As this is a first appeal it becomes incumbent upon me to review the evidence. Tabitha is educated up to Standard IV. When she married Simon, Simon was selling charcoal at Eastleigh in Nairobi and she was a housewife. As the charcoal business was not sufficiently lucrative, Tabitha went home, that is, to Othaya in Nyeri where she stayed until 1972 doing some small jobs. She returned to Nairobi in 1972 and joined her husband in selling second-hand clothes. The children of the marriage were also in Nairobi. Their business and the later acquired business (which will be referred to later) prospered and Simon was able to buy nine land properties, about five motor vehicles and household goods like two colour television sets, an electric gas cooker, radio, sofa set, refrigerator etc. In addition Simon acquired two farms at Tigoni being plot number 7660/89 and 7660/90. Tabitha said that she worked for Simon's business almost full time and that all the properties were acquired from the business

income and no loan was used to expand the business. In 1985 Simon

opened another business and called it Gobbs Wholesalers of which he was the sole proprietor. That is when the second-hand clothes selling business at Gikomba was closed. The business of Gobbs Wholesalers obviously thrived and Simon was able to buy several properties and the living standards of the family improved. Tabitha was collecting rents and passing the same on to Simon. Tabitha was also managing the business of Gobbs Wholesalers. After the parties parted ways, Simon would have nothing to do with Tabitha. The children are all grown up. The daughter, Susan, who is now 23 years of age lives with Tabitha. The other two children are, Antony Maina (now 27) and Samuel Mwangi (now 22). Until their separation, the parties lived at Tigoni in a five bed-roomed house. Apart from Antony, Samuel and Susan, the couple has two more children namely, Samuel Mwangi and John Gati. Susan, Samuel and John were born by caesarean sections. Tabitha denied being sickly and weak and she stated that three different caesarean section births did not affect her work for long.

Simon stated that Tabitha was just a housewife prior to 1972 and that after delivery of their third child she disappeared with the young child, leaving other children with Simon. He retrieved, through the efforts of Tabitha'a father, his cheque book and ledger book. After a family discussion, Tabitha returned to Simon in Nairobi looking "not healthy". She did not work, he said and delivered another child in October 1974. As she was weak, she could not do any work. He said he carried any other business of hawking alone after buying second-hand clothes from Asian traders. He made small profits. He bought several properties, one at Eastleigh along Wood Street. He bought another plot along Limuru Road. The one on Wood Street (now Kipanga Street) is plot number 36/sec VII/434. One along Limuru Road is plot number 309/1240. He bought also plot number 209/254/2, Nairobi. Simon was insistent in saying that Tabitha did not contribute anything towards the purchase or management of the properties or running of the business of Gobbs Wholesalers. He was emphatic that Tabitha should get nothing as she contributed nothing and that all properties were acquired after marriage. He accepted, reluctantly, that he taught Tabitha how to run the "Mitumba" (second-hand clothes) business.

The learned Judge dealt with the conflict of evidence between Tabitha and Simon by accepting the evidence of Tabitha. He said:

> "In this case there is evidence which I accept of wife selling clothes, living with children in their rural home, paying fees for the daughter in USIU and managing the wholesale business. There is however also evidence that caesarean deliveries reduce for these periods she was delivering her capacity to exert herself in any gainful activity.
>
> I accept that these properties were acquired during tendency of marriage. I am also of the view that there was no agreement that the wife was completely to be excluded from what they were acquiring. In fact the husband agrees that whatever they have is really for the children but that does not diminish the interest of the wife of the property acquired at the time of their marriage".

In my view after following decisions of this Court in *Kivuitu v Kivuitu* [1985] LLR 1411 (CAK) (although the property in *Kivuitu* case was registered in the joint names of Kivuitu) and *Essa v Essa* [1995] LLR 384 (CAK) in which case also the property was registered in the joint names of the Essas), the learned Judge correctly applied what the learned author says in *Latey on Divorce* (13 ed) at 319, para 2.686: "In the absence of a clearly declared decision the court does not consider how much one party or the other contributes but decides on equality of division".

In this particularly case there was evidence, accepted by the learned Judge, who saw and judged the demeanour of Tabitha, that she was engaged full time in helping Simon run and expand his business. I see no reason to disagree with the learned Judge on his findings of facts save in respect of his reducing the wife's share to 30% because she underwent three caesarean deliveries. There is no acceptable evidence that caesarean deliveries incapacitated her to the extent that the learned Judge thought. At least some sort of medical evidence could have helped but I am not convinced that caesarean deliveries incapacitate wives from working for such long periods as to call for a reduction of their contribution to the welfare of the business and the family. That is where, I think, with respect the learned Judge erred. Whilst the learned Judge gave a half portion of the matrimonial home to the wife he erred in giving her 30% of the other assets acquired during the substance of the marriage.

I would therefore allow this appeal and order that all the assets which are in the name of husband be divided equally between the parties. I would also order that the appellant pays wife's costs here and in the Superior Court.

PALL JA: This is an appeal from the judgment of the High Court of Kenya at Nairobi (Hayanga J) dated 25 February 1997 in its civil case 2153 of 1992 (OS).

This appellant sued the respondent in the Superior Court by way of an originating summons under section 17 of the Married Women Property Act of 1882 of England for orders that all properties, movable and immovable, acquired by the joint funds and efforts of the appellant and respondent during their marriage and registered in the name of the respondent and or in his possession are owned jointly by the appellant and the respondent. She further prayed for an order that the said properties be sold and the net proceeds of the sale be shared equally between the appellant and the respondent.

By her supporting affidavit, of 21 August 1992 the appellant deponed, and it is not in dispute, that the appellant was married to the respondent in the year 1968 under the Kikuyu Customary Law and had lived with him as his wife upto about December 1992. There are five children of the marriage who are all adults and settled in life except their daughter Susan Wambui, born in October 1974, who is still a student at the United States International University in Nairobi. She further deponed, it is again not in dispute, that before their marriage in 1968, the respondent did not own any immovable property. All the nine immovable properties and the vehicles and other movable assets mentioned in her supporting affidavit were acquired during the subsistence of their marriage. All immovable properties are registered in the name of the respondent and all the movable assets and vehicles are in his possession. She further deponed that during the period she had been living with the respondent she financially contributed towards the purchase of the assets and the welfare of the family. She thus claimed an equal share in all the aforesaid properties.

By his replying affidavit dated 26 June 1995 the respondent deponed (*inter alia*) that the Applicant did not earn a living. She was, however, looking after his father's coffee plants; that he had a piece of land approximately 3 acres which was enough to keep her busy; that he established his business of charcoal selling on his own initiative and without any monetary or other assistance from the appellant. However, he taught her how to run the "Mitumba" (second-hand clothes selling) business and allowed her to do the selling of clothes while he was looking for more clothes to sell and doing other side businesses. He also

deponed that the appellant brought the proceeds of the sale to him which he would bank in his bank account with Kenya Commercial Bank, Nairobi.

The parties also gave *viva voce* evidence. The appellant in her oral evidence, testified that three last born children born in 1972, 1974 and 1976 respectively were all delivered by caesarian sections. She however denied that she was sickly and weak because of the caesarian sections. She had attended school upto Standard IV but she knew how to do business and she could read and write. In 1972 she came back to Nairobi, to live with the respondent, from the respondent's native house at Othaya in Nyeri. When she was in Othaya she was doing small jobs for money for other people. Back in Nairobi, she started selling second-hand clothes. The respondent closed his charcoal business as it "did not suffice". By that she probably meant that it did not generate sufficient income. The respondent called her to Nairobi to be his manager for the second-hand clothes selling. Apart from the clothes selling business they did not have any other business until 1985 when the respondent opened a wholesale business known as "Gobbs Wholesalers". They, then, closed the second-hand clothes business and concentrated on the wholesale business which again she was managing. All the properties were bought with the income from their said business activities. In December 1992 when they were living in one of their two farms in Tigoni, trouble started between them and she left the respondent. She also then ceased to manage the said wholesale business. According to her the respondent had a monthly rental income of about KShs 200 000 from the said immovable properties. She further said that she knew that the respondent had given one of the said properties known as land registration 209/1233 Muranga Road Nairobi to their son, Benedict Kariuki.

The respondent in his oral testimony said (*inter alia*) that the appellant had been a mere housewife. She had not been working. In 1972 she came down to Nairobi to deliver their third child by a caesarian section. After the delivery she disappeared with the young child to her parents' house and stayed there for one year. She joined him again either late in 1973 or early 1974 and she did not look healthy. She became pregnant again and delivered their fourth child in October 1974 through a caesarian section. She was weak and could not do any work. She delivered the fifth child in 1976 again through a caesarian section. She did not work and never managed the wholesale business, he said. Also she never helped him to sell the second-hand clothes. He however, conceded that before he married, he had no property.

The learned Judge accepted the appellant's evidence that she was selling second-hand clothes and managing the wholesale business. He also accepted that all the properties were acquired during the subsistence of the marriage and that there was no agreement between the spouses that the appellant was completely to be excluded from the properties which they were acquiring. He went on to hold that where there was no such intention to exclude the appellant, the beneficial interest in any property acquired by the joint efforts of husband and wife belonged to them "jointly". He also found that the appellant was telling the truth when she said that she had been managing the wholesale business and, he thought the respondent was not being candid with the Court and was trying to conceal his capital denying the appellant's participation in the business without getting any salary. On the other hand, he accepted the appellant's evidence that she had been selling clothes, living with her children in their rural home, paying the fees for the daughter in the United States International

University in Nairobi and managing the wholesale business. He also acknowledged that her indirect contribution to the family income, looking after the children and enhancing the welfare of the family were just as important as a direct financial contribution towards the acquisition of the disputed properties. He also acknowledged that the appellant's major contribution was in respect of bringing up the children. But the learned Judge then said: "There is however evidence that the caesarian deliveries reduced for those periods she was delivering, her capacity to exert herself in any gainful activity".

He took into account that the appellant had paid the fees for her daughter alone and that there was no evidence that she paid for the fees of the other children when they were schooling. He also "took note of the delivery condition" when the appellant used to suffer and would not be really productive. For these reasons he awarded 50% share of the matrimonial home at Tigoni that is land registration 7660/89 to the appellant and so far as the rest of the property both immovable and movable is concerned he gave 30% share to the appellant and 70% to the respondent. He also ordered that all the motor vehicles should be sold and the proceeds be shared in the aforesaid proportions. So far as the wholesale business is concerned he ordered that accounts be taken in order to determine the capital value and yearly profits thereof for all the time that the business had been existing and each party's share should be calculated again in the aforesaid proportions.

There was disagreement between the parties as to who was responsible for the separation of the spouses. The learned Judge quite rightly did not take any account of that dispute. In *Cracknell v Cracknell* [1971] 3 All ER 552 Lord Denning MR said: "In determining the shares in the matrimonial home of spouses who had separated the court looked to their respective contribution and took no account of rights and wrongs of the separation".

The appellant being dissatisfied with the judgment of the Superior Court now appeals. The burden of the appellant's appeal is, so far as I can see it, that the trial Judge erred in law and in fact by failing to award 50% of all the properties in dispute to the appellant. It is also noted that there is no notice of cross appeal. Nor is there any notice by the respondent of other grounds for affirming the decision of the Superior Court.

The learned Judge correctly held that the applicability of section 17 of the Married Women's Property Act cannot be excluded simply because the marriage was according to the Kikuyu custom and tradition. (See *Karanja v Karanja* [1976] KLR 307.) He correctly followed *Kivuitu v Kivuitu* [1985] LLR 1411 (CAK) where the Court of Appeal held that indirect contribution by the wife to the family income by looking after the welfare of the family must form a basis just like a financial contribution. He rightly drew inspiration from the judgment of Omolo JA in *Essa v Essa* [1995] LLR 384 (CAK) that the burden is on the applicant to prove upon the balance of probability that she made a contribution towards the acquisition of the property in dispute.

The learned Judge having given the appellant 50% share in one property, was he justified in reducing her share in the rest of the properties to 30%?

As I have already pointed out to the learned Judge the appellant's major contribution was in respect of welfare of the children when they were young. But he said in the succeeding years she paid school fees for one child only and there was no evidence that she paid for the school fees of the other four children. This

was one reason for his reducing her share in the rest of the disputed properties. However as the learned Judge has held that the appellant was entitled to a share in both the capital and business of the respondent, it does not matter who provided for the fees of the other children. It must have come out of common fund of the family.

The other reason for reduction of the appellant's share according to the learned Judge was that because of her delivery condition, she was not really as productive as she should have been.

Apart from the respondent's bare word that the appellant was sickly and weak because of the three caesarian deliveries, there is no evidence to support him. If she was sickly and weak to the extent that she could not exert and attend to the business, one would have expected some medical evidence by way of medical bills etc. There is no such evidence. The bare word of the respondent who had already been discredited by the learned Judge as not being candid could not be relied upon to form a basis for reducing the share of the appellant to 30%. Against this evidence of the respondent, there is the evidence of the appellant denying that she was sickly and weak and because of that she was unable to work. The learned Judge having declared the appellant as a witness of truth should have held that the appellant was not sick and weak which he unfortunately did not do. Moreover, even if for the sake of argument, we accept that for sometime immediately before as well as after each delivery, the appellant was unable to exert and participate fully in the business, it was the respondent who was responsible for her pregnancies. Obviously, the appellant contributed to the enhancement of the welfare of the family as the pregnancies brought about the progression of the progeny of the respondent. He alone could not have achieved it.

Thus, in my view the learned Judge did not have any good reason to reduce the share of the appellant in respect of the rest of the properties acquired during her marriage with the respondent once having granted her 50% share in one properties. At least no such reason appears upon a careful perusal of his judgment. He misdirected himself in evaluating the evidence before him and as a result arrived at a wrong conclusion.

I would therefore allow the appeal and set aside the judgment and decree of the Superior Court to the extent it gives less than 50% share of the disputed properties to the appellant and would order that the appellant be awarded 50% of all the disputed properties subject matter of this litigation as set out in paragraphs 5 and 6 of the affidavit of the appellant sworn on 21 August 1992 in support of the originating summons. The costs of this appeal shall be borne by the respondent. I would also award the appellant costs of the originating summons in the Superior Court.

KWACH JA: Tabitha Wangeci Nderitu, the appellant, (hereinafter called "the wife") got married to Simon Nderitu Kariuki, the respondent (hereinafter called "the husband") in 1968 under Kikuyu customary law, to which they are both subject. The couple have five grown-up children, four sons and a daughter. By 1992, the marriage had irretrievably broken down and the wife filed a suit in the Superior Court for judicial separation and maintenance.

The wife also took out an originating summons, under section 17 of the Married Women's Property Act of 1882 (the Act) against the husband, seeking amongst other orders, a declaration that a number of properties (movable and immovable) acquired by joint efforts and funds of both parties during their

marriage, and registered in the sole name of the husband, and in his possession, are owned jointly by the wife and the husband. The properties in question were:

(*a*) Plot number Othaya/Kihungiru/637

(*b*) Plot number 36/11/261 Nairobi

(*c*) Plot number 36/11/384 Nairobi

(*d*) Plot number 209/1/1240 Nairobi

(*e*) Plot number 209/1692 Nairobi

(*f*) Plot number 209/1233 Nairobi

(*g*) Plot number 36/434/Vll Eastleigh, Nairobi

(*h*) Plot number 36/685/1 Eastleigh, Nairobi

(*i*) Plot number 209/2541/2 Nairobi

(*j*) The matrimonial home on Plot number 7660/89 and 90 Tigoni.

The movables consisted of five motor vehicles, two television sets, a video recorder, an electric cooker, a fridge and an assortment of household goods. The wife also claimed an interest in a wholesale business on River Road, Nairobi called "Gobbs Wholesalers", in respect of which the husband was registered as the sole proprietor.

The husband filed an affidavit in which he denied the wife's claim. Certain paragraphs of the affidavit sworn on 26 June 1995 are important and I will read them out in full. He deponed:

> "(7) That after the applicant settled in Nairobi, I instructed her on how to run the mitumba business for convenience of administration for the family purposes only. I let her do the selling while I did the looking for clothes and other side businesses.
>
> (8) The applicant brought the proceeds of the sale to me which I put in my account at the Kenya Commercial Bank, Tom Mboya Street.
>
> (11) That the properties enumerated in the applicant's affidavit are not jointly owned by the applicant and the respondent. The respondent having purchased all out of his earnings and registered them in his name and further, the applicant has no knowledge whatsoever of how the said properties were acquired. She only alleges we bought them jointly by virtue of her having been married to me".

As can be seen from his affidavit, the husband was emphatic that the wife had made no contribution to the acquisition of the assets which he regarded as his own. At the trial before Hayanga J both husband and wife gave evidence, and in a reserved judgment the learned Judge gave the wife 50% interest on the matrimonial home at Tigoni. In relation to the rest of the properties (real estate and movables) and the wholesale business, the Judge gave the wife only 30% leaving the husband 70% all the way. The wife was aggrieved by this part of the Judge's order as she felt she should have been given a 50% share in all the properties. It is against that part of the Judge's order that she now appeals to this Court. That is the bottom line or the import of the four grounds of appeal contained in her memorandum of appeal.

It is common ground that the wife is a married woman within the meaning of section 17 of the Act and that all the properties listed in the inventory of assets were acquired during the subsistence of the marriage. It is worthy of note that when the husband first met the wife, he was a mere charcoal seller, and a

hawker of sorts. The Act does not discriminate between statutory and customary law marriages. All that a wife has to show is that she is married to the husband at the time of launching her application; that the property in question was acquired during the subsistence of the marriage; and thirdly, that she contributed directly or indirectly to the acquisition of the assets. It is not enough for her simply show that during the period under review she was sitting on the husband's back with her hands in his pockets. She has to bring evidence to show that she made a contribution towards the acquisition of the properties. That is a burden she must discharge on a balance of probabilities.

I must say at once that I do not agree with the restrictive interpretation Shah J (as he then was) sought to place on the application of section 17 of the Act in the case of *Olaly v Olaly* High Court civil case 1137 of 1994 (UR) where he is reported to have expressed the view that it only covers the matrimonial home. I doubt if my brother had the benefit of full argument on the point, but be that as it may, both the clear language of the section, and the weight of authority, leave no doubt at all that the section applies to all property across the board acquired by joint contribution during the subsistence of the marriage. Hayanga J found as a fact that the wife had made indirect contribution to the acquisition of the assets but in deciding to give the wife a lower share of 30% in the properties other than the matrimonial home at Tigoni, the Judge said:

> "In this case there is evidence which I accept of the wife selling clothes, living with children in their rural home, paying fees for the daughter in United States International University and managing the wholesale business. *There is however also evidence that caesarian deliveries reduced for those periods she was delivering her capacity to exert herself in gainful activity*" (emphasis added).

Later in his judgment the Judge commented again on this point, saying:

> "The reason for this is that the wife's major contribution was in respect of the children's maintenance when they were young, but in the succeeding years they were now schooling and there was no evidence that she paid for their fees, apart from fees for the only girl out of the five children. *I have also taken note of the delivery condition when she used to suffer and when she would not really be productive*" (emphasis added).

The view urged by Mr *Gaturu*, for the husband, and accepted by the Judge, that deliveries by caesarean section somewhat incapacitated the wife and jettisoned her contribution, is not based on any medical evidence, no medical evidence having been led at the trial on this point. But even if that was the case, which it was not, the wife was putting her life at risk to augment the numerical strength of the family, and I cannot think of a greater contribution than bearing children. The wife managed the wholesale business and handed over the proceeds from the business to the husband who banked it in his personal account. The husband suggested in his evidence, and Mr *Gaturu* submitted before the Judge and before us, that since the wife had not made any direct financial contribution she was not entitled to any share. As I have already said contribution need not be only in the form of money. The court has to look at the big picture. As to how the issue of contribution is to be determined has been settled by this Court in the case of *Kivuitu v Kivuitu* [1985] LLR 1411 (CAK). In that case this Court held that the wife was entitled to a half share in the matrimonial home because she had made a substantial indirect contribution to the family income and assets by using her income to pay household expenses, to prepare food and clothing for the children, organising their schooling, and generally enhancing the welfare of the family.

There is a passage in the judgment of Omolo acting JA (as he then was), who has since joined this Court as a full member, in which he stated the law in regard to indirect contribution, which merits particular emphasis. At 248 the learned Judge said:

> "For my part, I have not the slightest doubt that the two women I have used as examples have contributed to the acquisition of property even though that contribution cannot be quantified in monetary terms. In the case of the urban housewife, if she were not there to assist in the running of the house, the husband would be compelled to employ someone to do the house chores for him; the wife accordingly saves him that kind of expense. In the case of the wife left in the rural home, she makes even a bigger contribution to the family welfare by tilling the family land and producing either cash or food crops. Both of them, however, make a contribution to the family welfare and assets. So that where such a husband acquires property from his salary or business and registers it in the joint names of himself and his wife without specifying any proportions, the courts must take it that such property, being a family asset, is owned in equal shares. Where, however, such property is registered in the name of the husband alone then the wife would be, in my view, perfectly entitled to apply to the court under section 17 of the Married Women's Property Act of 1882, so that the court can determine her interest in the property and in that case, the court would have to assess the value to be put on the wife's non monetary contribution. I can find nothing in *Chapman v Chapman* [1969] 3 All ER 476, *Falconer v Falconer* [1970] 3 All ER 449, or *Karanja v Karanja* [1976] KLR 307, which would force me to the conclusion that only monetary contribution must be taken into account. Any such limitation would clearly work an injustice to a large number of women in our country where the reality of the situation is that that paid employment is very hard to come by. The case of *Watchtel v Watchtel* [1973] 1 All ER 829 provides full support for this position".

This passage, which I fully endorse and adopt chapter and verse, kills two birds with one stone, so to speak. It settles what the law is in Kenya on the point of indirect contribution and also provides a full answer to Mr *Gaturu*'s submission. A wife's contribution, and more particularly a Kenya African wife, will more often than not take the form of a backup service on the domestic front rather than a direct financial contribution. It is incumbent therefore upon a trial Judge hearing an application under section 17 of the Act to take into account this form of contribution in determining the wife's interest in the assets under consideration.

In the final analysis, both on the evidence and the weight of authorities, the wife proved that she made an equal contribution, albeit indirect, as the husband, and she is entitled across the board to an equal share in all the properties registered in the husband's name. That being the case I am unable to see the basis upon which the Judge decided to give her only 30%. In doing so, he was clearly wrong and that part of his order cannot be allowed to stand. I would allow this appeal, set aside that part of the order giving the wife 30% interest over designated properties and assets and substitute therefor an order giving her 50% share across the board except plot number 209/1233 Muranga Road, Nairobi, in respect of which Benedict Kariuki, a son of the couple, is the registered proprietor. The Judge did not advert to the issue of registered proprietor. The Judge did not advert to the issue of costs. The wife is entitled to her costs on the motion. I would also award her the costs of this appeal.

As Shah and Pall JJA also agree, this appeal succeeds and is allowed. That part of the order of Hayanga J by which he gave the appellant only 30% interest in the properties and assets in dispute is hereby set aside and substituted by an

order giving the appellant 50% across the board except plot number 209/1233 Muranga Road, Nairobi. The appellant will also have the costs of the motion and of the appeal.

For the appellant:
Information not available

For the respondent:
ET Gaturu instructed by *Muthoga Gaturu & Co*

Nguru and another v Rakwar
[1995–1998] 1 EA 246 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	23 December 1998
Case Number:	133/98
Before:	Omolo, Tunoi and Shah JJA
Sourced by:	IT Inamdar
Summarised by:	HK Mutai

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[1] Civil procedure – Pleadings – Amendment of plaint – Plaint amended after interlocutory judgment entered against first defendant.

[2] Damages – Quantum – Injuries sustained as a result of a motor accident – Loss of earnings – Future medical expenses – Principles to be applied in determining quantum of damages – Principles to be applied in deciding whether or not to interfere with a lower court's decision – Whether damages for loss of earnings could be awarded without being specifically pleaded and proved.

Editor's Summary

The respondent was involved in an accident which occurred when the motor vehicle in which he was travelling as a passenger overturned. At the time of the accident, the vehicle was under the control of the second appellant and being driven by the first appellant. The respondent filed suit against the appellants seeking special and general damages for the serious injuries that he sustained. Though served with summons and the plaint, the first appellant failed to enter an appearance and interlocutory judgment was entered against him. The second defendant, on the other hand, entered appearance and filed a defence on 18 February 1994, denying liability and putting the damages in issue. On 24 October 1994, issues were settled and the suit was set down for hearing on 12 June 1997. On that date the plaint was amended by consent of the respondent's and the second appellant's counsel to include, *inter alia*, a prayer for future medical expenses.

The hearing concluded on 15 October 1997 and judgment was delivered on 11 December 1997. The trial Judge found in favour of the respondent and awarded him a total sum of KShs 6 739 210 being general damages for pain, suffering and loss of amenities, loss of future earnings and future medical expenses. On appeal, counsel for the appellants took issue with the trial Judge for entering judgment against both defendants on the basis of the amended plaint when some of the claims were

included after the interlocutory judgment against the first appellant had already been entered. He also argued that the award for

pain and suffering was far in excess of what was justifiable having regard to comparable cases.

Held – When a vehicle overturned, it was for the driver to explain the reason for such overturning and, in the absence of a reasonable explanation connoting no negligence, there was a presumption that the driver had been negligent.

Counsel for the appellants was right in arguing that the plaint as amended ought to have been served on the first appellant so as to make him liable in respect of the whole judgment as the second appellant's liability, being vicarious, depended on the first appellant's liability. In this instance, since the issue of vicarious liability was not contested, the issue was not now relevant.

The award of damages by a court had to be within limits set out by previous, recent and comparable cases and also within limits the Kenyan economy could afford (*Mohammed and another v Mohumed* [1997] LLR 2557 (CAK) and *Kigaragari v Aya* [1983] LLR 161(CAK) followed).

In deciding whether or not to interfere with a lower court's award of damages, an appellate court had to be satisfied either that the Judge, in assessing the damages took into account an irrelevant factor or left out a relevant one, or that the amount was so inordinately low or so inordinately high as to be a wholly erroneous estimate of the damages (*Zein and another v Mutua* [1994] LLR 353 (CAK) followed).

In this instance, the plaintiff had suffered 100% disability as a result of the accident and, in awarding damages, the award had to reflect the trend of previous, recent and comparable awards. Considering the authorities cited, the fact that the award had to compensate the injured within Kenyan conditions and the fact that the plaintiff's wife had left him, an award of KShs 2 500 000 was so high as not to correctly represent the damage suffered.

Loss of future earnings was a claim for special damages and had to be specifically pleaded and strictly proved (*Mwangi and another v Mwangi* [1996] LLR 2859 (CAK) followed). In this instance, such losses had not been pleaded and the whole of the award under that head would be set aside.

No claim had been made in the body of the plaint for damages for future medical expenses nor had any quantification of any sort been made with respect to this claim. Simply putting in a prayer for such a claim did not help. The award would therefore be wholly disallowed.

Appeal allowed, award reduced to KShs 1 500 000.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Abdul v Kenya Bus Services Ltd HCCC No 1135 of 1987 (unreported)

Ali v Nyambu t/a Sisera Store Civil Appeal No 5 of 1990

Chege v Attorney-General Nairobi HCCC No 6456 (unreported)

Kenya Bus Services Ltd v Mayende (1991) 2 KAR 232

Kigaragari v Aya [1983] LLR 161(CAK) – **F**

Mabasa v Ogle Nairobi HCCC No 1581 of 1990 (unreported)

Mohammed and another v Mohumed [1997] LLR 2557 (CAK) – **F**

Mumu v Malaba and others HCCC No 1460 of 1990

Mutuba (Minor) v Kuria and another NBI HCCC No 821 of 1991

Mwangi and another v Mwangi [1996] LLR 2859 (CAK) – **F**

Shabani v City Council (1985) 1 KAR 684

Wanjiku and others v The Attorney-General and another NBI HCCC No 5602 of 1989

Zein and another v Mutua [1994] LLR 353 (CAK) – **F**

United Kingdom

Bonham Carter v Park Ltd [1948] 647 TLR 177

Judgment

OMOLO, TUNOI AND SHAH JJA: This appeal arises out of a road accident which occurred on the first day of May 1993 along Mombasa-Nairobi road in Nairobi. For the sake of convenience we will refer to the parties as “the plaintiff” or “the defendants” or “the first defendant” or “the second defendant” as appropriate. The second defendant (Kenya Wildlife Service) was at the material time in charge of or in control of a motor vehicle registration number GK 651U and the plaintiff was a passenger therein.

The said vehicle overturned whilst being driven by the first defendant (Mbaka Nguru) as a result of which the plaintiff (James George Rwakar) was seriously injured. It is trite that when a vehicle overturns it is for the driver to explain the reason for such overturning and in the absence of a reasonable explanation, connoting no negligence, the negligence of the driver is presumed. In this case the first defendant, though served with the summons and copy plaint, did not enter an appearance and, interlocutory judgment, in default of such appearance, was entered against him in respect of liability and special damages in the sum pleased (KShs 3 800) and the award of costs was to await judgment on assessment of general damages. The interlocutory judgment was against the first defendant.

The second defendant entered an appearance and filed a defence on 18 February 1994. In its defence the second defendant denied liability and put the damages in issue. The issues were settled by the principal Deputy Registrar Mr Njai on 24 October 1994 and the suit came up for hearing, after some adjournments, as regards the second defendant’s liability and assessment of damages against both defendant’s liability and assessment of damages against both the defendants, on 12 June 1997 and the hearing was concluded, after an adjournment, on 15 October 1997. Written submissions were then filed and the learned Judge (Juma J) delivered judgment on 11 December 1997.

On 12 June 1997 the plaint was amended by consent of the plaintiff’s and the second defendant’s counsel to include the allegation that vehicle GK 651 U was at the material time in possession and control of the second defendant and also to include (in the prayers) a prayer in the following words “(e) Future Medical expenses”.

The reason why we have set out the sequence of the events relating to the hearing in the superior court is because Mr *Muthoga* (who appeared for the (appellants/defendant) with Mr *Mwiti* took issue with the learned Judge on his

retiring judgment jointly and severally against both defendants when some of the claims of the plaintiff were included in the plaint after interlocutory judgment was entered against the first defendant. Mr *Muthoga* is right in saying that the plaint as amended should have been served on the first defendant so as to make him liable in respect of the whole judgment. If this lacuna (non-service) on the first defendant of the amended plaint) was properly considered the learned Judge would have adjourned the proceedings after ordering the amendments so as to enable the plaintiff who would have then had the opportunity of objecting thereto, if he so wished. Mr *Muthoga*'s argument is valid as the second defendant's liability is vicarious and such liability would depend on the first defendant's liability both as regards negligence and quantum of damages.

However, this issue was not taken up as a substantive ground of appeal and in the circumstances of this case it is not now relevant. The second defendant did not eventually contest the issue of its vicarious liability and fully contested the issue of damages.

This appeal is, primarily and substantially, as Mr *Muthoga* pointed out, against the quantum of damages and the propriety in awarding some of the heads of damages. The learned Judge made the following awards:

1.	General damages for pain suffering and loss of Amenities	KShs 2 500 000
2.	Loss of future earnings	KShs 1 943 760
3.	Future medical expenses	KShs 2 349 450
		KShs 6 739 210

He entered judgment against the defendants jointly and severally in the sum of KShs 6 784 210 if the arithmetic was properly done. However, nothing turns on this small difference.

Mr *Muthoga* is arguing his first two grounds of appeal attacked the award of KShs 2 500 000 in respect o f pain and suffering and loss of amenities as being far in excess of what was justifiable having regard to comparable awards in cases similar involving similar injuries, urging that there must be uniformity in awards. He relied on a passage in the judgment of this court in the case of *Mohammed and another v Mohumed* [1997] LLR 2557 (CAK) where this court said quoting from the case of *Kigaragari v Aya* [1983] LLR 161 (CAK):

> "Damages must within limits set out by decided cases and also within limits the Kenyan economy can afford. Large awards are inevitably passed on to the members of the public, the vast majority of whom cannot afford the burden, in the form of increased costs for insurance or increased fees".

In pointing out the principles upon which an appellate court interfere Mr *Muthoga* relied on a passage in *Zein and another v Mutua* [1994] LLR 353 (CAK); the passage reads:

> "The appeal court must be satisfied either that the judge, in assessing the damages, took into account an irrelevant factor, or left out of account a relevant one, or that the amount is so inordinately low or so inordinately high that it must be a wholly erroneous estimate of damage".

These are the correct principles and have been followed for many years now. Keeping them in mind we refer to the various authorities relied upon by both counsels in the superior court with regard to the kind of injuries the plaintiff suffered. The injuries were:

1. Paraplegia: T12 thoracic vertebra fracture with spinal cord damage.

2. Severed distal phiallanx of left index finger.

3. Cuts on right cheek, right eyebrow area.

As a result of these injuries the plaintiff, who was 40 years of age at the time f the accident, suffered from incontinence of urine and stool and had recurrent bed sores, painful back due to the implanted hardware, abandonment, painful involuntary muscle spasms especially on left lower limb and difficulty in mobility especially self transfer from bed to wheel chair and vice versa. These are the unchallenged findings of Dr Audi, a consultant surgeon and traumatologist practising in Nairobi and Professor Ruberti, a consultant neurosurgeon who put the plaintiff's disability at 100%.

The cases quoted by counsel in the superior court as well as in this Court showing comparable or near comparable injuries are as follows:

1. *Chege v Attorney-General* Nairobi High Court civil case number 6456 (UR). For injuries of similar nature (permanent disability being 80%) Mbito J awarded a sum of KShs 800 000/= for paid and suffering and loss of amenities on 30 October 1997.

2. *Mabasa v Ogle* High Court civil case number 1581 of 1990 (UR). For paraplegia and other resultant disabilities, similar to those of the plaintiff in this case, Mwera, J awarded a sum of KShs 700 000/= for pain and suffering on 22 July 1992.

3. *Abdul v Kenya Bus Services Ltd* High Court civil case number 1135 of 1987 (unreported). For similar injuries – paraplegia and resultant disabilities as well as some brain injuries, Butler-Sloss J awarded a sum of KShs 800 000 for pain and suffering and loss of amenities on 22 May 1989.

4. *Mumu v Malaba and others* High Court civil case number 1460 of 1990. For similar injuries – paraplegia and resultant disabilities, Mwera J awarded a sum of KShs 900 000 for pain suffering and loss of amenities on 18 March 1993.

5. *Mutuba (Minor) v Kuria and another* High Court civil case number 821 of 1991. For paraplegia and resultant disabilities, Mbogholi-Msagha J) awarded a sum of KShs 2 000 000/= for pain suffering and loss of amenities on 17 April 1993.

6. *Wanjiku and others v Attorney-General and another* Nairobi High Court civil case number 5602 of 1989. For paraplegia and resultant disabilities, Msagha J awarded a sum of KShs 1 000 000 for pain suffering and loss of amenities on 14 March 1991.

Mr *Owino* for the plaintiff laid stress on the above mentioned KShs 2 000 000 awarded in 1993 to justify the award in this case in the sum of KShs 2 500 000 but he conceded that the Margaret Wanjiku case stood by itself. In the other cases the award, for comparable injuries stood at KShs 800 000 to KShs 1 000 000 for pain suffering and loss of amenities, some four years ago.

The plaintiff in this case has been incapacitated one hundred per cent as a result of the injuries enumerated by us. The awards must however reflect the trend of previous, recent and comparable awards. Considering the authorities cited and also considering all other relevant factors this court has to take into account, and keeping in mind that the award should fairly compensate the injured within Kenyan conditions and also keeping in mind that the plaintiff is left alone to deal with his problems, his wife having left him, we consider that

the learned Judge's award of KShs 2 500 000 for pain suffering and loss of amenities is so inordinately high that it does not correctly represent the damage suffered. We are mindful of the fact that some of the awards referred to by counsel are not too recent. We assess the general damages for pain suffering and loss of amenities at KShs 1 500 000. In so doing we note that the plaintiff's injuries are of grievous nature.

We come now to the award of KShs 1 943 760 for loss of future earnings. It is noted that such damages were not pleaded. This court in the case of *Mwangi and another v Mwangi* [1996] LLR 2859 (CAK) said:

> "loss of earning is a special damage claim. It must be specifically pleaded and strictly proved. The damages under the head of "loss of earning Capacity" can be classified as general damages but Those have also to be proved on a balance of probability. The plaintiff cannot just "throw figures" at the judge and ask him to assess such damages. See the case of *Kenya Bus Services Ltd v Mayende* [1991] 2 KAR 232 at 235 where this court referred to the cases of *Ali v Nyambu t/a Sisera* Store civil appeal number 5 of 1990 (UR), and *Shabani v City Council* [1985] 1 KAR 684; the statement by Lord Goddard CJ in the case of *Bonham Carter v Park* Ltd [1948] 647 TL R. 177 was approved".

We need not set out here the statement of Lord Goddard CJ. It will suffice to say that the plaintiffs who do not plead their damages properly and who then do not prove the same do so at their own risk. They will not get those damages however sympathetic the court may feel towards them. The rules of pleading as to damages claimed under this head we are constrained to disallow the whole of that award and we set it aside wholly. We would point out that the learned Judge, in any event, in applying a 13-year multiplier for loss of earning capacity, in respect of a 40-year-old plaintiff, erred. The plaintiff was kept in the employ of the second defendant some four years after the accident with no salary loss. He would have had eleven more years to work had he not been retrenched along with 600 other employees of the second defendant. If he was not given any lump sum payment for early retirement (we are told he was paid in that behalf) and if his pension had been arrested (which was not the case) then an eight year multiplier would have been appropriate if the claim was properly pleaded.

Mr *Owino* for the plaintiff laid stress on the fact that the plaintiff had given evidence as to his loss of earning capacity and that evidence was not challenged. What the plaintiff said was:

> "Prior to accident, I was in charge of Rhino Capturing Unit. My title was assistant warden. On transfer I was to assist the officer in charge. Was there for 8 months then transferred to Mombasa to do administrative work. There for 3 years and then transferred to Kwale since July last year. My job of Assistant Warden translated into Tannest (sic) officer. My job had been advertised. I am still getting the same salary. I agree I should be retired on medical grounds. My salary is KShs 15 575 per month".

The plaintiff did not even say he was claiming loss of earning capacity damages. Not having pleaded the same and also not having actually claimed the same he is not entitled to any. In fact the loss of earning capacity as really not in any issue on the pleadings as well as evidence. We do not see how the second defendant's counsel could have cross-examined the plaintiff when there was no such claim pleaded.

We come now to the claim under the heading "Future Medical Expenses". There is no such claim made in the body of the plaint. Nor is there any suggestion in the body of the plaint that such a claim would be made. There is no

quantification of any sort in the body of the plaint in respect of this claim. In those circumstances simple references in a medical report for costs of future medication does not help the plaintiff. Simply putting in a prayer for such claim does not help. If properly pleaded and proved the plaintiff would certainly have entitled to some calculate and award a sum of KShs 2 349 450 under this head does not take into account the global view the learned Judge ought to have taken if the plaintiff was entitled to the same. The learned Judge also failed to take into account the accelerated receipt of such payment and the probability that the sum awarded would be invested at interest. All this, however, is academic as we wholly disallow this award.

The upshot of all these is that the total award of KShs 6 739 210 is hereby reduced to KShs 1 500 000 which sum will carry interest at court rate from 11 December 1997. The defendants had had considerable success in this appeal; and therefore the second defendant will have three-quarter of its costs. Those are our orders.

For the appellants:
LC Muthoga instructed by *Muthoga Gaturu & Co*

For the respondent
Owino

Njuguna v Attorney-General
[1995–1998] 1 EA 252 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	8 October 1997
Case Number:	55/97
Before:	Kwach, Omolo and Pall JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Tort – Negligence – Wrongful death – Suit for damages – Deceased shot by police – Burden of proving cause of death – Damages recoverable under the Law Reform Act – Whether deceased had deliberately exposed herself to danger – Whether shooting had been accidental – Whether damages recoverable – Fatal Accidents Act (Chapter 32) – Law Reform Act (Chapter 26).

Editor's Summary

The appellant sued the respondent under the Fatal Accidents Act and the Law Reform Act in his capacity as the widower and personal representative of the deceased. The appellant's plaint alleged that the deceased was unlawfully shot by police officers thereby occasioning her bodily injuries as a result of which she died. The respondents denied that the police officers had acted negligently as alleged by the appellant. The trial Judge dismissed the appellant's case on the ground that the deceased and her son had deliberately exposed themselves to danger and that not every shot that accidentally hit a bystander was an act of negligence.

On appeal.

Held – The police did not have an unqualified licence to resort to shooting. They were authorised to shoot only when it was necessary for them to do so and it was up to them to demonstrate that the shooting was necessary and that the shooting of the deceased was accidental. In this instance, there was proof that the deceased had died as a result of the police firing. The onus therefore shifted to the respondent to prove that the police were excused by law for causing the deceased's death. The police chose not to appear in court and explain the circumstances surrounding the shooting and the respondent could therefore not escape liability.

There was no evidence showing that either the appellant or his children were dependent upon the deceased and the appellant was therefore right in choosing not to pursue the claim under the Fatal Accidents Act.

Though the appellant did not produce any evidence to show the earnings of the deceased, her estate was entitled to damages under the Law Reform Act by way of special damages, damages for loss of her normal life expectancy and suffering. In this regard, the trial Judge erred in not proceeding to assess damages in case he was found to be wrong on the issue of liability.

Judgment entered in favour of appellant in the sum of KShs 118 000 with interest and costs.

No cases referred to in judgment

Judgment

KWACH, OMOLO AND PALL JJA: Stephen Iregi Njuguna (the appellant) has appealed from the judgment of Kuloba J dated 3 May 1997 in which the appellant as widower and personal representative of the estate of Catherine Wangui Iregi (the deceased) sued the Attorney-General (the respondent) for his own benefit as well as for the benefit of the children of the deceased under the Fatal Accidents Act (Chapter 32) and for the benefit of the estate of the deceased under the Law Reform Act (Chapter 26)

Facts giving rise to the said claims according to the appellant were that on or about 22 April 1988 at around 5:20pm while the deceased was lawfully walking along Kangundo Road opposite Umoja Estate, Nairobi, some police officers from the Buru Buru Police Station unlawfully shot her thereby occasioning her bodily injuries as a result of which she died. The appellant also alleged that there was no reasonable cause of excuse for the police for the said act. By his defence the respondent did not specifically deny that the deceased died as a result of injuries sustained by her as a result of shooting by the police but denied that the police officers acted in a negligence manner as alleged by the appellant. There was also a general denial that the police did not have a reasonable cause of excuse for shooting the deceased.

The deceased was accompanied by his son Geoffrey Karanja Ireri (PW2) at the time of the shooting. His account of the shooting is that as they were walking along the said road, he heard siren blaring from a police car coming from behind them. As the police car came nearer, he heard a gun shot from it which hit another car which was in front of the witness and his mother. The police officers seemed to be chasing that car. That car as it was hit went down into a side ditch. He saw two men ran out of the car which had got into the ditch. He and the deceased had already stopped walking. He heard another

gunshot form the police car which was still behind him and the deceased. Immediately after that shot, he saw the deceased as if she jumped into the grass. He thought that she was taking cover from the bullets. He also lay down. As he was lying he heard about five more shots. After the shooting died down, he checked on the deceased. She did not respond as he shook her. Then he realised that she was dead and had been shot on the left hand side of her jaw which was bleeding.

He ran towards the police car and told a police officer with a big gun that the deceased had been hit with a bullet. He said all the shots he heard had come from the direction of the police car. He did not think that the people who ran out of the other car were shooting back at the police. He did not see them carrying anything in their hands. At the time of the shooting he was 12 years old. At the close of the appellant's case in the Superior Court, counsel for the respondent told the Court that he had no witness to call.

The Learned Judge dismissed the appellants case and he now appeals from that judgment. In his judgment the Learned Judge pertinently remarked:

> "The deceased and her children saw the police in good time in hot pursuit of the suspects. They heard gunshots. Yet instead of taking cover they seemed to have stood there in the gun-activity. They deliberately exposed themselves to danger. The police could have been in danger. These days criminals are dangerous to the police as to anyone else. The deceased and the children should have understood the danger in which the police were and in which they themselves were and lightened the police burden by getting out of the way".

He went on to say:

> "Not every police shot that accidentally catches an innocent Kenyan bystander is an act of negligence".

We underscore "accidentally" because the crux of the judgment of the Learned Judge is that the police accidentally shot the deceased and the onus of proving that it was not an accident was on the appellant which he failed to discharge. We do not agree with him. The police do not have an unqualified licence to resort to shooting. They are authorised to shoot only when it is necessary to do so and it is up to them to demonstrate that the shooting was necessary and that the deceased was shot by them by accident. From the circumstances it is obvious that the deceased died as a result of the police firing. So the onus had shifted onto the respondent to prove that in the circumstances of the case they were excused by law for having caused the death of the deceased, particularly when there is evidence of PW2 that the people whom the police could have been chasing were not shooting back and were unarmed. As it is, there is no evidence on record to show that the people the police were chasing, if a chase there was were criminals; they were dangerous criminals and were particularly dangerous to the police. It is all the Learned Judge's own flight of imagination.

The easiest thing which these police officers could have done, if they were so minded, was for one of them to appear in court and explain that the shooting was necessary and that the deceased was by an unfortunate accident. They chose not to do so. In the event the respondent cannot escape from liability.

Consequently we allow this appeal set aside the judgment and decree of the Superior Court and substitute it with a judgment on liability in favour of the appellant. Having done so, we now proceed to assess damages. So far as the damages under the Fatal Accidents Act are concerned, there is no evidence that either the appellant or his children or any of them was dependant upon the

deceased for his living. There was no evidence of any personal loss or damage. In fact Mr *Gitu*, counsel for the appellant has very rightly conceded before us that he would not pursue the appellant's claim under the Fatal Accidents Act.

But the estate of the deceased is certainly entitled to damages under the Law Reform Act. The appellant spent KShs 15 000 as funeral expenses and paid KShs 100 fee for obtaining the certificate of death of the deceased. We allow therefore KShs 15 000 as special damages claimed in the plaint.

The deceased was 32 or 33 years old when she was killed. She as a businesswoman, trained dressmaker and embroiderer. The appellant has claimed that she was earning KShs 10 000 per month although he has not been able to produce any documentary evidence in support of that claim. Considering all the circumstances, we allow KShs 100 000 to the estate of the deceased for loss of her normal life expectancy. The deceased must have died on the spot as a result of the gunshot without undergoing much pain or suffering.

She must have, however, briefly suffered before dying and we allow a sum of KShs 3 000 on that account. Although the Learned Judge dismissed the suit, he should have proceeded to assess the damages in case he was found to be wrong on the issue of liability as indeed we have found. That is normal practice and we expect it to be followed.

In the result we enter judgment in favour of the appellants the administrator of the estate of the deceased for KShs 118 000 together with interest at the court rates from the date of the High Court judgment. We award the appellant the costs of this appeal as also costs in the superior court.

For the appellant:
Gitu

For the respondent:
Information not available

Obwogi v Aburi
[1995–1998] 1 EA 255 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	29 July 1997
Case Number:	46/97
Before:	Omolo, Lakha and Pall JJA
Sourced by:	IT Inamdar
Summarised by:	HK Mutai

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[1] Damages – Quantum – Review by appellate court – Damages for future surgery – Principles to be applied in determining whether or not to interfere with trial court's award of damages – Whether damages awarded by trial court sufficient.

[2] Tort – Negligence – Liability – Motor vehicle accident – Proximate cause – Novus actus interveniens – *Injury exacerbated by failure to diagnose leading to increase in surgery costs – Factors to be considered in determining liability.*

Editor’s Summary

The appellant herein sued the respondent seeking damages for various injuries sustained as a result of a motor accident. Interlocutory judgment was entered in

favour of the appellant on liability and the suit proceeded solely on assessment of damages. At the trial, a medical expert testified that during the initial hospitalisation a fracture dislocation of the hip had been missed and that approximately KShs 500 000 would now be required for the operation. Following the trial of the suit, the trial Judge awarded the appellant KShs 70 000 in damages as costs for future surgery, and KShs 300 000 by way of general damages. The appellant appealed seeking an enhancement of the damages awarded. In reply, the respondent contended that he should not be held liable for the increased damages as this was a remote result of his conduct.

Held – To render a defendant liable in an action for negligence, it had to be shown that the negligence found was the proximate cause of the damage. In this case, there had been a break in the chain of causation and the respondent's negligence had been neither the proximate nor the effective cause of the further damage. The negligence of the medical team amounted to the act of a third person for whose actions the respondent could not be held liable in the absence of a finding either that he instigated it or that he ought to have foreseen and provided against it. Accordingly, the respondent could not be held liable for the increased costs of future surgery.

With respect to the award of general damages, an appellate court could only review the quantum where it was satisfied that the trial Judge acted upon a wrong premise of law or that the amount awarded was so low or so high as to be a wholly inaccurate estimate. It was not entitled to review the finding merely because it was possible that it would have awarded a larger sum if sitting in first instance. In this instance, it had not been shown that the trial Judge had acted on a wrong principle of law or otherwise erred. There were therefore no grounds for disturbing the award of general damages.

Appeal dismissed with costs.

No cases referred to in judgment

Judgment

OMOLO, LAKHA AND PALL JJA: This is an appeal against the quantum of damages awarded by the superior court (Juma J) to the appellant involved in a motor accident. There is no appeal before us against liability as interlocutory judgment was entered and the suit proceeded only on assessment of damages.

On or about 3 October 1993 the respondent was injured in a motor accident. She sustained fracture dislocation of the left hip joint, fracture of the left hip joint, fracture of left fubula, lacerations on the face, the left lower limb and the left arm and blunt injury to the chest.

At the conclusion of the trial the learned Judge awarded KShs 70 000 as cost of future surgery and KShs 300 000 by way of general damages against both of which awards the appellant has appealed.

As for damages for the cost of the operation, the learned Judge allowed KShs 70 000. This was in accordance with the evidence of Professor Mbindyo who was the only medical expert called as witness by the plaintiff. He, however, deponed that the fracture dislocation of the left hip was missed during initial hospitalisation and he was now of the opinion that the sum of KShs 500 000 would be required for the operation. The whole hip joint is now to be replaced.

In these circumstances, the respondent contends that he should not be held liable for the increased damages of KShs 500 000 because this loss or damage is a remote result of his conduct. Upon a careful consideration of the material before us, we are satisfied that there was a break in the chain of causation and the respondent's negligence was not the effective or proximate cause of this further damage. Clearly, the operation of the original cause ceased and the chain of causation was broken by the intervention of the acts of the medical theatre and such intervention is not a kind of fact which may reasonably have been anticipated. To render the respondent liable in an action for negligence, it must be shown that the negligence found is the proximate cause of the damage. Where the proximate cause is the act of a third person against whom precautions would have been inoperative, the respondent is not liable in the absence of a finding either that he instigated it or that he ought to have foreseen and provided against it. In the instant case the negligence on the part of the medical team in failing to notice the fracture dislocation of the left hip during the initial hospitalisation was not something that the respondent could have reasonably foreseen or provided against.

Accordingly, we are satisfied that the respondent cannot be held liable for this increased cost. The appeal against this aspect of the learned Judge's decision calls for no interference on our part.

The learned Judge dealt very briefly with the issues of general damages that is pain and suffering. He stated:

> "As regards general damages for pain and suffering, counsel for the plaintiff has submitted that an award of KShs 700 000/= would be appropriate while counsel for the defendant reckons that KShs 200 000/= would be in order. I assess general damages for pain suffering and so of amenities at KShs 300 000".

As an appeal court we are not entitled to review this finding merely because it is possible that had we been sitting in first instance we should have awarded a larger sum. If we are to review we must first be satisfied that the trial Judge acted upon a wrong principle of law or that the amount award as damages is so high or so very small as to make it an entirely e erroneous estimate of the damages to which the appellant is entitled. Moreover, where an award of general damages differs widely from the awards given in comparable cases it might be right for an appellate court to alter it.

With the above consideration in mind, we considered the awards made in the cited authorities as being these of comparable cases. Of course, each case depends on its own facts. But we found that the injuries were more serious. We will not go over in detail the exact nature of the injuries. It is sufficient to say that the appellant is able to walk knelt perhaps with a pronounced limp.

Giving the best consideration to this aspect of the case we are satisfied that it has not been shown that the trial judge acted on a wing principle of law or otherwise erred. Nor are we persuaded that the award is so very small as to be an erroneous estimate of the damages to which the appellant is entitled. We on our part would not disturb this award of general damages.

In the result, the appeal fails on both the limbs and is dismissed with costs.

We are constrained to note that during the course of his judgment the learned trial Judge considered the inadvisability to replace a hip joint in a patient below 60 years according to the current medical thinking. This was neither canvassed not argued before the trial judge. This was neither canvassed nor

argued before the trial judge. With respect, he erred in introducing this in this judgment without it having been raised or argued.

For the appellant:
Information not available

For the respondent:
Information not available

Olum and another v Attorney-General (2)
[1995–1998] 1 EA 258 (CAU)

Division:	Court of Appeal of Uganda at Kampala
Date of judgment:	3 December 1999
Case Number:	30/00
Before:	Manyindo DCJ, Okello, Mpagi-Bahigeine, Berko and Twinomujuni JJA
Sourced by:	M Adriko and P karugaba
Summarised by:	A Mwanzia

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[1] Constitution – Uganda – Jurisdiction – Under article 137 to investigate whether Act of Parliament inconsistent with Constitution – national objectives and directive principles of State policy – Whether justiciable – Should be given effect without violating words used.

[2] Evidence – Petition – To be in affidavit form – Quantity and type of evidence.

[3] Procedure – Public interest – Whether Attorney-General should be joined – Time – Constitutional matter – Rule 12(1) – Constitutional (Petition for Declarations under article 137 of the Constitution) Directives of 1996 – Article 137 – Constitution

Editor's Summary

The petitioners filed a petition against the Attorney-General seeking *inter alia*, a declaration that section 15 of the National Assembly (Powers and Privileges) Act was inconsistent with the Constitution. The State raised six preliminary points of objection to the petition.

Firstly (it was argued) the Court lacked jurisdiction to entertain the petition as the articles challenged were irrelevant, and the national objectives and directive principles of State policy appearing immediately after the preamble to the Constitution were not justiciable. Secondly, the petition was not supported by evidence. Thirdly, the petition was frivolous and vexations because the issues raised had been raised in another petition by the same petitioners. Fourthly, the petition did not disclose a cause of action against the Attorney-General as it did not show that the Government was liable to the petitioners in any way. Fifthly, the Court was not competent to adjudicate matters of internal proceedings of Parliament. Lastly, the petition was time-barred because the statute challenged had been saved by article 273 of the Constitution, which had come into force in 1995, and therefore

the breach complained of had occurred on that date. The petition was therefore filed outside the 30-day period stipulated under rule 4(1) of the Rules of Constitutional Court (Petitions for Declarations under Article 137 of the Constitution).

Held – Article 137 of the Constitution confers jurisdiction to the Court, *inter alia*, in matter where it is alleged that an Act of Parliament or any other law is inconsistent with or in contravention of the Constitution (*Attorney-General v Tinyefuza* constitutional appeal number 1 of 1997 followed). The Court had a mandate under article 137 to determine whether section 15 of the National Assembly (Powers and Privileges) Act was inconsistent with the Constitution.

Although the national objectives and directive principles of State policy were not on their own justiciable, they and the preamble of the Constitution should be given effect wherever it was fairly possible to do so without violating the meaning of the words used (*NTN Property Limited and NBN Limited v State* [1988] LRC 333 adopted).

Under rule 12(1) of the Constitutional (Petitions for Declarations under Article 137 of the Constitution) Directions, evidence for and against a petition must be by affidavits. The quantity and type of evidence will vary according to the petition presented. Where it is alleged that a person's human rights have been violated, the evidence must disclose the nature of the violation. If the allegation is simply that a certain law is inconsistent with the Constitution although it does not affect the petitioner in any away, then all that is required is that it be stated in what way the Constitution is violated.

A court will dismiss any action if it is frivolous or vexatious in the sense that the pleadings disclose no reasonable cause of action or answer, or are so plainly frivolous (futile and silly) that to put them forward would be an abuse of the process of that court.

In cases of great public interest, the Attorney-General should be made a party and if he is left out, the Constitutional Court will join him as a respondent of its own violation under Order 1, rule 10(2) of the Civil Procedure Rules (*Ssemogerere and Olum* constitutional Petition number 3 of 1997 and *Rwanyarare and another* constitutional petition number 5 of 1999 followed).

Time begins to run when the petitioner perceives the alleged breach of the constitution.

Objections overruled.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Attorney-General v Tinyefuza constitutional appeal number 1 of 1997

Rwanyarare and another constitutional petition number 5 of 1999 – **F**

Ssemogerere and Olum constitutional Petition number 3 of 1997 – **F**

United Kingdom

NTN Property Limited and NBN Limited v State [1988] LRC 333

Ruling

MANYINDO, OKELLO, MPAGI-BAHIGEINE, BERKO AND TWINOMUJUNI JJA: The petitioners brought this petition against the Attorney-General for declarations (*a*) that the refusal by parliament to grant the petitioners and other

members of Parliament special leave to give evidence and use the *Hansard* in this Court is inconsistent with and contravenes articles 1(*i*) and (3), 3(1) and (2), 20(1) and (2), 28(1), 29(1)(*a*) and (*d*), 41, 43(1)(*c*) and 44(*c*) of the Constitution, (*b*) that section 15 of the National Assembly (Powers and Privileges) Act (Chapter 249) is inconsistent with the articles of the Constitution set out above and (*c*) that rule 17(2) of the rules on Procedure of the Parliament of Uganda is inconsistent with articles 88 and 89 of the Constitution.

The background to this petition can be stated briefly as follows. The first petitioner, Zachary Olum, and Paulo Kawanga Sssemogerere filed a petition in this Court (number 3 of 1999) challenging the validity of the Referendum and Other Provisions Act (number 2 of 1999). The second petitioner was a witness for the petitioners. The petitioners' lawyers wrote to the Speaker of Parliament, pursuant to the provisions of section 15 of the National Assembly (Powers and Privileges) Act, seeking permission for Zachary Olum, Rainer Kafiire, and their two other fellow members of Parliament to give evidence regarding proceedings in Parliament and to use a copy of the *Hansard* as evidence. Parliament considered the request and declined to grant the requisite leave. When that petition came up for hearing the Attorney-General moved the Court to dismiss it as incompetent as it was not accompanied by evidence when it should be, under rule 4(6) of the Rules of the Constitutional Court (Petitions for Declarations under Article 137 of the Constitution) Directions 1996 (legal notice number 4 of 1996). The objection was upheld, while the petitioners' claim that leave had actually been granted was rejected. There were other points of objection which also succeeded.

We were informed by Mr *Lule*, leading counsel in the two petitions, that they have lodged an appeal to the Supreme Court against the decision of this Court in that petition. Accordingly, his instructions in the instant petition were to argue only paragraph 1(*b*) and (*c*) of the petition. All the other matters in the petition were abandoned as well as the prayers in paragraph 2(*a*)(*i*) (which relates to Parliament's refusal to grant leave to use evidence of proceedings in Court) and (*iii*) (relating to quorum in Parliament under rule 17(2) of the Rules of Procedure of Parliament) of the petition.

Paragraph 1(*b*) and (*c*) of the petition state as follows:

> "1. That your petitioners Zachary Olum and Juliet Rainer Kafiire are affected and aggrieved by the following matters inconsistent with the Constitution whereby: (*sic*)
>
> (a) . . .
>
> (b) That section 15 of the National Assembly (Powers and Privileges) Act Chapter 249 is inconsistent with article 41 of the Constitution to the extent that it denies a member of Parliament and deprives the people he/she represents the right to free access and use of non secret records of the House of Parliament to give true information to his constituents in the discharge of his duties.
>
> (c) That section 15 of the National Assembly (Powers and Privileges) Act Chapter 249, Law of Uganda 1964 (*sic*)
>
> (d) to the extent that except with special leave of the National Assembly, which may be refused and was actually refused, the section deprives your petitioners by reason that they are members of the National Assembly, otherwise parliament of Uganda, of the freedom to exercise their right to give evidence, not prejudicial to the security of the State, on matters discussed publicly in Parliament; and

(2) to the extent that except with special leave of the National Assembly, which may be refused and was actually refused, the section prohibits your petitioners to rely on the authentic copies of the *Hansard* and other documents of Parliament in a Court of Law and elsewhere, if and when taking such a step is necessary for purposes of testing, ensuring, promoting or upholding the observance of any provisions of the constitution where such evidence does not expose or is not calculated to expose any Member of Parliament or Official thereof to personal liability for things said or for acts performed in or under the authority of Parliament, or Committee thereof

Is inconsistent with:

(i) clauses XXVI(1) and XXIX(*a*), (*f*) (*g*) of the national objectives and directive principles of the State policy and is also inconsistent with articles.

(ii) 1(1), (2) and (3)

(iii) 2(1) and (2);

(iv) 20(1) and (2)

(v) 28(1), 29(1)(*a*) and (*d*)

(vi) 41;

(vii) 43(1), (*c*) and 44 (c)".

Before Mr *Lule* could argue that part of the petition Mr Barishaki *Cheborion*, the Commissioner for Civil Litigation in the Attorney-General's Chambers who represented the Attorney-General, raised six preliminary points of objection. The first is that the petition does not raise any question or point for interpretation of the Constitution with the result that this Court has not jurisdiction to entertain the petition. His submission on this point was twofold. First, that the national objectives and directive principle of State policy appearing immediately after the preamble to the Constitution are not constitutional provisions envisaged by article 137 of the Constitution under which this petition is brought. Therefore, he argued breach of those objectives and guidelines cannot be a breach of the Constitution. In his view the provisions of the Constitution are to be found in Chapter 1 to 19 only. All matters coming before Chapter 1 are not provisions of the Constitution and, therefore, are non-justiciable. The second one is that the articles of the Constitution said to be violated are irrelevant to the petitioner's complaints. For example, articles 1, 2 and 3 relate to the sovereignty of the people, supremacy of the constitution and defence of the Constitution; article 28(1) deals with speedy and fair trials of cases; article 29(1)(*a*) and (*d*) deals with freedom of speech and expression, freedom of the press and freedom of assembly, among others.

With respect, we do not see merit in this point of objection. In the petition it is plainly stated that section 15 of Chapter 249 is inconsistent with articles 28, 41, and 44 of the constitution in so far as it denies the petitioners free flow of information from Parliament. It is now settled law that article 137 of the Constitution confers jurisdiction to this Court, *inter alia*, in matters where it is alleged that an Act of Parliament or any other law is inconsistent with or in contravention of a provision of the Constitution. See*: Attorney-General v Tinyefuza* constitutional appeal number 1 of 1997 (Supreme Court of Uganda). It follows that this Court has the mandate under article 137 to determine whether section 15 of Chapter 249 is inconsistent with the said provision of the Constitution. In our view whether those articles are relevant or not is a matter of substance and not jurisdiction. With regard to the national objectives and directive principles of State policy contained in the Constitution, there can be

no doubt that they are an important part of the Constitution. They form the *spirit de core* of the Constitution. As was rightly admitted by Mr *Lule*, these objectives and directives are non-justiciable on their own. It seems quite clear to us that they are important canons for the interpretations of the Constitution. As was pointed out by the Supreme Court of Papua New Guinea in *NTN Property Ltd and NBN Limited v State.* [1988] LRC 333 at 352, in interpreting the constitution, it is necessary to look at the constitution as a whole and that although they are said to be non-justiciable, the national goals and directive principles, and even the preamble, should be given effect wherever it is fairly possible to do so without violating the meaning of the words used. We agree with that proposition. In the result the first point of objection fails.

The second point of objection is that the petition is not supported by evidence when it should, under rule 3(6) of the rules of the Constitutional Court (Petitions for Declarations under Article 137 of the Constitution) Directions, 1996 (Legal Notice number 4 of 1996). Under rule 12(1) of those rules all evidence for and against the petition must be by affidavits. In our view how much evidence and what type of evidence to be adduced by the parties to a petition will vary according to the petition presented. For example, where it is alleged that one's human rights have been violated, then the evidence must disclose the nature of the violation. If the allegation is simply that a certain law is inconsistent with the constitution, although it does not affect the petitioner in any away, then all that is required is that it be stated in what way the Constitution is violated.

In the present petition the allegation is that the first petitioner's previous petition in which the second petitioner was a witness failed on the ground, among others, that it could not be supported by evidence the use of which had not been sanctioned by Parliament. Each petitioner swore and filed an affidavit in support of the petition. The affidavits are not similar in all material respects. Paragraph 9 of each affidavit states:

> "9. That I consulted my lawyers, Balikuddembe and Company, who advised me, and I verily believe such advice to be true that the refusal of Parliament to give special leave to Members of Parliament to give evidence and to use the public records of Parliament in evidence in Court, as well as continued existence of section 15 of the National Assembly (Powers and Privileges) Act . . . is challenged as unconstitutional".

We do not see what more the petitioners would and should have said by way of evidence. It was sufficient for them to state that section 15 of Chapter 249 which enables Parliament to deny them the use of certain evidence in Court violates provisions of the Constitution which guarantee free access and use of information which is not classified. It then rested on their lawyer to argue the point of law in Court. Accordingly the second point of objection is overruled.

The third point of objection is that the petition is frivolous and vexatious because the issues it raises were raised in Constitutional Petition number 3 of 1997 in which Zachary Olum was a co-petitioner and Rainer Kafiire a witness for the petitioners and which is now said to be on appeal in the Supreme Court. Mr *Lule*'s short answer was that the question whether section 15 of Chapter 249 is inconsistent with the constitution did not arise there and therefore cannot arise in the appeal to the Supreme Court. In fact in that petition, Mr *Lule*'s contention was that his clients had duly complied with section 15 of Chapter 249 and had even obtained the necessary leave of Parliament. However, this

Court found as a fact that they had not obtained the leave when they must under the above provision. It may well be that this petition was brought as a result of that finding and holding by this Court. We agree that the matter is now being raised here for the first time. A court will dismiss any action if it is frivolous or vexatious in the sense that the pleadings disclose no reasonable cause of action or answer, or are so plainly frivolous (futile and silly) that to put them forward would be an abuse of the process of the Court as they are not likely to lead to any practical result. From this perspective it cannot be said that the point raised in the petition is frivolous and or vexations. This point of objection also fails.

The fourth point of objection is that the petition does not disclose a cause of action against the Attorney-General as it does not show that the Government of Uganda is liable to the petitioners in any way. Under article 119 of the Constitution. The Attorney-General can only represent Government in actions to which it is a party. This Court has made it quite clear in *Ssemogerere and Olum* (*supra*) and *Rwanyarare and another* constitutional petition number 5 of 1999 that In cases of great public interests, the Attorney-General should be made a party and that if he is left out, this Court will join him as a respondent on its volition under Order 1, rule 10 (2) of the Civil Procedure Rules. This was also the position taken by the Attorney-General in those two cases. It is therefore remarkable that now he says that he should not have been made a respondent in this petition which seeks to strike down a certain provision of the law concerning an important organ of the State. We are satisfied that the Attorney-General was rightly joined as respondent to the petition. This disposes of this point of objection.

The fifth point of objection is that this Court is not competent to adjudicate on matters of internal proceedings of Parliament – why and how Parliament decided not to permit the petitioners to use certain evidence in this court in Constitutional Petition number 3 of 1999. This point became irrelevant when the challenge against that refusal was dropped by the petitioners. It does not call for decision.

The sixth and last point of objection is that the petitioner is time-barred. Counsel for the Attorney-General submitted that the challenged law section 15 of chapter 249 was saved by article 273 of the constitution which came into force on 8 October 1995. It was on that date that the breach occurred; the breach was the continuation in force of the law when it is inconsistent with some provisions of the Constitution. Rule 4(1) of the rules of the Constitutional Court (Petitions for Declarations under article 137 of the petition be lodged in the competent court within thirty days of the date of the alleged breach. He contended that the petition should have been brought either by 9 November 1995, within 30 days of the coming into force of the Constitution or, at the latest, by 5 July 1996 within 30 days of the passing of the rules in Legal Notice number 4 of 1996. In the event, it was filed on 17 September 1999, out of time and without extension of time by court.

We do not agree with that submission. In our view the time begins to run when the petitioner perceives the alleged breach of the constitution. In the instant case the petitioners' grievance must have arisen on 18 August 1999 when Parliament rejected their application to use records of Parliamentary proceedings in Court, in exercise of its discretion under section 15 of Chapter 249. They filed the petition on 17 September 1999. Clearly it was filed within the prescribed time. We therefore see no merit in the last point of objection.

For the reasons stated above all the points of objection are overruled. The petition will proceed for the determination of the sole question, namely, whether section 15 of Chapter 249 is inconsistent with or in violation of the article of the Constitution specified in the petition.

For the petitioners:
Lule SC instructed by *Sebalu & Lule Adv*

For the Respondent:
C Barishaki instructed by Attorney-General

Omino v Lalji Meghji Patel and Co Ltd
[1995–1998] 1 EA 264 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	10 December 1997
Case Number:	119/97
Before:	Gicheru, Tunoi JJA and Bosire AJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Arbitration – Procedure – Agreement provided for disputes to be referred to arbitration – Respondent filing suit in High Court – Application to have dispute referred to arbitration – Ex parte *judgment entered before application could be heard and determined – Whether court erred in entering judgment – Section 6(1) – Arbitration Act (Chapter 49) (repealed).*

[2] Civil procedure – Judgment – Ex parte *judgment entered despite pendency of application to refer dispute for arbitration – Whether judgment irregular – Section 6(1) – Arbitration Act – Order IXA, rule 10 – Civil Procedure Rules.*

Editor's Summary

By an agreement between the appellant, as employer, and the respondent, as contractor, the parties agreed, *inter alia*, that in the event of any dispute between them in regard to any matter arising under the contract, the dispute would be referred to arbitration. However, in June 1991, the respondent commenced legal proceedings before the High Court against the appellant claiming a sum of money for work carried out pursuant to the agreement in 1989 and 1990. The appellant entered appearance and filed an application seeking a stay of the proceedings and an order that the differences between them be referred to arbitration in accordance with the agreement. Counsel for the respondent applied for *ex parte* judgment to be entered against the appellant. The court entered judgment against the appellant in default of filing defence. The appellant then applied to the High Court for the *ex parte* judgment against it to be set aside on the ground that judgment was irregularly entered. The application was dismissed. He now appealed on the grounds, *inter alia*, that his application under section 6(1) not having been disposed of, no defence could possibly have been filed and the *ex parte* judgment was therefore irregular. Counsel for the respondent argued that an application for stay under

section 6(1) did not freeze the proceedings and that it had been the duty of the appellant to expeditiously prosecute the application, which he had not done.

Held – Where an application under section 6(1) of the repealed Arbitration Act (which was applicable to this suit) was made by a party to an arbitration agreement, it was incumbent upon the court to which the application was made to deal with it and to determine whether a dispute arose within the arbitration agreement. If it did, it was for the opposing party to show cause why effect should not be given to the agreement.

In this instance, there was an arbitration clause in the agreement between the parties and once the appellant had made an application under section 6(1) on the basis of that clause, the filing of a defence to the respondent's claim was suspended until the application was determined. The entering of default judgment against the appellant was therefore irregular.

Appeal allowed, *ex parte* judgment and High Court ruling set aside. Application set down for hearing in the High Court. Costs of appeal and application to set aside *ex parte* judgment to the appellant.

No cases referred to in judgment

Judgment

GICHERU, TUNOI JJA AND BOSIRE AJA: Section 6(1)(a) and (b) of the now repealed Arbitration Act (Chapter 49) of the Laws of Kenya, hereinafter called the Act, which was applicable to the subject matter of this appeal stipulated as follows:

> "6 (1) If a party to an arbitration agreement or a person claiming through or under him, commences any legal proceedings in any court against any other party to the agreement, or against a person claiming through or under him, in respect of a matter agreed to be referred:
>
> (a) any party to those proceedings may at any time after appearance, and before delivering any pleadings or taking any other steps in the proceedings, apply to that court to stay the proceedings: and
>
> (b) that court, if it is satisfied that there is no sufficient reason why the matter should not be referred in accordance with the agreement, and that the applicant was, at the time when the proceedings were commenced, and still remains ready and willing to do all things necessary to the proper conduct of the arbitration, may make an order staying the proceedings".

Clause 36(1) of the Schedule of Conditions to an Agreement of Building Contract (with Quantities) made on 16 September 1987, between the appellant as the employer and the respondent as the contractor and executed by them on 2 October 1987 was in the following terms:

> "36 (1) Provided always that in case any dispute or difference shall arise between the Employer or the Architect on his behalf and the Contractor, either during the progress or after the completion or abandonment of the Works, as to the construction of this Contract or as to any matter arising thereunder or in connection therewith (including any matter of thing left by this contract to the discretion of the Architect of any certificate to which the Contractor may claim to be entitled or the measurement and valuation mentioned in clause 30(5)(a) of these conditions) or the rights and liabilities of the parties under clause 25, 33 or 34 of these conditions, then such dispute or difference shall be and is hereby referred to the arbitration and final decision of a person to be agreed between the parties, or, failing agreement within 14 days after either party has given to the other a written request to concur in the appointment of an Arbitrator, a person to be

> appointed on the request of either party by the chairman or a vice-chairman for the time being of the East African Institute of Architects who will when appropriate delegate such appointment to be made by the Chairman or Vice-Chairman of the local (National) Society of Architects".

By a plaint dated 24 June 1991 the respondent commenced legal proceedings in the Superior Court against the appellant claiming against him a sum of KShs 14 776 670 for work carried out and/or materials supplied to him by the respondent during the years 1989 and 1990 pursuant to the agreement mentioned above. On 13 August 1991 the appellant entered appearance and on the same day filed a chamber summons in the Superior Court under section 6(1) of the Act seeking a stay of the proceedings and an order that all the differences between the parties thereto be transferred to arbitration in accordance with the Arbitration Agreement. By 15 October 1991 the appellant's chamber summons had not been dealt with by the Superior Court and in a letter of even date addressed to counsel for the appellant by counsel for the respondent the latter threatened to list the appellant's chamber summons for dismissal and thereafter judgment be taken against him if no action was taken by him within seven days of the date of the letter aforesaid towards the disposal of his chamber summons. Meanwhile, counsel for the respondent had by a request for judgment dated 28 August 1991 sought *ex parte* judgment against the appellant in default of filing defence. Notwithstanding the letter of 15 October 1991 referred to above, on 30 October 1991 *ex parte* judgment was entered against the appellant in default of filing defence. In chamber summons dated 6 March 1992 the appellant therefore applied to the Superior Court to have the *ex parte* judgment set aside on the ground that the said judgment was irregularly entered and also to have his application for stay of the proceedings under section 6(1) of the Act set down for hearing. That application was dismissed with costs by the Superior Court in a ruling dated 26 March 1992 for the reasons that the appellant had not shown any dispute to be resolved by arbitration and that he was using section 6(1) of the Act for the purpose of delay.

The appellant has appealed to this Court against that dismissal.

In urging the appellant's ten grounds of appeal, Mr *Nowrojee* for the appellant, submitted that the appellant's application under section 6(1) of the Act having not been disposed of, no defence to the respondent's claim could possibly have been filed by the appellant. The default judgment entered against the appellant on 30 October 1991 was therefore irregular and in refusing to set aside that judgment, the Superior Court exercised its discretion wrongly for until the appellant's chamber summons dated 13 August 1991 was heard and determined, there was no justification in holding that he had not shown any dispute to be resolved by arbitration and that he was using section 6(1) of the Act for the purposes of delay, Mr *Nowrojee* concluded.

To counsel for the respondent, Mr *Fraser*, however, the filing of an application for stay of the proceedings under section 6(1) of the Act did not freeze those proceedings. It was the duty of the appellant to prosecute his application expeditiously which he did not do. Besides, other than for the purpose of delay, there was nothing else to be served by setting aside the default judgment.

When an application under section 6(1) of the Act is made by a party to an arbitration agreement, it is incumbent upon the court to which such application is made to deal with it so as to discover whether or not a dispute or difference arises within the arbitration agreement for it does, then it is for the opposing party to

show cause why effect should not be given to the agreement. Indeed, once parties to an agreement have chosen to determine their disputes of differences through a domestic forum other than resorting to the ordinary courts of law, that choice should not easily be brushed aside.

As is set out towards the beginning of this judgment, there was an arbitration clause to an agreement of building contract between the appellant and the respondent. It was on the basis of that clause that the appellant made his application for stay of the proceedings in the Superior Court under section 6(1) of the Act as is outlined above. Having thus made that application, as long as the same remained undetermined, its effect was to suspend the filing of defence by the appellant to the respondent's claim against him with the result that the default judgment entered against him cannot have been regular. In the circumstances, we allow the appellant's appeal against the whole decision of the Superior Court given on 26 March 1992, set aside the *ex parte* judgment entered against him on 30 October 1991 and order that his application under section 6(1) of the Act dated 13 August 1991 be set down for hearing in the Superior Court on a priority basis. The appellant shall have the costs of this appeal and of his application to set aside the *ex parte* entered against him in the Superior Court.

For the appellant:
PE Nowrojee instructed by *Pheroze Nowrojee Adv*

For the respondent,
KA Fraser instructed by *Hamilton Harrison & Mathews*

Re Ongwae and Ongwae (Infants)
[1995–1998] 1 EA 267 (HCK)

Division:	High Court of Kenya at Nairobi
Date of ruling:	25 January 1999
Case Number:	90/97
Before:	Khamoni J
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Children – Adoption – Parental consent – Whether withholding of consent unreasonable – When parental consent may be dispensed with – Applicant of different race from infant – Whether an adoption order may be made – Sections 4, 5, 7 and 16 – Adoption Act (Chapter 143).

Editor's Summary

An application was made seeking to dispense with the consent of Mosoti and Kemonto's natural mother to the adoption of the minors. The applicant Michaela had been married to the minors' natural father who had had the two children with Irene before he got married to the applicant. The children were living with the applicant and their father before the demise of the father. The applicant then made an application to be appointed guardian *ad litem* and also seeking adoption of the two minors. The applicant was a German citizen working in Kenya and continued to reside in Kenya even after the

death of her husband, the biological father of the minors.

The applicant was earning a huge salary as compared to Irene (biological mother) who was working as a nurse and earning a meagre salary. The applicant

contended that it was in the best interests of the children that an adoption order be made since she was capable of providing them with a better quality life than their natural mother could. The mother opposed the application arguing that adoption would make her feel like the two children had died, that she was interested in taking care of the minors, had not ill-treated them, had their best interests at heart and was therefore not unreasonably withholding her consent to the adoption. She however had no quarrel with the applicant caring for the children by bringing them up and maintaining them as a step-mother with a kind heart, so long as there was no adoption.

Held – Under section 4(3)(*c*) a court shall not make an adoption order in favour of an applicant who was of a different race from the infant, but an order may be made where the court is satisfied that there were special circumstances which justified, as an exceptional measure the making of an adoption order. The applicant in this case was the infants' step-mother and this was a special circumstance.

Before making an adoption order, the best interests of the infants are paramount. It would be in the best interests of the infants in the present case that the adoption be made as it would make it possible for them to have a better quality life. It was also in the best interests of the applicant that the order be made, though it was not in the best interests of the natural mother.

Considering the circumstances of this case, conditions could not be imposed by the court which ran counter to provisions of section 16(1) of the Adoption Act to the effect that once an adoption order is made it would deprive the parent of his or her parental rights permanently. *Re J* (*a minor*) [1973] 2 All ER 410 distinguished.

The court must be satisfied that every person whose consent was necessary understood the nature and effect of an adoption order and had given his consent. The consent of the parent was a condition precedent to the making of an adoption order. The parent's consent could only be dispensed with where the court was satisfied that he had abandoned, neglected, persistently failed to maintain or persistently ill-treated the infant or had failed to exercise the normal duty and care of parenthood in respect of the infant. Poverty should not be a ground of making an adoption order, and in the circumstances of this case, the withholding of consent by the natural mother was not unreasonable. *Re W* (*an infant*) [1971] 2 All ER 49 considered.

Application dismissed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Naaman v Charib Mombasa civil appeal number 123 of 1997 (UR)

United Kingdom

Hitchcock v WB [1952] All ER

Re J (*a minor*) [1973] 2 All ER 410 – **D**

Re K (*an infant*) [1952] 2 All ER 877

Re W (*an infant*) [1971] 2 All ER 49 – **C**

Ruling

KHAMONI J: While there are two or more applications pending in this matter, what was brought before me for hearing is the originating summons dated 12 November 1997 as can be seen from the record dated 15 September 1998 in this court case file. That originating summons has four prayers. Prayer (1) for the appointment of a guardian *ad litem* was granted before the matter came before me. Prayer (2) is for an order of adoption. Prayer (3) is for an order to enable the infants to retain their current names if adopted. Prayer (4) is for such other or further relief as the court may deem fit.

But what has taken almost all of the court's time during the hearing of the originating summons, is the issue of consent of the natural mother of the infants. There is no prayer in respect of consent in the originating summons. But before I started hearing the originating summons, the advocate for the applicant Ms *Omamo* and the advocate for the natural mother Ms *Baraza* told me they agreed that the issue of the consent of the natural mother of the infants be canvassed during the hearing of the originating summons. However, they were not specific that there was a separate application, by chamber summons dated 24 November 1997 and amended on 28 January 1998 seeking for orders to dispense with the consent of the mother of the infants. Further I note that Honourable Lady Justice Aluoch directed on 27 November 1997 that the issue of the consent of the natural mother must be dealt with first.

In effect therefore, I have been hearing the originating summons together with the chamber summons both dated 24 November 1997, the chamber summons having been subsequently amended on 28 January 1998. Both advocates told me that a decision at the end of the hearing will determine all the pending issues. Whether that will be so, it will be seen after this ruling.

Michaela Ongwae is the applicant in both applications before me. In the chamber summons she is asking for an order dispensing with the consent of Irene Cherone Ngetich (who gave her name before me as Albrina Irene Cherone Ngetich) on the ground that she has unreasonably withheld her consent as a parent of the infants, she has persistently ill-treated them and/or has failed to exercise the normal duty and care of parenthood in respect of the infants.

Michaela Ongwae, the applicant herein is a German citizen, residing and working in Kenya for about eight years now. During her stay in Kenya, she got married to one Francis Neko Ongwae who subsequently died on 11 September 1997.

The said Francis Neko Ongwae to whom I may hereinafter refer to simply as Francis, was the natural father of the two infants in question in this matter. The infants' current names are Isaac Mosoti Ongwae and Julita Kemonto Ongwae born on 25 April 1991 and 16 June 1989 respectively.

Francis had had those two children with Albrina Irene Cherone Ngetich, hereinafter also referred to simply as Irene, before Francis got married to the applicant. Francis and Irene had lived together as husband and wife for about three years without getting married under any law. Thereafter they could no longer agree to live together as their relationship turned sour. They became permanently estranged, Irene being left with the two children.

She was and still is working as an enrolled nurse. She had one child with someone else before she had Julita and Mosoti with Francis. After she has left Francis, she had a fourth child. She left Francis in 1991. She therefore stayed

with the two children without the care or assistance of Francis until sometime in 1996. During that time, she was taking care of and maintaining four children.

In 1996 Francis, through a court case initiated in the Juvenile Court at Kisii by Mr Simeon J Omboga as a Children's Officer, was called upon to stop child neglect and begin supporting the children. It was from those court proceedings that Francis took custody of the two children, Julita and Mosoti from Irene and started living with them in Nairobi together with the applicant. That was in 1996.

Francis died in 1997 leaving the children with the applicant who has no child of her own. She works as a Technical Programme Co-ordinator employed by the German Development Service at Nairobi at a salary enviable to many Kenyans. She has said in her evidence that her salary per month is between KShs 90 000 and KShs 100 000. She has additional benefits like medical insurance, free education and others. Her late husband's employment and earnings have not been revealed to me. But it is apparent that he was one of the few well-paid Kenyans.

In contrast, Irene, a single parent and a mere enrolled nurse was earning a net salary of about KShs 4 000 to 5 000 by the time Francis was given custody of the two infants. That salary is insignificant compared with what the applicant and her husband were getting. But before the two children were taken by their father in 1996, Irene was caring for and maintaining four children on that meagre salary.

After the two children were taken away, she was left with the other two children to maintain. She now says her salary is about 7 000 per month. Still insignificant compared with the earnings of the applicant.

It is therefore no surprise that the children, Julita and Mosoti, found a very big change when they stopped living with Irene and started living with the applicant and her late husband in Nairobi in 1996. It is no surprise if the two children were in the conditions the applicant says the children were in as deposed to in paragraphs six and seven of her statement of 24 May 1997. It was natural that such children had to take some time and required more care to get themselves adjusted in order to live comfortably in the new and affluent environment. The applicant is the children's step-mother. The children were seven years and five years when the applicant started living with them. Children at such tender ages forget the past very easily. If the applicant loved them and treated them like her own children, they will easily forget the past and begin looking at Irene as an unwelcome stranger. But would that necessarily mean that Irene has persistently ill-treated the infants and/or that she has failed to exercise the normal duty and care of parenthood in respect of the infants?

The applicant has said Kenya is her home. She belongs to the family of her late husband and that she has no intention of selling the infants if adopted as has been alleged by those who oppose her application. That upon the death of her husband, she decided it would be in the best interest of the children if she formalised her relationship with the children by adopting them and that other relatives of the children like their grandmother, Mrs Ann Ongwae, the Assistant Chief of Bomwanda Sub-location, Richard Ongeri and some elders support her for the adoption of the children. She says she is ready and willing to care for and maintain the infants for the rest of her life. She continues that she loves them dearly and feels that she owes it to the memory of their father to stand by them to protect them and believes the adoption of the infants is the only way in which she can achieve this.

She believes the natural mother of the infants is withholding her consent to this adoption unreasonably and is not taking the best interest of the welfare of the infants into account. She does not believe Irene is interested in taking care of the infants or is suitably circumstanced to offer them proper care and a stable home. She believes that if she adopts the infants she will be able to provide them with continuity and love in their lives and they will also be entitled to free medical care and other benefits accruing to her from employment together with the opportunity of free university education in Germany in the future. She says that through her they will also be able to maintain close contacts with their paternal relatives with whom she says she is very close. She says she has no intention of departing from Kenya as this is her home, all her assets are here, she works here and her husband is buried here.

Irene on her side strongly refutes the allegations made by the applicant against her, especially the allegations that she is not interested in taking care of the infants, that she is not taking the best interests of the welfare of the infants into account, that she has persistently ill-treated the infants and that she has failed to exercise the normal duty and care of parenthood in respect of the infants. Irene does not therefore accept that she is unreasonably withholding her consent to the adoption. She says that while she has no quarrel with the applicant caring for, bringing up and maintaining the infants as their step-mother with a kind heart, for being concerned about the best interest of her late husband's children, she Irene will not accept the adoption of her children by the applicant because adoption will make her feel as if the two children had died. She said she loves her children and would not like to lose them through adoption even if it means that adoption will make them lead a better life than the life they will lead without adoption. She says she used to take care of the children and maintained them together with the other two children before the two infants were taken by Francis. She takes care of and maintains the two children she has. She will do the best in her means to take care of and maintain the four children again if there is no adoption and the applicant ceases supporting the infants. She says it is better to remain the mother of the infants in poverty than to lose them through adoption.

Much more was said but I do not think I should include everything in this ruling. I turn now to the Adoption Act, Chapter 143 Laws of Kenya hereinafter also referred to as the Act. Starting with section 4(3)(*c*), it states that unless the court is satisfied that there are special circumstances which justify as an exceptional measure the making of an adoption order, an adoption order shall not be made in favour of an applicant who is of a different race from the infant.

The applicant being of a different race from the infants in this matter, starts with that restriction. The first hurdle for the applicant to jump over. There have to be special circumstances justifying, as an exceptional measure, the making of an adoption order. What are the special circumstances in this case?

Counsel for Irene says there are no special circumstances. Counsel for the applicant says there are special circumstances. The evidence before the court reveals that the applicant, though of a different race, is not a complete foreigner to the infants. She is their step-mother. It can be said she stands to the infants as a relative – so that if she keeps the *status quo* after the adoption, the infants will remain within their family – the family of Francis Neko Ongwae.

In addition to that, the applicant has been living with the infants, to the exclusion of Irene, for almost three years. There is no dispute that the applicant enjoys a much higher standard of living than the standard of living enjoyed by

the natural mother of the infants and that under the care of the applicant, the children have thrived, they call her their mother, access by the natural mother having been restricted and controlled and the applicant having got custody of the children through her husband who died while having custody during the time he was married to and was living with the applicant who now claims she loves the children and desires they have a bright future as love knows no race.

I think those are special circumstances and the applicant goes over the first hurdle as placed in her way by section 4(3)(*c*) of the Adoption Act. That justifies, as an exceptional measure, the making of an adoption order.

The second hurdle the applicant has to jump over is in the welfare or interest issue. Section 7(1)(*b*) says that the court before making an adoption order shall be satisfied:

> "(b) That the order if made will be in the best interest of the infant, due consideration being for this purpose given to the wishes of the infant, having regard to the age and understanding of the infant and to the ability of the applicant to maintain and educate them".

Related to that is section 5(6) which in so far as is material states:

> "In considering whether or not to dispense with the consent of any person to the making of an adoption order the court shall regard the interests of the infant as paramount and subject thereto shall consider firstly the interests of the parents and relatives of that infant and secondly the interests of the applicants."

Subsection (2)(*b*) of section 7 requires that "due consideration be given to the wishes of the infant when considering the interests of the parents and relatives of the infant and secondly the interests of applicants." In the instant case, the two infants were too young to express any meaningful wishes. As I looked at them, I had no doubt in my mind that they were not understanding and could not understand what was going on. They could therefore not be useful in this discussion of their interests.

Otherwise reading section 5(6) together with section 7(1)(*b*), the interests of the infant is paramount. Then follows the interests of parents and relatives of the infant. The interests of the applicant come third.

In the instant case, although it has been suggested in opposition to the application for adoption that the applicant, being of a different race and nationality form the infants, may sell them if granted the adoption order, on the whole there is sufficient evidence before me that if the order is granted, it may benefit the infants in that it may make it possible for them to have better nutrition, better health care, better education, and generally, a better standard of living, than what they may have if the adoption order is not granted. It can therefore be said that it is in the interests of the infants that the adoption order is made. It will be the best course for the welfare of the infants.

The adoption order will also be in the interests of the applicant who has maintained the infants for a little more than two years as her life-long dream of having her own lawful children will be realised, running through her mind a soothing and satisfying feeling, if not for what she says that she owes it to the memory of her late husband to stand by the children and protect them.

But to the natural mother who has refused to give consent; not only will the adoption order be unsatisfying but it will also be a torment to a woman who endured a pregnancy load for each child's birth and thereafter struggling for the survival of each child up to the time Francis, the putative father of the infants, was forced, through court proceedings, to take custody of the infants in 1996

thereby giving the applicant the opportunity for the first and persistent contact with the infants who had survived under their natural mother for five and seven years respectively, as compared to just under three years they have survived while in the possession of the applicant half the period being joint possession between the applicant and the infants' putative father. As Shah JA remarked in the case of *Naaman v Charib* civil appeal number 123 of 1997 at Mombasa (UR):

> "Only a mother knows the trials and tribulations she has gone through in giving birth and bringing up the children from their birth".

The Learned Judge posed a question:

> "Who but a natural mother could have more affection for her children?

That was being said in a case where competition for custody was between two natural parents – the father and the mother of the child.

Another thing to note is that the applicant stands in relation to Irene almost like a co-wife. Such relationship is rarely without envy, jealousy, mistrust or hate. I have heard evidence whereby the applicant complains bitterly that Irene has sometimes behaved in a very unbecoming manner towards her. The existence of such background adds fire to the torment that is likely to befall Irene in case an adoption order is made whereby a woman standing in relation to her as a co-wife is given lawful parenthood of the infants to the exclusion of Irene. It is no wonder that Irene likens the adoption of her two children in question here as their death. Clearly adoption will not be in her interests.

As to Mrs Ann Ongwae and other relatives, it is apparent that they do not comprehend the full implications of an adoption order in this matter. They may feel the adoption is in their interests only to discover when it is too late that it is not in their interests. Right now, it is difficult for me to state that an adoption order in this case will be in the interests of Mrs Ann Ongwae and other relatives of the two infants – from Kisii and Kipsigis.

But as stated earlier, section 5(6) provides that the court shall regard the interests of the infant as paramount. I have found that it can be said that it is in the interests of the infants that the adoption order is made. That is paramount and the interests of the natural mother and those of relatives as well as the interests of the applicant are subject to the interests of the infants. However the interests of the applicant happens to be consistent with the interests of the infants and therefore create no problem in relation with the interests of the infants.

That having been said, I should now consider the effect of an adoption order starting with the provisions of section 7(1)(*a*) setting out the functions of the court as to an adoption order. It says that the court before making an adoption order shall be satisfied that every person whose consent is necessary under this Act and whose consent is not dispensed with has consented to and understands the nature and effect of the adoption order for which application is made and in particular, in the case of any parent, understands that the effect of the adoption order will be permanently to deprive him or her of his or her parental rights. That is what section 16(1) of the Adoption Act is about. It states:

> "Upon an adoption order being made, all rights, duties obligations and liabilities of the parents or guardians of the infant in relation to the future custody, maintenance and education of the infant, including all rights to appoint a guardian and to consent or give notice of dissent to marriage, shall be extinguished, and all such rights, duties, obligations and liabilities shall rest in and be exercisable by and enforceable against the adopter as if the infant were a child born to the adopter in lawful wedlock."

Although under section 7(2) the court is empowered to impose such terms and conditions as it may think fit, I do not think the court has power to impose

terms and conditions which run counter to any of the specific provisions of section 16(1) quoted above.

The court in the English case of *Re J* (*a minor*) [1973] 2 All ER 410 said, as per Rees J, that although as a general rule contact between adopted child and natural parent had to be severed once an adoption order had been made, that rule could be disregarded in exceptional cases were the court was satisfied that by doing so the welfare of the child would be best promoted. The court went on to hold that in *Re J*'s case (*supra*) the circumstances were exceptional and conditions could be imposed.

But although it can be said that the reasons which were being advanced by the father of the minor boy in that case were more or less similar to the reasons given by Irene in the instant case; because in that case the putative or natural father of the minor was saying that the maintenance of contact between himself and the boy was of crucial importance to the proper development and balance of the boy as he shared with his son a temperament and Jewish heritage which enabled him to offer a special and vital contribution towards the upbringing of the son and one which the adopters were unable to make and there was also the natural affection of a father who had to some extent shared a household with his son for those years, that case is distinguishable from the instant case for the following reasons:

First, it was the natural mother of the minor boy and her husband who wanted to adopt the minor. In other words, one of the adopters was a natural parent of the minor. That element is missing from the instant case.

Secondly, no question of dispensing with the natural father's consent actually arose as the natural father was only interested in access. Otherwise, he wanted the minor to remain in the family of the two adopters who included the natural mother of the minor. The natural father was not therefore withholding consent provided conditions were agreed or imposed concerning his access to the minor and that was to be the position only during the minority of the boy as access was not demanded during the boy's adulthood and there was no application for dispensation with consent in that case.

Thirdly, as it was stated in that case, appropriate methods existed for the enforcement of the conditions and undertakings and the parties in the case had the exceptional blessings of having the services of an impartial Official Solicitor as the guardian *ad litem,* who willingly assumed the role of a supervising officer. In the instant case, we have a partisan guardian *ad litem* (although Ms *Omamo* tried to portray the guardian as the court's witness, therefore impartial) and the circumstances generally are quite different from the circumstances prevailing in the case of *Re J* (*a minor*) (*supra*) and that makes me doubt the practicability of effective enforcement of the conditions and undertakings that may be imposed especially since there is no possibility of agreed conditions and undertakings being recorded.

Generally, it is true the applicant resides in Kenya at the moment. She is employed in Kenya and may be having some property in Kenya. She was married in the family of Francis Neko Ongwae and says she belongs to that family and will remain a member of that family. All these appear attractive and one may be tempted to think of imposing conditions. But how will this court ensure that the *status quo*, regarding the residence of the applicant in Kenya as well as her continuation in the family of Francis Neko Ongwae maintaining the sound relationship she claims to have kept with members of that family is maintained. The applicant has so far not taken up Kenyan citizenship. She works with a foreign non-governmental organisation on a temporary basis. If the German

Government decided, for some reason, to recall home all its citizens residing in Kenya, the applicant will go. If the government of Kenya, for some reason, decided to chase away German citizens from Kenya, the applicant will go. If the applicant were denied a work permit, she may find life here intolerable and may decide to leave Kenya.

In any case there is no certainty that the applicant will continue being a member of the Ongwae family maintaining the good relationship she now claims to be having. Will she maintain the relationship if a serious disagreement arises between the applicant and a member of the Ongwae family? Will she remain in Kenya or maintain her membership of that family bearing in mind that the rights and duties emanating from the adoption order are rights obtained by her and duties imposed upon her personally and not to her together with the Ongwae family who may remain in no better position than the position in which Irene and her family or relatives may remain.

From the above therefore, I do not find it tenable to say that since conditions were prescribed in the case of *Re J* (*a minor*), a similar thing should be done in the instant case.

However, that is only in so far as the imposing or the prescription of conditions go. Otherwise the applicant has so far been able to jump over two of the three hurdles she must jump over in order to be granted the adoption order. The first hurdle she jumped over was the racial one under section 4(3)(*c*). The second hurdle she has jumped over is the children's welfare/interests one under section 5(6) and section 7(1)(*b*) and that leads me to the third and last hurdle the applicant must jump over. This is the requirement for the consent of the parent of the infants.

I have already referred to the provisions of section 7(1)(*a*) and section 16(1) of the Adoption Act. The court must be satisfied that every person whose consent is necessary understands the nature and effect of the adoption order and has consented. It means where the person whose consent is necessary does not understand the nature and effect of the adoption order, the court should not accept the consent he has given, and if he has not given consent, he court should not force him to give consent. Where the person who understands the nature and effect of the adoption orders had refused to give consent, the court should not also force him to give consent. But the court is empowered to dispense with consent in certain circumstances when the person to give consent understands the nature and effect of an adoption order but refuses to give consent or when the person cannot understand the nature and effect of an adoption order.

From section 7(1)(*a*) and section 16(1) therefore, I deem it proper to move to section 4(6)(*a*) which says that subject to section 5 an adoption order shall not be made in any case, except with the consent of every person or body who is a parent of the infant. This is a very important section and Lord MacDermott in the case of *Re W* (*an infant*) [1971] 2 All ER 49 refers to a similar section 4(1)(*a*) of the Adoption Act 1958 in England as: "a condition precedent to the making of an adoption order".

The relevant parts of section 5 start with subsection (1)(*a*) which states that the court may dispense with any consent required by paragraph (*a*), (*b*) or (*c*) of subsection (6) of section 4 if it is satisfied, in the case of a parent of the infant, that he has abandoned, neglected, persistently failed to maintain or persistently ill-treated the infant, or that he has failed to exercise the normal duty and care of parenthood in respect of the infant.

Under subsection 1(*c*) of section 5, the court may dispense with consent in any case on the ground that the person whose consent is required has unreasonably withheld his consent.

The applicant is relying on section 5(1)(*a*) and (*c*) in her chamber summons dated 24 November 1997 as amended on 28 January 1998.

Under subsection 3 of section 5, consent may be given either unconditionally or subject to conditions with respect to the religious persuasion in which the infant is to be brought up. It seems this is the only condition the person giving consent can give.

Subsection 6 of section 5 is important. It states:

> "In considering whether or not to dispense with the consent of any person to the making of an adoption order . . . the court shall regard the interests of the infant as paramount and subject thereto shall consider firstly the interests of the parents and relatives of the infant and secondly the interests of the applicants."

Subsection 7 of section 5 is also important. It says:

> "Any consent to the making of an adoption order may be withdrawn without leave of the court at any time prior to the making of an order."

That implies that such consent may not be withdrawn after the making of an order.

It is therefore very important that a person whose consent is required understands the position and it is good to learn, from these proceedings before me, that Irene understands that position very well because section 16(1) makes adoption an irreversible process whereby the rights and obligations of parenthood are extinguished and transferred to the adopter. At the beginning of the process, it appears Irene was not understanding the nature and effect of an adoption order properly. That is the time the applicant says Irene was co-operating, telling the applicant she did not mind the applicant taking care of the children. But when Irene learned that what was wanted was adoption and understood the nature and effect of an adoption order, she changed her mind and refrained from signing the consent forms sent to her by the applicant for signature. In this court she has likened adoption to death.

It was however apparent that other witnesses like Assistant Chief Richard Joseph Ongeri and Mrs Ann Ongwae did not fully understand what an adoption meant. They appear to have been thinking it was mere custody and maintenance of the infants by the applicant and that the infants will remain lawfully the children of Irene. Whenever it was suggested to any one of them that adoption meant that the infants would, in law, become the children of the applicant exclusively, each witness looked surprised, expressing shock, disapproval and exclaiming that a person cannot take another person's child to make it his.

In any case, Irene, as I have said, understands the nature and effect of an adoption order in this matter. She has therefore refused to give her consent to the adoption of her two children by the applicant and the applicant has applied that Irene's consent be dispensed with under section 5(1)(*a*) and section 5(1)(*c*).

> "Persistently ill-treated the infants" and/or that has "failed to exercise the normal duty and care of parenthood in respect of the infants."

Under section 5(1)(*c*) the applicant has to prove that Irene:

> "Being a person whose consent to this adoption is required" has "unreasonably withheld" her "consent thereto."

Those are the prayers set out in the applicant's chamber summons dated 24 November 1997 as amended in the amended application dated 28 January 1998.

Talk about Irene's neglect and her persistent failure to maintain the children or her abandonment of the children or her drunkenness is therefore talk about charges not before this court. Although not specifically stated, a finding of guilty against Irene in respect of any one of the two prayers/charges set out above is sufficient to give the applicant an adoption order.

I have already outlined above the opposing stands taken by the applicant and Irene. The question is whether the applicant has proved her allegations against Irene.

The difference in the standard of living is glaring. The difference in the way of life is also glaring. There is also the difference in outlook. More may be said.

Although she had little money and was a single woman, and could not afford the high standard of living the applicant and her husband could, Irene did not abandon the two infants. On the contrary she managed to maintain them, together with the other two children still in her custody, until 1996. She did not kill any one of them – an indication that she loved them all and could not therefore persistently ill-treat any one of them or fail to exercise the normal duty and care of parenthood.

The court has had no convincing evidence of Irene's drunkenness or of the allegation that the two infants were in ill health, ravaged by scabies and infested with fleas and lice in 1996 at the time their father took over their custody. No medical evidence. But even if they were proved, the existence of any of them *per se* does not prove any of the ills the applicant is alleging against Irene.

The life of a woman single parent is a difficult one especially if the woman lives in rural Kenya and has a low income. However, a good thing in a rural area is that the ties of the extended family still exist and single parents would normally get some assistance from the extended family.

It follows that a normal single parent who struggles to bring up and maintain his/her children within his/her means of living according to the generally accepted social and economic lifestyle and standard of the surrounding cannot be said to be ill-treating, neglecting, hating children or failing to exercise the normal duty and care of parenthood in respect of his/her children simply because the children look after cattle, fetch water and firewood, cultivate in gardens, attend poor schools, speak poor Kiswahili, speak no English, live in grass thatched and mud smeared houses, eat poor food like ugali and milk, school fees is in arrears, are facing the problem of adjustment from one social or lifestyle to another or happen to be ill-clothed, dirty, have scabies, or happen to suffer from malnutrition, especially in rural areas of Kenya today and in the past. To prove ill-treatment, hate, neglect or failure to exercise the normal duty and care of parenthood in respect of the children, better evidence is required. Such evidence has not been adduced before me in this matter.

Irene was not only maintaining her children but also her mother even when her mother was staying with Irene's children. That is normal and has not amounted to evidence proving ill-treatment, hatred or neglect in the circumstances of this case.

When Francis Neko Ongwae was accused of child neglect in a Kisii Court, that did not mean Irene was guilty of child neglect. If she was, why was she not charged in court like Francis? It does not matter if Irene was the complainant against Francis before the Children's Officer. Francis or any other relative was entitled to complain before the same Children's Officer against Irene if Francis or any other relative felt Irene was negligent and the Children's Officer could

have taken Irene to court, charged with the offence of child neglect as Francis was charged.

If Irene complained, it was because she did know the children's father had means which could afford the children a better standard of living and she sought the court's assistance in an effort to get the best for the children and not because she had herself neglected them. On the contrary it was because she cared for the children, as that was not the behavior of a negligent, or a persistently ill-treating mother or one who has failed in her normal duty and care of parenthood.

If on the other hand, the case was a ploy so that Francis could get custody of the children, still no neglect or any of the alleged ills under section 5(1)(*a*) as set out above is proved because whether Irene complained to the Children's Officer or not, the natural father of the two infants owed those infants the duty of care and maintenance. The duty of parental care and maintenance. While as a mother Irene had a parallel duty towards the infants and was discharging it, their father who had the heavier burden of discharging a similar duty, because he was a father and his means or income were much superior to those of Irene, had completely failed or ignored discharging his duty until the intervention of a court case. When therefore, the court gave custody of the infants to their father, that did not in any way reflect failure or neglect on the part of their mother in the circumstances of this case. To prove that their mother had not failed, she remained with the other two children, Sylvia and Omani whom she is taking care of and maintaining to date within her means and can do the same for Julita and Mosoti and therefore it is far fetched to say, as the applicant and the guardian *ad litem* ventured to say in their evidence, that had Francis not taken custody of the two infants, they would have died. Sylvia, the first born and daughter of Irene is in a boarding school where she is always topping her class. I cannot comprehend how she could have had no pens to write, as the guardian *ad litem* reports, because Sylvia could not have been taking the first position in her class without writing.

There is no evidence that Irene is abnormal. No evidence that she is in any way disqualified from remaining the mother of the two infants Mosoti and Julita.

I should point out that under section 5(1)(*a*) the applicant in proving persistent ill-treatment of the infants and failure by Irene to exercise the normal duty and care of parenthood in respect of the infants, has to prove culpability or blameworthiness against the natural parent Irene. That is what I have been talking about above from the point where I started discussing section 5(1)(*a*). The end result is that the applicant has failed to prove culpability or blameworthiness against Irene in respect of the charges the applicant has brought under section 5(1)(*a*).

I now move on to the prayer/charge under section 5(1)(*c*) whereby Irene is charged with "unreasonably withholding her consent". Under this section, the applicant is not required to prove culpability or blameworthiness against Irene to establish "unreasonableness" in withholding consent. Will the applicant succeed here? The test is an objective one and this is what the case of *Re W* (*an infant*) [1971] 2 All ER 49 (*supra*) is about. That case has nothing to do with section 5(1)(*a*) and perhaps a closer look at some of what was said in that case will clarify the position.

In that case an adoption order was made by a County Court based on two conclusions:

> "Firstly that the proposed adoption order was the best course for the welfare of the infant boy.

> Secondly, that the respondent mother's consent which by section 4(1)(*a*) of the Adoption Act, 1958 (our section 4(6)(*a*)) was a condition precedent to the making of an adoption order, should be dispensed with under the powers conferred on the court by section 5(1)(*b*) (our section 5(1)(*c*)) of the same Act because it was being withheld by her unreasonably."

On appeal by the mother of the infant, the Court of Appeal allowed the appeal and set aside the adoption order on the ground that the order had been granted without the respondent having proved culpability or blameworthiness against the appellant.

The respondent in the Court of Appeal appealed to the House of Lords where the decision of the Court of Appeal was overturned and the County Court judgment restored on the basis that it was wrong for the Court of Appeal to have required proof of culpability or blameworthiness by the appellant against the mother of the infant.

Lord Hodson quoted a passage from the judgment of Lord Davis in the case of *Re X* (*an infant*) at page 73 saying:

> ". . . from nearly all the judgments . . . it is apparent that one of the matters which should be taken into consideration is the welfare of the child. Perhaps it would be more accurate to say that one of the matters which a parent ought reasonably to take into consideration in deciding whether or not to withhold consent should be the prospects and outlook for the child if adopted as compared with those if unadopted; these prospects would include material and financial prospects, education, general surroundings, happiness, stability of the home and like."

The Learned Judge went on to quote a consistent and equally valuable passage from the judgment of Lord Denning MR in *Re L* (*an infant*) which passage was also quoted by Lord Hailsham at page 55 saying:

> "In considering the matter I quite agree that: (1) the question whether she is unreasonably withholding her consent is to be judged at the date of the hearing; and (2) the welfare of the child is not the sole consideration; and (3) the one question is whether she is unreasonably withholding her consent. But I must say that in considering whether she is reasonable or unreasonable we must take into account the welfare of the child. A reasonable mother surely gives great weight to what is better for the child. Her anguish of mind is quite understandable; but still it may be unreasonable for her to withhold consent. We must look and see whether it is reasonable or unreasonable according to what a reasonable woman in her place would do in all the circumstances of the case."

Lord MacDermott noted that section 7(1)(*b*) of the Adoption Act 1958 (our section 7(1)(*b*)) provides that the court before making an adoption order shall be satisfied that the order, if made, will be for the welfare of the infant and that the learned trial Judge's first conclusion was enough to meet that requirement. Counsel for the respondent conceded that if that conclusion fell to be considered alone, the evidence was sufficient to sustain it. It was on the Learned Judge's second conclusion, that the mother's consent should be dispensed with as unreasonably withheld, that issue was joined and the Court of Appeal found the trial Judge's decision to be wrong in law and without evidence to support it.

Lord MacDermott said that the Act lays down three fundamental concepts which cannot be left out of account if the word "unreasonably" is to be applied and proved as parliament intended. These are to be found:

> "(1) In section 4 (our section 4(6) which provides that subject to the powers conferred by section 5 (our section 5) there can be no adoption without the consent of the parents.

(2) In section 13(1) (our section 16(1) which makes adoption an irreversible process whereby the rights and obligations of parenthood are extinguished and transferred to the adopter.

(3) In section 7(1)(*b*) (our section 7(1)(*b*)) which says that adoption is to be for the welfare of the infant."

To my understanding, Lord MacDermott was saying, in respect of the three fundamental concepts, that adoption if made must be for the welfare of the infant; but since the making of such an adoption order extinguishes the rights and obligations of natural parenthood because those rights and obligations are transferred to the adopter and the process is irreversible, it is a condition precedent that before an adoption order is made, there must be consent of the parents unless the court has exercised its powers under section 5. It means all the rest, including the welfare of the infant, depend upon the consent of the parent or consent of a person or body representing the parent. In the words of Lord Hailsham, there is "a parental *veto*".

The Court in that case (*Re W supra*) therefore proceeded as per Lord MacDermott to say that these provisions, by their very nature, show that Parliament cannot have contemplated that the process of adoption would be such as to allow the relationship of parent and child – the blood tie – to be sundered lightly and without good reason. He stated:

> "One may therefore assume that it would be contrary to the intention of the Act if a finding of unreasonableness were to be reached on some trivial issue or on grounds which were not clearly established and of substance. Where the natural strength and inherent virtues of the parental bond continues to exist, they must be anxiously regarded in weighing the circumstances relevant to the question of unreasonableness. They are too important and the consequences of adoption too final to let it be otherwise. But that said, it is also to be noted that these factors are not always present or present to the same extent; and further that they will often be best assessed without too much emphasis being placed on purely emotive considerations."

The court went on to say that the statutory process of adoption is aimed at meeting a social need which involves children as well as parents and that starts, in the ordinary course, not with the child being taken from his parents because some authority thinks he would be better off if they were changed, but because he has been offered for adoption by his parents (or one of them) or by some person or body acting on their behalf.

At the same time the statute does not impose a duty upon the adopter to prove culpability or blameworthiness against a parent to establish "unreasonableness" in withholding consent. Lord MacDermott, like other learned Lord Justices in that case, said that the situation was difficult but he held the view again like the rest of the Learned Judges in that case, that the test was an objective one:

> "If only to provide a relatively stable criterion for the exercise of the dispensing power, but if culpability or blameworthiness is to be an added factor, the objectivity of the test will diminish, if it does not disappear, and the yardstick will, in effect, vary from case to case."

According to him the meaning and application of the words "is withholding his consent unreasonably", is to be construed according to its natural significance and not as importing words of guilt or misconduct such as "culpable, blameworthy, self-indulgence or indifference". So constructed, the test for deciding whether consent has been withheld unreasonably is to ask what a reasonable parent, placed in the position of the parent in question, would do. The test is objective.

It was said quoting Lord Jerkins in *Re K* (*an infant*) [1952] 2 All ER 877:

> "*Prima facie* it would seem to me eminently reasonable for any parent to withhold his or her consent to an order (for adoption)."

Lord Hailsham added at page 56 letter b:

> "And, be it observed, "reasonableness" or unreasonable" where either word is employed in English Law, is normally a question of fact and degree, and not a question of law, so long as there is evidence to support the finding of the court."

Each case must depend on its own facts and circumstances:

> "Two reasonable parents can perfectly reasonably come to opposite conclusions on the same set of facts without forfeiting their title to be regarded as reasonable. The question in any given case is whether a parental *veto* comes within it is right or mistaken. Not every reasonable exercise of judgment is right, and not every mistaken exercise of judgment is 'unreasonable'."

In addition to that Lord Hadson quoted a passage from the Judgment of Lord Goddard CJ in *Hitchcock v WB* [1952] All ER at 122 saying:

> ". . . the mere fact that the adoption order will be for the benefit of the child does not answer the question whether consent is being unreasonably withheld."

At the same time Lord Hailsham, drawing a distinction between custody cases and adoption proceedings, said that while in custody cases the welfare of the child is the first paramount consideration, in adoption proceedings the welfare of the child is the second of three separate conditions as to each one of which the court has to be separately satisfied and the first of which is that the consent of the parent must be forth coming at the time of the hearing unless the consent has been validly dispensed with by the court. This is because in adoption cases, unlike custody cases, what is in issue is the parent-child relationship itself and in that relationship the parent as well as the child has legitimate rights. In custody cases what is in question is the custody, care, or control of the child, or perhaps the administration of his property and that is why his interest is the first and paramount consideration.

It was therefore concluded that in coming to its decision on the facts on the issue of unreasonableness, the court must have regard to the totality of the evidence. It is to the totality of the relevant circumstances that the court should look in coming ultimately to the decision that withholding consent is or is not unreasonable. The welfare of the infant must be considered together with other factors, however insignificant, and not to the exclusion of all else.

As the Learned Judges in the case of *Re W* (*an infant*) found, definitely this is a difficult area of adoption cases. Their Lordships in the House of Lords reinstated the trial court's order dispensing with consent of the natural mother and therefore the adoption order was also restored. Should a similar thing happen in this case before me where, like in *Re W* (*an infant*), the issue of dispensing with the natural mother's consent has been tried together with the issue of adoption? In her submissions, counsel for the applicant has specifically asked me to follow that case. On the contrary counsel for Irene says I should not follow that case. What are the facts of that case? They were as follows:

The father and mother of the child – a boy – were not married, though were living together as husband and wife when the child was conceived. The child was conceived against the mother's intention and the father of the child abandoned the mother of the child when he found that she was pregnant and could not be traced thereafter. The child was born in hospital on 28 March 1968 and the mother never took the child home as on discharge one or two days after birth, she left the child who was received into the care of Childrens Department

who on 5 April 1968 placed the child with the adopters temporarily while arrangements were made for adoptive parents to be found.

It was a case of an unwanted child where the natural mother did not like and did not want to live with the child before the adoption proceedings were instituted.

The child remained under the care of and lived with the adopters from 5 April 1968 to the time the adoption proceedings were instituted as the mother's attempt to take the child in July 1968 was discouraged by the Child Care Officers who advised against that court on the ground that it could disturb the child.

The child had been placed under the care of the adopters when only one week old and they became registered as foster parents. They were husband and wife. The natural mother of the boy was unmarried with two older daughters fathered by a person who was not the father of the boy. It was after living with the boy for ten months that the foster parents applied for adoption of the boy. The natural mother gave her written consent about two weeks after the application but she withdrew the consent the following month and maintained her non-consenting attitude throughout the proceedings which followed.

By then the mother was living on social security and family allowances in a rental accommodation offered by a local authority. No independent source of legitimate income.

The court found that the child was conceived against the mother's intention. The mother put him up for adoption within days of his birth and had never seen the boy again before the hearing of the case.

Although the seriousness of her emotions was not questioned, the depth of her feeling for the boy was open to doubt. In the mother's own words, the child was a total stranger to her. She was living solely on public assistance with no foreseeable future employment prospects. She was living in difficult circumstances with no fixed or certain plans as compared to the favourable reports as to the materially better circumstances in the adopter's stable home and the court took into account the welfare point of view, the uprooting element involved in taking the child away from the adopters and handling over to the mother after the lapse of some sixteen to seventeen months.

Those are the facts of that case as compared to the facts of the case before me given earlier. In the first place and without more, I do not find the facts in that case to be the same as the facts in the case before me. I find a number of glaring factual differences, there is the fact that there was no racial element involved in that case in terms of section 4(3)(*c*) of our Adoption Act. There was also no element of a foreigner, non-citizen involved in that case. But those two additional elements of difference are present in the case before me. Furthermore, the element of a possibility by the infant to benefit from the extended family was not present in that case. In the instant case, there is the element of a possibility for the infants to benefit from the extended family not only on the side of Irene's family but also on the side of the Ongwae family. Apart from all that, the two infants have an undisputed beneficiary interest in the estate of their deceased father.

If follows that while I entirely agree with and follow the law and principles a enunciated in the case of *Re* (*an infant*), I hold the view that the facts and circumstances of that case are distinguishable from the facts and circumstances of the case before me and I should not therefore follow the decision in that case, to dispense with consent and grant the adoption order, because applying the same

law and principles to the facts and circumstances of the case before me, I do not come to the conclusion that Irene is withholding her consent unreasonably. I say that having regard to the totality of the evidence before me, including evidence on the welfare and interests of the two infants, as it is my belief, from the totality of the evidence, that a reasonable parent placed in the position of Irene would withhold her consent just as Irene is doing. I therefore find that Irene's parental *veto* comes within the bond of possible reasonable decisions and feel that a situation should not be created whereby it becomes a rule that people of means, people enjoying a high standard of living, people of substance, can simply get hold of other person's children and adopt the children because those other persons are persons of small means only able to afford a low standard of living. As is implied from section 5(1)(*a*)(*ii*) of the Adoption Act, poverty should not be a ground for making an adoption order, especially in the absence of parental consent.

In the circumstances of this case, I do not find Irene's withholding of her consent to the adoption sought unreasonable. The applicant Michaela Ongwae has therefore failed to jump over the last and most important hurdle in this matter. Her application by chamber summons dated 24 November 1997 as amended on 28 January 1998 together with her main application by originating summons dated 24 November 1997 must both fail. Accordingly each application is hereby dismissed with costs.

For the applicant:
RA Omamo instructed by *Omamo & Omamo Adv*

For the respondent:
NM Baraza instructed by *Nancy Baraza & Co*

Provincial Insurance Co of East Africa Ltd v Kivuti
[1995–1998] 1 EA 283 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	11 July 1997
Case Number:	216/96
Before:	Kwach, Tunoi and Shah JJA
Sourced by:	P Le Pelley
Summarised by:	A Mwanzia

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[1] Civil procedure – Summary proceedings – Affidavit evidence – Whether affidavits sufficient to try weighty issues – Referral to trial.

[2] Civil procedure – Summary proceedings – Bona fide triable issue – Unconditional leave to defend – Order XXXV, rule 1 and Order VI, rule 13(b) to (d) – Civil Procedure Rules.

Editor's Summary

The respondent had bought a car from a third party which had allegedly imported the car into the country for private use. The respondent then insured the car with the appellant at the declared value of KShs 1 800 000. The car was later allegedly stolen, and the respondent thereupon made a claim under

the policy of insurance.

The appellant started making inquiries as to the propriety of the importation of the vehicle into Kenya and discovered that the import documents which

these had been cited as being the authority on which the respondent's car had been imported, referred to totally different makes of cars. The appellant, upon discovery of these details, repudiated liability to the insured.

The respondent brought suit against the insurer (appellant) in the High Court seeking to enforce the insurance policy. His contention was that he was not the importer and had bought the car from the third party after satisfying himself that the vehicle registration book entries tallied with the engine number and the chassis number on the vehicle.

The appellant's defences were to the effect that the said vehicle was not properly imported into Kenya as the records held at the Road Transport office showed discrepancies and therefore the respondent's insurable interest in the subject vehicle was doubtful and the contract was unenforceable and tainted with illegality. The appellant also counter-claimed seeking a declaration against the respondent that it was entitled to avoid the contract of insurance and that the same was unenforceable.

The respondent moved the court by an application for summary judgment and for striking out the appellant's defence. The trial Judge granted the respondent's application, struck out both defence and counter-claim and awarded KShs 1 800 000 to the respondent. He found that the respondent was a *bona fide* purchaser.

The appellant then moved to the Court of Appeal, being aggrieved by the decision of the High Court.

Held – In an application for summary judgment even one triable issue, if *bona fide*, would entitle the defendant to unconditional leave to defend (*Kundanlal Restaurant v Devshi and Co* [1952] 19 EACA 77 and *Hasmani v Bandeau du Congo Belge* [1938] 5 EACA 89 applied).

The issues raised by the appellant were weighty issues to be canvassed at the trial and not the kind of issues which could be tried in a summary manner on affidavits. It was not open to the Judge to say that the respondent was a *bona fide* purchaser as that should have been a matter for the trial court.

The defence and counter-claim by the appellant were not shams. The striking out by the Judge of the counter-claim, where it had not been prayed for, was wrong and the order ought to be set aside. The counter-claim, although interwoven with the defence, was a distinct claim.

A judge is bound to carefully consider any summary judgment or striking out application and ought, when specific *bona fide* triable issues are raised, to give unconditional leave to defend.

Appeal allowed, appellant given unconditional leave to defend.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Hasmani v Bandeau du Congo Belge [1938] 5 EACA 89

Kundanlal Restaurant v Devshi and Co [1952] 19 EACA 77

Judgment

KWACH, TUNOI AND SHAH JJA: This is an appeal by the Provincial Insurance Company of East Africa Limited now known as UAP Provincial Insurance

Company Limited (hereinafter referred to as "the insurer") from a judgment and decree of the Superior Court (Pall J as he then was) on 29 February 1996 by which the insurer was ordered to pay to the respondent Mr Lenny M Kivuti (hereinafter referred to as "the insured") a sum of KShs 1 800 000 plus interest and costs. The judgment was entered by the learned Judge after hearing a summary judgment application brought before Order XXXV, rule 1 and Order VI, rule 13(*b*) to (*d*) of the Civil Procedure Rules.

During the year 1992 a company known as Joy Import and Export Company Limited imported into Kenya one Mitsubishi Pajero saloon purportedly for private use as per declaration made by the said company on 4 June 1992.

On 27 October 1992 the said company transferred the ownership of the said vehicle to the insured. The agreement shows that the insured paid a sum of KShs 1 950 000 for the said vehicle to one Mr DS Kandola *vide* a banker's cheque payable to Mr Kandola who acknowledged receipt of the said sum and undertook to transfer the vehicle to the insured.

The insured had the said vehicle insured with insurer at a declared value of KShs 1 800 000 and by an endorsement effective from 27 October 1992, the insurer insured the said vehicle which was registered as KAC 852Q. This insurance cover was transferred from the insurer's previous vehicle registration number KVH 306 for which transfer the insured paid an additional premium of KShs 12 609.

On 14 May 1993, the insured was allegedly robbed of the said vehicle by sword-wielding robbers and the insured made a claim under the policy of insurance. To put the record straight the policy of insurance was numbered 9103069-1.

The insurer then started making inquiries as to the propriety of the importation of the vehicle into Kenya and sought and eventually obtained the relevant import documents. Triplicate copy of import entry document which carries custom entry number 492 (this number being supplied by the registrar of motor vehicles) refers to one "used motor vehicle Toyota Carina" with country of origin as Japan. Another copy of the same custom entry (number 492) – refers to one "Mitsubishi Station Wagon" with country of origin as Dubai. It is this discrepancy which bothered the insurer and which led the insurer to repudiate liability to the insured.

The insured's stand in the Superior Court was simple. He said he was not the importer and had bought the vehicle from Joy Import and Export Company Limited after satisfying himself that the vehicle registration book entered tallied with the engine number and the chassis number on the vehicle. The learned Judge accepted this position as exonerating the insured from any import irregularities and entered judgment in his favour.

In an application for summary judgment even one triable issue, if *bona fide* would entitle the defendant to have unconditional leave to defend. See *Kundanlal Restaurant v Devshi and Company* [1952] 19 EACA 77. Also see *Hasmani v Bandeau du Congo Belge* [1938] 5 EACA 89.

In the instant case the insurer took defences to the effect that the said vehicle was not properly imported into Kenya as the records held at the Road Transport Office show that the vehicle was imported from Dubai (that is it may not have been new vehicle); that the bill of lading shows that the vehicle was imported from Chiba, Japan that import entry number 492 relates to a Toyota Carina vehicle which was imported from Singapore; that the engine and chassis numberare incomplete; that therefore the insurer's insurable interest in the subject

vehicle was doubtful; that the contract was unenforceable and tainted with illegality. The insurer in fact counter-claimed seeking a declaration against the insured to the effect that it was entitled to avoid the contract of insurance and that the same was not enforceable.

The issues raised by the insurer are not the kind of issues which can be tried in a summary manner of affidavits. These are weighty issues to be canvassed at the trial and, with respect, the learned Judge fell into error when he dismissed the issues raised by the insurer by reference simply to the fact that the insured was a *bona fide* purchaser without notice of the discrepancies regarding the importation on local registration of the vehicle. It was, with respect, not open to the learned Judge so to say that the insured was a *bona fide* purchaser without notice of the discrepancies. That would have been a matter for the trial court. The issue as to whether a purchaser who buys an item which may have been unlawfully imported or improperly imported is bound by the provision in section 203(1) of the Customs and Excise Act (Chapter 472) Laws of Kenya which would be a matter for trial.

The defence and counter-claim by the insurer was not a sham. In our view it raised tribal issues and it is our considered view that the insurer ought to have its day in court to call evidence to establish its defence and counter-claim.

The learned Judge although he was not asked to do so proceeded to strike out the insurer's counter-claim that order was, in our view, wrong and ought to be set aside. The counter-claim although interwoven with the defence is a distinct claim and does not merit striking out as was done.

Whilst a judge of the Superior Court is bound to carefully consider any summary judgment or striking out application he ought to, when specific bona fide triable issues are raised, give unconditional leave to defend. We are unable to say that in the instant case the issues raised were not worthy of consideration at trial.

The upshot of all this is that this appeal is allowed. The judgment and decree of the Superior Court is set aside, the defence and counter-claim is restored and the appellant is granted unconditional leave to defend the suit and prosecute its counter-claim. The appellant will have costs of this appeal whilst the costs of the application in the Superior Court will be costs in the cause in the Superior Court. These are our orders.

For the appellant:
Information not available

For the respondent:
Information not available

Republic v Bukuku
[1995–1998] 1 EA 286 (HCT)

Division:	High Court of Tanzania at Mbeya
Date of judgment:	8 March 2000
Case Number:	170/99
Before:	Mackanja J
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

[1] Children – Crime – Juvenile – Boy aged 16 – Whether a young person or a juvenile – Section 2 – Minimum Sentences Act, 1972 – Section 12 – Children and Young Person Act (Chapter 13).

[2] Crime – Punishment – Juvenile offender – Boy aged 16 sentenced to imprisonment for burglary and stealing – Whether sentence appropriate – Factors to consider in imposing sentence on juvenile offenders.

Editor's Summary

Bukuku had been charged and convicted of burglary and stealing. He was convicted on his own plea of guilty. At the time of his conviction, he was aged 16. Because the Minimum Sentences Act does not apply to juveniles, the trial court decided to apply the provisions of the Children and Young Person Ordinance when sentencing Bukuku. He was sentenced to one year and six months' imprisonment respectively, in respect of the first and second counts. No appeal was preferred but the High Court *suo moto* decided to revise the sentence.

The Court invited the Director of Public Prosecutions to make known his views on the matter. The Director of Public Prosecutions contended that the sentence was lawful as it was within the jurisdiction of the subordinate courts pursuant to the provision of section 170(1)(*a*) of the Criminal Procedure Act and that the Children and Young Persons Act was misapplied because Bukuku was not a young person for purposes of that Act.

Held – Although Bukuku was not a young a person under section 12 of children and Young Person Act, he nevertheless was a juvenile for purposes of section 2 of the Minimum Sentences Act.

When considering what sentence is the most appropriate courts should not lose sight of the objective of juvenile justice. The juvenile justice system should be guided by the idea that rehabilitation not punishment, is the proper method of handling deviant behaviour among youths. The youths lack the moral and judgmental maturity of older people hence they should be considered to be less deserving of legal culpability (*Thompson v Oklahoma* [1982] 487 US and *Schall v Martin* [1984] 467 US 255 263 adopted).

The Court should also examine the personal characteristics of the accused, including his age, health, the background of his upbringing and whether the accused was a first offender.

A custodial sentence was not the best punishment in the circumstances of Bukuku's case. Bukuku discharged from prison.

Cases referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

United States of America

Schall v Martin [1984] 467 US 255

Thompson v Oklahoma [1982] 487 US

Judgment

MACKANJA J: Uswege Bukuku was 16 years when he was convicted of burglary contrary to section 294(2) and of stealing contrary to section 265. Both are Penal Code offences. The convictions are founded on the convict's own

plea of guilty. The statutory minimum sentence for adult convicts for the offence charged in the first count is three years' imprisonment. Because section 2 of the Minimum Sentences Act, number 1 of 1972, provides that the provisions of that Act do not apply to juveniles, the trial court decided to apply the provisions of the Children and Young Person Ordinance, Chapter 13, when sentencing the convict. He was sentenced to one year and six months' imprisonment, respectively, in respect of the first and second counts. He did not appeal, but it occurred to me that that the sentence needed a second look.

The Director of Public Prosecutions was invited to make his views known on this matter. Mr *Boniface*, learned State Attorney, appeared on his behalf. Learned counsel submitted that the trial court erred when it treated the convict as a juvenile under Chapter 13 because section 12 of that Ordinance defines a young person to be above 12 years but below 16 years of age. According to him the relevant law is section 170(1)(*a*) of the Criminal Procedure Act which creates the penal jurisdiction of subordinate courts. Since the sentence is within the jurisdiction of the trial court, he says if revision be necessary the Court may only consider the fact that Chapter 13 was misapplied.

I have considered learned counsel's views; I am of the settled view that his contribution to this judicial exercise is untenable. Although he is right in saying that the convict is not a young person under Chapter 13, he nevertheless is a juvenile for purposes of section 2 of the Minimum Sentences Act which defines a juvenile to be one who is below the age of 18 years. So the convict who was 16 years when convicted, was a juvenile. He still is a juvenile because he is yet to become 18 years.

As a juvenile what, really, may be a most appropriate sentence for him? When considering what sentence is the most appropriate courts should not lose sight of the very objective of juvenile justice. Our juvenile justice system should be guided by the idea that rehabilitation, not punishment, is the proper method of handling deviant behavior among youths. This benign perspective is based on the view that people in this group lack the moral and judgmental maturity of order people. Hence they should be considered to be less deserving of legal culpability. Courts should take into account that those of tender age can yet be channeled away from long term criminal behavior by not sending them to jail. As it was observed in the United States of America case of *Thompson v Oklahoma* [1982]487 US at 835 as quoted at page 685 of an Ameran journal entitled *The Wake Forest Law Review* Volume 33 number 3, 1988 the courts should always bear in mind the fact that: "the proposition that less culpability should attach to a crime committed by a juvenile due to the relative inexperience, lesser education, and immaturity of youngsters, as well as their greater propensity to act as a result of 'peer pressure' and emotion". In another America case *Schall v Martin* [1984] 467 US 255, 263, it was held that: "the state has a *parens patriae* interest in preserving and promoting the welfare of the child".

These ideals cannot be achieved if juveniles are consigned to prisons where they may meet hardened criminals. In order to promote the welfare of juvenile delinquents courts should first resort to non-custodial sentences such as those that one provided for under sections 18, 21, 22, 23 and 24 of the Children and Young Persons Ordinance, namely:

> "(1) a discharge of the child without making any order;
>
> (2) conditioning discharge of the offender on entering a recognizance with or without sureties;

(3) to bind him over to be of good behavior and to appear for sentence when called, upon at any time during such period, not exceeding three years;

(4) binding him over, and placing him under a fit person, usually a welfare officer, for supervisions;

(5) to holder his/her parent to pay a fine, compensation or cost on behalf of the child where there is evidence that the juvenile committed the offence as a result of being neglected by the parents;

(6) an order to commit the child to an approved school; and

(7) in the rarest of the occasions, corporal punishment".

Indeed, in the course of discharging its task in considering a most appropriate punishment the court should not lose sight of the need to examiner the personal characteristics of the accused, including his age, health, prior criminality, the background of his upbringing and as in the instant case, the fact that the convict is a first offender. More gravely, he is an epileptic. What purpose then can be served in sending a person of such health to prison? He will benefit from neither corrective measures nor is he likely to be trainable by reason of his disease of the mind. These circumstances should be considered because, invariably, social background of a delinquent juvenile sometimes is influenced by the environment in which the child has grown. Lack of filial love, neglect and cruelty may account a lot in moulding behavioural inclination during this formative stage. So it is quite true, as one writer said, that:

> "The commission of an offence is frequently a symptom of the delinquent's need of care and protection, and the moral danger of those brought before the court beyond control or in the need of care and protection is often greater than those accused of some minor offence. While truancy might at first sight seem unconnected with juvenile crime, experienced magistrates have stressed the close relationship between it and delinquency. Truancy at the least gives the young child time to get into mischief; at the worst it is a sign that something is wrong, either with the child himself or with his home . . . *Fitzgerald Criminal Law and Punishment* 1962 at 262–3".

It is reasonable, therefore, that such matters are taken into account when sentencing juvenile delinquents. Back to the present case the convict has lost both his parents; he is a truant and that kind of life may have contributed largely to the mischief that has landed him in jail.

It is by reason of the foregoing considerations that a custodial sentence is not the best punishment in the circumstances of this case.

The convict was sent to jail on 11 November 1999. He has only a day or so to complete four months, the maximum time he is required to serve his sentence. The time he has been in jail satisfies the interests of justice. The sentence is so revised, therefore, so as to amount to his immediate discharge from prison. Unless he be further held on some other lawful excuse he is discharged form prison forthwith. This revisional order shall be delivered by the District Registrar.

Order accordingly.

For the appellant:
Information not available

For the respondent:
Nangela, State Attorney instructed by Attorney-General

Republic v Minister for Transport and Communication and another ex parte Kenya Consumers Organisation and another

[1995–1998] 1 EA 290 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of ruling:	15 April 1996
Case Number:	276/96
Before:	Omolo, Akiwumi and Shah JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Appeal – Procedure – Application to strike out appeal – Appeal filed out of time – Time within which appeal to be filed – Preparation of copies of proceedings and judgment – Certification of copies – Whether time required for certification to be excluded in computation of time – Rule 81(1) – Court of Appeal Rules.

Editor's Summary

The applicant herein sought orders striking out the respondents' appeal. Counsel for the applicant argued that the appeal had been filed out of time without leave. The respondents had lodged their notice of appeal on 7 October 1995 and applied for copies of the proceedings and judgment appealed against on 18 October 1995. On 8 October 1996, counsel for the respondents' office received a letter from the High Court notifying it that copies of the proceedings and judgment were ready for collection, but they were not collected until 4 November 1996. Counsel for the respondents argued that in calculating the time for lodging an appeal, the period required for preparing and delivering certified copies of the proceedings and ruling ought to be excluded. In this case, that period had been from 18 October 1995 to 14 November 1996, as indicated by the certificate of delay signed by the Senior Deputy Registrar of the High Court, and, if that period was excluded, then the appeal had been instituted in time, that is within 48 days from 14 November 1996.

Held – The Rules of the Court provided that the period of time for instituting an appeal was limited to 60 days from the date on which the notice of appeal was lodged. In calculating that period, only such time as was needed for the preparation and delivery of the copies in question was to be excluded. The Rules did not provide for extra time for collecting the copies of proceedings. Any time required for certifying copies was not to be excluded as the record of appeal did not require certified copies of proceedings, rulings or judgments. It was clear from the affidavit filed by the respondents' advocate's clerk that the delay in collecting the copies of proceedings was on account of lack of funds and such delay did not stop the time running under the proviso to rule 81(1).

Application allowed, appeal struck out with costs to the applicant.

Case referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Nairobi Home Economics v African Heritage [1985] LLR 251 (CAK)

Ruling

OMOLO, AKIWUMI AND SHAH JJA: The interested party, Kenya Posts and Telecommunications Corporation seeks order for striking out of civil appeal number 276 of 1996 which appeal has been filed by Mr *Kibara* for Kenya Consumers Organisation and Mike Mills on behalf of himself and all members of Langata and District Association, which two organisations will be referred to herein as the respondents. The interested party will be referred to herein as the applicant. The applicant through its corporation secretary Mr Samuel Kiprono Chepkong'a states that the said appeal is filed out of time without leave. Mr *Inamdar* for the applicant argued that the respondent applied for copies of proceedings and judgment in the Superior Court on 18 October 1995 and that therefore time to lodge an appeal stopped running as from that date. The period for instituting an appeal is limited to within 60 days from the time the notice of appeal is lodged. In this instance the notice of appeal was lodged on 7 October 1995. It is therefore clear that at the time the letter bespeaking copies of proceeding and judgment was filed in the Superior Court, twelve days, out of the 60 days allowed had already passed.

It is confirmed by Mr Jacob Kyalo, the clerk to Mr *Kibara*, that his office received the letter from the Superior Court notifying that the copies of proceedings and judgment were ready for collection; it is also confirmed by Mr Kyalo that the said letter was received by his office on 8 October 1996.

Under the proviso to rule 81(1) of the Rules of this Court the time to institute the appeal began running as from 9 October 1996, so that the appeal ought to have been instituted on 25 November 1996 as per following arithmetic:

Period prior to lodging letter for proceedings and Judgment	12
Period from 9 October 1996 to 31 October 1996	23
	35
Number of days available in November 1996	25
Total	60

There is no provision in the Rules of this Court for allowing extra time or what is referred to as reasonable time by Mr Chepkong'a for collecting the copies of the proceedings. Even if we were to allow such extra time, say of seven days, the appeal ought to have been instituted by 2 December 1996 whereas the same was not instituted until 18 December 1996.

Mr *Kibara* for the respondent argued that certificate of delay signed by the senior deputy registrar of the Superior Court states that the time required for the preparation and delivery of certified copies of the proceedings and ruling was from 18 October 1995 to 14 November 1996 and that therefore the appeal was instituted in time that is within 48 days of 14 November 1996. Mr *Kibara* argued that this Court cannot ignore the certificate of delay issued by the superior court and in support of his argument he referred to the case of *Nairobi Home Economics v African Heritage* [1985] LLR 251 (CAK). In that case the learned single Judge of this Court Platt JA held that this Court cannot simply ignore a certificate of delay and that we are bound to accept the certificate as *prima facie* correct, subject to amendment by the registrar and small corrections of obvious slips. We must keep in mind the fact that the application before Platt JA was for enlargement of time to file an appeal and not an application to strike out an appeal lodged out of time.

But with the greatest of respect to Platt JA we are unable to agree that the certificate to delay is wrong then, on the basis of available evidence, the Court cannot simply ignore the same. Here there is no question of obvious slips. The question here really is when did the time for instituting the appeal expire and as we have calculated, arithmetically, the time for institution of the appeal ran out on 26 November 1996.

Mr *Kibara* drew our attention to a notation by some clerk in the Superior Court's registry to the effect that the proceedings were checked as correct on 4 November 1996 that *Kibara*'s clerk went to pay for proceedings and ruling. If, as he ought to have done, he had gone to collect the proceedings on the date he received the letter from the Superior Court the date would have been 8 October 1996. Mr *Kibara*'s submission that the unavailability of funds from his clients caused the delay in collecting the proceedings and judgment (ruling). Lack of funds is no excuse. Mr *Kibara* argued that it was not for lack of funds that there was a delay. But his clerk deponed "that the proceeding could only be certified and collected upon payment of KShs 3 780 which was not immediately available". He also deponed as follows:

> "5. That on 4 November 1996 I received the necessary funds and paid for the proceedings (annexed is the receipt marked Jk).
>
> 6. That after payment of the charges the proceedings were taken to the deputy registrar for certification".

It is obvious to our minds that the delay in collecting the copies of proceedings and ruling was on account of lack of funds. Such delay does not stop the time running under the proviso to rule 81(1) of the Rules of this Court. Only such time as may be required for preparation and delivery to the appellant of copies in question is to be excluded in computing the 60 day period for lodging an appeal. Time, which may be taken by obtaining a certificate of delay, is not to be excluded. Time needed for certifying copies of proceedings and judgments or rulings is not to be excluded in computing such time for the simple reason that the record of appeal does not need certified copies of proceedings, judgments or rulings. But even if the time taken to do such certification were to be excluded, the appeal according to our calculations referred to above, would still be out of time.

We think it is time litigants and their advocates carefully read rule 81 of the Rules of this Court before lodging appeals. The rigours of this rule can of course, be overcome by rule 4 of the Rules of this Court. But that is not in issue before us at the moment.

The application is therefore allowed and civil appeal number 276 of 1996 is ordered struck out. The applicant will have the costs of this application as well as the costs of the appeal itself. The first and the second respondents will bear their own costs of the application and the appeal as they, through their counsel, did not apply for the striking out of the appeal.

For the applicant:
IT Inamdar instructed by *Inamdar & Inamdar Adv*

For the respondent:
KN Kibara instructed by *AA Swaleh & Co*

Roy Shipping SA and others v Dodoma Fishing Co Ltd (1)

[1995–1998] 1 EA 293 (CAK)

Division: Court of Appeal of Kenya at Nairobi

Date of judgment: 16 December 1997

Case Number: 238/97

Before: Akiwumi, Pall and Bosire JJA

Sourced by: P Le Pelley

Summarised by: A Mwanzia

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[1] Admiralty law – Appeal – Application to set aside issue of writ in rem *and to discharge warrant of arrest granted against vessel – Whether appeal lies without leave of High Court – Section 4 – Judicature Act (Chapter 8) – Section 75 – Civil Procedure Act (Chapter 21).*

Editor's Summary

The High Court dismissed an application by way of a notice of motion filed by the appellant to set aside the writ *in rem* and discharge the warrant of arrest issued in an admiralty action against the vessel "Mama Otan". The appellant appealed to the Court of Appeal and on the hearing of the appeal, the respondents applied to have the appeal struck out on the ground that no leave to appeal had been obtained before filing the appeal.

Held – Under section 4(4) of the Judicature Act, no leave was necessary whether the decision to be appealed against amounted to a decree or an order.

No cases referred to in judgment

Judgment

AKIWUMI, PALL AND BOSIRE JJA: On 6 September 1996, Dodoma Fishing Company Limited, which we shall hereafter refer to as the respondent, issued a writ *in rem* against the motor vessel "Mama Otan", claiming possession of it on the ground that it is the owner of the vessel. The vessel was subsequently arrested.

On 3 October 1996, Roy Shipping SA, whom we shall hereafter refer to as the appellant, moved the High Court (Ang'awa J), for an order striking out the writ and for the release of "Mama Otan" form arrest on the ground that no action *in rem* lay because the respondent had neither a legal nor equitable right over the vessel as would entitle it to bring the action. However, Ang'awa J declined to grant the orders for reasons which are not relevant in the motion before us, and thereby provoked this appeal.

In this motion the respondent has moved the Court under rule 80 of this Court's rules for an order striking out the appeal on the ground that no prior leave to appeal had been obtaining in terms of the provisions of section 75(1) of the Civil Procedure Act, as the order appealed from did not finally determine the rights of the parties.

Mrs *Gudka*, who with Mr CB *Gor* appeared for the respondent, submitted before us that a right of appeal being a substantive matter it means that, like is the practice in England where except for appeals on the question of liability, in

Kenya too, appeals from the High Court in admiralty matters lie with the leave of that court. Besides, she said, a careful reading of section 4(4) of the Judicature Act, which confers a right of appeal from such decisions, clearly shows that the distinction in Part VIII of the Civil Procedure Act, between decrees and orders is retained with regard to appeals in admiralty matters and consequently leave to appeal was essential here.

On the other hand Mr *Inamdar*, who with Mr *Nanji* appeared for the appellant, submitted that contrary to the view expressed by Mrs *Gudka* that section 4(4) above, apart from preserving the distinction talked about in the preceding paragraph and that it prescribes a time frame and the mode of entering appeals, a plain reading of the sub-section clearly shows that it confers a substantive and unqualified right of appeal which cannot be taken away by inference. Besides, he said, the subsection excludes the application of English law.

The determination of the motion depends on the construction of the provisions of section 4(4) of the Judicature Act. Section 4(1), of that Act, designates the High Court as a court of admiralty. Section 4(2) thereof prescribes the jurisdiction the court exercises and the law and procedure applicable in the exercise of that jurisdiction. Section 4(4), as we said earlier, confers a right of appeal from decisions of that court. The central issue in the motion is whether that right is automatic and unqualified or whether it is restricted.

Section 4(4), above, reads as follows: “An appeal shall lie from any judgment, order or decision of the High Court in exercise of its admiralty jurisdiction within the same time and in the same manner as an appeal from a decree of the High Court under Part VII of the Civil Procedure Act”. The reference to Part VII in the subsection is, in our view, an error in drafting because that Part does not at all deal with appeals. The relevant Part which we think was intended is Part VIII. It has several sections which make provision for appeals from both decrees and orders. Section 75 of the Civil Procedure Act, which falls within that Part makes provision for appeals from orders. The first limb of section 75(1), deals with appeals from orders which do not require leave, while the second limb deals with appeals from any other orders which require prior leave. As a general rule, orders which conclusively determine the rights of the parties on all or any of the matters in controversy in a suit or matter are appealable as of right. All the other orders fall in the second category in which prior have prior leave to appeal against them is essential.

The jurisdiction exercisable under section 4, above is, special, and so are the procedures for seeking a remedy. The section re-enacts English law and practice in admiralty matters by reference. Subsection (4) thereof, which we reproduced earlier, must be construed not only in terms of its wording but also in light of the jurisdiction being exercised. Prolonged detention of a motor vessel certainly has the often undesired effect of increasing expense on the owner or hirer thereof and may lead to serious breaches of contractual obligations. So the policy of the law in admiralty matters appears to us to be that judicial proceedings should be determined within minimum delay. So contrary to what Mrs *Gudka* urged, section 4(4), above, seems to us to have been intended not only to confer an unrestricted right of appeal but also to remove the distinction between appeals from decrees and orders under English practice as also under Part VIII of the Civil Procedure Act, and prescribes that appeals from all decisions of an admiralty court would be appealable in the same way as decrees in an

ordinary civil suit, that is without first obtaining leave. Any other construction will, in our view, render the entire subsection *otiose.*

In the result we are of the view and so rule that the application has no merit. It is, therefore, ordered to be dismissed with costs to the appellant.

For the appellant:
IT Inamdar and *Nanji* instructed by *Inamdar* and *Inamdar Adv*

For the respondent:
S Gudka and *CB Gor* instructed by *AB Patel* and *Patel Adv* and *CB Gor* and *Gor Adv*

Sebaggala v Attorney-General and others
[1995–1998] 1 EA 295 (CAU)

Division:	Court of Appeal of Uganda at Kampala
Date of judgment:	15 June 1999
Case Number:	1/99
Before:	Manyindo DCJ, Mpagi-Bahigeine, Berko, Engwau and Kitumba JJA

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[1] Constitution – Limitation of time – Petition filed outside 30 days from date cause of action arose – Petition not disclosing grounds upon which exemption from limitation requirement is claimed – Whether petition should be struck out – Rule 4(1) – Modifications to the Fundamental Rights and Freedoms (Enforcement Procedure) Rules of 1992 – Order 7, rule 6 – Civil Procedure Rules.

[2] Constitution – Uganda – Constitutional Court – Jurisdiction – Provisions of Constitution incorporated in an Act of Parliament – Whether court has jurisdiction to hear petition arising from interpretation of incorporated sections – Supremacy of the Constitution – Article 2 – Constitution of Uganda.

Editor's Summary

The petitioner was elected Mayor of Kampala. In February 1999, he was sentenced to 15 months' imprisonment by the USA District Court of Massachusetts. On 2 March 1999, the Solicitor-General wrote to the Permanent Secretary: Ministry of Local Government, notifying him that in terms of articles 183(1)(*b*), 80(2)(*e*) and 83(1)(*b*) of the Constitution, the Mayor of Kampala was deemed to have vacated office by virtue of imprisonment for a term exceeding nine months. The Permanent Secretary informed the clerk to the city council of Kampala who then notified the electoral commission. The electoral commission issued a press release informing the general public of the vacancy in the Mayoral seat of Kampala and set down the polling day.

The petitioner on 13 May 1999 filed a constitutional petition challenging the Solicitor-General's interpretation of the constitution and the constitutionality of all subsequent actions.

The state raised preliminary points of objection to the petition. It was *inter alia* contended that the Court lacked jurisdiction to entertain the petition because the Solicitor-General's letter was

interpreting the Local Government Act and not the Constitution since the articles of the Constitution referred to by

the Solicitor-General had been incorporated into the Local Government Act. It was also argued that the petition was time-barred as it was filed on 13 May 1999 more than 30 days from the date of the Solicitor-General's letter in contravention of rule 4(1) of the modifications to the Fundamental Rights and Freedoms (Enforcement Procedure) Rules of 1992.

Held – The Constitutional Court was not denied jurisdiction simply because provisions of the Constitution have been incorporated in an Act of Parliament. The provisions of the Constitution cannot be diluted by incorporation. This would derogate from the provisions of article 2, which guaranteed supremacy of the Constitution.

A constitutional petition filed outside 30 days from the date of cause of action arose will be struck out if it does not comply with the provisions of Order 7, rule 6 of the Civil Procedure Rules to disclose grounds of exemption from limitation (*Rwanyarare and another v Attorney-General* constitutional petition number 11 of 1997 and *Otabong v Attorney General* (1991) ULSLR 150 followed).

Petition dismissed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Otabong v Attorney-General Supreme Court civil appeal number 6 of 1990

Rwanyarare and another v Attorney-General constitutional petition number 11 of 1997

Tinyefuza v Attorney-General Supreme Court constitutional appeal number 1 of 1997

Ruling

Manyindo, Mpagi-Bahigeine, Berko, Engwau and Kitumba JJA: This Constitutional Petition is brought by Al Hajji Nasser Ntege Sebaggala against the Attorney-General as first respondent, the Electoral Commission, second respondent and City Council of Kampala, third respondent. It is brought under articles 50 and 137 of the Constitution, and under the provisions of the Fundamental Rights and Freedoms (Enforcement Procedure) Rules, 1992 as Modified by the Directions, 1996, legal notice number 4 of 1996.

The petition seeks the following declarations:

"(i) that the Solicitor-General's opinion based on his interpretation of the provisions of the Constitution set out in his letter to the Permanent Secretary, Ministry of Local Government dated 2 March 1999 to the effect that the Mayor of Kampala, Al Hajji Nasser Ntege Sebaggala is deemed to have vacated his office on being sentenced in USA to a term of imprisonment exceeding nine months is contrary to the Constitution of Uganda;

(ii) that the act of confirmation by the Permanent Secretary, Ministry of Local Government that the Mayoral seat of Kampala is declared vacant and also the Permanent Secretary's directive for commencement of electoral proceedings to fill the alleged vacancy is invalid it being contrary to the Constitution of Uganda;

(iii) that the act of Kampala City Council declaring the Mayoral seat of KCC vacant is also invalid it being contrary to the Constitution of Uganda;

(iv) that the pronouncement of the Electoral Commission that the Mayoral seat of KCC has become vacant and organisation of the programme and process of electing a new Mayor in place of Al Hajji Nasser Ntege Sebaggala together with the ensuing election are invalid they being in contravention of the Constitution of Uganda; and

(v) that your petitioner cannot be removed from office through the process adopted and carried out by the Respondents and he is, therefore, entitled to continue to be and still is the Mayor of Kampala and Chairperson of Kampala District".

The petitioner also seeks an injunction restraining the Electoral Commission, second respondent, from conducting any by-election for Chairperson/Mayor of Kampala District/City until after the seat thereof has lawfully become vacant or any other relief the court may deem appropriate under the circumstances and costs of the Petition.

The first respondent is the Attorney-General of Uganda and is sued in his representative capacity under the Government Proceedings Act (Chapter 69)

The second respondent is the Electoral Commission of Uganda established under article 60 of the Constitution and responsible for organising elections and by-elections.

The third respondent is the Local Government/Council for City of Kampala/Kampala District established by the Local Government Act number 3 of 1997.

The petitioner was on 19 April 1998 elected Mayor of Kampala City under the Local Government Act for a period of four years.

On 24 February 1999 the petitioner was sentenced to 15 months imprisonment by the United States of America District Court of Massachusetts. On 8 March 1999 he filed a notice of appeal to United States Court of Appeals which appeal has not yet been heard or disposed of.

On 2 March 1999 the Solicitor-General wrote to the Permanent Secretary, Ministry of Local Government (C. 17) concerning the status of the Mayor of Kampala. This letter is not on record, only excerpts were cited by the Permanent Secretary in her communication to the Clerk to Council of Kampala City Council on 25 March 1999 – annexure "B".

The relevant portions of annexure "B" read: "In terms of the Provisions of Articles 183(1)(*b*), 80(2)(*e*) and 83(1)(*b*) of the Constitution, the Mayor of Kampala is deemed to have vacated his office on being sentenced to a term of imprisonment exceeding nine months on account of losing the qualifications required to hold that office". Concerning the doubts surrounding his conviction outside Uganda the Solicitor-General guided that and, I quote:

> "The Provisions of Article 80(2)(*e*) of the Constitution do not specify that the General in question must be a Ugandan Court provided, of course, the relevant Court possessed competence in the place where the subject in question was sentenced. It therefore, follows that provided the sentence in question exceeds nine months imprisonment the Court in question need not be a Uganda Court.
>
> The purpose of my writing to you is therefore to confirm that the Mayoral seat of Kampala is declared vacant and Electoral proceedings should commence to file the vacancy".

On receipt of annexure "B", the Clerk to the Third Respondent, acting under section 172(1) of the Local Government Act, 1997, by her letter, annexure "C", notified the second respondent that the vacancy for the post of Mayor of Kampala occurred on 24 February 1999, the day the petitioner was sentenced to 15 months' imprisonment.

On 15 April 1999 the second respondent issued a press release annexure "D" informing the general public of the communication from the third respondent that the Mayoral seat of Kampala District had been declared vacant and therefore in accordance with sections 102 and 172 Local Government Act, the second respondent was making preparations for filling the said vacancy.

On 23 April 1999 the second respondent by a press release, annexure "E" published the programme for the bye-election. According to the said programme polling day was due on 20 June 1999.

At the commencement of the hearing, Mr Deus *Byamugisha*, Acting Director: Civil Litigation, leading a team of advocates for the first and second respondents, raised five preliminary points of objection to the petition.

The first objection was that this Court lacked jurisdiction to entertain this petition. It was argued that the Solicitor-General's letter to the Permanent Secretary, Ministry of Local Government, was interpreting the Local Government Act and not the Constitution. It was pointed out that by virtue of section 713, the Local Government Act had incorporated the articles of the Constitution referred to by the Solicitor-General – *viz* 83(1)(*b*), 80(2)(*e*) and 183(1)(*b*) under the doctrine of incorporation. It was therefore contended that this case rested solely on the Local Government Act, and that since there was no averment in the Petition that those provisions of the said Act was inconsistent with the Constitution, this Court has no jurisdiction in the matter.

The second point of objection was that the petition did not disclose a cause of action against the first and second respondents. It was stated that the first respondent was sued in his representative capacity under the Government Proceedings Act. The Solicitor-General's letter was advisory and not directory. The second and third respondents could have either accepted or rejected it. The first respondent could therefore not be responsible. It was also contended that the second respondent was merely carrying out its statutory duties under the Electoral Law and Local Government Act.

The third point of objection was that the petition was time-barred. It was submitted that the petition was filed on 13 May 1999, more than 30 days from the dates of the two letters of the Solicitor-General and Permanent Secretary constituting the acts complained of and which are dated 2 March 1999 and 25 March 1999 respectively. It was stated that this was outside the 30 days prescribed by rule 4(1) of legal notice number 4 of 1996.

The fourth point of objection was that the petitioner was not justified in coming to this Court as he could have had recourse to other courts for other remedies enforceable by those courts under article 50 of the Constitution. It was asserted that the Electoral Commission under article 61(7) and section 15(1) of the Electoral Commission Act, number 3 of 1997 is empowered to inquire into and investigate electoral complaints arising before and during the electoral process and that the occurrence of a Mayoral vacancy is part of the electoral process which the Commission could investigate and if need be decline to hold a bye-election on grounds of irregularity of non-existence of a vacancy.

The fifth point of objection concerned one of the two affidavits in support of the petition. The petitioner's affidavit dated 4 May 1999 (paragraphs 3, 4 and 5) was attacked for non-disclosure of the source of information. It was contended that the following words appearing in paragraph 4 thereof "That I have received information from Uganda conveyed *inter alia*, by Mr Mathias Nsubuga" were too wide and lacked precision as to who gave him that information. It was however conceded that there was nothing wrong with the second affidavit supporting the petition.

Mr *Sendege Jehoash*, learned counsel for the third respondent, associated himself with the submissions of counsel for the first and second respondents, Mr Cheborion *Barishaki*, Senior Principal State Attorney, who halfway took over from Mr *Byamugisha*. Mr *Sendege* addressed the Court only on the question of the jurisdiction and contended that once the provisions of the Constitution are incorporated they become part and parcel of the incorporating law, in this case the Local Government Act.

Therefore it is the Local Government Act and not the Constitution that has to be looked at.

Therefore the question of the interpretation of the Constitution by this Court does not arise. He too prayed for the Petition to be struck out.

Mr *Lule* SC, for the petitioner, in reply pointed out that this Court has jurisdiction to entertain this petition under its powers conferred by article 137(3)(*a*) and (*b*) of the Constitution. He submitted that the purported incorporation of the articles complained of would be tantamount to amending the Constitution by an Act of Parliament which would make the statute supreme to the Constitution. He argued that nowhere in the pleadings was it mentioned that the Solicitor-General was interpreting the Local Government Act. He asserted that all the pleadings, including affidavits, indicate that the Solicitor-General was interpreting the Constitution and as no amendment to the pleadings was sought to introduce such incorporation, to entertain such argument would amount to a departure from the pleadings.

In the alternative, Mr *Lule* submitted that even if incorporation could be considered, the petition (paragraph 12) referred to article 257(1) as the basis of this petition and which calls for interpretation of the word "Court" appearing in the Solicitor-General's letter to the Permanent Secretary, Ministry of Local Government. He applied the same argument to article 183 which was not said to have been incorporated and which calls for interpretation by this Court. In his view this Court is seized with jurisdiction in this matter under article 137(*a*)(*b*).

Regarding the objection concerning lack of cause of action, Mr *Lule* submitted that there was a chain of acts by the Respondents making one complete whole which affects the petitioner's constitutional rights and thus constitute a cause of action.

As to the petition being time-barred, Mr *Lule* pointed out that it was not clear who moved the Solicitor-General, but that his letter to the Permanent Secretary was not copied to the petitioner, though it was copied to several other officials. Nor was that of the Permanent Secretary to third respondent copied to the petitioner. He submitted that there was therefore no way the petitioner could have known of the decisions of the Solicitor-General and the Permanent Secretary. It was not until the press release of 15 April 1999 that the petitioner

became aware of what was happening. According to Mr *Lule*, the press release was the culmination of a series of acts which constituted a cause of action and that until then there was no cause of action. The petition was filed and received by the Court on 13 May 1999 and served on and received by the respondents the following day on 14 May 1999. The action was therefore not time-barred. It was within the 30 days prescribed by rule 4(1) of legal notice number 4 of 1996.

Regarding the fourth point of objection that this matter lay with the Electoral Commission under section 15(1) of the Electoral Commission Act, Mr *Lule* submitted that the irregularities envisaged in the section do not extend to, cover or embrace the question as to whether or not a vacancy had occurred. Therefore if was not open to the Second Respondent to investigate the matter of the vacancy of the seat.

Regarding the objection to the petitioner's affidavit, Mr *Lule* submitted that the source of knowledge, information and belief were duly disclosed by paragraph four of the petitioner's affidavit, mentioning Mr Mathias Nsubuga, the petitioner's political adviser, as the source. He said paragraph five is a follow up on paragraph four and is an expression of grief over what has happened as a result of paragraph four which information had been released by Mr Nsubuga. Paragraph six states his belief that the acts revealed by Mr Nsubuga are in violation of his constitutional rights. He asserted that paragraph nine was an incorporating paragraph, incorporating all paragraphs which show his source of information and belief. He submitted that this affidavit was competent and that in any case there was a second affidavit which was not attached.

In reply, Mr *Cheborion Barishaki*, Senior Principal State Attorney, disputed Mr *Lule*'s claim that there was a chain of actions and that the cause of action arose after the press release. He asserted that there were distinct actions separate from each other and done on separate dates; the Solicitor-General's letter was written on 2 March 1999 while that of the Permanent Secretary was dated 25 March 1999. He argued that neither Mr Nsubuga nor the petitioner states the date when the said letters came to their notice. He suggested, however, that whatever the position, the petitioner should have applied for extension of time by exemption and after pleading it.

Regarding the objection as to jurisdiction, Mr *Cheborion* further argued that the Petition disclosed no matter for interpretation as the constitutional provisions relating to elections of Council members are contained in Part 10 of the Local Government Act and section 173 thereof, invokes the Parliamentary Elections Law which is partly found in articles 183, 80, 83 and 257 of the Constitution to file the gaps by importing those articles into the Local Government Act. He stated that Article 257 only comes in aid of specific articles and there was therefore nothing constitutional about it.

Mr *Lule* with leave of the court further replied on a point of law that the incorporation of article 257(1) into the Local Government Act could not arise under section 173 of Local Government Act which only extends to Part 10 of the Act and not beyond. He said Part 10 only deals with electoral process. It does not refer to the definition of "Court".

Mr *Lule* pointed out that the Act has a definition clause under section 3 where there is no general definition of "Court".

We now turn to the first objection which is whether this Court has jurisdiction in this matter. It is the contention of the petitioner that the Solicitor-

General's interpretation of articles 80(2)(*e*), 83(1)(*b*) and 183(1)(*b*) of the Constitution is wrong and he is aggrieved by the misapplication of these articles to his circumstances. These articles form the basis of the Solicitor-General's "guidance" in his letter to the Permanent Secretary, Ministry of Local Government, who in turn communicated the same to the Third Respondent in terms set out above.

There is no mention of any Act of Parliament in annexure "B". The third respondent's answer and supporting affidavit sworn by the acting clerk to Council, Mrs Muyonjo, confines itself to articles 80(2)(*e*), 183(1)(*a*), 83(1)(*b*) and 257(1) and 126. It is only in the alternative (paragraph 8) that the Third Schedule to the Local Government Act, 1997 is alluded to. Paragraph nine of her affidavit refers to section 172(1) of the Act under which she was obliged to notify the third respondent of the vacation of office by the petitioner.

In its brief answer the second respondent refers to section 172 of the Local Government Act under which it moves and article 61 which is the enabling provision. In the supporting affidavit, paragraph five, the Chairman of the second respondent, Mr Kasujja, refers to article 186(6) which stipulates the period of six months within which the vacancy District Chairperson should be filled.

Regarding the first respondent's answer and supporting affidavit by Mr Lucian Tibaruha, Director of Legal Advisory Services, only the articles of the Constitution in question are mentioned.

Section 172 of the Act is only mentioned by paragraph 10 of his affidavit in connection with the Second Respondent's mandatory obligation to organise bye-elections within six months of the date of notification of the vacancy. It is plain therefore that there is no mention of the Local Government Act as alleged.

Article 137 which confers jurisdiction on this Court provides:

> "(3). A person who alleges that:
>
> (a) an Act of Parliament or any other law or anything in or done under the authority of any law; or
>
> (b) any act or omission by any person or authority, is inconsistent with or in contravention of a provision of this Constitution, may petition the Constitutional Court for a declaration to that effect, and for redress where appropriate".

We do consider it plain enough that this Court has jurisdiction to entertain this petition. The Court cannot lose jurisdiction merely because the Local Government Act has incorporated certain articles of the Constitution. Strangely all the authorities cited relate to incorporation of Acts into other Acts and none refers to a situation where the provisions of the Constitution have been incorporated into Acts. We are of the view that provisions of a constitution cannot be diluted by incorporation. In this case that would derogate from the provisions of Article 2 which guarantees the supremacy of the Constitution. For the foregoing reasons this ground of objection is overruled.

The next point to consider is whether or not there was a cause of action. Cause of action was defined by *Mulla on the Code of Civil Procedure* Volume 1 (14 ed) at page 206 as follows:

> "'A cause of action' means every fact, which, if traversed, it would be necessary for the plaintiff, to prove in order to support his right to a judgment of the Court. In other words, it is a bundle of facts which taken with the law applicable to them gives the plaintiff a right to relief against the defendant. It must include some act done by the defendant since in the absence of such an act no cause of action can possibly

> accrue. It is not limited to the actual infringement of the right sued on but includes all the material facts on which it is founded. It does not comprise evidence necessary to prove the facts but every fact necessary for the plaintiff to prove to enable him to obtain decree. Everything which if not proved would give the defendant a right to an immediate judgment must be part of the cause of action. It is, in other words, a bundle of facts which it is necessary for the plaintiff to prove in order to succeed in the suit. But it has no relation whatever to the defence which may be set up by the defendant, nor does it depend upon the character of the relief prayed for by the plaintiff. It is a media upon which the plaintiff asks the court to arrive at a conclusion in his favour. The cause of action must be antecedent to the institution of the suit".

This definition was approved by *Tinyefuza v Attorney-General* the Supreme Court constitutional appeal number 1 of 1997. We also agree with that definition. As we have already pointed out above the Solicitor-General's letter was the basis of what followed. The letter was an act and not mere advice as was rightly held by the Supreme Court in *Tinyefuza's* case (*supra*) that act constituted a cause of action for which the First Respondent is answerable.

With regard to the second respondent, it is clear that it is obligated under article 60(7): "to hear and determine election complaints arising before and during polling". In our view this would embrace the electoral process including registration, checking of registers and voters cards. We do not consider that this would involve investigations or inquiring into the occurrence of a vacancy.

As Mr *Lule* rightly pointed out the Electoral Commission is a necessary party to the proceedings as it would be the body to execute this Court's orders in the event the petition succeeded. As for the third respondent, it merely notified the second respondent about the existence of the vacancy for the post of Mayor of Kampala under section 172(1) of the Local Government Act. In so doing the third respondent was merely carrying out its statutory obligation. We are satisfied that there is no cause of action against the second and third respondents. Therefore this ground of objection succeeds only in part.

As for the alleged defects in the petitioner's affidavit, we see none. In paragraph 4 of that affidavit the petitioner cites Mathias Nsubuga, his political assistant, as his source of information. In any case there is a second affidavit of Nsubuga himself in support of the petition and which affidavit has not been challenged. Accordingly we overrule this objection.

We now come to the last objection which is that this petition is time-barred. We have ruled that the Solicitor-General's letter of 2 March 1999 is the cause of action. It was strenuously argued by Mr *Lule* that there was no way the petitioner could have known of this letter since it was never copied to him. He maintained that the petitioner only became aware of the impending polls through the press releases "D" and "E" dated 15 April 1999 to 23 April 1999 respectively. According to him that is when time began to run.

Rule 4(1) of the modifications to the Fundamental Rights and Freedoms (Enforcement Procedure) Rules, 1992 Directions, prescribes 30 days within which to lodge a petition after the date of the breach of the Constitution complained of in the petition. Also see *Rwanyarare and another v Attorney-General* constitutional petition number 11 of 1997, where this Court clearly held that a constitutional petition is incompetent if it is brought out of time unless the time has been extended. In the case before us the Petition was filed on 13 May 1999. Clearly this is well out of time. It is not clear whether Mr *Lule* believed the Press Releases were the beginning of everything nor does Mr Mathias Nsubuga

in his affidavit talk about the date when he first became aware of what was happening. However, Order 7, rule 6 of the Civil Procedure Rules provides – "Where the suit is instituted after the expiration of the period prescribed by the law of limitation the plaint shall show the grounds upon which exemption from such law is claimed". Therefore assuming that the petitioner became aware of what was happening after the Press Release, recourse should have been had to Order 7, rule 6 of the Civil Procedure Rules. The petitioner should have sought exemption from Court but did not.

In *Otabong v Attorney-General* Supreme Court civil appeal number 6 of 1990, [1991] ULSLR 150 it was held that where a period of limitation is imposed, it begins to run from the date on which the cause of action accrues.

The Supreme Court further held that as the plaint did not plead disability as an exemption from limitation as required by Order 7, rule 6 of the Civil Procedure Rules, which is couched in mandatory terms, failure to do so was fatal to the claim outside limitation. Coupled with the above, Order 7, rule 11 provides for the rejection of the plaint where the suit appears from the statement in the plaint to be barred by any law. For the foregoing reasons, this Court has not alternative but to dismiss the Petition on this ground and it is so ordered. The Respondents shall recover their costs from the petitioner.

For the petitioner:
Lule SC instructed by *Sebalu & Lule Adv*

For the Respondents:
D Byamugisha instructed by Attorney-General

Suba v Egerton University
[1995–1998] 1 EA 303 (HCK)

Division:	High Court of Kenya at Nairobi
Date of judgment:	15 January 1997
Case Number:	929/96
Before:	Mbito J
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Civil procedure – Application for judicial review – Leave to file application – Application to be made within 21 days of leave being granted – Order LIII, rule 3 – Civil Procedure Rules.

[2] Constitutional law – Non-discrimination – Whether the respondent had acted in a discriminatory manner towards the applicants – Sections 82 and 84 – Constitution of Kenya.

[3] Judicial review – Application for prerogative orders – Principles to be applied in determining whether to grant orders – Natural justice – Preparation of university calendar – Whether respondent acted in compliance with rules of natural justice in preparing its calendar – Whether students had a right to be consulted – Whether the respondent had acted in breach of its parent Act – Section 4 – Egerton University Act (Chapter214).

Editor's Summary

The respondent issued a press release calling on some of its students to report for studies at various campuses. Those to report to its Njoro campus excluded, *inter*

alia, second and fourth year students. The applicants, who were fourth year students at the University, were aggrieved by this action and sought to have the respondent ordered to allow them to report with the other students. The applicants obtained leave to seek prerogative orders within 21 days. The application was filed out of time when, by a notice of motion, the applicants sought orders from the Court prohibiting the respondent from treating them in a discriminatory manner and compelling it to admit them and other fourth year students of the University. The grounds on which the application was based were, inter alia, that if the applicants were not allowed to commence their studies the University would be in breach of its duties and acting contrary to the Constitution. Counsel for the applicants argued that the University should have complied with the rules of natural justice and consulted with the students before preparing the charts of studies and that, in the absence of any consultation, the decisions reached by the respondent were null and void. The respondent, in reply, contended, inter alia, that the application was an exercise in futility as it had been overtaken by events. Its counsel argued that the respondent was under no obligation to consult the applicants in determining what or how they were to be taught and that the decisions reached were not intended to be adverse to the applicants.

Held – In determining whether to issue a writ, the Court had to determine whether the offending body had acted in breach of its legal powers in making the quasi-judicial decision alleged to have breached the complainants' rights. The applicant had to show that there resided in him a legal right to the performance of a legal duty by the respondent. In this instance, there was no legal requirement for the respondent to admit the applicants on a particular date nor did the applicants have a right to complete their studies by 1997. The preparation of charts of study was purely administrative and there was no need to consult with the applicants. Thus the issue of natural justice did not arise.

Moreover, the University Act was not discriminatory and in fact, prohibited discrimination. Here all the respondent had done was to set out a programme as to how those entitled to its services were going to be served and it was not discriminatory for students to be allowed to study at different times.

The issue of prerogative writs was a matter for the discretion of the Court and the Court did not act in vain. In this instance, even if the applicants made a case for any prerogative writs, the order would not enable the applicants to commence their studies at the same time as the other students, and therefore no useful purpose would be served by the grant of the orders sought.

Order LIII, rule 3 of the Civil Procedure Rules provided that where leave was granted for an application for a prerogative writ, the application had to be made within 21 days. This was a mandatory requirement and the court would not entertain an application filed out of time without an extension of the period having been granted (*Osolo v Ochola* [1995] LLR 365 (CAK) followed). In this instance, the application had been filed, one day out of time without any extension having been granted. The application was accordingly not properly before the Court as it had been filed out of time without leave of the Court.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**"

means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Osolo v Ochola [1995] LLR 365 (CAK)

Republic v Kenya Nation Council miscellaneous suit number 274 of 1995 (UR)

Suba and others v Egerton University miscellaneous application number 157 of 1996 (UR)

United Kingdom

Republic v Churchwardens of All Saints, Wigan [1876] 1 App 622

Judgment

Mbito J: By this notice of motion filed on 7 November 1996 pursuant to leave granted on 16 October 1996 and expressed to be under the provisions of section 84 of the Constitution of Kenya and Order LIII of the Civil Procedure Rules and all other enabling laws, the applicants sought the following orders

> "(1) That an order of prohibition do issue directed to the Egerton University by its vice-chancellor, senate, employees, servants, agents or otherwise however from treating the applicants and other incoming fourth year students in a discriminating manner by not allowing them to begin the 1996/97 academic year together with other students on 14 October 1996 as advertised.
>
> (2) That an order of mandamus do issue directing the vice-chancellor and/or academic registrar of Egerton University to admit the applicants and other fourth year students on 14 October 1996 or so soon thereafter as the Court shall direct."

The facts relied upon by the applicants as set out in the statement, are said to be *inter alia* that unless the applicants are allowed to commence their fourth year studies as advertised, the university would be acting in breach of what they had undertaken to do when it admitted the applicants herein and would be acting in breach of section 82 of the Constitution, section 4(2) of the Egerton University Act and that the Academic Registrar had no power to prevent the applicants from starting their studies on the 14 October 1996. On the other hand the University contends *inter alia* that the application is an exercise in futility as it had been overtaken by events and at the University was not required by law to admit them to studies on the 14 October 1996 as to entitle the Court to compel it to do so.

On account of the seriousness which the parties have attached to this case, a short background of the facts leading to this application would go along way in crystalysing the issues for determination. It is not disputed that the respondent is a body corporate empowered to disseminate knowledge to various interested persons and award degrees to such of them as fulfill its set standards. In particular, by virtue of the provisions of section 4(1)(*d*) of the University Act, hereafter called the Act, it is empowered "to determine who may teach and what may be taught and how it may be taught in the University". It is however not allowed to act in a discriminatory manner by force of the provision of section 4(2) of the Act and/or section 82 of the Constitution.

Acting in pursuance of its aforesaid powers, the respondent admitted the applicants to its student body for the academic year 1992/93 to study courses leading to the award of various degrees at its various campuses for example Njoro Laikipia. No period within which the degrees were to be awarded were

given in the letters of offer. However on accepting the offer to join the University, the applicants and others were issued with students identity cards valid until 1997 but no calender was issued by the University and students were to embark on studies as notified from time to time through the press or radios after making necessary arrangements for their studies for example lectures, accommodation et cetera.

In line with the above policy or procedure, on 7 October 1996, by a press release the respondent informed some of its students in various years of study to report for their studies in various campuses, on 14 October 1996. Those supposed to report at Njoro campus excluded second years and fourth years as well as BE and fifth years, who were to report on 3 February 1997. This act appears to have aggrieved the applicants and now want the respondent to be ordered to allow them to report for studies on the 14 October 1996 to the Njoro Campus along with the other students. According to them, if this was not done it would be discriminatory and the University would be acting ultra vires its enabling Act.

The respondent does not seriously dispute the facts leading to this application. It clarifies that there was no contract to the effect that the academic years of the applicants would end in 1997 and that even if the applicants were allowed into the campus on 14 October 1996, their academic years would still go beyond 1997. It also stated that the charts for studies are solely issued by the University to show how it intends to conduct its courses for the applicants and other students and is not discriminative of any class of students as alleged or at all. It is based on the ability to provide facilities for the teaching of the students at any given time having regard to various factors such disruption of studies by students' riots, lack of finances, availability of staff, availability of facilities for teaching practice, availability of space for teaching accommodation and the work to be covered.

In presenting the applicants' case, Mr *Imanyara* and Mr *Kigano*, the learned counsels for the applicants submitted that the University should have complied with rules of natural justice in preparing the charts for studies and as this had not been done by involving the applicants in the preparation the resultant decisions reached by the respondent were invalid and should be ordered to admit the applicants for studies on the said date. In support of this contention he referred the Court to the decisions in the cases of *Suba and others v the Egerton University* miscellaneous application number 157 of 1996 (UR) and *Republic v Kenya Nation Council* miscellaneous suit number 274 of 1995 (UR) in which my brothers Mbogholi J and Kuloba J granted prerogative orders as orders had been made in contravention of the rules of natural justice. In his view the applicants should have been consulted before they were excluded from reporting on 14 October 1996 and as such the decisions reached by the respondent were null and void and should be so declared and the respondent ordered to allow the applicants to start attending classes on the 14 October 1996 a date now long past.

Mr *Musangi* on the other hand strongly opposed the application. He contended that the respondent was not under any obligation to consult the applicants in determining what or how they are to be taught. Consequently, the rules of natural justice did not arise as decisions made were not intended to be adverse to the applicants nor so contemplated in the making thereof. He also

submitted that the matter had been overtaken by events as by the time the application was made the other students for other years had already reported and it would be impossible to make special arrangements for the applicants to commence their studies earlier than programmed in the charts as that may involve expenditure of further funds which cannot be provided under the Universities current budget.

As can be seen from the above review of facts and legal submissions, three issues arise. The first one is whether, in the circumstances of this case, a prerogative writ can properly issue. Secondly whether if such a writ were issued in the circumstances of this case, it would serve any useful purpose. Finally whether the application for the prerogative writs was made timeously.

In determining whether or not a writ should issue the main issue is whether the offending body has acted in breach of its legal powers by say acting contrary to natural justice in making the judicial or quasi-judicial decision which has breached the complainants legal rights. According to *Halsbury's Laws of England* (4 ed) Volume I, at 131 paragraph 120 the applicant for an order of mandamus must show that there resides in him a legal right to the performance of a legal duty by the party against whom the mandamus is sought. In other words the respondent must be under a duty to perform the act complained about by the applicant. Looking at the facts leading to the current application, I am unable to discern a legal requirement for the respondent to admit the applicant to studies on a particular date, in particular on 14 October 1996 or that the applicants must complete their studies by 1997 failing which they could not be admitted to study. There is no such legal duty imposed by law on the respondent. The law only empowers the respondent to carry out courses and award degrees. The manner in which the teaching is to be carried out is left to the able discretion of those in charge of the respondent. I am therefore of the view that a legal duty to admit the applicants to the University on a particular date has not been made out by the applicants and the preparation of charts of study are purely administrative and are the absolute discretion of the respondent. Consequently the need for consultation with the applicants does not arise nor does the issue of natural justice arise in the cause of the preparation of such administrative charts for studies. It is also not discriminative for students to be allowed to study at different times. It is purely administrative.

The other issue which arises is whether orders sought would serve any purpose, the operative date having long passed and by the time the application was made on 7 November 1996, and it being settled law that the issue of an order of mandamus is discretionary and the Court does not act in vain. According to *Halsbury's Laws of England* (4 ed) Volume I at 112, paragraph 91, the learned authors state that the grant of an order of mandamus is, as a general rule, a matter for the discretion to the Court. In *Republic v Churchwardens of All Saints, Wigan* [1876] 1 App 622 referred to at 112 of *Halsbury's Laws of England* (4 ed) Lord Hetherby is reported as having remarked as follows: "Upon a prerogative writ there may arise many matter of discretion which may induce the judges to withhold the grant of it, such as matters connected with delay, or possibly with the conduct of the parties".

I agree entirely with the above. Applying myself judicially to the facts of this case, I observe that although the matter complained of is said to have come to light on 7 October, leave to seek prerogative orders, was not obtained until 16 October 1996 long after the date fixed had passed and the motion was not filed until 7 November 1996 after 21 days had lapsed from the date leave was

granted. Consequently even if the applicants had made out a case for any of the prerogative writs, the order at this late hour could not have enabled the applicants to start their studies on 14 October 1996 now long past. The order would also involve the parties in reorganising the entire academic charts thereby throwing the whole institution into a lot of mess and yet the applicants will be entitled to commence their studies on the 3 February 1997 as earlier programmed. No useful purpose would therefore be served by the grant of the prerogative orders sought herein.

This now leads me to the last issue, namely whether this application is properly before the Court. According to Order LIII rule 3, when leave is granted for an application for a prerogative writ, the application has to be made within 21 days. As leave herein was granted on 16 October 1996, this application should have been filed by or before 6 November 1996. This was not done and it was filed on 7 November 1996, one day out of time without extension of the period by the Court. According to the Court of Appeal (Akiwumi, Tunoi and Shah JJA) in *Osolo v Ochola* [1995] LLR 365 (CAK) this requirement is mandatory and the Court cannot consider such an application until the period has been extended. Thus even if I were wrong in not finding a case for a prerogative writ or in exercising my discretion, I would nevertheless have had to refuse this application on the grounds that it was filed out of time without leave of Court.

In conclusion I wish to make an observation in passing in relation to section 84 as read with section 82 of the Constitution on which the application was brought. With due respect to the learned counsel for the applicants, I am unable to find any part of the University Act which is discriminatory. It in fact prohibits discrimination and all that the respondent has done is to set out a programme as to how all those entitled to its services will be served. This cannot by any stretch of imagination be said to be discriminative except possibly by a figment of imagination by those interested in creating confusion instead of order.

The Court's attention was also drawn to the cases of *Suba* and *Kenya National Examination Council* (already mentioned hereinabove). In my view they were decided on the basis of different sets of facts. They clearly related to quasi judicial decisions. My brethren therein were, like me, not also well served as counsels did not address the Courts on the role of the court in such matters. If, say, my brother in the case of *Suba* had been made aware that according to paragraph 99 of Volume I of the (4 ed) of *Halsbury's Laws of England* at 117, the writ of mandamus is only to require a party to carry out its duty and not to make a decision on behalf of the party vested with the power to make a decision, I believe the decision might have been for a rehearing of the disciplinary case and not an order dismissing the complaint and readmitting the complainants. This would similarly apply to my brother in the case of the *Kenya National Examination Council*. Indeed in *Halsbury's Laws of England* (4 ed) Volume I at 124 paragraph 108 it is stated that "as a general rule no mandamus will go commanding the actual grant, renewal or transfer of licence". In my view to command actual readmission or release of results is unusual as it amounts to usurpation by the Court of the rules of such important bodies and may lead to their collapse. It may also eventually lead to conflicts between the three arms of a constitutional government, namely the legislature, executive and judiciary, the functioning of which are a prerequisite for the rule of law. In such cases, the Court's role is to see that the law has been followed and not to substitute its

decisions for those of the persons empowered by Parliament to run such institutions. A part from the apparent usurpation of other bodies powers in the two decisions, I would agree with the orders setting aside the decisions reached contrary to law, thereby giving them options to follow the law by referring the matter back to them requiring them to reach decisions which are in accordance with the law.

All in all and for the reasons hereinbefore canvassed, I find that this is not a proper case in which the Court could convassed, I find that this is not a proper case in which the Court could use its discretion in favour of the applicants and hereby dismiss this motion with costs. Orders accordingly.

For the applicants:
Imanyara and *Kigano* instructed by *Gitobu Imanyara & Co*

For the respondent:
BM Musangi instructed by *Munyasya & Co*

Syan v Syan
[1995–1998] 1 EA 309 (HCK)

Division:	High Court of Kenya at Nairobi
Date of ruling:	11 November 1996
Case Number:	28/88
Before:	Amin J
Sourced by:	LawAfrica
Summarised by:	A Mwanzia

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[1] Family – Divorce – Consummation and Desertion – Petitioner alleging lack of consummation of marriage and desertion by Respondent – Whether marriage consummated – Whether Respondent guilty of desertion – Whether divorce decree to issue.

Editor's Summary

The Petitioner sought dissolution of his marriage to the Respondent on grounds of lack of consummation of the marriage or in the alternative on grounds of desertion. The Respondent contended that the marriage was consummated but she was denied access to the matrimonial home. Evidence had showed that the parties had spent some time together and spent some nights together. After a few months, they departed company when the Respondent left the matrimonial home pending divorce or reconciliation.

Held – The marriage was consummated before it turned sour. The Respondent had deserted the matrimonial home and a decree *nisi* dissolving the marriage would be issued.

No cases referred to in ruling

Ruling

AMIN J: The Petitioner Jasmeer Singh Syan by his petition has sought the dissolution of his marriage to the Respondent which was solemnised on 23 November 1986.

The Petition is:

> "(i) For a degree of nullity on the grounds that the marriage has not been consummated;
>
> (ii) Or, in the alternative, for dissolution on grounds of discretion".

The Respondent in answer to the petition, *inter alia*, avers that the marriage was consummated and that Respondent was denied access to the matrimonial home when she attempted to do so.

The two issues before the court for determination are as follows:

> "(1) Whether the marriage was consummated.
>
> (2) Whether the Respondent deserted the petitioner as alleged".

The Petitioner Jasmeer Singh Syan testified in court in support of his petition.

For the Respondent Paramjeet Kaur Syan and PW2 Dr Ved Ramrakha both testified.

The learned counsel for the petitioner Mr *R Rebello* and learned counsel Mr *Appopo* for the Respondents in support of their respective case, have submitted written submissions for the Court's consideration.

The Petitioner Jasmeer Singh Syan and the Respondent Paramjeet Kaur Syan, both Sikhs, lawfully married on 23 November 1986 under the provisions of Hindu Marriage and Divorce Act (Chapter 157) at Ramgaria Sikh Temple, Nairobi. Upon marriage the young couple took up residence at the home of the Petitioner's parents (the Syan family home) at Mtelo Road South C Nairobi and some months thereafter parted company.

In the Petitioner's written submissions it is submitted in paragraph 1 5 "that the cohabitation under the roof lasted only three and a half months or there about." For part of that time the Petitioner and Respondent slept in separate rooms. From the above submissions it therefore appears that for at least part of the time during their stay together, the newly married couple shared "a room under the same roof". The issue of consummation of marriage before this court, I have considered with an anxious mind in the light of the evidence tendered by the parties in support of their respective stand. I have also considered all that both counsel had to say and the authorities and the law cited by them in this respect.

It is unfortunate that the marriage celebrated between the Petitioner and Respondent on the customary high note did not reach the climax of their expectations. That was in 1986, almost ten years ago to the day.

The marriage is no more in existence is real terms. The function of the exercise before this Court is to give legal sanction to the existing facts surrounding the lives of these two young people.

It is for the Petitioner to prove his case on the basis of probability. He has, as already observed, testified before the Court and so has the Respondent. I have seen and heard them both. It is my view, that both have somewhat exaggerated the events leading up to the breakdown of their short marriage. RW Dr Dev Ramrakha who examined the Respondent was of the opinion that the marriage was consummated.

On the totality of the evidence adduced by the petitioner and Respondent and RW2 before the Court and on the balance of probability, I am satisfied that the marriage was consummated before it turned sour.

As for the second issue before the Court I find that the letter Exhibit B a document signed by the Respondent's father in-law aptly explains the situation. The Respondent agreed, at the behest of her in-laws, to move into her parents house "pending any separation or divorce proceedings or any mutual proceedings as regarding our marriage." Despite repeated reconciliation efforts the situation remained as it was.

Again on the balance of probability I find that the Respondent left her matrimonial home, the home of her in-laws, and did not regain entry thereto. The reasons for the breakdown of this marriage on the consideration of the evidence before the Court is not an abstract but it is based on a number of factors which contributed to this break down. The joint family system, high expectations and low yield and acute jealousy cannot be ruled out as contributory factors to this failure.

I find that there is convincing evidence to prove constructive desertion. A mere wish that the other spouse should leave is insufficient by itself to constitute constructive desertion. It must be accompanied by grave and weighty character as to make cohabitation virtually impossible (Rayden on Divorce (14 ed)). Lord Green in Bucher, *inter alia*, held that to establish that, the petition, the evidence or conduct relied upon need not necessarily amount to a matrimonial offence but it must be of grave and convincing nature.

According to Rayden on Divorce (*supra*) at page 249 "In its essence desertion is the separation of one spouse from the other with an intention on the part of the deserting spouse of bringing cohabitation permanently to an end without reasonable cause and without the consent of the other spouse.

However from the evidence adduced it appears that husband has principally a minor part to play in the Respondent's leaving him. She stayed away.

Notwithstanding the advantages and constraints of a Hindu joint family system for new wife could not stand the sight of the affectionate style of her husband's family. She was not "grooved in" and remained an outsider, an outcast "not smart enough", as she describes it and left.

The Petitioner and the Respondent have graphically explained the days they spent together. At the time of the departure of the Respondent there was no physical marriage in existence. I need not repeat these details in my Judgment. It would suffice to state that I have taken full note of all that is on the record of the Court in arriving at my decision.

In this age and time when such unfortunate happenings in human relations are on the increase the Courts arduous duty is to adjudicate with a cold and cruel logic, with little regard to the emotions and feelings which such disputes generate, and to pronounce a Human Judgment.

On the preponderance of probability I prefer the accounts of events as narrated by the Respondent on issue number 1 and by Petitioner on issue number 2 as the ultimate cause for the unfortunate breakdown of this, what once must have been happy wedlock.

I have already observed that the marriage is practically at an end and it now only remains for the Court to do the rest formalise the situation. The marriage is hereby dissolved.

Decree *nisi* to issue and is to be made absolute after thirty days.

As the Respondent succeeds in respect of the first issue and the Petitioner issue 2, I award costs to the Respondent.

Respondent is at liberty to apply under the provisions of matrimonial causes Act.

Orders accordingly.

For the Petitioner:
ARS Rebello instructed by *AR. Rebelo Adv*

For the Respondent:
Appopo

Tanzania Cotton Marketing Board v Cogecot Cotton Co SA
[1995–1998] 1 EA 312 (CAT)

Division:	Court of Appeal of Tanzania at Dar-es-Salaam
Date of judgment:	24 February 1997
Case Number:	52/96
Before:	Lubuva JA
Sourced by:	AT Nguluma
Summarised by:	A Mwanzia

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[1] Arbitration – Award – Filing award in court – Whether award filed may be executed – Section 16(1) – Arbitration Ordinance (Chapter 15).

[2] Appeal – Stay of execution – Averment that applicant would suffer great loss and business brought to a stand still – Whether details and particulars of loss must be specified – Rule 9(2)(b) – Court of Appeal Rules of 1979.

Editor's Summary

The applicant had entered into a sale agreement for the purchase of raw cotton. The respondent company was the buyer. A dispute between the parties was referred to the Liverpool Cotton Association Limited for arbitration. An award in favour of the respondent was confirmed by the Technical Appeal Committee of the arbitrators. On request by the respondent, the arbitrators filed the award in the High Court. The applicant raised objection against the filing of the award on the ground that improper procedure in filing the award had been applied. The objection was overruled.

The applicant being dissatisfied by the decision of the court lodged a notice of appeal and also filed an application seeking stay of execution of the decision pending the hearing of the intended appeal.

The applicant contended that the decretal amount was so colossal that its business would suffer great and irreparable loss that it would be brought to a stand still.

The respondent countered the application arguing that the ruling of the High Court was a

declaratory order which was not capable of execution and therefore no basis upon which a stay order could be issued. It was also contended that a mere assertion on the part of the applicant that if the amount awarded was to be

executed, the applicant would suffer great loss, without enumerating particulars of the alleged loss, was vague.

Held – The filing of an award in court in terms of section 16(1) of the Arbitration Ordinance renders such an award capable of being enforced as if it were a decree of the court and for which an order of stay of execution may be granted (*Salim Said Bakhresa v Ally A Ngume* civil appeal number 56 of 1995 distinguished).

The applicant had not gone beyond mere assertion that it would suffer great loss and that its business would be brought to a stand still if the award was to be executed. Unless details and particulars of loss are specified there is no basis upon which the court can satisfy itself that such a loss would really be incurred by the applicant (*Bansidhar v Pribhu Dayal* [1954] AIR 41 Rajasthan adopted).

Application dismissed.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

East Africa

Bakhresa v Ngume civil application number 56 of 1995 (UR)

Mlay v Mohamed Court of Appeal civil application number 39 of 1995 (UR).

Swai and another v Maro and another Court of Appeal civil application number 18 of 1994 (UR)

United Kingdom

Bansidhar v Pribhu Dayal [1954] AIR 41

Simonite v Sheffield County Council Times Law Reports, 12 January 1993

Winchester Cigarette Machinery Ltd v Payne and another number 2, Times Law Reports, 15 December 1993

Ruling

LUBUVA JA: This is an application for a stay of execution. It arises from the decision of 16 August 1996 by the High Court (Kaji J) in miscellaneous civil cause number 34 of 1996. In a notice of motion filed under rule 9(2)(*b*) of the Court's Rules of 1979 the applicant is applying for an order that the execution of this decision be stayed pending the determination of an intended appeal the notice of which was lodged on 22 August 1996. The application is supported by an affidavit deponed by one Ahmad Salum Kilingo, the Legal Secretary to the Tanzania Cotton Marketing Board, the applicant. The undisputed historical background to the case is short and may briefly be stated as follows. During the period 1993 and 1994 the applicant had entered into a sale agreement for the purchase of raw cotton exported by the applicant. The respondent company was the buyer. A dispute between the applicant (seller) and the respondent arose which was referred to the Liverpool Cotton Association Limited for arbitration. An award in favour of the respondent was confirmed by the Technical Appeal Committee of the Arbitrators – Liverpool Cotton Association Limited. On request by the respondent, the arbitrators filed the award before the High

Court. Hence the institution of miscellaneous civil cause number 34 of 1996. The applicant raised objection against the filing of the award before the High Court on the ground that improper procedure in filing the award was invoked.

Upon careful and detailed analysis of the submission by Mr *Mkono,* learned counsel for the respondent in this application who was then the applicant and Mr *Mselem,* learned counsel for the applicant in this matter who was then the respondent, the learned judge overruled the objection against the applicant and granted the application for the formal filing of the award by the arbitrators. The applicant is dissatisfied with that decision and so the notice of the appeal has been filed. It the applicant's prayer that the execution of the decision/decree be stayed pending the hearing of the intended appeal.

In the affidavit in support of his application, Ahmed Salum Kilingo on behalf of the applicant *inter alia*, advances the following reasons for seeking a stay order:

> "1. that the ruling of the High Court raises very important points of law which call for the determination of the Court of Appeal,
>
> 2. that if the award/decree is executed the applicant will suffer great injuries as the decretal amount will be very high thereby bringing the business of the applicant of buying an d exporting cotton to a standstill".

At the hearing of this application Mr *Mselem,* learned counsel submitted that if the stay order is not granted, the outcome of the intended appeal would be rendered nugatory in the event now pending succeeds in favour of the applicant. He further argued that as the decretal amount is so great, the applicant's business would suffer such great and irreparable loss that it would be brought to a stand still. So, he prayed for the granting of the stay order.

For the respondent, Mr *Mkono,* learned counsel assisted by Dr *Kapinga* and Pauline *Kasonda*, learned counsel appeared before me in this application. In the first place, it was submitted by Dr Kapinga that the ruling of the High Court dated 16 August 1996 was a declaratory order which was not capable of execution. For that reason, Dr Kapinga argued, there was no basis upon which a stay order could be issued. In support of this argument, he referred to a decision of mine in *Bakhresa v Ngume* civil application number 56 of 1995 (UR). In that case, a stay order was sought in respect of a High Court order dismissing an application to set aside an *ex parte* judgment. There, it was held that the High Court Order of dismissal was merely declaratory, incapable of execution in respect of which no stay order could be issued. The reason was that, with the dismissal order by the High Court, the *status quo* reverted to was the decision of the District Court which was capable of execution in respect of which a stay order could be issued. In the instant case, the situation is different because, with the filing of the award in court in terms of section 16(1) the Arbitration Ordinance, Chapter 15 of the Laws, such an award is capable of being enforced as if it were a decree of the court. With respect, Dr *Kapinga*'s submission that the ruling of the High Court was declaratory is rejected.

Countering the argument that the applicant would suffer irreparable loss if a stay order is not granted, Dr Kapinga forcefully submitted that this prayer was without merit. It was Dr *Kapinga*'s view that a mere assertion on the part of the applicant that if the amount awarded is to be executed, the applicant will suffer such great loss that the business of the applicant would be brought to a stand still is vague. He further stated that the affidavit deposed to by Mr Kilingo is too

general, it does not give any particulars of the loss that the applicant would suffer if no stay order is issued. I have been referred to a number of decided cases in India, England and the decisions of this court on this point. For instance, he referred to the Indian case of *Bansidhar v Pribhu Dayal AIR* 41 [1954] Rajasthan where it was stated – "It is not enough merely to repeat the words of the code and state that substantial loss will result; the kind of loss must be specified, details must be given, and the conscience of the Court must be satisfied that such loss will really ensue".

On the basis of this principle, Dr *Kapinga* submitted that this ground was without foundation because there was nothing to convince the Court that such loss would really ensue on the part of the applicant if the award is executed.

At the outset it must be stated quite clearly that this being an application for stay of execution filed under rule 9(2)(*b*) of the Court's rules, it is discretionary. Its grant or otherwise would depend on the individual circumstances of the case at hand. In this case, the decision terns around the issue whether the applicant would suffer not only substantial but irreparable loss which cannot be atoned by the way of damages. This aspect was, as shown above, sufficiently canvassed by the learned counsel for both parties. On this, I am respectively in agreement with Dr Kapinga, learned counsel that the applicant has not gone beyond mere assertion that he would suffer great loss and that his business would be brought to a stand still if the award is executed. In my consideration view, this is quite clearly unsatisfactory. As it was held in the case of *Bansidhar* (*supra*) unless details and particulars of loss are specified there is no basis upon which the Court can satisfy itself that such a loss would really be incurred by the applicant. What is more, in the instant case, the situation seems to me even worse. From the affidavit sworn by Kilingo, in essence, it is stated that if the award is executed, the business of the applicant would be brought to a stand still. As a result, the applicant's financial position would be incapacitated, so it was asserted by *Mselem*, learned counsel. If that is the apprehension as expressed by Mr *Mselem*, learned counsel for the applicant then that leaves open the possibility that the applicant's financial position is such that the decretal amount awarded could be paid for. But what seems to worry the applicant is the resulting hardship in future business dealings. Such would in my view, be the normal hazards of any judgment-debtor. This was further underscored in the case of *Bansider* cited above. There, it was further observed –

> "The words 'substantial' cannot mean the ordinary loss to which every judgment-debtor is necessarily subjected when he loses his case and is deprived of his property in consequence. That is an element which must occur in every case and since the Code expressly prohibits stay of execution as an ordinary rule it is clear the words 'substantial loss' must mean something in addition to all different from that".

In this case from the deposition in the affidavit and the submission by the applicant's counsel at the hearing of this application, I am not convinced that the applicant has shown that in fact he would be subjected to substantial loss if stay order is not granted. The matter has not, with respect, been taken beyond the stage of vague assertion that great loss would be incurred and that the business would be brought to a stand still if stay order is not issued. That is not enough.

Then there is the question of whether the loss is irreparable. I have already held that in this case, the applicant has not advanced the case beyond the vague

and generalised assertion of substantial loss in the event a stay order is not granted. That is, granted that there was such a loss to be incurred by the applicant, would such a loss be adequately compensated by an award of damages? In a number of cases, this Court has held that stay order is not normally granted unless the Court is satisfied that the applicant has suffered an irreparable loss that cannot be atoned by way of damages. See for instance –

1 *Yaledi Swai and another v Lilian Maro and another*, Court of Appeal, civil application number 18 of 1994 (UR);

2 *Siad Salim Bakhressa v Ally A Ngume*, Court of Appeal, civil application number 56 of 1995 (UR); and

3 *Joseph K Mlay v Ahmed Mohamed* Court of Appeal, civil application number 39 of 1995 (UR).

From the principle stated in these cases, it seems clear to me that having regard to the circumstances of this case the applicant can hardly be said to have or is likely to suffer substantial and irreparable loss if execution of the award is not stayed. Such loss or damage is, in my opinion capable of being adequately compensated by way of damages.

Another factor for consideration in this matter is the question whether the applicant has shown a *prima facie* case with a probability of a success in the appeal pending. It is however to be noted that at this stage it is rather premature to make any meaningful assessment of the chances of success of the appeal pending because arguments from both sides have not been heard. At any rate it is to be observed as well that even elsewhere in countries with similar jurisdiction, the current trend seems to indicate a move away from this factor in matters of granting a stay. This can be seen from England in the case of *Simonite v Sheffield County Council*, the Times Law Reports, 12 January 1993 where it was stated – "and that there were strong grounds for an appeal *was no reason for granting a stay*, for no one ought to appeal without strong grounds for doing so" (emphasis supplied). And so, with this restatement of the applicable principle my view is further reinforced that I am not persuaded either by this factor that this application warrants the issuance of a stay.

Finally, I will look into the matter in the light of the third element which is also taken into account in considering applications for a stay. That is, when the court is in doubt having taken into account the various factors into account, the matter is decided on the balance of convenience. As stated before, the granting of a stay is a matter of discretion and this is clearly indicated under the provisions of rule 9(2)(b) of the Court Rules, 1979. It is common knowledge that principles involving the exercise of a discretion crystallise and take root from established practice. For instance, in England, in situations of this kind, the current trend and practice of the court has moved on to involve common sense and a balance of advantage. In the case of *Winchester Cigarette Machinery Limited v Payne and another* number 2, The Times Law Reports, 15 December 1993 the court *inter alia* stated –

> "In recent cases it has been said that the practice of the court had moved on from the principle that the only ground for a stay was the reasonable probability that damages and costs paid would not be repaid if the appeal succeeded. Those cases held that the approach of the Court now was *a matter of common sense and a balance of advantages* . . .
>
> But in holding any such balance of advantage, full and proper weight had to be given by the court to the starting principle that there had to be a good reason for depriving a plaintiff from obtaining the fruits of a judgment" (emphasis supplied).

I have closely examined this principle in the light of the circumstances of this case. With respect, I am unable to go along with Mr *Mselem*, learned counsel that there are good or sufficient reasons for the grant of a stay even on the basis of common sense and balance of convenience approach.

Consequently, the application is dismissed. For this application it is ordered that each party to pay his own costs.

For the applicant:
NOS Mselem instructed by *Tanzania Law Chambers*

For the respondent:
NE Mkono instructed by *Mkono & Co*

Trade Bank Ltd v LZ Engineering Construction Ltd and others
[1995–1998] 1 EA 317 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	18 September 1998
Case Number:	14/98
Before:	Gicheru, Tunoi and Owuor JJA
Sourced by:	LawAfrica
Summarised by:	NK Mutai

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[1] Advocates – Appointment of – Appellant in liquidation –Sanction of court – Sanction obtained after appointment – Whether a notice of appeal signed by advocates before sanction obtained was valid – Whether sanction could operate retrospectively – Authority of company – By whom exercised – Whether advocates had been legally authorised by directors or shareholders to act for company – Section 35(1) – Banking Act (Chapter 488) – Section 241 – Companies Act (Chapter 486).

[2] Appellate procedure – Notice of appeal – Application to strike out – Service of notice – Signature of notice – Joint notice of appeal – Whether joint notice of appeal permitted – Whether notice had been signed by authorised advocates – Rules 1, 15, 22, 42, 74, 79, 80 and 82 – Court of Appeal Rules.

Editor's Summary

LZ agreed to sell to TB its entire share capital in Yaya at a price of KShs 600 million. LZ later filed a suit against TB, Yaya and DPFB alleging that the said agreement was void and illegal. In its suit LZ sought, *inter alia*, declarations that it was at all material times the beneficial owner of the share capital of Yaya and that the charge and guarantee given by itself to TB was void and illegal. TB filed a defence denying the plaintiff's claim and lodged a counter-claim. There then followed a myriad of applications in both the High Court and the Court of Appeal, some of which were disposed of and others of which were still pending. However, on 28 November 1997, the High Court ruled in favour of LZ and

held, *inter alia*, that LZ had been at all material times the beneficial owner of the entire share capital of Yaya, that all acts done by all parties on the instructions of TB and its directors pursuant to the said agreement were void, illegal and of no effect and that K and S Advocates had not been properly authorised or appointed to act on behalf of Yaya. The High Court judge ruled that RM was the duly authorised counsel to act on behalf of Yaya and that, as a result, the memorandum of appearance and statement of defence filed by K and S on behalf of Yaya would be struck out. K and S then lodged a notice of appeal stating that TB and Yaya, being dissatisfied by the ruling of 28 November 1997 intended to appeal against it. On 6 February 1998, TB obtained leave from the High Court under section 35 of the Banking Act and section 241 of the Companies Act to appoint K and S to act on its behalf in the intended appeals and any related matters, whether in the High Court or the Court of Appeal. LZ and Yaya now brought this application seeking orders striking out the notice of appeal dated 2 December 1997 and/or the civil appeal filed subsequent to the notice. In the alternative, Yaya asked that the DPFB be struck out from the appeal.

Counsel for the applicants argued that before TB, which was in liquidation, could appoint an advocate to act for it, the court's sanction was mandatory and that, in this instance, the notice of appeal having been lodged before TB's counsel had been validly appointed, the said notice was invalid. He also argued that the third respondent was not a party directly affected by the decision appealed against nor did it have any legal interest in the outcome of the appeal and that the Rules did not permit the giving of a joint notice of appeal. In reply, counsel for TB argued that the authority given to it by the High Court was wide enough to give retrospective sanction to the actions of its advocates, that the third respondent would be directly affected by whatever orders were made in the appeal and that the Rules did not prohibit joint notices of appeal being given.

Held – Section 241 of the Companies Act provided that a liquidator could not appoint advocates without the sanction of the Court. In this instance, sanction was to be taken to mean advance approval (*Re Associated Travel Leisure and Services Limited (in liquidation)* [1978] 2 All ER 273 adopted; *Dublin City Distillery (Great Dubliner) and others v Doherty* [1914] AC 823 distinguished). In this instance, the notice of appeal had been signed by a person not authorised to sign on behalf of the appellant and the notice of appeal was therefore invalid and of no effect.

The third respondent had taken no part in the proceedings before the High Court nor was the pivotal issue in the appeal of any concern to it. It therefore had no legal interest in the outcome of the appeal in spite of the fact that it had been served with notice and record of appeal and had expressed an interest in taking part in the appeal.

A notice of appeal under the Rules was a formal written communication to the court of an intention to appeal. Though counsel for the respondent could be right in submitting that the Rules did not prohibit joint notices being given, the position would be complicated if one or more of the parties decided not to appeal and absurd results would be the outcome. Moreover, in this instance, though the joint notice named Yaya as an intended appellant, when the appeal was filed it was transferred into the position of a respondent.

The specific authority of a company was needed before an advocate could act for it. In this instance, the High Court judge had found as a fact that K and S had not been authorised to act for Yaya in the suit and for them to do so by setting in motion an appeal for Yaya was a perpetuation of their notion that they had to act for Yaya, whatever the circumstances.

Application allowed, notice of appeal and appeal struck out.

Case referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

United Kingdom

Dublin City Distillery (Great Dubliner) and others v Doherty [1914] AC 823

Re Associated Travel Leisure and Services Limited (in liquidation) [1978] 2 All ER 273

Ruling

GICHERU, TUNOI AND OWUOR JJA: By these motions on notice expressed to be brought under rules 1(2) 42(1) and 80 of the Rules of this Court (the Rules), the first and the second respondents hereinafter referred to as "Yaya Towers" seek orders to strike out the notice of appeal dated 2 December 1997, and or civil appeal number 14 of 1997 filed by the appellant, Trade Bank Limited (in liquidation) subsequent to that notice. In the alternative, Yaya Towers is asking that the third respondent, Deposit Protection Fund Board, be struck out from this appeal.

The suit in the Superior Court relates to a venture in properly development in Nairobi now known as Yaya Towers Limited. The plaintiff is a limited liability company incorporated in Kenya and having its registered office in Nairobi. It is the first respondent in the appeal. There were there defendants. The first defendant is now the appellant in the appeal. The second defendant is the applicant in this motion while the third defendant is a body corporate with perpetual succession established under section 36 of the Banking Act (Chapter 488) of the Laws of Kenya. It is the third respondent and the appeal.

At the centre of the proceedings and the dispute is an agreement allegedly made on 9 January 1992 between the first respondent agreed to sell to the appellant the entire share capital in Yaya Towers comprising 50 000 ordinary shares of KShs20,00 each at the price of the KShs 600 million. The plaint lodged in this Court on 3 August 1993, avers that the said agreement was void and illegal for reasons set out therein. The first respondent sought a declaration that it was at all material times and still is there beneficial owner of the share capital of Yaya Towers an that the charge and guarantee given by the first respondent to the appellant are illegal and void for consequential injection relief's. The plaint also incorporates various claims for declarations and costs. Together with the written statement of defence traversing the claim *seriatim*; the appellant has also lodged a counter-claim.

There have been a myriad of applications both in the Superior Court as well as in this Court. Some have been disposed of the others are still pending. They are not, however, material to this application.

In a decision dated 28 November 1997, Pall JA (exercising his functions as a High Court judge) found for the first respondent. He held, *inter alia*, that the first respondent was at all material times and still is the beneficial owner of the entire share capital at Yaya Towers; that all acts and deeds done by all parties to the suit on instructions of the appellant and its directors pursuant to the said agreement are void, illegal and of no effect. The learned Judge further held that Messrs Kaplan and Stratton, Advocates, were not properly authorised or appointed by either the Board of Directors of Yaya Towers or by the first respondent to act in the action in the Superior Court on behalf of Yaya Towers. He decreed that Mr Rajesh Manek was a duly authorised counsel in the litigation on behalf of Yaya Towers. Having resolved thus he struck out the memorandum of appearance and the written statement of defence filed by Messrs Kaplan and Stratton on behalf of Yaya Towers. The appellant then lodged the notice of appeal reproduced below in full:

> "High Court of Kenya at Nairobi
>
> Civil Case number 3791 Of 1993
>
> LZ Engineering Construction Limited v Trade Bank Limited (In Liquidation) and others
>
> Notice of Appeal
>
> (Rules 74 of the Court of Appeal Rules).
>
> Take Notice that Trade Bank Limited the first defendant and Yaya Towers Limited the second Defendant herein being dissatisfied with the decision of the Honourable Mr Justice Pall given at Nairobi on the 28th day of November, 1997 intend to appeal against the whole of the said decision.
>
> The address for service of the appellants is care of Messrs Kaplan and Stratton, Advocates, Questa House, Kaunda Street, PO Box 40111 Nairobi.
>
> It is intended to serve copies of this Notice on:
>
> 1. AR Rebelo, Esq
> Advocates
> Ufundi House
> 1st Floor Haile Sellasie Avenue
> Nairobi.
> 2. Ramesh Manek, Esq
> Advocates
> Agip House
> Haile Selassie Avenue
> Nairobi.
> 3. Hamilton Harrison and Mathews
> Advocates
> I.C.E.A. Building
> Kenyatta Avenue
> Nairobi.
>
> Dated this 2 December 1997.
>
> Kaplan and Stratton
>
> Advocates for the appellants".

On 6 February 1998 the appellant obtained from the Superior Court leave under section 35(1) of the Banking Act and section 241 of the Companies Act (the Act) to appoint Messrs Kaplan and Stratton Advocates, to act on its behalf in the intended appeals and in any interlocutory applications in related to the said intended appeals whether in the Superior Court or in the court appeal.

It is submitted by Mr *Inamdar* for Yaya Towers that before the appellant, which is in liquidation,

could appoint an advocate to act for it court’s sanction or order was mandatory. He argued that any act by Messrs Kaplan and Stratton

before the sanction was of no effect. He relied on section 241(1)(c) of the Act. He averred that the notice of appeal was lodged by them before they were validly appointed and before they were authorised to do so. He submitted that when this section is considered together with rule 74(6) of the Rules which mandates that a notice of appeal shall be singed by or on behalf of the appellant it must follow that the notice of appeal is invalid it having been signed by a person or persons not authorised to sing on behalf of the appellant.

Mr *Inamdar* placed much reliance in *Re Associated Travel Leisure and Services Limited* (in liquidation) [1978] 2 All ER 273. The facts of this case are that on 16 January 1975, the liquidator of a company, without the prior sanction of the court or the committee of inspection required under section 245(1) of the companies act 1948 (section 241(1)(c) of our Act) instructed solicitors to issue proceedings and to proceed to collect debt due to the company, requesting them to treat the matter as urgent because there was a danger that the debtor might become insolvent. The solicitors speedily recovered 15 800 for the company, and submitted a bill of £124,60. On 18 June 1976 the committee of inspection purported to sanction the appointment. The taxing master, whilst considering the solicitors bill of costs to be clearly modest and reasonable disallowed the whole of the bill because he was not satisfied that section 245(1) had been compiled with. On a review of the taxation, the question arose whether under section 245(1) , the section could be given retrospectively and, if not, whether the court had power to relieve the liquidator of the consequences.

It was held that:

(i) Section 245(1)(c) did not authorise a liquidator to appoint a solicitor without first obtaining the sanction of the court or the committee of inspection; the sanction could not be obtained retrospectively so as to authorise the prior appointment of a solicitor.

(ii) However, the court had power, either under section 246(3) or under its inherent jurisdiction. To give retrospective sanction in a proper case to action taken under section 245(1) without the proper sanction.

Mr *Deverell*'s submission in reply was that the authority the appellant was granted by the Superior Court to appoint its advocates was wide enough to give retrospective sanction in this particular case in view of the complex nature of the proceedings. He referred to the principle laid down in *Dublin City Distillery (Great Dubliner) and others v Doherty* [1914] AC 823 which stated that section 151 of the companies (Consolidated) Act of 1908, which then empowered a liquidator, in the case of a winding up in Ireland, to bring or defend legal proceedings with the sanction of the court, did not confer on third parties any right to object the proceedings bought by a liquidator in the name of the company on the ground that no such sanction has been obtained. Several of the facts which were relied upon in their Lordships' judgment distinguish that case from the present. Moreover, in the Irish Companies Act, sanction is not a necessary preliminary, and the liquidator could also appoint a solicitor retrospectively, and if the appointment was challenged successfully he could only be deprived of his costs. This authority is not, therefore, directly applicable in the instant case there is noting in the point relevant to our situation. Adopting the dictum is *Re Associated Travel Leisure and Services Limited (in liquidation)* (*supra*) by section 241(1)(c) of the Act the liquidator cannot appoint advocates without the sanction of the court or the committee of inspection and sanction means disapproval in advance. Moreover, there was no justification advanced by the appellant in the Superior Court to justify recourse to inherent jurisdiction.

It follows, therefore, that the notice of appeal having been signed by a person or persons not authorised or sanctioned to sign on behalf of the appellant the notice of appeal is invalid and of no effect.

Mr *Inamdar* further argued that the third respondent is not a party directly affected by the decision appealed against nor does it have any legal interest in the outcome of the appeal. Both Mr *Singh*, for the third respondent and Mr *Deverell* vigorously opposed the intended exclusion of the third respondent by arguing that it could not be left out since whatever orders will be made in the appeal will directly affect them. The third respondent took no part in the proceedings before the Superior Court, which led to the decision the subject matter of this appeal. The pivotal issue is of concern only to the appellant which is the only party directly affected by the appeals. The third respondent has no legal infest in the outcome of appeal.

It matters not it has been served by the appellant with the notice of appeal and the record of appeal and has expressed interest to take part in the appeal.

Mr *Inamdar*'s other main submission is that under rule 74(1) read together with rule 79(1) of the Rules every person desiring to appeal to the court of appeal must give a separate notice of appeal. He argued that the notice of appeal given by the appellant is a joint notice of appeal which is not permitted by the Rules. He submitted that these two rules clearly envisage two notices for two persons and not otherwise, more so, in that rule 79(1) specifies separate notices of appeal from the same decision.

A notice of appeal under the Rules is a formal written information to court of an intention to appeal. It is normally lodged as a matter of course irrespective of whether one eventually files an appeal or not. There is no requirement that one must institute an appeal because a notice of appeal has been lodged. Usually, at the time of lodging the notice of appeal an intending appellant could not have had the opportunity to consider nor obtain the advice whether his intended appeal has merits or not. More often than the notice of appeal is emotionally lodged by bad losers or vexatious litigants. A great majority of the litigants who lodge notices of appeal do not actually prefer any appeal.

Mr *Deverell* may be correct when he submitted that rules 74(1) and 79(1) do not prohibit joint notices of appeal being given. He may also be correct that two or more persons can give a joint notice of appeal. For example, if three co-plaintiffs' A, B, C, lose suit, they can lodge a joint notice of appeal. The rule do not excluded it by expresses provision. But, the position would be made complicated if one or more of the parties, say B and C change their minds and do not wish to appeal. Rule 82(a) of the Rules then would come into play and their notice of appeal would be deemed to have been withdrawn. In the matter before us the appellant alone has appealed. It follows therefore that under rule 82(a) Yaya Towers notice of appeal is deemed to have been withdrawn.

This is again not the end of the matter because under rule 82(b) Yaya Tower's notice of appeal alone is deemed to have been withdrawn and the parties on whom the notice of appeal was served then become entitled to give fresh notices of appeal. So, the first respondent, Yaya Towers and the third respondent or any of them can be given another notice of appeal, serve it on other parties and even file an appeal despite the fact that we have before this court an appeal already lodged by the appellant. This would lead to assured results in that each of the respondents or parties could end up filing three additional and separate appeals.

Further, if read in plural rule 82 would read as follows:

> "If parties who have lodged a Notice of Appeal fail to institute and appeal within and appointed time:
>
> (a) They shall be deemed to have withdrawn their Notice of appeal and shall, unless the court otherwise orders, be liable to pay the costs arising there from of any persons on whom the notice of appeal was served.
>
> (b) Any person on whom the Notice of appeal was served shall be entitled to give Notice of appeal notwithstanding that the appointed time has expired, if he does so within fourteen days of the date by which the parties who lodged the previous Notice of appeal should have instituted their appeal".

This subrule cannot be read as Mr *Deverell* is trying to read it in that it can not be disected "as read as parties or any of them, or they or any one of them shall be deemed etc. Again if two or more persons give or join in one notice of appeal such notice of appeal would be one entire indivisible document only emitting both such persons to appeal or not all. This would not as Mr *Deverell* suggests amount to putting a lateral construction to the rules nor is it too narrow a construction and neither is it illogical. There are no adequate grounds to justify the inference that the rules intended something, which it omitted to express.

The joint notice of appeal names Yaya Towers as an intended appellant. But when the appeal was filed Yaya Towers was transferred into the opposition of a respondent despite the notice of the appeal. Rule 2 of the Rules defines the appellant in relations to appeals to this court t include an intended appellant and respondent in relation to civil appeal to include any person who a notice of appeal has been served. The notice of appeal, in the presence instance, is misconceived and is invalid since Yaya Towers has been assigned two mutual different roles in the appeal. Yaya Towers cannot *ipso facto* be both the appellant and the respondent in the same proceedings.

It has been argued before us that the notice of appeal has not been singed by a duly authorised advocate of the appellants named therein as required by rules 15(1), 22(2) and 74(6) of the Rules specific authority of a company is needed for an advocate to act for a company involved in litigation. See *Halbury's Laws of England* (4 ed) Volume 9 para 114 at 83. The learned Judge found as a fact that neither the shareholders nor the directors of Yaya Towers had authorised Messrs Kaplan and Stratton to act for Yaya Towers in this suit and that on the other hand the directors of Yaya Towers had expressly resolved that Mr Ramesh Manek should represent them in the litigation. However, it is noted that the representation o Yaya Towers would have been the main issue for determination in the appeal. This did not however, give authority to Messrs Kaplan and Stratton to set in motion an appeal for Yaya Towers. They had no authority to do so. That they did so, is the perpetuation other perceived notation that they did so, is the perpetuation of their perceived notion that they must, whatever the circumstances act for Yaya Towers. The learned Judge in the Superior Court observed

> "Even after Mr *Deverell* and conceded in the court of appeal that as a result of the said cross examination he was satisfied that the said meeting of the Board of Directors of Yaya never took place on 7 February, 1992 his firm continued to act for Yaya. It participated in the submission on the overall issue of representation and that exercise went on for ten to twelve days. In short they persisted to the very end that they were duly authorised by year to act for it".

This decision by the learned Judge was a signal to Messrs Kaplan and Stratton that their authority to act on behalf of year Towers was actually in question and should not have filed notice of appeal on its behalf.

For the above reasons, we allow the application and strike out the notice of appeal filed on 2 December 1997 together with civil appeal number 14 of 1998. The applicants that is to say, the first and second respondents, shall have the costs of these applications and of the appeal to be paid by the Liquidator of the appellant with a certificate for two advocates.

For the appellant:
WS Deverell instructed by *Kaplan & Stratton Adv*

For the second respondent:
IT Inamdar instructed by *Inamdar & Inamdar Adv*

For the third respondent:
JG Singh instructed by *Hamilton Harrison & Mathews*

Tree Shade Motors Ltd v DT Dobie and another
[1995–1998] 1 EA 324 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	10 July 1998
Case Number:	38/98
Before:	Kwach, Tunoi and Bosire JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Civil procedure – Judgment – Default judgment – Service of summons and plaint – Registered post – Failure by defendant to appear or enter a defence – Whether appellant had been properly served – Application to set aside judgment – Draft defence annexed to application – Whether draft defence raised a reasonable defence – Order IXA, rules 10 and 11 – Civil Procedure Rules.

Editor's Summary

The plaintiff (now second respondent) left his motor vehicle with the first defendant (now first respondent) for repairs. The first defendant later sold the vehicle to the second defendant (now appellant), allegedly in order to recover repair charges that the plaintiff failed to pay. The plaintiff then filed suit against the defendants seeking, *inter alia*, a declaration that the sale of the vehicle was null and void as well as damages for loss of use, detinue and hiring a car. Service of summons and plaint was effected on both defendants by registered post. The first defendant entered appearance and filed a defence denying the plaintiff's claim. The second defendant did not appear nor did it file a defence and, as a result, interlocutory judgment was entered against it on 14 December 1994 for KShs 1 412 202,50 with the remainder of the claim to be set down for formal proof. On 27 March 1995, the

second defendant applied for the *ex parte* interlocutory judgment and consequential orders to be set aside. The affidavit in support of the application claimed, *inter alia*, that summons and plaint had not reached the second defendant. A draft defence in which the second defendant claimed to be a *bona fide* purchaser without notice was also annexed. On

30 June 1995, the application was dismissed on the ground that service had been proper and judgment regular.

On appeal.

Held – The learned Judge was right in holding that the second defendant had been properly served as the changes relied on by the second defendant to assert that it had not been served had taken place two years before the suit was filed.

Where a draft defence was tendered together with an application to set aside a default judgment, the court hearing the application was obliged to consider if it raised a reasonable defence to the plaintiff's claim. Where the Defendant showed a reasonable defence on the merits, the court could set the *ex parte* judgment aside; *Kingsway Tyres and Automart Ltd v Rafiki Enterprises Ltd* [1995] LLR 2478 (CAK) followed. In this instance, the effect of the draft defence, if it had prevailed, would have been to oblige the plaintiff to seek redress from the person with whom he had left the vehicle and this was a defence the second defendant should be allowed to raise.

Appeal allowed, ruling and order of 30 June 1995, set aside, second defendant granted leave to enter and defend and file its defence within 14 days. *Ex parte* interlocutory judgment set aside.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Kingsway Tyres and Automart Ltd v Rafiki Enterprises Ltd [1995] LLR 2478 (CAK) – **F**

Judgment

KWACH, TUNOI AND BOSIRE JJA: Joseph Rading Wasambo, the second respondent in this appeal, (hereinafter called "the plaintiff") sued DT Dobie and Company Limited, the first respondent, (herein called "the first defendant") and Tree Shade Motors Limited, the appellant (herein called "the second defendant") in the superior court seeking a declaration that the sale by the first defendant, to the second defendant, of a motor vehicle belonging to the plaintiff was null and void and of no legal effect; an order directing the defendants to return the vehicle to the plaintiff; damages for loss of use and detinue; a sum of KShs 1 407 202-50 car hire charges; and an additional sum of KShs 5 000 per day for car hire until the settlement of the case.

Service of summons and plaint was effected on both defendants by registered post in accordance with Order V, rule 2(b) of the civil procedure rules. The first defendant entered an appearance and filed a defence denying the plaintiff's claim. The gist of the defence was that the plaintiff had left his motor vehicle with the first defendant for repairs; that he failed to pay the repair charges when required to do so; and that on 10 November 1993 it sold the motor vehicle to the second defendant by tender for KShs 102 000 out of which it recovered KShs 73 599-50 for storage charges.

The balance of KShs 24 198-40 was forwarded to the plaintiff who refused to accept payment.

The second defendant did not appear nor did it file a defence with the result that on 14 December 1994, interlocutory Judgment was entered against it for KShs 1 412 202-50 together with interest at court rates from the date of filing suit. The remainder of the plaintiff's claim was ordered to be set down for formal proof.

On 27 March 1995, the second defendant applied by chamber summons under Order IXA, rules 10 and 11 the Civil Procedure Rules to set aside the ex parte interlocutory Judgment and consequential orders. The application was supported by an affidavit sworn by Geoffrey Mwangi Muthuri, a director of the second defendant. He deponed that the letter forwarding the summons and plaint did not reach the second defendant because of changes which had taken place within the company relating to shareholders and directors and blamed all this on the company auditors. A draft was also annexed in which the plaintiff's claim was denied in its entirety. The main plank of the second defendant's draft defence is that it was bona fide purchaser for value without notice.

The application was opposed by the plaintiff and Ole Keiwua J who heard it, held hat the Judgment was regular, as the second defendant had been properly served and he dismissed the application with costs. It is against that decision that the second defendant now appeals.

The changes on which Geoffrey Muthuri relied to assert that process did not reach the second defendant took place between 1992 and 1993, two years before the suit was filed, and we cannot therefore accept Mr *Gatonye*'s submission that this could have affected internal management of the second defendant at the time process was issued. The learned Judge was quite right therefore to hold, as he did, that the second defendant had been properly served, and if the matter depended entirely on service there would have been nothing to say in favour of the second defendant in this appeal.

The learned Judge did not look at the draft defence to see if it contained a valid or reasonable defence to the plaintiff's claim. Where a draft defence is tendered with the application to set aside the default judgment, the court is obliged to consider it to see if it raises a reasonable defence to the plaintiff's claim. If it does, the defendant should be given leave to enter and defend. That is what this court decided in the case of *Kingsway Tyres and Automart Ltd v Rafiki Enterprises Ltd* [1995] LLR 2478 (CAK). In the course of its judgment the court said:

> "to our minds, the onus was on the respondent to fault the service. Having failed to do so, and in the absence of evidence on record to lead us to hold that the service was improper, it is our view and so hold ex parte Judgment was a regular Judgment. It would only, if at all, be properly, vacated on grounds other than non-service of summons.
>
> There are ample authorities to the effect that, notwithstanding regularity of it, a Court may set aside an ex parte Judgment if a defendant shows he has a reasonable defence on the merits. The respondent did not annex to its application in the lower court a draft defence. A director of the company did, however, swear an affidavit to state that the appellant's claim was based on certain LPOs which had been stolen from it (the respondent) by its employees. Too, that the employees had been arraigned in court on criminal charges relating thereto. In view of that, it did not think the claim, properly, lay against it. It was desirable, we think for the respondent to annex its application a draft defence to include all that and any other defences it may have had to the appellant's claim. Be that as it may, the defences, above, were not such as would have properly, influenced the court below to exercise its discretion in favour of setting aside. That is the more so considering the manner the parties conducted business between themselves".

As we have already said, in this case the second defendant annexed a draft defence to the affidavit in support of the application to set aside, the gist of which is that it purchased the motor vehicle from the first defendant as a purchaser for value without notice. The effect of this defence, it prevails, is that the plaintiff would have to seek redress from the person with whom he had left his motor vehicle and who sold it to the second defendant. That is a defence which the second defendant should be allowed to raise although it has been less than candid on the issue of service. The plaintiff has been inconvenienced, but he certainly has not been prejudiced, and his inconvenience can be redressed by an appropriate order for costs.

In the final analysis, we allow this appeal, set aside the ruling and order of Ole Keiwua J dated 30 June 1995 and substitute therefore an order allowing the second defendant's application dated 27 March 1995, and set aside the ex parte interlocutory Judgment entered on 28 December 1994, against the second defendant. The second defendant is hereby granted leave to enter and defend and to file its defence within 14 days from today. The second defendant will bear the plaintiff's thrown away costs and his costs of this appeal which we assess at KShs 20 000 to be paid within 14 days from today and in default execution to issue.

The first defendant is not entitled to costs.

For the appellant:
CW Gatonye instructed by *Waweru Gatonye & Co*

For the respondents:
Information not available

Vadag Establishment v Shretta
[1995–1998] 1 EA 327 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of ruling:	7 May 1999
Case Number:	39/99
Before:	Kwach, Omolo and Shah JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Appellate procedure – Application to strike out notice of appeal – Failure to serve notice on all interested parties – Whether failure amounted to a fatal error – Rules 1(2), 42(1), 76(1) and 80 – Court of Appeal Rules.

Editor's Summary

The applicant and respondent were shareholders in a company. The respondent petitioned the High Court for the winding up of the company. He at the same time applied for, and was granted, the appointment of a receiver over the company. The applicant later sought orders from the High Court striking out the petition filed by the respondent as being an abuse of court process. The court ruled

that the petitioner was not entitled to have the company wound up and that the proper order to make was one standing over the petition to enable the parties to agree the terms on which the price of the respondent’s shares in

the company could be referred to arbitration. The respondent lodged a notice of appeal against the order. The applicant thereafter brought a notice of motion seeking orders striking out the notice of appeal on the ground that the respondent had failed to serve all the interested parties in the matter. The applicant contended that as those other parties were affected by the intended appeal, they ought to have been served with the notice of appeal. The respondent, in reply, argued that it was under no obligation to serve the other parties and that in any case, the other parties were all owned and controlled by one family so that, in reality, they were one person wearing different hats.

Held – There could be no doubt that the other parties had at one stage or another been involved in the litigation in the High Court and that none of these parties had been served with the notice of appeal. Rule 76(1) of the Court of Appeal Rules provided that an intended appellant was obliged to serve copies of a notice of appeal on all persons directly affected by the appeal within seven days of lodging it but that, on application, the court could direct that service not be effected on a person who took no part in the proceedings in the Superior Court. The power of deciding who should be served with the notice of appeal therefore rested on the court and not the intending appellant (*Ahn v Openda* [1981] LLR 1209 (CAK) and *Roboi Holdings Ltd v Kantilal Holdings Ltd* civil appeal number 50 of 1993 followed; *Trade Bank Ltd v LZ Engineering Construction Ltd* [1998] LLR 673 (CAK) distinguished).

There was no legal justification for holding that the respondent was not obliged to serve the other parties because they were one and the same thing with the applicant. At the very least, the respondent ought to have sought the court's directions as to which parties ought to be served or sought dispensation from serving the other parties.

Application allowed, notice of appeal struck out.

Cases referred to in ruling

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Ahn v Openda [1981] LLR 1209 (CAK)

Roboi Holdings Ltd v Kantilal Holdings Ltd civil appeal number 50 of 1993

Ruithibo v Nyingi [1982] LLR 1383 (CAK)

Trade Bank Ltd v LZ Engineering Construction Ltd [1998] LLR 673 (CAK)

Ruling

KWACH, OMOLO AND SHAH JJA: We have before us, by way of a notice on motion under rule 1(2), 42(1) and 80 of the Court of Appeal Rules, the Rules, an application by Vadag Establishment, the applicant, asking us to strike out a notice of appeal dated 4 August 1998 and filed by Yashvine Shretta, the respondent, against the decision of the Superior Court (Ole Keiwua J) made on the 31st July, 1998. The motion is based on two grounds, namely:

(i) that the respondent had failed to serve the notice of appeal on all the interested parties in the matter; and

(ii) that alternatively the respondent has failed to take an essential step, to wit, to file a record of appeal within the prescribed time.

Only the first ground was argued before us and our ruling shall be restricted only to the ground.

The applicant and the respondent are shareholders of a company called Leisure Lodge Limited, with the applicant being the majority shareholder. In 1996, the respondent petitioned the Superior Court for a winding-up order in respect of Leisure Lodge Ltd. At the same time as he files the petition for the winding-up of the company, the respondent also lodged, ex-parte, an application for the appointment of a receiver. This latter application was granted and was even confirmed by this court in civil appeal number 10 of 1997.

For the purposes of our ruling, the next relevant step in the proceedings was the notice of motion dated 19 January 1998 and lodged in the Superior Court on the 20 January 1998. By that motion, the application sought from the Superior Court, among other orders, an order: "That the petition filed herein by Yashvin Shretta dated the 16 October 1996 be struck out as being an abuse of court process". That motion was again heard by Ole Keiwua J and on 31 July 1998, the Learned Judge delivered a considered ruling in which he held that:

> "Like Vinelot J in *Re A Company* case, I am of the view that the petitioner will not be entitled in the circumstances of this petition to have the company wound- up. The proper order to make and I accordingly make is not that dismissing or striking out this petition as prayed for in the application. I think I would stand over the petition to enable the parties to agree the terms on which the matters of the price of the petitioner's shares in the company may be referred to arbitration. All further proceedings on the petition will be stayed. The petition will be mentioned if an agreement is reached, for further appropriate orders to be made on the petition. In the event of disagreement on the terms on which arbitration may be heard, then the matter be listed for argument on any such question of disagreement. The aspect of costs is reserved and will be dealt with later on on the happening of any matters these parties are to deal with".

The respondent was aggrieved by this order of the learned Judge and on 5 August 1998, the respondent lodged a notice of his intention to appeal against the order. It is that notice of appeal which we are asked to strike out and the applicant asks us to strike it out because according to the applicant, the notice of appeal was served only on the applicant while there are other parties involved in the litigation in the Superior Court. The applicant contends that those parties are, amongst others:

1. Leisure Lodge Limited,
2. Prime Bank Limited,
3. Prime Capital and Credit Limited, and
4. HW Gichohi and GM Kimeu who are the court appointed liquidators of Leisure Lodge Limited.

There can be no doubt from the replying affidavit sworn by the respondent himself that these parties, have at on stage or the other, been involved in the litigation in the Superior Court. In respect of Leisure Lodge Limited, the applicant contends that the petition filed by the respondent seeks to have it wound-up and that being so, Leisure Lodge Limited is a party directly affected by the proceedings. The Prime Capital and Credit is said to be owned by Prime Bank Ltd and as regards Prime Capital and Credit, it is a debenture holder over the assets of Leisure Lodge Limited. As we have already said, there can be no dispute on the material placed before us that these parties have, at various stages taken part in the proceedings in the Superior Court. The applicant contends

that being so, they are parties affected by the intended appeal and ought to have been served with the notice of appeal. It is agreed that apart from the applicant, none of these parties was served with the notice of appeal. Nor did the respondent find it necessary to seek the direction of the court as to who should or should not be served with notice of appeal.

The respondent's position is that there was no obligation upon him to serve the other parties. It was the applicant alone who filed the notice of motion seeking to have the petition struck out and none of the other parties participated in the hearing of that motion. The respondent also contends that all these other people, Leisure Lodge Limited, the applicant, Prime Bank and Prime Capital and Credit are owned and controlled by what we may compendiously call the Kantaria family and that whether it be Leisure Lodge Limited, the applicant, Prime Bank or Prime Capital and Credit, they are, in reality, one person wearing different hats. Accordingly, the respondent aver in paragraph 60 of his replying affidavit that:

> "That I deny that I was obliged, as alleged in paragraphs 8 to 11 of the said affidavit, to serve separate notices of appeal on Leisure Lodges Ltd, Prime Capital and Credit Limited, M/s A O Erickson, PH Shah and TJ Birnice, purported by Prime receivers and managers purportedly appointed by Prime Capital and Credit Ltd on 23 October 1996".

These are the two conflicting positions taken by the applicant and the respondent. What does the law say on the matter?

Rule 76(1) and the proviso thereto of the Court's rules are to this effect:

> "76 (1) An intended appellant shall, before or within seven days after lodging notice of appeal, serve copies thereof on all persons directly affected by the appeal.
>
> Provided that the court may on application, which may be made ex parte within seven days after lodging the notice of appeal, direct that service need not be affected on any person who took no part in the proceedings in the Superior Court".

On first principles our understanding of this is that an intending appellant must serve a notice of appeal on all persons directly affected by the appeal. We have said repeatedly that least some of the parties the applicant says ought to have been served with the notice of appeal took part in the proceedings in the Superior Court at various stages. The respondent may have thought tat they were or are not directly affected by the appeal he intends to file and which we understand has in fact been filed.

Once again, on first principles, we would hold that even if the respondent thought so, it was not within his province to decide on the issue of who should be served with the notice of appeal. The power to make that decision is given to the court by the proviso to rule 76, which we have already set out in this ruling. That, we think, has been the position taken by the Court since 1981 when the case of *Ahn v Openda* [1981] LLR 1209 (CAK) was decided. There, it was held that as the application to dispense with service upon a party directly affected by the appeal but who took no part in the proceedings in this Superior Court had been made way out of time, the appeal itself would be struck out. Madan, Kneller and Hancox JJA next put it in the case of *Roboi Holdings Ltd v Kantilal Holdings Ltd* civil appeal number 50 of 1993):

> "A similar situation arose in *Ruithibo v Nyingi* [1982] LLR 1383 (CAK). We then said that we considered the whole of the provisions of rule 76(1) are mandatory. We would add that an intending appellant is not excused from complying with the requirements of rule 76(1) even if there is 'no grievance' between the parties directly

> affected by the appeal but not served. It also matters not that the respondent or any person directly affected by the appeal does not suffer any grievance or prejudice thereby. The notice of appeal must be served or dispensation obtained from the court as laid down in rule 76 (1)".

These decisions have been consistently followed by this Court. They were followed in the case of *Roboi Holdings Ltd v Kantilal Holdings Ltd* civil appeal number 50 of 1993). The appellant did not invoke this proviso to obtain relevant directions from the court. However, it is clear to us that Yaya took part in the proceedings before the Superior Court through Mr Menek.

In the application before us, Mr *Oraro*, for the applicant, told us that Mr Gautuma had appeared before the Superior Court for leisure Lodge Limited and left at some stage, leaving Mr *Oraro* to hold his brief. Mr Kamau *Kuria* who appeared for the respondent did not and could not seriously dispute that assertion. At the very least Leisure Lodge was a party directly affected by the intended appeal.

Against this line of authorities, Mr Kamau *Kuria* could only cite the decision of this court in the case of *Trade Bank Ltd v LZ Engineering Construction Ltd* [1998] LLR 673 (CAK) where this passage is to be found:

> "The third respondent took no part in the proceedings before the Superior Court, which led to the decision the subject matter of this appeal. The pivotal issue is of concern only to the appellant which is the only party directly affected by the appeals. The third respondent has no legal interest in the outcome of the appeal.
>
> It matters not it has been served by the appellant with the notice of appeal, and the record of appeal, and has expressed interest to take in the appeal".

Mr Kamau *Kuria* took this passage to mean that it is for a party to appeal to decide who is directly affected by the appeal and so long as "the Pivotal issue" is only of concern to two parties, then only those parties need to be served. Of course this case is no authority for such a proposition. The court was then dealing with an application to strike out an appeal under rule 80 because the appellant had given ion composite notice of appeal contrary to the provisions of rule 74(1) and 79(1), which, according to the applicant in the application, required that separate notices of appeal be filed for each intending appellant. The application in that case had absolutely nothing to so with the provisions of rule 76(1). Indeed as is clear from the last sentence in the passage we have set out from the court's ruling, all the parties, even those not directly affected by the appeal had been served with the notice of appeal and had expressed a desire to participate in the appeal. In those circumstances, we are at a loss to understand Mr Kamau *Kuria*'s contention that the decision in the *Trade Bank Ltd* case is in conflict with the precious decisions of the court on the interpretation of rule 76(1) and the proviso thereto. With due respect to Mr *Kamau*, there is absolutely no conflict between that decision and the others

Nor can we find any legal justification for holding that the respondent was not obliged to serve the other parties or seek dispensation for such service because the other parties not served are one and the same thing with the applicant, and the Kantaria family which allegedly controls all of them. We are of the very clear view that the respondent ought to have at the least sought directions under the proviso to rule 76(1) regarding which of the parties ought not to be served with the notice of or seek dispensation to serve the makes his notice appeal incompetent. That being our view of the matter, we allow prayer (1) in the notice of motion dated and filed in court on the 16 January 1999 and the

consequence of that must be that the notice of appeal dated the 4 August 1998 and lodged in court on 5 August 1998 is ordered struck out. Mr *Oraro* sought to have the order appointing the interim liquidator set aside in view of the learned Judge's findings. That is a matter for the Superior Court to deal with upon a proper application by the Company. We award the costs of the motion to the applicant. Those shall be the orders of court.

For the applicant:
GO Oraro instructed by *Oraro & Co*

For the respondent:
GK Kuria instructed by *Kamau Kuria & Kiraitu Adv*

Wanjiku v Esso Kenya Ltd
[1995–1998] 1 EA 332 (CAK)

Division:	Court of Appeal of Kenya at Nakuru
Date of judgment:	29 September 1995
Case Number:	13/95
Before:	Gicheru, Akiwumi and Shah JJA
Sourced by:	IT Inamdar
Summarised by:	A Mwanzia

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[1] Inherent jurisdiction – Residual jurisdiction to be exercised only in special circumstances to avert injustice.

[2] Injunction – Ex parte – Granted for a period in excess of 14 days – Irregular and of no effect.

[3] Mention – Practice – Application listed for mention – Judge unilaterally and without hearing parties making substantive orders.

Editor's Summary

The appellant applied for an injunction against the respondent and obtained an *ex parte* injunction pending the hearing of her application *inter partes*. When the matter came up for hearing the judge refused to hear the respondent on the ground that, since it had not complied with the *ex parte* order, it was in contempt of court. Thereafter, various applications were made to the Court of Appeal for a stay of the orders made by the High Court pending the hearing of appeals against them. As a result the High Court stood over *sine die* the *inter partes* hearing of the appellant's application without extending the *ex parte* order.

The respondent applied to the High Court to vacate the *ex parte* injunction or alternatively to declare that the *ex parte* injunction, not having been extended, had become spent. The application was stood over for mention with a view to list it for hearing.

The Judge, on the mention date, gave a ruling without hearing any of the parties, in which he held that the *ex parte* injunction had expired and dismissed the appellant's original application. In doing

so, the Judge claimed that he was exercising the inherent jurisdiction of the court under section 3A of the Civil Procedure Act.

The appellant appealed.

Held – The *ex parte* injunction was irregular and of no effect because it was given for a period in excess of 14 days. It was therefore incapable of being extended.

Where a matter is fixed for mention a judge is not entitled unilaterally to determine on that date substantive issues in the case before him. He can only do so if both parties consent to that course and only after giving the parties an opportunity to make submissions thereon.

The inherent jurisdiction of the High Court is a residual jurisdiction which should only be exercised in special circumstances in order to put right that which would otherwise be a clear injustice.

Appeal allowed.

Case referred to in judgment

("**A**" means adopted; "**AL**" means allowed; "**AP**" means applied; "**APP**" means approved; "**C**" means considered; "**D**" means distinguished; "**DA**" means disapproved; "**DT**" means doubted; "**E**" means explained; "**F**" means followed; "**O**" means overruled)

Wanguku v Kani [1982–1988] I KAR 780

Judgment

GICHERU, AKIWUMI AND SHAH JJA: The matter in issue in this appeal is simple enough but it arises out of a somewhat confusing background which, though it must be set out briefly, does not affect our consideration of the pertinent issues involved in the appeal.

The appellant had obtained on 29 July 1993, from the High Court, an interim *ex parte* injunction against the respondent restraining it from evicting the appellant from a petrol filling station or from interfering with her quiet enjoyment of the petrol filing station, until the matter was heard *inter partes* on 16 August 1993.

On 3 September 1993, when the matter came up for *inter partes* hearing, the appellant persuaded the High Court to refuse to hear the respondent on the grounds that it, not having complied with the terms of the *ex parte* injunction, was in contempt of the court.

On 23 September, the respondent obtained from this Court a stay not only of the execution of the order made on 3 September 1993, but also pending this Court's determination of the appeal against that order, of all orders made by the High Court in the matter. Subsequently, on 7 December 1993, in another application similar to what the respondent had earlier brought, this Court stood over that application generally until such time as the respondent would have complied with the High Court's order of 29 July 1993. This, it seems, the respondent attempted to achieve in its application of 8 June 1994, some six months late, by applying to the High Court to vacate or vary its order of 29 July 1993. Another order which the respondent also sought in that application, was the fundamental one, namely; that the *ex parte* injunction not having been extended, had become spent.

It is convenient at this stage to consider the fate that had befallen the *ex parte* injunction. As already noted, it was granted on 29 July 1993, and was to last

until 16 August 1993, when the injunction application would be heard *inter partes*. This being more than the 14 days for which an *ex parte* injunction may be first granted under Order XXXIX of the Civil Procedure Rules, made the *ex parte* injunction that was granted irregular and of no legal effect. An *ex parte* injunction which was of no legal effect could not therefore be extended.

On 28 September 1993, the order of this Court dated 23 September 1993, was brought to the notice of the learned Judge of the High Court (Nambuye J) who then proceeded to adjourn, *sine die*, the application then before her which was for the Area Manager of the respondent to show cause why *ex parte* injunction order had not been complied with. Whilst the learned Judge had on previous occasions purported to extend the life of the *ex parte* injunction which had been irregularly granted on 29 July 1993, she did not on this occasion do so. The respondent's application of 8 June 1994, which had been filed after 28 September 1993, and which could not therefore, have been affected by the order of Nambuye J of that date, came before Rimita J on 3 October 1994, and not surprisingly, counsel for the appellant raised what had become a familiar preliminary objection, that the respondent should not be heard since it was in contempt of court, not having complied with the *ex parte* injunction order made on 29 July 1993. In his ruling of 6 October 1994, Rimita J overruled this preliminary objection and ordered that the respondent's application be heard on its merits: which can only mean that both parties must be heard. Because counsel for the appellant wished to file a further affidavit, Rimita J ordered that the matter be mentioned on 24 October 1993, so that a hearing date would then be taken. What happened on 24 October 1993, is what has prompted the present appeal.

On 24 October 1993, the mention date, the learned Judge instead of determining a date for the *inter partes* hearing of the application of the respondent, and without hearing any submissions on that issue or any other issue for that matter, proceeded to make a ruling on the substance of the application itself, in which, he dismissed the application by the appellant dated 27 July 1993, and held that the *ex parte* injunction purportedly granted on 29 July 1993, had expired on 28 September 1993. In making this ruling, the learned Judge invoked his inherent jurisdiction under the well known section 3A of the Civil Procedure Act to make orders "as may be necessary for the ends of justice or to prevent abuse of the process of the court". Counsel for the appellant has attached this ruling, *inter alia*, on the grounds that the learned Judge had erred in determining issues without hearing any of the parties concerned not only in contravention of the principles of natural justice, but also on an occasion when the application was only for mention. The learned Judge had in the surrounding circumstances, also erred in purporting to act on his own motion under section 3A of the Civil Procedure Act. Counsel for the respondent, found it difficult to resist these grounds of appeal effectively.

We have no doubt that where a matter is fixed for mention, as it was in this case, the learned Judge had no business determining on that date, the substantive issues in the matter. He can only do so, which was not the case here, if the parties so agree and of course, after having complied with the elementary procedure of hearing what submissions counsel may wish to make on behalf of the parties, which he did not do and moreover, gave no good reasons for adopting such a procedure which is repugnant to the administration of justice. As regards whether the learned Judge erred in invoking his inherent jurisdiction

under section 3A of the Civil Procedure Act, which has been described by Hancox JA, as he then was, in *Wanguku v Kani* [1982-1988] I KAR 780 at 785 as "residual jurisdiction which should only be exercised in special circumstances . . . in order to put right that which would otherwise be a clear injustice", the learned Judge gave the following reasons for taking this course: "This is because business premises which (*sic*) are closed awaiting the hearing of the application and the case". With respect, there is nothing special about this state of affairs, neither does it entitle the learned Judge to ignore basic requirements such as those demanded by the principles of natural justice, in determining substantive issued in contention between opposing parties without their consent on a mention date. Having regard to the wording of section 3A, the unsolicited action taken by the learned Judge could, ironically, be seen to have been the type of injustice which section 3A itself was intended to avoid or prevent.

Although we must agree with the learned Judge's finding but for different reasons that the *ex parte* injunction was of no effect, he nevertheless erred in the first place, for the reasons we have already given, in making the ruling that contained that finding.

As must be obvious by now, the appeal succeeds and the ruling of the learned Judge of 24 October 1994, is hereby set aside. The appellant will have the costs of this appeal.

It is so ordered.

For the appellant:
Information not available

For the respondent:
Information not available

Warugongo v Total (K) Ltd
[1995–1998] 1 EA 335 (CAK)

Division:	Court of Appeal of Kenya at Nairobi
Date of judgment:	11 December 1998
Case Number:	113/98
Before:	Omolo, Tunoi and Owuor JJA
Sourced by:	LawAfrica
Summarised by:	HK Mutai

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[1] Arbitration – Award – Application to set aside arbitrator's award – Principles to be applied in determining an application to set aside – Whether arbitrator had acted beyond the terms of reference – Section 35(1) – Arbitration Act (4 of 1995).

Editor's Summary

The parties entered into a lease agreement whereby the appellant agreed to lease property to the respondent. The agreement provided, *inter alia*, that the amount of rent payable would be renewed

upwards after a period of seven years and that in the event of a disagreement between the parties as to the new rent, the dispute would be referred to arbitration. When the rent came up for review, the parties were unable to agree on the new rent and the issue went to arbitration. In his award, the arbitrator set the monthly rent at KShs 167 000 and, in addition,

made a further award that rent be reviewed upwards at a rate of 20% every two years. The respondent, being aggrieved by the award, moved to the High Court under section 35(1) of the Arbitration Act to have the award set aside. The High Court agreed with the respondent that the arbitrator's award was beyond the terms of reference and set it aside.

On appeal.

Held – The Arbitration Act no longer contained any provisions allowing a court to modify an award or remit it to an arbitrator for modification. Though section 35(1) of the Act only permitted a court to set aside an award, the proviso to section 35(1)(*a*)(iv) allowed a court to set aside only those matters not referred to arbitration when such matters could be separated from those referred to arbitration.

In this instance, the arbitrator had not been asked to determine the future rate and interval of increases. However, this part of the award could be separated from his determination of the monthly rate payable, which he had arrived at in accordance with the lease agreement.

Appeal allowed, the trial Judge's order set aside and substituted with an order restoring the arbitrator's award of a monthly rent of KShs 167 000.

No cases referred to in judgment

Judgment

OMOLO, TUNOI AND OWUOR JJA: This appeal must be determined solely under the provisions of section 35(1) of the Arbitration Act 4 of 1995. The appellant is the registered owner of the property known as Nyeri Municipality Block 1/207 within Nyeri Township. The respondent is a tenant of the appellant. The lease agreement between them provided in paragraph 2(*a*)(iv) that:

> "The rent hereby reserved shall during the continuance hereof be reviewed upwards at the expiration of seven (7) years from the date hereof to the company (the respondent) and the ruling pump prices at the time of review. In the event of disagreement between the parties hereto on the new rental, such rental, shall be determined by a valuer of not less than ten (10) years standing mutually appointed by both parties and pending such determination, the company shall pay the rental then subsisting at the time of such review".

The lease agreement having been made on the 23 January 1992 the rent payable came up for review in May 1996. The parties disagreed and in terms of the clause set out hereinabove, the matter was referred to the arbitration of a Professor Syagga and by his award dated the 25 June 1997, the arbitrator set the monthly rent at KShs 167 000. Apart from that the arbitrator made a further award to the effect that: "I also recommend an increment of 20% every two years for the current 7 years portion of the lease to take care of increases in sales and profit. Therefore, rent as at May 1998 and May 2000 will be KShs 200 000 and KShs 240 000 respectively". The respondent was aggrieved by the award and moved to the High Court. Under section 35(1) of the Arbitration Act: "Recourse to the High Court against an arbitral award may be made only by an application for setting aside the award under subsections (2) and (3).

So there is no longer any provision in the Act for asking a court to modify an award or for the court to remit the same to the arbitrator for modification. It is accordingly understandable why the respondent moved the Court to set aside the award; that was the only course open to the respondent.

Having heard the parties, the learned Judge of the Superior Court (Hayanga J) agreed with the respondent and he held that: “What the award grants is a two-year period which is obviously outside it. I agree with the applicant, therefore, that the award is beyond reference terms and I set it aside”.

We agree with the learned Judge that the arbitrator did not have the power to authorise an increment of the rent payable after every two years. The parties had specifically agreed that there would be an increment after every seven years and they also agreed on the mode of calculating the increment. There was no mention of a 20% increment any more than there was a mention of two years. In purporting to impose those terms, the arbitrator was making a new contract for the parties. He was accordingly going beyond the terms of the reference to him, that is, he was exceeding his authority as an arbitrator.

The arbitrator, however, did determine the monthly rent payable as being KShs 167 000 and the method he used in coming to that figure was in accordance with the method set out in the parties’ agreement. The increase of 20% after every two years is clearly separate and severable from the arbitral award regarding the monthly rent payable. The proviso to section 35(1)(*a*)(iv) is in these terms: “Provided that if the decisions on the matters referred to arbitration can be separated from those not so referred only that part of the arbitral award which contains decisions on matters not referred to arbitration may be set aside”.

The matter referred to the arbitrator for his determination was the monthly rent payable in accordance with the lease. The arbitrator determined that and he did so in terms of the lease. But he proceeded to add the rate of increment as being after every two years and at 20%. He was not asked to determine that question. We have said that determination is separate and severable from that issue he was asked to determine. We think the learned Judge ought not to have set aside the entire award but only the part dealing with the two years and the 20%.

We accordingly allow this appeal, set aside the learned Judge’s order setting aside the arbitral award and substitute it with an order restoring the arbitrator’s award of a monthly rent of KShs 167 000 but set aside that part of the award allowing a rental increase of 20% after every two years. We award to the appellant half the costs of this appeal and half the costs of the proceedings in the High Court. The parties will each bear its costs before the arbitrator. Those shall be our orders.

For the appellant:
Information not available

For the respondent:
Information not available